AUSTRALIAN COMPETITION & CONSUMER COMMISSION

Supermarkets inquiry

Final report

February 2025

Acknowledgment of country

The ACCC acknowledges the traditional owners and custodians of Country throughout Australia and recognises their continuing connection to the land, sea and community. We pay our respects to them and their cultures; and to their Elders past, present and future.

Australian Competition and Consumer Commission
Land of the Ngunnawal people
23 Marcus Clarke Street, Canberra, Australian Capital Territory, 2601

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www.accc.gov.au

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Executive Summary

Overview

Coles and Woolworths dominate the Australian grocery sector and this is set to continue.

The supermarket industry is highly concentrated. The ACCC estimates Woolworths has 38% of supermarket grocery sales nationally, Coles has 29%, ALDI has 9% and Metcash, as a proxy for the independent supermarkets it supplies, has 7%. There are significant barriers to entry and expansion at large scale. In economic terms, this is an oligopolistic market structure in which Coles and Woolworths have limited incentive to compete vigorously with each other on price.

ALDI, as a "hard discounter", provides a crucial lower-priced alternative to Coles and Woolworths. It is an important source of price constraint on them, placing downward pressure on prices to the extent of its product overlap. However, as a low-cost operator, it does not compete head-to-head with Coles and Woolworths on all aspects of their offerings. ALDI does not face direct competition from any other hard discounters.

Independent supermarkets can provide a valuable alternative to ALDI, Coles and Woolworths, with their greater ability to meet local needs in their ranging and other aspects of their offerings to consumers. These are important aspects of competition, which is not only about price. However, we have found Metcash-supplied independents have been losing market share over time at a national level.

ALDI, Coles and Woolworths are not present in some regional and most remote areas of Australia, particularly away from the larger population centres. As a result, independent supermarkets, including at times community-owned supermarkets, play an important role in regional and remote areas of Australia. Many consumers in these areas are unable to shop around. Consumers in some regional and remote areas face much higher prices, with higher freight costs a significant contributor.

Grocery prices in Australia have been increasing rapidly over the last 5 financial years. Most of those increases are attributable to increases in the cost of doing business across the economy, including particularly production costs for suppliers, which has increased supermarkets' input costs. However, ALDI, Coles and Woolworths have increased their product and EBIT margins during this time, meaning that at least some of the grocery price increases have resulted in additional profits for ALDI, Coles and Woolworths.

In addition, Coles and Woolworths are engaging in practices – through their promotional activities and loyalty programs – that make it harder for consumers to judge whether they are getting a good deal and make informed decisions about whether to shop with them or elsewhere.

Coles and Woolworths' dominance in grocery retailing also affects supply chains. They have a strong bargaining position when dealing with many suppliers and can exercise this bargaining power to obtain lower wholesale prices. In an inflationary environment, this often takes the form of resisting wholesale price increases in whole or part. This can be beneficial to consumers if Coles and Woolworths pass through savings to consumers.

However, Coles and Woolworths have monopsony power with some suppliers, in particular many fresh produce suppliers. Monopsony power arises where a firm or firms acquire such a large proportion of total sales of a product that they can affect the overall market price of a product (reducing the market price by purchasing less, or increasing it by purchasing more). While monopsony power allows buyers to acquire products for lower prices, it typically leads to undersupply of the affected products and reduced investment by suppliers over time. Inefficient levels of supply and investment in production will in turn lead to higher prices and reduced choice or quality for consumers in the long run.

Coles and Woolworths' dominance of the sector seems set to continue. While they face ongoing and evolving competitive challenges on many fronts, their entrenched position in an oligopolistic market means substantial pro-competitive departures from the status quo are unlikely in the foreseeable future.

There is no "silver bullet" to address all the issues identified by this inquiry. However, we have recommended a range of potential legislative and policy reforms and other actions aimed at collectively addressing aspects of the market that are not working well, including where competition is unlikely to emerge, and bolstering competition over the medium to longer-term where it is possible to do so.

In considering the range of matters that have arisen relating to the supply of groceries, we have generally sought to identify relevant 'market failures' where grocery markets are not working well, with a detriment for competition or consumers. We recognise that Australian consumers benefit from a relatively efficient overall food supply system. In particular, ALDI, Coles, Metcash and Woolworths have a scale and scope that provides convenience to many Australians and benefits them through efficiencies in their procurement, logistics and other business functions. Although Coles and Woolworths have a limited presence in remote areas of Australia and ALDI is not present in remote areas, Metcash's availability as a wholesaler to independent supermarkets, particularly those in remote areas, means those independent supermarkets – and their customers – nonetheless benefit from some scale and scope efficiencies. There are particular challenges for remote communities that we discuss below.

The issues identified by this inquiry are often highly complex, and we have sought to make recommendations that are proportionate considering the magnitude of the issues and the potential benefits of intervention. In some cases, further consultation will be required to thoroughly examine potential reforms or actions and mitigate the risk of unintended consequences.

Grocery prices and supermarket margins and profitability

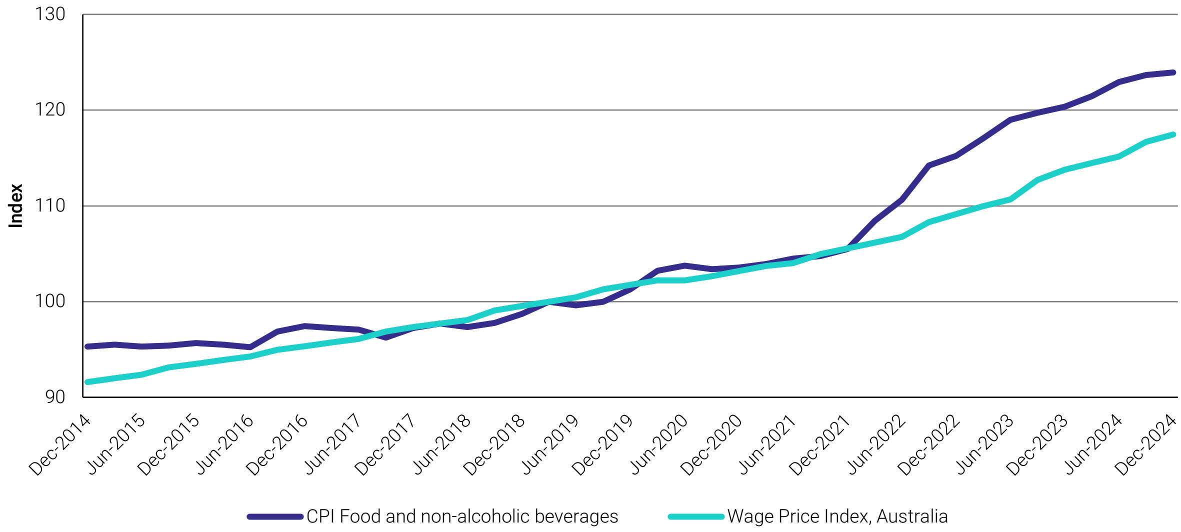
Grocery prices

Over the last 5 years, Australians have been faced with increasing prices across almost all goods and services. During this time, grocery prices (as represented by CPI food and non-alcoholic beverages) have risen by more than other goods and services; about 24% compared to 22%. This is less than the increase for most OECD countries but is still a significant increase.

Australians' wages have not kept pace with grocery inflation. As illustrated in figure 1.1, between 2018 and late 2021, grocery prices increased largely in line with wages. They then started increasing at a higher rate. By the end of 2022 and in early 2023 grocery prices were increasing at more than twice the rate of wage growth. The rate of grocery price growth has slowed since 2024 but compared to the pre-2022 period, prices remain substantially elevated relative to wages.

Figure 1.1: Wages have not kept up with grocery price inflation since late 2021

CPI food and non-alcoholic beverages and Wage Price Index between December 2014 quarter and December 2024 quarter



Note: Indices re-based to March 2019 quarter to align with 2019–2024 period used for most data analysis in this report. Wage Price Index refers to the *Total hourly rates of pay excluding bonuses: all sectors by state* series as published by ABS.

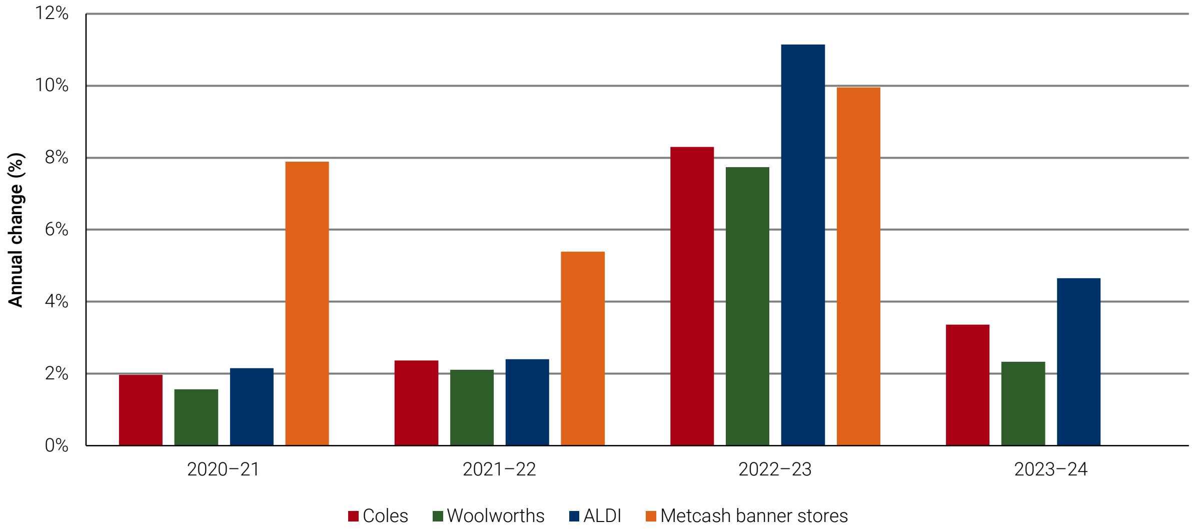
Source: ABS Consumer Price Index, Australia, December Quarter 2024; ABS Wage Price Index, Australia, December Quarter 2024.

As groceries are an essential purchase, increases to grocery prices affect everyone. But when grocery prices increase by more than wages, this tends to have a greater impact on lower-income earners. This is because groceries take up a bigger proportion of their income.

Consistent with these increases in the CPI food and non-alcoholic beverages, supermarket prices have increased substantially in the last 5 financial years, with the largest increase in the 2022–23 financial year. Figure 1.2 shows ALDI's, Coles', Metcash banner stores' and Woolworths' annual change in their volume-weighted average price ("effective price") calculated using actual sales data obtained by the ACCC. Metcash banner stores are independent grocery retailers who operate under a brand licensed from Metcash, such as IGA.

Figure 1.2: Prices increased at all supermarkets over the last 5 financial years, and significantly in 2022–23

Annual change in effective prices for each supermarket between 2020–21 and 2023–24 financial years



Note: We did not obtain data for Metcash banner stores for the 2023–24 financial year. Further, Metcash banner stores' financial year period follows a May to April cycle, unlike the other supermarkets whose financial year period is the conventional July to June cycle. As a result, Metcash banner stores' financial year data does not wholly align with the other supermarkets' data.

Source: ACCC analysis; Information provided to the ACCC.

The effective price changes in figure 1.2 relate to products that were for sale in a given supermarket in 2 consecutive financial years, weighted by sales revenue in the first year. This approach seeks to prevent distortions due to new product availability and changing purchasing patterns. The prices we analysed were for all stores in each supermarket chain; in contrast the CPI only considers prices in capital cities.

Product margins

We have also analysed ALDI's, Coles', Metcash banner stores' and Woolworths' product margins over the last 5 financial years, including to calculate their weighted average product margin across all products per financial year. Product margin refers to a product's sales revenue less its cost of goods sold (the costs directly related to the production or acquisition of the product).

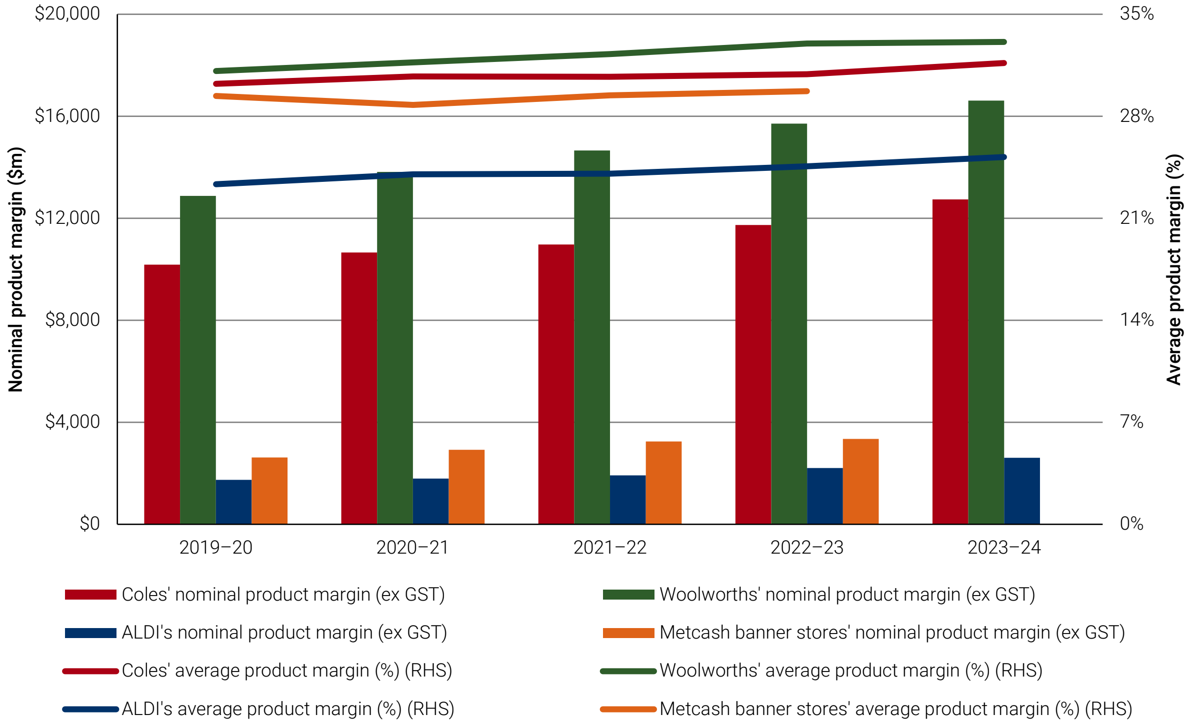
The cost of goods sold is not the only cost incurred by a supermarket business. There are other costs, such as indirect costs or operating costs (for example wages, rent, utilities and marketing). These other costs are generally deducted and accounted for in whole-of-business profitability metrics such as earnings before interest and tax (EBIT) or net profit after tax (NPAT) which are discussed below.

Given product margins do not account for all costs, these margins will generally be higher than the profits ultimately earned by a supermarket. Nonetheless, product margins provide an indication of the profit a supermarket makes on each product compared to what they paid for it.

Alongside their price increases (shown in figure 1.2), ALDI, Coles and Woolworths increased their average product margin (in percentage terms) over the last 5 financial years (figure 1.3). Metcash banner stores' percentage average product margin has been largely stable in this period.

Figure 1.3: ALDI's, Coles' and Woolworths' average product margins have increased since 2019–20, while Metcash banner stores' average product margin has been relatively flat

Nominal product margin ($) and average product margin (expressed as a % of sales revenue) by supermarket between 2019–20 and 2023–24 financial years



Note: The early financial years in our analysis included the COVID-19 period, which affected all supermarkets' business operations and therefore financial metrics.

We did not obtain data for Metcash banner stores for the 2023–24 financial year. Further, Metcash banner stores' financial year period follows a May to April cycle, unlike the other supermarkets whose financial year period is the conventional July to June cycle. As a result, Metcash banner stores' financial year data does not wholly align with the other supermarkets' data.

ALDI's product margin figures exclude products on Special Buys, which are primarily non-grocery items.

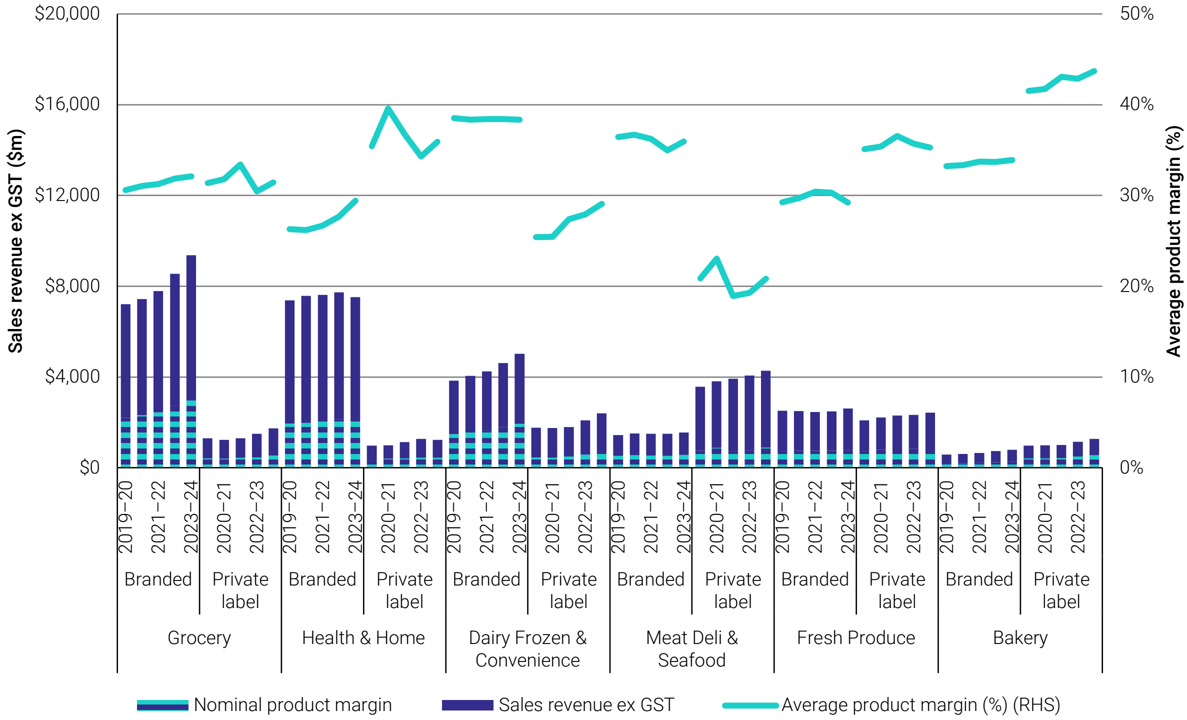
Source: ACCC analysis; Information provided to the ACCC.

Our analysis of product margins and sales revenues for all products indicates that average product margins for branded packaged grocery products at Coles and Woolworths, as represented by the Grocery and Health & Home Business Units at Coles and the Grocery Food and Everyday Needs Departments at Woolworths, have been increasing in the last 5 financial years. These are among the highest revenue Business Units and Departments at Coles and Woolworths (respectively). In contrast, average product margins on private label products, fresh produce, meat, seafood and bakery products are – in general – approximately the same as 5 financial years ago.

The following 2 charts, figure 1.4 and figure 1.5, show Coles' and Woolworths' sales revenue and average product margins split by their Business Units and Departments respectively, and separated by branded or private label.

Figure 1.4: Over the last 5 financial years, Coles' average product margin has increased for its highest revenue products – branded packaged goods

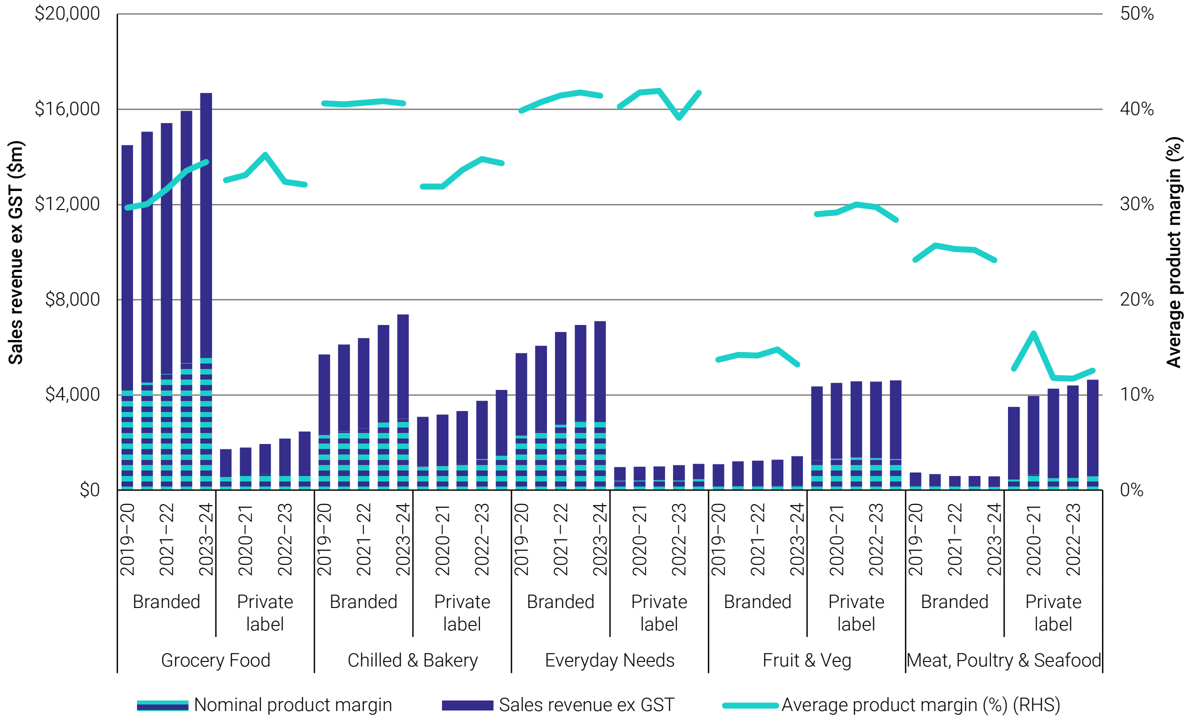
Coles' sales revenue (excluding GST), nominal product margin ($), and average product margin (expressed as a % of sales revenue) of branded and private label products by Business Unit



Note: For the purposes of this analysis, pseudo branded products are considered private label products.
Source: ACCC analysis; Information provided to the ACCC.

Figure 1.5: Over the last 5 financial years, Woolworths' average product margin has increased for its highest revenue products – branded packaged goods

Woolworths' sales revenue (excluding GST), nominal product margin ($), and average product margin (expressed as a % of sales revenue) of branded and private label products by Department



Note: For the purposes of this analysis, pseudo branded products are considered private label products.
Source: ACCC analysis; Information provided to the ACCC.

In analysing supply chains and competitive dynamics in the supermarket industry, we focused on a selection of case study product categories. This included looking at how supermarkets dealt with suppliers of the following packaged grocery products: biscuits, cereals, dog food and dishwashing tablets. We considered particularly negotiations related to wholesale price increases. Our review of information and documents obtained indicated that – beyond the wholesale price itself – key aspects of wholesale price increase negotiations are often: the amount of trade spend (that is, payments a supplier might make to the supermarket such as contributions to promotions) and the retail margin (the difference between the recommended retail price and the wholesale price).

The retail margin and some forms of trade spend (principally supplier funding for promotions) contribute to the product margin. Our analysis indicates that supplier funding is increasing and significantly contributes to Coles' and Woolworths' margins.

In relation to retail margins, material we obtained indicates that Coles and Woolworths sometimes accept wholesale price increases for packaged grocery products only if the retail margin is maintained or increased in percentage terms. This may be achieved if the supplier has set a new recommended retail price that will achieve this margin, or through an increase in promotional spend or other payments made by the supplier.

Coles' and Woolworths' apparent ability to increase retail margins for packaged grocery products by more than is necessary to accommodate a wholesale price increase indicates they have – and sometimes exercise – a level of market power in retail markets.

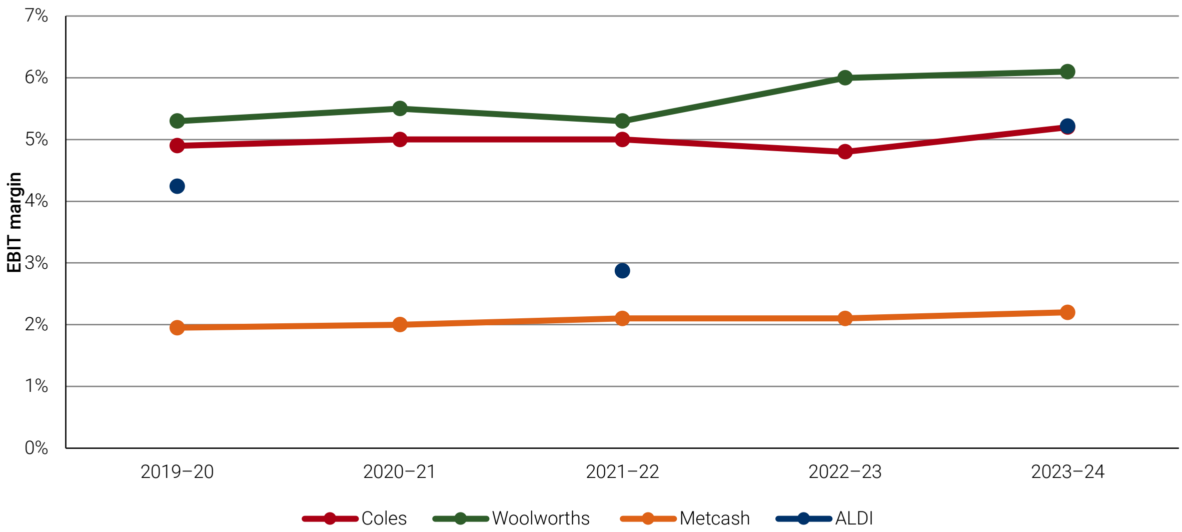
EBIT margins

At the same time as ALDI's, Coles' and Woolworths' weighted average product margins have been increasing, they and Metcash (and, in turn, the independent stores it supplies) have faced increasing costs (both the cost of goods sold and other operating costs). In large part the price increases at ALDI, Coles, Metcash banner stores and Woolworths result from these higher costs. We understand Coles and Woolworths have implemented cost saving initiatives that may have offset the higher costs to some extent.[1]

Over this time, ALDI, Coles and Woolworths have also increased their EBIT margins (calculated by dividing EBIT by revenue), albeit that they have not increased every year. ALDI's EBIT margins have been more variable than Coles' and Woolworths'. Metcash's much lower EBIT margins are likely reflective of the different nature of its business, being primarily wholesale supply.

Figure 1.6: Supermarket EBIT margins suggest supermarkets were consistently profitable

Reported EBIT margins of ALDI, Coles, Metcash and Woolworths, 2019–20 to 2023–24



Note: Coles submits that financial year 2023–24 is a 53-week year for its accounting purposes and the 52 week-equivalent EBIT margin for that year would be 5.04% (as opposed to 5.20% as displayed in this figure). We note that financial year 2023–24 is also a 53-week year for Woolworths but not Metcash.

Source: Information provided to the ACCC; Coles, Metcash and Woolworths annual reports, 2019–20 to 2023–24.

Stable or increasing EBIT margins over this period suggest that – even if ALDI, Coles and Woolworths have acted to moderate cost growth – they have not passed on to consumers the full benefit of savings from those initiatives. Increasing product margins appear to have contributed to the increasing EBIT margins.

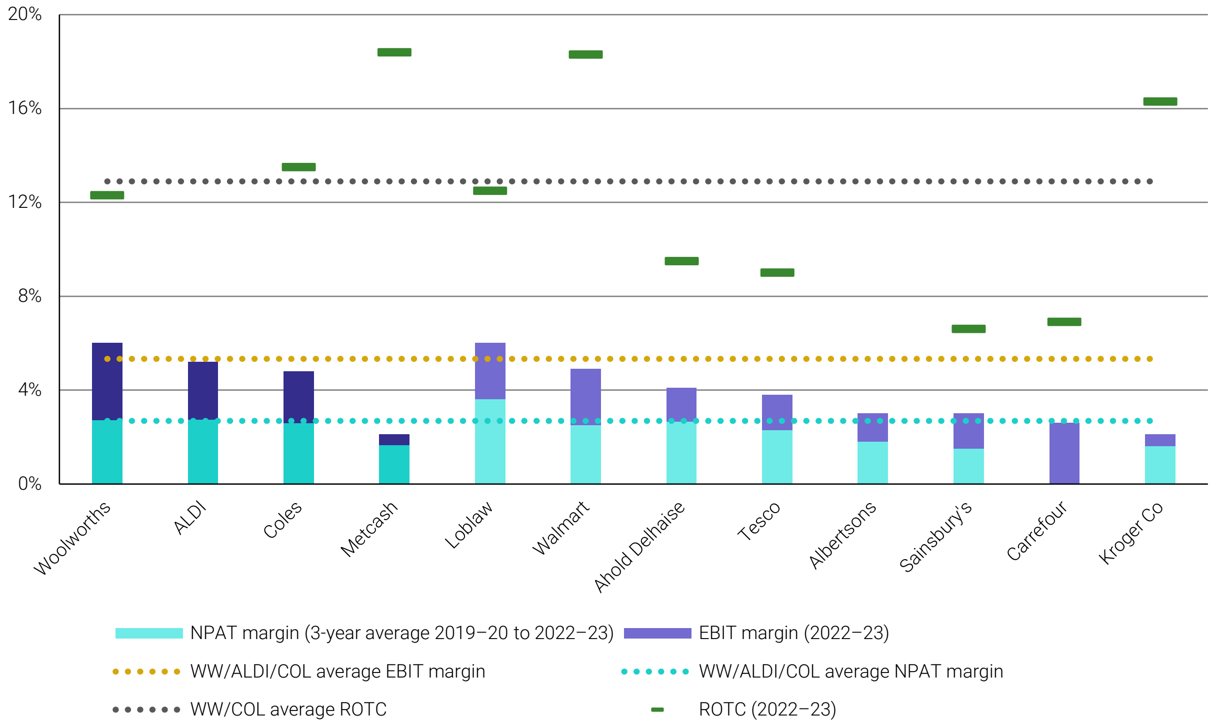
1 Woolworths, Supplementary submission to Interim Report, published January 2025, p 37; Coles, Submission to the Inquiry Interim Report, published November 2024, p 5.

Profitability

ALDI's, Coles' and Woolworths' EBIT margins are among the highest of supermarket businesses in relevant comparator countries. Similarly, their NPAT margins (calculated by dividing NPAT by revenue) and – in the case of Coles and Woolworths – return on total capital (ROTC) are towards the higher end compared to these supermarket businesses.

Figure 1.7: Australian supermarkets appear profitable by comparison to their international peers

Profitability of ALDI, Coles, Metcash and Woolworths relative to international peers, on EBIT margins (2022–23), NPAT margins (3-year average: 2019–20 to 2022–23) and ROTC (2022–23)



Note: ALDI's EBIT margin is for 2023–24; NPAT margins are calculated using a 3-year average NPAT margin depending on retailer reporting availability. ALDI's NPAT margin is a 3-year average between the 2019–20 and 2022–23 financial years, excluding 2020–21. We did not obtain NPAT data for Carrefour or ROTC data for ALDI and Albertsons.

No single profitability measure is definitively the most relevant for comparing supermarket profitability internationally. However considering their profitability across all 3 measures compared to peers in other countries, ALDI, Coles and Woolworths appear to be among the most profitable supermarket businesses globally.

Competition in the retail supply of groceries

The supermarket industry is highly concentrated at the national level and in most local markets. Competition takes place at the local level, particularly on non-price factors, with convenience being a major factor in consumers' choice of where to shop for groceries. However supermarket chains also compete with each other across broader geographic areas, with price competition generally taking place on a national or state-wide basis.

Supermarkets account for approximately 85% of consumer expenditure on groceries, and Coles and Woolworths hold two-thirds of supermarket grocery sales nationally. Coles and Woolworths have important rivals that provide valuable competitive alternatives on key dimensions of competition including price, range and convenience. However, these rivals are not close competitors. Coles' and Woolworths' market shares are increasing and they face no rivals of comparable scope and scale. In an oligopolistic market structure such as this, they have little incentive to beat each other on price.

ALDI entered the market in 2001 and has had a significant impact. It is a "hard discounter" meaning that it operates a low-cost business model that enables it to offer groceries at a materially lower price than Coles and Woolworths. It has been successful in implementing its business model and is the only rival to Coles and Woolworths to have gained a material national market share in recent years, although it has taken more than 20 years to reach this position.

ALDI provides a valuable option for price-conscious consumers, particularly at a time when they are facing cost of living pressures. However, under its low-cost business model, ALDI stores are only located in larger population centres, and it offers a narrower range of products, most being its own brands. In addition, as explained above, ALDI's product and EBIT margins have been increasing in recent years, suggesting that in the current oligopolistic market structure it may have little incentive to price any further below Coles and Woolworths.

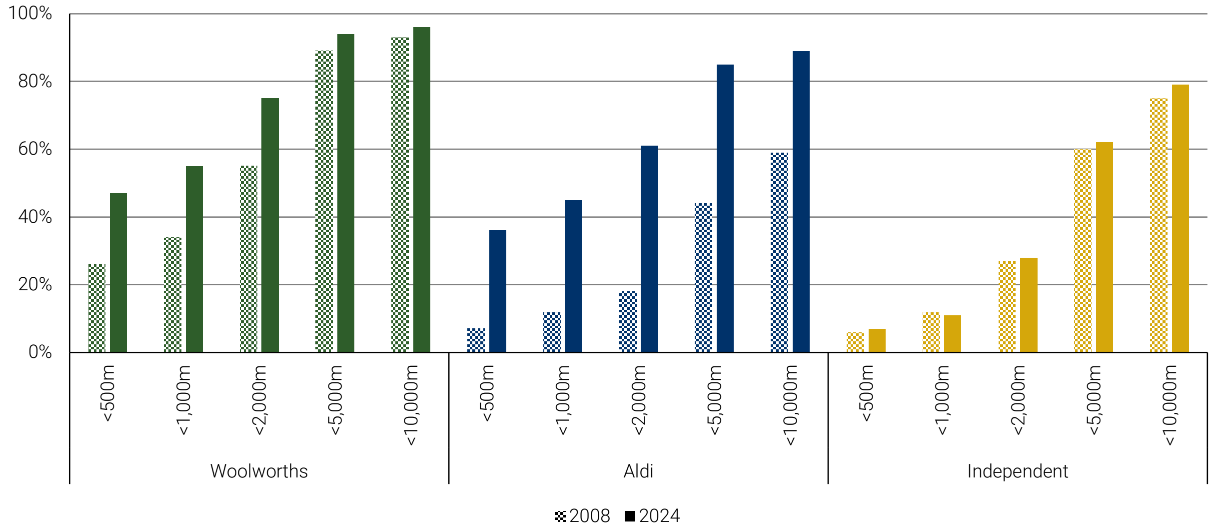
Independent supermarkets – that is, supermarkets not operated by Coles, Woolworths or ALDI – provide some degree of competitive constraint on Coles and Woolworths in many local markets. Since they operate on a more localised basis, independent supermarkets are better able to tailor their range and offering to local preferences. This non-price competition that can be offered by independent supermarkets is an important form of competition. However, except for some promotions and specials, independent supermarkets generally price higher than ALDI, Coles and Woolworths.

Independent supermarkets perform a particularly vital function in outer regional and remote Australia, where ALDI, Coles and Woolworths are not present or have only a limited presence.

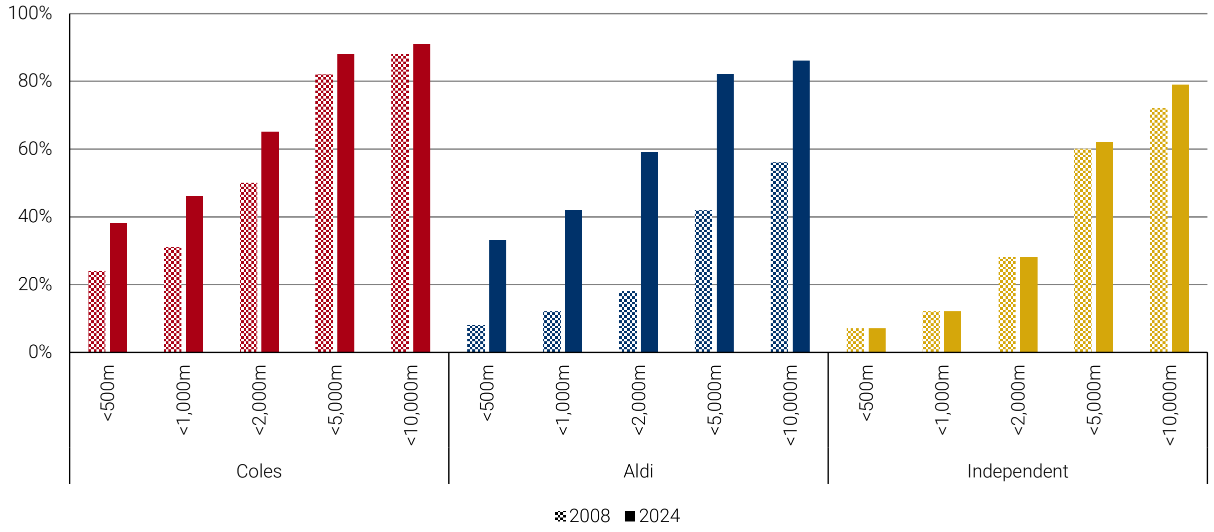
ALDI's, Coles' and Woolworths' store networks have grown since 2008, leading to greater geographic overlap between their stores. The increased prevalence of ALDI stores has likely increased the competitive pressure it places on Coles' and Woolworths' networks as a whole. The overlap between independent stores and Coles' and Woolworths' networks has been relatively stable over this period.

Figure 1.8: Store network overlap between Coles, Woolworths and competitors has increased since 2008

Percentage of Coles stores with a competitor within a given distance



Percentage of Woolworths stores with a competitor within a given distance



Source: ACCC analysis of GapMaps data, 2008 Grocery Inquiry data.

There is a range of other retailers in Australia that supply groceries, such as specialty retailers (for example butchers and greengrocers), category specialists (for example Chemist Warehouse), subscription warehouses (Costco is currently the only example), online marketplaces (for example Amazon), delivery and meal-kit services, and convenience stores and newsagencies. While consumers may purchase some of their groceries from these retailers, none provide the convenience of being able to complete all (or the vast majority) of their grocery shopping in one visit. They therefore do not impose a close competitive constraint on supermarkets.

Shopping missions and the role of non-supermarket grocery retailers

Grocery shopping can be categorised into various types of “shopping mission”. Based on our consumer survey, most consumers do a “main shop” for their groceries, meaning they purchase most or all of their groceries in one visit to a grocery retailer, typically weekly or fortnightly. 50% of respondents to our consumer survey reported doing one large weekly shop plus a few smaller top-up shops; 18% reported doing only one large shop for the week (and nothing else); and 5% reported buying in bulk fortnightly or monthly. Only supermarkets provide the range of groceries typically needed to complete a main shop in one trip.

Consumers can “unbundle” their main shop, meaning that they visit multiple grocery retailers for this shopping mission. If consumers unbundle their main shop, they do not need to rely on a single supermarket for their main shop.

Other types of shopping mission include “top up shops” and “food for tonight shops”. Supermarkets are able to meet the needs of these other types of shopping mission. Depending on the groceries that are needed, non-supermarket retailers may also be an option for these shopping missions.

The expression “cross-shopping” describes consumers purchasing groceries from multiple retailers in a given period of time. This can be a result of consumers unbundling their main shop or can reflect that consumers undertake different shopping missions. There is a trend towards more cross-shopping and therefore the potential for greater competitive rivalry between supermarkets and between supermarket and non-supermarket retailers. Indeed ALDI, which has a more limited range than Coles and Woolworths, largely relies on its customers to engage in cross-shopping, as reflected in its “shop ALDI first” campaign.

However, the value consumers place on convenience is a key factor which limits the extent of unbundling of main shops and the competitive constraint provided by non-supermarket retailers. In the ACCC’s consumer survey, convenience was the most important factor in consumers choosing to shop at Coles and Woolworths. Unbundling a main shop inherently involves a reduction in convenience as a consumer needs to visit (or order online from) multiple grocery retailers to complete their shop. The time and effort required to compare prices is likely to further reduce the incentive for consumers to shop around.

Consistently with this continuing importance of convenience and therefore the “main shop” shopping mission, a Coles document from 2023 identified “big baskets” as accounting for the most significant portion of Coles’ food retail revenue (compared to “small baskets” and “medium baskets”). An ALDI document from the same year noted that the “large shop” was the most common shopping mission and accounted for the most significant portion of ALDI’s supermarket sales. As a consequence, main shops remain a competitive focus for supermarket chains while also limiting the closeness of competition from non-supermarket retailers.

Barriers to entry and expansion

Competitively-effective entry or expansion by a supermarket chain requires: building a supplier network; economies of scale at the wholesale level; capital; and access to suitable retail sites.

Small-scale local entry and expansion is more achievable and delivers benefits to those in the local market, but is less likely to deliver significant price competition to incumbent chains than large-scale new entry of a supermarket chain. Achieving large-scale new entry is not likely in the short to medium-term, as demonstrated by the time taken (more than 20 years) for ALDI to achieve its current market position.

Availability of suitable retail sites is limited by planning and zoning laws, which restrict overall supply and can lead to delays that deter entry or expansion.

Coles and Woolworths have advantages in securing suitable retail sites due to their significant size, reputation and financial resources. As a consequence, their rivals find securing retail sites challenging in competition with Coles and Woolworths.

Coles and Woolworths frequently purchase and hold land for future development. This has formed the basis for allegations they are engaging in “land banking”. Coles and Woolworths currently hold more than 150 undeveloped and unused sites intended for future supermarket use. There are a number of reasons that a supermarket chain may hold a site for a lengthy period without developing it. Determining whether an acquisition of a retail site is anticompetitive is a complex assessment requiring detailed analysis on a case by case basis which was outside the scope of this inquiry. For example, it would depend on the distance to the nearest rival supermarkets, the nature of consumer demand in the area, the rate of population growth, and the availability of alternative sites nearby. However, these concerns highlight the importance of enhancing the ACCC’s ability to scrutinise acquisitions by Coles and Woolworths. Since 2019, Coles and Woolworths have acquired approximately 260 sites between them (including existing stores, land and shopping centres), of which the ACCC was notified of 14, sometimes by third parties.

The need to build a supplier network is a less significant barrier to entry or expansion for a supermarket chain. Access to sufficient capital is unlikely to be a significant barrier to entry or expansion because the most likely entrants are large well-established international supermarket retailers.

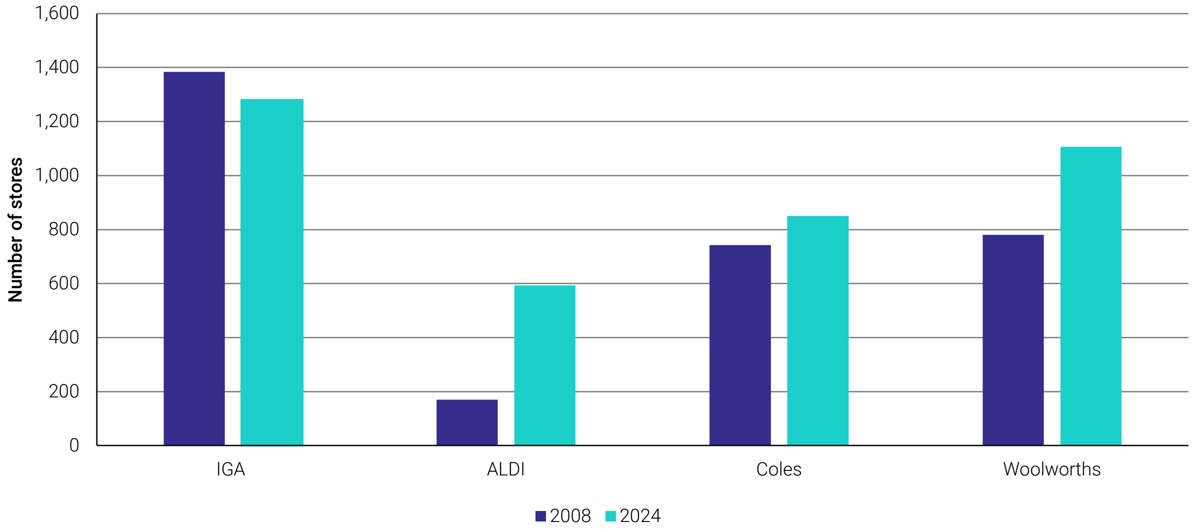
Future competitive significance of ALDI and independent stores

ALDI has no current plans to expand its network materially from its current footprint. Unless that changes, this means that any additional competitive impact will depend on attracting new customers to its existing stores. As shown by figure 1.11 below, ALDI currently has a minimal presence in outer regional and remote areas. It has no presence in the Northern Territory, Tasmania or far-north Queensland. It also does not currently provide online shopping and delivery due to its low-cost business model, and does not have any current plans to do so, although may reconsider this in future.

The IGA network is the largest grouping of independent supermarkets. It has decreased in number and size of stores since the ACCC’s last inquiry into the grocery sector, in 2008.

Figure 1.9: ALDI, Coles and Woolworths have grown their store networks since 2008 while IGA has contracted

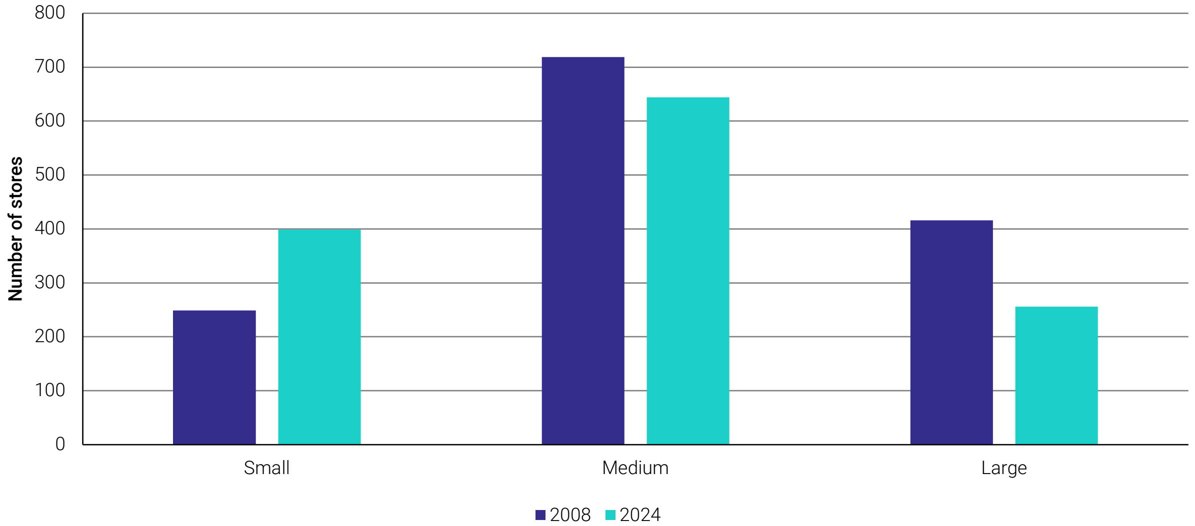
Supermarket store networks, 2008 and 2024



Source: Metcash submission to the Grocery Inquiry (2008), Metcash 2024 annual report; Woolworths submission to the Inquiry.

Figure 1.10: IGA has increased its number of small stores, but decreased its number of medium and large stores

IGA network store size, 2008 and 2024



Note: Metcash categorises stores as small, medium or large based on retail floor space and SKU count.
Source: Metcash submission to the Inquiry (2024 and 2008).

Metcash is the principal wholesale supplier to independent supermarkets and we use its sales as a representative proxy for independent supermarket sales. The share of national grocery sales for which Metcash is the wholesaler supplier has declined. This decline in Metcash's share of sales reflects a decline in the competitive significance of independent supermarkets nationally. Since the IGA network is Metcash's largest customer, accounting for most of its revenue, we consider the changes to the size and make-up of the IGA network are likely contributors to this decline.

In addition, as shown in figure 1.11 below, IGA stores skew more heavily to regional and remote locations. Supermarkets in regional and remote areas have a higher cost to serve, increasing Metcash's costs.

Figure 1.11: IGA stores skew more heavily towards regional and remote locations

Store locations by supermarket

	ALDI	Coles	IGA	Woolworths
Major cities	78% (466)	74% (627)	52% (696)	70% (780)
Inner regional	18% (107)	18% (152)	25% (328)	19% (213)
Outer regional	4% (21)	8% (65)	17% (224)	10% (107)
Remote	-	0.7% (6)	4% (59)	0.9% (10)
Very remote	-	0.2% (2)	2% (28)	0.4% (5)

Note: In parentheses: Number of stores. Figure 1.11 uses different data to figure 1.9 above which leads to different total store numbers for the IGA network. Most significantly, Tasmanian Independent Retailers (TIR) operates IGA stores in Tasmania. TIR stores are included in the GapMaps data contained in figure 1.11 but are not accounted for in the IGA store totals in figure 1.9 above.

Source: ACCC analysis; GapMaps data.

Regional and remote Australia

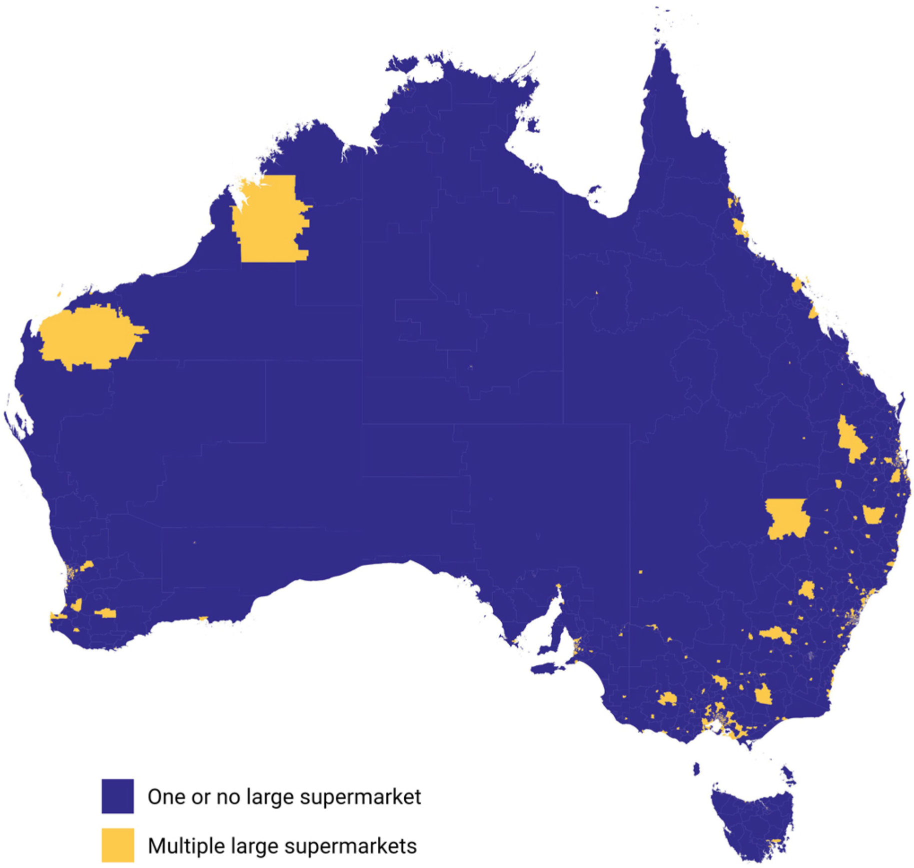
Consumers in some regional areas may have access to an ALDI, Coles or a Woolworths, and may therefore benefit from their national or state-wide pricing policies. Similarly, consumers in a few remote areas may have access to a Coles or a Woolworths (but not an ALDI). However, prices for some products at Coles' and Woolworths' stores in remote areas are higher because they take into account higher freight costs. However, where there is no ALDI, Coles or Woolworths present, consumers do not benefit from national or state-wide pricing – even as a base to which freight costs are added.

Applying the ABS categorisation of locations as Significant Urban Areas if they are urban centres with a population of at least 10,000, approximately three-quarters of Coles remote or very remote stores and approximately half of Woolworths remote or very remote stores are in Significant Urban Areas. In contrast, less than 15% of IGA remote or very remote stores are in Significant Urban Areas, meaning their presence is skewed more towards smaller population centres. Less than 5% of other independent stores in remote or very remote areas are in Significant Urban Areas.

Consumers in remote Australia often have no choice of supermarket. A majority (56%) of respondents to the ACCC consumer survey who live in remote areas cited the reason for their choice of main grocery stores is there is 'no other option'. Areas of Australia with one or no large supermarket (being a supermarket with greater than 1500 m^2 floor space) are mapped in figure 1.12 below. While much of the Australian population lives in urban areas which are well served by large supermarkets, many Australians live in the regional and remote areas with one or no large supermarket.

Figure 1.12: Consumers in remote Australia often have no choice of supermarket

National map of limited choice areas (with one or no supermarkets >1500m²)



Note: Areas are Statistical Areas Level 2, as compiled by the ABS. They are medium-sized general purpose areas designed to represent communities that interact together socially and economically. This leads to notable differences in presentation between some areas on the map. For example, while Derby and Alice Springs are both remote communities, the ABS statistical area which includes Derby reflects the broader region around Derby, whereas Alice Springs has multiple smaller statistical areas, one of which has multiple large supermarkets.

Source: ACCC analysis; GapMaps data.

Grocery prices may be significantly higher in remote locations. This is likely primarily a result of the higher cost to serve remote areas. This has been a longstanding issue and contributes to issues of food insecurity in remote communities. A lack of local competition is also likely to affect prices and result in reduced range, store amenity, opening hours and service quality compared to more competitive local markets. We understand that some stores in remote locations also do not provide price labels. Given the generally low population size and higher cost to serve remote areas, entry by new supermarkets is less likely than in more populated areas.

In remote areas where choice is limited, community-owned stores (which may be run as co-operatives) are reported to offer better prices and quality than privately owned supermarkets. As such, supporting existing – and new – community-owned stores in remote areas that would otherwise be unserved or underserved may be an effective way to address some of the issues that result from lack of competition in those areas.

Outlook for competition in retail supply of groceries

While ALDI has no plans to expand its footprint materially and the IGA network – Metcash's largest customer – is decreasing in number and size of stores, Coles and Woolworths continue to increase the volumes of groceries they supply to consumers, often resulting in greater efficiencies and increased access to capital facilitating further investment and expansion.

The market's barriers to entry and expansion and advantages held by Coles and Woolworths mean that the fundamental dynamics of competition in this sector and associated outcomes appear set to continue for the foreseeable future.

This means continued market share growth by Coles and Woolworths, some continued diversion of price-conscious consumers to ALDI, and a limited role for non-supermarket retailers in the overall sector to the extent that consumers are happy to "cross shop".

If the market shares and associated market power of Coles and Woolworths continue to increase in the future, their margins as a percentage of grocery prices can also be expected to continue to grow.

Recommendations

In light of the above issues raised in the inquiry, we have recommended:

- Supermarkets should be required to publish clear and accurate pricing information that is available conveniently to consumers.
- Governments of all levels should adopt the Productivity Commission's 2021 recommendations to simplify, streamline and harmonise planning and zoning.
- Governments of all levels should consider support for community-owned supermarkets in limited choice areas (particularly remote areas).

We support the Australian Government's reforms to Australia's merger laws, as well as further notification requirements for supermarkets as announced by the Government.

In addition, we support recommendations designed to improve grocery price transparency in remote locations and improve complaints handling mechanisms; and we recommend funding for monitoring compliance with the new transparency requirements.

Detail of these recommendations is included in the full report.

Impacts of Coles' and Woolworths' promotional and loyalty programs

Coles and Woolworths operate significant and sophisticated promotional and loyalty programs that have a substantial impact on the shopping behaviour of their customers. The ACCC considers that loyalty programs are very valuable to Coles and Woolworths, providing them with a wealth of consumer and transaction data, driving sales and profitability (this may include by increasing member spend and shopping frequency), influencing some members' short and long-term shopping behaviour, and encouraging long-term loyalty. The data generated from them can also be shared within the Coles and Woolworths businesses or with third parties such as data analytics service providers (the data may be in an aggregated and de-identified form).

While there are also benefits to suppliers and customers from promotional and loyalty programs, the complexity and opacity of Coles' and Woolworths' programs can reduce their customers' ability to make informed purchasing decisions. Ultimately many consumers are left to make a judgement of whether they are getting a good deal overall based on impressions or perceptions rather than clear and useful information.

Concerns raised in the inquiry in this regard relate almost exclusively to Coles and Woolworths. ALDI has a very limited promotional program and no loyalty program. Independent supermarkets do offer promotions and some offer loyalty programs, however neither is as extensive or sophisticated as those of Coles and Woolworths.

Promotional activities

The degree of promotional activity in Australia is extensive. This is driven by Coles' and Woolworths' promotional activities: More than half of products purchased at Coles and Woolworths are on promotion (including specials, multi-buys, longer-term discounting and everyday low pricing).

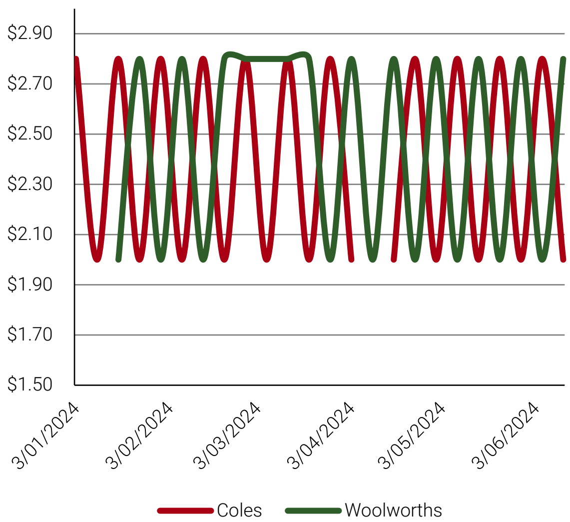
Behavioural science indicates that, rather than undertaking a detailed assessment of prices, consumers may treat promotional signage as an indication that a product is good value for money and therefore the level of promotional activity as an indication that a supermarket offers good value. This is because grocery shopping is a highly habitual behaviour that can encourage quick and automatic thinking instead of lengthy deliberation. Very few consumers have the time, energy and capacity to undertake a detailed assessment of promotions and pricing before each shop, to decide which supermarket or supermarkets to shop at (even though Coles and Woolworths publish their prices online).

The complexity and quantity of promotional practices at Coles and Woolworths make it more difficult for consumers to assess pricing, discounts and value for money, and multiple combined discounting schemes can lead to consumers making suboptimal purchasing decisions.

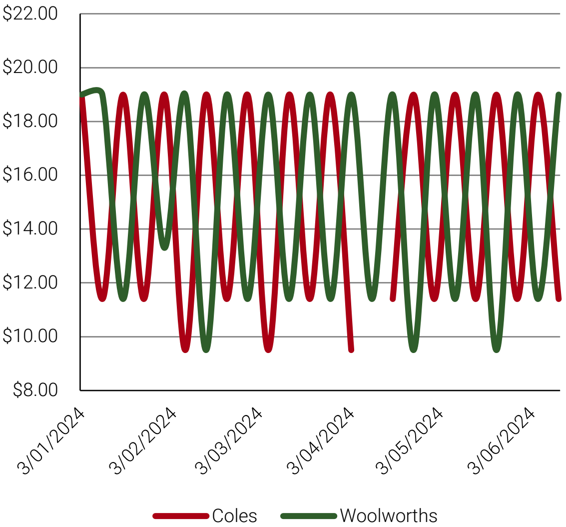
Coles, Woolworths and Metcash banner stores use a combination of everyday low pricing and high-low pricing strategies, which work in a complementary way to attract customers and drive sales. High-low pricing tends to be cyclical (that is, products come on and off periodic specials regularly). In addition, through our analysis, we have observed a phenomenon of regular cyclical specials for particular products alternating between Coles and Woolworths. Our analysis of ticketing data for a single Coles and single Woolworths store in a common location showed that, between June 2023 and June 2024, prices exhibited the opposite price change direction approximately 12% of the time between Coles and Woolworths. The charts below show 4 examples of products that exhibit alternating high-low pricing cycles.

Figure 1.13: Examples of products that exhibited alternating high-low pricing cycles

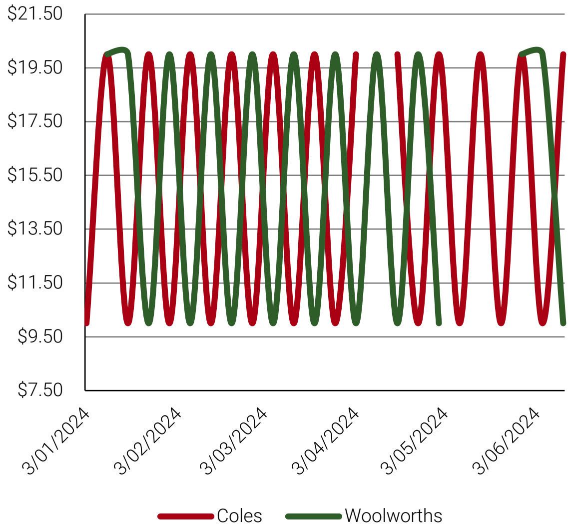
Twix Xtra Chocolate Bar – 2 pack (72gm)



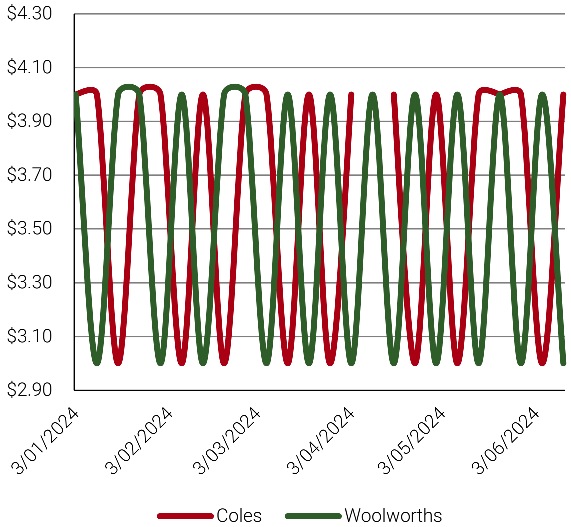
Coke Zero – Multi-pack 12x300ml



Radiant Laundry Liquid – Mixed Colour (2L)



Praise 99% Fat Free Mayonnaise (410g)



Source: ACCC analysis; Information provided to the ACCC.

Information received during the inquiry indicates that 2-price comparison representations can be particularly challenging for consumers, and we consider they are inherently risky for traders. Specific concerns have been raised (particularly in the context of high-low pricing) about what the 'real' or 'standard' price for grocery products is and, accordingly, the legitimacy of stated comparator prices.

Loyalty programs

Coles and Woolworths both offer loyalty programs in which consumers earn points for dollars spent at the supermarket. Coles' and Woolworths' use of 'points' reduces consumers' ability to accurately value the various available offers and their participation in these programs generally, with the risk that they overestimate that value. Excluding bonus points offers, members of Coles' and Woolworths' loyalty programs need to spend $2,000 to earn a $10 discount. This is equivalent to a discount of 0.5c for every $1 spent.

Even if members are aware (or broadly aware) of these conversion rates, they may not have the time or ability to make the related calculations when making purchasing decisions, and may instead rely on mental shortcuts to favour points accumulation if unsure. In many cases, a consumer may not be aware that they could obtain better value for money by purchasing a different product, shopping elsewhere or waiting until an item is on promotion.

Recommendations

In light of the above issues raised in the inquiry, we have recommended:

- Supermarkets be subject to minimum information requirements in respect of their pricing and promotional practices to improve transparency and consumer understanding, and this should be supported by specific record keeping obligations.
- Supermarkets be required to publish notifications when package size changes occur in a manner adverse to consumers.
- Measures to improve informational transparency for consumers around the value of the loyalty program points they earn and redeem.
- A dedicated review of Coles and Woolworths' loyalty program practices in 3 years' time.

In addition:

- we intend to update our Advertising and Selling Guide with more specific, principles-based guidance on 2-price comparisons
- we support the Australian Government's proposal to consult in relation to proposed changes to the Unit Pricing Code, particularly in relation to reforms designed to improve legibility and prominence and address inconsistent units of measure.

Detail of these recommendations is included in the full report.

Supply chain impacts from Coles and Woolworths' retail dominance

Coles and Woolworths' high share of grocery sales in Australia mean that they have a major impact on the supply chain for grocery products in Australia. Coles and Woolworths are a major source of demand for grocery suppliers. In some cases – but not all – grocery suppliers are dependent on Coles or Woolworths for the ongoing viability of their business.

These dynamics mean that Coles and Woolworths are often able to leverage a strong bargaining position to extract a good deal from their suppliers. This can result in lower retail prices, to the extent that lower wholesale prices are passed on consumers. The bargaining power of supermarkets can also promote a more efficient supply chain, as grocery suppliers are motivated to innovate and to streamline their operations, which is ultimately beneficial for consumers.

However when Coles and Woolworths are able to exercise monopsony power over their suppliers, this can suppress supplier prices and production to inefficient levels. Whether Coles and Woolworths are able to, and do, exercise monopsony power over their suppliers varies between product categories and between suppliers within product categories. Grocery supply chains are complex and vary substantially between products, so it is often not possible to reach general conclusions about supply chain dynamics and the issues that arise.

Factors such as Coles and Woolworths purchasing a large share of production of the relevant product and high perishability of the product tend to enhance Coles' and Woolworths' buyer power and can give them monopsony power in dealing with those suppliers. This is most commonly the case for fresh produce suppliers.

Concerns that ALDI or Metcash, or any other supermarkets, have monopsony power or are exercising it to the detriment of suppliers have not arisen to any material extent. Indeed, this inquiry has heard that ALDI engages far more constructively with fresh produce suppliers than Coles and Woolworths, even though it uses a similar weekly tendering process that has raised concerns for suppliers to Coles and Woolworths. While there are differences in ALDI's business model, there do not appear to be insurmountable barriers to Coles and Woolworths engaging with fresh produce suppliers on a more constructive and mutually beneficial basis.

Exercise of monopsony power in relation to fresh produce suppliers

In the 1990s, Coles and Woolworths started bypassing the central markets, to acquire fresh produce directly from suppliers.[2] This approach was beneficial for suppliers because Coles and Woolworths committed to acquiring set volumes from suppliers at set prices.[3]

However, Coles' and Woolworths' approach to acquiring fresh produce has changed substantially since the 1990s. While some fresh produce suppliers continue to receive seasonal volume and price commitments, for many suppliers Coles and Woolworths now use a weekly tendering process that gives insufficient certainty of price or volume. Coles and Woolworths are able to use this and other tools and requirements to exercise their monopsony power, which could take the form of extracting wholesale prices from fresh produce suppliers that are below efficient levels, imposing risk on them that Coles and Woolworths are better placed to manage, or imposing costs on them for activities that benefit Coles and Woolworths.

Substantial information asymmetry between fresh produce suppliers and Coles or Woolworths when participating in the weekly tendering process contributes to their exercise of monopsony power over fresh produce suppliers. For example, while supermarkets have full visibility over all suppliers' bids, suppliers are only aware of their own. Concerns have been raised that in weekly price negotiations, supermarkets will often refer to a "market price" or "lower" price being offered by another supplier, in circumstances where suppliers have no way to verify that, or to understand the context of that market or lower price and whether it is a fair comparison (e.g. whether it relates to a comparable volume of produce, whether the quality of that produce is comparable, or whether it reflects a temporary excess of produce that a rival supplier needs to clear).

Coles and Woolworths are also better placed than their fresh produce suppliers to judge broader trends in supply and demand for their produce, and the likely demand for a particular supplier's produce. For suppliers without a binding seasonal volume and price commitment from Coles or Woolworths, Coles and Woolworths provide forecasts of their likely demand for their produce. They assess these suppliers on their performance against these forecasts, typically at the end of the growing season, and suppliers risk their trading relationship with Coles or Woolworths if they do not supply the volumes forecast. Conversely, Coles and Woolworths have no obligation to acquire any produce from these suppliers and do not commit to purchase prices.

Coles' and Woolworths' exercise of monopsony power and preservation of their information advantage over fresh produce suppliers have as a key consequence that many fresh produce suppliers are less able to make informed decisions about whether or how to invest in their business, including making a decision whether it is feasible to continue their business or preferable to exit.

2 Alfred E Chave, Submission to the Inquiry Issues Paper, published May 2024, pp 4–5.

3 Alfred E Chave, Submission to the Inquiry Issues Paper, published May 2024, pp 4–5.

This has significant long-term consequences for the efficiency and sustainability of Australia's fresh produce sector.

Trading terms, business practices and organisational structure and incentives

Coles' and Woolworths' trading terms, business practices and organisational structure and incentives have evolved over a long period during which they have held a strong bargaining position – and sometimes monopsony power – in relation to many suppliers. They now sustain and enable the routine exercise of that strong bargaining position or monopsony power without necessarily requiring the conscious participation of Coles' and Woolworths' representatives.

Trading terms

Coles and Woolworths representatives often do not engage with suppliers – particularly fresh produce suppliers – meaningfully in relation to trading terms, which detail the multiple charges and rebates that suppliers will pay to retailers for a range of different elements of their supply agreement. The overall terms of agreement and actual amounts paid by Coles and Woolworths to suppliers and vice versa are determined by a range of documents and processes. Many rebates paid by suppliers to Coles and Woolworths are opaque, complex and not well understood by many suppliers or by some Coles and Woolworths executives, despite their financial implications for suppliers. Rebates set at the outset of the commercial relationship are not ordinarily revisited and rather continue without review of their ongoing appropriateness or reasonableness.

The compartmentalisation of responsibilities within Coles' and Woolworths' organisational structure, as described further below, contributes significantly to this lack of ability for suppliers to negotiate or engage meaningfully in relation to trading terms.

Business practices

Coles and Woolworths engage in a range of business practices that may have a legitimate objective but leverage or reinforce their buyer power (bargaining power or monopsony power) and risk undermining the efficiency of some markets.

For example in relation to packaged goods, Coles and Woolworths closely scrutinise wholesale price increase requests. This is a prudent and legitimate business activity, however the ability for a supermarket to unilaterally accept or reject a cost price increase from a supplier increases the supermarket's bargaining power relative to suppliers during these negotiations. Consideration of cost prices increases, and ultimately whether they are accepted in full or in part, often involve consideration of whether Coles, Woolworths, and to a lesser extent ALDI and Metcash, will be able to maintain or increase margins. This can often be achieved by extracting additional promotional funding and other trade spend, to maintain or increase their product margin as their cost of goods increases. Coles and Woolworths may also not approve a wholesale price increase swiftly, in an exercise of monopsony power, impeding suppliers' ability to recoup their increased costs in the meantime.

Coles and Woolworths also offer suppliers services which suppliers sometimes feel compelled to use. For example, Coles and Woolworths operate inhouse media businesses that include their own branded magazines, digital screen, online advertising and instore radio. Although the advertising and publicity benefits suppliers that use these media businesses, some suppliers have told the ACCC they often use them primarily for other reasons, such as to preserve their commercial relationship with the supermarket, to avoid a supermarket ceasing to stock their products, or to have a wholesale price increase accepted.

Organisational structure and incentives

There appears to be a lack of overall understanding of or accountability for supplier relationships within Coles and Woolworths, with multiple people being responsible for different aspects of the trading relationship. Employees of Coles and Woolworths interact with suppliers in their respective capacities without necessarily having a deep understanding of Coles' and Woolworths' interactions with those suppliers beyond their own. Senior managers at Coles and Woolworths appear to have varying levels of knowledge and understanding of how rebates work.

Further, Coles and Woolworths employees' financial incentives include short-term financial objectives including profit, which could be at the expense of the long-term interests of Coles' and Woolworths' relationships with suppliers. Group incentives are primarily structured around earnings, sales and customer facing objectives. Category managers' individual incentives may include a "supplier satisfaction" component but objectives can also consider business performance and customer satisfaction. Ultimately, it is at the discretion of the supermarket as to the weight it places on each of the individual performance objective and therefore how it rewards the behaviours of its category managers.

Recommendations

In light of the above issues raised in the inquiry, we have recommended:

- Supermarkets be required to provide fresh produce suppliers with more detailed information about the basis for seasonal forecasts and additional information that would allow suppliers to assess the accuracy of forecasts.
- A range of reforms to fresh produce tender processes to improve transparency, equip suppliers with information that will allow them to make better informed production decisions and limit supermarkets' ability to push their operating risks onto suppliers.
- Enhancements to the effectiveness of the Food and Grocery Code and Horticulture Code.
- Harmonisation of supplier accreditation standards and processes.
- Annual accounting for rebates suppliers pay to supermarkets and – in the case of Coles and Woolworths – for retail media spends by their suppliers.

Detail of these recommendations is included in the full report.

Recommendations

The ACCC considers that a range of potential legislative and policy reforms and other actions are needed to collectively address aspects of markets that are not working well, improve the conditions for competition in the supply of groceries to deliver better outcomes for consumers.

This report makes 20 recommendations to:

- bolster competition over the medium to longer-term where it is possible to do so and address aspects of the market where competition is unlikely to emerge
- support consumers to make informed decisions
- enhance the efficiency of grocery supply chains.

The recommendations are summarised below, with the full details included in each chapter.

Retail competition (chapter 3)

Recommendation 1

Governments should consider support for community-owned stores in limited choice areas (particularly remote areas) with appropriate governance measures (page 89)

We recommend governments of all levels should consider ways to support community-owned and community-run stores in limited choice areas (particularly very remote areas), to benefit consumers in places where competition is limited due to geographic factors. Beneficiaries of government support should, at minimum, be appropriately structured in line with relevant State and Territory legislation, and with appropriate governance.

Recommendation 2

Supermarkets should be required to publish pricing information (page 114)

We recommend the Australian Government require:

1. all supermarkets (including small rural stores and remote community stores) to publish prices on all products in-store
2. large (i.e. ALDI) and very large supermarket chains (i.e. Coles and Woolworths) (by turnover) to publish prices in-store and online via their websites
3. very large supermarket chains (by turnover) to make application programming interfaces available which provide dynamic price information for third parties.

We also recommend governments provide support and funding to state and territory fair trading bodies to monitor compliance with the first requirement listed above. We consider monitoring is particularly important for this requirement as consumers may be reluctant to complain where they have no other choice of grocery store.

Recommendation 3

Governments should adopt measures to address planning and zoning issues (page 171)

We recommend all levels of government adopt measures to simplify, streamline and harmonise planning and zoning laws across jurisdictions, to the extent possible. Doing so would reduce barriers to entry and expansion for all competitors.

Consumer experience and outcomes (chapter 4)

Recommendation 4

Supermarkets should be subject to minimum information requirements for discount price promotions, supported by record keeping obligations (page 200)

These minimum information requirements would apply specifically to supermarkets and require them to provide certain information in close proximity to the product (such as the pricing or promotional ticket) both in-store and online. This could include information such as the percentage or total discount being applied, the price on which the discount was calculated and the date range over which that previous price applied.

Supermarkets should also be required to maintain certain pricing, promotional ticketing and sales information which would be made available to the ACCC upon request. This measure would ensure that the ACCC has access to complete and reliable information, including the ability to assess the genuineness of a discount, when performing its investigative and enforcement role in relation to supermarket pricing and promotional practices.

Recommendation 5

We support the Australian Government's proposal to consult in relation to proposed changes to the Unit Pricing Code (page 210)

This is particularly in relation to reforms designed to improve readability and address inconsistent units of measure, both within stores and between competing retailers. In the event the government's consultation does not proceed as planned, we recommend that the next review of the Unit Pricing Code be brought forward.

Recommendation 6

Supermarkets should be required to publish notifications when package size changes occur in a manner adverse to consumers (page 215)

This information would, at a minimum, be required to be published in proximity to the product ticket on shelves, and on website product pages. It would also need to be published for a sufficient period to enable consumers to become aware of the unit price change.

Recommendation 7

Coles and Woolworths should be required to provide members with periodic loyalty program information disclosure summaries (page 244)

These summaries should outline:

- the monetary value of points and other benefits earned by the member over the period
- the monetary value of points and other benefits redeemed by the member over the period
- the amount the consumer has spent over the period.

A simple, plain-English explanation of how the monetary value of points and other benefits was calculated should also be provided.

Recommendation 8

Coles and Woolworths' loyalty program practices should be reviewed in 3 years (page 245)

This dedicated review should:

- consider the impacts of the loyalty programs from a competition and consumer perspective
- assess whether further measures are needed, including in relation to the use of consumer data.

Recommendation 9

We recommend measures to strengthen complaints handling mechanisms in remote locations (page 267)

We support the following recommendations which have been put forward to the National Indigenous Australian Agency as part of the process of developing the National Strategy for Food Security in Remote First Nations Communities and which relate to issues considered as part of our Inquiry:

- the government mandates signage at the front of every remote store that clearly conveys where consumers can complain if they have any issues
- the government provides support and funding to the ACCC and state and territory fair trading bodies to handle complaints from consumers in remote locations.

Grocery supply chains and trading arrangements (chapters 5 and 6)

Recommendation 10

Supermarkets should not be able to negotiate out of key minimum protections in the Food and Grocery Code (page 284)

We recommend that the Food and Grocery Code should be amended to prohibit grocery retailers from being able to negotiate out of the core protections of the Code. The Code should be amended to remove all current exemptions. No exemptions should be allowed from the core protections in the Code.

Recommendation 11

Harmonisation of accreditation and auditing requirements (page 303)

ALDI, Coles, Metcash and Woolworths should consider ways to harmonise minimum supplier accreditation and auditing requirements.

Recommendation 12

ALDI, Coles and Woolworths should be required to provide fresh produce suppliers with detailed information about their supply forecasts (page 311)

This information should include:

- the basis on which forecasts that inform suppliers productions decisions are arrived at
- reports at the end of each season about how volumes forecasts compare to actual volumes purchased by the supermarket, including reasons for any substantial variation between the 2.

Further consultation should be undertaken by the ACCC about the specific details of these requirements, including the most appropriate nature and form of the information to be provided.

This should include consultation about whether ALDI, Coles and Woolworths should be required to provide minimum price and volume commitments each season to suppliers with whom they have direct supply arrangements.

Recommendation 13

ALDI, Coles and Woolworths should be required to provide fresh produce suppliers with greater transparency about the weekly tendering processes they use to negotiate price and volumes with suppliers (page 319)

Where ALDI, Coles and Woolworths make representations to fresh produce suppliers about competing bids or market prices in the course of weekly negotiations, they must establish systems which also provide those suppliers with sufficient contextual information about those bids or prices.

Further consideration and consultation with relevant stakeholders should be undertaken by the ACCC about the scope and form of this information and how these requirements will be implemented.

This should include consideration and consultation about what details of prices and volumes offered by other suppliers should be provided to suppliers to allow the supplier to understand how their initial offer compares to the range of initial offers made by other suppliers participating in the same weekly tender process.

Recommendation 14

Greater transparency about supermarkets wholesale fresh produce prices (page 319)

ALDI, Coles and Woolworths should be required to provide to an independent central body each week data about the prices they have paid fresh produce suppliers for each grade of each type of produce they acquire in each region through each weekly tender process they operate.

The central body should then be required to publish a single weighted average price paid for each grade of each type of produce acquired in each region through each weekly tender process operated separately for each of ALDI, Coles and Woolworths.

Making this information available will support broader transparency about wholesale fresh produce prices. It will also provide suppliers who supply ALDI, Coles and Woolworths directly with a similar level of understanding about wholesale prices in the trading environment in which they operate as suppliers who sell through wholesale markets currently have.

The Australian Government should determine the appropriate central body to receive, process and publish this data.

Recommendation 15

ALDI, Coles and Woolworths should not be able to unilaterally reduce wholesale fresh produce prices or volumes agreed with suppliers (page 320)

ALDI, Coles and Woolworths should not be permitted to unilaterally reduce the price or volume agreed in purchase orders confirmed through their weekly tendering processes other than in the case of a force majeure event.

Recommendation 16

Greater transparency for growers who sell fresh produce through intermediaries (page 321)

The Horticulture Code should be amended to:

- Require traders to provide substantially more detailed and timely information to growers about the sale of produce sold on their behalf, including details of who produce is sold to, the price, the date of sale, and to disclose any relationship between the trader and the buyer.
- Prohibit merchants from setting the price they pay for the purchase of the grower's horticulture produce as an amount calculated by a method or formula.

Recommendation 17

Suppliers of supermarket branded fresh produce to supermarkets should have earlier certainty about orders placed with them (page 329)

If ALDI, Coles, Metcash or Woolworths requires a supplier of fresh produce to supply produce in packaging stipulated by the supermarket then, if requested by the supplier, they must provide written confirmation of the amount of produce they will purchase, and the price at which they will purchase the produce, at least 14 days before the date on which the produce is required to be delivered by the supplier. Once written confirmation is provided by ALDI, Coles, Metcash or Woolworths (as relevant), they cannot reduce the amount of produce they are purchasing from the supplier, or the price at which they will purchase the produce, without the supplier's consent other than in the case of a force majeure event.

Recommendation 18

Suppliers should be allowed to apply their own branding to fresh produce (page 331)

Suppliers should not be prohibited from applying their own branding to the loose unprocessed fruit and vegetables sold to Coles and Woolworths.

Further consideration and consultation with relevant stakeholders should be undertaken about the form of branding that suppliers should be permitted to apply (i.e. that they should not be prohibited from applying).

Recommendation 19

There should be greater transparency about the rebates suppliers pay to supermarkets (page 349)

If requested by the supplier to do so, large supermarkets and wholesalers should provide suppliers with an itemised account of all payments and deductions off invoices at the end of each financial year. This should also include a description of the payment or deduction including the reason or the purpose for each, and how the amount is calculated.

Recommendation 20

Coles and Woolworths should be more transparent about how supplier funding contributions to their inhouse retail media services are used (page 355)

Specifically, Coles and Woolworths must provide each supplier that has provided funding to Coles 360 or Woolworths Cartology with an itemised account of how the money contributed was used if the supplier requests this information. If supplier funding was used for any purpose other than promoting a specific brand or brands of the supplier (for example, to promote a homogenous fresh produce product category), the amount of funding contributed by other suppliers to each promotion must be provided (in aggregate as a single figure).

1

Introduction

1. Introduction

This chapter provides background information about the Supermarkets Inquiry, including the scope of the inquiry and our approach to conducting it.

1.1 Scope of the inquiry

On 1 February 2024 the Treasurer directed the Australian Competition and Consumer Commission (ACCC) to inquire into markets for the supply of groceries.

The Treasurer's Direction sets out the terms of the inquiry, including that it must consider:

- the structure of the markets for the supply of groceries by suppliers, wholesalers and retailers
- price setting practices of suppliers, wholesalers and retailers
- factors affecting the price of inputs along the supply chain
- non-price aspects of competition in the markets for groceries, including the impact of loyalty programs.

Please refer to Appendix B for a copy of the Terms of Reference.

The inquiry arose due to widespread concerns from Australians regarding grocery prices amongst cost-of-living pressures, and the subsequent impact on the extent of competition between supermarkets.[4] There have also been significant technological changes in the supermarkets industry since the ACCC's 2008 Grocery Inquiry, which have impacted the competitive dynamics of supermarkets and raised consumer concerns regarding data and privacy.

The Terms of Reference direct the ACCC to provide a Final Report to the Treasurer by 28 February 2025.

4 For the purposes of the inquiry, the term 'supermarkets' refers to 'supermarket business' within the meaning of Competition and Consumer (Industry Codes–Food and Grocery) Regulation 2015 (Food and Grocery Code). The ACCC will use the term 'supermarkets' to refer to large supermarket chains (such as Woolworths, Coles and ALDI), as well as small and independent supermarkets (such as IGA, Harris Farm and Drakes).

1.2 Our approach to conducting the inquiry

Well-functioning markets are essential to the prosperity and wellbeing of the country. Competitive, informed and, when necessary, well-regulated markets lead to lower prices, better quality products and services, and more choice. This increases the prosperity and welfare of all Australians.

A useful tool for considering the matters set out in the Terms of Reference is to identify any 'market failures', where grocery markets are not working well, with a detriment for competition or consumers. Potential market failures relevant to supermarkets and grocery supply chains include:

- insufficient competition at the retail level
- insufficient competition at any wholesale levels
- information asymmetry at the retail and wholesale level
- decision-making limits, search and transaction costs of consumers.

In undertaking the inquiry, we have applied the economic principles set out in the Interim Report[5] in considering competition, fair trading and consumer concerns arising from the supply of groceries, including identifying any relevant market failures. We explain the economic principles and their application as relevant throughout this report.

Since the commencement of the inquiry, we have:

- published an Issues Paper, canvassing a broad range of topics on which we sought and received submissions
- conducted a consumer survey (the ACCC consumer survey)
- held roundtable discussions with suppliers and supplier representative groups across the country
- published an Interim Report, outlining the key issues which emerged from stakeholder submissions, the ACCC consumer survey, and supplier roundtables
- gathered information using our compulsory powers, including through private and public hearings
- engaged an independent behavioural insights research consultancy, the Behavioural Insights Team (BIT), to prepare a report on how the principles of behavioural economics apply to consumer behaviour in the grocery retail context.

1.2.1 Issues paper

On 29 February 2024 we published an Issues Paper which outlined key topics upon which the ACCC sought feedback from interested parties. These topics included:

- whether there is effective competition in the supply of groceries in Australia, and particularly between supermarkets
- market structures for the retail supply of groceries in Australia
- the key areas of competition or differentiation between supermarkets in Australia
- the practices supermarkets use to attract and retain consumers, and any changes observed over recent years (up to 10 years), including, for example, price and discounting practices or promotional cycles, and stocking particular products or brands
- how consumers respond to the supermarket market practices identified above
- the factors determining pricing for groceries, including policies and strategies for setting discounts and promotions

5 ACCC, Supermarkets Inquiry Interim Report, August 2024, pp 43–51.

- whether supermarket prices, profits and margins have increased or are in excess of those likely in a competitive market
- the role of supermarket loyalty and rewards programs and how they affect competition
- the role of data and data analytics in how supermarkets compete
- how online retailing has impacted competition between supermarkets
- the role of home brands in how supermarkets compete.

We received submissions from 90 stakeholders that comprised of a wide range of market participants. The public submissions have been published on our website.[6]

1.2.2 Consumer survey

From 29 February to 2 April 2024 we ran a survey of consumers to better understand how they engage with supermarkets. The survey was anonymous and open to all consumers over 18 years of age. We received 21,481 responses. The survey asked 48 questions which were optional, other than a requirement for respondents to indicate their age and Australian postcode. The survey obtained demographic and geographic information about respondents to allow for better understanding of how consumers' concerns or shopping behaviours may vary based on these characteristics. Most questions were in pick-list format, with a small number enabling respondents to provide a free text response.

Key findings arising from the consumer survey included:

- the importance of convenience and value for consumers main choice of shop
- the issue of affordability, particularly for low-income households and consumers in remote areas
- the significance of price comparison for consumers, particularly those with lower incomes
- the impact of pricing and promotional practices, such as shrinkflation and unit pricing, on value received
- data indicating high participation in loyalty programs.

1.2.3 Supplier roundtables

We hosted a series of roundtables with farmers and wholesalers of fresh produce and their representative bodies between May and July 2024. The roundtable discussions were held in rural and regional Australia, and online. We invited stakeholders to share their experience in the supermarket supply chains, particularly in relation to the matters set out in our Issues Paper and the Terms of Reference.

A summary of the roundtable discussions is available on our website.[7]

1.2.4 Interim Report

On 27 September 2024, we released our Interim Report outlining what we had heard from consumers, suppliers and other interested parties at the halfway point of the 12-month inquiry. The Interim Report also identified key issues and next steps for the second phase of the inquiry.

6 ACCC, Supermarkets inquiry 2024–25: Issues paper, accessed 18 February 2025.
7 ACCC, Supermarkets inquiry 2024–25: Supplier roundtables, accessed 18 February 2025.

We received submissions from 39 stakeholders, including from supermarkets, individual suppliers and supplier representative bodies, consumer groups and members of the public. Public submissions are available on our website.[8]

1.2.5 Information gathering powers

We used our compulsory information gathering powers under section 95ZK of Part VIIA of the *Competition and Consumer Act 2010* (Cth) (CCA) to obtain information and documents from key industry participants. The ACCC has issued several notices under section 95ZK requiring the provision of a significant amount of information, including data and documents.

In November 2024, we conducted live-streamed public hearings involving:

- consumer representatives from CHOICE, Indigenous Consumer Assistance Network and Combined Pensioners & Superannuants Association NSW
- supplier representatives from the Australian Food and Grocery Council, Fruit Growers Victoria and Aus Veg, as well as a grower
- senior executives of ALDI, Metcash, Woolworths and Coles.

The key topics that were discussed were as follows:

- grocery prices and cost of living, including in regional, rural and remote communities
- supermarket concentration, the nature and extent of retail competition, retail strategy, barriers to entry and land banking
- different format stores, online retailing and private label products
- the setting of retail prices, including factors considered by supermarkets and the significance of margins
- the type and range of promotions, unit pricing, and shrinkflation
- loyalty programs and member-pricing
- data use and privacy
- supplier challenges in engaging with supermarkets
- trading arrangements and supply chain issues, such as accreditation requirements, volume forecasting, rebates and other supplier contributions, price negotiations, and requirements to acquire other goods or services.

The transcripts of the public hearings are available on our website.[9]

In addition to the public hearings, we conducted private hearings with category managers and buyers from Coles, Metcash and Woolworths, and buying directors from ALDI, in October 2024, to gain a deeper understanding of the supply, pricing and promotional practices used by these businesses.

In December 2024, we conducted a further private hearing with a senior executive from Woolworths.

We may take evidence in private where:

- a witness objects to giving evidence in public on the basis that their evidence is confidential, and
- we are satisfied that the evidence is confidential and that it is desirable for the evidence to be given in private.

8 ACCC, Supermarkets inquiry 2024–25: Interim report, accessed 18 February 2025.

9 ACCC, Supermarkets inquiry 2024–25: Public hearings, accessed 18 February 2025.

1.2.6 Behavioural Insights Team Report

The ACCC commissioned a behavioural insights research consultancy, the Behavioural Insights Team (BIT), to undertake expert analysis and prepare a report on how the principles of behavioural economics apply to consumer behaviour in the grocery retail context, particularly in relation to supermarket pricing, promotional and loyalty program practices. BIT's analysis was based on primary and secondary information, including:

- a literature review
- a review of materials and consumer survey data provided by the ACCC
- interviews with experts across the fields of consumer psychology, marketing, behavioural economics, retail, and loyalty programs
- field research at 6 Australian supermarkets and a review of supermarket websites.

The ACCC has drawn on BIT's findings and analysis throughout this report to provide insight into how the supermarket environment, and specific supermarket practices, can impact consumer behaviour, including their purchasing decisions. BIT's report can be accessed at Appendix E.

1.2.7 Nature and quality of engagement by interested parties

The ACCC's information gathering for the inquiry was wide-ranging and involved input from many parties. In particular, we received considerable and valuable input from consumers and from fresh produce suppliers on the nature of their concerns and issues in the sector.

Otherwise, the ACCC's primary engagement was with ALDI, Coles, Metcash and Woolworths. We used our compulsory powers to obtain significant volumes of information and documents from these parties. We also sought to obtain information voluntarily. While we recognise the burden this imposed on these parties, we believe this burden was appropriate given the breadth and seriousness of concerns raised.

ALDI, Coles, Metcash and Woolworths responded to all requests for information. However, the quality and depth of responses and engagement with the ACCC varied, with some being more open and constructive than others.

These different approaches to engagement with the ACCC have not substantively affected our ability to undertake the analysis necessary to reach informed conclusions. However, we have had to adapt our approach accordingly and so it has affected (positively or negatively) our ability to undertake an efficient inquiry.

2

Grocery shopping in Australia

2. Grocery shopping in Australia

Key points

- Grocery prices grew by approximately 24% between March 2019 and December 2024 quarters, whereas inflation excluding groceries increased by 22% over this period.
- Relative to wages, the cost of groceries has increased significantly. Inflation in food and non-alcoholic beverages has outpaced wages growth since late 2021.
- Australian consumers buy most of their groceries at supermarkets. Our analysis of ABS data suggests supermarkets account for approximately 85% of consumer expenditure on groceries.
- The Australian supermarket industry is highly concentrated. Coles and Woolworths account for a large share of supply, together accounting for approximately 67% of Australian supermarket industry revenue. Their share is particularly large when considering supply by full-service supermarkets.
- Supermarket competition takes place within local areas, in that consumers choose where to shop based on the options available where they are. However, because of the high degree of geographic overlap between the largest supermarket chains, aspects of competition between these chains (such as pricing and ranging decisions) take place on a regional or national basis.
- Within many local areas, concentration is high, particularly in regional and remote areas. Consumers in these areas are more likely to have no choice of supermarket.
- Supermarkets use a range of pricing and promotional strategies to engage consumers. Promotional strategies used by supermarkets can generally be divided into 3 categories: everyday low pricing strategies, discount price promotions (including high-low pricing strategies) and non-price promotions.
- There are a range of loyalty programs in the supermarket sector, but Coles and Woolworths have by far the largest and most sophisticated offerings. As well as the Flybuys and Everyday Rewards programs, which have no monetary cost to join, Coles and Woolworths both now offer 2 paid subscription programs with similar features.
- Technology advancements are changing many aspects of grocery shopping. This includes by offering new methods of shopping (such as online ordering and delivery services) and by changing the in-store experience (such as through supermarket apps, 'smart' trolleys and electronic shelf labels).

This chapter provides key factual context for issues discussed further in this report and is structured as follows:

- Section 2.1 discusses the rising cost of inputs across grocery supply chains.
- Section 2.2 explains our analysis that grocery prices have inflated faster than wage growth.
- Section 2.3 discusses the market structure and concentration of grocery retailing in Australia.
- Section 2.4 outlines the range of practices used by supermarkets to engage consumers, including through promotions, loyalty programs and technology.

2.1 The cost of many inputs along grocery supply chains have risen substantially

This section outlines relevant recent changes in input costs, with rises since 2022 which have moderated more recently. Rising input costs is one key driver of supermarket prices.

2.1.1 Input costs have risen significantly

As set out in our Interim Report, inputs across supply chains increased dramatically in the wake of the COVID-19 pandemic. The pandemic and geopolitical tensions in Ukraine disrupted global supply chains and commodity markets leading to a period of price inflation in 2022 for global commodities and key domestic inputs such as fuel, energy and fertiliser.[10]

Suppliers have reported significant increases in input costs, particularly post-COVID-19, without corresponding revenue increases.[11]

Increased input costs have been attributed to the cost increases for:

- fuel and energy
- labour
- capital
- production inputs such as fertiliser and seed
- importation, freight and distribution
- packaging
- insurance premiums.[12]

10 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024.

11 Confidential Party #8, Submission to the Inquiry, published 31 May 2024, p 9; Confidential Party #8, Submission to the Inquiry, published 31 May 2024, pp 9–10; Australian Chicken Growers Council, Submission to the Inquiry, published 20 May 2024, p 7; Australian Dairy Products Federation, Submission to the Inquiry, published 20 May 2024, p 6 and Fruit Growers Victoria, Sumission to the Inquiry, published 20 May 2024, p 1.

12 Australian Fresh Produce Alliance, Submission to the Inquiry Issues Paper, published May 2024, pp 3, 15; Confidential Party #8, Submission to the Inquiry, published May 2024, p 9; Australian Meat Industry Council, Submission to the Inquiry, published May 2024, pp 8–9; Australian Chicken Growers Council, Submission to the Inquiry, published May 2024, p 7; Australian Dairy Products Federation, Submission to the Inquiry, published May 2024, p 6; Woolworths, Submission to the Inquiry, published May 2024, p 44; Coles, Submission to the Inquiry, published May 2024, p 1.

The increase in input costs led to a spike in cost price increase requests by suppliers to supermarkets. Coles submitted that cost price increase requests from suppliers more than doubled from the 2021 to 2022 financial year.[13] Woolworths submitted that in the 14 months from November 2021 to January 2023, they received over 4.5 times the volume of cost price increase requests from their packaged goods suppliers than the volume received pre-COVID over the same period.[14]

2.1.2 Costs are now moderating

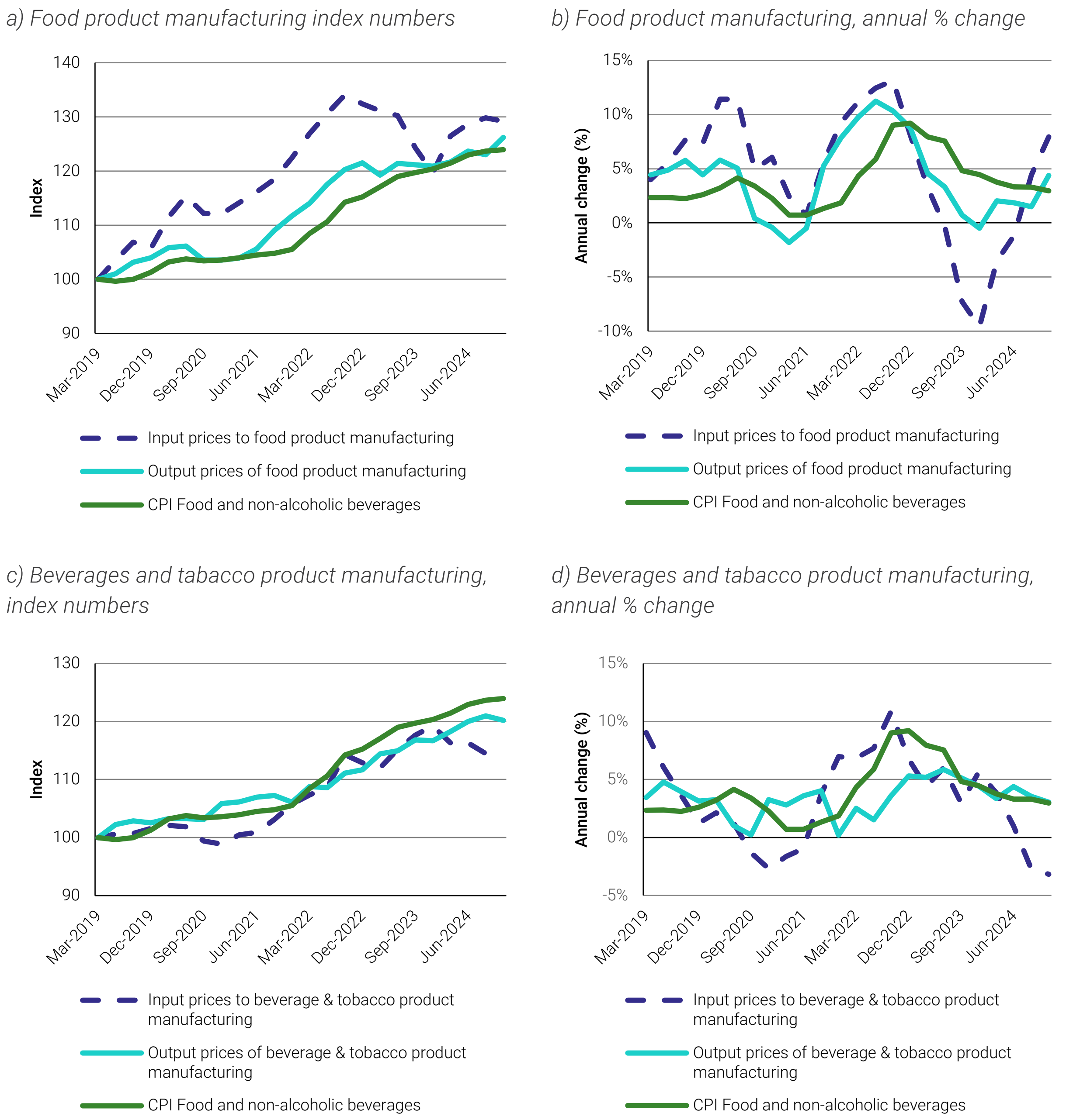
Price increases for many key inputs have moderated over the past year. Overall, the rate of inflation in input prices for the food and beverage manufacturing industries has declined since 2022. Output prices have generally followed a similar trend to input prices. Output prices of beverages and tobacco manufacturing have decreased since 2023 (figure 2.1).

13 Coles, Submission to the Inquiry, published 20 May 2024, p 17.

14 Woolworths, Submission to the Inquiry, published 20 May 2024, p 8.

Figure 2.1: Input prices for domestic food, beverage and tobacco manufacturing have risen significantly between 2021 and 2022, flowing through to higher output prices

Input to, and output of, manufacturing industries, annual inflation by sub-division between March 2019 quarter and December 2024 quarter



Note: Indexes re-based to March 2019 quarter.
Source: ACCC analysis; ABS, Producer Price Indexes, Australia, December Quarter 2024, accessed 18 February 2025; ABS, Consumer Price Index, Australia, December Quarter 2024, accessed 18 February 2025.

As illustrated in figure 2.2(b), the annualised inflation rate in automotive fuels, a key component of suppliers' and retailers' transport costs, increased from approximately 6% in the March 2020 quarter to a peak of 35% in the March 2022 quarter. Since then, while prices in automotive fuels have trended downwards, decreasing 7.9% in the December 2024 quarter, they remain higher than 2019 levels (figures 2.2(a) and (b)).

Similarly, the annualised inflation rate in electricity increased from 3% in the December 2021 quarter to 14.5% in the September 2023 quarter, peaking at 15.5% in the March 2023 quarter (figure 2.2(b)). Since then, the rate of inflation in electricity has decreased. The electricity measure in figure 2.2(a) reflects the price of electricity supplied to households inclusive of any applicable government subsidies, rather than the prices paid by businesses. However, the ACCC's Electricity Inquiry found that the median electricity bills of small business customers decreased by 9% in the year to the third quarter of 2023 across South Australia, Victoria, New South Wales and Southeast Queensland combined, driven by decreases in usage.[15]

As shown in figure 2.2(c), there has been a steady upward trend in the cost of labour in the manufacturing industry (of which food manufacturing is a part) over the last 5 years. There has been a sharp spike in the cost of fertiliser, fuels, and interest costs since the COVID-19 pandemic, although these spikes now appear to be moderating.[16] Other input costs, such as those for electricity and water, have also increased significantly.

Figure 2.2(d) shows year on year wages in the manufacturing industry, which includes food manufacturing, grew from 1.5% in the December 2020 quarter to 4.4% in the September 2023 quarter. The general retail trade industry, including supermarkets, saw an increase in annual wage inflation from 0.7% in the September 2020 quarter to a peak of 4.4% in the September 2023 and March 2024 quarters. This wage growth has remained at historical highs in recent quarters.

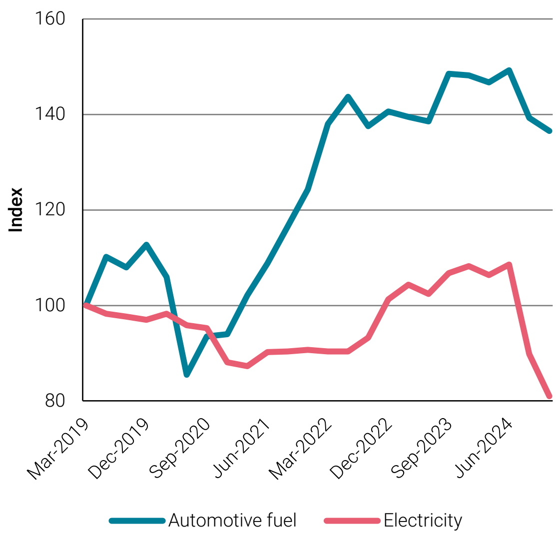
15 ACCC, Inquiry into the National Electricity Market: June 2024 Report, 3 June 2024, p 2.

16 ABARES, Agricultural commodities: December quarter 2024 – Statistical tables, accessed 18 February 2025; ABS, Wage Price Index, Australia, December Quarter 2024, accessed 19 February 2025.

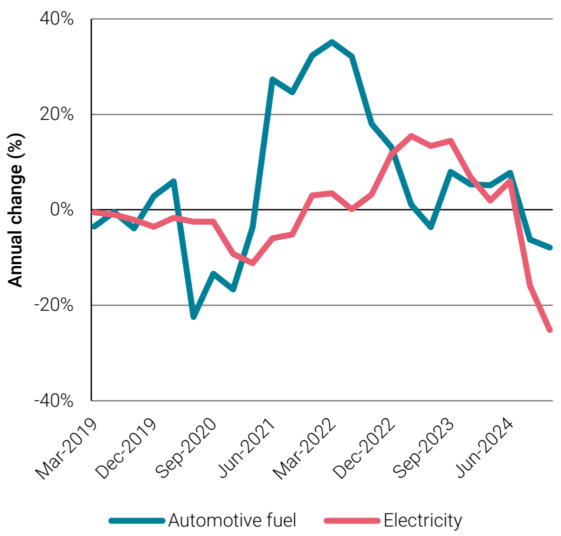
Figure 2.2: Businesses’ key operating costs have increased in the past 5 years

Inflation in automotive fuels, electricity and wages between March 2019 quarter and December 2024 quarter

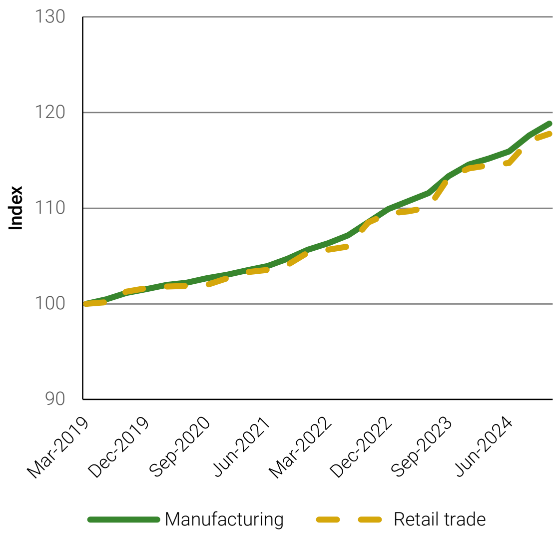
a) Automotive fuels and electricity inflation, index numbers



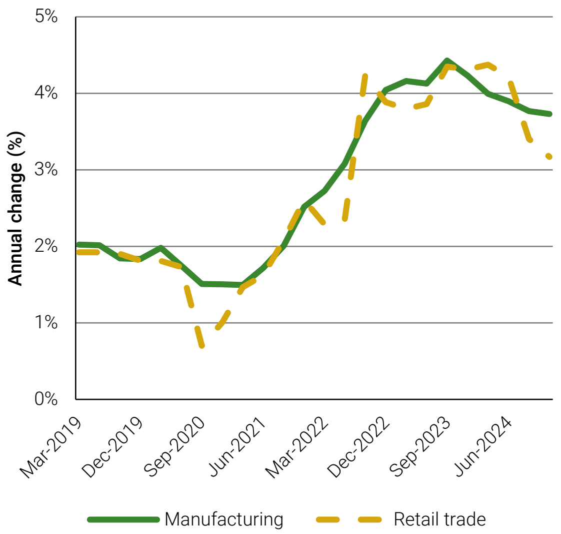
b) Automotive fuels and electricity inflation, annual % change



c) Wage growth in manufacturing and retail trade industries, index numbers



d) Wage growth in manufacturing and retail trade industries, annual % change



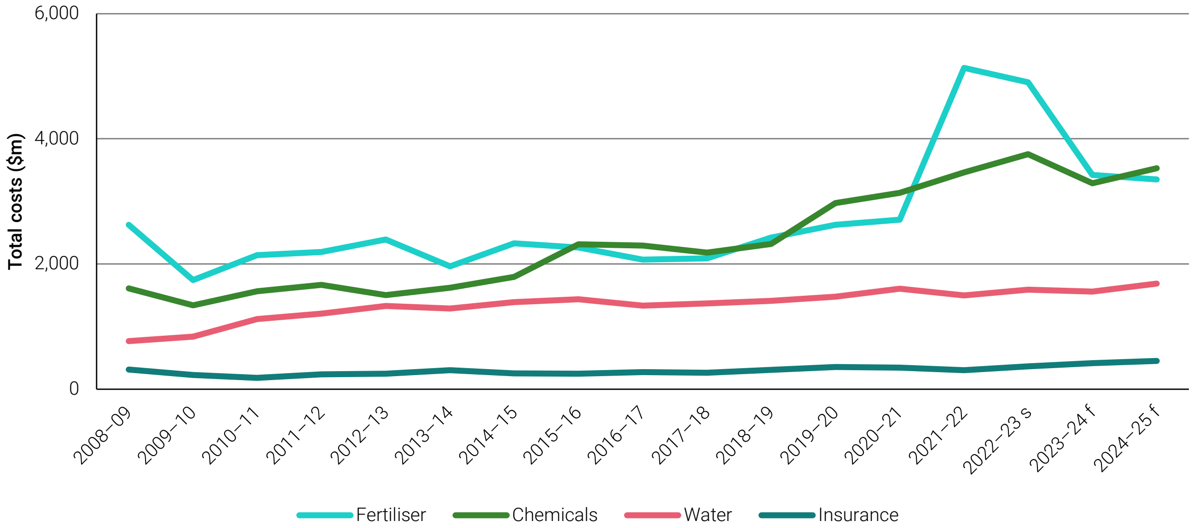
Note: Indexes re-based to March 2019 quarter.
Source: ACCC analysis; ABS, Consumer Price Index, Australia, December Quarter 2024, accessed 18 February 2025; ABS, Wage Price Index, Australia, December Quarter 2024, accessed 19 February 2025.

ABARES expects some increases in farm costs to continue to ease into 2025 but remain high compared to historic levels, whereas others such as livestock costs, materials and services are expected to rise slightly.[17]

17 ABARES, Agricultural Commodities Report: December quarter 2024, accessed 18 February 2025, p 50.

Figure 2.3: Primary producer input costs have increased post-COVID

Selected farm costs between 2008–09 and 2024–25



Note: 's' denotes estimated figure, 'f' denotes ABARES forecasted figure.
Source: ABARES, Selected Farm Costs, 2008-09 to 2024-25, accessed 18 February 2025.

2.1.3 Rising input costs is a key driver of supermarket prices

Increased input costs for producers and manufactures along the grocery supply chain in the wake of the COVID-19 pandemic has been a key driver of grocery price increases since 2020. The rapid cost increases faced by suppliers due to various supply chain disruptions resulted in many suppliers seeking to increase the costs of their products which in most cases were passed on to consumers.

As inflationary pressures have reduced over the past year, input cost increases have begun to moderate. In turn, we expect grocery prices to stabilise.

2.2 Wages have not kept up with groceries inflation

Data from the Australian Bureau of Statistics shows that the Consumer Price Index (CPI) for food and non-alcoholic beverages grew by about 24% between the March 2019 and December 2024 quarters.[18] This growth is largely in line with inflation in the prices of other goods and services, with CPI for all groups excluding food and non-alcoholic beverages increasing by 22% over this period.[19]

Some types of groceries experienced higher price growth in this time, such as oils and fats (49%), eggs (47%), milk (34%), cheese (33%), and bread (32%), while others have grown less such as lamb and goat (10%), vegetables (15%), poultry (17%), and coffee, tea and cocoa (19%).[20]

Pricing information we obtained from ALDI, Coles, Metcash and Woolworths also reflects these significant increases.

We obtained information on the sales revenue and volume of each product sold by ALDI, Coles, Metcash banner stores and Woolworths and analysed the effective price paid by consumers – that

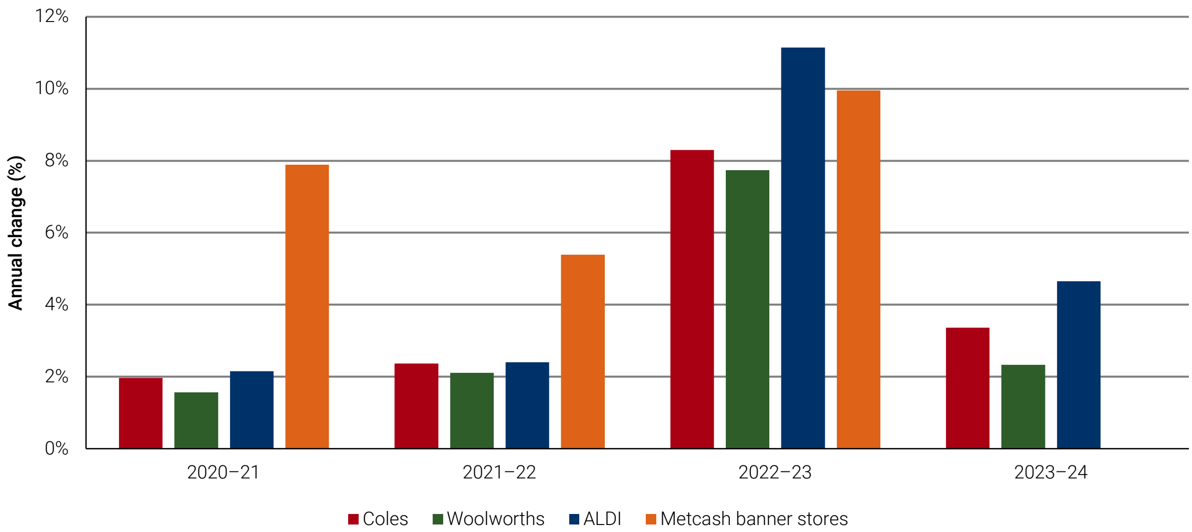
18 ABS, Consumer Price Index – Table 7, accessed 18 February 2025.
19 ABS, Consumer Price Index – Table 8, accessed 18 February 2025.
20 ABS, Consumer Price Index – Table 9, accessed 18 February 2025.

is, the sales revenue for a given product divided by the sales volume for the product as a volume weighted average.[21] For the purposes of the discussion below, we consider Metcash banner stores as one supermarket.

As shown in figure 2.4, effective prices paid in supermarkets increased substantially between 2020–21 and 2023–24 financial years. This graph depicts the effective price change for products that were for sale in a given supermarket in 2 consecutive financial years weighted by their sales revenue in the first year. As described in Appendix C, figure 2.4 attempts to prevent distortions due to changes in product range and consumers' changing purchasing patterns over time.

Figure 2.4: Prices increased at all supermarkets over the last 5 financial years, and significantly in 2022–23

Annual change in effective prices for each supermarket between 2020–21 and 2023–24 financial years[22]



Note: We did not obtain data for Metcash banner stores for the 2023–24 financial year. Further, Metcash banner stores' financial year period follows a May to April cycle, unlike the other supermarkets whose financial year period is the conventional July to June cycle. As a result, Metcash banner stores' financial year data does not wholly align with the other supermarkets' data.

Source: ACCC analysis; Information provided to the ACCC.

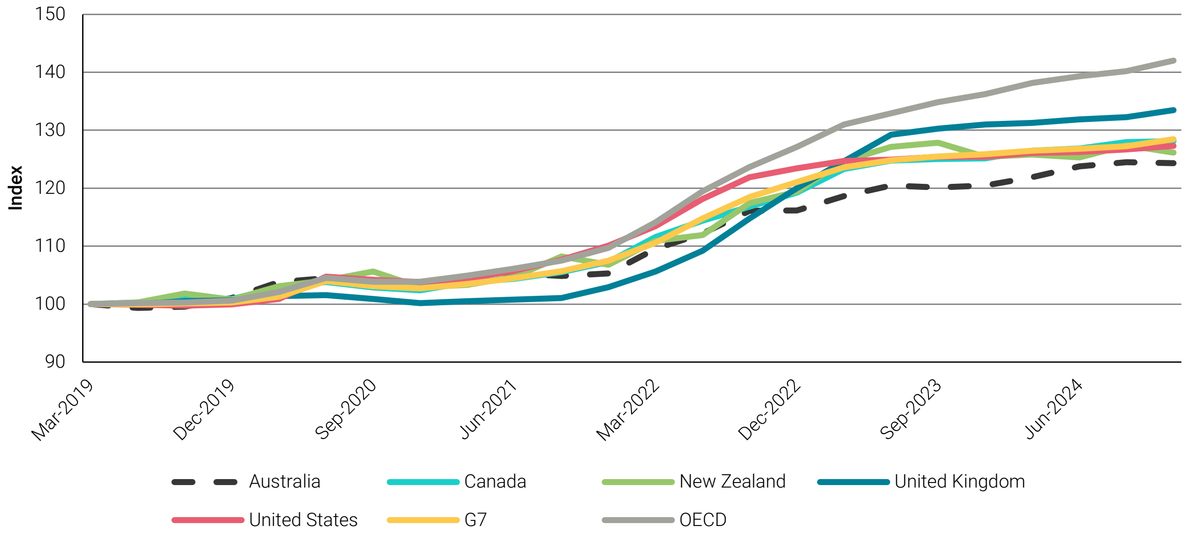
Grocery price inflation has been lower in Australia than in many OECD countries, as demonstrated in figure 2.5. However, grocery prices have still increased significantly in Australia and impacted affordability for consumers.

21 See Appendix C for discussion of how we calculate effective prices.

22 Information provided to the ACCC.

Figure 2.5: Grocery inflation in Australia was lower than many OECD countries

CPI food and non-alcoholic beverages for Australia, OECD and G7 economies between March 2019 quarter and December 2024 quarter



Note: Indices re-based to March 2019 quarter.

Source: ACCC analysis; OECD, National CPI (Food and non-alcoholic beverages) annual growth rate, COICOP 1999, accessed 18 February 2025.

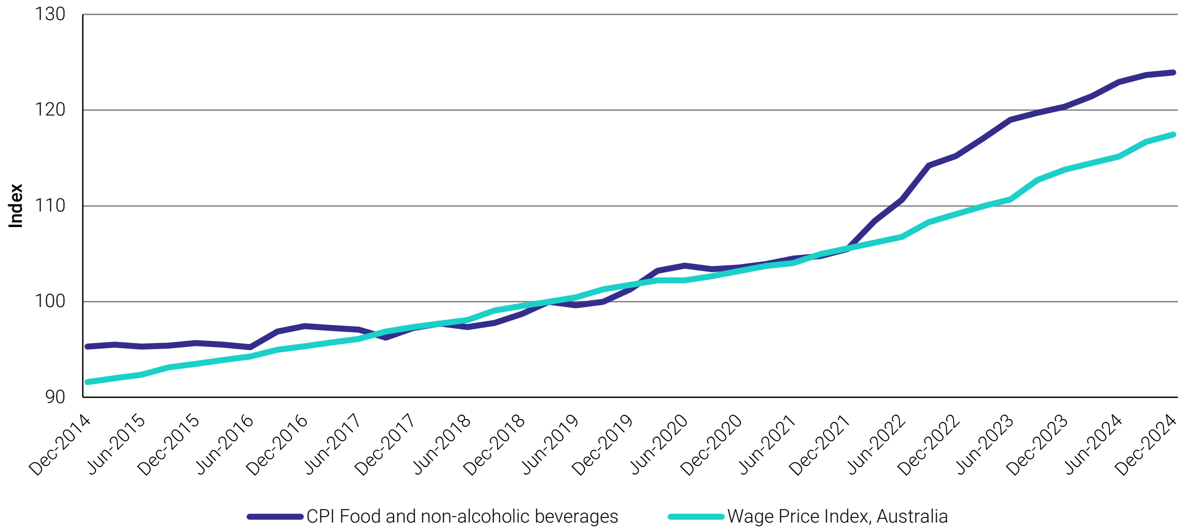
Inflation leads to a redistribution of resources that affects different people differently. High inflation in grocery prices differentially impacts on cost of living for lower-income earners if prices increase faster than their wages and, due to the relative inelasticity of demand for products such as food, represent an increased proportion of disposable income.

Relative to wages, the cost of groceries has increased significantly and is more volatile. Figure 2.6 compares the food and non-alcoholic beverages CPI to the wages index (both re-based to 2019).[23] Inflation in food and non-alcoholic beverages has outpaced wages growth since late 2021 (17% compared to 11% growth over the period). Given consumers on lower incomes spend a higher proportion of their income on groceries they are most exposed to rising food and grocery prices.

23 Wage Price Index discussed and illustrated in this section refers to the *Total hourly rates of pay excluding bonuses: all sectors by state* series as published by ABS.

Figure 2.6: Wages have not kept up with grocery price inflation since late 2021

CPI food and non-alcoholic beverages and Wage Price Index between December 2014 quarter and December 2024 quarter



Note: Indices re-based to March 2019 quarter to align with 2019–2024 period used for most data analysis in this report. Wage Price Index refers to the *Total hourly rates of pay excluding bonuses: all sectors by state* series as published by ABS.

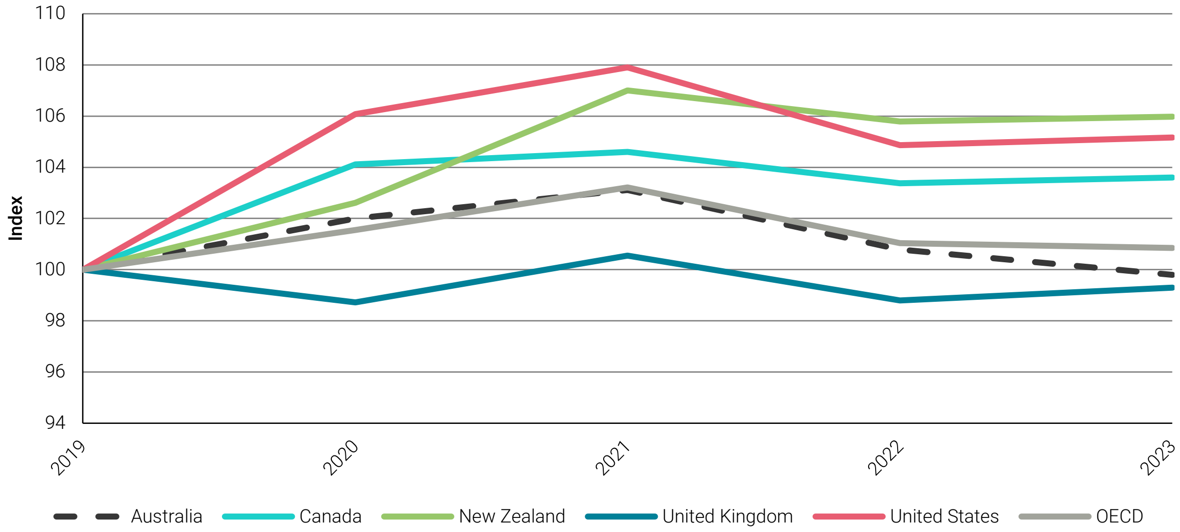
Source: ACCC analysis; ABS, Consumer Price Index, Australia, December Quarter 2024, accessed 18 February 2025; ABS, Wage Price Index, Australia, December Quarter 2024, accessed 19 February 2025.

Annual wage growth was relatively stable at around 2% between the December 2014 quarter and the June 2020 quarter compared to growth in CPI food and non-alcoholic beverages, which has fluctuated over the years. Although there has been a gradual increase in average wages since the September 2020 quarter, peaking at 4.3% in the December 2023 quarter, annual growth in grocery prices has increased more rapidly, peaking at 9.2% in the December 2022 quarter.

Figure 2.7 shows Australia's average annual real wage growth compared to other OECD economies, and relative to 2019. Australia's average annual wages increased between 2019 and 2022 but at a slower rate than many other OECD countries, and fell in 2023.

Figure 2.7: Australia's average annual real wage growth has been slower than many OECD countries

Average annual wages (constant prices) for Australia and OECD economies between 2019 and 2023



Source: ACCC analysis; OECD, Average Annual Wages, accessed 18 February 2025.

2.3 The Australian supermarket industry is highly concentrated

While there are a broad range of retailers that sell groceries in Australia, most consumers buy most of their groceries at supermarkets. Our analysis of ABS data suggests supermarkets account for approximately 85% of consumer expenditure on groceries (further detailed at section 2.3.2 below).[24]

The Australian supermarket industry is highly concentrated, with Coles and Woolworths accounting for a large share of industry revenue, as detailed in sections 2.3.3 and 2.3.4 below.

This section provides a factual outline of grocery retailing in Australia. It provides context for the detailed analysis of the level of competition in chapter 3. Key points include:

- Although many businesses retail grocery items, Australians buy most of their groceries from supermarkets.
- The supermarket industry is highly concentrated, with Coles and Woolworths comprising a large share of revenue generated by the industry.
- Coles' and Woolworths' share is particularly large when considering networks of full-service supermarkets.[25]
- Supermarkets compete at the local, regional and national levels.
- Within many local areas, market concentration is high, particularly in regional and remote areas.

24 Groceries here includes consumer expenditure in the following ABS classifications: 'A3349862V: Supermarket and grocery stores' and 'A3349463K: Other specialised food retailing' which includes retailers of fresh meat, fish and poultry, fruit and vegetables, bread, biscuits, cakes, confectionary and non-alcoholic drinks. Certain other businesses that retail some types of groceries, such as online marketplaces and category specialists are not included in this figure.

25 We discuss different supermarket formats further below. We consider "full-service supermarkets" are large floorplan stores with a broad range of grocery SKUs (typically in excess of 15,000 SKUs with a retail floor space ranging from 1,500m^2 to 4,000m^2).

2.3.1 There are many retailers that supply groceries in Australia, including non-supermarket retailers

The definition of groceries in the Terms of Reference for the Supermarkets Inquiry encompasses a broad range of consumer products, including fresh and non-perishable food and non-alcoholic drinks, pet food, cleaning products, toiletries, household goods, clothing, 'do-it-yourself' products, pharmaceuticals, and various other product categories.[26] As such many different businesses retail at least some grocery products in Australia. However, only supermarkets retail all these products at a single store.

For the purposes of this inquiry, we categorise these businesses as supermarkets and non-supermarket grocery retailers. These categories contain several sub-categories.

Supermarkets

As noted in the Interim Report, we use the term 'supermarkets' to encompass a range of differentiated retail offerings.[27] A key commonality between supermarkets is that they offer a broad range of packaged and fresh groceries under one roof. This set of firms includes ALDI, Coles, Costco, Drakes, Harris Farm, Metcash-supplied independent supermarkets (which include the IGA banner supermarkets) and Woolworths.

Many supermarkets are competitively differentiated, in that they provide distinct offerings targeting different consumer preferences and shopping missions. Figure 2.8 below depicts relevant categories of differentiated supermarkets and non-supermarket grocery retailers, and examples of each. For this inquiry, regarding differentiated supermarkets, we categorise differentiated supermarkets as including full-service supermarkets, small format stores, hard discounters, subscription warehouses, and premium gourmets. The connection between supermarket differentiation and competitive strategy is explored further in section 3.2.8.

We note some retail offerings do not necessarily fit squarely under one definition. For example, as shown in figure 3.2 in section 3.2.9, some Woolworths Metro stores (Woolworths' small format category) have smaller retail floor spaces than our definition of small format stores. Such small stores may be better characterised as convenience stores.

Non-supermarket grocery retailers

There are other firms in Australia which sell groceries. For the purposes of this inquiry, we adopt the categorisations in figure 2.8 below.

26 Competition and Consumer (Price Inquiry— Supermarkets) Direction 2024 (Terms of Reference), part 1, s 4 (Definitions); refers to Competition and Consumer (Industry Codes—Food and Grocery) Regulation 2015 (Australian Food and Grocery Code of Conduct), part 1, s 3 (Definitions).

27 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 140.

Figure 2.8: Supermarkets and non-supermarket grocery retailers

Supermarkets

Full-service supermarkets: operate large floorplan stores (with a retail floor space ranging from 1,500m² to 4,000m²) retailing a full range of grocery items (typically >15,000 grocery SKUs across all grocery categories).	**Includes:** Coles, Drakes, some IGAs, Woolworths.
Small formats: operate small floorplan stores (with a retail floor space ranging from 700m² to 1,500m²) retailing a moderate range of fresh and packaged groceries (up to 15,000 grocery SKUs across most categories).	**Includes:** ALDI Corner Store, Coles Local, IGA Xpress, IGA Local Grocer, Foodworks, Woolworths Metro.
Hard discounters: offer a comparatively limited range of groceries covering most categories and focusing on private label products, with an everyday low price strategy.	ALDI is the only hard discounter chain in Australia.
Subscription warehouses: operate very large floorplan, "big box" format warehouse stores with an exclusive membership model (i.e. consumers must sign up to a paid membership to shop there).	Costco is the only subscription warehouse chain in Australia.
Premium gourmets: offer a comparatively smaller range of fresh and packaged groceries with a focus on quality food range (including ready-to-eat options).	**Includes:** Harris Farm Markets, LaManna Supermarket, Leo's Fine Food and Wine.

Non-supermarket grocery retailers

Specialty retailers: small-scale, brick-and-mortar independent retailers focusing on a particular product category, of which there are a large number in Australia.	**Includes:** Local butchers, grocers, greengrocers, fishmongers, pharmacies, bakeries.
Category specialists: large scale chains focusing on a particular product category, and often seeking to offer a broad range (within this category) at low prices. Tend to offer brick-and-mortar and online shopping options.	**Includes:** Chemist Warehouse, Bunnings Warehouse, Kmart, The Reject Shop.
Online marketplaces: online retailers which facilitate transactions between third-party sellers and consumer, and may also retail their own goods. Tend to offer a broad range of consumer products including some packaged non-perishable groceries.	**Includes:** Amazon, Catch.com.au, eBay.
Delivery and meal kit services: services which deliver food ingredients and recipes to consumers in "meal kits" or deliver ready-to-eat food (including first-party ready meal subscriptions and third-party sellers such as restaurants).	**Includes:** UberEats, Jenny Craig, Deliveroo, My Muscle Chef, Marley Spoon, Hello.
Convenience stores and newsagencies: small retail stores (generally less than 700m²) stocking a very limited range of packaged groceries, sometimes including takeaway food options.	**Includes:** 7-Eleven, Ezymart, Local independent stores.

2.3.2 Australians get most of their groceries from supermarkets

As outlined in the Interim Report, our analysis of ABS data suggests supermarkets account for approximately 85% of consumer expenditure on groceries.[28]

The ABS provides monthly and quarterly estimates of turnover and sales volumes for the Australian retail sector. ABS data suggests Australian consumers spent almost $148 billion on groceries in 2022–23 financial year.[29] Our analysis indicates supermarkets accounted for approximately $126.5 billion of this overall spend.[30]

This consumer expenditure data is consistent with consumers' self-reported preferences for where they do most of their grocery shopping. Our consumer survey asked consumers what they consider to be their main grocery store in terms of where they spend the most or do most of their shopping ('main store'). Ninety-six per cent of respondents identified a supermarket as their main store.

As such, our retail competition analysis primarily focuses on the supermarket industry, though we consider the potential constraint from other retailers that sell grocery items.

2.3.3 The supermarket industry is highly concentrated at the national level

In the Interim Report at section 7.1.3, we assessed market concentration with respect to:

- share of supply by supermarkets nationally
- the relative size and scale of each supermarket's store network.

Across each of these metrics, Coles and Woolworths represent a large proportion of the supermarket industry. Table 2.1 below shows that Coles and Woolworths together account for approximately 67% of Australian supermarket retail sales.

28 Groceries here includes consumer expenditure in the following ABS classifications: 'A3349862V: Supermarket and grocery stores' and 'A3349463K: Other specialised food retailing' which includes retailers of fresh meat, fish and poultry, fruit and vegetables, bread, biscuits, cakes, confectionary and non-alcoholic drinks. See ABS, Retail Trade in terms of ANZSIC 2006 classes, 31 October 2024, accessed 18 February 2025. Certain other businesses that retail some types of groceries, such as online marketplaces and category specialists are not included in this figure.

29 ABS, Retail Trade, Australia, A3349862V (Supermarket and grocery stores) and A3349463K (Other specialised food retailing).

30 To reach this figure we deducted an approximate estimate for convenience retailing from the ABS estimate of supermarket and grocery retailing, which includes convenience store sales. ABS, Retail Trade, Australia, A3349862V (Supermarket and grocery stores) (minus estimated convenience store sales of $10 billion); see Australian Association of Convenience Stores, Submission to Linfox Armaguard Pty Ltd and Prosegur Australia Holdings Pty Ltd proposed merger, Jan 2023.

Table 2.1: The Australian supermarket industry is highly concentrated

Approximate national supermarket retail share of sales

Business	Supermarket retail sales FY23 ($b)	Supermarket retail sales share
Woolworths	48.0[31]	38%
Coles	36.7[32]	29%
ALDI	12.0[33]	9%
Metcash wholesale supply[34]	8.4[35]	7%
Other[36]	21.4	17%
Total	**126.5[37]**	**100%**

Source: ABS Retail Trade estimates, company annual reports, media sources.

We have not received compelling evidence contrary to our preliminary assessment of market concentration. In the public hearings, Coles and Woolworths agreed our market share assessment appeared accurate as the market was defined in the Interim Report, though both argued a broader grocery retail market should be considered.[38]

Even adopting a wider construction of the retail grocery sector, using the ABS 'national take-home food and grocery' category, Coles' and Woolworths' combined $84.7 billion share amounts to 57.3% of an estimated $148 billion spent on groceries annually in Australia. Table 2.2 presents our estimate of share of national take-home food and grocery sales nationally. Coles and Woolworths have expanded their share of take-home food and grocery sales by a combined 3.7 percentage points since the 2006–07 financial year, and collectively account for over 57% of national take-home food and grocery sales. ALDI and 'All other retailers' have also expanded their share since the 2006–07 financial year. Metcash, as a proxy for the independent stores it supplies, has experienced a decrease in its share by more than 10 percentage points since the 2006–07 financial year.

31 Woolworths, 2023 Annual Report, p 23.

32 Coles, 2023 Annual Report, p 11.

33 C LaFrenz, 'Meet the woman tasked with steering Aldi to new heights', *Australian Financial Review*, 10 August 2023, accessed 18 February 2025.

34 We use Metcash's 'Food' revenues as a proxy for independent supermarkets it supplies. This understates the share for these stores, as Metcash revenues do not reflect retail margins and do not include the independent supermarkets' sales of goods not sourced through Metcash. Understating Metcash-supplied stores' revenue and market share also overstates the revenue and market share of the 'Other' category. Metcash's 'Food' revenues are revenues generated via the distribution of products and services to independent supermarkets and convenience retail outlets. See Metcash, 2023 Annual Report, p 76.

35 Metcash, 2023 Annual Report, p 39. This excludes Metcash's gross 'charge-through' sales to customers of $2.25 billion.

36 'Other' includes grocery sales at other supermarkets (Drakes (SA), Costco, Harris Farm, etc). 'Other' also includes some sales of Metcash-supplied stores not captured in 'Metcash wholesale supply'. 'Other' does not include sales at speciality retailers, convenience stores, category specialists, online marketplaces, or other grocery retailers.

37 ABS, Retail Trade, Australia, A3349862V (Supermarket and grocery stores) (minus estimated convenience store sales).

38 ACCC, public hearing transcript, 18 November 2024, p 478; ACCC, public hearing transcript, 21 November 2024, p 673.

Table 2.2: Coles and Woolworths account for a combined 57% share of take-home food and grocery sales[39]

Estimated share of supply for national take-home food and grocery sales

Supermarket	Share of national take-home food and grocery sales (%)		
	2002–03	**2006–07**	**2022–23**
Woolworths	30.6	30.8	32.5
Coles	23.1	22.8	24.8
ALDI	1	2.8	8.1
Franklins	1.6	1.1	n/a[40]
Metcash wholesale supply[41]	19.7	16.6	5.7
All other retailers[42]	24.1	25.9	28.9

Source: Grocery Inquiry 2008, ABS Australian Retail Trade estimates, company annual reports, media reports.

For the reasons set out above, our view is that at the national level, the Australian supermarket industry is an oligopoly. That is, most of the market is accounted for by a small number of participants. Relevant implications for price competition are outlined below at section 3.5.

Concentration analysis is an important aspect of competition assessment and can provide a useful insight on the extent of competition in a sector. However, a concentrated sector is not in itself determinative of a lack of competition. It is necessary also to consider other factors, such as the likelihood of new entry, before reaching a conclusion on the level and nature of competition. Our analysis, that significant entry or expansion by full-service supermarket chains is unlikely, is set out at section 3.9.

Additionally, while aspects of supermarket competition are national and regional, grocery shopping is undertaken locally so competition occurs within local areas (see discussion below at section 2.3.9). This means competition differs across local areas according to what retailers are present, and the importance of each retailer in a given area will vary accordingly.

2.3.4 Coles' and Woolworths' share is particularly large when considering market share of full-service supermarkets

Coles and Woolworths account for a particularly significant proportion of large format supermarkets.

Figure 2.9 below, reproduced from the Interim Report,[43] shows that while Coles and Woolworths account for 41% of all supermarket sites in Australia, they account for 88% of supermarkets above 2,000m^2, and 96% of supermarkets above 3,000m^2.

39 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, see figure 7.2, p 146.

40 Metcash acquired Franklins in 2011.

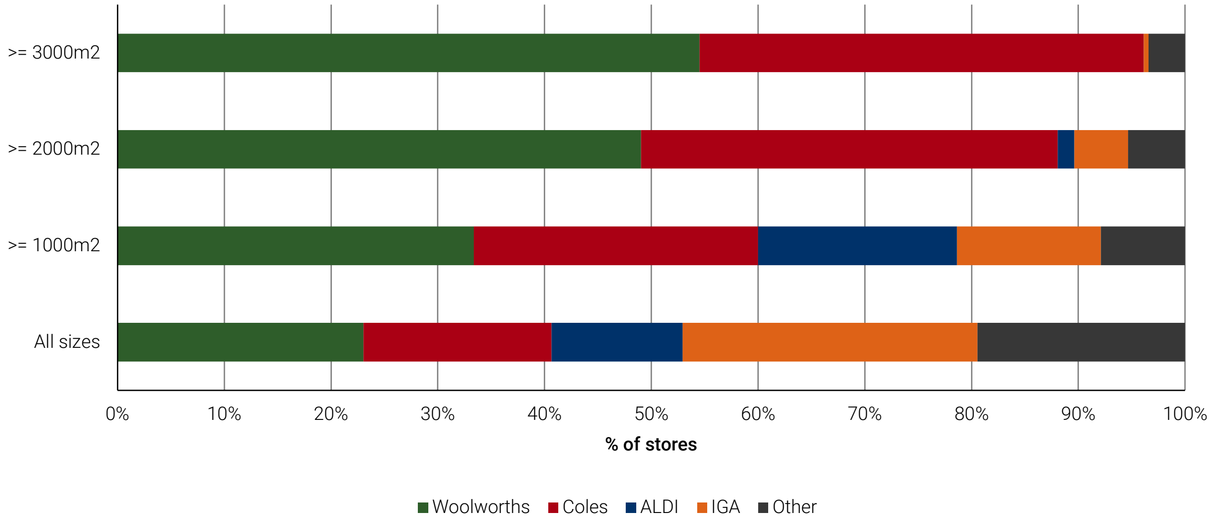
41 We use Metcash's 'Food' revenues as a proxy for the independent supermarkets it supplies. This understates the share for these stores, as Metcash revenues do not reflect retail margins and do not include the independent supermarkets' sales of goods which they did not source from Metcash. Understating Metcash-supplied stores' revenue and market share also overstates the revenue and market share of the 'All other retailers' category. Metcash's 'Food' revenues consist of revenues generated via the distribution of products and services to independent supermarkets and convenience retail outlets. See Metcash, 2023 Annual Report, p 76.

42 All other retailers' includes grocery sales at all other supermarkets (e.g., Drakes (SA), Costco, and SPAR supplied stores), as well as speciality retailers (e.g., butchers and greengrocers). 'Other' also includes some sales of Metcash-supplied stores not captured in 'Metcash wholesale supply'. It does not include grocery sales at category specialists (e.g., Chemist Warehouse), online retailers (e.g., Amazon), or food sales at take-away outlets, cafes and restaurants.

43 Supermarkets Inquiry Interim Report, 27 September 2024, p 151.

Figure 2.9: Coles and Woolworths account for a significant proportion of large format supermarkets nationally

Share of supermarkets by number (All sizes, >=1,000m², >=2,000m² and >=3,000m²)



Source: GapMaps data; ACCC analysis.

Figure 2.9, read together with the share of sales data above at table 2.1, supports our view that full-service supermarkets are a particularly important source of groceries for many Australian consumers. These include the large proportion of consumers who value convenience (and in particular the option to do the bulk of their shopping at a single store).

For example, IGAs comprise approximately 28% of all Australian supermarket sites,[44] but table 2.1 indicates Metcash wholesale supply accounts for only 7% of supermarket retail sales share. In contrast, Coles and Woolworths account for approximately 41% of supermarket sites,[45] but account for 67% of supermarket retail sales share.

This suggests that despite increasing cross-shopping by consumers, full-service supermarkets remain a cornerstone of the supermarket industry and accordingly account for the bulk of Australians' grocery spend. We explore this position further in section 3.2.

2.3.5 Since 2008, ALDI, Coles and Woolworths have grown their store networks while the IGA network has contracted

Since the 2008 Grocery Inquiry we have observed changes in the largest supermarkets' store numbers. Figure 2.10 below demonstrates that ALDI, Coles and Woolworths have expanded their store networks.

In contrast, the IGA network has contracted. The IGA network is Metcash's largest customer (accounting for approximately 77% of Metcash's total Food revenue) and also includes the brands 'Foodland', 'Local Grocer' and 'SUPA VALU'.[46]

44 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, see figure 7.5, p 150.

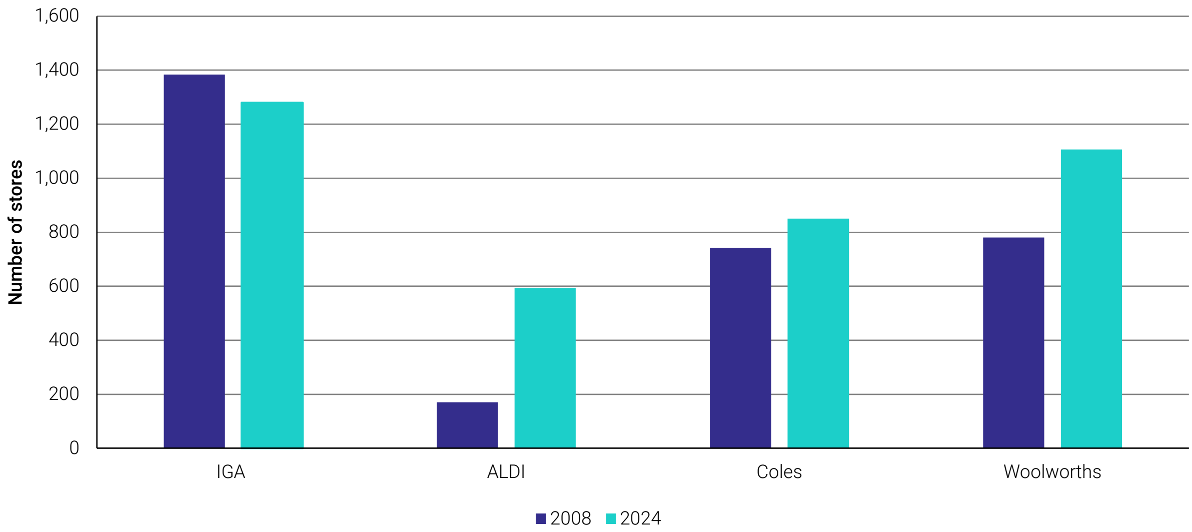
45 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, see figure 7.5, p 150.

46 Metcash, Submission to the Issues Paper, published May 2024, p 5.

In its submission to the 2008 Grocery Inquiry, Metcash submitted the IGA network consisted of approximately 1,384 stores.[47] According to Metcash's 2024 annual report, Metcash currently services a network of 1,280 IGA bannered supermarkets (including those operating under the Foodland and Supa Valu brands).[48] This is a net reduction of 104 stores.

Figure 2.10: ALDI, Coles and Woolworths have grown their store networks since 2008 while IGA has contracted

Supermarket store networks, 2008 and 2024



Source: Metcash, submission to the Grocery Inquiry (2008); Metcash, 2024 annual report; Woolworths, submission to the Issues Paper.

Additionally, as outlined in further detail at section 3.8.1, this decrease is likely to understate the changes in Metcash's store network given an increase in the number of small format IGAs (more akin to convenience stores) and a decrease in the number of large format IGAs (more likely to be full-service supermarkets) since 2008.

2.3.6 Since 2008, overlap between supermarket store networks has increased

We consider the growth of ALDI's, Coles' and Woolworths' store networks has likely contributed to increased geographic overlap between supermarket chains since 2008.

Our analysis indicates Coles and Woolworths stores are more likely to be closely located to either one another or an ALDI store than they were in 2008. In some cases, these changes are significant. For example, at the time of the ACCC's 2008 Grocery Inquiry, 18% of Woolworths stores had an ALDI within a 2 kilometre radius. In 2024, our analysis shows this number had increased to 59% of Woolworths stores having an ALDI within a 2 kilometre radius.

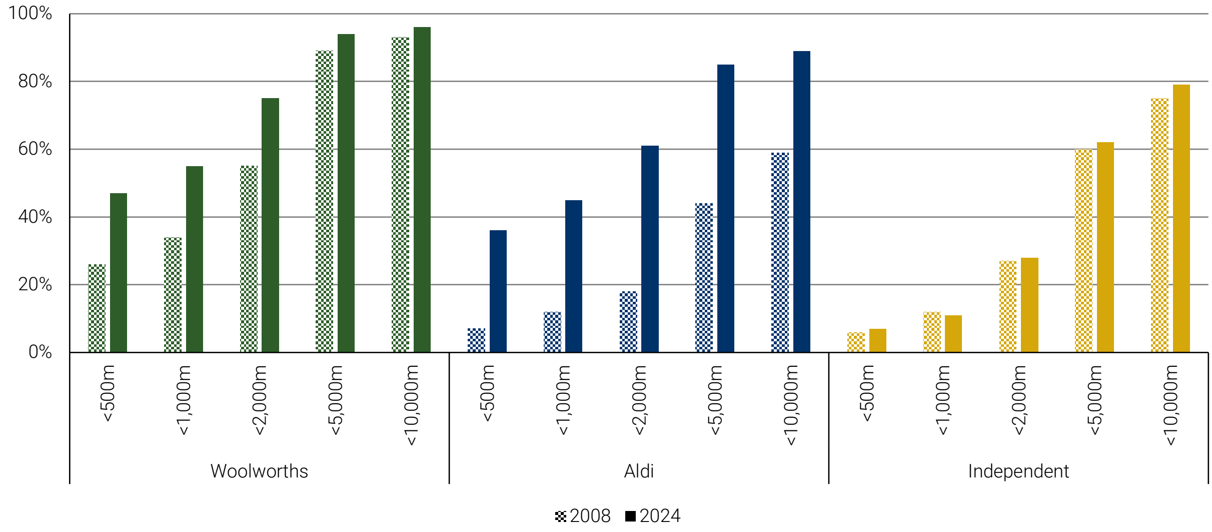
The overlap between independent stores and Coles' and Woolworths' networks was comparatively stable over this period, with minor increases when considering greater surrounding distances. These trends are depicted in figure 2.11 below.

47 Metcash, Submission to the 2008 Grocery Inquiry, published 2008, p 7.

48 Metcash, 2024 annual report, p 26.

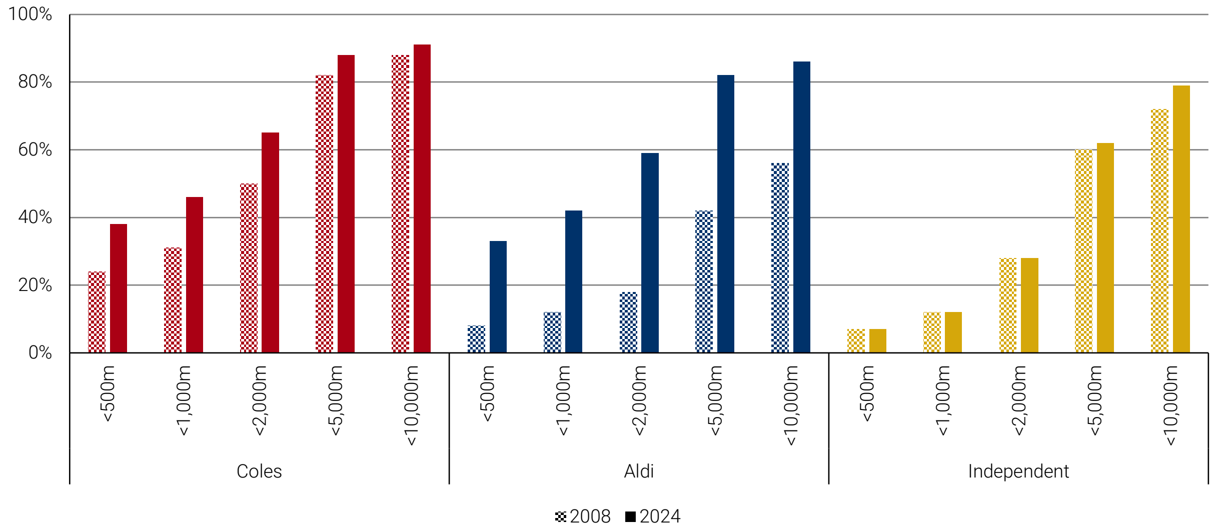
Figure 2.11: Store network overlap between Coles, Woolworths and competitors has increased since 2008[49]

Percentage of Coles stores with a competitor within a given distance



Source: ACCC analysis; GapMaps; 2008 Grocery Inquiry data.

% of Woolworths stores with a competitor within a given distance



Source: ACCC analysis of GapMaps data, 2008 Grocery Inquiry data.

49 "Competitor" here means an ALDI, Coles, independent supermarket or Woolworths store with a gross lettable area of greater than 1,000m^2. The 1,000m^2 cutoff is used for consistency with 2008 data. For 2008 data, "independent" means IGA and Franklins stores. For 2024 data, "independent" includes all Metcash-supplied independent supermarkets (including IGA and other banner stores), Drakes and Harris Farm stores.

2.3.7 Supermarkets compete on local, regional and national dimensions

As outlined in the Interim Report, the ACCC has generally taken the approach that in markets involving retail chains, competition may occur in more than one geographic dimension.[50]

We consider each individual supermarket store competes in its own local area, in that consumers choose where to shop based on the options available where they are located. The nature and extent of competition for any individual supermarket will depend on various factors, including the number of competitors in close proximity, their location and convenience of access, the quality of the store and its layout, and the range and quality of their offering.

However, because of the high degree of geographic overlap between the largest supermarket chains, we consider supermarket chains also compete with each other through elements of their overall retail offerings which are set regionally or at the state or national level. These include price and ranging decisions.

The ACCC has previously described retailer competition across regional, state and national dimensions as 'chain-on-chain' competition.[51] A key determinant and incentive of chain-on-chain competition is the extent of local overlap of the chains, as they are primarily concerned about the prospect of losing customers to other stores operating in the same areas. As discussed in section 2.3.6, there is a high degree of geographic overlap between ALDI, Coles, Woolworths and independent store networks, which has increased since 2008.

2.3.8 Many local grocery markets are highly concentrated, with consumers in regional and remote areas less likely to have a choice of supermarket

Our analysis indicates that, when considering local markets for individual supermarkets based on drive time to competitors, many local markets are highly concentrated.

For the below analysis, we analysed local markets around supermarket sites based on 5 minute, 10 minute and 20 minute drive times. We focused this analysis on supermarket sites with a gross lettable area of 1500m^2 or greater on the basis we consider these are full-service supermarkets suitable for a broad range of shopping missions. We then assessed local market concentration by calculating the Herfindahl-Hirschman Index (HHI) of each of these markets, using market shares based on gross lettable area.[52]

Our analysis in figure 2.12 below shows that:

- In major cities, considering local markets of 5 minutes' drive time around supermarkets, more than 50% of local markets are highly concentrated or a local monopoly.
- The degree of competition in major cities improves if considering a broader local area. Considering local markets of 10 minutes' drive time, more than 75% of local markets in major cities are competitive.

50 See, for example, ACCC, Woolworths' acquisition of controlling interest in Petstock, as Petstock gives undertakings relating to past acquisitions, Media release, 14 December 2023; ACCC, Coles – proposed acquisition of 9 Supabarn supermarkets, Media release, 22 June 2015; ACCC, BP Australia Pty Ltd – proposed acquisition of Woolworths Limited's network of retail service station sites, public competition assessment, 6 November 2018.

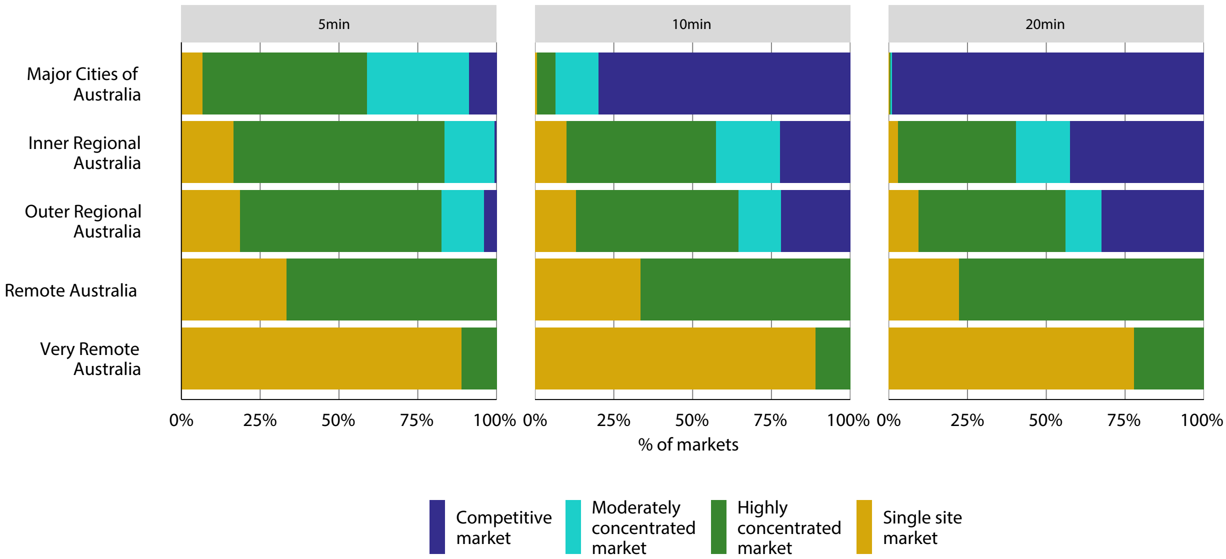
51 See, for example, ACCC, Woolworths' acquisition of controlling interest in Petstock, as Petstock gives undertakings relating to past acquisitions, Media release, 14 December 2023.

52 HHI is a metric used to estimate the level of concentration in markets. HHI is calculated by adding the sum of the squares of the market share of each firm in a given market. In this instance we calculated HHI based on the gross lettable area of supermarkets in the local market using GapMaps data.

- In regional areas, considering local markets of 10 minutes' drive time, more than 50% of local markets are highly concentrated or a local monopoly.
- In remote areas and very remote areas, 100% of markets up to 20 minutes' drive time around supermarkets are highly concentrated or a local monopoly.

Figure 2.12: Many local markets are highly concentrated, in particular in regional and remote areas

Local market HHI analysis (based on gross lettable area of supermarkets), by drive time around supermarket sites[53]



Source: ACCC analysis: GapMaps.

This analysis accords with responses to our consumer survey, and evidence from our public hearings, indicating consumers in regional and remote areas are more likely to have limited or no choice of supermarket. As noted in the Interim Report, responses to our consumer survey indicate there is less choice in regional and remote areas compared to metropolitan areas. Sixteen per cent of respondents in regional areas consider they have 'no other option' than their main grocery store; 'no other option' was reported by 56% of respondents in remote areas.

At the public hearings, Indigenous Consumer Assistance Network (ICAN) described a lack of choice of grocery retailers in remote communities.[54] ICAN noted remote communities generally do not have an ALDI, Coles or Woolworths presence, and although some larger communities may have an IGA, these are 'few and far between'.[55]

We have mapped limited choice areas (meaning Statistical Area Level 2s (SA2s) with one or no large supermarket)[56] at figure 2.13 below. SA2s are ABS-designated, medium-sized general-purpose areas designed to represent communities that interact together socially and economically.[57]

As SA2s differ in geographic size, some geographically large SA2s (such as West Kimberley and Ashburton in north-western Western Australia) are marked as containing multiple large supermarkets, even though certain small towns within these SA2s may have one or no large supermarkets.

53 The HHI categories here are less than 1,500 is competitive; 1,500–2,499 is moderately concentrated; greater than or equal to 2,500 is highly concentrated. Markets with a single site (or local monopolies) are identified separately.

54 ACCC, public hearings transcript, 7 November 2024, pp 32–33.

55 ACCC, public hearings transcript, 7 November 2024, pp 32–33.

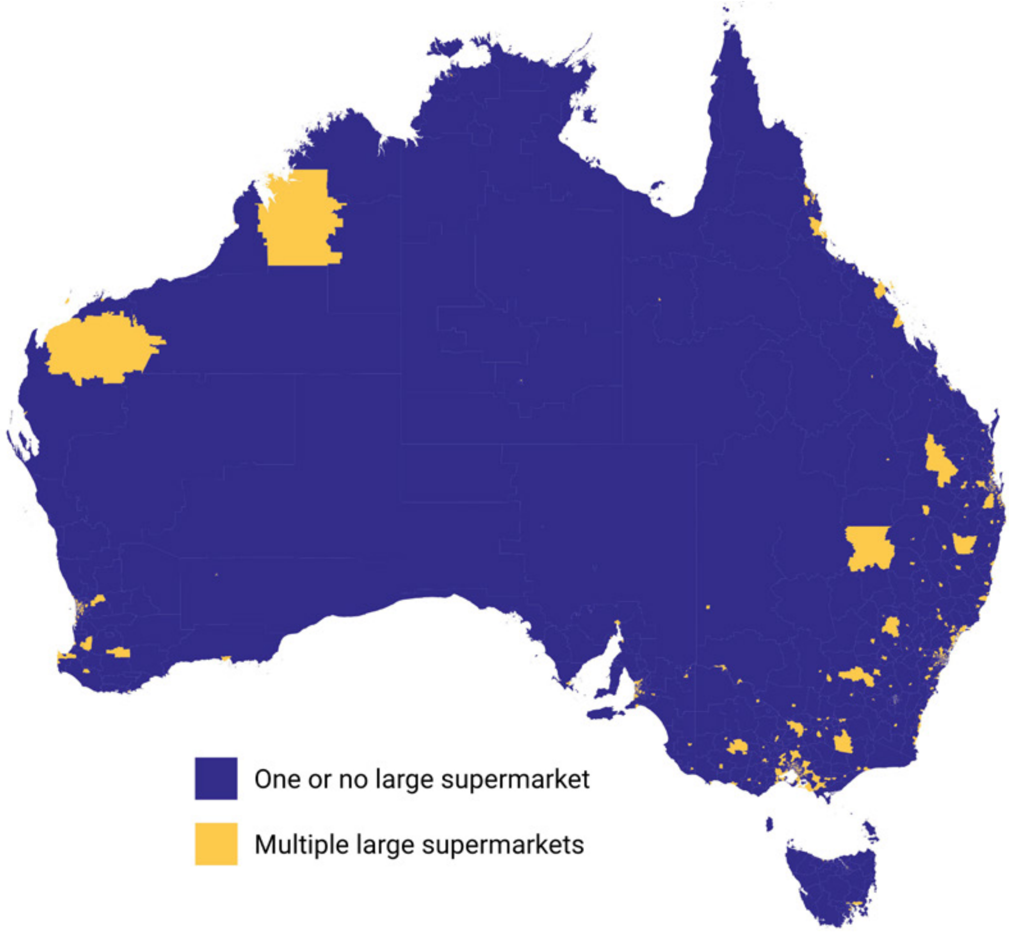
56 Large supermarket here means greater than or equal to 1,500m^2 of gross lettable area.

57 ABS, Statistical Area Level 2, Australian Statistical Geography Standard Edition 3, 20 July 2021, accessed 18 February 2025.

Conversely, some smaller SA2s with multiple options (such as Alice Springs) are not visually prominent at the national scale, though consumers in surrounding areas may be likely to travel to them and benefit from choice between supermarkets. Nonetheless, we consider figure 2.13 effectively demonstrates that most areas outside major cities are limited choice areas.

Figure 2.13: Consumers in remote Australia often have no choice of supermarket

National map of limited choice areas (with one or no supermarkets >1,500m^2)



Note: Areas are Statistical Areas Level 2, as compiled by the ABS. They are medium-sized general purpose areas designed to represent communities that interact together socially and economically.

Source: ACCC analysis: GapMaps.

We expect the lack of choice (and resulting effects on competition) in these areas is likely to have consequences for consumers.

Coles submitted its statewide uniform pricing policy ensures regional and metropolitan customers receive the same pricing regardless of location.[58] Similarly, Woolworths submitted that its national pricing strategy means that customers across its entire store network benefit from price competition irrespective of whether competitors are present in a local area (though it noted there are exceptions to this policy).[59] Our discussion regarding supermarket's uniform pricing policies is at section 3.4.1.

However, as discussed in section 4.8, consumers in remote locations are paying higher prices for the same groceries. When discussing high prices at remote community stores, in addition to discussing freight costs, CHOICE suggested '…the absence of choices and the fact that there is really only

58 Coles, Submission to the Issues Paper, published May 2024, p 15.

59 Woolworths, Submission to the Issues Paper, published May 2024, p 34.

one store in many of these communities is likely contributing to the prices as well.'[60] We expect an absence of local competition may also result in reduced range, store amenity, opening hours and service quality compared to more competitive local markets.

2.3.9 Independent research indicates grocery market sales concentration is high within local areas

Further to high concentration at the national level (section 2.3.3), independent analysis we have reviewed indicates supermarket sales within local areas are often highly concentrated towards Coles and Woolworths.[61]

A 2024 analysis of consumer supermarket spend distribution in local markets[62] in NSW and the ACT across 2022 found:

- Every local market under study possessed an HHI value of greater than 2,000 (a threshold which the ACCC generally considers there is a risk of competition concerns).[63]
- Market concentration was higher in regional areas.
- 5% of local markets were characterised as local monopolies, almost all in regional areas.
- High sales concentration exists even in local areas where all 4 major supermarket brands operate.[64]

We consider the research note's methodology[65] provides a valid estimation of the degree of grocery market concentration in local areas in NSW and the ACT and is likely comparable to market concentration in other local areas throughout Australia.

2.4 Supermarkets use a range of practices to engage consumers

This section outlines the discounting and promotional strategies generally used by supermarkets in Australia. In chapter 4, we explore the impact of these strategies on consumers.

Consumers are exposed to promotions through many different channels. This includes physical and digital catalogues or magazines, supermarket websites and mobile apps, email, social media, television, newspapers, commercial radio, podcasts, public billboards and sponsored search. Supermarkets also use in-store marketing to advertise promotions using promotional tickets, printed signage, digital displays and screens, aisle and point-of-sale marketing, and in-store radio.

60 ACCC, public hearings transcript, 7 November 2024, p 37.

61 Matthew Elias, From aisles to oligopolies: new insights on supermarket competition in Australia, 30 September 2024, p 1.

62 The study built local markets using geographic radii of 5km for stores located in Greater Sydney and the ACT, and 10km for stores in regional NSW. See Elias, Appendix B, p 7.

63 ACCC, Merger Guidelines, updated 21 November 2017, p 35.

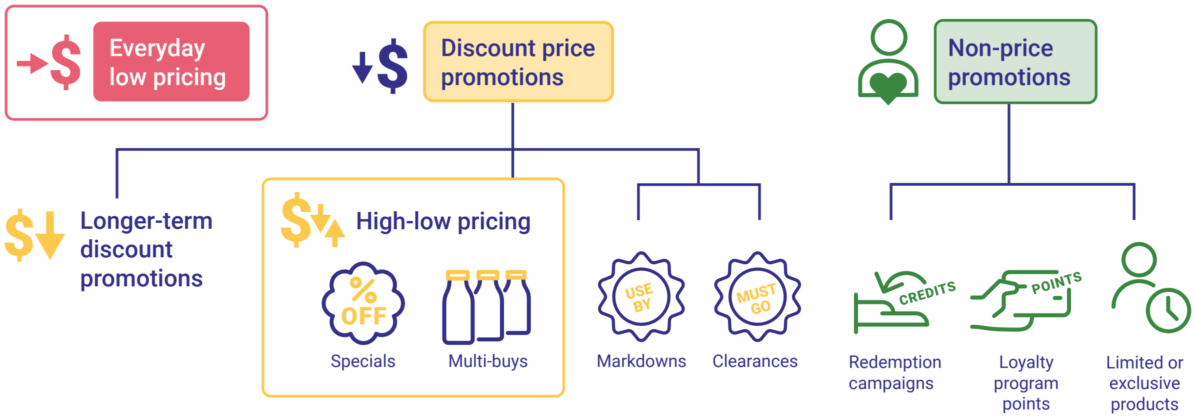
64 Matthew Elias, From aisles to oligopolies: new insights on supermarket competition in Australia, 30 September 2024, p 3.

65 Matthew Elias, From aisles to oligopolies: new insights on supermarket competition in Australia, 30 September 2024, Appendix A: Data construction.

2.4.1 Supermarkets use various pricing and promotional strategies

Pricing and promotional strategies can generally be sorted into 3 categories: everyday low pricing, discount price promotions (including high-low pricing strategies), and non-price promotions. These strategies and promotional types are shown at a high-level in figure 2.14 and explained in further detail below.[66]

Figure 2.14: Overview of supermarket pricing and promotional strategies



Everyday low pricing

Everyday low pricing is a retail pricing strategy in which the products are offered at 'consistently low cost rather than reducing price periodically through sales promotion activities'.[67] An everyday low pricing strategy typically provides low prices throughout the store with a promise by the retailer that these low prices will be the same for a long time.[68] Everyday low pricing is generally characterised by an infrequent use of discounts.

ALDI, Coles, Metcash and Woolworths all have everyday low pricing programs. However, while ALDI uses everyday low pricing as its overarching pricing strategy, other supermarkets use it as a separate and distinct promotional strategy across a smaller sub-set of products.[69] In particular, both Coles and Woolworths have an everyday low pricing program for a subset of products (approximately 4,200 products for Coles, and more than 2,500 products for Woolworths).[70] For Coles, this is currently referred to as its 'Every Day' program and, for Woolworths, this is currently referred to as its 'Everyday Low Price' program.[71] Metcash also runs an everyday low pricing program through its bannered IGA

66 Supermarket promotions are subject to changes over time, we therefore note that new types of promotions may arise in future.

67 Monash Business School, Marketing Dictionary – Everyday Low Price (EDLP), accessed 18 February 2025.

68 A Shah, High-Low Pricing (HL) vs. Every Day Low Pricing (EDLP) Strategy: The Consequence of JC Penney's Move from HL to EDLP, *Journal of Applied Marketing Theory*, Vol 7:1 (2017), p 22.

69 ALDI, Submission to the Inquiry Issues Paper, published May 2024, pp 1–2; ACCC, public hearing transcript, 11 November 2024, p 212. ALDI also has a price reduction program through which it communicates permanent price reductions, see: ALDI, Price Reductions – Our low prices just got lowerererer, accessed 18 February 2025, ACCC, public hearing transcript, 11 November 2024, pp 275–276.

70 Coles, Annual Report 2023, pp 10 and 14 (see also: Coles, Submission to the Inquiry Issues Paper, published May 2024, p 23 where Coles notes it has moved towards 'everyday low prices') and Woolworths, Submission to the Inquiry Issues Paper, published May 2024, p 13.

71 See: Coles, Helpful ways to shop and save, accessed 18 February 2025; Woolworths, Understanding value at Woolworths, accessed 18 February 2025 (note, Woolworths' confirmed that its 'Low Prices' program was renamed to 'Everyday Low Price' in May 2024 (Woolworths, Confidential supplementary submission to the Inquiry Interim Report (public version), January 2025, p 49)).

stores, currently marketed as 'Low Prices Every Day'.[72] Metcash submitted that approximately 3,000 products are subject to its everyday low pricing program.[73]

Below are some examples of labels applied to products subject to everyday low pricing strategies at Coles, IGA and Woolworths (figure 2.15).

Figure 2.15: Examples of everyday low pricing labels at Coles, IGA and Woolworths

Coles

Woolworths

IGA

Source: Photo of a Coles Every Day in-store ticket taken at Coles – Wynnum Plaza (QLD) on 9 February 2025; Image of a Woolworths Everyday Low Price in-store ticket provided by Woolworths as at 11 February 2025; Photo of IGA 'Low Prices Every Day' in-store ticket taken at IGA – Cleveland (QLD) on 13 February 2025. Please note that these images reflect prices and promotions being offered at a point in time and may no longer be available.

Discount price promotions and high-low pricing

Discount price promotions (often referred to as specials) involve a price being marked as discounted or lowered from another price.

Specials are a key part of the Australian supermarket promotional landscape and are part of a broader 'high-low pricing' retail pricing strategy adopted by many supermarkets. High-low pricing is a pricing strategy categorised by frequent use of short-term discounts (typically one to 2 weeks in length). Specifically, it uses discount price promotions to oscillate the price of a product between the high or standard price, and the low, discounted price.[74] High-low pricing may result in higher prices at times with deep discounts at other times to attract consumers.[75]

72 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 9; See IGA, Low Prices Every Day, accessed 18 February 2025.

73 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 9.

74 Corporate Finance Institute, What is High Low Pricing?, accessed 18 February 2025. Here it is described as 'a pricing strategy where a firm initially charges a high price for a product and then subsequently decreases the price through promotions, markdowns, or clearance sales'.

75 A Shah, High-Low Pricing (HL) vs. Every Day Low Pricing (EDLP) Strategy: The Consequence of JC Penney's Move from HL to EDLP, *Journal of Applied Marketing Theory*, Vol 7:1 (2017), p 21.

Coles, Metcash banner stores and Woolworths engage significantly in high-low pricing. For example, Woolworths submitted it offers approximately 6000 products on weekly specials.[76] ALDI submitted that it does not engage in high-low pricing, and rather is committed to offering everyday low prices.[77] ALDI does have a 'Super Savers' program in which it promotes a limited number of fresh fruit, vegetables, meat, fish, and bakery products each week or fortnight.[78] However, as will be further discussed in section 4.1.1, this specials program differs to those run by Coles, Metcash banner stores and Woolworths.

Specials may include promotions where a discount is presented as a price reduction in dollar terms (e.g. $2 off) or percentage form (e.g. 20% off). 'Multi-buy' promotions (e.g. "3 for $10", "Buy 1 get 1 free") are also examples of discount price promotions which feature in high-low pricing strategies.[79] Products on multi-buy promotions can also be bought individually for the 'standard' price (discussed further in section 4.2).

Specials may be considered 'deep' (a large discount) or 'shallow' (a smaller discount). For example, a 50% discount would be considered a deep discount, whereas a 10% discount would be considered shallow. Specials can also be run seasonally, for example, over Easter, Christmas or the school holidays.

Below are some examples of labels applied to products on special at ALDI, Coles, Metcash and Woolworths (figure 2.16).

76 Woolworths, Submission to the Inquiry Issues Paper, published May 2024, pp 13 and 35.

77 ALDI, Submission to the Inquiry Issues Paper, published May 2024, p 2.

78 Information provided to the ACCC. ALDI markets its Super Saver products as 'even better value on our already low-priced products' (ALDI, ALDI Super Savers, accessed 18 February 2025).

79 Multi-buy specials can apply to several products of same type (e.g. Woolworths 'Buy more save more'), or several products within the same or a specified range of products (e.g. Coles' Mix'N'Save).

Figure 2.16: Examples of specials labels at ALDI, Coles, IGA and Woolworths

Coles

Woolworths

ALDI

IGA

Note: These images reflect prices and promotions being offered at a point in time and may no longer be available.

Source: Photo of a Coles special in-store ticket taken at Coles – Wynnum Plaza (QLD) on 9 February 2025; Image of a Woolworths special in-store ticket provided by Woolworths reflecting changes due to take effect on 26 February 2025; Photo of an ALDI 'Super Savers' in-store ticket taken at ALDI Fitzroy (VIC), on 12 February 2025; Photo of an IGA special in-store ticket taken at IGA – Cleveland (QLD) on 13 February 2025.

There are also several other types of price discounts that tend to exist outside of this high-low pricing strategy, such as markdowns and clearances. Markdowns (also sometimes referred to as 'Quick Sale') typically apply to fresh produce, where items are discounted as they approach their expiry or best before date. Clearances (often labelled as 'Reduced to clear' or 'Clearance') are promotions where items are typically heavily discounted and reduced to clear stock (e.g. where there is leftover stock following the conclusion of a seasonal event such as Easter or Christmas, or if a product has been delisted by the supermarket).

Below, in figure 2.17, are some examples of labels applied to products on markdown and clearance at Coles and Woolworths.

Figure 2.17: Examples of markdown and clearance labels at Coles and Woolworths

Coles

Woolworths

Note: These images reflect prices and promotions being offered at a point in time and may no longer be available.

Source: Photos of Coles markdown (Quick Sale) and clearance (Reduced to clear) in-store tickets taken at Coles – Wynnum Plaza (QLD) on 9 February 2025; Images of a Woolworths markdown (Quick Sale) and Clearance in-store tickets provided by Woolworths (also reflecting changes to its Clearance tickets which took effect on 26 February 2025).

In addition to the above specials, Metcash also has a 'Price Match' program 'which allows [IGA] retailers to match the lowest regular shelf price of certain comparable products at the vertically integrated chains'.[80] Metcash submitted that for small stores this applies to around 200 products, for medium stores it applies to around 600 products and for larger stores it applies to more than 1,200 products.[81]

In some cases, discounts on certain products may be offered to supermarket loyalty program members (referred to as member-only prices) or online shoppers (i.e. online-only offers). For example, Woolworths offers member-only prices to Everyday Rewards members.[82] These are discussed further in sections 2.4.2 and 4.6.

80 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 9.

81 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 9.

82 Woolworths, Look out for Member Prices and save today, accessed 18 February 2025.

Box 2.1: Longer-term discount promotions

Coles and Woolworths also undertake longer-term price discount promotions. These are currently marketed under terms such as 'Down Down' (Coles) and 'Lower (Seasonal) Price' (Woolworths).[83]

These longer-term discount promotions share some similarities with Coles' and Woolworths' everyday low pricing programs. In particular, products under these promotion and pricing strategies will generally not be subject to high-low pricing (through regular weekly or fortnightly specials).[84] For this reason, longer-term discount promotions are not included within our definition of high-low pricing. Longer-term discount promotions have also previously been generally promoted under 'red' labels by Coles and Woolworths (unlike specials). However, Coles has shifted from using red to yellow labels for its Down Down promotional tickets.[85] Figure 2.18 shows examples of how these promotions are currently labelled.

Figure 2.18: Examples of longer-term discount promotion labels at Coles and Woolworths

Coles

Woolworths

Note: These images reflect prices and promotions being offered at a point in time and may no longer be available.

Source: Photo of a Coles 'Down Down' in-store ticket taken at Coles – Wynnum Plaza (QLD) on 9 February 2025; Image of a Woolworths 'Lower (seasonal) Price' in-store ticket provided by Woolworths reflecting changes which took effect on 26 February 2025.

83 Woolworths, Understanding value at Woolworths, accessed 18 February 2025 (for 'Low (Seasonal) Price' promotions). Woolworths also launched the 'Lower Shelf Price' program in August 2024 (Woolworths, Introduction of Lower Shelf Price, Reddit thread, August 2024, accessed 18 February 2025). This Lower Shelf Price program is similar to ALDI's Price Reduction program whereby it communicates a long-term price reduction (see: ACCC, public hearing transcript, 11 November 2024, pp 275–276); Woolworths, Confidential supplementary submission to the Inquiry Interim Report (public version), January 2025, p 49 (Woolworths states that these 'Lower Shelf Price' tickets were applied when there was a reduction in shelf price and that Woolworths did not plan to change that price for the foreseeable future)).

84 Woolworths, Understanding value at Woolworths, accessed 18 February 2025 (Woolworths states 'Our Lower Seasonal Price products don't go on special'); Information provided to the ACCC.

85 For examples of the red and yellow Down Down labels, see figure 2.18 (example of the yellow tickets) and ACCC, ACCC takes Coles and Woolworths to court over alleged misleading 'Prices Dropped' and 'Down Down' claims, 23 September 2024 (includes example of the red tickets). Coles also has red labels for products on its Down Down promotion in its weekly catalogue (Coles, Catalogue for promotional week 12 February 2025 to 18 February 2025, accessed 18 February 2025).

There are also differences between longer-term discount promotions and everyday low pricing. In particular, longer-term discount promotions involve the advertisement of a price reduction (and often feature 'was/now' price representations), whereas this does not appear to be necessary for products included in (and promoted under) everyday low pricing strategies. Coles indicated in the public hearings that products under its everyday low pricing program do not have a price discount.[86] Woolworths stated that its Low Price program is not a price reduction but rather prices for relevant products are set at a low price for several months.[87]

Further, while both longer-term discount and everyday low price programs involve products being available at a low price for an extended period, the periods differ by supermarket. Longer-term discount promotions at Coles and Woolworths set prices for relevant products for shorter periods than products on everyday low pricing. Woolworths' 'Lower (Seasonal) Price' program, for example, is focussed on seasonal price reductions (usually for a 13-week period), whereas its 'Everyday Low Price' is set at the same price for 'several months'.[88] Coles' 'Down Down' promotions in January, April and August 2024 were all for 12-week periods, whereas products on its everyday low pricing promotions must be offered at that price for at least 6 months.[89]

Meanwhile, Metcash stated in the public hearings that products on its everyday low pricing program (Low Prices Everyday) are set for a minimum 13-week period, which is similar to the longer-term price promotions of Coles and Woolworths.[90]

86 ACCC, public hearing transcript, 21 November 2024, p 750.

87 Information provided to the ACCC.

88 Woolworths, Understanding value at Woolworths, accessed 18 February 2025 (Woolworths states 'Lower Seasonal Price (such as a Lower Summer Price) is a seasonal price that is lower than the shelf price for the previous season and will stay at that low price for the whole season' and that its 'Everyday Low Price refers to a product that is set at the same Low Price every day for several months'). See also: Woolworths, Woolworths drops prices on hundreds of everyday essentials, 26 August 2024, accessed 18 February 2025 (refers to seasonal reductions for 13-week period).

89 Coles, Coles kicks off the new year with sizzling savings, with the special price of lamb chops the lowest in four years, Media Release, 10 January 2024; Coles, Coles helps budgets go further with more than 500 products on Down Down this April, Media Release, 3 April 2024; Taste.com.au, Coles has reduced the price of over 360 supermarket products, 28 August 2024, accessed 9 December 2024; Information provided to the ACCC. See also: Coles, Helpful ways to shop and save, accessed 18 February 2025 (Coles states that a Down Down ticket means 'the price is down to a lower price for 3 months').

90 ACCC, public hearing transcript, 14 November 2024, p 399.

Box 2.2: ACCC proceedings against Coles and Woolworths over alleged misleading discount pricing claims

In September 2024, the ACCC commenced separate Federal Court proceedings against Coles and Woolworths in relation to allegedly misleading claims in respect of certain products included in their 'Down Down' (Coles) and 'Prices Dropped' (Woolworths) longer-term discount promotional programs.

The ACCC's allegations related to hundreds of common supermarket products which the ACCC alleges were sold at regular long-term prices by the supermarkets (for at least 6 months and in many cases at least a year). The ACCC alleges the products were then subject to price rises of at least 15% for a brief period, before being promoted on these programs at prices higher than, or the same price as, the regular long-term price that applied before the price spike.

As these court proceedings are still ongoing, we have not included comments or findings in relation to the allegations made in the proceedings in this report. To that end, we publicly stated that such matters would be excluded from the scope of issues discussed in the public and private hearings. Similarly, while concerns regarding conduct of this nature (particularly in relation to longer-term discount promotional programs) have been raised by consumers and other stakeholders as part of the inquiry (as outlined in section 4.1.1), we have not made any findings about them in the report.

Non-price promotions

Non-price promotions involve consumers receiving a non-price benefit or reward if they purchase a certain product or products, or if they meet certain spend thresholds. Examples of non-price benefits or rewards include:

- redeemable loyalty program points
- collectible or other items (referred to as redemption campaigns).

Loyalty program points can often be converted into monetary discounts at the participating supermarket or other partner retailers. Loyalty programs may also offer bonus points, entry into competition draws, or other benefits. Loyalty programs are discussed further in sections 2.4.2 and 4.6.

Redemption campaigns enable consumers to receive free items if they satisfy certain purchase criteria. Examples of such campaigns include Coles' 'Builders' and MasterChef Cookware promotions, and the Woolworths' 'Ooshies' and vivo by Villeroy & Boch tableware promotions.[91]

Other examples of non-price promotions include access to a limited or exclusive product (not dependent on consumers being part of a loyalty program, or purchase requirements). These special promotions on limited items (both grocery and non-grocery) are often designed to attract consumers into the store but may not offer any specific price reduction. Examples of such promotions include ALDI's Special Buys and Coles' Best Buys at participating stores. These products may be offered only for a limited period, specific to certain seasons or events. For example, where certain limited or exclusive items are offered over Easter, Christmas or the school holidays.

91 See: D Rose, Coles credits Pokémon with lifting supermarket sales, Canberra City News, 30 April 2024, accessed 18 February 2025; Coles, Supermarket DC Super Heroes land at Coles with new collectable campaign to encourage Aussies to have fun and eat more fresh fruit and vegetables, 25 July 2023, accessed 18 February 2025; Aussies to collect premium MasterChef kitchen tools at Coles that are a cut above the rest, 3 November 2021, accessed 18 February 2025; Woolworths, Woolworths announces world first Disney+ Ooshie collection, 16 August 2020, accessed 18 February 2025; N Rider, Woolworths launches tableware promotion, Retail World, 6 October 2022, accessed 18 February 2025.

Non-price promotions are not discussed in detail in this report. However, these promotions can be a significant driver of sales. For example, Coles stated its 'Pokémon Builders' collectibles campaign (which ran during February and March 2024) was responsible for lifting sales in the March 2024 quarter compared to the same quarter in 2023.[92]

Figure 2.19: Overview of promotions offered by ALDI, Coles, Metcash and Woolworths[93]

	ALDI	Coles	IGA	Woolworths
Price promotions (on certain products)				
Everyday low pricing	✓ (applies to most products)	✓	✓	✓
Specials (high-low pricing)	Super Savers' – limited fresh products	✓	✓	✓
→ Multi-buy specials	✕	✓	✓	✓
Longer-term discounts	✕	✓	✕	✓
Markdown/clearance	✓	✓	✓	✓
Online-only pricing	✕	✓	✓	✓
Member-only pricing	✕	✕	✓	✓
Price match	✕	✕	✓	✕
Non-price promotions (on certain products)				
Loyalty program points	✕	✓	✓	✓
Redemption campaigns e.g. collectibles	✕	✓	✕	✓
Special promotions on time-limited and/or exclusive items	Special Buys	Best Buys	✕	✕

2.4.2 Several supermarkets use loyalty programs

Customer loyalty programs are a form of marketing or promotional tool that incentivise repeat transactions by offering participating consumers (members) points, discounts, and other incentives for eligible purchases.[94]

There are a range of loyalty programs in the grocery sector, however Coles and Woolworths have by far the largest and most sophisticated offerings.

Both Coles and Woolworths offer 'free to join' loyalty programs, which primarily allow members to accumulate points on purchases which can be redeemed for a discount at that supermarket or other participating partner retailers, or converted into points for a partnered loyalty program (typically airline loyalty programs). They both also offer paid (known as 'premium') loyalty and delivery subscription

92 Coles Group, 2024 Third Quarter Sales Results, 30 April 2024, p 3.

93 ALDI offers clearances on its Special Buys. Some IGA stores may offer local promotions, such as redemption campaigns, which are not reflected in this table.

94 ACCC, Customer Loyalty Schemes Final Report, December 2019, p 13.

programs. A brief description of the programs offered by Coles and Woolworths is provided below in box 2.3.

Metcash launched the IGA Rewards loyalty program in 2018.[95] IGA Rewards offers member-only pricing, competitions, travel deals, and emails with personalised offers.[96] As every IGA supermarket is independently owned, IGA Rewards is offered by individual stores on an opt-in basis.[97] As such, loyalty cards are store-specific, and the program can differ from store to store.[98]

Further, certain IGA supermarkets operate their own loyalty programs, which may be offered in addition to or instead of IGA Rewards.[99] Currently, 832 IGA supermarkets participate in the IGA Rewards loyalty program;[100] over half the total number of IGA supermarkets.[101]

Other supermarkets also have their own loyalty programs (for example, Harris Farm operates the Friend of the Farm program) and delivery-focussed subscription programs (for example, Drakes' Unlimited Delivery program).[102]

Costco operates under a member-only business model whereby consumers must pay an annual fee of $65 per year in order to shop there at all. A premium tier is also offered for $130 per year, which allows subscribers to earn an annual reward voucher worth 2% of the value of eligible purchases made by that member that year (up to $1,000).[103]

ALDI does not offer a loyalty program, which it markets as part of its strategy to ensure it keeps prices low.[104]

95 Metcash, Submission to the Inquiry, published May 2024, p 10.

96 IGA Rewards, Join today to get rewards you love, accessed 20 February 2025.

97 Metcash, Submission to the Inquiry, published May 2024, p 10.

98 IGA Rewards, Frequently Asked Questions, accessed 20 February 2025.

99 Metcash, Submission to the Inquiry, published May 2024, p 10.

100 ACCC, public hearing transcript, 15 November 2024, p 450. See also: IGA Rewards, Participating Stores, accessed 20 February 2025.

101 Metcash, Submission to the Inquiry, published May 2024, p 3; see also IGA, IGA Store Locations, accessed 20 February 2025.

102 Harris Farm, Join Friend of the Farm, accessed 20 February 2025; Drakes, Save with Unlimited Delivery, accessed 20 February 2025.

103 Costco, Costco Wholesale Australia member privileges and conditions, accessed 20 February 2025.

104 ALDI, Submission to the Inquiry, published May 2024, pp 1–2; ALDI, About ALDI, accessed 20 February 2025.

Box 2.3: Loyalty programs and subscriptions offered by Coles and Woolworths

Coles

- Coles partners with the Flybuys loyalty program:
  - Flybuys has operated since 1994, and since 2018, it has been operated as an independent joint venture between Coles Group Limited and Wesfarmers Limited (each entity owning a 50% equity interest) through an entity called Loyalty Pacific.[105]
  - Flybuys members can earn points on their purchases at Coles or other participating retailers. Once a member has amassed 2,000 points, they can then be redeemed for a $10 discount on future purchases, spent in the 'Flybuys Rewards store', or converted into 1,000 'Velocity Points'.[106]
  - Flybuys currently has 23 partners, including HCF, NAB, Citi, Optus, Velocity, and retailers and brands operated by Coles Group Limited (including Coles-branded grocery outlets, Coles Credit Cards, Personal Loans and Insurance, Liquorland and First Choice) and Wesfarmers Limited (including Bunnings, Officeworks, Target, Kmart, Catch and Kleenheat Gas).[107]
- Coles also offers a premium loyalty program and a paid delivery subscription program:
  - Coles Plus Saver (launched in March 2024)[108] offers subscribers 10% off one shop per month (for a discount of up to $50), double Flybuys Points and other offers, for a standard price of $7 per month.[109]
  - Coles Plus (launched nationally in February 2021)[110] offers subscribers free delivery on online orders over $50, free access to expedited click-and-collect orders (allowing subscribers to collect orders over $30 within 60 or 90 minutes depending on the store), double Flybuys Points, and other offers.[111] Coles Plus currently has a standard price of $19 per month or $199 per year.[112]

105 Loyalty Pacific, Submission to the Inquiry, published May 2024, p 2.
106 Flybuys, Get more out of your everyday, accessed 20 February 2025.
107 Loyalty Pacific, Submission to the Inquiry, published May 2024, p 2; Flybuys, Partners, accessed 20 February 2024.
108 Information provided to the ACCC.
109 Coles, Enjoy big savings with Coles Plus Saver, accessed 20 February 2025; Coles, Coles Plus Saver Terms and Conditions, accessed 20 February 2025.
110 Information provided to the ACCC.
111 Coles, Unlimited free delivery with Coles Plus, accessed 20 February 2025.
112 Coles, Unlimited free delivery with Coles Plus, accessed 20 February 2025.

Woolworths

- Woolworths operates its own loyalty program, Everyday Rewards:[113]
  - Woolworths launched Everyday Rewards (previously branded Woolworths Rewards) in 2007.[114]
  - Everyday Rewards members can earn points on their purchases at Woolworths or other participating partner retailers. Once a member has amassed 2,000 points, they can be redeemed for a $10 discount, spent on the Everyday Rewards Shop or converted into 1,000 'Qantas Points'.[115]
  - Everyday Rewards has recently launched the Everyday Rewards Shop.[116] Included in the Everyday Rewards app, members can shop a range of products using either Australian dollars or 'Rewards dollars' and collect reward points on purchases.[117]
  - Everyday Rewards currently has 18 partners, including Qantas, Bupa, Origin, Ampol, Accor Live Limitless, Westpac, St. George, BankSA, Bank of Melbourne and retailers and brands operated by Woolworths Group Limited (Woolworths-branded grocery outlets, Big W, BWS, MILKRUN, Healthylife pharmacies and MyDeal).[118]
  - In August 2023, Woolworths also introduced 'member-only pricing', which are discounts only available to Everyday Rewards members on selected products.[119]
- Woolworths also offers a premium loyalty program and a paid delivery subscription program:
  - Woolworths' Everyday Extra (launched in July 2022)[120] offers subscribers 10% off one shop per month at each of Woolworths and Big W (for a discount of up to $50 at each), double reward points, and other offers for the standard price of $7 per month or $70 per year.[121]
  - Woolworths Delivery Unlimited (launched in September 2019)[122] offers subscribers free delivery (excluding 'bag fees') on 'Same or Next Day' Woolworths orders of $75 or more and double reward points for online orders for a standard price of $15 per month or $119 per year.[123]

Section 4.6 discusses loyalty programs in greater detail.

113 Everyday Rewards, Get to know Everyday Rewards, accessed 20 February 2025.

114 Woolworths Limited, Annual Report 2008, 2008, p 4; Woolworths, Submission to the Inquiry, published May 2024, p 37 fn 137.

115 Everyday Rewards, Get to know Everyday Rewards, accessed 20 February 2025.

116 Everyday Rewards, Say hey to the new Everyday Rewards Shop, accessed 20 February 2025.

117 Everyday Rewards, Say hey to the new Everyday Rewards Shop, accessed 20 February 2025.

118 Everyday Rewards, Get to know Everyday Rewards, accessed 20 February 2025.

119 Everyday Rewards, Save extra on your shopping every month, 20 February 2025; Woolworths Group, *Woolworths wants customers to spend less this Spring*, Press release, 21 August 2023, accessed 20 February 2025.

120 Information provided to the ACCC.

121 Everyday Rewards, Save extra on your shopping every month., accessed 20 February 2025.

122 Information provided to the ACCC.

123 Woolworths, Enjoy more with Delivery Unlimited, accessed 20 February 2025.

2.4.3 Technological developments are also changing how supermarkets engage consumers

As outlined in the Interim Report, supermarkets are rapidly expanding their online grocery offerings (see section 3.7.3 for more details), adopting new technological aids in-store, and using large data sets collected at all points of their business to make operational decisions. These changes, brought about by increased access to technology and data, have changed the industry over the last decade and present unique opportunities and challenges in the supermarket industry.[133]

In recent years, consumers have gained greater access to supermarket pricing information through digital means. Phone-based apps and online stores can make price comparisons between brands or even different supermarkets easier, including through features such as 'shopping lists', 'watch lists', and unit pricing filters (discussed further in section 3.6.2). Results from our consumer survey suggest consumers are increasingly relying on digital means to compare prices and plan their grocery shops.[124] In its public submission, Woolworths stated that there are approximately 19–20 million weekly visits to its digital properties, surpassing the number of visits to its physical stores.[125]

The introduction of online stores has also enabled new methods of shopping, such as 'click and collect' and home delivery services. This shift to online has impacted competition between supermarkets, as discussed in section 3.7.3. In addition to traditional supermarkets moving into online retailing, Amazon has made substantial investments to enter the Australian market, including in the grocery retail space (discussed further in section 3.7.3).

There have also been technological developments by some supermarkets in-store. In August 2024, Woolworths announced it had commenced a trial of smart trolleys, which allows Everyday Rewards members to use a smart tablet attached to the shopping trolley to scan products as they shop.[126] Similarly, in November 2024 Coles announced a trial of its own AI-powered trolleys.[127] Smart trolleys are discussed further in section 4.6.7.

Some supermarkets are also introducing electronic shelf labels. This technology has the potential to increase accuracy for pricing information as it reduces manual ticket printing and placement.[128] However, electronic shelf labels may also decrease the size of pricing information, including unit prices, making it more difficult for some consumers to read. Issues with unit pricing readability are discussed further in section 4.4.2.

Supermarkets are also harnessing new technologies in supply chains and potentially even pricing practices. Coles is rolling out AI and data-enabled supply chain automation,[129] Woolworths has introduced digital price displays, and both have partnered closely with data analytics firms to assist with their operations.[130] However, some small business stakeholders submitted they are unable to compete with the large investments in technology that are used by large supermarkets chains to increase efficiency.[131]

124 ACCC consumer survey data. Question 29 of the ACCC consumer survey asked respondents who indicated they compare prices of stores before they shop, 'How do you mainly check or compare prices of stores before grocery shopping?'. We found that 'online' was the most common means by which respondents compare prices before they shop.

125 Woolworths, Submission to the Interim Report, published December 2024, p 4.

126 Woolworths, A digital revolution in grocery shopping as Woolworths launches Scan&Go trolley, accessed 20 February 2025.

127 A Feiam, 'Coles announces trial of AI-powered supermarket trolley', *News.com.au*, 13 November 2024, 20 February 2025.

128 NZCC, First Annual Grocery Report, 4 September 2024, p 56.

129 Coles, Submission to the Inquiry, published May 2024, p 27.

130 CHOICE, Submission to the Inquiry, published May 2024, p 32.

131 WA Small Business Development Corporation, Submission to the Inquiry, published May 2024, p 7.

3

Retail competition

3. Retail competition

Key points:

- The Australian supermarket industry is highly concentrated. Coles and Woolworths account for a large share of supply (approximately 67% combined) in Australia's supermarket retailing oligopoly.
- Due to the oligopoly structure of the Australian supermarket industry, Coles and Woolworths have limited incentive to compete vigorously on price. We have not observed Coles and Woolworths seeking to substantially discount prices below each other in aggregate.
- ALDI is an important source of competitive constraint on other supermarkets, limited to an extent by its smaller range and in-store only offering. The propensity of consumers to switch purchases away from Coles and Woolworths towards ALDI influences the extent to which Coles and Woolworths competitively respond to ALDI.
- Independent supermarkets supplied by Metcash are limited in their ability to compete vigorously on price but provide a valuable alternative to ALDI, Coles and Woolworths, with their ability to meet local needs in product ranging and other non-price aspects of their offer.
- ALDI, Coles and Woolworths submitted they employ uniform national or state-based pricing strategies, with exceptions, including for some fresh food products and at certain stores.
- The extent to which prices are nationally consistent within ALDI's, Coles' and Woolworths' stores varied depending on the product category.
- Across supermarkets, products that are not claimed to be priced nationally consistent (fresh produce, meat and/or seafood) represented around 12–25% of total supermarket revenue in the 2023–24 financial year.
- Average prices paid by consumers differed between a supermarket chains' stores in the same pricing region, however this was predominantly observed in remote and Northern Australian stores, and for Woolworths, in its Woolworths Metro stores.
- Woolworths Metro stores employ a different pricing strategy to standard format Woolworths stores and prices tended to be more expensive. Prices in Coles Local and ALDI Corner Stores were similar to their standard format stores.
- Non-price competition (including, for example, on convenience, range and quality) between Coles, Woolworths and other supermarkets is important for consumers.
- Our view is that we are unlikely to see significant entry or expansion by full-service supermarket chains in Australia. Rather, entry or expansion appears most likely to occur via differentiated supermarkets or non-supermarket grocery retailers, including online retailers.

- The limited availability of suitable sites for supermarket retailers in Australia is likely significantly impacted by planning and zoning laws (which restrict overall supply) and Coles' and Woolworths' advantages over other retailers in securing retail sites.
- We have found that Coles and Woolworths each hold a large pipeline of undeveloped and unused sites intended for future supermarket use.
- Information provided to us suggests that since 2019, Coles and Woolworths have acquired a freehold or leasehold interest, or entered into an agreement for lease for approximately 260 sites (80 and 180 sites respectively). In this timeframe, the ACCC has been notified of 14 acquisitions, some via third parties, which make up approximately 5% of acquisitions by Coles and Woolworths.
- We need to closely examine the competitive impact of acquisitions by Coles and Woolworths. Incoming merger reform including a potential Ministerial Instrument (which introduces further notification requirements for supermarkets) will enhance the ACCC's ability to scrutinise acquisitions by supermarkets.

This chapter builds on the relevant background in section 2.2 to evaluate the level and nature of competition in the Australian supermarket industry at the retail level; that is, competition for consumers.

- Section 3.1 summarises, at a high level, our views on the role and nature of competition among Australian supermarkets.
- Section 3.2 discusses consumer shopping behaviours and their impact on competition between supermarkets. We find Coles and Woolworths are each other's closest competitors due to their full-service offerings and national coverage.
- Section 3.3 discusses the role of co-operative supermarkets in areas where competition is limited due to geographic factors. We recommend that governments of all levels should consider ways to support co-operative supermarkets in regional and remote areas.
- Section 3.4 outlines our analysis of supermarket pricing practices. We find that prices are largely consistent at the state level in Coles' and Woolworths' stores.
- Section 3.5 considers the level and nature of competition between supermarkets on price. We find Coles and Woolworths have limited incentive to compete vigorously on price.
- Section 3.6 discusses the role of price comparison in promoting competition. We recommend supermarkets be required to publish clear and accurate pricing information.
- Section 3.7 considers non-price competition between supermarkets. We find non-price factors are key areas of competitive focus between supermarkets.
- Section 3.8 explores the role of Metcash. We find Metcash, as the primary wholesaler to independent supermarkets, is critical to the competitiveness of this segment.
- Section 3.9 assesses the likelihood of entry or expansion by competitors in Australia. We find we are unlikely to see significant entry or expansion in the short to medium term by competing full-service supermarkets.
- Section 3.10 considers supermarket retailers' access to sites. We find that securing suitable sites is challenging for all competitors, with Coles and Woolworths best placed to acquire the sites needed to expand.

This chapter includes 3 recommendations that are designed to promote competition at the retail level.

3.1 Competition in the supermarket industry matters

Competition describes rivalrous behaviour between firms. As articulated in the Competition Tribunal decision in Re Queensland Co-Op Milling Association Limited and Defiance Holdings Limited, '… effective competition requires both that prices should be flexible, reflecting the forces of demand and supply, and that there should be independent rivalry in all dimensions of the price-product-service packages offered to consumers and customers'.[132]

Competition creates incentives for supermarkets and their suppliers to become more economically efficient in 3 main ways:

- by reducing their costs of production (productive efficiency)
- by selling products that consumers want at lower prices (allocative efficiency)
- by investing in innovation with the object of creating new products that meet the needs and wants of consumers (dynamic efficiency).

Anything of value to consumers (or suppliers) is a potential point of differentiation in the competitive process. Consumers may value locally based customer service, a diverse range of goods or services, a large staff presence in-store, generous policies on returns or price-matching, enhanced levels of privacy, or environmental sustainability.

As such, both price and non-price aspects of competition are integral to the competitive process. In some circumstances, non-price competition may be the key feature of competition. For example, supermarkets may focus on offering the broadest range of goods or the best customer service. Consumers benefit from this dynamic process of competition, and markets become more efficient, agile and responsive to their demands.

In the absence of competition, a firm may have greater incentive and ability to increase prices and to reduce non-price aspects of its goods or services offer. A firm may also have more reason, and more ability, to exclude new entry and limit rivals from competing. In these circumstances, a firm is likely to have market power.

The supermarket industry is highly concentrated. As shown in table 2.1 in section 2.3.3, we estimate Woolworths has a 38% of national supermarket retail sales, Coles has 29%, ALDI has 9% and Metcash, as a proxy for independent supermarkets it supplies, has 7%. While these shares are at the national level, they are generally reflective of the overall degree of concentration. That concentration, in economic terms, is consistent with an oligopolistic market structure.

We also consider there are barriers to entry and expansion at a large scale (barriers to entry for a local area may be lower). Factors critical to successful entry and expansion are explained in detail in section 3.9.3. This includes building a supplier network, economies of scale at the wholesale level, capital and access to suitable retail sites (if a bricks and mortar business model is adopted).

We have observed that ALDI, Coles, Metcash and Woolworths very closely monitor the pricing and strategies of each other.[133] The quality and service levels of each provider are easy for all market participants to observe given anyone can access all stores and websites. Similarly, competitors become aware of in-store innovations (and others to the extent they are observable) when they are implemented.

132 *Re Queensland Co-Op Milling Association Limited and Defiance Holdings Limited (QCMA)* (1976) 8 ALR 481, 512.

133 See, for example, ACCC, public hearing transcript, 11 November 2024, p 264; ACCC, public hearing transcript, 14 November 2024, p 375; ACCC, public hearing transcript, 18 November 2024, pp 484, 486, 491; ACCC, public hearing transcript, 21 November 2024, pp 677, 681, 685, 690.

Oligopolistic market structures can limit incentives to compete vigorously on price. For example, in circumstances where there are 2 major supermarkets, and one believes that a reduction in prices (through a reduction in profit margins) will provoke an equal price reduction by the other, this may result in a lower profit margin without the growth in market share that was sought. Such a market structure is generally not conducive to vigorous competition.

We expect more highly concentrated oligopolies to result in inferior economic outcomes than less concentrated oligopolies. A change in market structure from a 4-firm oligopoly to a 3-firm oligopoly is generally expected to result in a significant decrease in economic efficiency.

In markets exhibiting oligopolistic market structures, consumers and suppliers stand to benefit from measures to preserve existing competition and promote greater competition, for example by reducing barriers to entry or expansion.

In the inflationary context of this Supermarkets Inquiry, with cost-of-living pressures affecting all Australians, we have focused our analysis on price competition between supermarkets. As we would expect in an oligopolistic market structure such as Australia's supermarket industry, we find Coles and Woolworths have limited incentive to compete vigorously on price.

Despite our relative focus on price competition in this Final Report, we consider non-price competition is also vital. Competitors with differentiated offerings provide an important source of competitive tension for Coles and Woolworths. The convenience, service and tailored local range that independent supermarkets may offer is an important example of such competitive tension.

3.2 In particular, competition between full-service supermarkets is critical for consumers

Supermarkets are responsive to consumer behaviour. This section discusses consumer shopping behaviour and its impact on competition between supermarkets.

In our analysis of the closeness of competition between supermarkets, we have taken into account:

- consumers undertake different shopping missions and the priorities of the mission can determine which supermarket offering suits them best
- consumers are cross-shopping and comparing prices more than in the past, though they report this is challenging and time-consuming
- main shops remain a key driver of revenue for supermarkets, and are accordingly significant for competition
- convenience is a key factor for where many consumers choose to shop
- where and how consumers do their grocery shopping can become habitual.

Depending on where consumers live, they may have access to a suite of differentiated offerings (including online-only retailers, smaller convenience shops, and bulk warehouses) reflecting consumers' varied missions and priorities.

Consumers benefit from having different options to choose from, and alternative offerings are an important source of competition to the extent consumers shop around and unbundle grocery purchases.

Nevertheless, we consider that competition between full-service supermarkets remains vital for Australian consumers. Coles and Woolworths, as Australia's only full-service supermarkets with national coverage, are each other's closest competitors.

3.2.1 Consumers conduct different "shopping missions" depending on their preferences and needs, with most consumers doing a main shop

We understand consumers undertake different shopping missions. There is a range of different terms used and breakdowns of consumer shopping missions. For this inquiry, we use the following terminology: 'main shops', 'top-up shops' and 'food for tonight' (see box 3.1 below).

Box 3.1: Shopping missions

One way supermarkets analyse consumer behaviour is through shopping missions. We understand a shopping mission is used to refer to the purpose for which a consumer engages with a retailer.

The ACCC's 2008 Grocery Inquiry found most consumers tended to make their major grocery purchases on a weekly basis, with smaller top-up purchases throughout the week.[134]

In its 2024 Grocery Report, the NZCC defined the following shopping missions:

- main shop – a shop happening weekly, or another regular interval based on the convenience of using one grocery store to get all necessities in one place
- secondary shop – a visit to one or more store(s) other than the store the main shop is carried out at, to shop for specific products
- top-up shop – a quick shop for a small number of items.[135]

Supermarkets use a range of terminology and breakdowns to analyse shopping missions. There is no single accepted set of definitions. We have noted the following examples:

- The 'main shop' concept is common, although has different names including 'weekly shop',[136] 'big baskets',[137] 'significant planned pantry shop'[138] and 'stock up' shop.[139]
- The 'top-up shop' concept is becoming more common.[140]
- There are various other smaller shopping missions, including 'food for tonight'[141] and 'grab and go'.[142]

The ACCC's consumer survey asked consumers how they typically do their grocery shopping:

- 50% of respondents reported doing one large weekly shop plus a few smaller top-up shops
- 18% do only one large shop for the week (and nothing else)
- 5% buy in bulk fortnightly or monthly.[143]

134 ACCC, Grocery Inquiry Final Report, 5 August 2008, p 70.
135 New Zealand Commerce Commission, First Annual Grocery Report, 4 September 2024, p 13.
136 ACCC, public hearing transcript, 11 November 2024, p 228; ACCC, public hearing transcript, 18 November 2024, p 475.
137 ACCC, public hearing transcript, 18 November 2024, p 482.
138 ACCC, public hearing transcript, 14 November 2024, p 376.
139 ACCC, public hearing transcript, 11 November 2024, p 249.
140 ACCC, public hearing transcript, 21 November 2024, p 684.
141 ACCC, public hearing transcript, 14 November 2024, p 376.
142 ACCC, public hearing transcript, 11 November 2024, p 249.
143 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 153.

3.2.2 Consumers are shopping around and comparing prices more than previously, but it is a time-consuming task

Coles and Woolworths said many consumers are increasingly 'cross-shopping,'[144] that is, purchasing groceries from multiple retailers in a given period.

Our consumer survey data suggests most consumers tend to visit multiple venues in a given week. In response to our consumer survey, nearly 70% of respondents indicated they visit either 2 or 3 stores in a typical week.

We consider this figure does not necessarily indicate all or most consumers are unbundling the bulk of their grocery shopping across stores in response to price differences. Rather, we consider that for at least some consumers, visiting 2–3 stores in a week is likely to reflect different shopping missions (such as doing a small top-up shop at a small format supermarket during the week, or purchasing specific items not available at the consumer's main grocery store). We also note that cross-shopping habits may not be uniform across all consumers and demographics.

However, we have also received information regarding cost-sensitive consumers shopping around and comparing prices to save money. In free text responses to our consumer survey, respondents said grocery shopping is more time-consuming than ever, because they have to spend a lot of time comparing prices, trying to choose the most cost-effective produce, items or brands, and visiting different stores to get the best prices. For example, we heard:

> 'Shopping used to be an enjoyable part of my week, the majority of our shop was done in one go and I took my time looking at new products. Now it feels like it is becoming a never-ending chore. There is the comparing specials online, then working out what to get where to maximise return for [dollars] spent'
>
> 'I spend countless hours comparing prices of products online in preparation for a shop now'
>
> 'Comparing prices and shopping around while working and running household isn't feasible. There just isn't enough time'
>
> 'I am also having to drive further and to more shops to ensure that we have all of our groceries (e.g., fruit and veg, bakery, butchers etc) than compared to previously'.

UpUp submitted 'Australians are spending up to multiple hours each week reviewing and comparing catalogues of the supermarkets, and then making multiple trips to different supermarkets during the week'.[145] AMES also submitted the 'significant disparities in prices for identical items across different stores necessitates careful scrutiny and for consumers to "shop around" to ensure they are getting the best value for money.'[146]

These survey responses and submissions suggest that while some consumers are spending more time comparing prices and cross-shopping than in the past, it is a time-consuming task. Many consumers report feeling they do not have time to compare prices and shop around effectively. We consider that in contrast to these consumers, time-poor consumers are less likely to unbundle their grocery shopping across multiple supermarkets to save money, and are more likely to opt for convenient options (including doing the bulk of their shopping in a main shop). As outlined below, convenience was the most commonly cited factor determining how consumers choose their main grocery store.

144 ACCC, public hearing transcript, 18 November 2024, p 474; ACCC, public hearing transcript, 21 November 2024, p 691.

145 UpUp, Submission to the Inquiry Issues Paper, published May 2024, pp 5–6.

146 AMES Australia, Submission to the Inquiry Issues Paper, published May 2024, p 2.

3.2.3 Despite increasing cross-shopping, main shops remain highly valuable for supermarkets

Even though cross-shopping may be becoming more common for some consumers, higher dollar value main shops have remained an important driver of supermarket revenues and strategy over time.

For example, in a 2019 slide pack Coles referred to data from FY2017 which showed that, at that time, the top-up shop was the most frequent shopping mission accounting for 41% of total transactions; the weekly shop was the second most popular with 24%.[147] The data showed that, in FY2017, weekly shops accounted for 63% of total units sold and 59% of total sales revenue, demonstrating their strategic and commercial importance.

Despite potentially changing consumer behaviours over time (as discussed above), a more recent Coles document from 2023 identified 'big baskets' as accounting for the most significant portion of Coles' food retail revenue (compared to 'small baskets' and 'medium baskets').[148]

Similarly, an ALDI document from January 2023 noted that of 12 different shopping missions, the 'large shop' was the most common shopping mission and accounted for the most significant portion of ALDI's supermarket sales.[149]

3.2.4 Convenience is key for consumers and competition

For consumers who have a choice of main grocery store (in terms of where they spend the most or do most of their shopping), convenience is a key factor affecting this choice. In responses to our consumer survey, when asked for the top 5 or fewer reasons for their main grocery store choice, 'convenience' was the most commonly selected factor, chosen by 79% of respondents (and ranked most important by 33% of respondents). As outlined in section 2.3.8, consumers in regional areas, and particularly in remote areas, are more likely to have limited or no choice of supermarket.

At the public hearings, Coles and Woolworths both identified convenience as a key area of competition among food and grocery retailers.[150] ALDI used the term 'utility' which we understand from ALDI's submission to have a similar meaning to convenience (as used by Coles and Woolworths).[151]

To our knowledge, convenience does not have a precise definition in the supermarket industry. ALDI said 'utility' covers store location, online or loyalty programs, breadth of range, shopping experience, and described utility as 'the primary driver of decision as to where to shop.'[152]

At the public hearings, Woolworths said it has '…invested substantially in our ecommerce business and offerings to be able to provide customers with the convenience of being able to pick up products in our stores, have it delivered online.'[153] It also said that for consumers seeking convenience, that is not limited to ecommerce and also includes (for example) product ranging, such as at Woolworths Metro stores which offer 'a meal solution, breakfast, lunch and dinner.'[154]

147 Information provided to the ACCC.
148 Information provided to the ACCC.
149 Information provided to the ACCC.
150 ACCC, public hearing transcript, 18 November 2024, p 474; ACCC, public hearing transcript, 21 November 2024, p 675.
151 ACCC, public hearing transcript, 11 November 2024, p 223.
152 ACCC, public hearing transcript, 11 November, 2024, p 223.
153 ACCC, public hearing transcript, 18 November 2024, p 492.
154 ACCC, public hearing transcript, 18 November 2024, p 497.

We consider convenience is a composite of several qualities, including (at least):

- location
- site amenity, such as access, parking and store layout
- online options such as delivery and click-and-collect
- range (and whether consumers can do the bulk of a large grocery stop at one location).

These qualities are likely to be weighted to varying degrees by different consumers, and for different shopping missions. For example, Metcash said during the public hearings '…by definition, a convenience store is designed to be there for things that you need right now and be very close and convenient in supplying those goods.'[155] That is, a convenience store might primarily be convenient for consumers doing a small top-up shop due to their location and targeted small range. Metcash further said '…an IGA would typically carry a much broader full supermarket range of products compared to a smaller convenience store.'[156] As such, an IGA supermarket may be more convenient for a consumer conducting a larger grocery shop (because the consumer does not need to attend more than one retailer).

3.2.5 Where consumers shop for groceries can become habitual

Habit may be another important force governing consumer choice among grocery retailers. The Behavioural Insights Team report we commissioned by for this inquiry described how the 'frequent, repetitive, low risk nature of grocery purchasing decisions can create ideal conditions for habit formation…'[157] It also noted that 'once established, habits can be challenging to change, as they are driven by familiar environmental cues and reinforced by the perceived rewards associated with the behaviour.'[158]

We consider familiarity with a store's layout and ease of finding products is also likely to be an important factor in driving habitual shopping, as finding products in a less familiar supermarket takes additional time.

3.2.6 Consumers concentrate their spend at certain stores and brands

Recent analysis also suggests consumers concentrate their grocery expenditure at certain brands and stores.

The E61 Institute's September 2024 study of NSW and ACT consumer grocery spend found 59% of consumers in the study concentrated more than half of their total grocery expenditure in 2022 at a single store; 81% of consumers in the study concentrated more than half of their expenditure at a single supermarket brand.[159]

The study found that for NSW and ACT customers who visited Coles or Woolworths for their primary store in a given month, 67% continued to shop with the same brand in the next month compared to only 47% of ALDI customers.[160] Most of the Coles and Woolworths customers that switched went

155 ACCC, public hearing transcript, 14 November 2024, p 374.

156 ACCC, public hearing transcript, 14 November 2024, p 374.

157 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, November 2024, p 9 citing W Wood and DT Neal (2009), 'The habitual consumer', *Journal of consumer psychology*, 19, pp 579–592.

158 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, November 2024, p 9 citing JE Staddon and DT Cerutti (2003), 'Operant conditioning', *Annual review of psychology*, 54(1), pp 115–144.

159 Matthew Elias, From aisles to oligopolies: new insights on supermarket competition in Australia, 30 September 2024, p 4.

160 Matthew Elias, From aisles to oligopolies: new insights on supermarket competition in Australia, 30 September 2024, p 6.

to the other (that is, Coles to Woolworths and vice versa). Of Coles and Woolworths customers that stayed with the same brand month to month, 75% revisited the same store.[161]

In addition, consumers' tendency to favour certain stores or brands persists over longer periods of time – the same study indicates more than 60% of consumers in the study that did their primary shop at Woolworths in month 1 also did their primary shop at Woolworths in month 6.[162]

3.2.7 Supermarkets monitor and respond to changes in market share over time

In our review of internal documents, we observed examples of monitoring and responding to changes in market share, typically on a national basis.

Market share estimates are typically sourced from Circana or NielsenIQ.[163] In one of Coles' internal documents, it identified that Woolworths had taken a significant amount of market share of the rapidly growing grocery online retailing channel, and listed 'accelerate Coles online' business as one of its key opportunities. Specifically, the document noted the importance of increasing the supermarket's online capacity, service levels, user experience and marketing support, given consumers were continuing to shift their spend to online channels. We consider this document, taken as a whole, indicates Coles' competitive response to Woolworths' position in online retailing.[164]

Changes in market share drive competitive tension between supermarkets. As discussed at section 3.6.6, measures encouraging or facilitating consumers unbundling their shopping mission or switching main store will enhance this competitive tension.

3.2.8 Competitive differentiation among supermarkets targets different shopping missions

Australia's differentiated supermarket formats capture different shopping occasions and consumer preferences. As outlined above in figure 2.8 in section 2.3.1, these differentiated formats include full-service, small format, hard discounter, subscription warehouse and premium gourmet supermarkets.

At the public hearings, Metcash gave evidence that shopping missions are '…the best way to think about who…each retailer competes with'.[165] Metcash gave an example, stating Costco's subscription warehouse model targets what Metcash calls the 'monthly pantry load'[166] which we understand to mean a large, infrequent main shop on primarily non-perishable groceries.

A Woolworths presentation from 2015 identified that Woolworths required new products and formats to better serve 'Food For Now/Later' missions.[167] We consider Woolworths' expansion of its Metro store format is partly aimed at addressing this need. Woolworths launched its Woolworths Metro small format stores in 2013, growing to 16 stores by mid-2016.[168] Woolworths now operates 105 Metro stores.[169]

161 Matthew Elias, From aisles to oligopolies: new insights on supermarket competition in Australia, 30 September 2024, p 6.

162 Matthew Elias, From aisles to oligopolies: new insights on supermarket competition in Australia, 30 September 2024, p 7.

163 Information provided to the ACCC.

164 Information provided to the ACCC.

165 ACCC, public hearing transcript, 14 November 2024, p 375.

166 ACCC, public hearing transcript, 14 November 2024, p 375.

167 Woolworths, Woolworths Investor Strategy Day presentation, May 2015, slide 42.

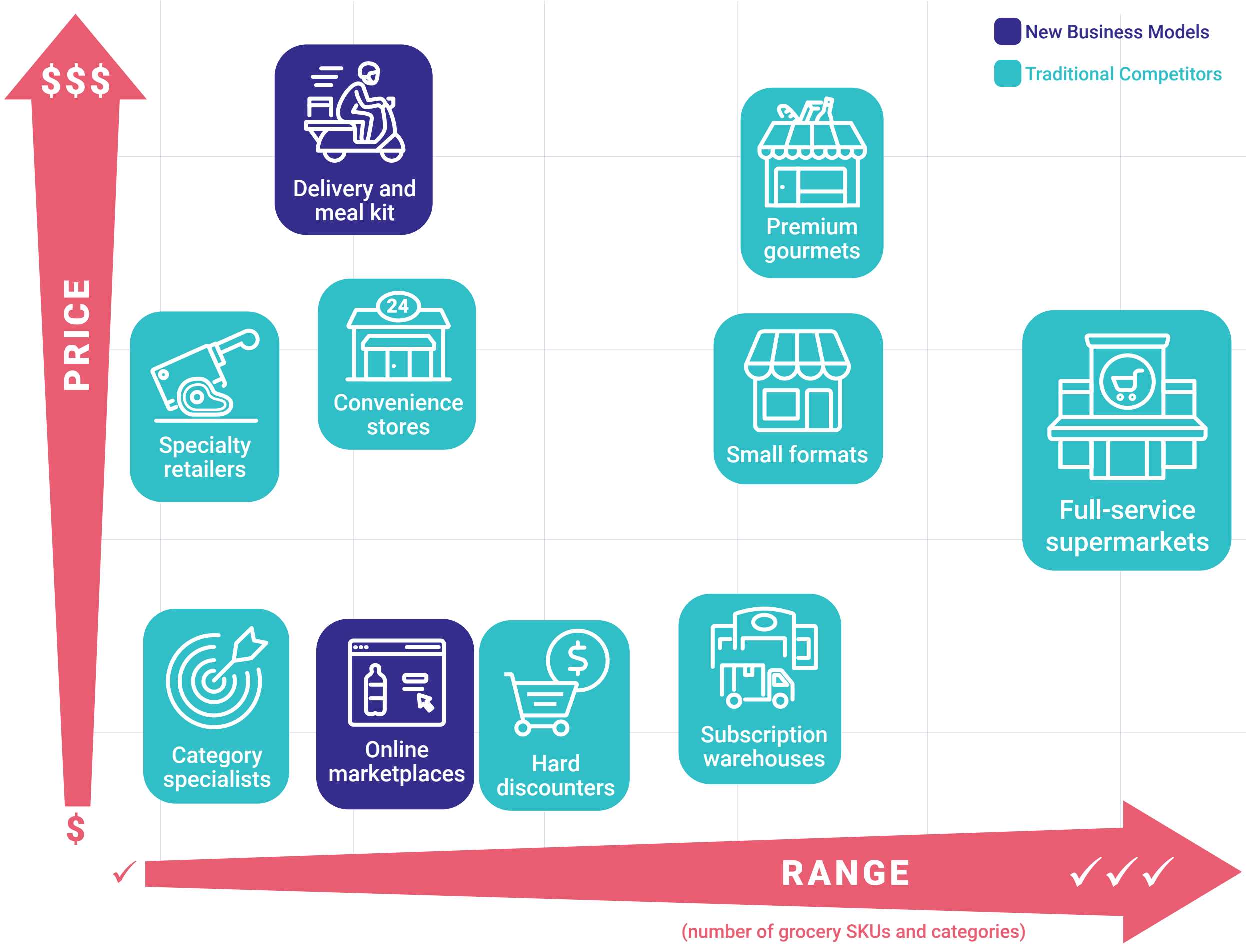
168 Claire Hibbit, , Woolworths Metro roll out continues as smallest store to date opens, *Convenience & Impulse Retailing*, 22 June 2016, accessed 18 February 2025.

169 ACCC, public hearing transcript, 18 November 2024, p 473.

Figure 3.1 visualises grocery retailer differentiation, including supermarket formats, charted on axes for price and range. There are other factors differentiating grocery retailers (for example, convenience and quality) and the figure may give the impression full-service supermarkets are less important than they are. Nevertheless, the figure depicts the variety of grocery retailers and how they are differentiated to target different shopping missions or demographics.

In our view, the more similar 2 retailers are, the more likely they are to compete closely with one another. The extent to which consumers are willing and able to unbundle their shopping mission and shop around will determine how competitively constrained Coles and Woolworths are by other retailers.

Figure 3.1: Supermarkets and other non-supermarket grocery retailers, visualised by price and range



3.2.9 Coles and Woolworths are each other's closest competitors due to their full-service offerings and national store networks

Our view is that Coles and Woolworths, as Australia's largest national full-service supermarket chains, are each other's closest competitor. During the public hearings, Coles said it would '...describe [Woolworths] as the competitor that most looks like [Coles] and, therefore, our major competitor.'[170] When questioned during the public hearings, Woolworths agreed Coles was its closest competitor based on market share.[171]

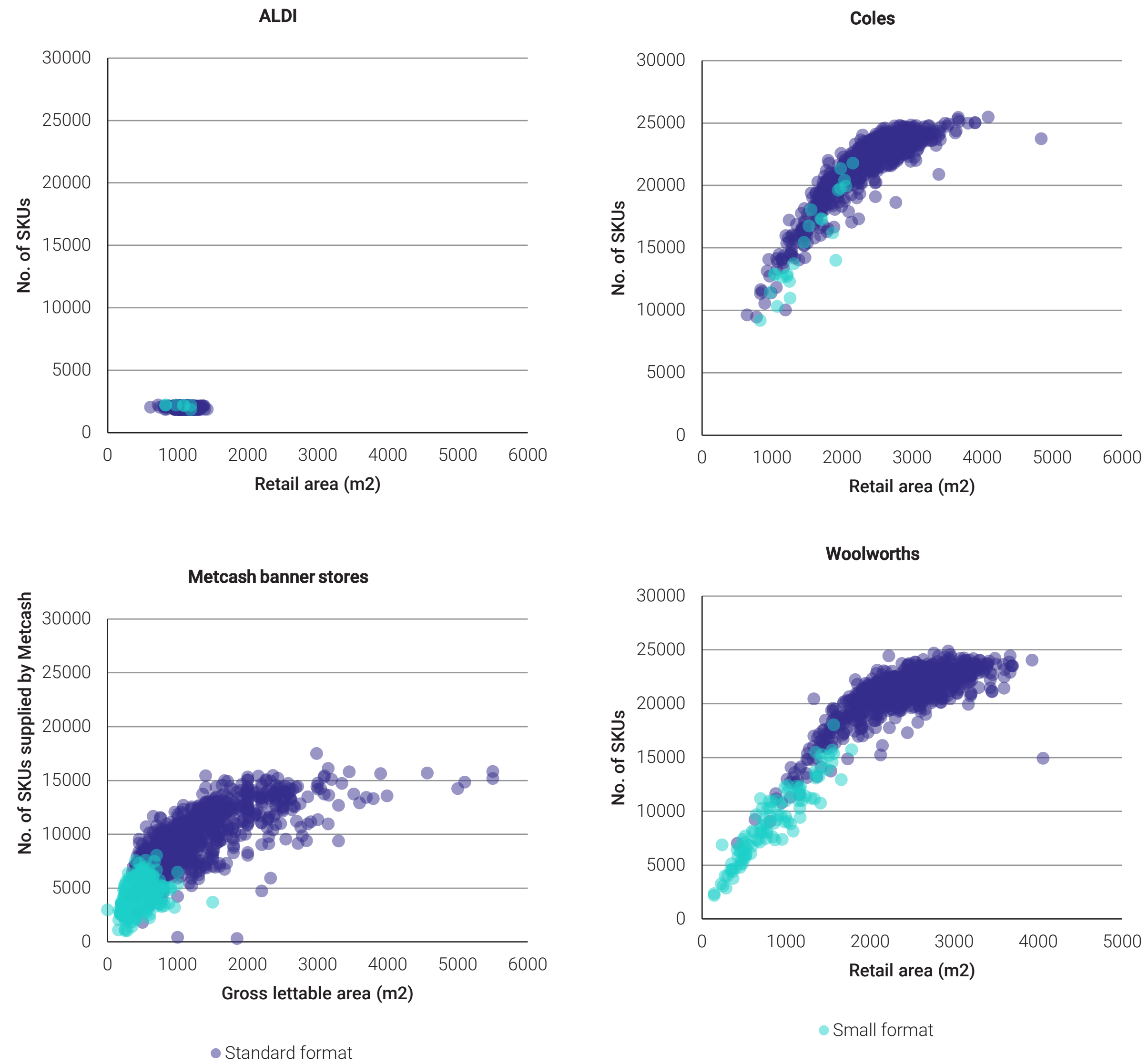
170 ACCC, public hearing transcript, 21 November 2024, p 676.

171 ACCC, public hearing transcript, 18 November 2024, p 478.

The closeness of Coles' and Woolworths' service offerings in terms of store sizes and product range is depicted in Figure 3.2 below. Most standard format Coles and Woolworths supermarkets have a retail floor area between 1,500–4,000m², and stock between 15,000–25,000 SKUs.[172] By way of comparison, ALDI's hard discounter retail offering focuses on markedly smaller store floorplans (~1,000m²) and product ranges (generally stocking approximately 1,800–2,000 SKUs).[173]

Figure 3.2: Differentiated offerings are apparent when we compare stores

ALDI, Coles, Metcash banner stores and Woolworths stores by size and number of SKUs in all Australian states and territories, 2024[174]



Source: ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 142; Information provided to the ACCC.

172 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 141.

173 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 141.

174 Figure 3.2 uses retail area for ALDI means retail floor space for ALDI, Coles and Woolworths and gross lettable area (GLA) for Metcash banner stores (for which retail floor space data was unavailable). This likely overstates the floor space for Metcash banner stores relative to other supermarkets. For the vast majority of stores which the ACCC has data on, retail area is between 61% and 74% of GLA, with a median of 68%.

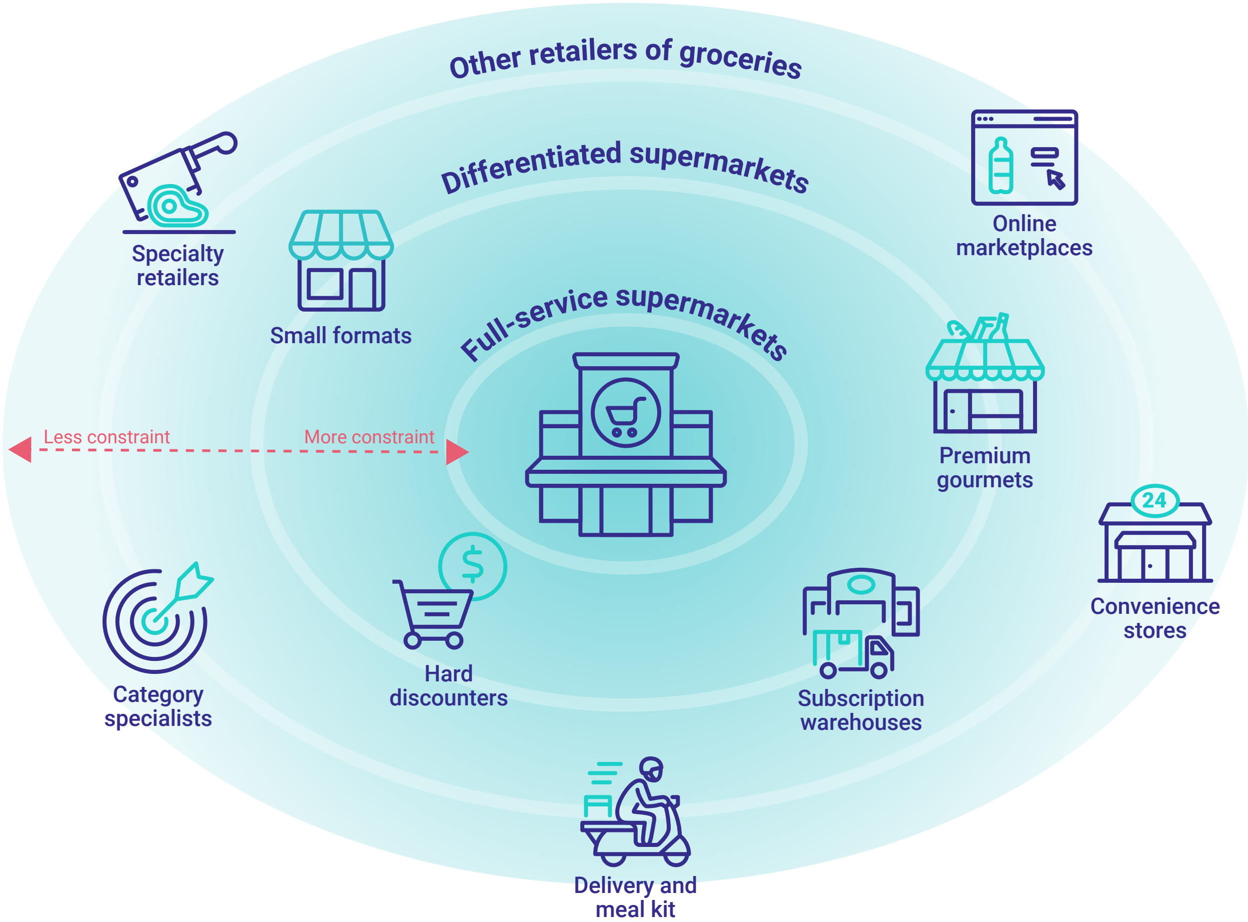
Figure 3.3 below is a stylised representation depicting our view of closeness of competition between full-service supermarkets (traditional supermarkets) and other grocery retailers.

Among Australia's grocery retail sector, we consider full-service supermarkets are each other's closest competitors, which may be subject to competitive constraint from 'differentiated supermarkets' and a lesser degree of competitive constraint from 'other retailers of groceries'. This framework informs our approach to retail competition analysis in sections 3.5 and 3.7.

We note that this simplified diagram does not take into account all elements of, and factors influencing, the closeness of competition between supermarkets (including store network size, geographic proximity and network overlap).

Figure 3.3: Full-service supermarkets are each other's closest competitors

Stylised representation of closeness of competition to full-service supermarkets



3.3 Where competition is limited due to geographic factors, community-owned stores can benefit consumers

As outlined in section 2.3.8, consumers in regional areas, and particularly in remote areas, are more likely to have limited or no choice of supermarkets. In these areas, supermarkets are more likely to be local and natural monopolies due to geographic isolation (and implications for supply) and lower population density. However, some stakeholders have emphasised in submissions and at our public hearings that community-owned and community-run stores (which may be run as co-operatives) provide distinct benefits to consumers in limited choice areas, particularly remote areas.

3.3.1 Co-operative stores are different from traditional firms, with potential benefits for consumers in limited choice areas

At the public hearings, Indigenous Consumer Assistance Network (ICAN) discussed the lack of choice of grocery retailers for consumers in remote communities.[175] We consider in such circumstances, competition among profit-maximising supermarkets alone may often be insufficient to effectively promote consumer welfare.

ICAN identified a number of benefits of community-owned and community-run stores in its evidence to the inquiry. Those benefits were based on feedback ICAN had received and included:[176]

- Community-owned and community-run stores are highly valued by remote community members, and more trusted than privately owned stores.[177]
- Prices in community-owned and community-run stores are comparatively lower than prices at privately-owned stores.[178]
- We note ICAN did not seek to speak for all remote communities in providing this evidence.[179]

We expect many community-owned and community-run stores in remote areas operate as co-operatives. Associate Professor Chengsi Wang, Associate Professor Paul Thambar and Dr Filip Premik (Monash Digital and Mutual-Value Lab) submitted that because co-operatives have a fundamentally different mission to traditional firms, they have a positive role to play in these circumstances.[180] They submitted co-operatives prioritise maximising benefits for their members, and can accomplish this by adjusting prices and quality and redistributing profits through rebates, discounts and other member-centred incentives.[181] This in turn affects co-operative's decisions regarding market entry, production and pricing, often resulting in behaviours distinct from those of traditional firms.[182]

This distinction is particularly significant in regional and remote areas, which are more likely to be limited choice areas (potentially without a supermarket whatsoever). In these circumstances,

175 ACCC, public hearing transcript, 7 November 2024, pp 32–34.

176 ACCC, public hearing transcript, 7 November 2024, p 37.

177 ACCC, public hearing transcript, 7 November 2024, p 38.

178 ACCC, public hearing transcript, 7 November 2024, p 38.

179 ACCC, public hearing transcript, 7 November 2024, p 38.

180 Associate Professor Chengsi Wang, Associate Professor Paul Thambar, and Dr Filip Premik, Submission to the Inquiry Interim Report, published November 2024, p 2.

181 Associate Professor Chengsi Wang, Associate Professor Paul Thambar, and Dr Filip Premik, Submission to the Inquiry Interim Report, published November 2024, p 3.

182 Associate Professor Chengsi Wang, Associate Professor Paul Thambar, and Dr Filip Premik, Submission to the Inquiry Interim Report, published November 2024, p 3.

co-operatives may enter markets where profit-maximising firms may not (for example, due to limited profitability) and may become local monopolies.[183]

Monash Digital and Mutual-Value Lab further submitted the benefits offered by co-operatives in regional and remote areas include:

- **Inclusion**: enabling customers who may lack access to supermarket shopping to become customers, for example through member benefits such as discounts and rebates, or by entering underserved local areas.
- **Promoting competition**: where a co-operative enters a market which has an incumbent grocery store, it may prompt price competition by the incumbent.
- **Expanding consumer choice**: allowing customers to benefit from having more than one option of where to buy their groceries.[184]

3.3.2 Governments of all levels should consider ways to support community-owned grocery stores in limited choice areas

We consider that community-owned and community-run stores help support a broader Australian grocery sector that works for consumers, in particular for consumers in remote areas where choice is limited. Community-owned stores (which may be run as co-operatives) may operate in areas where profit-maximising firms would not. This has the potential to introduce a supermarket to areas which would otherwise be unserved or underserved.

We support further consideration by government of ways to support prospective and existing community-owned grocery stores in limited choice areas. We note it is important that any potential beneficiaries of support should be appropriately structured in line with relevant state and territory legislation, and with appropriate governance.

Separate to this inquiry, CHOICE, Consumer Credit Legal Service (WA), Financial Counselling Australia and ICAN have previously co-authored a submission which recommended the Australian Government support innovative community-led approaches to addressing food insecurity through increased grant funding.[185]

We also note the Federal Government has announced measures to ensure the prices of 30 essential products in more than 76 remote stores are the same as city prices, as well as boosting warehouse capacity to shorten freight distances and to make supply chains to remote communities less vulnerable.[186] See section 4.8.1 for further discussion.

183 Associate Professor Chengsi Wang, Associate Professor Paul Thambar, and Dr Filip Premik, Submission to the Inquiry Interim Report, published November 2024, pp 3–4.

184 Associate Professor Chengsi Wang, Associate Professor Paul Thambar, and Dr Filip Premik, Submission to the Inquiry Interim Report, published November 2024, pp 4–5.

185 CHOICE, Joint consumer submission to the Inquiry into Food Pricing and Food Security in Remote Indigenous Communities, June 2020, p 4.

186 Anthony Albanese, "Closing the Gap – Canberra", speech, 10 February 2025.

Recommendation 1

Governments should consider support for community-owned stores in limited choice areas (particularly remote areas) with appropriate governance measures

We recommend governments of all levels should consider ways to support community-owned and community-run stores in limited choice areas (particularly remote areas), to benefit consumers in places where competition is limited due to geographic factors. Beneficiaries of government support should, at minimum, be appropriately structured in line with relevant state and territory legislation, and with appropriate governance.

3.4 Prices are largely consistent at a state level within a supermarket chain's stores

This section:

- sets out the approach ALDI, Coles and Woolworths submitted they employ in pricing products sold in their stores
- presents our analysis of the extent to which these supermarkets price products consistently across their stores, using pricing and ticket information obtained during the course of this inquiry
- discusses differences in average prices paid for the same product at small format stores compared to standard format stores.

3.4.1 Supermarkets' uniform pricing policies do not apply to a range of products, including fresh produce

As noted in the ACCC's Interim Report, ALDI, Coles and Woolworths report they generally employ national or state-based pricing strategies with notable exceptions.[187] For example:

- ALDI gave evidence that it has national pricing,[188] however it indicated its fresh produce is generally priced on a state basis.[189]
- Coles submitted it has uniform statewide pricing, excluding fresh produce and certain product lines in very remote stores.[190] It submitted 'in practice, the vast majority of products are priced the same nationally'.[191]
- Woolworths submitted '…the vast majority of packaged products are sold at the same price across all supermarket stores nationally and fruit and vegetable pricing is state-based (with some limited exceptions)'.[192]

187 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 67.
188 ALDI, public hearing transcript, 11 November 2024, p 264.
189 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 68.
190 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 67.
191 Coles, Submission to the Inquiry Interim Report, published November 2024, p 8.
192 Woolworths, Supplementary submission to Inquiry Interim Report, published January 2025, pp 26–27.

Metcash submitted its banner stores operate independently and set prices to compete with local competition.[193] In the public hearings, Metcash stated it '…provides guidance to stores around the retail price' and that 'there are circumstances where we limit the maximum retail price that a store can sell for,' citing promotions as an example.[194]

Coles and Woolworths submitted that the application of their national pricing policies means customers benefit from competitive prices set on a national basis regardless of whether there are other competitors nearby. Specifically:

- Coles submitted the pricing constraint imposed by ALDI is not limited to those stores or locations where it currently has stores. For example, Coles' pricing in Tasmania is the same as in Victoria and ALDI has no presence in Tasmania.[195]
- In the public hearings, Woolworths stated it takes into account a broad range of competitors, '…including Coles, ALDI, Chemist Warehouse and others, and that pricing consideration is applied, broadly speaking, nationally'.[196] Woolworths further submitted 'even where there is no "local" ALDI store, consumers nevertheless benefit from ALDI's price competition with Woolworths, due to Woolworths' national pricing for package groceries, with only limited exceptions'.[197]

However as noted above, ALDI, Coles and Woolworths apply several exemptions to their pricing policies, particularly for fresh produce and other more perishable food such as meat and dairy products.

Coles submitted procuring fresh produce is more complex than in other perishable supply chains such as meat and dairy because '…the supplier base is highly fragmented, production can be affected by variable weather conditions and consumer purchasing patterns can change quickly.'[198]

Table 3.1 summarises the products that are not priced consistently nationally at each supermarket.

193 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 67.

194 ACCC, public hearing transcript, 14 November 2024, p 357.

195 Coles, Submission to the Inquiry Interim Report, published November 2024, p 6.

196 ACCC, public hearing transcript, 18 November 2024, pp 484–485.

197 Woolworths, Submission to the Inquiry Interim Report, published December 2024, p 6.

198 Coles, Submission to the Inquiry Interim Report, published November 2024, p 15.

Table 3.1: Products that may not be priced on a national basis

	ALDI	Coles	Woolworths
Fresh produce	State-based pricing[199]	Use of market pricing, which is organised by 'pricing zones' roughly at a state level[200]	State-based pricing, store-specific manager specials[201]
Meat	No claims by ALDI that it is exempt from national pricing policies	State-based pricing due to input variability. However, most meat products are priced consistently nationally[202]	No claims by Woolworths that it is exempt from national pricing policies
Beverages[203]	Due to varying cost of container deposit schemes across states set by each state government, prices may vary between states[204]	Due to varying cost of container deposit schemes across states set by each state government, prices may vary between states[205]	Due to varying cost of container deposit schemes across states set by each state government, prices may vary between states[206]
Seafood	No claims by ALDI that it is exempt from national pricing policies	No claims by Coles that it is exempt from state-based pricing policies	Limited state-based variations due to differing costs[207]

Across the supermarkets, products that are not claimed to be priced consistently nationally (fresh produce, meat and/or seafood) represented around 12–25% of total supermarket revenue in 2023–24.[208]

As stated in our Interim Report, other exceptions to national pricing also include:

- products marked down for clearance[209]
- products subject to state-based promotional activity[210]
- some products at remote stores due to higher transport or freight costs to these areas[211]
- products purchased online compared with in-store and in different format stores.[212]

199 Information provided to the ACCC.
200 Information provided to the ACCC.
201 Information provided to the ACCC.
202 Information provided to the ACCC.
203 As noted in section 5.2.2 of the Interim Report, exceptions to national pricing include products subject to a state or territory legislative requirement, such as beverage products where a state has implemented a Container Deposit Scheme.
204 Information provided to the ACCC.
205 Information provided to the ACCC.
206 Information provided to the ACCC.
207 Information provided to the ACCC.
208 Information provided to the ACCC.
209 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 68.
210 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 68.
211 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 68.
212 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 68.

3.4.2 The extent to which prices are uniform can differ depending on location, store type or product category

While ALDI, Coles and Woolworths currently have policies to provide uniform or consistent prices at a national or state basis (with some exemptions), there are no restrictions preventing ALDI, Coles or Woolworths from amending or transitioning away from this approach.

However, a shift to more local pricing would likely create marketing and online retailing complexities, and management inefficiencies, so we consider it unlikely there will be a broad shift back towards more localised pricing.

At the time of the 2008 Grocery Inquiry there was less standardisation in pricing. In the 2008 Grocery Inquiry, the ACCC completed a major empirical study of how different factors impacted local pricing at Coles and Woolworths, which demonstrated the importance of local competition.[213] Those findings suggest that, if ALDI, Coles and Woolworths resumed more localised pricing, it is likely that consumers shopping at stores with strong local competition would obtain lower prices, and consumers shopping at stores with limited local competitors would pay more, all else being equal.

We accept points made by Coles and Woolworths, that even those consumers shopping at a supermarket without an ALDI nearby benefit from the price competition that ALDI provides more broadly.[214] However, we consider consumers with a nearby ALDI are likely to benefit from higher levels of local competition which may take the form of different promotional cycles and non-price elements, such as range and store amenities. Further, we consider Coles and Woolworths likely have regard to an implicit 'average' circumstance for stores and such an approach means Coles and Woolworths would price more competitively if there were a greater number of closely located ALDI stores.

Using price and ticket information obtained during this inquiry, we analysed the extent of price consistency at a national and state basis across ALDI's, Coles' and Woolworths' stores, including whether ticket prices and prices actually paid were consistent with the policies set out in section 3.4.1. A description of the ticket and price information we gathered and the methodology used to assess this information is in Appendix C.

In summary, we found:

- In our view, ticket prices and prices actually paid by consumers are broadly consistent with the pricing policies the supermarkets have outlined, as set out in section 3.4.1. We did not find evidence of systematic departures from the pricing policies described by these supermarkets.
- At a national level, while ticket prices were generally less consistent for packaged goods, the price differences for these products were very small or only occurred in a small number of stores.[215]
- Within a state or pricing region, ticket prices were consistent the majority of the time within the Coles store network and within the Woolworths store network.[216]
- For Coles and Woolworths, deviations from state-based pricing were due to higher average prices paid in remote or very remote stores; Northern Australian stores; and for Woolworths, Woolworths Metro stores as well.[217]

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213 ACCC, Grocery Inquiry Final Report, 5 August 2008, pp 467–494 (Appendix D).

214 Coles, Submission to the Inquiry Interim Report, published November 2024, p 6; ACCC, public hearing transcript, 21 November 2024, p 685; Woolworths, Submission to the Inquiry Interim Report, published December 2024, pp 6–7, ACCC, public hearing transcript, 18 November 2024, pp 484–485.

215 Information provided to the ACCC.

216 Information provided to the ACCC.

217 Information provided to the ACCC.

We consider, with the exception of remote and Woolworths Metro stores, price competition appears to predominately (but not exclusively) take place at a national or state level. This is further reinforced by Woolworths' decision to no longer permit 'Manager Specials' which gave some discretion and empowered local store managers to make some of their own pricing decisions. During the public hearings, Woolworths stated it stopped running 'Manager Specials' earlier in the financial year on 7 August 2024, as they were 'not resonating with customers.'[218] Woolworths further stated 'Manager Specials' were only permitted to run in a subset of stores.[219]

We observed just one Western Australian metropolitan store, of the 83 Woolworths stores in our store sample, where 'Manager Specials' appeared to be used more regularly prior to the 2023–24 financial year.[220]

We consider supermarkets also compete on a range of non-price aspects of their offerings, discussed further in section 3.7.

While there were differences between ticket prices between stores in different states, price differences were small

At a national level, different product categories within Coles and Woolworths had varying degrees of ticket price consistency.[221] While ticket prices were generally less consistent for packaged goods, the price differences for these products were very small or only occurred in a small number of stores.[222]

Consistent with Coles' and Woolworths' claims, the amount of differential ticket prices between stores in different states varied depending on the product category for both Coles and Woolworths.[223] At Woolworths, among its departments the fresh produce department has the least ticket price consistency between stores. It also had the highest (42%) proportion of individual products where there was an inconsistency in ticket price between different stores at the national level.[224]

For both Coles and Woolworths, we found there were generally more instances of differential ticket prices in packaged goods compared to perishable food products. However, products with the lowest variation in ticket price were also mostly in packaged food categories.[225] There were price differences in approximately 52% of packaged food and 43% of non-food products for Coles,[226] and 32% of packaged food and 23% of non-food products for Woolworths.[227] In the stores we sampled, packaged food and non-food items had lower relative variation in ticket price compared to fresh produce, meats and bakery products sold in the stores sampled.[228] The absence of nationally consistent ticket pricing for packaged goods was largely driven by stores in Northern Australia.[229]

218 ACCC, public hearing transcript, 19 November 2024, p 559.

219 ACCC, public hearing transcript, 18 November 2024, p 524.

220 Information provided to the ACCC.

221 Information provided to the ACCC. This analysis was conducted on ticket prices in 14 Woolworths stores and 19 Coles stores (including 4 Coles Local stores) with the highest number of products stocked. We analysed the percentage of instances where there was a price difference in each promotional week of the same product between stores. This analysis did not include Woolworths Metro stores given prices are not consistently priced with standard format stores and did not include instances where products were on clearance or subject to a store managers special.

222 Information provided to the ACCC.

223 Information provided to the ACCC.

224 Information provided to the ACCC.

225 Information provided to the ACCC.

226 Information provided to the ACCC.

227 Information provided to the ACCC.

228 This likely reflects the fact that the majority of the items are priced on a state or regional basis. Information provided to the ACCC.

229 Information provided to the ACCC.

There is a high level of consistency in ticket prices for a chain's stores within a state or pricing region

Within each state or pricing region, ticket prices were consistent between Coles and Woolworths stores for the majority of the time.[230] With the exception of fruits and vegetables in Western Australia and New South Wales pricing regions, an average of less than 2% of products had different ticket prices among sampled stores in a state pricing region for Coles and Woolworths.[231]

The biggest differences we found was among sampled Woolworths stores in Western Australia and New South Wales, where 37% and 7% of fresh produce had a different price to the rest of the state, most likely due to specific stores where managers specials were more widely applied and recorded. With the exception of fresh produce in Western Australia, Woolworths' ticket prices were similar between Queensland, Victoria/Tasmania and South Australia, with differences in average ticket prices for less than 10% of products. Packaged food had an average 1.6% of products priced differently between Woolworths stores in Northern Territory.[232]

Our analysis suggests ticket prices were relatively consistent between Coles stores within a state. While differences are small, Coles stores in Victoria had the highest average percentage of products where there was a ticket price difference between stores compared to other states.[233]

Differences in average prices paid were primarily driven by remote stores or differences in store type

Using pricing information from 2019 to May 2024 for a sample of ALDI, Coles and Woolworths stores, including small format stores, we examined the average prices paid by consumers for each product sold. We compared the average price paid for the same product in each store relative to other stores within the supermarket chain's pricing region. Refer to Appendix C for further discussion of our methodology.

Deviations from consistent state-based pricing were largely due to higher average prices paid in remote or very remote stores, (noting ALDI does not have any remote stores).[234] Stores with the largest differences in average prices paid were mostly in Northern Australia or Woolworths Metro stores.[235] As described in section 4.8.1, Coles stores in Western Australia include a number of very remote stores which attract a freight mark-up.[236]

Of sampled Woolworths stores, Victoria (-1.2–7%) and the Northern Territory (-1.1–5.7%) had higher difference in prices paid for the same products, while South Australia had the lowest (less than 0.3%) average price difference.[237] Analysis of case study product prices in remote Australia is set out in section 4.8.1.

230 Information provided to the ACCC.
231 Information provided to the ACCC.
232 Information provided to the ACCC.
233 Information provided to the ACCC.
234 Information provided to the ACCC.
235 Information provided to the ACCC.
236 Information provided to the ACCC
237 Information provided to the ACCC.

For Coles, average prices for fresh produce were more likely to be different within a pricing region than other products.[238] The average price difference for fresh produce was between -0.4–0.6% at sampled ALDI stores, -8.9–4.2% for Coles and -4.2–9.9% for Woolworths compared to other stores in the region.[239] In our view, the larger range in prices paid at Coles and Woolworths stores reflects that our sample included Coles and Woolworths stores in remote communities where ALDI does not operate.

3.4.3 Prices are generally higher in Woolworths Metro stores

As discussed in our Interim Report, ALDI, Coles and Woolworths all have small format store offerings, namely ALDI Corner Store, Coles Local and Woolworths Metro.[240]

ALDI and Coles submitted their small format stores price products consistently with standard format stores.[241] Our analysis of a sample of ALDI Corner Stores and Coles Local stores found prices to be almost identical to standard format stores.[242]

The average price difference for Coles Local stores was between 0.1–1%, lower than the average of standard format stores in their state.[243] Similarly, prices paid at ALDI's standard format stores and Corner Stores were very similar, with the average price difference compared to stores in their state for both sampled Corner Stores and all ALDI stores sampled between -0.1–0.3%.[244]

Woolworths Metro stores appear to employ a different pricing strategy to Woolworths standard format stores. In the public hearings, Woolworths stated it tailors its price proposition at Woolworths Metro stores because 'these stores tend to operate in much more expensive locations… rents are just different, as you might imagine, in a large city than they might be elsewhere…'[245] We expect product pricing at Woolworths' Metro stores may also be impacted by its 'curated' range and convenience.[246]

We analysed the range of products sold, and prices paid, at Woolworths Metro stores. Our analysis found that prices tend to be more expensive on average at Woolworth Metro stores than the same products at standard format stores.[247] Further, prices paid for the same products at different Woolworths Metro stores were not consistent.[248]

The vast majority of products sold at Woolworths Metro stores sampled were also sold at standard format stores. Of the Woolworths Metro stores we analysed with the greatest product availability in each state, 3–12% of products offered were not available in the largest standard format Woolworths store in the same state in a given year.[249]

Woolworths Metro stores had an average price difference of between -0.3%–7% compared to Woolworths stores in their pricing region or state (including both Woolworths Metro and standard format stores, such that we expect this may understate the difference compared to standard format stores only).[250] Based on effective prices consumers actually paid, between 45% to 82% of SKUs were

238 Information provided to the ACCC.
239 Information provided to the ACCC.
240 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 142.
241 ACCC, public hearing transcript, 11 November 2024, p 247; Coles, Submission to the Inquiry Interim Report, published November 2024, p 8.
242 Information provided to the ACCC.
243 Information provided to the ACCC.
244 Information provided to the ACCC.
245 ACCC, public hearing transcript, 18 November 2024, p 497.
246 ACCC, public hearing transcript, 18 November 2024, p 497.
247 Information provided to the ACCC.
248 Information provided to the ACCC.
249 Information provided to the ACCC.
250 Information provided to the ACCC.

more expensive than their pricing region in Metro stores compared to standard and small format stores.[251]

While a significant number of product categories exhibited different average prices paid between Woolworths Metro and standard supermarkets, this was less pronounced for fresh produce. Prices for fresh produce were, on average, higher at Woolworths Metro stores than at standard format stores, but the difference was less significant than for other products.[252]

Using ticket information for the same products in different Woolworths Metro stores, we also found that pricing was not consistent across Metro stores. Products in the Everyday Needs, Grocery Food and Chilled and Bakery Departments were significantly more likely to be priced differently across Woolworths Metro stores.[253]

As described in section 2.2, Australian groceries have experienced a period of high inflation in the reporting period particularly for price changes between 2021–22 and 2022–23 financial years. Our analysis of Woolworths' Metro stores reflects this general trend. While prices may be higher in Woolworths Metro stores, effective price rises did not increase as fast (as a proportion of initial price) as prices in standard format Woolworths stores.[254]

Box 3.2: Metro conversions may increase Woolworths' margins

As discussed above, Woolworths Metro stores are priced differently from its full-service supermarkets and for the stores we sampled we found prices are higher on average.

Woolworths opened its first Metro store in 2013[255] and now operates 105 stores[256] (see section 3.2.8 for further discussion). In the public hearings, Woolworths stated over the last 5 years, Woolworths has converted about 50 small full-line service supermarkets into Metro stores.[257] It stated for the vast majority of these stores, prices did not go up (however it depended whether they were 'neighbourhood' stores).[258]

We observe from one Woolworths internal document that recently converted stores are more profitable than Metro stores on average.[259] These recently converted stores are likely in higher socio-economic areas.

While we acknowledge operating costs may differ for Metro stores compared to full-service supermarkets, we consider Woolworths likely has some incentive to convert its full-line supermarkets to Metro stores given Metro prices tend to be higher and they may obtain higher margins.

251 Information provided to the ACCC.

252 Information provided to the ACCC.

253 Information provided to the ACCC.

254 Information provided to the ACCC.

255 Claire Hibbit, 'Woolworths Metro roll out continues as smallest store to date opens, Convenience & Impulse Retailing, 22 June 2016, accessed 18 February 2025.

256 ACCC, public hearing transcript, 18 November 2024, p 473; Woolworths Group, 2024 Annual Report, p 32.

257 ACCC, public hearing transcript, 18 November 2024, p 498.

258 ACCC, public hearing transcript, 18 November 2024, p 498.

259 Information provided to the ACCC.

3.5 Coles and Woolworths have limited incentive to compete vigorously on price

In this section we analyse incentives to compete on price. This analysis includes:

- how the oligopoly structure likely impacts incentives to compete, and that we have not observed Coles and Woolworths seeking to substantially discount prices below each other in aggregate
- the role of ALDI, which we find plays an important role on price. However, the competitive constraint is limited to the extent of its product overlap with Coles and Woolworths
- the price constraint from Metcash-supplied independents and non-supermarket retailers, which we find is limited.

3.5.1 The oligopoly structure of the Australian supermarket industry limits Coles' and Woolworths' incentive to compete vigorously on price

The Australian supermarket sector has an oligopoly market structure (that is, the vast majority of supply in the market is from a small number of firms).

In an oligopoly, firms are likely to maximise their profits based on expectations of how other firms are likely to react.[260] This may limit incentives to compete vigorously on price, if dominant firms believe that a reduction in prices by one firm will provoke an equal reduction by other dominant firms, resulting in a lower profit margin without a change in market shares.

When we asked whether Coles agreed with this proposition, Coles did not answer yes or no but answered that 'our view would be that price is a core part of the customer proposition for us that we compete on. And it's something we spend a lot of time and a lot of investment to get right … so I would describe it as quite fierce competition between us and our competitors'.[261]

In a market where the threat of significant entry or expansion in the short term is low, Coles or Woolworths would likely individually have little incentive to broadly discount prices significantly below the other. Doing so would likely prompt equivalent discounting by the other supermarket, thereby reducing profit margins with minimal change in market share. Our view is that significant entry or expansion by full-service supermarkets in Australia is unlikely; our reasoning is discussed in detail below at sections 3.9 and 3.10.

When we asked Woolworths whether it agreed with this proposition (and specifically whether it expects Coles to match its pricing, so it lacks incentive to try beat Coles), Woolworths did not answer yes or no but answered 'we are constantly reducing and adjusting our prices every week'.[262]

Sections 3.5.2 and 3.5.3 outline our view that in practice, Coles and Woolworths do not seek to price substantially below each other or ALDI.

3.5.2 We have not observed Coles and Woolworths seeking to substantially discount prices below each other in aggregate

Coles' and Woolworths' approaches to price competition with respect to each other appear to in practice reflect the theory of oligopoly price competition dynamics outlined above at section 3.5.1.

260 D W Carlton & J M Perloff (1990) *Modern Industrial Organization*, 4th edition, Pearson, Edinburgh, p 182.

261 ACCC, public hearing transcript, 21 November 2024, p 674.

262 ACCC, public hearing transcript, 18 November 2024, p 481.

That is, we have not observed evidence of either firm seeking to beat the other on price in aggregate by a substantial margin. By 'in aggregate', we mean across their ranges as a whole (rather than on particular products at particular times). However, we note our view is that Coles does seek to beat Woolworths in aggregate by a narrow margin, and that both firms seek to beat each other's pricing on particular products at particular times.

We have not observed Woolworths aiming to beat Coles on price in aggregate across its range

From the information we have observed in this inquiry, in our view Woolworths does not aim to beat Coles substantially on price in aggregate across its range. At any given time it may attempt to beat Coles on price for certain products, but not across its range as a whole.

At the public hearings, we explored with Woolworths its strategy for competing with Coles on price. We understand Woolworths' evidence to be that its current strategy is 'to compete on price … every single day of every week'[263] although 'price is not sufficient to win'.[264]

For example, Woolworths said '[w]e compete with Coles for customers, for items every single day alongside also, obviously, providing low prices on the products that we offer, our range, the services that we have from an ecommerce perspective. Every aspect of the experience of shopping grocery, we compete with Coles on.'[265]

To understand how and to what extent Woolworths competes with Coles on price, we then asked Woolworths about a public strategy document from 2015 which described Woolworths' priority to 'neutralise Coles and contain ALDI on pricing.'[266] The document separately described Woolworths' view at the time that 'we won't win on price alone – we will neutralise on price but get customers to put us 1st through experience, freshness and range'.[267]

Woolworths' answers included the following:

> MS SHARP: I might just ask you about what the strategy is now with Coles. Is the strategy to neutralise on price?
>
> MS BARDWELL: The strategy is to compete on price every single day and every single day of every week.
>
> MS SHARP: Does that mean that the strategy is to beat Coles on price or match Coles on price?
>
> MS BARDWELL: We will be attempting to beat Coles on certain products and prices as we compete. Absolutely.[268]

A 2019 Woolworths document provided to us states 'a material sustainable advantage [is] inconsistent with neutralising price'.[269] The same document says 'neutralise price' ambition allows us to win via other more differentiable aspects of our offer – with major competitors unlikely to cede price leadership.'[270] This document is approximately 6 years old and does not necessarily reflect Woolworths' present strategy (as articulated by Woolworths at the public hearings above).

263 ACCC, public hearing transcript, 18 November 2024, p 479.
264 ACCC, public hearing transcript, 18 November 2024, p 483.
265 ACCC, public hearing transcript, 18 November 2024, pp 478–479.
266 Woolworths, Woolworths Investor Strategy Day presentation, May 2015, slide 29.
267 Woolworths, Woolworths Investor Strategy Day presentation, May 2015, slide 51.
268 ACCC, public hearing transcript, 18 November 2024, p 479.
269 Information provided to the ACCC.
270 Information provided to the ACCC.

Nevertheless, we consider it provides relevant context for the meaning of 'neutralising' price for Woolworths in 2019 and insight into the nature of price competition between Coles and Woolworths.

More recently, in a Woolworths document, produced in March 2023 regarding its 2023–24 financial year strategy, we observed Woolworths describing a 'neutralise on price' strategy, though we note the document does not state this strategy is specifically in relation to Coles.[271]

Coles seeks to beat Woolworths on price by a narrow margin

At the public hearings, Coles' evidence was that its strategy has always been to beat Woolworths on price, and there have been periods where the targeted price advantage has been higher (or lower) over time.[272]

Coles elaborated that it uses price indices to measure its price against Woolworths, and targets more competitive pricing than Woolworths at the overall supermarket level (that is, in aggregate across all product ranges).[273] Coles also gave evidence that although it tries to achieve a price advantage, Woolworths is responsive on price, meaning many products will be priced the same in a given week.[274]

At the public hearings, Coles also argued it is incentivised to compete vigorously with Woolworths on price because of its relatively smaller scale; as Woolworths is about 20% larger than Coles, Coles considers in many cases that Woolworths has the advantage on convenience or location.[275]

In its submission to our Interim Report, Coles submitted that before its demerger from Wesfarmers in 2018, its focus on price competition over and above other aspects of its offering for a number of years had reduced Coles' competitive position.[276] It submitted that reduced investment in non-price aspects such as its fresh food offering, store expansion and renewals, together with range reductions alienated many customers, resulting in declines in Coles' market share.[277] It further submitted that since the demerger from Wesfarmers, its strategy has been to focus on price competition but also on other non-price drivers of value.[278]

We infer from this that since 2018, Coles has targeted a relatively smaller price advantage against Woolworths, with the rationale that this enables it to invest relatively more in non-price aspects of competition.

3.5.3 ALDI plays an important role on price

ALDI's entry and expansion in Australia has had a material impact on the supermarket industry. It introduced an important source of choice for many consumers who consider value is a key determinant in where they buy their groceries (though it is not available for consumers in Tasmania, the Northern Territory, and remote areas).

As a hard discounter, ALDI is an important source of price constraint on Coles and Woolworths. It creates downward pressure on prices.

However, this constraint is limited to an extent by its smaller and private label focused range, lack of online offering and the fact it is not present in some regions. Consequently, ALDI is not a viable

271 Information provided to the ACCC.
272 ACCC, public hearing transcript, 21 November 2024, p 675.
273 ACCC, public hearing transcript, 21 November 2024, p 678.
274 ACCC, public hearing transcript, 21 November 2024, p 678.
275 ACCC, public hearing transcript, 21 November 2024, p 679.
276 Coles, Submission to the Inquiry Interim Report, published November 2024, p 4.
277 Coles, Submission to the Inquiry Interim Report, published November 2024, p 4.
278 Coles, Submission to the Inquiry Interim Report, published November 2024, p 4.

alternative for some consumers, such as time-poor consumers who need the convenience of a one stop shop offering. In addition, ALDI faces no direct competition as a hard discounter. Other countries, such as Germany, benefit from competition between multiple hard discounters.[279]

Despite these limitations, our view (outlined below) is that ALDI demonstrates the benefit for consumers of increased competition in the supermarket industry at the retail level.

ALDI is a valuable source of price competition across most categories on its limited range of products

ALDI submitted in its response to the Issues Paper '[w]e are proud that we have been able to maintain our price gap of between 15 and 20 per cent to our competitors…'[280] ALDI said in the public hearings that the competitors it was referring to are Coles and Woolworths.[281]

At our public hearings, Coles described ALDI as presently 'the primary hard discounter that plays in this market'.[282] Both Coles and Woolworths described perceiving ALDI as a key competitor.[283] Coles also said ALDI 'position[s] themselves as the lowest price in the market'.[284]

We understand a primary mechanism through which Coles and Woolworths respond to price competition by ALDI is through competitively priced private label product ranges.

In public hearings, Coles gave evidence that it seeks to range private label products in key essential areas that ALDI ranges, and to be price competitive on this range.[285] Coles gave evidence that it does not have a private label match for every ALDI product line, meaning that its price index overall against ALDI will be slightly higher due to the higher pricing of some branded product lines.[286]

When we asked Woolworths about its competition with ALDI on price, it similarly gave evidence that its private label range is its primary method of competing with ALDI on price, saying its private label products are on average 30% cheaper than its branded products.[287]

As discussed in detail at section 7.2.2, Coles and Woolworths tend to earn higher margins on branded products compared to private label products.[288] We consider this likely demonstrates the competitive constraint imposed by ALDI on Coles and Woolworths with regard to their private label ranges (as distinct from their branded product ranges).

A Coles Executive Leadership Team strategy document from 2019 suggested truly pressuring ALDI on price would require a transformed low-cost operating model and identified a target price level (relative to ALDI) which it considered would not trigger a price war.[289]

We note this document is 6 years old and as we discuss above, we consider ALDI is imposing important competitive constraint on Coles and Woolworths. We include this example as, in our view, this indicates that at least in the past, Coles has considered pricing which reflects our view of

279 For example, Statista estimates that in Germany in 2024, hard discounters (ALDI, Lidl and Netto) had a 42% share of revenue. Statista, Ranking of the most popular discounter supermarkets (purchase in the last six months) in Germany from 2018 to 2021, 8 October 2024, accessed 18 February 2025.

280 ALDI, Submission to the Inquiry Issues Paper, published May 2024, p 1.

281 ACCC, public hearing transcript, 11 November 2024, p 262.

282 ACCC, public hearing transcript, 21 November 2024, p 672.

283 ACCC, public hearing transcript, 18 November 2024, p 484; ACCC, public hearing transcript, 21 November 2024, p 683.

284 ACCC, public hearing transcript, 21 November 2024, p 683.

285 ACCC, public hearing transcript, 21 November 2024, p 685.

286 ACCC, public hearing transcript, 21 November 2024, p 686.

287 ACCC, public hearing transcript, 18 November 2024, p 486.

288 Information provided to the ACCC.

289 Information provided to the ACCC.

oligopoly competition outlined in section 3.5.1 (that is, firms contemplating likely responses of major competitors and a resulting limited incentive to compete vigorously on price).

ALDI's approach to price competition involves trade-offs, meaning it is not an option for all consumers

At our public hearings ALDI described its overarching principle 'to have an extraordinarily efficient business model' in order to provide the lowest possible prices.[290] However, it acknowledged this approach has consequences, including ALDI not pursuing full-service supermarkets and instead focusing on smaller store sizes with smaller product ranges than competitors.[291] This approach also has implications for the geographic areas ALDI has chosen to enter, and its decision not to roll out online shopping in Australia.

Regarding ALDI's geographic coverage, ALDI gave evidence that it does not operate in Northern Territory or Tasmania. ALDI indicated this is a deliberate decision on the basis of the cost to serve these geographic areas relative to the size of the markets.[292]

Regarding ALDI's bricks and mortar only model, ALDI gave evidence that it has, at this stage, abandoned plans to offer online shopping in Australia because the offering would add cost and may affect ALDI's low-cost position in the market.[293] ALDI acknowledged this means that consumers seeking delivery services cannot use ALDI as a competitor.[294]

The effect of these decisions is that shopping at ALDI is not an option for certain cohorts of consumers, such as consumers living in the Northern Territory and Tasmania and consumers that require online shopping services.

However, in submissions to our Interim Report, both Coles and Woolworths submitted their uniform pricing policies mean that consumers in areas unserved by ALDI benefit from Coles' and Woolworths' price responses to ALDI.[295]

While there is nuance in prices observed around Australia, we agree consumers in regional and remote areas benefit to an extent from the price competition that ALDI provides. This depends on Coles and Woolworths not changing their pricing policies. We discuss pricing further in section 3.4.

3.5.4 Metcash-supplied independent supermarkets do not closely constrain Coles and Woolworths on price but still provide benefits for consumers who shop around

At the public hearings, Woolworths gave evidence that it monitors pricing by Metcash-supplied retailers and aims to beat them on price.[296] However, Woolworths stated that it had taken no action in particular to competitively respond to Metcash's price match program; this is because their competitive focus was primarily on ALDI and Coles as (in Woolworths' view) the price setters in the market.[297]

290 ACCC, public hearing transcript, 11 November 2024, p 211.

291 ACCC, public hearing transcript, 11 November 2024, p 211.

292 ACCC, public hearing transcript, 11 November 2024, p 215.

293 ACCC, public hearing transcript, 11 November 2024, p 244.

294 ACCC, public hearing transcript, 11 November 2024, p 245.

295 Coles, Submission to the Inquiry Interim Report, published November 2024, p 6; Woolworths, Submission to the Inquiry Interim Report, published December 2024, p 6.

296 ACCC, public hearing transcript, 18 November 2024, p 487.

297 ACCC, public hearing transcript, 18 November 2024, pp 487–488.

Coles gave evidence that it spends relatively less time considering price competition with Metcash-supplied independent supermarkets, compared to Coles' other competitors.[298] It further suggested IGA bannered supermarkets tend to be less competitive on price than many other competitors.[299]

We take this evidence to mean that Coles and Woolworths do not consider themselves to be substantially competitively constrained on price by Metcash-supplied independent supermarkets.

Reasons Metcash-supplied independent supermarkets may have limited ability to effectively compete with Coles and Woolworths on price are explored below at section 3.8.

However, as noted by us in our public competition assessment of Woolworths' proposed acquisition of Karabar Supermarket, many consumers value the option to shop around at various supermarkets to gain the benefits of multiple supermarket offers.[300] This can include price benefits for highly cost sensitive consumers who may seek to purchase each item on a shopping list at the cheapest available price, or take advantage of differing promotions across different supermarkets.

Accordingly, although Metcash-supplied independents may not impose substantial price constraint on Coles and Woolworths, consumers in areas with multiple options including Metcash-supplied independent supermarkets nonetheless benefit from increased competition and choice.

We also emphasise that Metcash-supplied independents provide significant non-price competition, in particular with respect to convenience, range and service. We discuss this further at section 3.8.

Price competition from Metcash-supplied independent supermarkets varies by store size

In its 2023 annual report, Metcash noted the IGA price gap to the major chains had narrowed to its most competitive position ever.[301] The steps Metcash has taken in narrowing the IGA price gap to Coles and Woolworths will be further explored in section 3.8.6 below. This section will explore the relative price competitiveness of the various IGA supermarket formats that comprise the IGA network.

Metcash categorises its IGA supermarkets into small, medium and large store formats.[302] We understand this categorisation is based on the stores' retail floor space, and its SKU count.[303] The IGA supermarket formats within each categorisation are noted below:

- Large IGA: includes the brands 'IGA Large', 'IGA Fine Food Large', 'SUPA', and 'SUPA VALU'.
- Medium IGA: includes the brands 'IGA', 'IGA Medium', and 'IGA Fine Food Medium'.
- Small IGA: includes the brands 'IGA Local Grocer' and 'IGA Xpress'.[304]

Metcash gave evidence at the public hearings which indicates there is significant variability in the price competitiveness of the IGA network, stating:

> The prices at some IGAs are higher than at Coles and Woolworths. As I've described, we represent a broad network of independent stores of many different sizes. And it's certainly the case that if you then average that network from tiny stores to large stores, the average means that we are inevitably higher on average than Coles and Woolworths.

298 ACCC, public hearing transcript, 21 November 2024, p 682.
299 ACCC, public hearing transcript, 21 November 2024, p 682.
300 ACCC, Public Competition Assessment, Woolworths Limited – proposed acquisition of Karabar Supermarket, 11 July 2008.
301 Metcash, Annual Report 2023, p 20.
302 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 3.
303 Information provided to the ACCC.
304 Information provided to the ACCC.

> But we have many larger stores that are very competitive, and there would be no gap in price with Coles and Woolworths. And, again, that reflects the differences in a large store, the economies of running a large store and the ability to compete.[305]

Metcash submitted smaller convenience-oriented retailers may choose to adopt a different form of pricing strategy as compared to larger format stores.[306]

A confidential report prepared for Metcash and submitted to us outlined analysis of the price competitiveness of IGA supermarkets as compared to Coles and Woolworths from July 2022 to November 2024.[307] This report noted that estimated indices for average sell price (ASP) for each store format have declined since 2022 for each store format, but not by as much as the shelf price indices. The ASP index is calculated using the supermarket's banner store network sales revenue for products both on promotion and off promotion (shelf price).[308]

Information provided to us suggests small IGA supermarkets tend to be less price competitive than medium and large format stores, however, they differentiate themselves on the basis of their local offering.[309] Similarly, medium IGA supermarkets are likely to have higher shelf prices than large IGA supermarkets.[310] The shelf price index for each store format has narrowed relative to Coles and Woolworths, and for large IGA supermarkets is now broadly in line with Coles and Woolworths.[311]

We consider this indicates that while Metcash has taken steps to improve the price competitiveness of the supermarkets it supplies, its promotional programs appear to not have improved to the same degree as its shelf price index.[312] Metcash's promotional programs are further discussed in section 3.8.6.

In our view, given this analysis and the increased prominence of small format IGA supermarkets in the IGA network, relative to large format IGA supermarkets (discussed in section 3.5.4), is likely to reduce the overall price competitiveness of the IGA network.

3.5.5 Large non-supermarket retailers may impose limited price constraint on supermarkets in relevant categories

As discussed in section 2.3.2, Australian consumers purchase most of their groceries from supermarkets. However, both Coles and Woolworths submitted that they face competition from non-supermarket retailers, in particular Amazon, Bunnings Warehouse, Chemist Warehouse and the Reject Shop.[313]

At our public hearings, Woolworths said that in setting prices, it looks at 'a broad range of competitors including Coles, ALDI, Chemist Warehouse and others, and that pricing consideration is applied … nationally'.[314] In their evidence, neither Coles nor Woolworths described a strategy of seeking to beat category specialists on price overall across their overlapping product ranges.

305 ACCC, public hearing transcript, 14 November 2024, p 382.

306 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 8.

307 Information provided to the ACCC.

308 Information provided to the ACCC.

309 Information provided to the ACCC.

310 Information provided to the ACCC.

311 Information provided to the ACCC.

312 Information provided to the ACCC.

313 Woolworths, Submission to the Inquiry Issues Paper, published May 2024, pp 5–6; Coles, Submission to the Inquiry Issues Paper, published May 2024, pp 10–13.

314 ACCC, public hearing transcript, 18 November 2024, pp 484–485.

Box 3.3 below uses Coles' and Woolworths' responses to Amazon as a case study.

Box 3.3: Coles and Woolworths monitor Amazon's pricing and may respond or consider responding on certain products (if not all overlapping products)

In the public hearings Woolworths stated that it regularly monitors pricing by Amazon.[315] When asked about actions Woolworths has taken to compete with Amazon, Woolworths described non-price measures such as investing in its ecommerce offering (discussed further at section 3.2.4) but did not describe responding to Amazon through its pricing strategy.

Amazon has expanded its offering since 2019, so the product overlap and competitive pressure on Woolworths has likely increased. Woolworths now retails a number of online only specials, which we consider may in part be a competitive response to competition from Amazon.[316]

In public hearings, when asked about Coles' pricing strategy with respect to Amazon, Coles stated that it monitors Amazon's pricing, 'would take it into consideration' where its products overlap, and 'take[s] action on SKUs which [Coles] think are really important'.[317]

We understand from this response that Coles does not necessarily seek to match or beat Amazon on all or most SKUs where there is overlap, but Coles may match, beat or offer promotions in response to Amazon for particular SKUs which it considers strategically important.

However, while they may impose some constraint, our view is that category specialists do not comprehensively constrain full-service supermarkets on price. Responses to our consumer survey indicated that convenience is a highly valued factor affecting where most consumers choose to shop (see section 3.2.4). Category specialists are unsuitable for 'big basket', one-stop grocery shops. It is less convenient to make multiple stops at supermarkets and several category specialists, or multiple online transactions, and we consider this approach appeals to only a minority of consumers at present. We consider most consumers prefer to do the bulk of their shopping at a single location, though they may make additional small shopping missions.

3.6 Price comparison assists competition

As discussed in section 3.2.2, some consumers are comparing prices and shopping around more than in the past. However, these consumers report it is currently time-consuming and challenging to do so.

Making it easier to compare prices is likely to increase consumers' price comparison and switching across brands, in turn increasing supermarkets' incentives to compete on price.

3.6.1 Consumers are comparing prices more than in the past

Responses to our consumer survey indicate that consumers are comparing prices before shopping more often than they were at the time of the 2008 Grocery Inquiry (see figure 3.4 below). We consider this is likely due in part to the increased availability of online price information and price comparison tools (discussed in section 3.6.3).

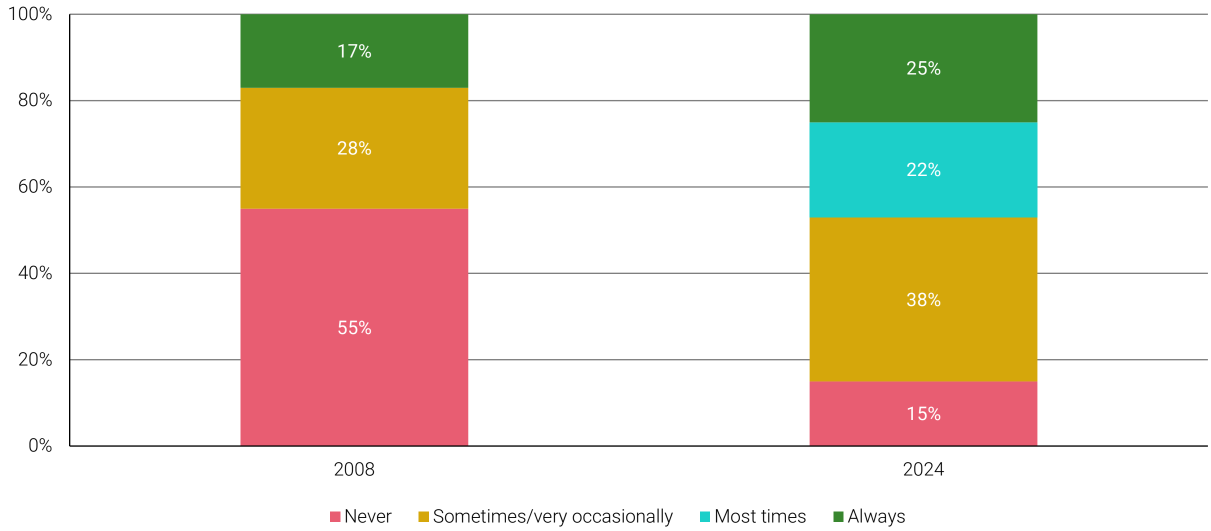
315 ACCC, public hearing transcript, 18 November 2024, p 491.

316 Woolworths, Online Only Specials, accessed 18 February 2025.

317 ACCC, public hearing transcript, 21 November 2024, p 690.

Figure 3.4: ACCC consumer survey respondents compared prices before shopping more in 2024 compared to 2008

Respondents' answers to the question "How often do you check or compare prices of stores in your area before going grocery shopping?", 2008 and 2024[318]



Source: ACCC analysis; ACCC Grocery Inquiry Final Report, 5 August 2008, p 76; ACCC consumer survey data.

3.6.2 Increased online pricing and price comparison tools have made price comparisons easier than before

While in the past consumers were only able to ascertain the prices of groceries by, for example, going into the store or looking at prices in a paper catalogue, consumers are now also able to use online sources (at home or on the go – including while in-store).

In recent years, particularly with the growth of online shopping, supermarket pricing information has become more accessible to consumers (such as through supermarket websites and apps).[319] Woolworths submitted that many supermarkets and other grocery retailers have made it even quicker and easier for consumers to check prices in real time – on their website and mobile apps – and referenced significant investments in its online platforms.[320] As discussed further in section 4.4, the growth of online pricing information means there is scope for unit pricing to play a bigger role in helping consumers compare prices between competing retailers.

Several independent online price comparison tools have been developed which seek to make price comparison activities easier for consumers. For example, there are several apps (such as Frugl, WiseList, Half Price and UpUp) and websites (Grocerize, Save on Groceries, Price Hipster) that enable grocery-specific price comparisons.[321] There are also non-grocery specific price comparison websites and apps that allow consumers to compare prices across a wide range of retail products

318 Note: "Most times" was not offered as an option in the 2008 consumer survey.

319 See ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 82. Coles and Woolworths provide pricing information on their websites and apps. ALDI provides pricing information about some products on its website (including products on promotion). There are also independent stores, such as IGA supermarkets, which provide location-specific prices online.

320 Woolworths, Submission to the Inquiry Issues Paper, published May 2024, pp 7, 33.

321 See, for example, Grocerize; Wiselist; Frugl; UpUp; Save on Groceries, accessed 18 February 2025.

and stores, including groceries.[322] In addition, consumers can use new Google Chrome extensions to track pricing at Coles and Woolworths (such as Coles Trend / Woolworths Trend and Smart Cart).[323]

As noted in our Interim Report, these online price comparison tools vary in functionality, and the numbers of supermarkets and products captured. It appears only some of the websites and apps allow grocery price searches configured to the user's local area.[324]

Online price comparison tools can reduce search costs for consumers, and can have a positive impact on competition between supermarkets. UpUp submitted that price comparison services can be used to level the playing field between supermarkets and consumers by giving consumers access to tools, which use AI and data analytics, to stay more informed and reduce friction in discovering the lowest pricing.[325] At our public hearings, CHOICE stated that online price comparison tools are converting dense information into a format that makes it easy and useful for consumers to access.[326] We consider the more easily consumers can compare prices prior to deciding where to do their shopping, the greater supermarkets' incentives will be to compete vigorously on price.

Coles stated in the public hearings its perspective that consumers tended to compare supermarkets' promotional catalogues (including online catalogues), websites and apps, and that it had heard of consumers using price comparison apps albeit to a lesser degree.[327]

3.6.3 Consumers are more likely to compare prices while shopping (rather than before shopping), so comparisons may not always affect consumers' choice of supermarket

Respondents to the consumer survey reported a higher frequency of price comparison in-store while shopping (that is, when they have already chosen a supermarket) as compared to before shopping (while choosing where to shop).

In 2024, 69% of respondents to the survey 'always' or 'usually' compared prices between similar products while grocery shopping. In contrast, only 47% of consumers 'always' or 'most times' compared prices between stores in their area before going shopping.

Relatively more common price comparison activity during shopping likely reflects the ease of comparing prices on shelves for specific products, rather than using technology to compare prices over a selection of goods before choosing where to shop.

Respondents who compared prices before shopping tended to compare prices on a limited selection of goods (rather than a wide range). Of those that reported comparing prices before shopping, 16% indicated they do so 'for a wide range of products' whereas 80% indicated they do so for a 'select number of products' that they need that week or know the approximate price of. We consider this tendency likely reflects that consumers must spend relatively more time and effort to compare prices across a long list of goods rather than a limited selection.

Given consumers' tendency to do 'main shops' for the bulk of their goods (see section 3.2.1) we consider pre-shopping price comparison could play a role in influencing where consumers choose to shop first. In turn, we consider increased pre-shopping price comparison would increase incentives for supermarkets to compete vigorously on price.

322 See, for example, BuyWisely, accessed 18 February 2025.

323 See: S Perrie, Woolworths and Coles secrets exposed: Exactly how to use 'game-changing' tool to cut price of grocery shop, Yahoo!Finance, 13 September 2024, accessed 18 February 2025; H Goodall, Internet extension SmartCart helps shoppers save money on their grocery bills, 7News, 11 January 2022, accessed 18 February 2025.

324 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 85.

325 UpUp, Submission to the Inquiry Issues Paper, published May 2024, p 2.

326 ACCC, public hearing transcript, 7 November 2024, p 43.

327 ACCC, public hearing transcript, 21 November 2024, p 752.

There are several potential reasons why most consumers do not frequently compare prices before shopping, even though it has the potential to save them money, including:

- There may not be simple or efficient ways to compare prices. As noted above, price comparisons can be time-consuming, and they require consumers to somewhat pre-plan their shop. Moreover, pricing information may be incomplete and/or located across multiple sources. As noted above, 80% of respondents to our consumer survey reported comparing prices for only 'a select number of products' they either need that week or know the approximate price of. We consider this likely reflects the difficulty in comparing prices across a broad range of potential products. Section 3.6.4 further discusses the availability of online price information and price comparison tools, and barriers to effective online price comparison.
- Consumers may find supermarket websites or apps and online price comparison tools difficult to use or inaccessible (particularly if they are less familiar or confident with digital technologies). In the public hearings, for example, CHOICE stated that such price comparison tools appear to be highly sought after by people who have digital literacy and awareness of such tools.[328]

  However, the Combined Pensioners and Superannuants Association of NSW (CPSA) expressed doubts that its members were using these third-party price comparison tools and the online price information provided by supermarkets.[329] It suggested potential barriers for its members include existing habits, lack of familiarity with the tools available and lack of digital literacy.[330]
- Consumers may lack alternative shopping options. As noted in section 2.3.8, consumers in regional and remote areas are more likely to have no choice of supermarkets.
- Consumers may believe there is limited price competition between stores and therefore that there is little utility in taking time to compare prices.
- Consumers may also shop at a particular supermarket for reasons other than price (such as quality or convenience), as outlined in section 3.2. For example, convenience was the most commonly cited factor affecting consumer survey respondents' choice of main grocery store. Additionally, as outlined in section 2.3.8, consumers in many regional and remote areas have limited choice of supermarket, limiting the utility of price comparison options for these consumers.

3.6.4 There remain barriers to effective online price comparison of groceries

As noted in our Interim Report, consumers' ability to rely on online sources to compare prices is dependent on several factors, including:

- whether grocery pricing information is available online
- whether online pricing information is consistent with pricing in physical stores
- the ease of comparing multiple products across 2 or more websites or apps
- whether online grocery pricing information can be accessed by third-party online price comparison tools.

Third-party online price comparison tools often rely on web scraping to obtain pricing information from supermarkets. In this regard, they are also reliant on reliable online pricing information being available. UpUp submitted that access to product pricing information is important for technology companies which offer price comparison tools.[331]

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328 ACCC, public hearing transcript, 7 November 2024, p 43.

329 ACCC, public hearing transcript, 7 November 2024, pp 43–44.

330 ACCC, public hearing transcript, 7 November 2024, pp 43–44.

331 UpUp, Submission to the Inquiry Issues Paper, published May 2024, p 7.

We have identified several barriers faced by consumers (and third-party price comparison tools) when seeking to effectively compare supermarket prices online. In particular, online pricing information is not available for all supermarkets, there are potential legal and technical impediments to web scraping, and some instances of inconsistent pricing in-store and online.

Pricing information is not available online for all supermarkets

While Coles and Woolworths provide extensive online pricing information, online pricing information is more limited for other supermarkets (including ALDI and Metcash-bannered IGAs).

At our public hearings, Coles and Woolworths gave evidence that all their prices are available online.[332]

ALDI stated that, at this time, only some of its prices are published online.[333] In particular, ALDI's online pricing covers prices for general merchandise products offered under its Special Buys program, and any permanent price reductions being advertised in their catalogues.[334] ALDI stated that it wants to publish all its prices online but has been unable to do so due to a technical limitation that it is working to resolve in the next year.[335]

Metcash stated that complete pricing information is only available for some Metcash-bannered IGA stores.[336] While Metcash has developed a website (IGA Shop Online) that allows these stores to upload their specific product range and pricing, not all stores are represented.

For example, some stores may have their own website, or only have pricing available in-store. Metcash advised that consumers can only access pricing through this website after selecting a store, and that this is because prices and product range are generally set at a store level (other than certain promotions that all stores are consistent on). It acknowledged that this is likely to cause difficulties for price comparison sites in capturing the full range of local store pricing available on the IGA website.[337]

In submissions, stakeholders raised concerns with supermarket pricing information not being available online.[338] UpUp submitted that consumers may miss out on discounts because they are buried in catalogues or only discoverable on shelves.[339] Queensland Consumers Association (QCA) submitted that consumers need to be able to quickly and easily compare prices and unit prices (discussed further in section 4.4.1) for more than just special offers, across different supermarkets, from home and in-store.[340] Coles also stated in the public hearings that retailers making their prices available online and available to be scraped would help with customer transparency.[341]

In its submission, CHOICE submitted that the absence of online price information for ALDI and Metcash-bannered IGA stores limits the ability of consumers to compare across supermarkets to determine which offers the best deal.[342] QCA similarly expressed it concerns that the pricing of only 2 of the 3 largest supermarket chains (Coles and Woolworths) are available to consumers online,

332 ACCC, public hearing transcript, 21 November 2024, p 752; ACCC, public hearing transcript, 18 November 2024, p 539.
333 ACCC, public hearing transcript, 11 November 2024, p 245.
334 ACCC, public hearing transcript, 11 November 2024, pp 245–246.
335 ACCC, public hearing transcript, 12 November 2024, p 329.
336 ACCC, public hearing transcript, 14 November 2024, p 388.
337 ACCC, public hearing transcript, 14 November 2024, pp 388–389.
338 UpUp, Submission to the Inquiry Issues Paper, published May 2024, p 6. Queensland Consumers Association, Submission to the Inquiry Issues Paper, published May 2024, p 2.
339 UpUp, Submission to the Inquiry Issues Paper, published May 2024, p 6.
340 Queensland Consumers Association, Submission to the Inquiry Issues Paper, published May 2024, p 2.
341 ACCC, public hearing transcript, 21 November 2024, p 753.
342 CHOICE, Submission to the Inquiry Issues Paper, published May 2024, p 47.

and that this reduces price transparency for consumers.[343] QCA also submitted this prevents price comparison sites from providing a comprehensive service.[344]

CHOICE has been provided with funding to conduct surveys of supermarket prices across Australia through mystery shoppers and to provide quarterly reports on those survey results. The survey results are based on 14 grocery items sold in 27 locations across Australia and compare the price of supermarkets within 5 km of each other.[345] However, CHOICE submitted it must undertake a manual survey of supermarket pricing because IGA and ALDI pricing information is not available online. This manual methodology limits the size and scale of what it can collect data on and the number of locations visited.[346]

Further to these points regarding lack of online pricing, we have also heard concerns (discussed in detail ahead in section 4.8.3.) that certain small supermarkets, in particular remote community stores, do not always display prices in-store either.

Box 3.4: Availability of historical pricing information

CHOICE submitted there is a lack of historical supermarket pricing information and that constantly fluctuating prices and the use of multiple different promotion types can obscure price increases and allow supermarkets to increase prices beyond what they would have been able to, had they simply increased prices transparently over time.[347]

It submitted the ability to track price changes over time would give consumers greater confidence that prices are fair, and enable the media, researchers, analysts and organisations like CHOICE to scrutinise pricing over time and verify claims about prices.[348]

Differences between in-store and online product pricing has the potential to reduce price transparency but does not appear widespread

UpUp submitted that consistent pricing online and in-store is important for providing consumers with visibility over pricing.[349] In doing so, it provided an example where it appeared the online price for Kent pumpkins at Woolworths was lower than in-store. UpUp submitted that differences between online and in-store pricing can cloud consumer understanding of prices and increase information asymmetry between supermarkets and consumers.[350]

At this stage, we are not aware of broader concerns being raised regarding a lack of consistency between prices in-store and online. Coles has advised that they maintain consistent prices in-store and online, apart from a limited number of 'online-only' offers or in the case of in-store markdowns and clearances (for example, where products are approaching their expiry date).[351] In the public hearings, Woolworths stated the price in-store is the same price as users will get online.[352] Similar to Coles, Woolworths also offers 'online only' specials.[353] The Australian Retailers Association (which

343 Queensland Consumers Association, Submission to the Inquiry Issues Paper, published May 2024, p 2.
344 Queensland Consumers Association, Submission to the Inquiry Issues Paper, published May 2024, p 2.
345 M Rafferty, How we survey supermarket grocery prices, CHOICE, 20 June 2024, accessed 18 February 2025.
346 CHOICE, Submission to the Inquiry Interim Report, published November 2024, p 7. See ACCC, public hearing transcript, 7 November 2024, p 19.
347 CHOICE, Submission to the Inquiry Issues Paper, published May 2024, pp 8–9.
348 CHOICE, Submission to the Inquiry Issues Paper, published May 2024, p 9.
349 UpUp, Submission to the Inquiry Issues Paper, published May 2024, pp 2, 5–6.
350 UpUp, Submission to the Inquiry Issues Paper, published May 2024, p 7.
351 Coles, Submission to the Inquiry Issues Paper, published May 2024, p 29.
352 ACCC, public hearing transcript, 18 November 2024, p 525.
353 Woolworths, Online Only Specials, accessed 18 February 2025.

represents both Coles and Woolworths) submitted its members maintain consistent retail prices across physical and digital platforms.[354]

Supermarkets can limit third party comparison tools use of their online prices

Both Coles and Woolworths include restrictions in their website terms and conditions against copying and reproducing content from their websites.[355] Until recently, Coles also expressly prohibited web-scraping, but this has recently been amended.[356] The presence of these restrictions may deter, or cause uncertainty, for third-party price comparison apps and websites.

We are not aware of instances where supermarkets actively enforced these terms. Price Hipster, a price comparison website, has raised concerns on its website regarding changes made by Woolworths to block certain traffic, including Price Hipsters' web crawler.[357] Price Hipster staff also indicated in a forum post that it had difficulties scraping from Coles' website.[358] However, this issue does not appear to have been raised by other price comparison sites.

In addition, ALDI, Coles, Metcash and Woolworths each stated in the public hearings that they closely monitor their competitors pricing via web-scraping (among other strategies).[359] Coles stated that it freely allowed its pricing data to be scraped for use by price comparison sites, while Woolworths also stated that it does not block price comparison sites and that web scraping of its website does and can happen.[360] As stated earlier, there are a number of apps and websites in existence that appear to be relying on this information.

3.6.5 Ensuring the independence of online price comparison tools is important for competition and consumers

There are various ways through which online price comparison tools may be monetised. For example, Grocerize offers a premium version of its website which provides access to additional features such as the ability to receive price alerts and for consumers to split their shopping list between Coles and Woolworths to receive the best deals.[361] In addition to their consumer app, Frugl also offers data analytics services for the grocery sector.[362]

Online price comparison tools can also be provided and funded by the Australian Government, enabling the government to determine or influence what functionalities are offered and to impose restrictions. We note that in 2008 the ACCC launched a supermarket price comparison website

354 Australian Retailers Association, Submission to the Inquiry Issues Paper, published May 2024, p 8.

355 Coles, Website terms and conditions, accessed 18 February 2025 (clause 2 (point 1) states that users must not 'by any means copy, reproduce, republish, adapt, upload, link, post, frame, translate, transmit or distribute any part of the Website or any Content contained on the Website); Woolworths, Woolworths Online and Everyday Market from Woolworths Terms and Conditions, accessed 18 February 2025 (clause 1.4(b)(viii) states that a user must not 'use any robot, spider, site search and retrieval application or other mechanism to retrieve or index any portion of the Site').

356 Wayback Machine Internet Archive, Coles website terms and conditions, captured on 17 November 2024, accessed 18 February 2025 (clause 2 (point 6) stated that users must not 'use any robot, spider, scraping device, deep link, or any other automatic tool or algorithm, or any manual process that performs the same function, to copy or use any Content or any part of the Content on the Website, or to reproduce or separately store or use such Content').

357 Price Hipster, Woolworths hostile, accessed 18 February 2025.

358 OzBargain, I spent the past year creating Price Hipster, Forums, 27 May 2024, accessed 18 February 2025.

359 ACCC, public hearing transcript, 11 November 2024, p 264; ACCC, public hearing transcript, 21 November 2024, p 678; ACCC, public hearing transcript, 14 November 2024, p 375; ACCC, public hearing transcript, 18 November 2024, p 487.

360 ACCC, public hearing transcript, 21 November 2024, p 692; ACCC, public hearing transcript, 18 November 2024, p 540.

361 Grocerize, Premium, accessed 18 February 2025. As at 18 February 2025, Grocerize's Premium features are advertised with a sign-up option at the browse home page after a period of time but not otherwise permanently linked on its website.

362 Frugl, About Us, accessed 18 February 2025.

called 'GROCERYchoice' shortly following the release of its 2008 Grocery Inquiry report.[363] The website originally aimed to provide a 'monthly snapshot' of grocery prices across 61 regions, but was discontinued in 2009.[364] As noted above, CHOICE has also recently been provided with funding to conduct surveys of supermarket prices across Australia and to provide quarterly reports.

Other potential options for monetisation, however, include the use of paid online advertising, paid links and commissions. In such cases, online price comparison tools may be paid to include links to supermarket websites (so that consumers can complete their shop) or receive a commission from sales initiated through their tool. They may also be paid to host digital advertising of supermarkets. Such monetisation strategies are common in online comparison services across a wide range of industries.[365]

These methods of monetisation can, however, raise concerns regarding the independence of price comparison tools, and whether they may favour one supermarket over another due to their funding arrangements. This may have the effect of distorting consumer decision-making and competition. Such concerns could be mitigated, for example, through requiring price comparison tools to disclose their funding arrangements, or through the Australian Government providing funding (such as through grants) for such tools, subject to certain requirements, which could include restrictions on preferencing.

3.6.6 Supermarkets should be required to publish clear and accurate pricing information

We consider supermarkets should be required to provide consumers with clear and accurate information about the price of groceries. At a minimum, prices should be listed for all products sold in-store in supermarkets. To the extent possible (such as for large and very large supermarket chains), prices should be published online.

In addition, given the benefits of online price comparison tools in reducing the time and effort spent by consumers on comparing prices, we consider that these tools should also be further supported by removing technical and legal impediments to obtaining supermarket price information.

In our Interim Report, we considered 2 potential options to address concerns about comparing prices between supermarkets. These were:

- requiring large supermarkets to ensure that publicly available pricing information can be accessed and used by online price comparison websites by ensuring that web scraping technologies are not blocked
- requiring large supermarkets to make pricing information available to price comparison websites via their website or another mechanism (such as an application programming interface).

UpUp also submitted in response to the Issues Paper that online price comparison tools should be supported through government grants.[366]

Having regard to the concerns outlined in section 3.6.4, we consider that 3 price transparency measures along the following lines would provide significant public benefit:

1. All supermarkets must publish prices in-store (including small stores in rural areas, and remote community stores). This recommendation responds to concerns, discussed in detail ahead in

363 ACCC, Latest GROCERYchoice Survey: Competition tightens for cheapest total grocery basket, 3 November 2008. See for example, Energy Made Easy, accessed 18 February 2025.

364 S Lane, 'Govt pulls plug on Grocery Choice website', *ABC News*, 26 June 2009, accessed 18 February 2025.

365 See, for example, Compare the Market, Car Insurance, accessed 18 February 2025. Compare the Market states 'We don't markup the prices on our website. Our partners pay us a commission when you buy through us, so our service is free for you to use'.

366 UpUp, Submission to the Inquiry Issues Paper, published May 2024, p 8.

section 4.8, that certain small supermarkets, in particular remote community stores, do not always display prices in-store. We are also recommending increased funding for state and territory fair trading bodies to monitor compliance with this requirement and to handle complaints from consumer in remote locations (discussed further in section 4.8.5).

2. Large and very large supermarket chains (by turnover) must publish prices in-store and online via their websites.
3. Very large supermarket chains (by turnover) must also make application programming interfaces available, which provide dynamic price information (including unit pricing information) to third parties (such as online price comparison tools and researchers).

We also recommend the Australian Government provide support and funding to state and territory fair trading bodies to monitor compliance with the first requirement listed above. We consider this to be important as effective compliance monitoring of the first requirement is likely to be resource intensive and logistically complex.

While the appropriate turnover thresholds are a matter for further consideration and consultation by government, we propose:

- ‘very large supermarket chains’ should be defined at a level which includes Coles and Woolworths (for example, average annual supermarket turnover in Australia of over $20 billion per year)
- ‘large supermarket chains’ should be defined at a level which includes ALDI, and possibly in future other regionally or nationally significant supermarket chains (for example, average annual turnover of $10 billion to $20 billion), without capturing small and medium-sized chains for which mandatory online pricing may be unduly burdensome relative to the anticipated public benefit.

Other supermarket chains may voluntarily opt in to either the online price publication or application programming interface requirements.

We recognise that publishing prices online is a technical matter and may require time to implement. For example, at public hearings, ALDI gave evidence that it is aiming to make online prices available in the next year but has not yet done so due to a technical limitation which ALDI is addressing.[367]

For this reason, we propose that any requirement for large supermarkets to publish prices online must allow a reasonable timeframe for compliance to avoid undue burden on medium supermarket chains which may not have substantial in-house IT resourcing.

The requirement for very large supermarkets to publish prices via application programming interfaces will also likely present technical challenges and a degree of compliance burden for the relevant supermarkets. We consider this burden is reasonable for very large supermarkets given their existing technical capabilities and significance in supermarket retailing, and the anticipated competition and consumer benefits arising from more effective price comparison services.

These requirements could be included in new sector-specific legislation or in an existing instrument such as the Unit Pricing Code (see section 4.4.1).

While the form and content of such requirements would need to be subject of further consultation, we consider this tiered approach would take into account:

- the need to make pricing information available, at a minimum, in-store at all stores (see the discussion regarding lack of price transparency in remote locations in section 4.8.3)
- the need to address stakeholder concerns raised regarding the relative cost and difficulty of publishing prices online for independent supermarkets or smaller supermarket chains[368]

367 ACCC, public hearing transcript, 11 November 2024, p 246.

368 ACCC, public hearing transcript, 14 November 2024, pp 387, 389.

- the need to maintain dynamic sharing of price information by supermarkets online to ensure accuracy. For example, Coles stated in the public hearings that it would not support requirements to send a file with prices to online price comparison sites because its pricing is dynamic[369]
- the need to ensure that pricing data shared by large supermarkets via an application programming interface is in a consistent and usable format (for example, in a manner consistent with the Consumer Data Right).[370]

While a tiered approach would address the above concerns, there are potential drawbacks. Specifically, a tiered approach would not require smaller supermarkets to publish their prices online, meaning consumers comparing prices online would not necessarily be able to compare prices between all supermarkets in their area. However, we note this is the case under the status quo, so this is not to say consumers' ability to compare prices would be reduced if implemented. Additionally, our own analysis in section 3.5.4 suggests smaller supermarkets generally struggle to compete effectively on price (in aggregate across their ranges as a whole) with the largest supermarket chains.

For these reasons, our view is that smaller supermarkets should not be required to publish prices online, to prevent potential regulatory burden on smaller organisations which may have comparatively less resources to implement online pricing. We note such supermarkets may nonetheless voluntarily publish prices online if they see fit.

Such measures would also not address the issue of some consumers being unable to take advantage of online pricing information or price comparison tools outlined in section 3.6.4, whether this is due to their accessibility or due to consumers having no other supermarkets with which to compare.

Further consideration would also need to be given to:

- the need to provide sufficient time for supermarkets to implement the online pricing and application programming interface obligations (noting that ALDI gave evidence in the public hearings it has faced technical difficulties in publishing its prices online)[371]
- whether to require online price comparison tools that wish to access the online pricing information and application programming interface to disclose on their apps or websites whether they receive funding either directly or indirectly from supermarkets (including via paid advertising)
- whether government funding should be provided to help develop online price comparison tools, subject to certain requirements being met, such as restrictions on preferencing.

Additionally, price comparison services are not without challenges. For example, like-for-like comparisons are difficult for some products, particularly between own-brand products or where ranges differ. Furthermore, as discussed in section 3.4.2, there are some differences in pricing across geographic areas. Despite these challenges, we consider a requirement that large supermarket chains make application programming interfaces available (including for the purposes of third-party price comparison) could materially benefit consumers and competition. Such a requirement would promote the ability of third-party price comparator businesses to develop effective models for the benefit of competition and consumers.

369 ACCC, public hearing transcript, 21 November 2024, p 753.

370 The Consumer Data Right is a service that gives consumers the right to share their data between different service providers in certain sectors, such as banking and energy. See Consumer Data Right.

371 ACCC, public hearing transcript, 11 November 2024, p 246.

Box 3.5: Requiring retailers to publish prices online is unlikely to materially increase collusion risks

One criticism of price comparison initiatives is that they may make it easier for retailers to monitor each other's prices and could therefore facilitate price coordination.

However, the NZCC recently considered the merits of price comparison websites in the context of grocery pricing and observed:

> [T]he additional risk of coordination associated with the use of price comparison websites in the retail grocery sector is likely to be low. This is in part because a high degree of price monitoring is already undertaken by firms and pricing is already publicly available, often online.[372]

This observation aligns with our understanding of the Australian supermarket industry. At our public hearings, ALDI, Coles, Metcash and Woolworths each gave evidence that they closely monitor each other's prices.[373]

Recommendation 2

Supermarkets should be required to publish pricing information

We recommend the Australian Government require:

1. all supermarkets (including small rural stores and remote community stores) to publish prices on all products in-store[374]
2. large (i.e. ALDI) and very large (i.e. Coles and Woolworths) supermarket chains (by turnover) to publish prices in-store and online via their websites
3. very large supermarket chains (by turnover) to make application programming interfaces available which provides dynamic price information for third parties.

We also recommend the government provide support and funding to state and territory fair trading bodies to monitor compliance with the first requirement listed above.

3.7 Non-price factors are key areas of competitive focus for supermarkets

Supermarkets can also compete on a range of non-price aspects of their offering including convenience, range, service (including online offerings), store amenity and loyalty programs. Competition between supermarkets on these aspects is important for consumers.

We find Coles and Woolworths view non-price factors as key differentiators between their offerings to win customers. Other supermarkets also differentiate themselves on non-price factors to attract customers, including independent supermarkets for non-price factors are key to their success.

372 NZCC, NZCC Grocery Market Study Final Report, 8 March 2022, p 293.

373 ACCC, public hearing transcript, 11 November 2024, pp 220, 264; ACCC, public hearing transcript, 21 November 2024, pp 677–678; ACCC, public hearing transcript, 14 November 2024, p 375; ACCC, public hearing transcript, 18 November 2024, pp 484, 487.

374 As discussed in detail ahead in section 4.8.3, certain small supermarkets, in particular certain remote community stores, do not currently display prices in-store on some or all items.

3.7.1 Coles and Woolworths compete on non-price factors

We find Coles and Woolworths view non-price factors as key differentiators between their offerings to win customers. In our view they compete more strongly on non-price aspects of competition than price competition.

As discussed above at 3.5.2, a Woolworths public strategy document from 2015 described Woolworths' view then that 'we won't win on price alone – we will neutralise on price but get customers to put us 1st through experience, freshness and range'.[375] When we asked Woolworths about this at our public hearings, Woolworths' evidence was that 'it is always the position … that you've got to have a great price, but then customers look at the other [non-price] attributes of what your proposition provides to them.'[376]

Coles submitted its previous (up to 2018) focus on price competition (and associated reduced investment in non-price aspects such as fresh food range, store expansion and renewal, and range reductions) contributed to declines in its market share.[377] It further submitted that since its demerger from Wesfarmers in 2018, its strategy has been to focus on price competition but also on other non-price drivers.[378] It submitted its subsequent investments in in-store refurbishment, store format, own brand product development, range (especially in health, convenience), and immediacy and home delivery reflect its response to competition in these areas.[379]

These submissions are consistent with our review of documents provided to us in this inquiry. We observe Coles responding to Woolworths on, for example, their online offerings.[380]

We consider Coles and Woolworths also compete strongly on convenience, which is significantly related to store location and access. We discuss access to suitable sites further in section 3.10.

We also note competition from other supermarkets, including Metcash-supplied independent supermarkets, is significant to how Coles and Woolworths compete on non-price factors. We discuss some of these competitors further below.

We discuss Coles' and Woolworths' approaches to non-price competition through online retailing and loyalty programs further below.

3.7.2 Independent supermarkets differentiate themselves on non-price factors, imposing competitive tension on Coles and Woolworths and promoting consumer choice

Non-price aspects of their offering are also key ways in which other supermarkets competitively differentiate themselves from Coles and Woolworths.

As introduced in section 2.3.1, Australia has a broad range of differentiated supermarket offerings. With the exception of ALDI (which primarily differentiates itself on price as a hard discounter), we consider most Australian supermarkets seek to differentiate themselves on non-price aspects of their offering to win consumers. This is a valuable source of competitive tension against Coles and Woolworths and provides consumers with benefits in the form of increased choice.

375 Woolworths, Woolworths Investor Strategy Day presentation, May 2015, slide 51.

376 ACCC, public hearing transcript, 18 November 2024, p 483.

377 Coles, Submission to the Inquiry Interim Report, published November 2024, p 4.

378 Coles, Submission to the Inquiry Interim Report, published November 2024, p 4.

379 Coles, Submission to the Inquiry Interim Report, published November 2024, p 4.

380 Information provided to the ACCC.

This section uses IGA and Harris Farm as 2 case studies of non-price differentiation in the Australian supermarket industry. However, we consider these points are likely applicable to other supermarket chains including Drakes, Ritchies, Spud Shed, Hill Street Grocer and Leo's Fine Food and Wine.

Box 3.6: IGAs use their independence to target their offerings to local areas

We consider non-price aspects of IGA offerings provide valuable choice for consumers.

Metcash submitted independent retailers are in a strong position to provide a differentiated non-price offering for consumers, as local independent retailers can best identify the service levels and product range that will best meet local demand.[381] Metcash also submitted it considers IGA retailers are more likely to have a full-service butcher or delicatessen in-store as compared to a Coles or Woolworths.[382]

We note this is consistent with the ACCC findings in the 2022 review of the potential acquisition of SUPA IGA Karabar, in which the ACCC concluded that the SUPA IGA Karabar 'offers a different shopping experience to ALDI, Coles and Woolworths. This differentiated shopping experience generates competitive tension in the local area'.[383] Metcash submitted that statement could apply to any IGA retailer throughout Australia.[384]

This view is consistent with Coles describing IGAs in the public hearing, in particular larger IGAs, as very competitive in the fresh produce area.[385] Coles submitted its understanding is that the fresh offer in full-line IGA stores is sometimes seen by customers as superior to Coles.[386]

Box 3.7: Harris Farm has built its brand around fresh food quality and range

Another example of a differentiated offering is Harris Farm, which currently operates 29 supermarkets across the Australian Capital Territory, New South Wales and Queensland.[387] A key aspect of Harris Farm's competitive offering is its focus on a broad range of high-quality food groceries.[388]

Despite Harris Farm's relatively small number of stores, located in specific areas of the country, we consider it is a source of competitive constraint on Coles and Woolworths in respect of range and quality in the areas it operates.

We have observed Coles and Woolworths monitoring Harris Farm with respect to its fresh offer branding and associated consumer perceptions.[389]

381 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 8.

382 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 9.

383 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 2 quoting ACCC, ACCC opposes Woolworths' acquisition of Supa IGA Karabar, Media release, 26 May 2023.

384 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 2.

385 ACCC, public hearing transcript, 21 November 2024, p 681.

386 ACCC, public hearing transcript, 21 November 2024, p 681.

387 Harris Farm, Our Stores, accessed 18 February 2025. 35 total stores listed minus 5 co-located Harris Farm butchers, and one store in Dural, NSW 'coming soon'.

388 Must Do Brisbane, Harris Farm Markets: West End, accessed 18 February 2025.

389 Information provided to the ACCC.

As noted in our public competition assessment of Woolworths' proposed acquisition of SUPA IGA Karabar, many consumers value the option to shop around at various supermarkets to gain the benefits of multiple supermarket offers.[390] In addition to price benefits, this can also include gaining the benefit of localised range and niche product offerings.

We consider the presence of multiple supermarkets in a local area benefits consumers by increasing choice, both among stores and regarding the total range of grocery SKUs available for purchase.

For independent supermarkets which do not or cannot compete strongly on price, non-price factors of competition are critical to their success. Convenience, range and service are key for independent supermarkets.

In recent years, we consider that Coles and Woolworths have taken steps to improve their range, including through tailoring range to local areas and demographics.[391] In our view this is likely at least in part a response to the tailored offering of competitors, such as independent and premium gourmet supermarkets.

3.7.3 Coles and Woolworths are leading the way in online grocery shopping

Coles and Woolworths are investing heavily in, and leading, online retailing in the Australian supermarkets industry. While their online offering may provide a competitive advantage with respect to supermarket competitors, the continued growth of ALDI in Australia suggests an online offering is not critical for successful entry and expansion at present.

As outlined in section 3.2.1, convenience is a key factor affecting consumers' grocery shopping decisions. We consider supermarkets' investments in online retailing are one aspect of their response to consumer demand for convenience.

Coles and Woolworths have invested heavily in online grocery retailing and have the most sophisticated offerings

Woolworths submitted it invested hundreds of millions of dollars in its customer digital experience, store network, customer fulfilment centres, same day delivery, and 2-hour delivery service.[392]

Similarly, Coles submitted it launched same-day delivery at over 480 stores and Click & Collect Rapid at over 600 stores in 2023.[393] Coles further spent more than $400 million on 2 automated customer fulfilment centres in Queensland and NSW and refined its digital and e-Commerce experiences.[394]

Coles stated in the public hearings its key competitor in the online space is Woolworths.[395] It further said Amazon is an emerging competitor that will become more significant over time.[396]

390 ACCC, Woolworths Limited – proposed acquisition of Karabar Supermarket, 11 July 2008.

391 See, for example, Woolworths, Submission to the Inquiry Issues Paper, published May 2024, p 36; Coles, Submission to the Inquiry Issues Paper, published May 2024, p 29.

392 Woolworths, Submission to the Inquiry Interim Report, published December 2024, p 10.

393 Coles, Submission to the Inquiry Interim Report, published November 2024, p 30.

394 Coles, Submission to the Inquiry Interim Report, published November 2024, p 30.

395 ACCC, public hearing transcript, 21 November 2024, p 696.

396 ACCC, public hearing transcript, 21 November 2024, p 696.

Online retailing is growing strongly for Coles and Woolworths

Coles submitted it has experienced significant increases in uptake of its delivery and Click & Collect services since the COVID-19 pandemic.[397] It submitted online sales increased from 4% of overall sales in the 2019–20 financial year, to 5.81% in 2020–21, to 8% in 2021–22 and 9.1% in the first half of 2023–24. It also stated that online sales had increased from $2.8 billion in 2022–23 to $3.7 billion in the 53 weeks up to 30 June 2024.[398] In the public hearings, Coles indicated that it expected online sales to increase and that its strategy long-term is to improve margins for its online business so that they are equivalent to margins from its bricks and mortar business.[399]

Approximately 15% of Woolworths' sales are currently made online.[400] In the public hearings, Woolworths indicated that its ecommerce business (which also includes click and collect) is the 'fastest growing part' of its business and that it expects ecommerce to continue to increase substantially over coming years.[401]

Other supermarkets either do not offer online retailing, or offer it to a substantially lesser extent than Coles and Woolworths.

ALDI stated in the public hearings it has not and does not currently intend to expand into online grocery retailing (although it may revisit this in future).[402] It said expanding online is costly and would ultimately be paid for by the consumer, which diminishes ALDI's competitive advantage of having the lowest-priced goods.[403] ALDI's successful entry and expansion in Australia without offering online shopping indicates an online offering is not, at present, necessary to grow in the Australian supermarkets sector.

Metcash stated in the public hearings IGA retailers have been underrepresented online for a long time.[404] Metcash submitted it developed an IGA 'Shop Online' platform in 2020, which was partly driven by the COVID-19 pandemic.[405] There are now 426 stores that participate in the IGA Shop online platform.[406] However, this does not appear to be a significant source of sales for IGA stores. It submitted revenue from online sales generated by the IGA network using IGA Shop over the 12 months preceding its submission was less than 1% of total retail sales.[407]

397 Coles, Submission to the Inquiry Interim Report, published November 2024, p 30.
398 Coles, Submission to the Inquiry Issues Paper, published May 2024, p 29.
399 Coles, Submission to the Inquiry Interim Report, published December 2024, p 30.
400 Woolworths, Submission to the Inquiry Issues Paper, published May 2024, p 4.
401 ACCC, public hearing transcript, 11 November 2024, p 492.
402 ACCC, public hearing transcript, 11 November 2024, p 244.
403 ACCC, public hearing transcript, 11 November 2024, p 244.
404 ACCC, public hearing transcript, 14 November 2024, p 386.
405 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 12.
406 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 12.
407 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 12.

Coles' and Woolworths' investments in online have been in part a response to Amazon's entry and expansion

In public hearings, both Coles and Woolworths characterised their investments in online retailing as responses to perceived competitive threat from Amazon.[408]

Amazon has made substantial investments to enter Australia, having invested more than $15 billion since entering in 2011.[409] Since 2022 alone, Amazon Australia has spent $5 billion on its Australian operations.[410]

In October 2018, Amazon Australia launched Pantry Food and Drinks, offering thousands of pantry items for delivery.[411] Woolworths submitted, excluding fresh food, Amazon currently sells 27% of Woolworths' range in 2023–24, which is up from 20% in 2022–23.[412] In the public hearings, Coles estimated Amazon has 6,000 products Coles competes with in the pantry food and drinks category.413

Amazon's grocery sales in Australia remain limited at present

Despite its significant investments, Amazon's grocery sales penetration in Australia remains relatively limited. Amazon's Australian grocery revenues were recently estimated as likely to reach $1.3 billion in Australian in 2024 (equivalent to a 1% share of Australian supermarket retail sales).[414] By way of comparison, ALDI has spent $7 billion in Australia over 23 years to achieve $12 billion in supermarket retail sales in 2023, or a 9% share of supermarket retail sales.[415]

Box 3.8 explores Amazon's experience in the US as a means of testing the potential threat posed by Amazon to incumbents in the Australian grocery retail sector.

408 ACCC, public hearing transcript, 21 November 2024, p 689; ACCC, public hearing transcript, 18 November 2024, p 492.

409 Emma Kirk, 'Aussie brands unite to take on global retail behemoth in a weekend shopping event to entice consumers', news.com.au, 24 September 2024, accessed 18 February 2025.

410 Adrian Lowe, 'Why Amazon's huge growth in Australia has put Coles and Woolworths on notice', *The Nightly*, 19 April 2024, accessed 18 February 2025.

411 Amazon Press Room, 'Amazon Australia expands into pantry food and drinks adding thousands of local and international products', Amazon Australia, 17 October 2018, accessed 18 February 2025.

412 Woolworths, Submission to the Inquiry Interim Report, published December 2024, p 9.

413 ACCC, public hearing transcript, 22 November 2024, p 755.

414 Carrie LaFrenz, 'Amazon is quietly turning into a major rival for Coles and Woolworths', The Australian Financial Review, 25 November 2024, accessed 18 February 2025.

415 Adrian Lowe, 'Why Amazon's huge growth in Australia has put Coles and Woolworths on notice', *The Nightly*, 19 April 2024, accessed 18 February 2025.

Box 3.8: Case study – Amazon's entry, slow expansion and recent share decline in the US grocery sector

In 2007, Amazon began offering groceries online in the United States through Amazon Fresh.[416] In June 2017, Amazon acquired supermarket chain Whole Foods Market for $US13.7 billion.[417] The chain owned 460 bricks and mortar grocery stores in the US and 9 in the UK.[418]

In August 2020, Amazon opened its first Amazon Fresh bricks and mortar supermarket in California, US.[419] Amazon continued to rapidly expand its store numbers over the years. However, media reports in February 2023, Amazon closed some of its supermarkets and halted expansion to rethink its grocery strategy and cut costs after underwhelming reception from shoppers.[420]

In September 2024, Amazon recommenced opening new stores, bringing the total number of Amazon Fresh stores in the US to 56 stores.[421]

Now, Amazon accounts for around 2.8% of total US grocery sales; by comparison, Walmart, the largest US supermarket chain, accounts for 20%.[422]

A media report suggests that considering strictly online grocery retail sales, Walmart also has the largest market share at around 27%, and has been growing its share in recent years.[423] In comparison, Amazon accounts for around 18.5% of US online grocery sales and has been declining over recent years, despite overall growth of the market.[424]

This history suggests Amazon is likely to face real challenges in successfully expanding in grocery retailing against established supermarket retailer incumbents, should it wish to do so. It also suggests to succeed in online grocery retailing it may be important to have a network of physical stores, which Amazon does not have in Australia. While we acknowledge this history is from a different country, we consider it reasonable to expect similar challenges would arise in Australia.

We further note that Australia's geography and lower population likely pose even greater challenges to a primarily online retail model than it faces in the US.

416 JeeYeon Park, 'Amazon gets fresh challenges with new grocery business', CNBC, 27 August 2007, accessed 18 February 2025.

417 Sarah Butler and Zoe Wood, 'Amazon to buy Whole Foods Market in $13.7bn deal', The Guardian, 16 June 2017, accessed 18 February 2025.

418 Sarah Butler and Zoe Wood, 'Amazon to buy Whole Foods Market in $13.7bn deal', The Guardian, 16 June 2017, accessed 18 February 2025.

419 Amazon News, 'Introducing the first Amazon Fresh grocery store', Amazon US, 27 August 2020, accessed 18 February 2025.

420 Annie Palmer, 'Amazon is shutting some Fresh and Go stores as the company cuts costs, CNBC, 2 February 2023, accessed 18 February 2025; Sam Silverstein, 'Amazon Fresh breaks the 50-store mark', Grocery Dive, 25 September 2024, accessed 18 February 2025.

421 Sam Silverstein, 'Amazon Fresh breaks the 50-store mark', Grocery Dive, 25 September 2024, accessed 18 February 2025.

422 Lauren Rosenblatt, 'Amazon is tinkering with grocery business. Some are unsure it's working', The Seattle Times, 9 June 2024, accessed 18 February 2025.

423 Sam Silverstein, 'Walmart is widening the gap with Amazon in grocery e-commerce, report finds', Retail Dive, 27 November 2023, accessed 18 February 2025.

424 Sam Silverstein, 'Walmart is widening the gap with Amazon in grocery e-commerce, report finds', Retail Dive, 27 November 2023, accessed 18 February 2025.

While online is growing at present, there is likely an upper limit to its penetration

It is unclear how long the rapid growth of online grocery retailing will continue and what proportion of grocery retailing will be via online sales in the medium to long-term. However, we consider there is likely an upper limit to online penetration, given consumers may prefer to shop for groceries in person particularly fresh produce and other perishable goods.

Responses to the consumer survey indicate most consumers currently choose to shop in-store, with 85% of respondents primarily shopping in-store and 15% buying most of their groceries online.[425]

There are also certain cohorts of consumers who are less likely to shop online for groceries than others. For example, in the public hearings, CPSA representative Billy Pringle said few of its elderly Australian constituents engage with online shopping.[426]

3.7.4 Loyalty programs are important for Coles and Woolworths, but are not currently required for success in supermarket retailing

We consider loyalty programs are highly valuable to Coles and Woolworths. (We explore this value in detail ahead at section 4.6.) In particular, in our view Coles' and Woolworths' loyalty programs provide each firm with commercially valuable customer data and can increase customer engagement. Submissions expressed concerns that these benefits Coles and Woolworths derive from loyalty programs may harm competition.[427] Broadly these comprise 2 types of concerns: data advantages and customer lock-in.

Our view, detailed below, is that loyalty programs are an important aspect of Coles' and Woolworths' approach to non-price competition but are not at present strictly necessary for successful entry and expansion in the Australian supermarket industry. That is, they are not at present a barrier to entry or expansion.

This dynamic could conceivably change in the future if we see continued expansion of Coles' and Woolworths' paid subscription programs and increasing prevalence of member pricing, resulting in a significantly higher degree of consumer 'lock-in' or loyalty to Coles and Woolworths.

In our view loyalty programs only become problematic for competition when they result in a high degree of customer lock-in (which we don't presently see in supermarkets), or the data obtained becomes so valuable entry or expansion is impossible without access to similar data.

Loyalty programs provide commercially valuable data, but competitors have alternatives

On the commercial benefits of consumer data, at the public hearings Coles and Woolworths acknowledged consumer data derived from loyalty programs is commercially valuable.

Woolworths said Everyday Rewards enables it to better understand its customers' preferences.[428] Similarly, Coles said it gains insight from customers through the Flybuys program of ways to improve upon its offering.[429]

425 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 154.

426 ACCC, public hearing transcript, 7 November 2024, p 45.

427 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 10; CHOICE, Submission to the Inquiry Issues Paper, published May 2024, p 32.

428 ACCC, public hearing transcript, 18 November 2024, p 556.

429 ACCC, public hearing transcript, 22 November 2024, p 758.

However, in submissions, Metcash and CHOICE expressed their concerns that Coles' and Woolworths' loyalty programs provide them with data-related competitive advantages against supermarkets without loyalty programs (or with smaller loyalty programs).

Metcash submitted loyalty programs confer data-related competitive advantages, writing 'the size and nature of the loyalty programs offered by the vertically integrated chains provide them with … a data set which reinforces their market position'.[430]

CHOICE similarly submitted 'the exclusive use of aggregated data by major supermarkets is likely to entrench their market power. Smaller food and grocery retailers and retailers without loyalty schemes are operating at an information disadvantage as a result.'[431]

At the public hearings, ALDI described loyalty programs as providing its competitors with detailed granular data about consumer shopping behaviour.[432] However, it also said that monetising loyalty program data involves significant costs which must be passed on to consumers, so ALDI has chosen not to pursue a loyalty model.[433]

ALDI also stated it has alternative data sources through collecting sales data and purchasing market data from providers such as Nielsen and Circana (though it said this data is not as detailed as loyalty program data).[434]

This is consistent with Flybuys' submission that supermarkets are able to purchase data from data brokers, digital platforms and data sharing platforms as well as their own operations.[435] For these reasons we consider that loyalty programs are not presently a 'must have' in order for a supermarket to develop customer insights and make informed commercial decisions.

Loyalty programs may increase customer stickiness

Loyalty schemes may also give rise to competition concerns to the extent that they contribute to customer 'lock-in' and prevent switching.

When asked in public hearings whether Coles perceives Flybuys as increasing stickiness (or the loyalty that a customer has towards Coles), Coles responded that is its intention, on the basis it seeks to offer a proposition that is of interest to customers so they return to Coles.[436]

Woolworths indicated it perceives its loyalty programs as increasing stickiness for some customers, though it said it considers certain members are more engaged than others.[437]

In submissions, Metcash and UpUp expressed concerns that loyalty programs may prevent switching.

Metcash submitted 'the size and nature of the loyalty programs offered by the vertically integrated chains provide them with a significant tying advantage'.[438] In competition analysis, tying ordinarily refers to selling one good or service on the condition a customer purchases another good or service. We understand Metcash's submission as referring instead to a concern that Coles and Woolworths loyalty program members are 'tied' to the loyalty program provider, in that they are more likely to shop primarily or exclusively at the provider's stores.

430 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 10.
431 CHOICE, Submission to the Inquiry Issues Paper, published May 2024, p 32.
432 ACCC, public hearing transcript, 11 November 2024, p 278.
433 ACCC, public hearing transcript, 11 November 2024, p 273.
434 ACCC, public hearing transcript, 11 November 2024, p 279.
435 Loyalty Pacific Pty Ltd (Flybuys), Submission to the Inquiry Issues Paper, published May 2024, p 5.
436 ACCC, public hearing transcript, 22 November 2024 p 759.
437 ACCC, public hearing transcript, 18 November 2024, p 557.
438 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 10.

UpUp similarly submitted 'loyalty programs and subscription services are designed to create higher customer stickiness and reduce the incentive to shop around for better prices'.[439]

In the ACCC's 2019 Customer Loyalty Schemes Review, the ACCC found at that time, customer lock-in effects associated with supermarket loyalty schemes did not raise competition concerns.[440]

This year, over half (51%) of respondents to the consumer survey identified as being members of 2 or more grocery-related loyalty programs. We consider the lock-in risk posed by free loyalty programs is low, because members are able to freely sign up to multiple memberships to take advantage of multiple offers and a sufficiently high proportion appear willing to cross-shop at different retailers.

Additionally, at the public hearings, ALDI stated its view that not having a loyalty program does not put it at a disadvantage with respect to Coles and Woolworths, as its proposition of having the best value in the market resonates with customers irrespective of loyalty programs.[441]

As noted above, ALDI also stated that offering a loyalty program comes with trade-offs, in that it adds cost and complexity in order to derive insights from loyalty program data.[442] Per our analysis in table 2.2 in section 2.3.3, ALDI has expanded its share of sales across the national grocery sector from a 2.8% share in 2006–07 to 8.1% in 2022–23.[443]

As such, although we accept loyalty programs are an important aspect of Coles' and Woolworths' approach to competition, loyalty programs do not appear to pose a substantial barrier to entry or expansion at present. They likely discourage switching to a degree, which in turn weakens incentives to compete on price, however, we do not consider these effects are significant at this stage. This could change in future.

Impacts on competition could increase if loyalty program models and adoption change in the future

It is possible the above position may change in future, depending on how loyalty programs evolve.

As discussed ahead in section 4.6, paid subscription programs are likely to be more effective than free loyalty programs at increasing 'stickiness' or consumer lock-in. This is because the cost involved lessens consumers' incentive to join and take advantage of multiple programs simultaneously.

While there has been relatively limited adoption of Coles' and Woolworths' paid subscription programs to date (see section 4.6.5), if they expand this may result in greater effects on consumer behaviour and retail competition.

Further, there are already offers exclusive to members which likely discourage customer switching over time. For example, Woolworths Everyday Rewards provides offers of bonus points for participants that spend more than a certain amount of dollars each week for a period of several weeks in a row (such as $155 weekly for 4 consecutive weeks).[444] The dollar spend required may be set at a level that ensures the customer does their main shop at the relevant supermarket each week if they wish to obtain the benefit. If such offers become more significant, for example by operating over longer periods and offering bigger bonuses, they could have a material impact on competition.

439 UpUp, Submission to the Inquiry Issues Paper, published May 2024, pp 3–4.

440 ACCC, Customer Loyalty Schemes Review Final Report, December 2019, p 101.

441 ACCC, public hearing transcript, 11 November 2024, p 278.

442 ACCC, public hearing transcript, 11 November 2024, p 278.

443 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, pp 146–147.

444 See, for example, Seniors Discount Club, Earn savings with this Woolworths Everyday Rewards trick – but is it worth it, 15 February 2023, accessed 18 February 2025.

3.8 Metcash has an important role to play in the competitiveness of independent supermarkets

Metcash is the largest grocery wholesaler to the independent supermarket sector in Australia, providing wholesale supply to over 2,000 independent supermarkets.[445] This includes the IGA and Friendly Grocer supermarket networks, third-party banner groups, non-bannered groups, and also individual independent supermarkets not affiliated with any chain or banner.[446]

The independent supermarket sector has a significant geographic presence throughout Australia, including in regional and remote areas. Consequently, independent supermarkets, and by extension Metcash, play an important role in supermarket retailing in Australia.

As noted at section 3.5.4, we consider independent supermarkets compete strongly on non-price factors. This includes factors such as convenience, range and service. However, on the whole, we do not consider independent supermarkets contribute significantly to price competition at the retail level. We consider there are inherent challenges for independent supermarkets to obtain supply as competitively as ALDI, Coles and Woolworths.

We have sought submissions from independent supermarket retailers to further inform our analysis of Metcash's role in the sector, and to understand whether Metcash's wholesale prices to the independent retailers it supplies are a factor preventing more pronounced price competition from independent supermarkets. We have, however, received limited submissions from independent supermarkets on these points.

This section will further explore Metcash's position as the primary wholesaler to the independent supermarket sector, and how its position influences the retail pricing of the independent supermarkets it supplies.

3.8.1 Independent supermarkets supplied by Metcash are losing market share over time

Supermarket industry revenue, as reported by the ABS, has increased substantially since the 2008–09 financial year.[447] Over the same period, Metcash's grocery wholesaling revenue has increased, but at a lower rate.[448] Consequently, Metcash's revenue as a proportion of industry revenue has declined since 2008–09.

This section explores some of the factors we consider may have contributed to Metcash's declining share of industry revenue over time. We consider the factors are likely nuanced and varied. That is, there is likely not one primary contributing factor.

The IGA network is smaller than it was in 2008

Our analysis indicates there are fewer IGA supermarkets today than there were in 2008. In contrast, ALDI, Coles and Woolworths have each grown their store networks over this period. An IGA network contraction, combined with competitor growth, will result in a relative contraction in Metcash's share of industry revenue.

445 ACCC, public hearing transcript, 14 November 2024, pp 358–359; Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 13.

446 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 3.

447 ABS, Retail Trade, Australia, A3349862V (Supermarkets, grocery stores and convenience stores).

448 See, for example, Metcash, Annual Reports 2009–2024.

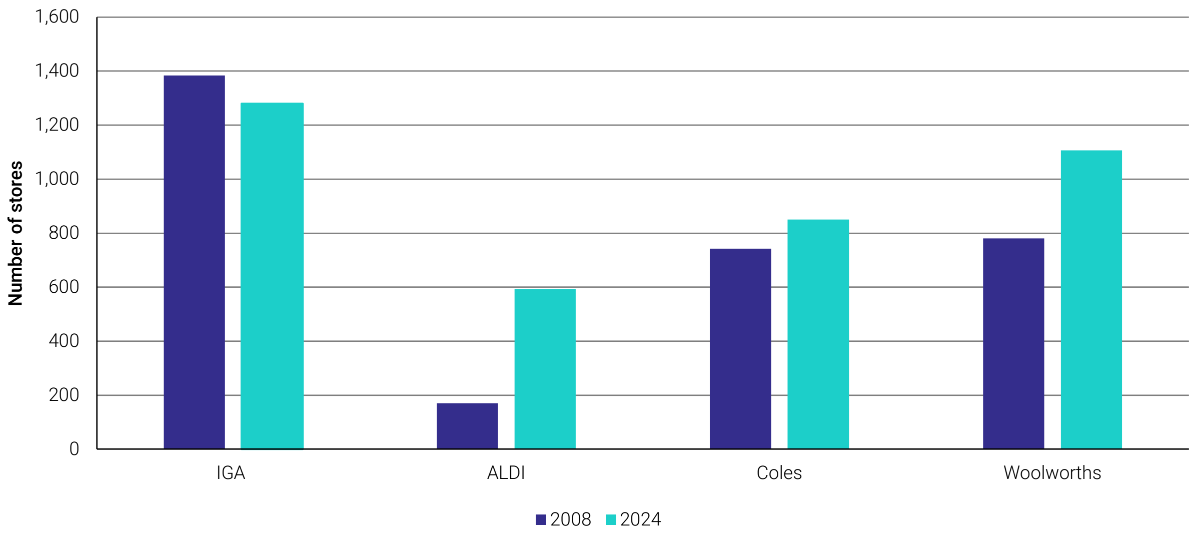
The IGA network is Metcash's largest customer. Collectively, the IGA network, which also includes the brands 'Foodland', 'Local Grocer' and 'SUPA VALU', accounts for approximately 77% of Metcash's total Food revenue.[449] Therefore, a reduction in the number of IGA stores will result in a reduction in Metcash's wholesale customer network.

In its submission to the 2008 Grocery Inquiry, Metcash submitted the IGA network consisted of approximately 1,384 stores.[450] According to Metcash's 2024 annual report, Metcash currently services a network of 1,280 IGA bannered supermarkets (including those operating under the Foodland and SUPA VALU brands).[451] This is a net reduction of 104 IGA bannered supermarkets since 2008.

In figure 3.5, we set out the change in the IGA network between 2008 and 2024. For comparison, figure 3.5 also includes the change in the retail supermarket networks of ALDI, Coles and Woolworths over the same period of time.

Figure 3.5: The IGA network has contracted since 2008

Supermarket retailer store networks, 2008 and 2024



Source: ACCC analysis; Metcash submission to the Grocery Inquiry (2008); Metcash 2024 annual report; Woolworths submission to the inquiry.

The number of stores within the IGA network has not been in consistent decline since 2008. For example, in its submission to the inquiry, Metcash indicated in 2014–15, there were 1,455 IGA branded supermarkets.[452] Noting Metcash services a network of 1,280 IGA supermarkets today, the IGA network has experienced a net decrease of 175 bannered IGA stores since 2014–15.

The de-bannering of the Drakes supermarket network in 2019 was a significant contributor to this reduction. Further to discussion in box 3.9, the Drakes network comprised approximately 60 stores at the time.

At the public hearings, Metcash was asked about the factors behind its declining number of IGA stores:

449 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 5.

450 Metcash, Submission to the Grocery Inquiry, published 2008, p 7.

451 Metcash, Annual Report 2024, p 26.

452 Metcash, Submission to the Inquiry Issues Paper, published May 2024, pp 6–7.

It's a combination of factors … So for IGA, it is a combination of stores that have closed because they've been unsuccessful and unable to continue; some degree of acquisition of stores by the chains; and the other major factor for IGA over the last four years particularly is that as we have established those channel standards and said that these are the things that a retailer must do to be an IGA, the result of that was that not every retailer either wanted to or was able to meet those standards to remain an IGA.[453]

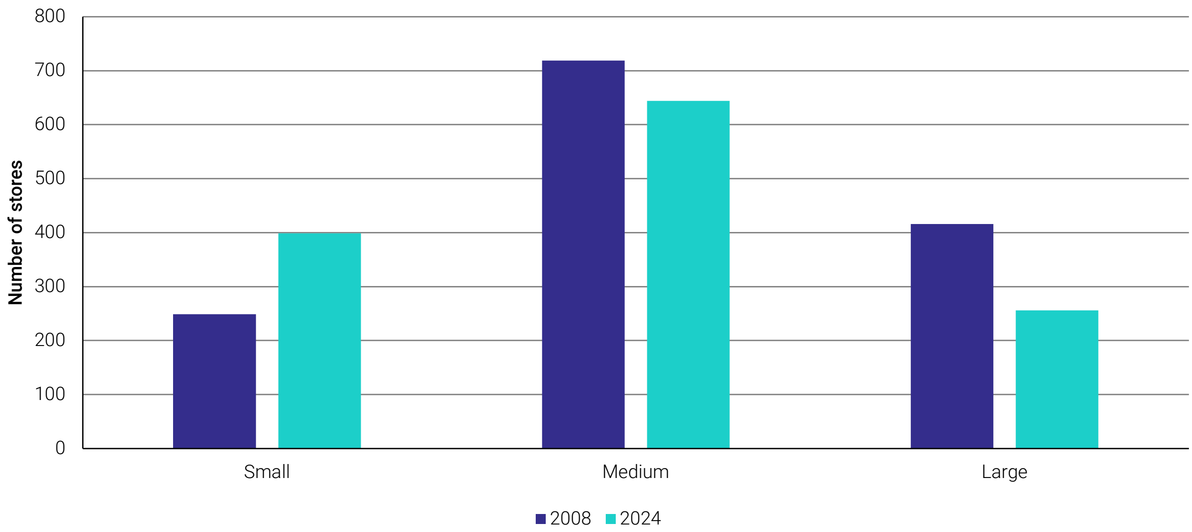
IGA supermarkets are getting smaller on average over time

In addition to a reduction in the number of IGA supermarkets over time, we have also observed that IGA supermarkets are, on average, getting smaller over time.

As noted in section 3.5.4, Metcash categorises its IGA branded supermarkets into small, medium and large formats.[454] In Figure 3.6 below, we set out the number of IGA supermarkets within each categorisation in 2008 and in 2024.[455]

Figure 3.6: IGA has increased its number of small stores, but decreased its number of medium and large stores

IGA network store size, 2008 and 2024



Source: ACCC analysis; Metcash submission to the inquiry (2008 and 2024).[456]

As is shown in figure 3.6, there has been a relatively significant reduction in the number of large format IGA supermarkets since 2008. There has also been a reduction, albeit to a lesser extent, in the number of medium format IGAs. In contrast, the number of small format IGA supermarkets has markedly increased since 2008.

As noted above, Metcash's evidence at the public hearings indicates it considers some degree of acquisition by the chains is a factor contributing to the declining number of IGA stores over time.[457] Metcash also gave evidence that large IGA supermarkets are more likely to be acquired, stating:

453 ACCC, public hearing transcript, 14 November 2024, p 379.

454 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 3.

455 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 3; Metcash, Submission to the Grocery Inquiry, published 2008, p 7.

456 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 3; Metcash, Submission to the Grocery Inquiry, published 2008, p 7.

457 ACCC, public hearing transcript, 14 November 2024, p 379.

> [Coles and Woolworths] typically aren't interested in buying small independents. They would pick off the larger independents, the very successful stores that contribute disproportionately high volume to the total independent network's volume. And that that effect reduces the overall volume that we supply that goes through our distribution centres.[458]

Small format IGA supermarkets, which includes the brands 'IGA Local Grocer' and 'IGA Xpress', have a smaller retail trading area, stock fewer SKUs and, on average, set higher retail prices than medium and large IGA supermarkets.[459] Accordingly, they are likely to have lower retail sales volumes (and a lesser wholesale demand), when compared to a typical medium or large IGA supermarket.

We consider small IGA supermarkets, such as IGA Xpress, to be differentiated, convenience-oriented supermarkets. In contrast, we view Coles, Woolworths, and some large format IGAs, as full-service supermarkets. As we discussed in section 3.2, while differentiated supermarkets provide important competitive constraint on full-service supermarkets, we consider full-service supermarkets compete most closely with each other.

Therefore, in our view, an increase in the number of small, convenience-oriented IGA supermarkets, combined with a reduction in the number of medium and large format IGA supermarkets (by acquisition, closure or otherwise) may also reduce the extent of full-service supermarket competition imposed by IGAs on Coles and Woolworths.

The next section will discuss how Metcash's wholesale revenue as a proportion of industry revenue has changed since the 2008–09 financial year.

Metcash's share of supermarket industry revenue has fallen significantly

Metcash's grocery wholesaling revenue as a proportion of industry revenue has contracted significantly since the 2008–09 financial year.[460]

As will be further set out in section 3.8.2, Metcash is the largest grocery wholesaler to the independent supermarket sector and provides wholesale supply to a significant majority of Australia's independent supermarkets. While we note Metcash does not supply to other vertically integrated independent supermarket chains, including Drakes in South Australia, Harris Farm and SPAR Australia (SPAR), for example, we focus on Metcash as the stores it supplies represent a large proportion of independent supermarkets.

While there has been a slight upward trajectory in Metcash's grocery wholesaling revenue (in nominal terms) since 2008–09, it has not kept pace with industry growth over the same period.[461]

To estimate industry growth, we analysed the ABS' retail trade data for 'supermarkets, grocery stores and convenience stores' between the 2008–09 and 2023–24 financial years.[462] Metcash's annual reports indicate its grocery wholesaling revenue has grown by approximately 15% since 2008–09, while ABS data indicates industry revenue has grown by approximately 87% since 2008–09.[463]

458 ACCC, public hearing transcript, 14 November 2024, p 372.

459 Information provided to the ACCC.

460 As noted in the Interim Report, we use Metcash's grocery wholesaling revenues as a proxy for the independent supermarkets it supplies. We note that this will understate the collective market share for these stores, as Metcash revenues do not reflect retail margins and do not include independent supermarkets' sales of goods sourced outside of Metcash.

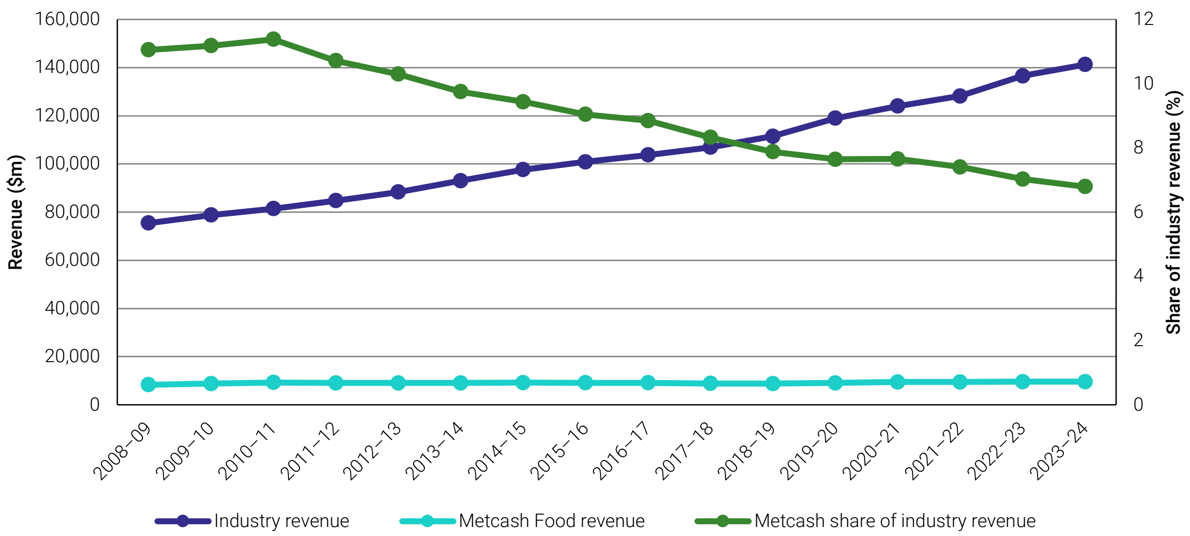
461 Metcash's grocery wholesaling revenues (now 'Food') consist of revenues generated via the distribution of products and services to independent supermarkets and convenience retail outlets. See, for example, Metcash, Annual Report 2023, p 76.

462 ABS, Retail Trade, Australia, A3349862V (Supermarkets, grocery stores and convenience stores), accessed 18 February 2025.

463 ABS, Retail Trade, Australia, A3349862V (Supermarkets, grocery stores and convenience stores), accessed 18 February 2025.

Consequently, Metcash's share of industry revenue has fallen from approximately 11% (in 2010–11) to approximately 7% today. Metcash's share of industry revenue over time is set out in figure 3.7 below. Figure 3.7 also charts Metcash and industry revenue growth since 2008–09.

Figure 3.7: Metcash's share of industry revenue has contracted between 2008–09 and 2023–24



Source: ACCC analysis; Metcash annual reports 2008–09 – 2023–24; ABS Australian Retail Trade estimates (A3349862V).

Metcash was asked about its declining share of industry revenue at the public hearings. Prior to 2019, Metcash gave evidence that there was a period of significant long-term decline in Metcash's market share.[464] Below is an excerpt from the public hearings in which the likely reasons for Metcash's long-term decline through to 2019 are outlined:

> Well, there were a number of reasons. Obviously the entry to ALDI and the increase of ALDI's store numbers around the country changed the market significantly. Not just in terms of the individual sites and their impact locally, but in terms of pricing and the whole market, there was a change. And at that time, I would say that what had been an adequate position to meet the market and successfully compete was not then successful 50 over that period. And independents lost share over that period.
>
> And that manifests itself in poorer like-for-like sales of individual stores, but also a loss of network. So a significant number of store closures, some through businesses not – failing or stores being unable to continue in the locations. Also as we've already referred to, significant periods of acquisition and particularly of larger stores, the chains and that 5 creeping acquisition question from earlier were a factor in that.
>
> But I think it would be wrong for us to suggest that it was also not because – it was because we didn't have a strong enough offer to be successful in the market, and that stabilisation from 2019 reflects an increased competitive offer.[465]

As is observable in figure 3.7, there does appear to have been some stabilisation in Metcash's share of industry revenue between the 2019–20 and 2020–21 financial years, but otherwise Metcash's share of industry revenue appears to have continued to decline. At the hearings, Metcash explained that:

464 ACCC, public hearing transcript, 14 November 2024, pp 378–379.

465 ACCC, public hearing transcript, 14 November 2024, pp 378–379.

> Since 2019, that trend has seen a stabilisation in share, but there was a period of increase in share over three years. And what we've seen in the last 12 months is a very slight decline in share, but in the order of – for all Metcash customers, and again using a proxy measure, not a perfect measure, but in the order of basis points, and in the context of a – clearly a very value-focused market. So not a material change in that time, but prior to five years ago was when you saw that significant long-term decline.[466]

An increase in competitive activity, a contracting Metcash customer network (as discussed above), and a comparatively weak competitive offer in terms of price (which will be discussed throughout this chapter) are all potential contributors to Metcash's declining share of industry revenue long-term.

As shown in figure 3.5 above, ALDI has grown its store network considerably since 2008. Between 2012 and 2019, ALDI's network expanded from 295 supermarkets (in 2012) to 549 supermarkets (in 2019).[467] ALDI's expansion was a significant shift in the retail landscape of Australia's supermarket industry.

Metcash stated that upon ALDI entering the Australian market, overall pricing in the supermarket industry changed.[468] Metcash said that margins for all of the existing players in the industry also changed through that period (see chapter 7 for further discussion of profitability and margins).[469]

At the public hearings, when asked if ALDI's entry prompted Metcash to do anything different, Metcash said:

> I think indirectly. So I wasn't working for Metcash at that time, so I'm not well qualified to answer what were the discussions going on in Metcash at that time. I was in WA when ALDI went to WA, and it certainly, you know, in expectation of what ALDI would bring to that market. And more so, I think, for us, what we expected Coles and Woolworths to do in that market, it did make us focus on how to continue to drive the best possible prices for our customers so they would remain relevant in the market they operated in.[470]

The IGA network skews towards less populated areas of Australia

Our analysis indicates the IGA network skews towards catering to less densely populated regional and remote areas of Australia, relative to ALDI, Coles or Woolworths. In table 3.2 below, we set out the proportion of IGA supermarkets, and supermarkets operated by each of ALDI, Coles and Woolworths, in Australia's major cities, regional areas (inner and outer), and remote areas of Australia.

466 ACCC, public hearing transcript, 14 November 2024, p 378.

467 Woolworths, Submission to the Inquiry Issues Paper, published May 2024, p 19.

468 ACCC, public hearing transcript, 14 November 2024, p 372.

469 ACCC, public hearing transcript, 14 November 2024, p 372.

470 ACCC, public hearing transcript, 14 November 2024, p 372.

Table 3.2: IGA stores skew more towards regional and remote than other supermarkets

	ALDI	Coles	IGA	Woolworths
Major cities	78% (466)	74% (627)	52% (696)	70% (780)
Inner regional	18% (107)	18% (152)	25% (328)	19% (213)
Outer regional	4% (21)	8% (65)	17% (224)	10% (107)
Remote	-	0.7% (6)	4% (59)	0.9% (10)
Very remote	-	0.2% (2)	2% (28)	0.4% (5)

Note: In parentheses: Number of stores. Values greater than 1% have been rounded to the nearest whole number.
Source: ACCC analysis; GapMaps data.[471]

While we have not seen data which indicates there has been a material shift in the geographic placement of the IGA network in recent years, general Australian demographic changes may have, in part, contributed to Metcash's contracting share of industry revenue. ABS data indicates that, historically, the population of Australian capitals has grown at a faster rate than the population of regional areas.[472] For example, between July 2022 and June 2023, the population of Australia's capital cities grew by 3%, while the population of Australia's combined regional areas grew by 1.4%.[473]

Given changing demographics over time, the IGA network may be servicing a customer base growing more slowly than that of ALDI, Coles and Woolworths.

Conclusions on Metcash's declining share of industry revenue

As noted above, the reasons for Metcash's declining share of industry revenue are likely nuanced and varied. We consider the primary factors broadly relate to:

- a reduction in the number of stores supplied by Metcash, which has been influenced by:
    a. the closure of Metcash-supplied independent supermarkets
    b. periods of acquisition of Metcash-supplied independent supermarkets by Coles and Woolworths
    c. a loss of customers to self-supply (specifically Drakes' South Australian supermarket network)
- a reduction in the average IGA supermarket size across the network as a whole, noting there has been a significant material decline in the number of large format IGA supermarkets, and an increase in lower-volume convenience-oriented IGA supermarkets
- likely loss of share to Coles, Woolworths, and to some extent, ALDI, given the difficulties of Metcash-supplied independent supermarkets to compete on price (as was discussed in section 3.5.4, and further addressed throughout this section)
- to a degree, Metcash-supplied independent retailers catering to less densely populated, and slower growing, regional and remote areas of Australia, relative to other major supermarket operators.

471 Table 3.2 uses different data to figure 3.5 above which leads to different store numbers. Most significantly, Tasmanian IGA stores are operated by Tasmanian Independent Retailers (TIR) and are included in the GapMaps data contained in table 3.2 but are not accounted for in the IGA store total in figure 3.5.

472 See, for example, ABS, Historical population, Graph 'Population capital cities and rest of country, Australia', released July 2024, accessed 18 February 2025.

473 See, for example, Australian Government, Centre for Population, Regional Population, 2022–23, March 2024, accessed 18 February 2025.

3.8.2 Metcash is the largest grocery wholesaler to the independent supermarket sector

We consider Metcash-supplied independent supermarkets currently have little or no choice aside from Metcash for their supply of certain packaged groceries. It is our view is that Metcash's position in the market for the wholesale supply of groceries to the independent supermarket sector is largely unchanged since the ACCC's last comprehensive review into the sector in 2008.

This section will explore Metcash's position in the market for the wholesale supply of groceries to the independent supermarket sector, including with reference to the level of constraint imposed on Metcash by other potential means of obtaining wholesale supply.

For certain grocery lines, we consider Metcash-supplied independent supermarkets are reliant on Metcash

Metcash submitted it is the largest grocery wholesaler to the independent grocery sector in Australia.[474] Metcash further submitted there are 'a large number of other wholesalers operating in Australia, including, in particular, specialist meat, seafood and fresh produce distributors, wholesalers who focus on particular cuisine types (e.g. Chinese, Italian) as well as a certain number of general wholesalers in addition to Metcash.'[475]

Evidence provided by Metcash at the public hearings indicates that while there are other wholesalers in the market, they are smaller, and more specialised than Metcash:

> Well, there are other wholesalers in the market. They are considerably smaller than Metcash. I don't think any of them provide the combination of product and services that Metcash do. So, I can say that there is not a comparable competitor to Metcash, but there are a number of smaller wholesalers that operate in Australia.[476]

Metcash estimates approximately 74% of all IGA purchases are made through Metcash (either direct purchases from the Metcash warehouse, or via charge through).[477] The remainder of their supplies are sourced from alternative sources, such as fresh markets, specialist wholesalers or direct supply.[478] Metcash estimates IGA supermarket retailers source between 50–90% of their fresh groceries outside of Metcash, with a strong preference for local producers.[479]

Metcash was asked at the public hearings why groceries in the fresh category are purchased in greater volumes outside of Metcash:

> In part, as I've said, because they are local stores and they choose to source from the communities that they operate in and serve. And, you know, I think when you look at fresh produce, for example, there are many wholesalers of fresh produce, and the barriers to entry to supply fresh produce are relatively low, in that anybody can go to the market who has a market licence and buy produce. And, hence, you know, it's a relatively simple business compared to the supply, for example, of packaged groceries.[480]

474 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 13.

475 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 13.

476 ACCC, public hearing transcript, 14 November 2024, p 381.

477 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 6; We consider the purchasing behaviour of the IGA network is an appropriate proxy for the independent sector more broadly. However, this does not include vertically integrated independent supermarkets networks, such as Drakes (in South Australia), Harris Farm and SPAR supplied retailers, which do not source groceries through Metcash.

478 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 6.

479 Metcash, Submission to the Inquiry Issues Paper, published May 2024 p 6.

480 ACCC, public hearing transcript, 14 November 2024, p 361.

Based on the information available to us, including Metcash's evidence at the public hearings, alternative wholesalers to the independent supermarket sector appear to be localised suppliers or specialists with respect to a particular product line (such as meat and fresh produce).

For other grocery lines, we consider most Metcash-supplied independent supermarkets are reliant on Metcash.[481] This includes a broad range of packaged groceries, or 'core grocery lines.' Core grocery lines is a relatively broad grouping; however, we consider it includes, but is not limited to, a range of groceries such as national and international branded products (including popular branded food and beverage products), toiletries, cleaning products (laundry, kitchen and dishwashing), and biscuits and confectionery products.

SPAR is the only other major grocery wholesaler on the Eastern Seaboard of Australia providing a 'full-line' of groceries to independent supermarket retailers.[482] We understand SPAR's wholesale offer includes a combination of dry lines (~7,500 lines) and frozen and chilled product lines (~1,500 lines).[483] Metcash has supply arrangements with approximately 2,700 suppliers for approximately 27,000 SKUs.[484]

According to the SPAR website, SPAR is a grocery wholesaler to approximately 300 independent retail supermarkets in QLD, NSW, the ACT and the NT.[485] SPAR services its retail network from its 13,400 square metre distribution centre at Acacia Ridge, south of Brisbane.[486] By way of comparison, Metcash operates 5 major distribution centres throughout Australia, and a series of regional distributions centres.[487] Metcash's distribution centre in South Australia, for example, is 68,000 square metres.[488]

When asked at the public hearings whether they were aware of any IGA buying goods from SPAR, Metcash said they were not, stating:

> It may be the case, but I'm certainly not aware of that. I think as we've already said, on average, IGAs buy about 30 per cent of their goods from other sources from Metcash. So we know that's from a range of other wholesalers and directly from suppliers.[489]

We consider that given SPAR's more limited range, scale and geographic presence, it is not likely to be a viable alternative to Metcash for many independent supermarket retailers.

It is our view that Metcash does not face material competitive constraint from alternative wholesalers, in particular for packaged grocery products. Smaller, or more specialised, wholesalers are likely to only compete marginally with Metcash, and generally only in particular geographies, or particular categories, such as perishable items. This is further addressed below.

Direct wholesale competition to Metcash is limited

In its 2023 annual report, Metcash considered its competitive risks at the Group level broadly related to an increase in competitive activity from new or existing competitors. An increase in

481 There are some independent supermarket networks which are not customers of Metcash, including Drakes (in South Australia), Harris Farm and SPAR, for example.

482 See, for example, SPAR, About SPAR Australia, accessed 18 February 2025.

483 See, for example, SPAR, About SPAR Australia, accessed 18 February 2025.

484 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 14.

485 See, for example, SPAR, About SPAR Australia, accessed 18 February 2025.

486 See, for example, SPAR, About SPAR Australia, accessed 18 February 2025; SPAR, 'SPAR Australia opens new distribution centre in Brisbane', November 2022, accessed 18 February.

487 Metcash, Annual Report 2024, p 26.

488 Metcash, 'New Distribution Centre in South Australia', ASX Announcement, 19 November 2018, accessed 18 February 2025.

489 ACCC, public hearing transcript, 14 November 2024, p 384.

competitive activity, Metcash noted, may adversely impact on Metcash's long-term performance and profitability.[490] This includes, but is not limited to:

- a new market entrant with a wholesale function or other disruptive business model
- where suppliers sell directly to Metcash's customers
- where customers form their own buying groups collectively negotiate and purchase directly from suppliers.

Broadly, aside from the potential for new entry, these competitive threats relate to the possibility that independent supermarket retailers source an increasing volume of their groceries directly from upstream suppliers, bypassing Metcash. Theoretically, an independent supermarket retailer could bypass Metcash by negotiating directly with suppliers on an individual basis, or as part of a buying group. On the whole, we consider the competitive constraint imposed on Metcash from these sources is limited. Each of these constraints is further addressed below.

New market entrants have been limited

We do not consider there has been significant entry to grocery wholesaling, nor any significant entry of another disruptive business model, in direct competition with Metcash. While we consider there has been some entry, we consider the competitive impact on Metcash has been limited.

In the 2008 Grocery Inquiry, an independent supermarket operator establishing its own wholesale operations was considered one of the 2 primary threats constraining Metcash's wholesale pricing.[491] As noted in our Interim Report, Drakes, a large independent supermarket chain, established its own wholesale operations in the 2018–19 financial year. Prior to this, Drakes was a wholesale customer of Metcash (trading under the 'Foodland' brand).

We consider Drakes establishing its own wholesale operations is the most significant change in grocery wholesaling. However, and as is further discussed in box 3.9 below, we understand Drakes does not provide wholesale and distribution services to other independent supermarkets in competition with Metcash.

490 Metcash, Annual Report 2023, p 42.

491 ACCC, Grocery Inquiry Final Report, 5 August 2008, p xvii.

Box 3.9: Case study – Drakes vertically integrates to procure its own supplies in South Australia

Drakes has been trading since 1974 and operates 68 independent supermarkets across South Australia and Queensland.[492]

In May 2018, Metcash announced it was planning a new distribution centre and that Drakes had advised it would '...not be making a commitment to have its supermarkets in South Australia supplied from Metcash's proposed new DC.'[493]

In November 2018, Metcash announced it had signed a lease for the new South Australian distribution centre, enabling local retailers to benefit from significant operational efficiencies.[494]

On 26 September 2019, Drakes opened a $125 million distribution centre in Adelaide, 'signifying the official beginning of the South Australian family business' independence from the Metcash/ Foodland Group'.[495]

While Drakes' successful transition to procuring its own supplies may demonstrate it's possible for a smaller independent to do so:

- We understand Drakes does not provide wholesale and distribution services to other independent supermarkets.
- Drakes is still supplied by Metcash in Queensland – an agreement that will continue until at least 3 June 2029.[496]
- It is unclear whether Drakes is seeking to grow and supply itself in other states or supply other supermarkets in South Australia.

In our view there are likely few independent supermarket groups which could replicate this example of vertically integrating and procuring its own supplies. Drakes is one of the largest independent groups, and therefore had sufficient scale to justify the capital investment in a distribution centre.

A review of internal documents indicates the loss of Drakes' custom had a significant impact on the financial viability of Metcash's wholesale operations in South Australia. Metcash calculated the cost to service its existing South Australian distribution centre would materially increase on a per carton basis.[497]

Drakes establishing its own wholesale operation in South Australia indicates that the ability for customers to potentially bypass Metcash may provide a realistic constraint on Metcash's own wholesale pricing.

Metcash has grown its equity interests in several large independent retail groups, such as Ritchies and Cornetts, since 2008.[498] Metcash's equity interests in these independent retail groups reduces

492 Drakes, 'Drakes Welcomes 68th Store with Acquisition of IGA Mount Compass', Press release, November 2024, accessed 18 February.

493 Metcash, 'Potential new DC and loss of major customer in South Australia', ASX announcement, 28 May 2018, accessed 18 February.

494 Metcash, 'Potential new DC and loss of major customer in South Australia', ASX announcement, 28 May 2018, accessed 18 February.

495 Drakes, 'Drakes Supermarkets New Distribution Centre, marking Official Independence from the Metcash Group', Press release, 26 September 2019, accessed 18 February.

496 Metcash, 'Extension of long-term supply agreement with Drakes Supermarkets', Press release, 18 May 2022, accessed 18 February.

497 Information provided to the ACCC.

498 Metcash, Investor Day, 12 March 2024, slide 82.

the likelihood of those independent groups establishing their own wholesale operations. In our view, there does not appear to be any other independent supermarket operators that have the sufficient scale and volume in any one state or region to commence self-supply. This is further addressed in section 3.8.4 below.

Australian United Retailers (AUR) is a national member owned co-operative of over 550 supermarkets, convenience, and liquor retailers representing annual sales of $2.5 billion.[499] AUR signed a long-term supply agreement with Metcash in 2022.[500] Collectively, AUR operates a network with greater cumulative sales than each of Drakes, Ritchies and Harris Farm.[501] While AUR could theoretically establish its own wholesale operations based on its scale and volume, its network is widely dispersed. We consider this will add complexity to its ability to vertically integrate.

Additional market entrants include the formation of Co-operative Supermarkets Australia (CSA) (which is further discussed below), and the attempted entry by IRExchange.

IRExchange was an online grocery wholesaler which 'aimed to disrupt the grocery, liquor and pharmacy wholesaling markets by enabling independent retailers and pharmacies to order stock directly from suppliers through an online trading platform, bypassing wholesalers such as Metcash.'[502] It was reported that IRExchange claimed to have signed up more than 600 retailers, and 70 food, grocery and liquor suppliers, including Unilever, Procter & Gamble, and Reckitt Benckiser.[503] IRExchange went into administration in 2019.[504]

Direct supply to Metcash's customers

We understand that independent supermarket retailers are more likely to acquire certain lines, particularly fresh and localised products, from an alternative to Metcash. For these product lines, direct supply may be a realistic option for some independent supermarket retailers.

However, while recognising direct supply may be possible in some circumstances, we do not consider the possibility of direct supply to be a material competitive constraint on Metcash, in particular for core grocery lines.

In the public hearings, we asked Metcash about the likelihood of an IGA supermarket retailer going direct to a supplier to acquire goods:

> In many cases, it's highly unlikely because for all the reasons that we've explained in terms of efficiency and the scale benefit that Metcash brings between the supplier and between often a small independent retailer. -The effectiveness of moving those goods and operating outside of that Metcash model would be less efficient, would result in higher pricing and therefore would be -unattractive.[505]

The formation of buying groups

In the context of the independent supermarket sector, a buying group broadly refers to a group of independent supermarket operators collectively bargaining with, and purchasing from, upstream grocery suppliers. By collectively bargaining, a buying group may be able to use their combined purchasing power to buy in greater volumes, and/or buy with potentially improved terms.

499 Australian United Retailers, Submission to the Inquiry Interim Report, published January 2025, p 3.

500 Metcash, 'Long-term supply agreement with AUR', ASX Announcement, 3 May 2022, accessed 18 February.

501 Australian United Retailers, Submission to the Inquiry Interim Report, published January 2025, p 3.

502 S Mitchell, 'Metcash challenger IRExchange falls into administration', *Australian Financial Review*, 23 October 2019, accessed 18 February 2025.

503 S Mitchell, 'Metcash challenger IRExchange falls into administration', *Australian Financial Review*, 23 October 2019, accessed 18 February 2025.

504 S Mitchell, 'Metcash challenger IRExchange falls into administration', *Australian Financial Review*, 23 October 2019, accessed 18 February 2025.

505 ACCC, public hearing transcript, 14 November 2024, p 384.

CSA is a prominent buying group, representing over 500 independent retail outlets.[506] While we have limited information on the specific grocery lines CSA purchases on behalf of its members, Metcash gave evidence at the public hearings which suggests that while CSA is a competitor to Metcash, it is not a material competitor, stating:

> …my understanding is they do supply parts of Australia, but not all of Australia, and a relatively small part of range and some other services beyond goods. So I've mentioned before challenges around cost of doing business. I think they're actively involved in procuring preferential deals for retailers for things like waste management, refuse collection and so on.[507]

Metcash also stated:

> …we consider competition in many forms. The biggest form of that competition comes from Coles and Woolworths and how they operate, as I've answered already, but we're certainly aware of Co-operative Supermarkets Australia. I can't really think of any instances where we've been directly competing with them to date, but there may be some. But not in a material-sense.[508]

We consider Metcash likely faces limited constraint from buying group arrangements, including CSA.

3.8.3 Coles and Woolworths impose indirect competitive constraint on Metcash

Metcash submitted its key competitors are the vertically integrated supermarket chains, namely Coles and Woolworths.[509] We consider Coles and Woolworths, given their respective positions in the market, do impose a significant, albeit indirect, constraint on Metcash's wholesale supply to independent supermarkets.

We consider the constraint imposed on Metcash by Coles and Woolworths (and to an extent ALDI) is indirect given their respective end-customers. For example, while Metcash does have growing interests in the retail grocery sector, it is primarily a wholesaler to independent supermarket retailers.[510] That is, Metcash's customers are the independent supermarkets it supplies, not retail consumers purchasing groceries.

Nevertheless, we consider Coles and Woolworths impose competitive constraint on Metcash's wholesale pricing to independent supermarkets. For example, if Metcash raised its wholesale prices by too much, it would likely result in retailers supplied by Metcash being unable to offer retail prices that are competitive with Coles, Woolworths and other supermarkets. This, we expect, would result in Metcash-supplied independent supermarkets losing sales to Coles, Woolworths and other supermarkets.

A loss of retail sales will reduce Metcash's wholesale volumes, and by extension, its revenue and its profitability. Metcash's grocery wholesaling business is reliant on the success of the independent supermarkets it supplies. Hence, Metcash has an incentive to offer sufficiently low wholesale prices so that its retail customers can offer retail prices that are competitive with Coles and Woolworths, while also being profitable for the retailer.

506 Co-operative Supermarkets Australia, About Co-operative Supermarkets Australia, accessed 18 February 2025.

507 ACCC, public hearing transcript, 14 November 2024, p 385.

508 ACCC, public hearing transcript, 14 November 2024, p 385.

509 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 14.

510 Metcash, Investor Day, 12 March 2024, slide 82.

As discussed above, Metcash has been losing share of industry revenue over the past decade. In our view, this likely reflects, at least to an extent, the impact of increased price competition between ALDI, Coles and Woolworths.

While Coles and Woolworths impose competitive constraint on Metcash, direct competition at the wholesale level would likely benefit independent supermarkets

The extent of the competitive constraint vertically integrated supermarkets (ALDI, Coles and Woolworths) impose on grocery wholesalers has been a closely scrutinised competition law issue over a long period of time. Appendix E of the 2008 Grocery Inquiry details the history of mergers, acquisitions and litigation around this issue through to 2008.[511] Metcash's acquisition of Franklins (2010–11), which was opposed by the ACCC, was also subject to litigation.[512]

While we acknowledge Coles and Woolworths (and to a lesser extent ALDI) impose a significant indirect competitive constraint on Metcash, we consider direct competition would nevertheless likely be beneficial for independent supermarkets.

Specifically, if there were greater competition in the wholesale supply sector, with a full-line wholesale offering competing with Metcash to supply independent supermarkets, it is likely wholesale prices to independent supermarkets would reduce by a small, but important, amount. The change is likely to be only a small percentage difference, but in a high-volume business such as supermarket retailing, a small percentage difference is likely to make a significant impact. For example, in the QIW case of 1993, there was some evidence to suggest that competition in wholesaling could lead to a 2 to 3% change in the wholesale prices charged.[513]

It is impossible for us to accurately predict what the percentage change would be if a new competitor emerged in direct competition with Metcash. While we would expect to see reduced prices due to increased competition, there may be price changes given a loss of economies of scale and economies of density. For example, if there were 2 major wholesalers supplying the independent supermarket sector, each would likely be smaller than the current Metcash.

Relevant to this, Metcash submitted:

> Any material decrease in Metcash's scale, whether caused by ongoing creeping acquisitions by vertically integrated chains or other reasons, including supply by an alternative full-line wholesaler, would increase Metcash's costs to the detriment of both suppliers and independent retailers.[514]

However, while the implications of a second major wholesaler entering the market remain unclear, we consider it likely that if Metcash faced direct competition from a similar rival, wholesale prices to independent supermarkets would decrease. This would, in turn, increase the competitiveness of the independent supermarket sector, increase competition on Coles and Woolworths, and therefore benefit customers.

511 ACCC, Grocery Inquiry Final Report, 5 August 2008, pp 495–497.

512 ACCC, Metcash Trading Limited – proposed acquisition of Interfrank Group Holdings Pty Ltd (Franklins), 17 November 2010; ACCC, ACCC responds to Metcash decision, ACCC media release, 5 December 2011.

513 ACCC, Grocery Inquiry Final Report, 5 August 2008, p 151–152.

514 Information provided to the ACCC.

3.8.4 Significant entry or expansion in competition with Metcash appears unlikely

While more direct competition to Metcash at the wholesale level would likely benefit independent supermarkets, we consider further significant entry appears unlikely.

There are considerable barriers which we consider will limit further significant entry to grocery wholesaling in direct competition with Metcash. This is a combination of structural barriers, such as obtaining the necessary scale and volume, and other barriers, which may include Metcash's existing market position, and its ownership interests in several grocery retail businesses.

There are structural barriers limiting further wholesale entry

Grocery wholesaling is a volume driven business that requires scale to be cost-effective.

In its submission, Metcash acknowledged it has scale and a relatively large network of retail customers.[515] Metcash's customer network is large and diverse, comprising of approximately 2,000 independent retailers, including large independent chains, such as Ritchies, Cornetts, and Champions IGA. Metcash services its geographically dispersed customer network through 5 major distribution centres located throughout Australia.[516]

On the whole, we consider it would be difficult for a new entrant to replicate Metcash's scale and volume. The ACCC has previously concluded that for a new wholesaler to be profitable, it would need to attract a significant number of retailers to meet volume requirements.[517] This would necessarily include acquiring the customer base of several large independent retail chains.[518] We consider this to be a considerable barrier, given Metcash's growing ownership interests in several large independent retail chains.[519]

As of the first half of 2023–24, Metcash holds a 29.9% ownership stake in Ritchies, and a 45% ownership stake in Cornetts, in addition to interests in several other grocery retailing entities.[520] Metcash is expecting to further expand its retail interests over time.[521] This is further explored in box 3.10 below.

Given Metcash's ownership interests, we consider these groups are unlikely to establish their own wholesale operations, as Drakes did. Furthermore, given Metcash's equity interests, the wholesale volumes of these groups may become non-contestable for any prospective new entrant.

Given the importance of obtaining volume for a wholesaler to reach commercial viability, we consider this is a significant barrier limiting the viability of any prospective new entrant.

515 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 15.
516 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 5.
517 ACCC, Grocery Inquiry Final Report, 5 August 2008, p 159.
518 ACCC, Grocery Inquiry Final Report, 5 August 2008, p 159.
519 Metcash, Investor Day, 12 March 2024, slide 82.
520 Metcash, Investor Day, 12 March 2024, slide 82.
521 Metcash, Investor Day, 12 March 2024, slide 82.

Box 3.10: Case study – Metcash may increase vertical integration in future

Metcash has a public strategy to increase vertical integration. Metcash describes this as shifting from a traditional grocery wholesaler to an integrated wholesaler, banner-operator and retailer.[522]

At the public hearings, Metcash gave evidence that its strategy involved becoming 'majority owners in some joint ventures'.[523] Metcash considers this will bring benefits including greater efficiency to roll out initiatives for retail outlets (such as loyalty programs) and will better enable network growth through access to Metcash's scale and its capital.[524]

In many instances, vertical integration can lead to the realisation of efficiencies. As will be further outlined in section 3.8.5, there are operational efficiencies that Metcash's vertically integrated competitors (ALDI, Coles and Woolworths) are able to achieve, that Metcash is not.

A vertically integrated supermarket will also benefit from the elimination of double marginalisation, and the alignment of incentives.

Metcash establishing a material retail presence through increased vertical integration would be a significant shift in the retail landscape of the Australian grocery industry. By vertically integrating, it's possible that Metcash may be able to achieve some of the efficiencies that its supermarket competitors enjoy. These efficiencies may lead to improvements in the competitiveness of the Metcash owned retail stores.

In the majority of cases, vertical integration will not raise competition concerns. However, in some instances, vertical integration may raise competition concerns if the relevant entity is able to increase its unilateral market power.[525]

3.8.5 Metcash's wholesale prices may limit vigorous price competition from independent supermarkets

As noted in section 3.5.4, we consider independent retailers supplied by Metcash are less strong competitors on price than ALDI, Coles and Woolworths.

The ability of Metcash-supplied independent retailers to compete on price is heavily influenced by the price at which they obtain groceries at the wholesale level. We have sought to understand, but received limited submissions in respect of, whether the wholesale prices offered by Metcash restrict the ability of independent retailers to compete on price with Coles and Woolworths.

We consider that there are a several reasons why Metcash's wholesale prices may limit price competition from independent supermarkets. This section will further explore some of these reasons.

Metcash is unable to achieve the same scale advantages as Coles and Woolworths

Metcash submitted the dominant position of Coles and Woolworths is facilitated by scale and scope advantages in grocery markets.[526] Metcash considers this results in Coles and Woolworths achieving

522 Metcash, Investor Day, 12 March 2024, slide 82.

523 ACCC, public hearing transcript, 15 November 2024, p 458.

524 ACCC, public hearing transcript, 15 November 2024, p 458.

525 ACCC, Merger Guidelines, updated 21 November 2017, p 25.

526 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 7.

purchasing efficiencies, logistics efficiencies and economies of scale in marketing and promotion functions.[527] When asked about logistics efficiencies in the public hearings, Metcash stated:

> Well, that would be focusing on the operations of distribution centres of moving goods, and there are certain fixed costs that are involved in building distribution centres, and the higher the volume that you can push through those distribution centres, generally the more you're able to spread those fixed costs and the lower your overall cost per carton or per item would be. So that's what we'd be referring to.[528]

Metcash has wholesale scale and is able to obtain efficiencies by servicing a large number of retailers. However, Metcash submitted there is a large difference between its scale, and that of Coles and Woolworths.[529] Metcash submitted this is evident from its relative market share.[530] As a result, Metcash considers it is not able to obtain the same level of logistics efficiencies as Coles and Woolworths.

Metcash submitted the scale advantages enjoyed by Coles and Woolworths, and the consequential market power they hold, may enable them to extract terms from suppliers which suppliers may be unwilling or unable to provide to Metcash, reducing the competitiveness of the independent sector.[531] Metcash was asked about this submission at the public hearings, and stated it would be 'reasonable to assume that based on significantly larger scale that there would be some better terms offered to them than are offered to Metcash'.[532]

The pricing terms between suppliers and supermarkets are complex. Although suppliers may have a standard wholesale price (or 'list price'), this is not necessarily the price that is ultimately paid, for example, once promotional and other payments are taken into account. There are a range of rebates that supermarkets may receive from suppliers, which adds further complexity to pricing structures.

Nevertheless, in our view, given their greater scale, we consider Coles and Woolworths are likely to achieve superior terms from suppliers than Metcash, including notably with respect to promotional funding (which is further addressed below, and in section 7.2.4). This is likely to result in higher wholesale pricing for the independent supermarkets supplied by Metcash.

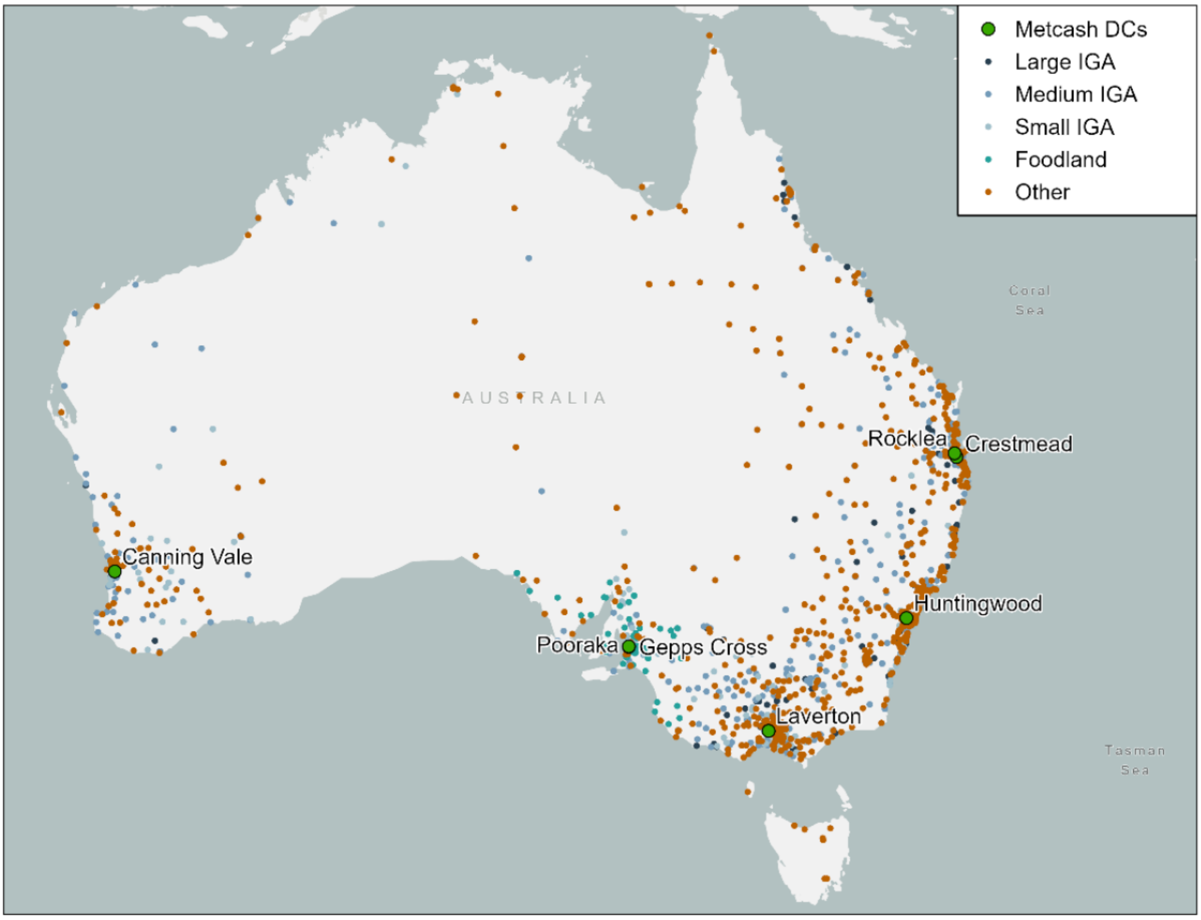
We also consider Metcash is unlikely to achieve the same economies of scale in wholesaling as Coles and Woolworths. This has the potential to result in higher costs to Metcash, and in turn, higher wholesale costs for the independent supermarkets Metcash supplies.

The nature of Metcash's distribution network may affect wholesale pricing

Metcash supplies a geographically dispersed network of independent supermarket retailers of many different sizes. This includes retailers in Australia's major cities, and retailers in regional and remote areas of Australia, as was noted in table 3.2 above.[533] In figure 3.8 below, we set out the retail store network Metcash services from its 5 major distribution centres.

527 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 7.
528 ACCC, public hearing transcript, 14 November 2024, p 370.
529 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 7.
530 ACCC, public hearing transcript, 14 November 2024, p 370.
531 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 7.
532 ACCC, public hearing transcript, 14 November 2024, p 371.
533 Table 3.2 includes only stores under the IGA banner, and not all Metcash-supplied independent retailers.

Figure 3.8: Metcash services a large, geographically dispersed retail network



Source: Information provided to the ACCC.[534]

Metcash submitted that, as a general proposition, independent retailers make decisions regarding the scope of products which will best meet local demand.[535] This results in significant variability in the requirements of the overall Metcash-supplied independent network. For example, in order to service the varied network, Metcash holds approximately 27,000 SKUs.[536] This is significantly more SKUs than a typical IGA store would obtain from Metcash, and more SKUs than an average IGA store would hold in-store. We estimate that, on average, an IGA supermarket may hold around 10,000 SKUs, as is shown in figure 3.2 above.

In a confidential report commissioned by Metcash and submitted to us, it was stated that Coles and Woolworths operate with a lower degree of operational risk than Metcash. This is because Coles and Woolworths have control over the range of products in their retail stores, the price at which those products are sold, the volume of stock that will be supplied, and the timing of supply to retail stores. As a result, the report claims they are able to operate their distribution centres more efficiently than Metcash.[537]

We consider this report makes a valid argument, and for the reasons outlined, we consider Coles and Woolworths are likely to operate their distribution networks with a greater level of certainty and efficiency than Metcash. We would expect a less efficient distribution network to result in higher wholesale pricing for downstream retailers.

534 Information provided to the ACCC.

535 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 8.

536 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 14.

537 Information provided to the ACCC.

Metcash plays a key role in determining promotional depth and frequency for independent supermarkets it supplies

A weaker promotional offering than Coles and Woolworths may limit the price competitiveness of the Metcash-supplied independent supermarkets.

Metcash submitted short-term promotional pricing is a key component of grocery retailing.[538] This submission was again emphasised at the public hearings, with Metcash stating '[w]e see them [consumers] buying increasingly the products that are on promotion or are private label products at entry level- prices, and it seems clear to us that shoppers are prepared to move around more, and I think that's reflected in the data that we can see.'[539]

As outlined in section 3.5.4, we consider that while Metcash has taken steps to improve the price competitiveness of the supermarkets it supplies, its promotional programs appear to not have improved to the same degree as its shelf price index.[540]

A Confidential Party submitted that due to the high supply costs to service the independents via Metcash, supplier promotions in any given year run at half the frequency of the chains (Coles and Woolworths).[541]

In its submission, Metcash stated that 35% of all IGA scan retail sales are sold as part of a promotion.[542] Approximately 10.7% of this is made up from product lines part of the Metcash's 'low price every day' promotional program.[543] Metcash also stated that sales from products under its low price everyday program took a 'big step up' as a proportion of promotional sales between 2019 and 2022.[544] We discuss promotions in more detail in section 4.2.

3.8.6 Metcash is taking steps to improve the competitiveness of the independent supermarkets it supplies, but it continues to lose industry share

While Metcash is taking steps to improve the competitiveness of the independent supermarkets it supplies, we consider, on the whole, Metcash-supplied independent retailers remain unable to compete vigorously on price.

Metcash is expanding its competitive pricing programs

A Metcash document from 2019 indicates Metcash's view at the time was that the price competitiveness of the independent network was a weakness. It identified this was due to cost to serve being recovered through cost of goods, making off promotion pricing expensive and creating opportunities for competitors.[545]

In response, Metcash expanded programs aimed at improving the competitiveness of its offer to independent supermarkets. For example, Metcash submitted there has been an increased emphasis on everyday pricing within the IGA network over the last ten years.[546]

538 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 9.
539 ACCC, public hearing transcript, 14 November 2024, p 373.
540 Information provided to the ACCC.
541 Confidential Party #6, Submission to the Inquiry Interim Report, published December 2024, p.4.
542 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 9.
543 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 9.
544 ACCC, public hearing transcript, 14 November 2024, p 400.
545 Information provided to the ACCC.
546 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 9.

In its 2024 Annual Report, Metcash noted that it had 'continued to focus on improving the competitiveness of the store network by lifting our store standards and offering better value to shoppers'.[547] Metcash's programs aimed at improving price competitiveness include:

- Price Match
- Low Price Every Day (LPED)
- Private label.[548]

According to Metcash's 2023 Annual Report, 'Price Match matches the lowest regular shelf price of essential, comparable products at the chains'.[549] Metcash submitted this program was extended to all IGA supermarkets in 2022.[550]

Under the program, Metcash submitted small IGA supermarkets match the prices of around 200 products, medium IGA supermarkets match the prices of around 600 items, and larger IGA supermarkets match prices on over 1,200 items.[551] Metcash submitted it monitors competitor pricing and has created a fund by which it will make rebate payments to retailers to support price reductions under the Price Match program.[552]

Similarly, Metcash submitted it has implemented an LPED program, consistent with consumer demands in terms of their everyday pricing expectations.[553] There are over 3,000 products available through Metcash's LPED program, and Metcash submitted approximately 10.7% of IGA scan retail sales are sold as part of the LPED program.[554] LPED is considered by Metcash to be a successful long-term promotional program.[555]

Private label

As noted above, Metcash's evidence at the public hearings indicates private label products are being purchased by consumers at increasing volumes.[556] In its submission to the inquiry, Coles estimates private label products are typically between 10–40% cheaper for consumers than similar proprietary brands.[557]

Metcash's public reporting indicates it has experienced growth in private label, noting it has 'seen increased distribution for our private label 'Community Co' and 'Black & Gold' ranges, leading to sales growth of over 15% in FY24'.[558]

Metcash submitted its private labels now account for approximately 7.2% of its sales, which it compares to estimates of 'at least 24% at Woolworths and 28% at Coles'.[559]

Metcash submitted its approach in respect of private label differs from the large vertically integrated chains (Coles and Woolworths).[560] While Metcash seeks to develop private label brands where there is

547 Metcash, Annual Report 2024, p 26.
548 Metcash, Annual Report 2024, p26.
549 Metcash, Annual Report 2023, p 20.
550 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 9.
551 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 9.
552 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 9.
553 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 9.
554 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 9.
555 ACCC, public hearing transcript, 14 November 2024, p 396.
556 ACCC, public hearing transcript, 14 November 2024, p 373.
557 Coles, Submission to the Inquiry Issues Paper, published May 2024, p 24.
558 Metcash, Annual Report 2024, p 26.
559 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 11.
560 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 11.

demand from its retailers, Metcash submitted it does not control retail shelving and cannot replace a branded product with a private label product, as these decisions are made by the retailers.[561]

Metcash submitted it has made a decision to focus on the promotion of branded products.[562] It considers this approach is most likely to result in favourable negotiations with suppliers and deliver products at a competitive price to its retailers.[563]

Despite efforts to improve price competitiveness, Metcash is losing share of industry revenue over time

As outlined above, Metcash has expanded certain initiatives aimed at improving the competitiveness of the independent supermarkets it supplies. However, these initiatives do not appear to have resulted in material changes to Metcash's share of industry revenue, and by extension, the collective market share of the independent supermarkets it supplies.

As discussed in section 3.8.1, we use Metcash's wholesale revenues as a proxy for the independent supermarkets supplied by Metcash. Despite some stabilisation between the 2019–20 and 2020–21 financial years, Metcash's share of industry revenue has fallen significantly since the 2010–11 financial year.

In our view, the evidence indicates the independent supermarket sector is not expanding in line with the industry more broadly. We consider this may be, in part, due to the challenges for Metcash-supplied independent retailers to compete strongly on price across their range as a whole (they are likely price competitive across certain products and promotions).

Metcash is the only national full-service wholesaler to the independent supermarket sector, and direct competitive constraints on Metcash are limited. Accordingly, and given the volume of groceries independents acquire from Metcash, we consider its wholesale pricing (including access to promotions) is a significant factor determining the ability of independent supermarkets to compete on price.

While we recognise Metcash has taken steps to improve its offer, which may also be evidenced by Metcash's long-term margin reduction (which further discussed in section 7.1), there remain concerns that its current wholesale offer may not be sufficient to facilitate effective price competition with the vertically integrated chains.

We consider if Metcash-supplied independent supermarkets are not able to improve their price competitiveness, there is a risk the sector will continue losing share of industry revenue, and the extent of full-service supermarket competition with Coles and Woolworths will continue declining.

Wholesale supply regime is unnecessary and inappropriate for Australia

We note following a recommendation of the New Zealand Commerce Commission (NZCC) in its 2022 market study into the grocery sector, New Zealand introduced a wholesale supply regime.[564]

The NZCC explained this recommendation was designed to make it easier for independent grocery retailers to set up and expand in New Zealand. Specifically, it was aimed at improving access to wholesale supply by requiring the major grocery retailers to fairly consider requests to supply competitors, and for the terms and conditions of supply to be transparent.[565]

561 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 11.

562 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 11.

563 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 11.

564 NZCC, Retail Grocery Market Study: Recommendations, 8 March 2022; Parliamentary Counsel Office: New Zealand Legislation, Grocery Industry Competition Act 2023, September 2023, accessed 18 February 2025.

565 NZCC, Retail Grocery Market Study: Recommendations, 8 March 2022.

We note a Confidential Party suggested we should recommend forcing Coles and Woolworths to supply the independent sector to create further competition and make independent supermarkets competitive.[566]

In our view it is unnecessary and inappropriate for Australia to introduce wholesale access measures. Access regimes are inherently complex, challenging to put in place, and in this instance the likely benefits are unclear. Relevantly, New Zealand does not have an equivalent of Metcash, so competitive access to wholesale supply for a full range of groceries was a more significant challenge in New Zealand.[567]

The NZCC noted in its First Annual Grocery Report in September 2024 that the new wholesale supply regime had limited impact on competition. It stated '[t]he range of wholesale products is constrained by the decisions of some suppliers to opt-out of being part of major grocery retailers' wholesale offerings. Most of the major grocery retailer's private label products are also not available through the wholesale offerings.'[568] The NZCC has proposed enhancements to the regime so it is possible that it may become more effective in time.[569]

3.9 We are unlikely to see significant entry or expansion by full-service supermarket chains in Australia

Our view is that we are unlikely to see significant entry or expansion by full-service supermarket chains in Australia. If entry or expansion does occur, it would be more likely to occur via differentiated supermarkets or non-supermarket grocery retailers, such as online (Amazon), subscription warehouse (Costco), premium gourmet (Harris Farm) or hard discounter (ALDI) offerings.

In the public hearings, Coles stated ALDI, Amazon and Costco's entry in Australia meant the likelihood of another overseas supermarket entering Australia in the next 10 years was not 'on the fanciful side.'[570] Woolworths could not speak to the likelihood of another international retailer entering in the next 10 years.[571] However, Woolworths submitted:

> The fact Kaufland saw an opportunity in Australia, was prepared to enter and pursue plans to do so, illustrates that new entry, by international players, is a realistic possibility and a genuine and credible threat to existing grocery retailers.[572]

3.9.1 Entry and expansion matters for competition, and thereby consumers

Entry (or potential entry) of new supermarkets, and growth of competitors to Coles and Woolworths, could be important sources of potential competition. If new entrants can offer customers an appropriate alternative, incumbents can be constrained from increasing prices or reducing the quality of its services.

566 Confidential Party #6, Submission to the Inquiry Interim Report, published December, p 4.
567 NZCC, Grocery Market Study Final Report, 8 March 2022, pp 228–229.
568 NZCC, First Annual Grocery Report: Executive Summary, 4 September 2024, p 5.
569 NZCC, First Annual Grocery Report: Executive Summary, 4 September 2024, p 5.
570 ACCC, public hearing transcript, 21 November 2024, p 722.
571 ACCC, public hearing transcript, 18 November 2024, p 501.
572 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 29.

New entry must be timely, likely and sufficient in scope and nature to act as an effective competitive constraint. Kaufland's aborted entry provides a useful case study of how a credible threat of entry can prompt competitive responses, even before sales commence. We explore this in box 3.11 below.

Box 3.11: Case study – Coles' competitive response to Kaufland's entry in Australia

Kaufland is a 'hypermarket' store operating in Austria, Bulgaria, Croatia, Czech Republic, Germany, Poland, Republic of Moldova, Romania and Slovakia.[573]

In our Interim Report, we noted Kaufland's exit in early 2020 before opening its first store in Australia was a 'significant missed opportunity'.[574]

This has been substantiated by our review of internal documents from Coles and statements during the public hearings, which suggests Coles developed a competitive response to Kaufland's proposed entry in Australia.[575]

In the public hearings, Coles estimated in its first 10–20 years, Kaufland would take a 5–10% market share.[576]

Internal documents suggest Coles closely monitored Kaufland's entry and the impact it would have on its business. One internal document forecasted if Coles did not take any pro-competitive action, Kaufland could impact Coles by $2.9 billion annually by 2030.[577]

While approximately 34 impacted stores were already earmarked for capital improvements or did not require updates, Coles' property team recommended investing capital to another 17 impacted stores nearby Kaufland's proposed stores to ensure they were 'fit to fight' and be in the best position to retain customers.[578] One document stated it would focus on strategies, including a set of tactical initiatives aimed at disrupting Kaufland's impact in areas they seek to differentiate, by leveraging Coles' knowledge of the demographic.[579]

After Kaufland exited Australia, an internal document briefing executives of Coles stated overall domestic competition has reduced with the exit of Kaufland, though it noted the risk of competition remained high.[580]

During the public hearings Woolworths could not recall estimating an expected market share for Kaufland, however it also noted 'from the number of sites they had acquired…you could have implied that share.'[581] Woolworths acknowledged it was 'certainly aware' of Kaufland's intention to enter Australia and focused on presenting its stores in '…the best possible way with the best possible pricing.'[582]

573 Kaufland, Home Page, accessed 18 February 2025.
574 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, pp 176–177.
575 Information provided to the ACCC.
576 ACCC, public hearing transcript, 21 November 2024, p 721.
577 Information provided to the ACCC.
578 Information provided to the ACCC.
579 Information provided to the ACCC.
580 Information provided to the ACCC.
581 ACCC, public hearing transcript, 18 November 2024, p. 500.
582 ACCC, public hearing transcript, 18 November 2024, p. 499.

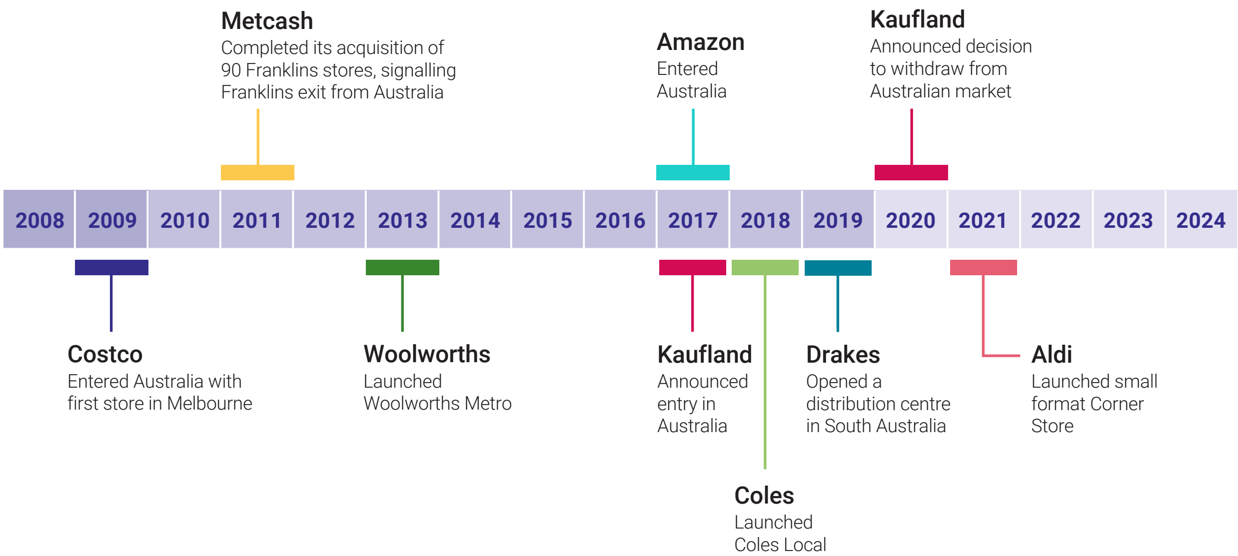
In our view, as another 'hard discounter', Kaufland would have also provided more direct competition to ALDI. An internal strategy document of Coles stated the 'worst case scenario' is Kaufland entering Australia and triggering a price war with ALDI resulting in 'deflating the total market'.[583]

As stated in our Interim Report, we consider Kaufland's aborted entry was a significant missed opportunity for supermarket competition in Australia.[584] Kaufland's entry would have introduced a new large-scale, vertically integrated discount rival with plans for expansion and the capacity to do so.

3.9.2 Entry and expansion since 2008 Grocery Inquiry

Since the 2008 Grocery Inquiry, there have been examples of entry, expansion and exit in grocery retailing in Australia. Figure 3.9 below shows a timeline of entry and expansion from retailers since 2008.

Figure 3.9: Timeline of entry and expansion in Australia since 2008



Source: Publicly available information.

Following its entry in 2009, Costco has grown to 15 grocery and general merchandise warehouses and $4.4 billion in annual revenue.[585] A media source reports Costco plans to expand its Australian store network to 20 stores within the next 5 years.[586]

A case study on ALDI and Amazon's growth in Australia is described in box 3.12 and box 3.13 below.

583 Information provided to the ACCC.

584 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, pp 176–177.

585 Woolworths, Submission to the Inquiry Issues Paper, published May 2024, pp 22–23.

586 7News, 'Costco reveals Australian expansion plans', July 2023, accessed 18 February 2025.

Box 3.12: Case study – ALDI is unlikely to focus on growing its store numbers in Australia

ALDI first entered Australia in 2001, opening 2 stores at Bankstown Airport and Marrickville in NSW.[587] At the time of the 2008 Grocery Inquiry, ALDI had approximately 170 stores.[588] It now has over 590 stores.[589]

In our Interim Report, we noted while ALDI has grown significantly, it has taken approximately 20 years to reach a national share of supply of approximately 10%, which remains materially less than Coles and Woolworths.[590]

In the public hearings, ALDI said 'at this point in time we don't have a huge desire for significant growth that we've seen in the previous years,' further stating it is focused on having a sustainable business, and increasing sales at existing stores.[591]

ALDI stated 'the most expensive way to get growth is to add more stores, whereas the more economical way, once you're set up, is to grow the sales at your existing store base…'[592]

ALDI acknowledged there's an opportunity for it to keep growing and incrementally adding stores to its network, but stated it has never had a specific target, and does not operate the same way as publicly listed companies who may have an expectation for certain growth by a certain period.[593]

While ALDI's growth strategy may change, given its public comments about improving its existing stores rather than developing new stores, our view is ALDI is unlikely to rapidly grow its store network and replicate Coles' or Woolworths' store footprint in the medium term.

587 ALDI, Submission to the Inquiry Issues Paper, published May 2024, p 2.
588 ACCC, Grocery Inquiry Final Report, 5 August 2008, p 43.
589 ALDI, Submission to the Inquiry Issues Paper, published May 2024, p 2.
590 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 175.
591 ACCC, public hearing transcript, 11 November 2024, p 236.
592 ACCC, public hearing transcript, 11 November 2024, p 236.
593 ACCC, public hearing transcript, 11 November 2024, p 236.

Box 3.13: Case study – Amazon's likely competitive impact in supermarket competition in Australia remains unclear

As noted in box 3.8 of section 3.7.3, Amazon launched its retail offering in Australia in December 2017.[594]

In October 2018, Amazon announced it was launching a new category, 'Pantry Food and Drinks.'[595] Amazon stated this category is 'a new range offering Aussies access to thousands of pantry items from over 400 local and international grocery brands.'[596]

Amazon currently offers customers products from 31 categories.[597] Based on publicly available information, as well as statements from Coles and Woolworths, we understand Amazon does not currently retail fresh fruit and vegetables, meat, fish, poultry or dairy (or anything that requires cold chain management).[598]

In terms of Amazon's product overlap with Coles and Woolworths:

- in 'ambient categories' (products safely stored at room temperature), Amazon covers 'roughly 40 percent' of Woolworths' total sales…'[599]
- in Amazon's area of pantry food and drinks categories, Amazon has around 6,000 products which Coles considers they compete with.[600]

While there is product overlap between Amazon and Coles and Woolworths, it is not clear whether Amazon has the capacity or desire to replicate the range (or footprint) of Coles and Woolworths.

Amazon is reported to have internally regarded Australia as an 'emerging market' and to have made plans to outlay another $1.6 billion in Australia by 2026.[601] Coles stated its expectation is Amazon will continue growing and investing in Australia, expanding its range over time.[602] Woolworths similarly submitted Amazon's growth trajectory, scope expansion and penetration in other countries point to the continued and enhanced presence of Amazon in the near to medium term in Australia.[603]

While we consider Amazon will likely continue its expansion, we have not seen any public indications on whether it plans to open physical stores in Australia. As such, Amazon's future model for its supermarket retailing business in Australia remains unclear.

Nevertheless, if there is going to be entry or expansion from a supermarket to rival Coles and Woolworths, we consider it more likely to come from a retailer such as Amazon, as it is a differentiated, non-traditional grocery offering.

594 Amazon, 'Amazon launches its retail offering in Australia with fast, convenient delivery on millions of great value products', Press Release, 5 December 2017.

595 Amazon, 'Amazon Australia expands into pantry food and drinks adding thousands of local and international products', Press Release, 17 October 2018.

596 Amazon, 'Amazon Australia expands into pantry food and drinks adding thousands of local and international products', Press Release, 17 October 2018.

597 Amazon, 'Our Impact', accessed 18 February 2025.

598 Amazon, Home Page, accessed 18 February 2025; ACCC, public hearing transcript, 18 November 2024, pp 490–491.

599 ACCC, public hearing transcript, 18 November 2024, p 490.

600 ACCC, public hearing transcript, 22 November 2024, p 755.

601 Carrie LaFrenz, 'Amazon is quietly turning into a major rival for Coles and Woolworths', The Australian Financial Review, 4 December 2024, accessed 18 February 2025.

602 ACCC, public hearing transcript, 21 November 2024, p 690.

603 Woolworths, Submission to the Inquiry Issues Paper, published May 2024, p 22.

3.9.3 Certain factors are critical to successful entry or expansion

Our views from the Interim Report are unchanged. We consider successful entry or expansion at scale requires the following:

- building a supplier network
- economies of scale at the wholesale level
- capital
- access to suitable sites (if a bricks and mortar business model is adopted).

We discuss each of these factors in more detail below.

Building a supplier network

We consider each of ALDI, Coles, Metcash and Woolworths' success has been partly due to their ability to build a substantial supplier network:

- ALDI works with over 1,000 Australian supply partners.[604]
- In 2023, Coles engaged with about 3,000 suppliers in the supermarket space.[605]
- Metcash has supply arrangements with approximately 2,700 suppliers.[606]
- Woolworths deals with 'somewhere around 3,200 suppliers'.[607]

In its supplementary submission, Woolworths acknowledged a strong supplier network is important for supermarkets.[608]

One of the barriers ALDI faced when opening in Australia was building a supplier network. ALDI submitted it overcame this issue by focusing on 'developing mutually beneficial relationships.'[609] In the public hearings, ALDI expanded on this challenge, stating at the time of their entry, they:

- were unknown to the supplier base[610]
- did not have significant scale, so many suppliers did not want to engage with ALDI[611]
- had to find suppliers that were willing to take a chance on dealing with ALDI.[612]

On the other hand, Woolworths in the public hearings stated building a supplier network is not a barrier because 'suppliers always look for opportunities to sell their products across a range of different retailers and offerings' and 'happily offer ranges to Amazon, ourselves and many other competitors.'[613] Further, in its supplementary submission to our Interim Report, Woolworths submitted suppliers have a 'natural commercial incentive to take advantage of opportunities to increase volume, broaden the channels through which they sell their products, reap scale benefits and diversify their risk.'[614]

604 ALDI, Submission to the Inquiry Issues Paper, published May 2024, p 2.
605 ACCC, public hearing transcript, 21 November 2024, p 664.
606 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 14.
607 ACCC, public hearing transcript, 19 November 2024, p 594.
608 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 29.
609 ALDI, Submission to the Inquiry Issues Paper, published May 2024, p 2.
610 ACCC, public hearing transcript, 11 November 2024, p 231.
611 ACCC, public hearing transcript, 11 November 2024, p 231.
612 ACCC, public hearing transcript, 11 November 2024, p 231.
613 ACCC, public hearing transcript, 18 November 2024, p 500.
614 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 29.

In the public hearings, Coles said ALDI and Costco's entry proves that it is possible to build a strong supplier network.[615] Woolworths similarly submitted 'the strong growth of ALDI's range over time demonstrates the ability of new entrants to build strong relationships with suppliers.'[616]

As noted in our Interim Report, Kaufland did not identify 'building a supplier network' as a contributing factor to its decision to withdrawn from the Australian market.[617] On the contrary, we understand suppliers were supportive of Kaufland's entry.

Our view is building a supplier network is critical to a retailer's success in Australia. Supermarkets with an international presence have an advantage in building relationships with suppliers, due to their experience with suppliers in other jurisdictions and financial resources.

While building a supplier network may be viewed by some as a barrier to entry or expansion, it is not the most significant barrier. It likely requires being able to establish, build and maintain relationships through commitments to volume and payment terms.

Economies of scale at the wholesale level

Having significant scale at the wholesale level of the supply chain is critical to successful entry and expansion in Australia.

In the public hearings, ALDI stated scale is an important factor in terms of keeping costs down. ALDI said:

> …you do obviously want to get to a sizeable – a sizeable enough business that you've got economies of scale, both from your product range perspective and the volume that you can move through as well as your fractionalisation of fixed costs.[618]

ALDI agreed with our contention that there is less urgency to expand your network once you have 'economies of scale that you're satisfied with.'[619]

In response to the Issues Paper, Coles submitted economies of scale are essential in what is one of the largest countries globally but one with a relatively small population of customers.[620] It submitted by virtue of its scale, Coles:

- has the ability to fractionalise costs over a large store and distribution network, enabling Coles to provide high quality grocery products on a timely and cost-effective basis[621]
- typically brings new supermarkets to emerging urban communities across Australia[622]
- can offer state and nationwide pricing policies, which significantly benefits Australian consumers living in regional areas[623]
- can offer suppliers a competitive offering.[624]

In the public hearings, Woolworths said '…one of the challenges in Australia is the vast geography that you need to cover, the cost of supply chain and [distribution centres] to be able to service nationally.'[625] Woolworths said in terms of servicing 'urban areas but also regional and remote areas

615 ACCC, public hearing transcript, 21 November 2024, p 721.
616 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 29.
617 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, pp 177–178.
618 ACCC, public hearing transcript, 11 November 2024, p 238.
619 ACCC, public hearing transcript, 11 November 2024, p 238.
620 Coles, Submission to the Inquiry Issues Paper, published May 2024, p 15.
621 Coles, Submission to the Inquiry Issues Paper, published May 2024, p 15.
622 Coles, Submission to the Inquiry Interim Report, published November 2024, p 30.
623 Coles, Submission to the Inquiry Interim Report, published November 2024, p 8.
624 Coles, Submission to the Inquiry Interim Report, published November 2024, p 20.
625 ACCC, public hearing transcript, 18 November 2024, p 501.

in Australia, you need a certain amount of scale to be able to provide low prices consistently across a country of the scale of Woolworths.'[626]

In response to our Issues Paper, Metcash submitted the entrenched dominant position of Coles and Woolworths is facilitated by scale and scope advantages in grocery markets.[627] Similarly, the Australian Workers' Union and Retail Supply Chain Alliance submitted it is very difficult for potential competitors to achieve the scale required to meaningfully compete with Coles and Woolworths.[628]

Metcash acknowledged it also has scale and obtains efficiencies in its operations by servicing a relatively large network of retailers, and to that extent, is an attractive prospect for suppliers.[629] However, in the public hearings, Metcash said based on its relative scale, it does not have, to the same extent, the same kinds of logistics efficiencies as Coles and Woolworths do.[630]

Woolworths submitted to compete effectively, it is not necessary, or even sensible to replicate the business models or assets of Coles or Woolworths.[631]

We consider economies of scale at the wholesale level are critical to successful entry or expansion. We discuss an example of Drakes vertically integrating to procure its own supplies in South Australia in box 3.19 in section 3.8.2 above.

Capital

We do not consider 'access to capital' to be a barrier to entry or expansion for large well established international supermarket retailers, however it is required for any retailer looking to enter or expand in Australia, particularly smaller retailers. ALDI's successful entry and Kaufland's proposed entry in Australia demonstrate the significant time and investment required to enter and expand in the Australian supermarket landscape.

Woolworths submitted supermarket retailing is a capital-intensive business requiring significant investment.[632]

In the public hearings, ALDI stated it thinks it takes 'a lot' of capital to set up operations in a new market, and took them 'many years to become profitable' in Australia.[633] It suggested capital is a factor which makes a decision to enter Australia difficult.[634] However, ALDI acknowledged its entry was helped by its international presence with respect to funding.[635] ALDI said '…having the backing of an international business enabled us to have access to funds to pursue our growth…'[636]

Coles similarly stated ALDI, Costco and Kaufland are all large international, multi-national retailers, so would have significant resources at their disposal to support entry.[637]

626 ACCC, public hearing transcript, 18 November 2024, p 474.

627 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 7.

628 Australian Workers' Union and Retail Supply Chain Alliance, Submission to the Inquiry Issues Paper, published May 2024, p 1.

629 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 15.

630 ACCC, public hearing transcript, 14 November 2024, p 370.

631 Woolworths, Submission to the Inquiry Interim Report, published December 2024, p 11.

632 Woolworths, Submission to the Inquiry Interim Report, published December 2024, p 11.

633 ACCC, public hearing transcript, 11 November 2024, p 235.

634 ACCC, public hearing transcript, 11 November 2024, p 235.

635 ACCC, public hearing transcript, 11 November 2024, p 235.

636 ACCC, public hearing transcript, 11 November 2024, p 236.

637 ACCC, public hearing transcript, 21 November 2024, p 721.

At the time of its website launch in 2017, Kaufland stated it had an 'ambitious Australian investment and development programme'.[638] This included purchasing suitable sites and constructing a 107,210m^2 distribution centre.639 From Kaufland's ASIC filings, we estimate it invested approximately $500m in its Australian entry, of which approximately $300m was unrecovered or, in other words, sunk costs.[640]

Access to suitable retail sites

We discuss challenges to accessing suitable sites in detail at section 3.10 below.

3.9.4 Profitable entry or expansion is less likely in regional and remote areas

Profitable entry or expansion may be less likely in regional and remote areas, due to the higher costs to serve these communities and often relatively small populations.

One particular challenge for regional and remote areas includes requiring a minimum population size to justify operating a store. In the public hearings, ALDI said its stores require a minimum catchment size to make it financially and commercially viable, and '…they would generally be in the order of about 15,000.'[641]

On the other hand, Coles said it assesses 'every geography on its merit and on its population.'[642] Regarding remote communities, Coles said there is not 'an assessment of a minimum level of population that we would typically go into. We would assess the store on a number of merits… to see whether we could offer a sustainable business for the community.'[643] However, Coles said it would not enter a 'one-supermarket town' if the population was only sufficient to service one supermarket.[644]

In the public hearings, when asked whether there were any population thresholds Metcash would take into account, Metcash said there were not, because it has a number of different store formats and channels.[645]

We also heard existing distribution centres may not be capable of servicing remote or regional areas. For example, ALDI said it is not pursuing the Northern Territory market 'at this stage' because the market is too small to justify the investment of its distribution centre, and it is not feasible to service it from any of the existing distribution centres.[646]

Moreover, given high freight costs to service these communities, profitability for supermarket retailers is expected to be less in regional or remote areas. Arnhem Land Progress Aboriginal Corporation submitted:

> Freight varies between stores depending on the mode of delivery. For stores that can be reached via road the freight is 9%. Locations that are only accessible via sea…can be as high as 39%.[647]

638 Wayback Machine Internet Archive, Kaufland Australia website, captured on 7 June 2017, accessed 18 February 2025.
639 Vaughan Constructions, Vaughan to build nation's largest distribution centre for Kaufland, Press Release, 24 June 2019.
640 ASIC filings.
641 ACCC, public hearing transcript, 11 November 2024, p 216.
642 ACCC, public hearing transcript, 21 November 2024, p 662.
643 ACCC, public hearing transcript, 21 November 2024, p 662.
644 ACCC, public hearing transcript, 21 November 2024, p 719.
645 ACCC, public hearing transcript, 14 November 2024, p 364.
646 ACCC, public hearing transcript, 11 November 2024, p 237.
647 The Arnhem Land Progress Aboriginal Corporation, Submission to the Inquiry Issues Paper, published June 2024, p 3.

Community Enterprise Queensland submitted 'freight constitutes approximately 14.2% of cost of goods sold due to the supply chain length and associated costs' of supplying to remote communities.[648]

For regional or remote communities which may only support one or 2 grocery stores, we support further consideration of ways to support a competitive Australian grocery and supermarket sector, for example through a co-operative model in these limited choice areas. This is discussed in further detail in section 3.3 above.

3.10 Securing suitable sites is challenging for all competitors, with Coles and Woolworths dominant

Our view is there is a limited availability of suitable sites for supermarket retailers in Australia. This is likely significantly impacted by 2 factors:

- planning and zoning laws restrict overall supply
- Coles and Woolworths compete aggressively for, and have advantages over other retailers in securing retail sites which creates risks for competition.

In their submissions to our Interim Report, Coles and Woolworths stated access to or competition for retail sites is not a barrier, or significant barrier, to entry or expansion.[649]

We discuss each of these factors in more detail below.

3.10.1 Planning and zoning laws restrict the supply of suitable sites

Our view is planning and zoning laws may overly restrict the overall supply of suitable sites. Our understanding is:

- zoning limits the locations where supermarkets may operate
- planning leads to delays to, or at times complete inability for retailers or developers to develop sites.

In the public hearings, Coles stated 'land is a finite resource.'[650] When asked whether a key challenge for a new supermarket operator is finding suitable sites to establish a store, Coles accepted it is a difficult process.[651] Woolworths suggested locating suitable sites for a supermarket is 'challenging but it's achievable…'[652]

Planning and zoning laws are complex

In its 2021 Information Paper titled 'Plan to identify planning and zoning reforms', the Productivity Commission observed states and territories differ both in the structure of their planning systems and the economic forces shaping their cities.[653] It concluded conflicts on development objectives

648 Community Enterprise Queensland, Submission to the Inquiry Issues Paper, published May 2024, p 7.

649 Woolworths, Submission to the Inquiry Interim Report, published December 2024, p 12; Coles, Submission to the Inquiry Interim Report, published November 2024, p 29.

650 ACCC, public hearing transcript, 21 November 2024, p 713.

651 ACCC, public hearing transcript, 21 November 2024, p 713.

652 ACCC, public hearing transcript, 18 November 2024, pp 501–502.

653 Productivity Commission, Information Paper: Plan to identify planning and zoning reforms, 9 March 2021, p 1.

between different levels of governments and overly prescriptive land use regulations can act as substantial barriers to economic activity.[654]

As we identified in our Interim Report, not only are there differences in planning and zoning laws across states and territories in Australia, but there are differences within each jurisdiction at a state or territory and local level of government, which we consider may create a level of complexity for new entrants and existing supermarkets.[655]

In November 2024, the Productivity Commission published a study report titled 'National Competition Policy: modelling proposed reforms', which called for reforms to commercial planning and zoning rules[656] in line with its recommendations in previous reports (including the 2021 Information Paper referenced above).

In its 2024 Information Paper, the Productivity Commission recommended adopting a liberalised, pro-competition and nationally consistent approach to commercial planning and zoning regulations.[657]

For example, the Productivity Commission recommended moving to fewer, broader and standardised land use zones, suggesting such a reform would reduce administrative and compliance costs, make it easier for new firms to enter local markets and for existing firms to expand, and enable planning systems to respond more flexibly to changing land use activities.[658]

We understand previous reforms to planning and zoning laws may have lowered barriers to entry and expansion in the supermarket sector. For example, in 2013 the Victorian Government merged 5 business zones into 2 commercial zones.[659] Amendments to commercial zones included removing permit requirements for certain activities (including for supermarkets) and removing some floor space limits (such as for shops and offices).[660]

The Productivity Commission considered these reforms:

- increased the availability of suitable sites
- reduced set-up costs for small-scale supermarkets and large format retailers.[661]

The Productivity Commission found the predicted negative effects of these reforms did not occur.[662] However, it also observed it was not clear whether the reforms led to competition gains in the supermarket sector – given, for example, ALDI's store numbers may have increased absent these reforms.[663]

In the public hearings ALDI said Victoria's reforms '…allowed ALDI and other operators…to develop new sites,' and also referred to Victoria as the 'benchmark.'[664]

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654 Productivity Commission, Information Paper: Plan to identify planning and zoning reforms, 9 March 2021, p 15.

655 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 182.

656 Productivity Commission, Study report: National Competition Policy: modelling proposed reforms, 29 November 2024, p 44.

657 Productivity Commission, Study report: National Competition Policy: modelling proposed reforms, 29 November 2024, p 5.

658 Productivity Commission, Study report: National Competition Policy: modelling proposed reforms, 29 November 2024, p 44.

659 Victorian Government Department of Transport, Planning and Local Infrastructure, Advisory Note 52, Reformed Residential, Commercial and Industrial Zones for Victoria, July 2013.

660 Productivity Commission, Study Report: National Competition Policy: modelling proposed reforms, 29 November 2024, p 47.

661 Productivity Commission, Study report: National Competition Policy: modelling proposed reforms, 29 November 2024, p 48.

662 Productivity Commission, Study report: National Competition Policy: modelling proposed reforms, 29 November 2024, p 48.

663 Productivity Commission, Study report: National Competition Policy: modelling proposed reforms, 29 November 2024, p 52.

664 ACCC, public hearing transcript, 11 November 2024, p 234.

ALDI gave evidence that 'highly prescriptive zones' remain a problem.[665] ALDI stated New South Wales and Victoria pursued a standard planning instrument across the state that governed the planning definitions for all councils. However:

> in other jurisdictions such as Queensland, they still operate on council-specific definitions, which makes it much more difficult for operators like ALDI and others who want to work across the state because you need to learn and familiarise yourself with all of those specific regulations per council area, and they vary.[666]

The Productivity Commission in its 2024 Information Paper noted 'there is merit in all states and territories considering ways to make their zoning and planning arrangements more flexible and adaptable.'[667]

Planning and zoning laws can lead to delays and may prevent new entry or expansion in local areas

Our view is delays in obtaining planning approvals are part of the reason why a supermarket may hold onto an undeveloped or unused site for lengthy periods.

Coles submitted if a site is complicated to develop, for example if rezoning is required, development or planning approvals are complicated or there are access or easement issues that require resolution, land may be held for lengthy periods.[668]

Woolworths submitted that in NSW:

- the rezoning process generally takes between 2 to 5 years[669]
- the development application process generally takes between 1 to 2 years.[670]

However, it submitted this progression assumes the various difficulties or variations are not encountered.[671]

In the public hearings, Coles said the planning and development process 'might take anywhere between five to seven years potentially' if 'things [are] going well'.[672]

ALDI in the public hearings stated the slow, costly and unpredictable land rezoning process remains a problem today.[673] It further stated in areas where there is an insufficient supply of correctly zoned land, pursuing rezoning is slow, expensive and the appeal rights are 'hazy'.[674]

Documents reviewed by us indicate that Coles and Woolworths have experienced challenges during the planning process in relation to the development of several sites, which we consider likely to have delayed the development of the sites.[675] In its submission to our Interim Report, Woolworths stated:

> There are many instances where the DA [Development Application] needs to be modified/resubmitted post stakeholder input and also many instances where the DA is initially refused and a separate planning court process is required. Even if a DA is granted,

665 ACCC, public hearing transcript, 11 November 2024, p 234.
666 ACCC, public hearing transcript, 11 November 2024, p 234.
667 Productivity Commission, Study report: National Competition Policy: modelling proposed reforms, 29 November 2024, p 49.
668 Coles, Submission to the Inquiry Issues Paper, published May 2024, p 22.
669 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 31.
670 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 32.
671 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 32.
672 ACCC, public hearing transcript, 21 November 2024, p 723.
673 ACCC, public hearing transcript, 11 November 2024, p 234.
674 ACCC, public hearing transcript, 11 November 2024, p 234.
675 Information provided to the ACCC.

in some jurisdictions there are appeal rights that effectively initiate a further planning court process. These factors add further time and cost to the process.[676]

We've also heard that third party action in planning processes can lead to delays. For example, Seymour Group, a real estate developer in Brisbane, submitted landlords or businesses 'game the planning system' by hindering or blocking a rival's development. This may be done in the form of lodging objections against a competing development's approval, or pursuing an objection through the courts with appeals that can extend the process for years.[677]

Seymour Group did not provide examples to this inquiry, however a media source reported a landlord is Sydney is attempting to overturn a council decision for a new development by Seymour Group in Brisbane.[678]

We discuss an example of an international retailer seeking to streamline local planning laws to facilitate entry in box 3.14.

Box 3.14: Case Study – Kaufland used Victoria's streamlined planning process

To facilitate its entry in Victoria, Kaufland sought a streamlined planning process for 6 supermarket stores across metropolitan Melbourne.[679]

Kaufland went directly to the Victorian Minister for Planning instead of the usual method of going through local council planning approval processes.

Pursuant to section 151 of the *Planning and Environment Act 1987* (Vic),[680] the Victorian Minister for Planning appointed an Advisory Committee to consider submissions and provide advice on all relevant planning matters associated with the location, development, and use of Kaufland's 6 proposed sites.[681]

The Advisory Committee comprised independent experts in statutory and strategic planning, retail planning analysis, urban design and traffic and transport planning.[682]

Community and industry groups raised concerns regarding Kaufland's actions in doing so. A media article reported an industry group comprising FoodWorks, Friendly Grocer and IGA considered Kaufland's entry posed a 'major risk to any family enterprise and private business.' The industry group reportedly said '…the minister should be pushing back and putting all Kaufland sites back in the hands of councils… It should be discussed with local communities rigorously to understand the impact of having major sites rezoned.'[683]

676 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 32.

677 Seymour Group, Submission to the Inquiry Interim Report, published November 2024, p 2.

678 Kenji Sato and Steve Austin, 'Seymour Group accuses Dexus of anti-competitive conduct for opposing Newstead Green Project', ABC News, 18 June 2024, accessed 18 February 2025.

679 Advisory Committee Report, Kaufland Stores in Victoria Advisory Committee, 7 February 2019, p 7.

680 Section 151 of the *Planning and Environment Act 1987* (Vic) allows the Minister to establish committees to advise on any matter which the Minister refers to them.

681 Advisory Committee Report, Kaufland Stores in Victoria Advisory Committee, 7 February 2019, p 7.

682 TROVE, Victoria State Government, Information sheet: Kaufland stores in Victoria Advisory Committee proposed planning provision changes to 1158 Nepean Highway, Mornington, December 2018, accessed 18 February 2025.

683 Ruth Hogan, 'Industry group steps up campaign against Kaufland', Inside FMCG, 2 November 2018, accessed 18 February 2025.

This media article reported that Kaufland said '…it was necessary to go directly to the minister given the scale of the project.'[684] Kaufland further said it '…is making significant investment and employment decisions for which it requires a degree of certainty that a traditional planning pathway through six individual councils could not provide. Cases such as Kaufland's, in which certainty is needed across multiple sites at one time, are one of the reasons such a panel process exists.'[685]

The Advisory Committee was required to consider submissions, hold a public hearing, provide independent advice on the planning merits of the proposals, and make recommendations whether planning permission should be granted, with or without modification.[686] In a media report, Kaufland described the Advisory Committee process as 'legitimate, transparent and accountable and encourages public engagement.'[687]

Despite backlash, Kaufland received its first planning approvals less than one year after the Advisory Committee was established. In March 2019, Kaufland received planning approval for 3 stores in Victoria.[688] In August 2019, Kaufland received further approvals for 2 stores and proposed at least 9 more.[689]

Kaufland's experience in Victoria demonstrates how streamlining planning approval processes can facilitate entry in Australia. By going through one process instead of seeking separate council approvals, Kaufland likely mitigated the complexity and delays associated with local planning and zoning laws.

3.10.2 Coles and Woolworths compete aggressively for, and have advantages over others in securing retail sites, which creates risks for competition

Throughout this inquiry, we have heard concerns that acquisitions by Coles and Woolworths is leading to a lack of access to suitable sites. We have focused on the following 3 types of alleged conduct by Coles and Woolworths, namely:

- land banking
- oversupplying local areas
- acquiring shopping centres in which competitors are operating.

Information received from Coles and Woolworths during this inquiry, combined with our views below, indicate there is a need for the ACCC to closely scrutinise future acquisitions by Coles and Woolworths. This is particularly the case given our views that Coles and Woolworths have:

- competitive advantages in acquiring and securing suitable sites
- an entrenched position in Australia's supermarkets industry due to their established retail store network.

684 Ruth Hogan, 'Industry group steps up campaign against Kaufland', Inside FMCG, 2 November 2018, accessed 18 February 2025.

685 Ruth Hogan, 'Industry group steps up campaign against Kaufland', Inside FMCG, 2 November 2018, accessed 18 February 2025.

686 Advisory Committee Report, Kaufland Stores in Victoria Advisory Committee, 7 February 2019, p 7.

687 Ruth Hogan, 'Industry group steps up campaign against Kaufland', Inside FMCG, 2 November 2018, accessed 18 February 2025.

688 Premier of Victoria, 'Bringing Jobs and German Ingenuity to Supermarket Shopping', Press Release, 8 March 2019.

689 Premier of Victoria, 'Supermarket Giant Expands Victorian Footprint', Press Release, 29 August 2019.

Incoming merger reform including a potential Ministerial instrument (which introduces further notification requirements for supermarkets) will enhance the ACCC's ability to scrutinise acquisitions by supermarkets. A case-by-case assessment of acquisitions by Coles and Woolworths was outside the scope of this inquiry.

Coles and Woolworths have competitive advantages when acquiring sites

By virtue of their significant size, reputation and financial resources, Coles and Woolworths have competitive advantages in acquiring suitable sites and are often the most likely to be successful in acquiring suitable sites over other supermarket operators.

For example, we understand Coles and Woolworths:

- have strong reputations as good tenants – Fawkner Property, a landlord to 8 Coles, and 9 Woolworths stores submitted Coles and Woolworths are the 'model Australian tenant', submitting 'without fail, the 2 tenants pay their rent on time and on budget'[690]
- can act as major (or anchor) tenants in shopping centres across Australia – Anchor tenants generate and maximise consumer traffic for smaller retailer tenants within a shopping centre.[691] While there may be more than one anchor tenant within a shopping centre, Fawkner Property submitted shopping centre developments are 'not feasible' without Coles or Woolworths,[692] and their presence within a shopping centre attracts customers and other retailers, which 'cannot be underscored [enough]'[693]
- can offer landlords higher rents[694] and 'will often outbid (sometimes materially) an independent retailer for a relevant site'[695] – In the public hearings, both Coles and Woolworths stated bidding for sites or securing a lease is a very competitive process, and in many instances each end up paying more then they would like to. However, both Coles and Woolworths said ensuring they can operate a sustainable business is the key factor[696]
- have the capital and resources to open new stores in undeveloped urban regions or growth corridors where store development occurs in anticipation of population reaching levels supporting a supermarket – Coles submitted it does not typically see ALDI, IGA or other independents enter these locations until population is well established.[697]

Woolworths acknowledged in its submission that it may have some advantages when competing for sites, or may be a more attractive anchor tenant. However, it submitted this does not inhibit the growth of competing grocery retailers.[698]

However, a consequence of Coles' and Woolworths' competitive advantages in acquiring retail sites is independent supermarkets may find it challenging to compete for these sites. Further, to the extent these competitive advantages hinder the expansion of independent supermarkets more broadly, the scale and competitiveness of independent supermarket chains may also be inhibited.

As discussed in our Interim Report, ALDI, Coles, Metcash and Woolworths are expanding into small format stores.[699] For example, Woolworths said in the public hearings it has '…a number of very small

690 Fawkner Property, Submission to the Inquiry Issues Paper, published May 2024, p 1.
691 Thomson Reuters Practical Law, Glossary – Anchor tenant, accessed 18 February 2025.
692 Fawkner Property, Submission to the Inquiry Issues Paper, published May 2024, pp 1–2.
693 Fawkner Property, Submission to the Inquiry Issues Paper, published May 2024, pp 1–2.
694 Information provided to the ACCC.
695 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 11.
696 ACCC, public hearing transcript, 21 November 2024, p 717; ACCC, public hearing transcript, 18 November 2024, p 510.
697 Coles, Submission to the Inquiry Interim Report, published November 2024, p 5.
698 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 32.
699 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 142.

format metropolitan-based, CBD-based Metro stores as well.'[700] It appears Woolworths is filling a demand for well-located stores (which are more convenient for foot traffic) that allow for convenient top-up style shopping.[701]

We expect the competitive advantages identified above will apply for Coles' and Woolworths' small format stores. Although there are more sites available for small format stores across Australia, independent supermarkets will likely face more competition from Coles and Woolworths than they historically have. This may be concerning if Coles' and Woolworths' expansion to small format stores results in the removal of a smaller, independent competitor from the area.

Coles and Woolworths have an entrenched position in Australia's supermarket industry due to their established retail store networks

In our view, the length of Coles' and Woolworths' leases reinforces their market positions are unlikely to change dramatically in the medium to long-term.

This is because convenience is a key driver of store choice for consumers and having a supermarket in a good location gives a strong competitive advantage in that local area (for further discussion see section 3.2.4). As we discuss above, there is often also a shortage of suitable sites for rival supermarkets to enter a local area.

Coles submitted that 99% of its stores are leased.[702] Based on information provided by Coles, we understand around 80% of Coles' leased stores have more than 10 years remaining on their leases (if all options to extend are exercised), with the longest term remaining being several decades (if all options to extend are exercised).[703] However, Coles stated the date its leases expire does not necessarily reflect the term of the lease that will eventuate, as options may not be exercised, or additional tenure may be negotiated.[704]

Based on information provided by Woolworths, more than 90% of its leased stores have more than 10 years remaining on their leases (if all options are exercised).[705]

Concerns have been raised that Coles and Woolworths are land banking

Prior to, and throughout this inquiry, some interested parties have raised concerns that given Coles and Woolworths purchase and hold land (and may not immediately develop a supermarket on the land), they may be engaging in land banking.[706]

Metcash said '…land banking is anything that involves the chains using property as a means to exclude people from the market.'[707] It further stated:

> There would be, you know, plenty of circumstances every year…where there are sites that we may identify as being suitable for an IGA to open and then, when we investigate, we found that those sites are unavailable because they've been land banked by one of the chains.[708]

700 ACCC, public hearing transcript, 18 November 2024, pp 496.

701 ACCC, public hearing transcript, 18 November 2024, pp 496–497.

702 Coles, Submission to the Inquiry Issues Paper, published May 2024, p 22.

703 Information provided to the ACCC.

704 Information provided to the ACCC.

705 Information provided to the ACCC.

706 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 184; ACCC, public hearing transcript, 14 November 2024, p 390. In the public hearings, ALDI noted it has not been restricted by the number of sites that it would like to develop because of land banking by Coles and Woolworths. See ACCC, public hearing transcript, 21 November 2024, p 722.

707 ACCC, public hearing transcript, 14 November 2024, p 389.

708 ACCC, public hearing transcript, 14 November 2024, p 390.

We understand some industry participants use the term 'land banking' to describe the acquisition of land for future use.[709]

For the purpose of this report, we adopt a different definition of 'land banking,' which we identified in our Interim Report: purchasing land without an intention to develop that land (or earlier than needed to develop that land) so as to block competitors from developing land in these locations.[710]

In submissions to the inquiry and during the public hearings, Coles and Woolworths denied engaging in our definition of land banking.[711] For example:

- Coles said it has a finite balance sheet, and only wants to invest in properties that are going to deliver a return. It said it purchases land to put a supermarket down, not to sit idle.[712]
- Woolworths submitted that it acquires relevant sites only with the intention to develop new stores (or expand or refurbish existing stores) or online fulfilment capacity for its own business.[713]

Coles and Woolworths appear to regularly purchase land, which is expected if they wish to expand their store footprint. However, a practical consequence and therefore benefit to Coles or Woolworths securing or retaining a site may be that a competitor is prevented from operating there. This can occur through Coles or Woolworths making the specific site unavailable in circumstances where there are none or few suitable alternative sites available nearby or by deterring entry by signalling the possibility of a new Coles or Woolworths store.

Determining whether purchasing and holding of any piece of land is anti-competitive, including by preventing a rival's entry or creating strategic barriers to entry or expansion, is a complex assessment requiring detailed analysis on a case-by-case basis. That is, local market conditions need to be examined, including (but not limited to):

- the distance to the nearest rival supermarkets
- the nature of consumer demand in the area
- the rate of population growth
- availability of alternative sites nearby
- likely entry or expansion by rivals
- reasons for any delay to development.

We have not conducted this case-by-case assessment as part of this inquiry.

Given the confines of the inquiry, we also did not observe Coles and Woolworths engaging in a deliberate or overarching strategy of land banking. Further, the timelines of this inquiry did not allow us to require the supermarkets to produce or for us to undertake an exhaustive review of all potentially relevant documents to this issue. In any case, anti-competitive strategies may have been considered or adopted even if they were not recorded in executive level documents.

The information we have obtained during the course of the inquiry shows there is a need for the ACCC to closely examine the competitive impact of acquisitions by Coles and Woolworths.

We have found that Coles and Woolworths each hold a large pipeline of undeveloped and unused sites for future supermarket use.[714]

709 ACCC, public hearing transcript, 18 November 2024, p 502; ACCC, public hearing transcript, 11 November 2024, p 241.
710 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 184.
711 ACCC, public hearing transcript, 18 November 2024, p 503; ACCC, public hearing transcript, 21 November 2024, p 722.
712 ACCC, public hearing transcript, 21 November 2024, p 722.
713 Woolworths, Submission to the Inquiry Interim Report, published December 2024, p 4.
714 Information provided to the ACCC.

The figures in the below charts show Coles holds 59 undeveloped and unused sites intended for future supermarket use, and Woolworths holds 105 undeveloped and unused sites intended for future supermarket use. By way of comparison, ALDI holds 17 undeveloped and unused sites for future supermarket use.

Table 3.3 below depicts the number of undeveloped and unused sites held by ALDI, Coles and Woolworths, intended for future supermarket use. We include ALDI for comparison. These figures are updated from those included in our Interim Report to account for store openings or site disposals since publication of our Interim Report. These figures also include undeveloped or unused leasehold sites (or sites subject to an agreement for lease) held by Coles, which were not included in our Interim Report.[715]

Table 3.3: Number of undeveloped and unused sites intended for future supermarket use held by ALDI, Coles and Woolworths[716]

Type of interest	ALDI	Coles	Woolworths
Freehold	7	39	62
Leasehold / agreement for lease	10	20	43
Total	**17**	**59**	**105**

Source: ACCC analysis; information provided to the ACCC.

Figures 3.10 and 3.11 below show the length of time ALDI, Coles and Woolworths have held undeveloped and unused sites intended for supermarket use (as at 2025).

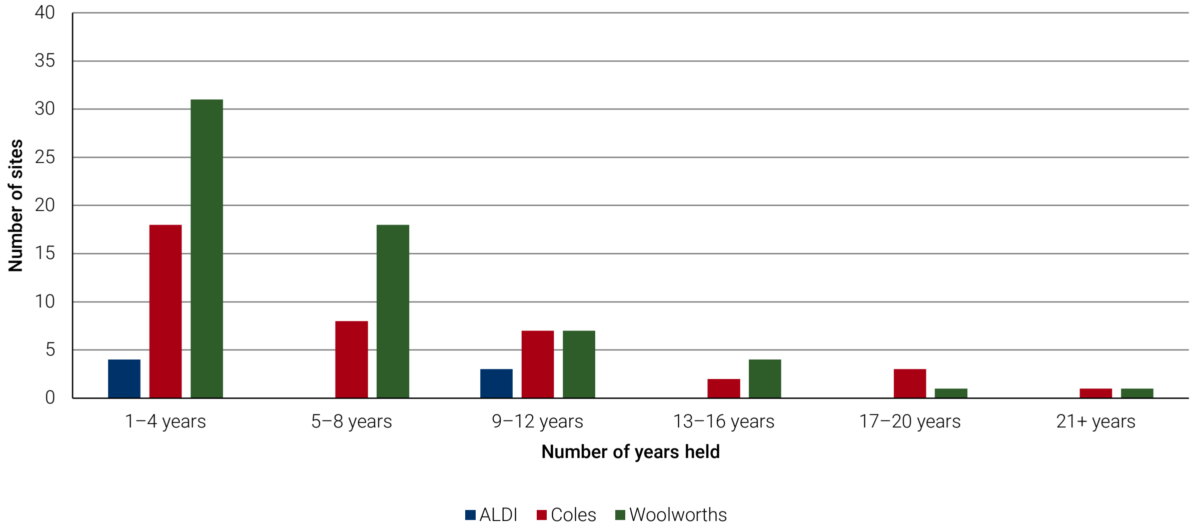
The figures below distinguish between leasehold sites or sites subject to an agreement for lease, and freehold sites. We observe freehold sites tend to be held for longer periods, possibly because Coles and Woolworths acquire the leasehold interests or agreements for lease when the sites are further along the development process.[717]

715 Information provided to the ACCC.

716 Information provided to the ACCC.

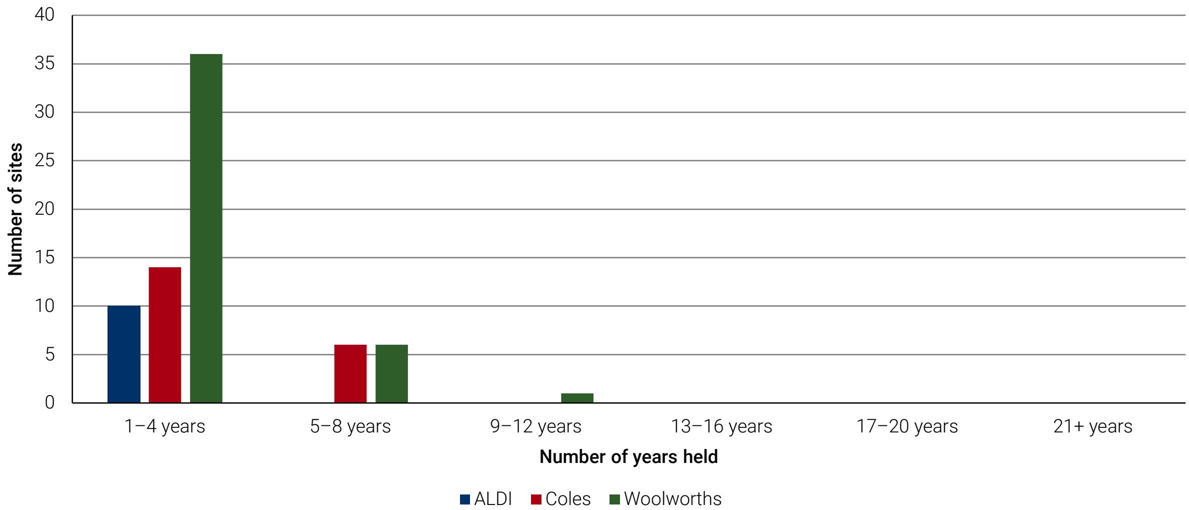
717 Information provided to the ACCC.

Figure 3.10: Length of time ALDI, Coles and Woolworths have held undeveloped or unused freehold sites, which are intended for supermarket use[718]



Source: ACCC analysis; information provided to the ACCC.

Figure 3.11: Length of time ALDI, Coles and Woolworths have held onto undeveloped or unused leasehold sites or sites subject to an agreement for lease, which are intended for supermarket use[719]



Source: ACCC analysis; information provided to the ACCC.

718 Information provided to the ACCC.
719 Information provided to the ACCC.

As we initially identified in our Interim Report, and some submissions to our Interim Report further submit, there may be a variety of reasons why sites are held for lengthy periods. These include:

- The site is complicated to develop – for example where rezoning is required, development or planning approvals are complicated or there are access or easement issues that require resolution.[720] Woolworths submitted the development sites it currently holds have been held on average for 7 years, which is a direct result of the considerable challenges experienced during the development process.[721]
- The site is in undeveloped urban regions or growth corridors where development is not required until population growth is at a level to sustain a supermarket.[722] Sometimes projects are delayed due to population growth being slower than anticipated.[723]
- Parcels of land are too small to develop and require acquisition of contiguous sites and eventual amalgamation of 2 or more lots.[724]
- Protracted liquor licensing approval processes or contamination clean up of the land.[725]
- Competing capital priorities or revisions to business plans and sales projection.[726]
- A smaller format store is more appropriate because a full-line supermarket was not approved by Council or there have been changes to the competitive landscape in the area.[727]
- Construction delays due to escalating costs.[728]

However, we have also seen internal documents from Coles and Woolworths suggesting they may hold sites for strategic reasons. For example:

- Holding a site in part due to concerns that a competitor will acquire the site. For example, a Coles internal document recommended, in light of recent changes to the competitive landscape, deferring development of a site until a more accurate picture of its financial performance could be determined. When considering potential options for the site and what would be net accretive for the fleet, the document stated if Coles divested the site, a competitor may secure the site which would result in Coles losing sales.[729]
- Sites being held 'in anticipation of population growth', however development of the site is delayed as sufficient population growth has not occurred.[730] Coles provided information indicating it is difficult to predict population growth and doing so involves significant risk from a property planning perspective – therefore past forecasts aren't always accurate.[731] We consider it is possible holding such sites may deter entry or expansion in a local area, thereby having the potential effect of chilling competition in the local area. Any new entrant would face the imminent prospect of a Coles or Woolworths opening in the local area.

In one internal document, we observed that Woolworths has held one undeveloped site since 1987.[732]

720 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 184; Coles, Submission to the Inquiry Issues Paper, published May 2024, p 22.

721 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 30.

722 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 184; Coles, Submission to the Inquiry Issues Paper, published May 2024, p 22.

723 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 184.

724 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 184; Coles, Submission to the Inquiry Issues Paper, published May 2024, p 22.

725 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 184.

726 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 184.

727 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 184.

728 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 184.

729 Information provided to the ACCC.

730 Information provided to the ACCC.

731 Information provided to the ACCC.

732 Information provided to the ACCC.

During the public hearings, we asked Woolworths about an internal document which included a list of general properties held for strategic purposes.[733]

When asked whether sites under this category amount to our definition of land banking, Woolworths said these sites are:

> …a combination of company homes, surplus land from developments that we have completed that are to be sold or land held pending other developments, and also would include some land that has long-term underlying leases that have been developed for other purposes.[734]

As above, we defined land banking to mean a supermarket is purchasing land without an intention to develop that land (or earlier than needed to develop that land), to block competitors from developing land in these locations, although we acknowledge that different industry participants may use the term differently.

In the public hearings, Metcash acknowledged there are 'a few different versions' of land banking, but stated 'it's a material problem for us.'[735] Metcash further said there would be '…plenty of circumstances every year…where there are sites that we may identify as being suitable for an IGA to open and then, when we investigate, we found that those sites are unavailable because they've been land banked by one of the chains.'[736] However, Metcash did not provide specific examples of this.

Woolworths said while it does not have an intention to develop some sites, these sites are 'not withheld for competitive reasons.'[737]

Below we discuss an example of concerns we've heard regarding alleged land banking by Coles at a particular site in Maylands, Western Australia. We received 6 submissions about this site.[738] This site shows why it is necessary and often complicated to assess the competitive impact of undeveloped and unused sites.

733 ACCC, public hearing transcript, 18 November 2024, pp 503–504.

734 ACCC, public hearing transcript, 18 November 2024, p 504.

735 ACCC, public hearing transcript, 14 November 2024, p 390.

736 ACCC, public hearing transcript, 14 November 2024, p 390.

737 ACCC, public hearing transcript, 18 November 2024, p 505.

738 Confidential Party #1, Submission to the Inquiry Interim Report, published November 2024; Confidential Party #2, Submission to the Inquiry Interim Report, published November 2024; Confidential Party #3, Submission to the Inquiry Interim Report, published November 2024; Georgina Gibbs, Submission to the Inquiry Interim Report, published November 2024; Lidia Kaz, Submission to the Inquiry Interim Report, published November 2024; Sue Cundale, Submission to the Inquiry Interim Report, published November 2024.

Box 3.15: Case study – Coles' vacant site in Maylands, WA

Coles owns a vacant site located at Lot 207, Guildford Road, Maylands WA, 6051. This site is located across the road from a trading Coles store and IGA store.

Figure 3.12: Map of Coles' vacant site in Maylands, WA

This site is located across the road from a trading Coles store and IGA store.

Source: GapMaps

We asked Coles about this site in the public hearings. Coles stated the Maylands site was originally purchased in the back end of 2008 for a large format liquor offer. However, '[Coles] received significant objection to liquor going into that area'.[739] Coles said it 'went to the Supreme Court to try to obtain a liquor licence' and was unsuccessful.[740]

Coles said it then proposed and assessed a number of other opportunities for the site, including divestment to another large retailer under an option scenario, which was declined at the time.[741]

Coles said in 2019, it set about assessing its options for the site, and considered 'either a major supermarket for Coles', or a 'dark store to service its home delivery capacity in that area'.[742]

Coles denied holding the site to prevent a competitor having that site, further noting an IGA opened immediately opposite in the last few years, and there is an ALDI very close by as well.[743]

This case study provides an example of the case-by-case complexities of considering land banking.

We consider Coles likely benefits from not having a competing supermarket operate on the site given the close proximity to its existing supermarket. However, Coles' evidence suggests it may not be retaining this site for an anti-competitive purpose. There are other benefits to Coles from retaining the site. It indicated it is considering non-liquor uses for the site.

739 ACCC, public hearing transcript, 21 November 2024, p 725.
740 ACCC, public hearing transcript, 21 November 2024, p 725.
741 ACCC, public hearing transcript, 21 November 2024, p 725.
742 ACCC, public hearing transcript, 21 November 2024, p 725.
743 ACCC, public hearing transcript, 21 November 2024, p 725.

What would happen to the site if Coles sold it is also unclear. While it is possible a competitor would open a supermarket there, it is not certain.

As Coles indicated, there are other competitors operating in the area, some of which have opened since it acquired the Maylands site.

Concerns have been raised Coles and Woolworths may be oversupplying local areas

In our Interim Report, we noted independent supermarkets raised concerns that Coles and Woolworths oversupply supermarket capacity,[744] with the purpose and effect of driving independents out of the local area. For example, independent supermarkets submitted proposed developments by Coles and Woolworths lead to independent retailers' operations becoming unsustainable.[745]

In response to our Interim Report, confidential submissions suggested that Coles and Woolworths target areas where independents operate, sometimes opening multiple stores in an area.[746]

We understand these concerns apply in 2 scenarios:

- Coles or Woolworths acquiring a store in an area that is served by an independent but not Coles or Woolworths (as applicable)
- Coles or Woolworths acquiring a new store in an area that is currently serviced by an independent and an existing Coles or Woolworths (as applicable).

Whether a transaction in either scenario gives rise to competition concerns requires a case-by-case assessment of the facts for the local market. Entry by Coles or Woolworths into a local area in which they do not operate is less likely to suggest significant competition concerns.

A new store opening by Coles or Woolworths in an area which they already serve is more likely to give rise to competition concerns, depending on the facts for the local market.

While these large chains opening new stores likely has a significant impact on competitors in a local area (given their scale and competitive offering), the ACCC's role is to protect competition, not competitors.

Nevertheless, we have seen internal documents from each of Coles and Woolworths identifying development of a new store will negatively impact (cannibalise) sales from their existing stores to some degree.[747]

To understand whether such cannibalisation may indicate oversupply of a local area, we analysed internal decision documents for new stores for each of Coles and Woolworths. From the information we considered in this inquiry, we did not identify new store investments suggesting a local area was being oversupplied.[748]

While not necessarily indicating oversupply of local areas, this information suggests that at times Coles and Woolworths establish new stores which significantly overlap with their existing store network. Acquisitions of such sites warrants careful consideration by the ACCC. We remain vigilant to

744 MGA Independent Businesses, Submission to Treasury Consultation paper on Merger Reform, published May 2024; ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 186.

745 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 186.

746 Confidential Party #4, Submission to the Inquiry Interim Report, published December 2024; Information provided to the ACCC.

747 Information provided to the ACCC.

748 Information provided to the ACCC.

the possibility that Coles or Woolworths establishing more than one store in a local area may have an anti-competitive purpose or effect.

Concerns have been raised that Coles and Woolworths are acquiring shopping centres in which competitors are operating

Coles and Woolworths sometimes acquire shopping centres where competitors operate. As above, whether such acquisitions are anti-competitive requires a case-by-case assessment of the relevant local market. However, our view is Coles and Woolworths would be unlikely to acquire a shopping centre unless they intend to replace an existing supermarket, or at the very least capture sufficient local market share. Such acquisitions may be more likely to raise competition concerns.

During the public hearings, when asked whether Coles has ever acquired an interest, either directly or indirectly, in a shopping centre which a competing supermarket has held a lease, Coles said '… in the last decade, two times.'[749] Notably, Coles said in both these instances, 'the sites were zoned appropriately', there was '…no other zoned land', 'the sites were in the best locations…' and the acquisitions occurred '…in the absence of not finding any other suitable land…'[750]

In our Interim Report, we discussed public examples of Coles acquiring Milton Village Shopping Centre (which had an existing IGA) and Woolworths acquiring Miranda Mall (which has an existing Coles).[751] In response to our Interim Report, Metcash submitted 2 other recent examples where it alleges Woolworths has acquired, or will acquire, a shopping centre where an existing IGA operates.[752]

When asked about whether Woolworths acquires (directly or indirectly) an interest in a shopping centre in which a competing supermarket holds a lease in the public hearings, Woolworths said 'it happens relatively rarely, but yes'.[753] When this does occur, Woolworths stated it will sometimes renew the lease of the competing supermarket, and at other times it will not, stating it very much depends on the site and the circumstances.[754] Woolworths submitted that this type of acquisition makes up less than ~1% of total activity.[755]

In addition, we observed one instance in which a supermarket provided equity funding to a third party for joint acquisition of a site. This structure guaranteed the supermarket would secure a lease at the site when an existing lease to a competitor concluded.[756]

The fact that this acquisition may not have been widely known due to how it was structured demonstrates the importance of incoming merger reform in Australia, particularly a Ministerial Instrument which would ensure the ACCC has an opportunity to conduct a case-by-case assessment of acquisitions by Coles and Woolworths, which may not meet the relevant economy-wide thresholds but may otherwise be concerning (discussed further below).

Undertakings from 2008 remain fit for purpose

As discussed in our Interim Report, in the 2008 Grocery Inquiry we expressed concerns about a practice whereby supermarket operators would include or enforce tenancy terms in lease agreements that prevented shopping centres from leasing space to any competing supermarkets.[757]

749 ACCC, public hearing transcript, 21 November 2024, p 716.
750 ACCC, public hearing transcript, 21 November 2024, p 717.
751 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 185.
752 Metcash, Submission to the Inquiry Interim Report, published January 2025, p 2.
753 ACCC, public hearing transcript, 18 November 2024, p 508.
754 ACCC, public hearing transcript, 18 November 2024, p 509.
755 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 33.
756 Information provided to the ACCC.
757 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 186.

To address our concerns, Coles and Woolworths (and other supermarket operators) gave perpetual, court enforceable undertakings under section 87B of the *Trade Practices Act*, which meant they could no longer include or enforce such tenancy terms.[758]

In its submission to us, ALDI said this change allowed it to open in the same shopping centres as its competition.[759] When asked about this during the public hearings, ALDI stated this change 'wasn't significant' but it 'did contribute to a thorn in our sides…which is why we made it a public issue'.[760]

Woolworths submitted it has complied with its undertaking and will continue to do so.[761]

We consider these undertakings remain fit for purpose. The undertakings phased out all restrictive provisions in supermarket leases and reduced barriers to expansion for supermarket operators, such as ALDI.

The new mergers regime will improve our ability to scrutinise acquisitions

Currently Australia's merger laws do not require mandatory notification of acquisitions.

Information provided to us suggests that since 2019, Coles and Woolworths have acquired a freehold or leasehold interest, or entered into an agreement for lease for a number of sites (likely including some of the undeveloped and unused sites referred to in table 3.3 above). Specifically:

- Coles has acquired an interest in approximately 80 sites[762] (3 of which were previously competitor supermarkets)[763]
- Woolworths has acquired an interest in approximately 180 sites[764] (10 of which were previously competitor supermarkets).[765]

The ACCC has been notified of 14 acquisitions by Coles and Woolworths since 2019, which make up approximately 5% of acquisitions by Coles and Woolworths in this period. Some of these acquisitions were notified to the ACCC via third party complaints.

Clearly, the ACCC has not been informed of the vast bulk of Coles' and Woolworths' acquisitions during this period. While we have not included a specific recommendation to address the ACCC's lack of historical oversight, we are supportive of the Federal Government's reforms to Australia's merger laws, as well as a supermarkets-specific Ministerial Direction, which we discuss in more detail below.

On 29 November 2024, the Federal Government passed the *Treasury Laws Amendments (Mergers and Acquisitions Reform) Act 2024* (Cth). This act creates a mandatory obligation on parties to an acquisition that meets certain thresholds to notify the ACCC before proceeding, with the ACCC as the primary first instance decision marker.

The new merger regime will come into effect from 1 January 2026, with businesses able to make voluntary notifications under the new regime from 1 July 2025.

As part of these reforms to Australia's merger laws, the Minister can make a determination requiring additional thresholds for certain high-risk industry acquisitions. When introducing the legislation to

758 ACCC, 'Supermarket agreement opens way for more competition', Press Release, 18 September 2009.

759 ALDI, Submission to the Inquiry Issues Paper, published May 2024, p 2.

760 ACCC, public hearing transcript, 11 November 2024, p. 235.

761 Woolworths, Submission to the Inquiry Interim Report, published January 2025, p 33.

762 Information provided to the ACCC.

763 Information provided to the ACCC.

764 Information provided to the ACCC.

765 Information provided to the ACCC.

Parliament, the government indicated it intends to have an instrument that applies to the supermarket industry.[766]

If, as the Federal Government has announced, it makes a Ministerial determination introducing further notification requirements for supermarkets this will further enhance the ACCC's ability to scrutinise acquisitions in this industry.

3.10.3 Governments of all levels should adopt measures to simplify, streamline and harmonise planning and zoning laws to the extent possible

As discussed in this section 3.10.1, planning and zoning laws are likely leading to delays in development of new supermarkets.

We encourage all levels of government in Australia to adopt measures to simplify, streamline and harmonise planning and zoning laws. Harmonising (making consistent within, and preferably across, jurisdictions) will therefore simplify property operations for supermarket retailers operating across regions, states and territories.

In its 2024 Information Paper, the Productivity Commission indicated several jurisdictions have reviewed or are currently undertaking significant reforms in relation to the commercial planning and zoning rules – such as broadening and simplifying zone classifications, standardising zones across councils, and aligning state and local measures.[767]

In their submissions to our Interim Report, both Coles and Woolworths expressed support to reforms that would improve planning and zoning laws. Coles specifically stated it 'is supportive of changes that would streamline processes, reduce conflicts between state and local planning regulations, and reduce the overall time period that land would need to be held until it could be developed.'[768]

Woolworths submitted extended planning processes increase a project's risk profile and holding costs, expose the project to increases in construction costs and increase the likelihood that a project may stall before completion.[769] It expressed support for recommendations canvassed in Productivity Commission reports on the topic in recent years (discussed in section 3.10.1 above).[770]

However, we recognise that such reforms may allow Coles and Woolworths to expand their market positions more than other competitors, given the competitive advantages we discuss at section 3.10.2.

Nevertheless, our view is that simplifying, streamlining and harmonising planning and zoning laws would reduce barriers to entry and expansion for all competitors. Incoming merger reform including a potential Ministerial instrument (which introduces further notification requirements for supermarkets) will enhance the ACCC's ability to scrutinise acquisitions by supermarkets.

766 The Hon Dr Andrew Leigh MP and the Hon Jim Chalmers MP Treasurer, 'Historic reforms for a more competitive economy enter Parliament', Press Release, 10 October 2024.

767 Productivity Commission, Study report: National Competition Policy: modelling proposed reforms, 29 November 2024, p 49.

768 Coles, Submission to the Inquiry Interim Report, published November 2024, p 5.

769 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 31.

770 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 31.

Recommendation 3

Governments should adopt measures to address planning and zoning issues

We recommend all levels of government adopt measures to simplify, streamline and harmonise planning and zoning laws across jurisdictions, to the extent possible. Doing so would reduce barriers to entry and expansion for all competitors.

4

Consumer experiences and outcomes

4. Consumer experiences and outcomes

Key points

- Promotions are used extensively in the Australian supermarket environment. They have a significant impact in terms of influencing consumer behaviour and driving supermarket sales.
- Supermarket promotional practices may make it difficult for consumers to assess pricing, discounts and value for money. We recommend supermarkets be subject to minimum information requirements in respect of discount price promotions to improve transparency and consumer understanding, and that this should be supported by record keeping obligations.
- Unit pricing makes it easier for consumers to compare prices. A significant majority of respondents to our consumer survey reported 'always' or 'usually' using unit pricing.
- There is scope to improve unit pricing, to make it easier for consumers to both compare products within a store and compare offerings between competing retailers. We support the Australian Government's proposal to consult in relation to proposed changes to the Unit Pricing Code, particularly in relation to reforms designed to improve legibility and prominence, and address inconsistent units of measure.
- Greater transparency is needed in relation to shrinkflation. We recommend supermarkets be required to publish notifications when package size changes occur in a manner adverse to consumers.
- Loyalty programs are very valuable to Coles and Woolworths, having evolved into sophisticated data, marketing and customer engagement tools. However, the value members receive varies significantly.
- Loyalty programs impact consumer behaviour and decision making. For example, this may include by increasing some members' spend and shopping frequency and increasing members' stickiness to a particular supermarket.
- Coles' and Woolworths' loyalty programs centre around 'points', which may reduce price transparency and make it more difficult for consumers to assess value. We recommend Coles and Woolworths be required to provide members with periodic loyalty program information disclosure statements to improve transparency around the value of the points they earn and redeem in comparison to how much they spend.
- We have identified a number of developments in supermarket loyalty programs which have the potential to raise competition and consumer-related concerns as they continue to develop. We recommend a dedicated review of Coles' and Woolworths' loyalty programs in 3 years' time.
- Consumers on lower incomes spend a higher proportion of their income on groceries nd are therefore more likely to be adversely impacted by high grocery prices.

- Consumers in remote locations are generally paying higher prices for some groceries, lack store choice, and may face insufficient price transparency and food insecurity. We support recommendations to improve pricing transparency and strengthen complaints handling mechanisms in remote locations.

This chapter builds on the background material presented in chapter 2 to assess issues relating to experience of consumers in the supermarket retail environment.

- Section 4.1 outlines the prevalence of promotions in the Australian supermarket environment and the difference between everyday low pricing and high-low pricing strategies.
- Section 4.2 considers the significant impact of promotions in influencing consumer purchasing behaviour and driving supermarket sales.
- Section 4.3 discusses how the complex landscape of supermarket promotional practices may make it difficult for consumers to assess prices, discounts and value for money.
- Section 4.4 discusses the benefits of unit pricing, the concerns that have been raised about the current unit pricing regime, and our views on areas for improvement.
- Section 4.5 outlines consumer concerns in relation to shrinkflation and our views as to why greater transparency is needed.
- Section 4.6 considers issues relating to Coles' and Woolworths' loyalty programs, including their increasing sophistication, their relative value to supermarkets and consumers, their impacts on consumer behaviour and decision making, and recent developments including the expansion of premium loyalty programs.
- Section 4.7 considers the ways in which consumers on lower incomes may be particularly vulnerable in the supermarket environment and assesses supermarket pricing on the basis of socioeconomic location.
- Section 4.8 assesses issues impacting consumers in remotes locations, including that such consumers are generally paying higher prices for the same groceries, lack store choice, may face insufficient price transparency and may experience food insecurity.

The recommendations in this chapter are aimed at increasing informational transparency for consumers and making it easier for them to assess pricing, discounts and overall value for money.

4.1 Promotions are a key feature of supermarket pricing strategies

As outlined in the preceding chapter, promotions are a key aspect of price competition and are widely used in Australia. Supermarkets use a range of pricing and promotional strategies to attract and retain consumers, and to increase grocery sales (outlined in section 2.4.1).

The degree of promotional activity in Australia is extensive. During the public hearings, ALDI stated that the Australian grocery sector is heavily reliant on promotional activity and estimated that nearly 50% of volume sold in the market was sold on promotion.[771] Both ALDI and Metcash gave evidence in the public hearings that this promotional activity has increased in recent years, while Coles and

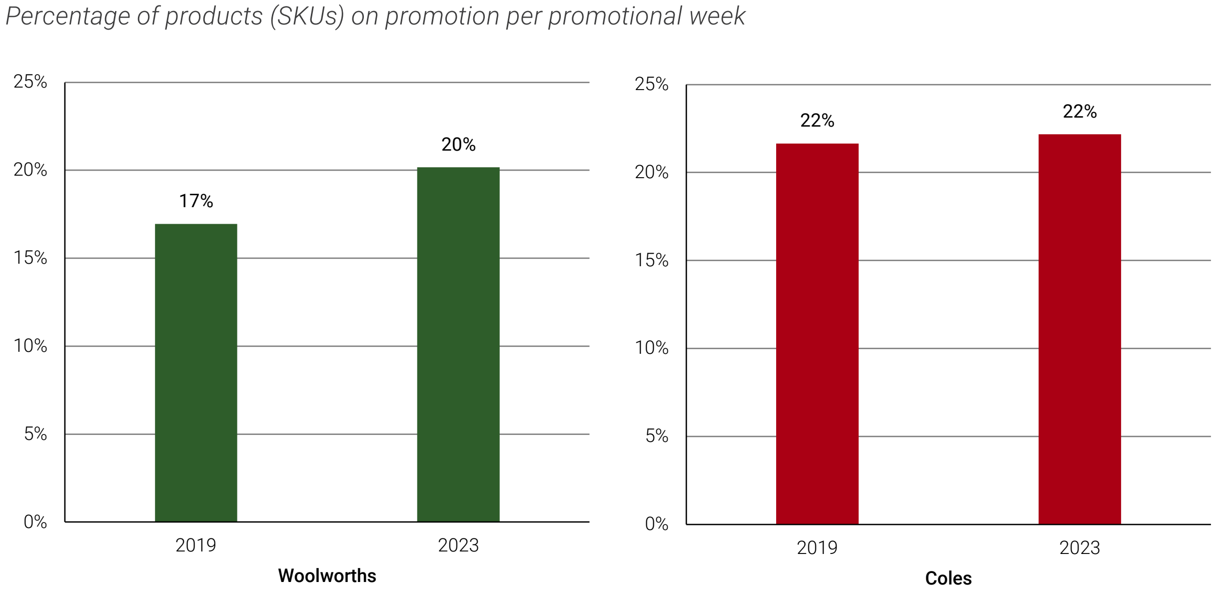
771 ACCC, public hearing transcript, 11 November 2024, p 212.

Woolworths stated that they considered current levels of promotion are similar to levels seen prior to the COVID-19 pandemic (during which there was a reduction in promotions).[772]

In September 2023, Coles reported having more than 4,200 products on everyday low pricing promotions, and thousands of products on weekly specials.[773] Similarly, Woolworths reported around 4,000 products on everyday low pricing and seasonal promotions ('Low Price' and 'Prices Dropped') and more than 6,000 on weekly specials.[774]

Figure 4.1 outlines analysis we have undertaken showing the percentage of products advertised as on 'promotion' on average at Coles and Woolworths per week in 2019 and 2023 based on data provided by these supermarkets. This includes products on special (including multi-buy promotions) as well as longer-term promotions and everyday low pricing.

Figure 4.1: Percentage of products (SKUs) on promotion on average per promotional week in 2019 and 2023 at Coles and Woolworths[775]



Source: ACCC analysis; Information provided to the ACCC.

While there have been significant developments in the supermarket landscape in Australia and overseas, particularly from a technological standpoint, the types of promotions run by supermarkets have remained largely steady over the last 5 years.

Coles and Woolworths have historically focussed on 'high-low pricing' strategies (primarily through regular weekly specials), and this continues to be the case. However, everyday low pricing and longer-term discounting are an important part of their overall promotional strategies (discussed in section 4.1.1).

- Between 2019 and 2024 (partial year data) approximately 28–30% of Coles' sales revenue across sampled stores was derived from specials, while sales revenue from products on everyday low pricing and its longer-term discount promotions ranged from 15–21% in 2023 and 2020

772 ACCC, public hearing transcript, 11 November 2024, p 225 (ALDI also stated that it had observed growth in the number of units sold on promotion. This is further discussed in section 4.2); ACCC, public hearing transcript, 14 November 2024, p 400; ACCC, public hearing transcript, 21 November 2024, p 745; ACCC, public hearing transcript, 18 November 2024, p 545 (Woolworths also added that while the same number of products are on special, the response rate of consumers to specials has increased).

773 Coles, 2023 Annual Report, pp 10, 14, accessed 18 February 2025.

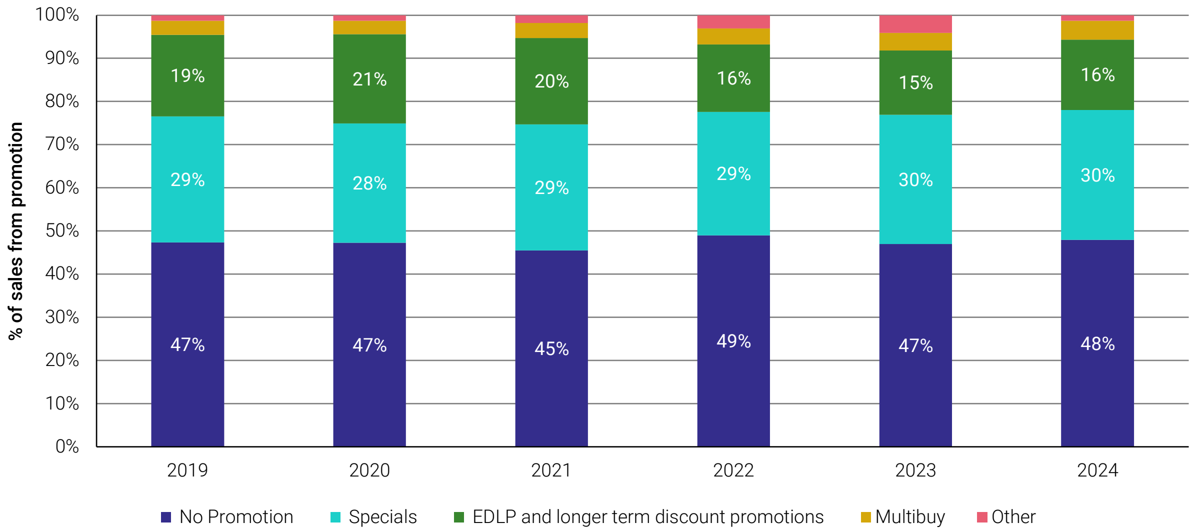
774 Woolworths, Submission to the Inquiry Issues Paper, published May 2024, p 35.

775 Information provided to the ACCC. See Appendix C – Our analysis.

respectively (see figure 4.2). In total, 51–55% of sales revenues at these Coles stores were from products on promotion.[776]

- Similarly, around 29–32% of Woolworths' sales revenue across sampled stores was derived from specials.[777] The share of sales revenue derived from its everyday low pricing and longer-term discount promotions ranged from 13–15% between 2019 and 2023, with a marked increase to 19% in 2024 (partial year data) (see figure 4.3). The total percentage of sales revenue derived from products on promotion at these Woolworths stores was 42–49%.[778]

Figure 4.2: Percentage of sales revenue derived from promotions – Coles



Source: ACCC analysis; Information provided to the ACCC.

776 Information provided to the ACCC. Data for 2024 represents only partial year information and all sales revenue is exclusive of tax. Note, everyday low pricing and longer-term discount promotions are grouped together for the purposes of this analysis. See Appendix C – Our analysis.

777 Woolworths in the public hearings and its submission to our Issues Paper stated that products purchased on special make up approximately 30% of sales: Woolworths, Submission to the Inquiry Issues Paper, published May 2024, p 34; ACCC, public hearing transcript, 18 November 2024, pp 545–546.

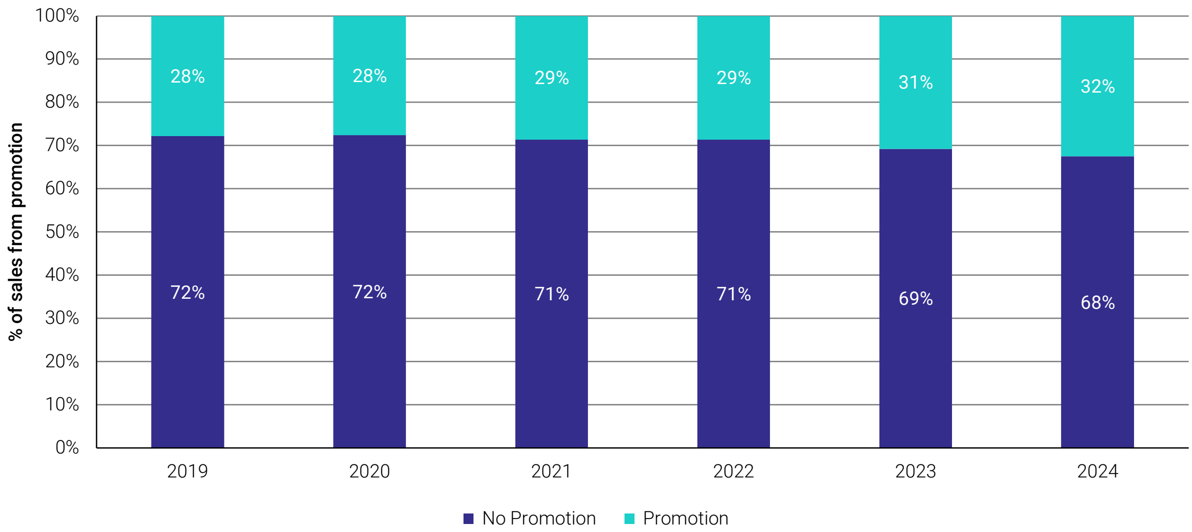
778 Information provided to the ACCC. Data for 2024 represents only partial year information and all sales revenue is exclusive of tax. Note, due to differences in how data is kept at Coles and Woolworths, figures 4.2 and 4.3 are not exact like-for-like comparisons. See Appendix C – Our analysis.

Figure 4.3: Percentage of sales revenue derived from promotions – Woolworths

Source: ACCC analysis; Information provided to the ACCC.

Metcash submitted that 35% of all IGA scan retail sales are sold as part of a promotion, including 10.7% made up from product lines subject to everyday low pricing promotions.[779] Metcash stated that sales from products on its everyday low pricing program took a 'big step up' as a proportion of promotional sales between 2019 and 2022.[780] Figure 4.4 illustrates our analysis showing the percentage of sales revenue derived from promotions by Metcash banner stores between 2019 and 2024 (partial year data) based on data provided by Metcash.[781] We note that the 'promotion' category for Metcash includes revenue derived through specials and everyday low pricing promotions (whereas these were split out as separate categories for Coles and Woolworths in the figures above).

Figure 4.4: Percentage of sales revenue derived from promotions – Metcash banner stores



Source: ACCC analysis; Information provided to the ACCC.

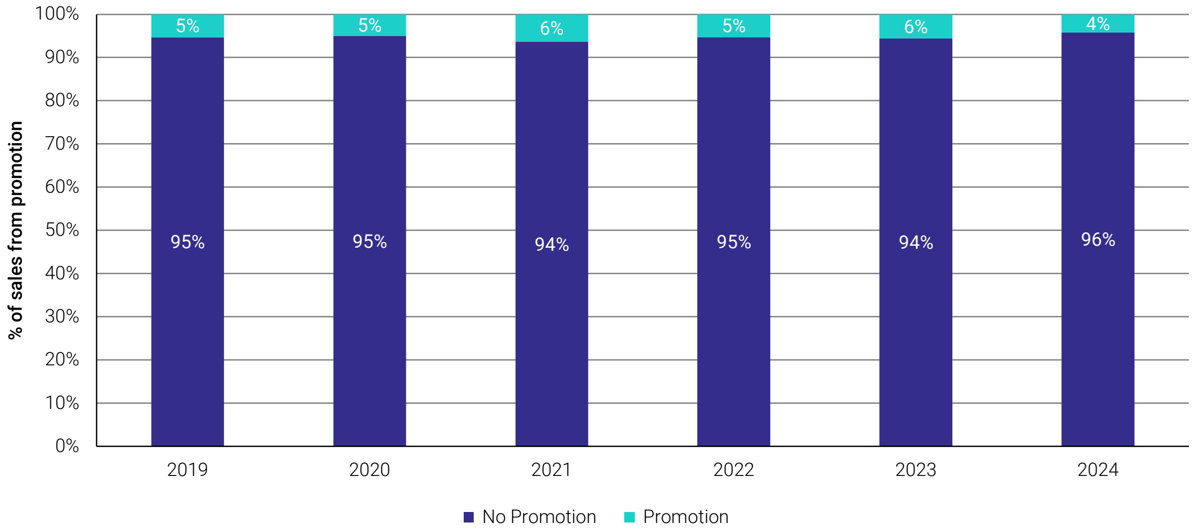
779 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 9.

780 ACCC, public hearing transcript, 14 November 2024, p 400.

781 Information provided to the ACCC. Note that data for 2024 represents only partial year information and all sales revenue is exclusive of tax. See Appendix C – Our analysis.

As noted in section 2.4.1, ALDI uses everyday low pricing as its overarching pricing strategy, and thus does not consider everyday low pricing to be a promotional program. Figure 4.5 further demonstrates that only limited sales (4–6%) were derived from specials at ALDI.[782]

Figure 4.5: Percentage of sales revenue derived from promotions – ALDI



Source: ACCC analysis; Information provided to the ACCC.

The growth of online shopping and supermarket loyalty programs have, however, led to new types of promotions being offered. For example, both Coles and Woolworths have online-only specials and targeted promotions through their Flybuys and Everyday Rewards loyalty programs and digital channels. Woolworths and some Metcash banner stores also offer member-only pricing for Everyday Rewards and IGA Rewards members. These are discussed further in section 4.6.

4.1.1 Everyday low pricing vs high-low pricing strategies

The combined use of everyday low pricing and high-low pricing strategies by Coles, Metcash banner stores, and Woolworths reflect their complementary nature in attracting and retaining consumers and driving sales. These strategies tend to be marketed at different types of consumers and applied to different categories of products.

One study, which examined how different pricing strategies impact consumer perception of value, stated that, typically, high-low pricing is preferred by 'cherry-pickers' and smaller-basket shoppers, wealthier consumers, older consumers and smaller households.[783] Whereas everyday low pricing is typically preferred by consumers with lower levels of income and consumers who engage in large basket shopping.[784] This study also stated that consumers who are more price sensitive and time

782 Information provided to the ACCC. Note, this data does not include ALDI 'special buys' which may include products that would be considered groceries. Additionally, data for 2019 and 2024 represents only partial year information, and all sales revenue is exclusive of tax. See Appendix C – Our analysis.

783 C Hydock and L Wathieu, 'Not just about price: Value perceptions and consumers' preferences between retailer pricing strategies', *Georgetown McDonough School of Business Research Paper No. 3825192* (2021), p 7, accessed 18 February 2025.

784 C Hydock and L Wathieu, 'Not just about price: Value perceptions and consumers' preferences between retailer pricing strategies', *Georgetown McDonough School of Business Research Paper No. 3825192* (2021), p 6, accessed 18 February 2025.

poor prefer everyday low pricing.[785] Another study stated that consumers who enjoy shopping around, want the sense of accomplishment after buying a product on a discount, and have the ability to delay their purchases and wait for a promotion, prefer high-low pricing.[786]

Evidence obtained from Coles and Woolworths supports the view that these strategies are largely used for different purposes. For example, research commissioned by each of Coles and Woolworths indicates that specials drive value perceptions and give consumers a 'price thrill', whereas longer-term pricing promotions, and for Coles, its everyday low pricing, may be used to signal price predictability.[787] These dynamics are relevant both when consumers are choosing which supermarket to shop at (see section 3.2) as well as which products to purchase once in-store.

The effectiveness of everyday low pricing compared to high-low pricing also appears to depend on the product or product category. For instance:

- In the public hearings, Woolworths gave evidence that specials are more likely to occur in discretionary snacking categories and it is common for products such as confectionery and soft drinks to be frequently on special.[788] By comparison, it stated that there are other categories (like pantry staples) where consumers want more predictability, and that these tend to be on its Everyday Low Price program.[789] Internal documents obtained from Woolworths confirm that everyday low pricing tends to be applied to commonly purchased, entry-level (often private label) items across many product categories.[790]
- Coles stated in the public hearings that 'impulse products' (such as soft drinks and chips) are more likely to go on discount price promotions, although it runs these promotions across all categories.[791] It also stated that entry level price point products are unlikely to be run on high-low pricing promotions, and that certain entry staples (such as butter, milk, cheese, and pasta) will be on its Every Day pricing program.[792]
- In the public hearings, Metcash gave evidence that everyday low pricing strategies are great for lines for which high-low pricing promotions do not necessarily have the highest impact on sales volumes.[793] Metcash also stated that there will generally be a good number of core (or commodity) products in its Low Price Every Day program, but that these products also feature as part of its Price Match and regular specials programs.[794]

To get a sense of the products that are commonly the subject of high-low pricing strategies, we conducted analysis of ticketing data from a small subset of sampled Coles and Woolworths stores for the first half of 2024 to determine which product categories were subject to the deepest discounts. We found that non-food products (such as underwear and hosiery, cleaning, and toiletries), grocery staples and dairy (chilled and frozen) were the categories with the deepest discounts, with an average of 22–37% off. However, within these categories, many products had average discounts of approximately 50% (for example, Cadbury Roses at Coles and Mars Bar (47g) at Woolworths), indicating that they were regularly offered on half-price specials. By comparison, fresh produce,

785 C Hydock and L Wathieu, 'Not just about price: Value perceptions and consumers' preferences between retailer pricing strategies', *Georgetown McDonough School of Business Research Paper No. 3825192* (2021), p 6, accessed 18 February 2025.

786 A Shah, 'High-low pricing (HL) vs. every day low pricing (EDLP) strategy: The consequence of JC Penney's move from HL to EDLP', *Journal of Applied Marketing Theory*, 2017, 7(1):18–32, p 21, accessed 18 February 2025.

787 Information provided to the ACCC.

788 ACCC, public hearing transcript, 18 November 2024, pp 549, 551.

789 ACCC, public hearing transcript, 18 November 2024, p 551.

790 Information provided to the ACCC.

791 ACCC, public hearing transcript, 21 November 2024, pp 748–749.

792 ACCC, public hearing transcript, 21 November 2024, pp 748, 754.

793 ACCC, public hearing transcript, 14 November 2024, p 399.

794 ACCC, public hearing transcript, 14 November 2024, pp 396, 399.

meat, and seafood categories tended to experience shallower discounts (between 8–20% on average across Coles and Woolworths).[795]

Coles, Metcash banner stores, and Woolworths tend to market the products in their everyday low pricing programs in a similar manner to specials (including with promotional tags in-store and online). By comparison, ALDI's everyday low pricing applies to most of its products and it does not market these products individually, but rather promotes itself as providing consumers better value on their weekly shop.[796] ALDI has stated that customers who shop at ALDI for their regular shop prefer everyday low pricing over discount promotions.[797] As noted in section 2.4.1, ALDI submitted that it does not engage in high-low pricing strategies.[798] While ALDI does offer a 'Super Saver' specials program, this is focussed on different types of products than what appears to typically be the focus of high-low pricing strategies.[799] ALDI gave evidence in the public hearings that these promotions are generally used to drive volume in response to excess supply.[800]

4.1.2 The cyclical nature of high-low pricing

High-low pricing is temporary and tends to be cyclical, with products coming on and off periodic (often weekly or fortnightly) specials regularly. The regularity of these cycles can, however, result in products being on promotion a large portion of the time (on average).

Supermarkets tend to have internal rules regarding promotional frequency and duration, which generally allow for products to be on sale for a significant portion of time. For example, a product may be promoted on special in-store at Woolworths for up to 26 weeks per year (or 31 weeks per year including multi-buy promotions).[801] Similarly, Coles internal policies state that specials must not be offered for more than 50% of the year in aggregate.[802]

This is supported by analysis we conducted on ticketing data from a small subset of sampled Coles and Woolworths stores for the first half of 2024. This analysis showed that, on average, over a 24-week period, products were on promotion at Coles approximately 23% of the time, and at Woolworths approximately 12% of the time. However, these averages jump significantly for certain product sub-categories. For example, chocolate blocks, kombucha and pancakes were on special (excluding multi-buy promotions) at one Coles store approximately 34%, 40% and 43% of the time respectively. Similarly, prawns and sports drinks were on special at one Woolworths store for approximately 34% and 36% of the time respectively. This is even more stark on a product-specific basis with Swisse Iron Gummies on promotion (including both specials and multi-buys) at Coles for 95% of the time.[803]

Similarly, due to the extensive high-low pricing practices (and related price cycles), specials on particular products often alternate so that one product comes off promotion in one supermarket while going on promotion in another. Our analysis of ticketing data for a single Coles and single Woolworths store in NSW (at a common location) shows that, between June 2023 and June 2024, approximately 12% of the time prices exhibited the opposite price change direction between the 2 supermarkets (that is, prices were rising at one and reducing at the other). However, for individual

795 Information provided to the ACCC. See Appendix C – Our analysis.

796 ALDI, Submission to the Inquiry Issues Paper, published May 2024, p 3; ALDI, *Australia's lowest prices. We won't be beaten on the cost of your weekly shop.*, ALDI website, n.d., accessed 18 February 2025 (ALDI's Price Promise is 'We won't be beaten on your weekly shop').

797 Information provided to the ACCC.

798 ALDI, Submission to the Inquiry Issues Paper, published May 2024, p 2.

799 See the discussion of ALDI's 'Super Saver' program in section 2.4.1, where we explain that this program applies to a limited number of fresh categories.

800 ACCC, public hearing transcript, 11 November 2024, pp 274–275.

801 Information provided to the ACCC.

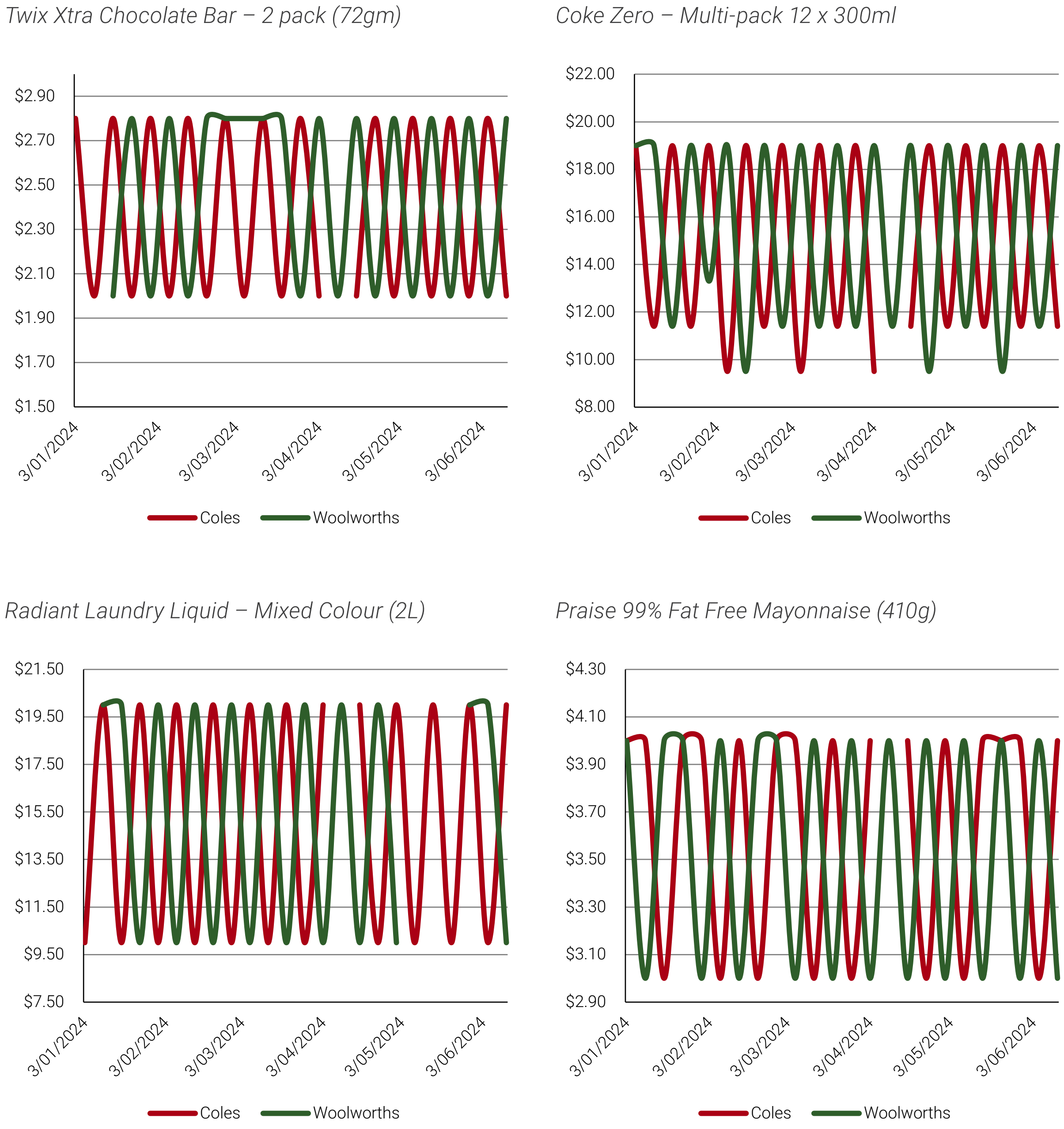
802 Information provided to the ACCC.

803 Information provided to the ACCC. See Appendix C – Our analysis.

products, such as certain drinks and confectionery products, these opposite price changes appeared to occur more than 50% of the time.[804]

Figure 4.6 shows 4 examples of products that have shown a pattern of alternating on and off promotion for a single Coles and single Woolworths store (based on the above high-low price cycling analysis).[805]

Figures 4.6: Examples of products that exhibited alternating high-low pricing cycles



Source: ACCC analysis; Information provided to the ACCC.

804 Information provided to the ACCC. See Appendix C – Our analysis.

805 Information provided to the ACCC. See Appendix C – Our analysis.

Some supermarkets have stated that they are not aware of which products will be on promotion at another supermarket for the promotional week ahead, and the nature of that promotion. During private hearings, a category manager of Coles stated that, in their category, they prefer to avoid clashing specials with Woolworths on the same product. However, the category manager stated that they were not aware when Woolworths would put that particular item on special and therefore that there was bound to be overlap.[806] Metcash stated during the public hearings that, while they do gain information from suppliers regarding potential promotional clashes (with other supermarket promotional programs), this information does not give them 'any insight into the depth of that promotion or what it might relate to in any detail'.[807] Once the promotional week commences, however, they would be able to identify which products are on promotion and the level of discount (via competitor price monitoring).[808] Supermarket practices in relation to promotion scheduling and clashing from a supplier-perspective is discussed further in section 6.5.1.

By comparison, figure 4.7 shows a number of products which did not appear to exhibit alternating high-low pricing cycles at Coles and Woolworths (identified from the price cycling analysis of case study products in section 7.2.3, which took average price data from a subset of the sampled stores).[809]

806 Information provided to the ACCC.

807 ACCC, public hearing transcript, 14 November 2024, p 411.

808 As noted in section 3.6.4, ALDI, Coles, Metcash and Woolworths all stated during the public hearings that they engage in competitor price monitoring.

809 Information provided to the ACCC. See Appendix C – Our analysis.

Figures 4.7: Examples of products that did not exhibit alternating high-low pricing cycles

Source: ACCC analysis; Information provided to the ACCC.

These figures demonstrate that not all products exhibited high-low pricing cycles, and that – as discussed earlier – whether a product is the subject of a high-low pricing strategy is highly dependent on the product itself.

In a recent article, the ABC analysed the online prices of nearly 44,000 items at Coles and Woolworths over a specified period to understand the patterns and found that approximately 2,500 products moved in weekly cycles, and approximately another 22,000 moved (either up or down in price) at least 4 times in a 12 week period.[810] The ABC also observed in its review that the timing

810 M Chwasta, 'Grocery prices at Coles and Woolworths go up and down. What's behind the pattern?', *ABC News*, 26 October 2024, accessed 18 February 2025. The online pricing data (non-store specific) was collected between 26 May and 17 August 2024.

of the price drops may differ between Coles and Woolworths (that is, the cycles were not necessarily in sync; for example, with one product going on promotion at one supermarket, while going off promotion at the other). However, they were united in moving from highs to lows.[811]

4.2 Promotions have a significant impact on consumer purchasing behaviour and sales

Pricing and promotional practices play a significant role in driving supermarket sales and influencing consumer behaviour.

As noted in our Interim Report, value is an important consideration for consumers when deciding on which supermarket to shop at for their main grocery shop.[812] A consumer study conducted by Woolworths found that the majority of consumers judged value based on the presence of special offers (especially half-price offers).[813] Metcash, in particular, stated that '[s]hoppers are looking for promotions as a signal of value, and they're looking for tickets in store'.[814]

The Queensland Consumers Association submitted that promotions and special offers appeal to the positive bias consumers have for offers that might save them money.[815] The BIT Report (Appendix E) noted that consumers may increase their purchasing behaviour and consumption of various types of products in response to a pricing or promotional practice.[816]

As some Australians struggle with cost-of-living pressures, promotions may have become an increasingly important means by which consumers determine which supermarket to shop at and try to reduce the price they pay at the checkout.

UpUp submitted that it has undertaken research which reveals that 'consumers have been trained to understand the promotion cycles of supermarkets and have adapted their shopping habits accordingly'.[817] In this regard, consumers generally understand that specials are temporary and recurring (both in-store within an individual supermarket and across different supermarkets), and that it may be worth waiting until a later week to buy a product on promotion or to visit another supermarket where it is currently on promotion. In our consumer survey, many respondents mentioned only buying products that are on special, and only buying full price items if absolutely necessary.

Promotions are also important for suppliers. The Australian Food and Grocery Council submitted that promotions are essential to drive growth and maintain ranging within supermarkets, and to cover the fixed costs of manufacture.[818] For supermarkets, in addition to increasing sales, promotions are a way to attract new customers, price discriminate, encourage loyalty or repeat customers, manage excess or expiring stock and launch new products.

Consumers' awareness of supermarket high-low pricing promotional cycles, and their corresponding purchasing behaviour, is reflected in the sales revenue data outlined in section 4.1. It also aligns with statements from Coles and Woolworths during the public hearings that around 33% and 30% of sales

811 M Chwasta, 'Grocery prices at Coles and Woolworths go up and down. What's behind the pattern?', *ABC News*, 26 October 2024, accessed 18 February 2025. The online pricing data (non-store specific) was collected between 26 May and 17 August 2024.

812 ACCC, Supermarkets Inquiry Interim Report, August 2024, pp 72–73. 'Value' was the second most cited reason for choosing a particular grocery store for their main shop.

813 Information provided to the ACCC.

814 ACCC, public hearing transcript, 14 November 2024, p 400.

815 Queensland Consumers Association, Submission to the Inquiry Issues Paper, published May 2024, p 3.

816 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, p 25. See Appendix E.

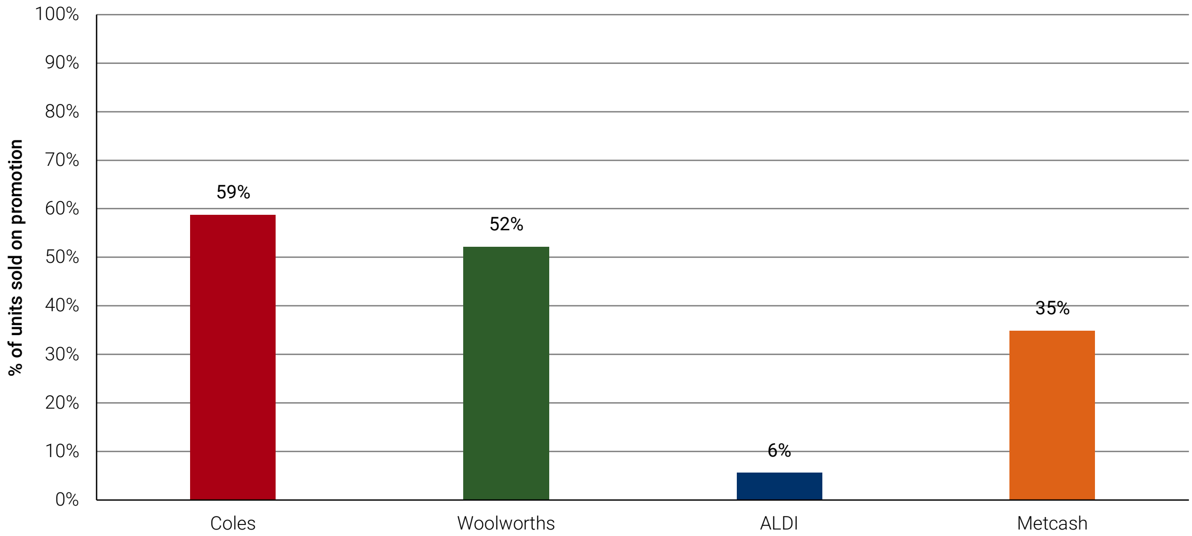
817 UpUp, Submission to the Inquiry Issues Paper, published May 2024, p 3.

818 Australian Food and Grocery Council, Submission to the Inquiry Interim Report, published November 2024, pp 13–14.

respectively are derived from products on special.[819] Woolworths also gave evidence in the public hearings that consumer responsiveness to specials materially went up in the first quarter of the 2024–2025 financial year.[820]

Data we obtained also shows that around 50% of units sold by Coles and Woolworths in 2023 were on promotion. These figures include specials and multi-buys, as well as longer-term discounting and everyday low pricing (figure 4.8).[821]

Figure 4.8: Percentage of units sold on promotion in 2023



Source: ACCC analysis; Information provided to the ACCC.

Consumer awareness of high-low pricing promotional cycles may also result in certain products rarely being purchased by consumers at the 'regular' or high price. During private hearings, we heard about the significant impact of promotions on the sales of certain products such as dishwashing tablets and cereal. A representative of Coles gave evidence that approximately 90% of dishwashing tablet volumes are sold via promotional sales, and that 65% of sales of ready-to-eat cereal are sold via promotions.[822] Metcash also provided evidence that approximately 80% of dishwashing tablets were sold on promotion at Metcash banner stores.[823] We understand these statistics include not only products subject to high-low pricing promotions, but also those on other promotions such as everyday low price promotions.

This analysis also shows, however, that a large portion of products are sold when they are not on promotion.

Half-price specials are particularly popular among consumers, with deeper discounts appearing to be important to consumers in assessing value for money. In the public hearings Woolworths stated that consumers have been increasingly responding to high-depth promotions, particularly half

819 Woolworths, Submission to the Inquiry Issues Paper, published May 2024, p 34; ACCC, public hearing transcript, 18 November 2024, pp 545–546; ACCC, public hearing transcript, 21 November 2024, p 745. Coles referred to sales in relation to a percentage of products sold on promotion, whereas Woolworths did not specify if it was referring to sales by volume or revenue.

820 ACCC, public hearing transcript, 18 November 2024, p 545.

821 Information provided to the ACCC. See Appendix C – Our analysis.

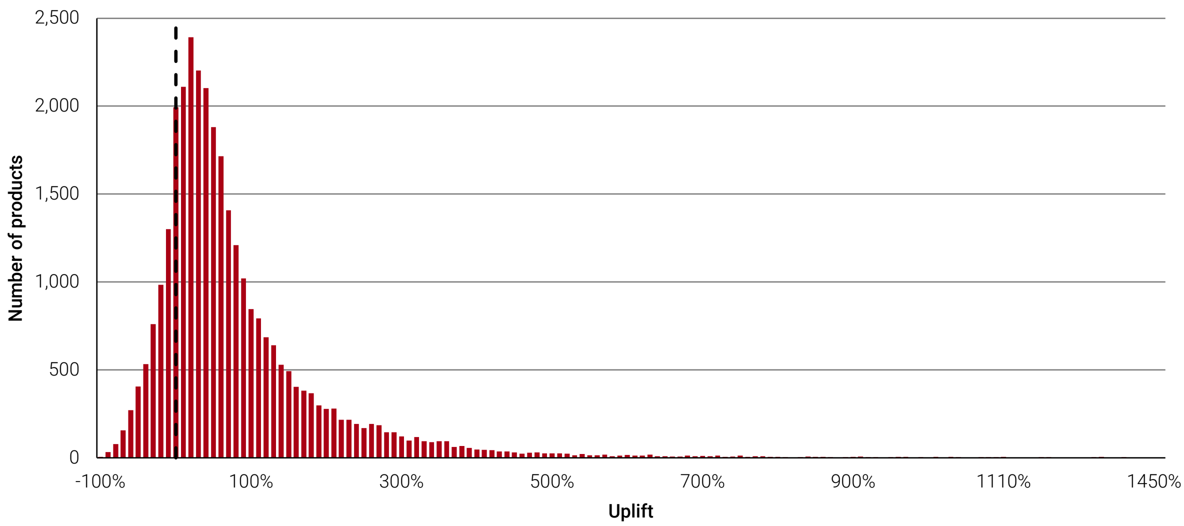
822 Information provided to the ACCC.

823 Information provided to the ACCC.

price specials.[824] Research undertaken for Coles found that discount depth was more important in influencing value perceptions, regardless of the total price point.[825]

We also undertook analysis looking at the uplift in sales resulting from specials and multi-buys for different products.[826] The analysis indicates that, while the majority of products experience some increase in sales when on promotion at Coles and Woolworths, a 20% increase in sales is the most common uplift (that is, a 20% increase in purchases applied to the highest number of products).[827] Examples of products that experienced a 20% increase in sales during promotional periods include Golden Circle 100% orange juice (2L) at Coles and Supreme Noodles noodle cup (Chicken flavour) at Woolworths. By comparison, a much smaller number of SKUs experienced a 100% increase in sales (that is, for every one product purchased at the 'regular' price, 2 products were purchased when that product was on promotion), and so on.[828] We note that this analysis does not take into account discount depth, which is also likely to impact sales uplifts (for example, a deeper discount may result in a higher sales uplift).

Figure 4.9: Distribution of number of product (SKUs) by percentage uplift – Coles[829]



Source: ACCC analysis; Information provided to the ACCC.

824 ACCC, public hearing transcript, 18 November 2024, p 550. This increase was observed in the 6 months prior to the hearings in November 2024.

825 Information provided to the ACCC.

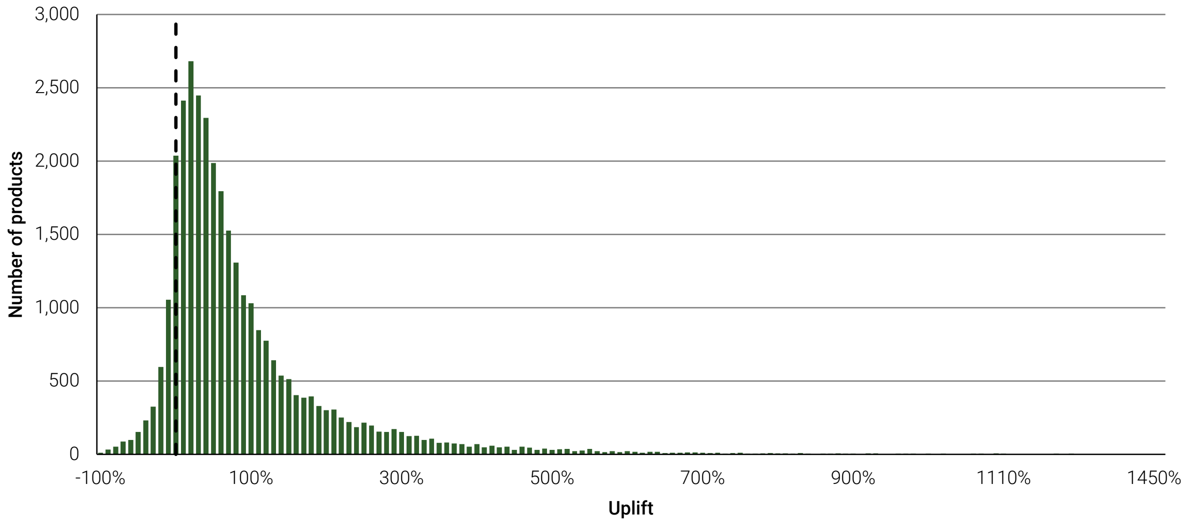
826 ACCC analysis; Information provided to the ACCC. See Appendix C – Our analysis.

827 This means that for every one product purchased at the 'regular' price during non-promotional periods, 1.2 products were purchased when that product was on promotion.

828 Information provided to the ACCC. See Appendix C – Our analysis.

829 Information provided to the ACCC. See Appendix C – Our analysis.

Figure 4.10: Distribution of number of product (SKUs) by percentage uplift – Woolworths[830]



Source: ACCC analysis; Information provided to the ACCC.

This analysis also showed that there are some products that are rarely purchased when they are not on promotion. For example, data provided by Coles and Woolworths indicates that there is an over 1000% uplift in sales for certain 1 litre coconut water products when they are on sale (with very few sales taking place at the standard price). Other products such as Coca Cola can packs (24 × 375 ml) at Woolworths and Uncle Tobys Le Snak Tasty Cheese dip and crackers (6 pack) at Coles experienced sales increases of over 800% and 700%, respectively, during promotions.[831]

In general, the categories of products with the highest percentage of promotional sales at Woolworths and Coles were grocery staples and non-food products.[832] This also aligns with these products tending to have the deepest discounts under high-low pricing promotions (see section 4.1.1) and consumers' ability to stockpile these products when on special.

830 Information provided to the ACCC. See Appendix C – Our analysis.

831 Information provided to the ACCC. See Appendix C – Our analysis.

832 ACCC analysis; information provided to the ACCC. See Appendix C – Our analysis.

Box 4.1: There is mixed evidence regarding the impact of multi-buy promotions on consumer purchasing behaviour compared with other specials

Concerns were raised by a number of stakeholders and consumers regarding the impact of multi-buy promotions on consumer purchasing behaviour.[833] In particular, that they encourage consumers to spend more or buy more than they need.

The BIT Report noted that there is evidence that volume-based or multi-buy promotions can increase sales on average, but that there is mixed evidence about the relative impact compared to other promotional types.[834] Consumers may stock up on products when they are on regular specials, not only when they are on multi-buy promotions. Research conducted by the New Zealand Commerce Commission, however, found that multi-buy offers caused the greatest loss of consumer welfare for participants, compared to when they were presented with no discount.[835] The research found that consumers are 85% less likely to make an optimal choice when presented with a multi-buy deal.[836]

Multi-buy promotions make up a larger portion of Coles' sales revenue than Woolworths' (figures 4.2 and 4.3).[837] According to evidence given by Woolworths in the public hearings, this reflects a decision by Woolworths to move away from multi-buy promotions in 2015.[838] Coles stated multi-buy promotions are more likely to be applied to products where they know that consumers will buy multiple units at a time and want to stock up.[839] Both Coles and Woolworths gave the examples of tins of pet food and baby/kids food pouches as examples where it made sense to put products on multi-buy promotions.[840]

4.3 Promotional practices may make it difficult for consumers to assess prices and discounts

Supermarket promotions provide benefits to consumers at times, and certainly consumers that have the time to shop around and the financial capability to stockpile products on special can take significant advantage of them. However, it is unclear whether consumers benefit overall. Specifically, we are concerned that some supermarket pricing and promotional practices make it difficult for consumers to assess prices and discounts, and make the best decisions about which products to purchase.

Complex promotional practices may confuse consumers and lead to suboptimal decision-making, particularly if consumers are relying on cognitive shortcuts or heuristics (rules of thumb) to identify the best deals. We are also concerned about the use of promotional strategies, labelling and terms by

833 Foundation for Alcohol Research and Education, Submission to the Inquiry Issues Paper, published May 2024, pp 13–14, CHOICE, Submission to the Inquiry Issues Paper, published May 2024, pp 24–25. These concerns were also raised by respondents to our consumer survey: ACCC, Supermarkets Inquiry Interim Report, August 2024, p 87.

834 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, p 11. See Appendix E.

835 NZCC, NZCC Grocery Market Study Final Report, 8 March 2022, p 289, accessed 18 February 2025.

836 NZCC, NZCC Grocery Market Study Final Report, 8 March 2022, p 285, accessed 18 February 2025.

837 Information provided to the ACCC.

838 ACCC, public hearing transcript, 18 November 2024, p 550.

839 ACCC, public hearing transcript, 21 November 2024, p 749.

840 ACCC, public hearing transcript, 21 November 2024, p 749; ACCC, public hearing transcript, 18 November 2024, p 550.

supermarkets that are confusing or lack important contextual information, and which make it difficult for consumers to assess prices, discounts and value for money.[841]

Promotional practices may enable supermarkets to take advantage of information asymmetries and the decision-making limits of consumers, potentially leading some consumers to purchase products that they would otherwise not have purchased, purchase more of the product, or not seek out better prices at another retailer. These practices, particularly high-low pricing strategies, also make it more difficult for consumers to compare prices across supermarkets (for the competition impacts, see section 3.6). Many respondents to our consumer survey said that grocery shopping is more time consuming than ever, because they have to spend a lot of time comparing prices and trying to choose the most cost-effective produce items or brands.

This is particularly concerning at a time when consumers are increasingly budget-conscious and when considering the effect that promotions can have on consumer purchasing behaviour discussed in section 4.2.

The BIT Report noted that grocery shopping is a highly habitual behaviour that can encourage quick and automatic thinking instead of careful deliberation.[842] Consumers are unlikely to spend a lot of time assessing the accuracy of promotional claims. It is therefore important that supermarket labelling is clear and accurate so that consumers can trust the promotional claims made by supermarkets and be sure that they are making the right purchasing decisions for their circumstances.

The BIT report also noted that consumers experiencing financial strain may be even more susceptible to using decision making shortcuts when shopping.[843] This is discussed further in section 4.7.

4.3.1 Complex promotional practices confuse consumers and can lead them to make sub-optimal decisions

Many stakeholders raised concerns about the complex supermarket pricing and promotional landscape in Australia.

CHOICE submitted that consumers are faced with a large volume of different, and constantly changing, specials and promotions when they do their grocery shopping, whether shopping online or in person.[844] Many respondents to our consumer survey also raised concerns with the complexity of supermarket promotions. One respondent stated, 'So many ticket types and half of them seem meaningless'.

These observations are supported by consumer surveys undertaken by supermarkets. One Woolworths survey found that overly complex presentations (like those with multiple unit prices) caused confusion for some participants and stated that consumers generally prefer simple, clear displays of discounts.[845] Research commissioned by Metcash in respect of Supa Valu IGA stores stated that many consumers find inconsistency of labelling of sale products frustrating and confusing.[846] Internal ALDI documents note that shoppers prefer promotions that are straightforward and easy to understand (including half price specials or specials that mention actual dollars saved), without complicated conditions.[847]

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841 By this we mean the ability for consumers to assess the price of a good against the benefit that they get from that good (and therefore the value that they attribute to that good). This may be based on factors such as what it will be used for and its relative quality.

842 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry,* p 8. See Appendix E.

843 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, p 10. See Appendix E.

844 CHOICE, Submission to the Inquiry Issues Paper, published May 2024, p 21.

845 Information provided to the ACCC.

846 Information provided to the ACCC.

847 Information provided to the ACCC.

The BIT Report noted that the complexity and quantity of promotion practices may make it more difficult for consumers to determine value, and that multiple combined discounting schemes can lead to consumers making suboptimal purchasing decisions.[848] Research commissioned by the NZCC also found that, even when promotions offer genuine savings, the presence of complex or multiple promotional mechanisms may make it harder for consumers to compare prices of products in store.[849]

While complex promotional practices can be observed in other industries and retail stores, the use of such practices is particularly prevalent in supermarkets. The frequency with which consumers shop at supermarkets make them particularly susceptible to the above-described effects and, therefore, increase the risk and degree of potential harm.

One question that arises in this context is whether supermarkets could reduce their prices permanently, rather than relying on high-low pricing strategies (which make it particularly difficult for consumers to track pricing). We posed this question to several Coles, Metcash and Woolworths representatives during the private hearings. Woolworths indicated that reducing regular prices and the use of deep discount promotions (50% off) would be a good aspiration but also noted that specials had a long history in Australia.[850] A Woolworths category manager also gave evidence that they would need to work with vendors to adjust the cost price if they were to move away from promotional cycles and instead use a flatter ordinary retail price.[851] One Coles category manager indicated that they needed supplier support via cost price decreases to drop prices permanently.[852] Metcash gave evidence that high-low pricing promotions were important as they were historically drivers of sales volumes and customer foot traffic.[853]

848 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry,* pp 12–13. See Appendix E.

849 NZCC, NZCC Grocery Market Study Final Report, 8 March 2022, p 284, accessed 18 February 2025.

850 ACCC, public hearing transcript, 18 November 2024, pp 550–551.

851 Information provided to the ACCC.

852 Information provided to the ACCC.

853 Information provided to the ACCC.

Box 4.2: The role of heuristics in busy supermarket environments (online and offline)

Supermarkets can be confusing and stimulus-rich environments and, as such, consumers may use cognitive shortcuts to help them navigate stores and search for the best deals.[854] One means by which consumers may use cognitive shortcuts is to use promotional signage as a 'rule of thumb' that a product will likely be good value for money.[855] However, such shortcuts can make consumers susceptible to making purchases based on signs or labels that use similar language or visuals to price promotion labels but which do not provide additional value for money (or only minimal value).[856]

One common shortcut is the use of particular colours by supermarkets to indicate discounts. Both Coles and Woolworths use red and yellow pricing and promotional tickets as part of their promotional marketing. Woolworths stated in the public hearings that people respond to colour and that Woolworths uses yellow to denote short-term specials or prices (in the case of fresh produce).[857] It also stated that consumers use yellow tickets to navigate towards value.[858] Documents obtained from Coles show that, for many consumers, yellow is an innate heuristic for specials and that the transition to yellow tickets for its Down Down campaign in 2023 drove an increase in sales.[859] Similarly, research commissioned by Metcash in respect of Supa Valu IGA stores stated that bright yellow and red colours attract attention and 'intercepts shoppers system 1 thinking'[860] (that is, the system of thinking responsible for quick automatic judgements).

However, stakeholders such as CHOICE and AMES Australia have raised concerns regarding the use of these promotional colours.[861] AMES Australia submitted that the misconception that all 'yellow tags' are products on sale is misleading for consumers, and more scrutiny is required by consumers to ensure that the product is on sale.[862] Following recent criticism from CHOICE, Coles changed its 'While Stocks Last' promotional ticket from yellow to green to reflect that it was not a discounted product, stating that yellow 'very much indicates a discount'.[863]

854 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry,* p 8. See Appendix E.

855 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, p 13. See Appendix E.

856 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, p 13. See Appendix E.

857 ACCC, public hearing transcript, 18 November 2024 p 548. Woolworths emphasized the need for simplicity with relation to colours, noting that 'if you start putting other colours in, they can become … hard to see'.

858 ACCC, public hearing transcript, 18 November 2024, p 549.

859 Information provided to the ACCC.

860 Information provided to the ACCC. See also: Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, p 8. See Appendix E.

861 CHOICE, Submission to the Inquiry Issues Paper, published May 2024, p 10 (CHOICE raises concerns about Coles' use of the same colour and design elements for its While Stocks Last promotions (which do not attract a discount) as for its specials); AMES Australia, Submission to the Inquiry Issues Paper, published May 2024, p 2.

862 AMES Australia, Submission to the Inquiry Issues Paper, published May 2024, p 2.

863 ACCC, public hearing transcript, 21 November 2024, pp 746, 750.

4.3.2 Some supermarket promotions and labelling are ambiguous and confusing

Stakeholders and consumers have expressed a wide range of concerns about the representation of prices and promotions in supermarkets in-store and online, including:[864]

- confusing or ambiguous promotional terminology and signage which make it difficult to determine if a product is really on special
- lack of notice of price increases, including instances of unit price increases (i.e. 'shrinkflation') – shrinkflation is discussed in section 4.5
- lack of transparency around the history of an item's price, or even the last price, to be able to ascertain the cost savings and compare whether a promotion is delivering a genuine discount
- lack of transparency around the total value of the discount being applied on promotional labelling or tickets
- prices being put up higher (or perceived to be put up higher) before promotional periods so that they can be advertised as discounted
- products being advertised as on special which have minimal or nominal discounts.

In its submission to our Issues Paper, CHOICE referred to a survey it undertook in February 2024 which found that 1 in 4 people on average did not know whether certain labels represented a discount on the usual price.[865] In addition, large numbers of consumers incorrectly interpreted labels to mean products were discounted and many said they were not able to quickly and easily determine if a product was discounted or not.[866]

Everyday low pricing and other longer-term promotional strategies and labelling appear to be particularly confusing for consumers. There is also significant confusion and mistrust amongst consumers, particularly in the context of cyclical high-low pricing strategies, about what is the 'real' or 'standard' price of groceries, and therefore whether specials deliver genuine savings. These issues and other practices that make it difficult for consumers to assess prices, discounts and value for money are discussed further below.

In relation to the allegations subject to the ongoing ACCC proceedings against Coles and Woolworths, whilst this report identifies various issues raised by consumers, which include concerns related to those allegations, it does not comment upon, or make any findings related to, those particular allegations (see box 2.2 in chapter 2).

Representations about everyday low pricing and other longer-term promotions appear to be particularly confusing for consumers

Representations by supermarkets regarding their everyday low pricing and other longer-term promotional programs appear to draw a particularly high level of scepticism and confusion among consumers. In particular, concerns have been raised that consumers are often unclear whether these products are on special or not or may expect deeper discounts than what are typically applied to these types of promotions.

864 These concerns were raised in the ACCC consumer survey, as well as in submissions to the Inquiry. See, for example, CHOICE, Submission to the Inquiry Issues Paper, published May 2024, pp 9–23, 25–26; Combined Pensioners and Superannuants Association of NSW, Submission to the Inquiry Issues Paper, published May 2024, p 9; Dr Carina Garland MP, Submission to the Inquiry Issues Paper, published May 2024, pp 7–8; Foundation for Alcohol Research and Education, Submission to the Inquiry Issues Paper, published May 2024, pp 10–12; Queensland Consumers Association, Submission to the Inquiry Issues Paper, published May 2024; pp 3–5.

865 CHOICE, Submission to the Inquiry Issues Paper, published May 2024, p 4.

866 CHOICE, Submission to the Inquiry Issues Paper, published May 2024, p 4.

The Combined Pensioners and Superannuants Association of NSW submitted that some of its constituents complained that supermarkets' use of 'price down' or 'price dropped' stickers are misleading as they are designed to resemble 'specials' stickers and encourage consumers to purchase the item (or purchase in bulk) even though they are not time-limited promotions in the way that regular specials are.[867] Similarly, the Foundation for Alcohol Research and Education submitted that claims such as 'Low Price' or 'Everyday low price' are confusing and ambiguous and may lead consumers to believe products are better value than they really are.[868]

As part of its February 2024 consumer survey, CHOICE tested consumer comprehension of several potentially confusing promotional labelling practices and found that Woolworths' red 'Prices Dropped' tags created considerable confusion for respondents to the survey.[869]

Internal documents obtained from supermarkets also demonstrate consumer concerns regarding everyday low pricing and longer-term promotional programs. For example, research commissioned by Woolworths in 2020 and 2022 found that shoppers are sceptical of 'red' tags associated with its everyday low pricing and other longer-term pricing programs, with many consumers unsure what these promotions mean.[870]

Conversely, a Coles survey from 2024 indicated high comprehension of Coles' Every Day Low Price and Woolworths' Low Price Always promotions (with 77% and 72% of respondents selecting the correct definition).[871] However, there appeared to be lower comprehension of longer-term promotions by Coles and Woolworths in comparison to other specials (with only 46% and 50% of respondents selecting the correct definition). This same survey indicated low comprehension of ALDI's Super Savers promotion (with only 38% of respondents selecting the correct definition). ALDI documents also indicate that its everyday low pricing is not well understood and that some consumers consider everyday low pricing to be a potential marketing gimmick.[872]

In this regard, the supermarkets appear to be aware of this issue and to be taking steps to improve consumer understanding of these promotional programs. For example, Woolworths updated its 'Explaining Value' page in 2024 (stating that this webpage is designed 'to help customers understand the meaning behind our specials, tickets and promotions').[873] Coles has also recently added a page to its website explaining its promotions.[874]

Supermarket promotional strategies, particularly high-low pricing strategies, can create confusion about what is the 'real' or 'standard' price of groceries

We consider that having clear and accurate information about the standard price of grocery products is important for consumers to be able to assess prices, discounts, and value for money. However, in the context of high-low pricing strategies and regular cyclical promotions, as well as supplier and other cost price increases or decreases, the standard price can often be hard to discern. In addition, research indicates that frequent and shallow discounts can decrease consumer perceptions of the average price.[875]

867 Combined Pensioners and Superannuants Association of NSW, Submission to the Inquiry Issues Paper, published May 2024, p 9.

868 Foundation for Alcohol Research and Education, Submission to the Inquiry Issues Paper, published May 2024, p 10.

869 CHOICE, Submission to the Inquiry Issues Paper, published May 2024, pp 17–18.

870 Information provided to the ACCC.

871 Information provided to the ACCC.

872 Information provided to the ACCC.

873 Woolworths, Understanding value at Woolworths, Woolworths website, n.d., accessed 18 February 2025.

874 Coles, Helpful ways to shop and save, Coles website, accessed 18 February 2025.

875 C Hydock and L Wathieu, 'Not just about price: Value perceptions and consumers' preferences between retailer pricing strategies', *Georgetown McDonough School of Business Research Paper No. 3825192* (2021), p 6, accessed 18 February 2025.

As noted above in section 4.1.2, some products are on promotion for a large portion of the time. Further, as also noted in section 4.2, for some products, promotional sales make up a very high proportion of the total volumes moved, compared to the proportion of sales at the 'standard' price. In both scenarios, we consider that the value of the 'standard' price as a reliable benchmark for a product's value is reduced.

Responses to our consumer survey suggest that some consumers find the constantly fluctuating prices at Coles and Woolworths confusing – making it harder to discern the 'true' price of an item, and reducing trust in both the standard prices and specials. One respondent raised concerns with 'frequent specials, such as 50% off, which are not really specials as they are so frequently discounted', while another stated '[i]t feels like the "special" discounted price is the real price and the "normal" price is just a way to make people think they are saving money when they aren't'. This is also likely to create difficulty with budgeting, particularly for consumers on lower incomes.

Several respondents to our consumer survey also raised concerns with prices for some products being raised and then being promoted with a price reduction (often at a price higher than the price prior to the original price increase):

> 'There seems to be a trend of prices increasing for a period, then dropping slightly under the guise of supermarkets reducing prices, when really it seems the increased price was inflated with the purpose of making the 'new' lower price more generous than the slight increase it realistically is.'
>
> 'The dodgy prices when they declare it's on sale but it's really not. They jack up the price artificially from last week then say the current price is the discounted one.'
>
> 'Advertising lower prices when they are only just lower than when they hiked them up 12+ months ago. So, is it really a bargain?'
>
> 'Increase in standard product pricing to shortly thereafter the item to be slightly reduced as an 'everyday special' but as they increased it first, it really isn't a special.'

Dr Carina Garland MP submitted that respondents to a recent survey in the electorate of Chisholm had expressed concerns about the frequency of specials becoming confusing and that people felt deceived when a special discount was 'actually the price of the product from a year ago'.[876] Dr Garland MP also stated that consumers were questioning the actual price of the price when products are sold for half price on alternating weeks and whether they were being taken advantage of when purchasing at a non-discounted price.[877] In the public hearings, Woolworths stated that having too many 50% off sales was not good for consumer trust.[878]

The Foundation for Alcohol Research and Education submitted that promotional claims which compare the current price of an item with a past price can be based on prices set artificially high (even when other past prices may have been lower) or on prices from many years earlier.[879] Similarly, the Queensland Consumers' Association submitted that it is not always clear what the non-promotion price was and when (and for how long) it was charged, and that it had seen examples of price reductions being advertised years after the reduction occurred.[880]

The NZCC First Annual Grocery Report 2024 states that high-low pricing makes it hard for consumers to accurately judge the claims that supermarkets make and accurately assess the value of competing offers.[881]

876 C Garland, Submission to the Inquiry Issues Paper, published May 2024, p 7.

877 C Garland, Submission to the Inquiry Issues Paper, published May 2024, p 7.

878 ACCC, public hearing transcript, 18 November 2024, p 551.

879 Foundation for Alcohol Research and Education, Submission to the Inquiry Issues Paper, published May 2024, p 10.

880 Queensland Consumers Association, Submission to the Inquiry Issues Paper, published May 2024, p 3.

881 NZCC, First Annual Grocery Report, NZCC website, 4 September 2024, p 58, accessed 18 February 2025.

Other supermarket practices may impact consumers' ability to assess prices and discounts

Consumer organisations, CHOICE and the Queensland Consumers Association, also raised concern with other supermarket promotional practices that may impact consumers' ability to assess pricing, discounts and value for money.[882] In particular:

- Fresh products being advertised as on 'special' when such products are seasonal and therefore fluctuate in price.
- The use of promotional-style labels on products that are not discounted in any way. For example, 'Limited Time Only', 'While Stocks Last' and 'New' promotion labels. This may also apply for products under everyday low pricing promotions.
- The use of pricing strategies which can cause consumers to think that a price is lower than it really is – namely the use of prices that end in 9 (for example, $3.99 vs $4).

CHOICE submitted that the promotion of fresh produce by supermarkets with terms such as 'Super Savers' (ALDI) or 'Fresh Specials' (Coles and Woolworths), creates the impression that they are discounted when these products fluctuate in price based on the season.[883] For example, it noted that 30% of respondents to its survey were not sure if ALDI's Super Saver products were discounted.[884]

The BIT Report also raises potential issues with the use of terms on promotional tickets such as 'While Stocks Last', which may trigger a perception of scarcity in consumers and encourage stockpiling behaviour.[885]

The Queensland Consumers Association submitted that use of prices which end in 9 cents can make grocery shopping more complex and confusing for consumers than it should be.[886] However, the Queensland Consumers Association said its main concern is that such pricing may make it harder to consumers to identify when prices have increased or decreased.[887] Internal documents obtained from ALDI stated that having prices that end in 99 cents increased demand by 15–22%.[888]

4.3.3 Supermarkets should be subject to minimum information requirements in respect of their pricing and promotional practices, and this should be supported by specific record keeping obligations

We consider that concerns about supermarket promotional practices which are complex, confusing, and ambiguous, and which make it difficult for consumers to assess pricing, discounts and value for money, should be addressed.

We put forward several options in our Interim Report for interventions to improve transparency and promotional practices.[889] These included:

- **Option 1 – supplement the ACCC's existing guidance for businesses** to provide businesses with additional clarity about displayed prices, including the use of 2-price comparison advertising

882 CHOICE, Submission to the Inquiry Issues Paper, published May 2024, p 19, Appendix 1; Queensland Consumers Association, Submission to the Inquiry Issues Paper, published May 2024, p 4.

883 CHOICE, Submission to the Inquiry Issues Paper, published May 2024, pp 18–19.

884 CHOICE, Submission to the Inquiry Issues Paper, published May 2024, p 18.

885 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, p 27. See Appendix E.

886 Queensland Consumers Association, Submission to the Inquiry Issues Paper, published May 2024, p 4.

887 Queensland Consumers Association, Submission to the Inquiry Issues Paper, published May 2024, p 4.

888 Information provided to the ACCC.

889 ACCC, Supermarkets Inquiry Interim Report, August 2024, p 78.

(which includes 'was/now' price representations) in the specific context of fast-moving consumer goods, such as groceries.

- **Option 2 – requiring supermarkets of a certain size to publish more detailed information** about their promotions to help consumers more reliably assess the claims supermarkets make.
- **Option 3 – regulate pricing and promotional representations** noting that consultation would be necessary to determine the form and content of such regulation, and its usefulness in the Australian context.

In response to our Interim Report, CHOICE reiterated its support for greater regulation of supermarket pricing representations, while the Queensland Consumers Association stated that supermarkets should be required to provide up-to-date pricing (and unit pricing) information and that limits may be needed on how far back a 'was' price can be referred to.[890] Coles and Woolworths reiterated their support for updated ACCC guidance, and Woolworths also indicated support for consultation on further regulation of pricing representations.[891] CHOICE submitted, however, that updating the guidance alone would not be sufficient to address concerns around promotional pricing.[892] Other parties also indicated support for more regulation in response to our Issues Paper, including the Foundation for Alcohol Research and Education and Dr Carina Garland MP.[893]

Following further analysis and consideration of this feedback, we consider that the following measures would improve transparency and enable consumers to better assess pricing, discounts and value for money for products on promotion:

- Sector-specific minimum information requirements for all price discount promotions.
- Record-keeping rules requiring supermarkets to maintain pricing information for a minimum period.

Together, and in combination with the recommendations outlined in section 3.6.6 (price transparency), section 4.4.3 (unit pricing) and section 4.5.3 (shrinkflation), we consider these measures would help address concerns regarding the difficulties consumers face when trying to assess pricing, discounts, and value for money.

The ACCC will also update its Advertising and Selling Guide to expand on the application of existing legal principles to the use of 2-price comparison advertising (which includes 'was/now' price representations).[894]

890 CHOICE, Submission to the Inquiry Interim Report, published November 2024, pp 8–9;CHOICE, Submission to the Inquiry Issues Paper, published May 2024, pp 5, 23–24 (In its submission to our Issues Paper, CHOICE advocated for a new mandatory information standard); Queensland Consumers Association, Submission to the Inquiry Interim Report, published November 2024, pp 7–8; Queensland Consumers Association, Submission to the Inquiry Issues Paper, published May 2024, p 3.

891 Coles, Submission to the Inquiry Interim Report, published November 2024, pp 1–2, 11, 41;Coles, Submission to the Inquiry Issues Paper, published May 2024, p 33;ACCC, public hearing transcript, 21 November 2024, p 751 (Coles stated in the public hearings that it would be open to additional ACCC guidance on pricing and how it could increase visibility for consumers on their promotional types); Woolworths, Submission to the Inquiry Interim Report, published December 2024, pp 15–16.

892 CHOICE, Submission to the Inquiry Interim Report, published November 2024, p 9.

893 Foundation for Alcohol Research and Education, Submission to the Inquiry Issues Paper, published May 2024, pp 4, 14 (The Foundation expressed support for an unfair trading practices prohibition to address concerns regarding promotions that encourage consumers to spend to access a discount or other benefit, and to address confusing and potentially misleading price claims and promotions); C Garland, Submission to the Inquiry Issues Paper, published May 2024, p 7.

894 ACCC, Advertising and Selling Guide, ACCC website, 5 July 2021.

Separately, the Australian Government has also recently undertaken a further consultation process in relation to options to address unfair trading practices.[895] The ACCC supports the introduction of an unfair trading practices prohibition, in addition to the above measures.[896]

We consider an unfair trading practices prohibition could also potentially be used to address some of the concerns relating to supermarket promotional practices that are unlikely to be addressed by existing provisions of the Australian Consumer Law (ACL) or *Competition and Consumer Act 2010* (Cth) (CCA). For example, the use of promotional labels by supermarkets that resemble labels commonly used for price discount offers, including using particular colours and design elements, in circumstances where a price discount is not being offered.

We also continue to support greater transparency from supermarkets about their promotions and encourage individual supermarket efforts to proactively assist consumers with navigating the complex promotional environment. This includes providing explanations of their promotions and the key internal rules for them (and keeping these updated). For example, both Coles and Woolworths publish a webpage with guidance about the meaning of their various price and promotional programs.[897]

Sector-specific minimum information requirements

We recommend the introduction of new requirements for all supermarkets to publish certain minimum information for products on discount price promotions (including both short-term specials and longer-term price promotions). These could be included in new sector-specific legislation or could be incorporated into existing instruments (such as the Unit Pricing Code) and should be accompanied by appropriate penalties.

The specific details of these minimum information requirements will need to be subject to further consultation, but we consider they could include:

- the percentage (%) discount and/or the total ($) discount being applied
- the price in relation to which the discount was calculated (which may be the price immediately prior to the promotion or from another more relevant date)
- the date range over which that previous price applied
- the new price of the product under the promotion
- the new unit price of the product
- the previous unit price of the product (or for multi-buy promotions, the individual product price).

We consider such information should be required to be provided in proximity to the product, both in-store (on the pricing or promotional ticket) and (where applicable) online (on the product webpage).

Minimum information requirements would help address concerns regarding lack of transparency about the level of discounting being applied to products on discount price promotions. They would also allow consumers to more quickly and effectively assess whether they are getting a good deal on promoted products and ensure consumers have the information they need to compare and choose products, and product quantities, that are suitable for their needs.

We do not consider that all the above information points are necessarily required. Consideration would need to be given during consultation to striking the right balance between providing

895 Treasury, Unfair trading practices – supplementary consultation paper, Treasury, Australian Government, November 2024, accessed 18 February 2025.

896 ACCC, Unfair trading practices: Consultation regulation impact statement – ACCC submission to Treasury, November 2023.

897 Woolworths, Understanding value at Woolworths, Woolworths website, n.d., accessed 18 February 2025; Coles, Helpful ways to shop and save, Coles website, n.d., accessed 18 February 2025.

transparency while reducing the risks of cognitive overload for consumers. The need to carefully balance these considerations also applies to other consumer-focused recommendations made in this report, especially those related to unit pricing and shrinkflation. As such, we recommend behavioural economic expertise and consumer testing as an input into the development of such measures.[898]

Some supermarkets do already include many of the above information points on product tickets or are updating their tickets so that they do. Figure 4.11 shows an in-store 'specials' ticket example provided by Woolworths (see also section 2.4.1) which lists the total discount being applied ($0.30), the price on which the discount was calculated (the 'was' price: $2.80), the total price of the product on promotion ($2.50) and the unit price of the product on promotion ($0.64 per 100ml).

Figure 4.11: Example of an in-store 'specials' ticket provided by Woolworths

Source: Woolworths.
Note: Woolworths provided this image of an in-store specials ticket reflecting changes due to take effect on 26 February 2025.

By setting minimum information requirements, there would be greater consistency across supermarkets which would better enable consumers to assess and compare prices and discounts both in-store and between retailers. Appropriate exclusions could also be considered for certain types of discounts (such as markdowns applied to reduce waste).

Record keeping rules

We consider that the sector specific minimum information requirements recommended above, and the ACCC's existing enforcement role, would be enhanced by the introduction of record keeping rules which require large supermarkets to maintain certain pricing, promotional ticketing and sales information for a minimum period (for example, 3 years).[899]

This would ensure the ACCC is able to access relevant information to facilitate investigation of pricing claims (particularly determining whether comparator price claims are genuine) and enforcement of the ACL.[900]

898 See, for example, OECD, Improving online disclosures with behavioural insights, *OECD Digital Economy Papers,* April 2018, No. 269, accessed 18 February 2025. This report draws on behavioural insights in relation to issues such as information overload and design of consumer testing.

899 We envisage this measure would apply, at least, to Coles and Woolworths as the largest retail supermarket chains in Australia.

900 For example, information about the history of a product's advertised price prior to its inclusion in a promotional campaign, and the volume of sales at those prior prices.

We believe it is important for the ACCC to able to request and obtain access to complete and reliable pricing, promotional ticketing and sales information (including, information about the prices that were published on in-store pricing tickets, and the dates they were published) from supermarkets to ensure the ACCC can effectively perform its investigative and enforcement role insofar as it relates to supermarket prices and promotional practices. Currently, there is no requirement for supermarkets to retain historical price, promotional ticketing or sales information.

To the extent possible, the form and content of the information required to be maintained under new record keeping rules could be aligned with the dynamic price information required to be made available to third parties by large supermarkets through an application programming interface, as part of the price transparency measures recommended in section 3.6.

This would reduce the burden on supermarkets in complying with both measures and enable the ACCC to more easily assess concerns raised by third parties about supermarket promotional practices. However, these record keeping rules could also capture additional information which would not be required to be provided to third parties under the price transparency measures, but which would be of value to the ACCC in performing its functions.

Similar to the sector-specific minimum information requirements, record keeping rules would need to be subject to consultation as to the specific details and could be included in new sector-specific legislation or could be incorporated into existing instruments (such as the Unit Pricing Code). They should also be accompanied by appropriate penalties.

Updated ACCC guidance on 2-price comparison representations

If the minimum information requirements recommended above ultimately include a requirement to provide the price in relation to which the discount was calculated, this will essentially require supermarkets to make a 2-price comparison for all products advertised on discount price promotions.[901]

As previously outlined, during the course of this inquiry, specific concerns have been raised (particularly in the context of high-low pricing) about what the 'real' or 'standard' price for grocery products is and, accordingly, the legitimacy of stated comparator prices.

Consistent with prior ACCC experience, information received during the inquiry indicates that 2-price comparison representations can be particularly challenging for consumers, and therefore they are inherently risky for traders, especially when they are made in complex and dynamic promotional environments such as supermarkets.

Discount price promotions, including 2-price comparison representations (e.g. 'was/now' pricing), are already subject to the ACL, including the prohibitions against misleading or deceptive conduct and false or misleading representations. The ACCC has had a long history of enforcement action in this area and, although every case will depend on its facts, there is an established body of case law on the application of the relevant legal principles to 2-price comparison representations.

While the ACCC's Advertising and Selling Guide currently provides some guidance for businesses in relation to 2-price comparison advertising (which includes 'was/now' price representations), in light of the concerns raised during this inquiry, the ACCC will update it to include further principles-based guidance regarding the application of existing legal principles to such advertising.

The ACCC will, of course, also continue to take enforcement action to ensure discount price promotions comply with the ACL, seeking penalties of sufficient magnitude to deter unlawful

901 We have observed that this is already the case for most specials advertised by supermarkets, but not for all types of promotions (for example, multi-buy promotions).

conduct.[902] In this regard, ACCC has recently been given additional funding ($30 million over 3.5 years) to conduct more investigations and enforcement in the supermarket and retail sector, particularly around pricing practices.[903] The ACCC Chair, Ms Cass-Gottlieb, publicly stated that this funding will enable the ACCC to escalate investigations into potentially misleading pricing claims or practices.[904]

Recommendation 4

Supermarkets should be subject to minimum information requirements for discount price promotions, and this should be supported by record keeping obligations

These minimum information requirements would apply specifically to supermarkets and require them to provide certain information in close proximity to the product (such as the pricing or promotional ticket) both in-store and online. This could include information such as the percentage or total discount being applied, the price on which the discount was calculated and the date range over which that previous price applied.

Supermarkets should also be required to maintain certain pricing, promotional ticketing and sales information which would be made available to the ACCC upon request. This measure would ensure that the ACCC has access to complete and reliable information, including the ability to assess the genuineness of a discount, when performing its investigative and enforcement role in relation to supermarket pricing and promotional practices.

4.4 There is scope to improve unit pricing

This section follows from our Interim Report and further discusses:

- the purpose and benefits of unit pricing
- concerns about the current unit pricing regime
- recommendations on how to address the concerns about unit pricing.

4.4.1 Consumers use unit pricing to help them compare prices

Unit pricing is the practice of displaying the price by unit of measure (for example, per litre or kilogram) along with the total sale price for each item.[905] It is a comparison tool which allows shoppers to easily compare prices between different brands and product sizes based on weight, volume or unit for most food, drinks, cleaning and personal products sold by certain grocery retailers.[906]

902 For breaches of the ACL from 7 November 2022, the maximum pecuniary penalty is the greater of (a) $50 million, (b) 3 times the value 'reasonably attributed' to the breach and (c) if the court cannot determine the benefit reasonably attributed to the breach, 30% of the corporation's adjusted turnover during the breach turnover period. See also: ACCC, Fines and penalties, ACCC website, n.d.

903 A Albanese and J Chalmers, *Helping Australians get fairer supermarket prices through stronger protections and greater competition* [media release], PM&C and Treasury, Australian Government, 1 October 2024, accessed 18 February 2025.

904 ACCC, *ACCC welcomes additional retail sector enforcement funding* [media release], ACCC, 1 October 2024.

905 ACCC, Grocery Inquiry Final Report, ACCC website, 5 August 2008, p 445.

906 Treasury, Grocery unit pricing code review: Initial consultation, accessed 18 February 2025.

Unit pricing in Australia is mandated by the *Retail Grocery Industry (Unit Pricing) Code of Conduct* (the Unit Pricing Code) which came into effect on 1 July 2009,[907] following a recommendation from the 2008 Grocery Inquiry. The Unit Pricing Code is a mandatory industry code of conduct prescribed under the CCA. The ACCC is the regulator responsible for compliance and enforcement of the Unit Pricing Code.

Unit pricing assists consumers by improving the pricing information available to them, which makes it easier to compare products.[908] As discussed in our Interim Report, results from our consumer survey indicate a significant majority of respondents (89%) 'always' or 'usually' use unit pricing.

The Australian Government conducted a review of the Unit Pricing Code which commenced in November 2018 (Unit Pricing Code Review). Following the review, in July 2021 the Unit Pricing Code was remade without significant changes.[909] However, in response to our Issues Paper, we received submissions raising concerns with the current unit pricing regime, which were considered in our Interim Report.[910]

On 2 October 2024, following the release of our Interim Report, the Australian Government announced that changes would be made to strengthen the Unit Pricing Code, including through the introduction of penalties. The government's intention is to address shrinkflation by making it easier for consumers to make 'accurate and timely price comparisons'.[911] The Australian Government has indicated that it will be consulting on potential improvements to the Unit Pricing Code, such as:

- improving readability and visibility of unit pricing in stores
- addressing inconsistent use of units of measure across supermarkets
- whether to expand the scope of retailers covered by the Unit Pricing Code
- more specific prominence and legibility requirements
- improving the use of unit pricing in cross-retailer price comparisons.

As outlined in our Interim Report, there have been developments to the grocery retail environment, particularly through the rise of online shopping in the years since the 2008 Grocery Inquiry and the Unit Pricing Code Review. For example, as outlined in section 3.6, in recent years supermarkets have taken steps to make pricing information more accessible, including by providing pricing information on websites and mobile apps, which has facilitated cross-retailer price comparison by consumers. We therefore consider there is now scope for unit pricing to play a bigger role in assisting consumers to compare prices between retailers, as discussed further below.

Some supermarkets have acknowledged the importance of unit pricing for consumers. During the public hearings, both Coles and Woolworths acknowledged that consumers use unit pricing in-store, whether online or within the physical store,[912] and across retailers to compare prices.[913] Coles stated that consumers have a 'high interest' in unit pricing and ALDI recognised that unit pricing provides transparency to consumers in a manner which is easy to operationalise.[914]

907 Treasury, Review of the retail grocery industry (unit pricing) code of conduct – Discussion paper, Treasury, Australian Government, November 2018, p 4, accessed 18 February 2025.

908 ACCC, Grocery Inquiry Final Report, ACCC website, 5 August 2008, p 450.

909 Treasury, Grocery unit pricing code review: review outcomes, 14 June 2021, accessed 18 February 2025.

910 ACCC, Supermarkets Inquiry Interim Report, August 2024, pp 94–102.

911 A Albanese, S Jones and A Leigh, *Cracking down on shrinkflation to help Australians save time and money* [media release], PM&C and Treasury, Australian Government, 2 October 2024, accessed 18 February 2025.

912 ACCC, public hearings transcript, 18 November 2024, p 540.

913 ACCC, public hearing transcript, 21 November 2024, p 742.

914 ACCC, public hearing transcript, 21 November 2024, p 743; ACCC, public hearing transcript, 11 November 2024, p 273.

Both Coles and Woolworths have invested in functionality for their apps and websites to allow consumers to search products by best or lowest unit price.[915] In response to our Interim Report, Woolworths submitted that approximately 15,000 customers use it's 'Best Unit Price Filter' each week.[916] Woolworths has also actively promoting the use of unit pricing to assess best value in a television advertisement.[917]

4.4.2 There are concerns with the unit pricing regime

As identified in our Interim Report, some stakeholders raised concerns about the Unit Pricing Code and how supermarkets apply unit pricing in Australia. In addition, most respondents to our consumer survey (80%) indicated they only find unit pricing 'usually' or 'sometimes' effective.[918]

We have focused on particular concerns relating to:

- readability, including legibility and prominence
- the use of inconsistent units of measure
- the use of unit pricing in cross-retailer price comparison.

Some consumers have difficulties reading unit prices in-store

We consider that the presentation of in-store unit pricing creates difficulties for some consumers. Submissions to our Interim Report raised concerns about:[919]

- unit prices being hard to notice and not easy to read as supermarkets often use small, nonbold print
- unit pricing being often inconsistent between products within store and across different retailers
- the increasing use of electronic shelf tags, as these tags may have less visual contrast and so reduce the overall visibility of unit pricing.

During the public hearings, a representative from Combined Pensioners and Superannuants Association of New South Wales reiterated the sentiment from its written submission, stating that price labelling is a major issue for its constituents,[920] the vast majority of whom are over 67 years old. The representative stated that many of its constituents have limited vision and mobility, and so seeing prices on low or high shelves becomes noticeably more difficult.[921]

As identified in our Interim Report, the results from our consumer survey supported these claims, finding that older respondents (aged 50 years and older) and respondents with a disability or complex need were more likely to report a concern that unit pricing 'is not easy to read'.[922] CHOICE also stated that unit pricing should be presented in a 'consumer friendly' manner which could include requiring that fonts are big enough for consumers to read the unit prices more easily.[923]

915 This function may require consumers to create and log into an account. See Woolworths, Submission to the Inquiry Issues Paper, published May 2024, p 35; Coles, Coles online – same, same but better!, Coles website, n.d., accessed 18 February 2025; Coles, Save money & time with the Coles app, Coles website, n.d., accessed 18 February 2025.

916 Woolworths, Submission to the Inquiry Interim Report, published December 2024, p 15: Woolworths submitted that this number is based on weekly active users using the 'Best Unit Price Filter' on the Woolworths website and app in October 2024.

917 Woolworths, 'Woolworths Best Unit Price' [video], *Woolworths*, YouTube, 10 May 2024, accessed 18 February 2025.

918 ACCC, Supermarkets Inquiry Interim Report, August 2024, p 93.

919 ACCC, Supermarkets Inquiry Interim Report, August 2024, pp 97–98.

920 ACCC, public hearing transcript, 7 November 2024, pp 11–12.

921 ACCC, public hearing transcript, 7 November 2024, pp 11–12.

922 ACCC, Supermarkets Inquiry Interim Report, August 2024, p 95.

923 ACCC, public hearing transcript, 7 November 2024, p 51.

In its submission in response to our Interim Report, the Queensland Consumers Association referred to research considered during the Unit Pricing Code Review, which found that overall changes to unit pricing layout did not result in changes to consumer product selection decisions.[924]

The Queensland Consumers Association submitted that this research was subject to a number of limitations and that other studies have found that the quality of the display of the unit price does influence product choice (no particular studies were cited).[925] The submission also referred to the Queensland Consumers Association's own research which found that 'print size greatly influences the legibility of unit prices on shelf labels located 20cm from the ground'.[926]

We understand that the research considered during the Unit Pricing Code Review (referred to by the Queensland Consumers Association) did not consider the impact of unit pricing layout on particular consumer cohorts, such as older or visually impaired consumers.

The BIT Report found that 'comparison frictions' may occur if unit prices lack salience, or are perceived as difficult to read by consumers.[927] The report states:

> Because consumers may have limited bandwidth to make complex trade-offs in a supermarket environment, even small barriers to accessing relevant information – such as difficulty locating the unit price – may undermine their ability or willingness to integrate that information into their purchasing decisions. Put another way, simply increasing the visual salience of relevant information may increase the likelihood that people attend to such information. [928]

However, the report also found that further research is needed to establish how and under what conditions increased attention to unit pricing occurs (for example, the relative effects of changes to highlighting versus font size) and under what conditions any changes to attention may translate to changes in purchasing behaviours.[929]

In response to our Interim Report, Coles submitted that it is open to reforms regarding improved readability, such as more specific prominence and legibility requirements.[930] However, Coles considered it important that any new requirements take into account the practical context of pricing labels, such as the information already required to be placed on pricing tickets, electronic labels and overall legibility and clarity.[931] Woolworths submitted in its response to our Interim Report that it has increased the size and prominence of unit pricing on its paper tickets, using 'easy to read fonts' which are 'at least 50% of the height of the selling price'.[932]

Overseas, governments in the UK and Quebec, Canada, have recently announced changes to their unit pricing regimes, including to strengthen their legibility requirements (box 4.3).

924 Queensland Consumers Association, Submission to the Inquiry Interim Report, published November 2024, p 5.

925 Queensland Consumers Association, Submission to the Inquiry Interim Report, published November 2024, p 5.

926 Queensland Consumers Association, Submission to the Inquiry Interim Report, published November 2024, p 5.

927 'Comparison frictions' were defined in the BIT Report as 'factors that create a wedge between freely available comparative information, and whether consumers actually use that information to make a decision': Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, p 17. See Appendix E.

928 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, p 17. See Appendix E.

929 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, pp 17–18. See Appendix E.

930 Coles, Submission to the Inquiry Interim Report, published November 2024, p 13.

931 Coles, Submission to the Inquiry Interim Report, published November 2024, p 13.

932 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2024, p 50.

Box 4.3: Recent changes to unit pricing in overseas jurisdictions

United Kingdom

Unit pricing in the UK is mandated by the Price Marking Order 2024. Following a review by the Competition and Markets Authority (UK) (CMA), the UK Government determined there was a need to make changes to its unit pricing regime to make it simpler and easier for businesses to comply with, and to improve information transparency for consumers. Specifically, the CMA recommended reforms to improve the consistency of unit pricing information and strengthen legibility requirements.[933] In October 2024, amendments to the Price Marking Order were made to:[934]

- require consistency of units of measure for unit
- require unit pricing to be 'unambiguous, easily identifiable, clearly legible and displayed using a font which is clear and of reasonable size.

The reforms will commence on 1 October 2025.

Quebec, Canada

In Quebec, unit pricing is governed by Section 91.5 of Regulation 3 of the Consumer Protection Act. On 7 November 2024 a bill was passed which amended part of this Section of the Regulation. In particular, it:[935]

- increases the minimum print size for unit pricing from 10 to 16 point (3.5mm to 5.6mm)
- requires unit pricing print to be in bold font
- requires a retailer to use the same unit of measurement for all goods of the same nature.

Given the ongoing concerns with unit pricing readability, we support the Australian Government's proposal to consult on more specific prominence and legibility requirements. While we do not consider more specific prominence and legibility requirements will be sufficient to address concerns around shrinkflation transparency (for the reasons outlined in section 4.5.2), we agree that such requirements could improve the usefulness of unit pricing for consumers more generally.

This consultation should take into account the practical considerations raised by Coles, and could specifically consider:

- what specific changes are most likely to lead to consumers increasing their attention on, and use of, unit pricing
- whether there are specific changes that could assist particular consumer cohorts, such as older or visually impaired consumers
- what specific requirements may be necessary to ensure unit pricing is sufficiently legible and prominent on electronic labels.

933 Competition & Markets Authority, CMA cost of living update, CMA, 26 July 2024, pp 5, 12–13, accessed 18 February 2025.

934 The Price Marking (Amendment) Order 2024 (UK), art 2.

935 Bill 72: An Act to protect consumers against abusive commercial practices and to offer better transparency with respect to prices and credit 2024 (National Assembly of Quebec), clause 66(1)–(2).

Inconsistent units of measure for unit prices make it more difficult for some consumers to compare products in-store

Inconsistent units of measure for unit prices can make it more difficult for consumers to compare the same product, or similar or substitute products in-store.

In response to our Issues Paper, stakeholders such as CHOICE, the Queensland Consumers Association and the Consumers' Federation of Australia and respondents to our consumer survey expressed concern in relation to the use of different metrics for products in the same category.[936] Respondents stated that some items within the same product category have unit prices measured per 100 grams and others per kilogram. Products from the same category can also be priced by 'item' and others by weight. For example, CHOICE's submission contained a visual example of inconsistent unit prices for tea bag products at a Coles store, where the unit price for one product was measured per item (in this case, 'per tea bag') whilst the unit price for the other product was measured per weight (100g).[937]

Figure 4.12: Example of in-store inconsistent use of unit pricing

Source: CHOICE, Submission to the Inquiry Issues Paper, published May 2024.

This example from CHOICE was brought to Coles' attention during the public hearings.[938] The Coles representative recognised there was an inconsistency between the units of measure for tea bags and acknowledged that this would be 'frustrating for customers'.[939] Coles also stated it had rectified this situation in response to Choice's feedback.[940]

Similarly, an example of inconsistent units of measure for sultana products contained in the Queensland Consumers Association's submission to our Interim Report was brought to Woolworths' attention during the public hearings.[941] The Woolworths' representative accepted that it would be clearer for consumers to compare prices if consistent units of measure were used and welcomed such an approach.[942] At the time of drafting this report, these sultana products were consistently unit priced online on a 'per kilogram' basis.[943]

As outlined in our Interim Report, the Unit Pricing Code provides a list of alternative units of measure for certain grocery items. The requirements of the Unit Pricing Code are to be read in conjunction

936 ACCC, Supermarkets Inquiry Interim Report, August 2024, pp 97–98.

937 CHOICE, Submission to the Inquiry Issues Paper, published May 2024, p 58.

938 ACCC, public hearing transcript, 21 November 2024, pp 743–744.

939 ACCC, public hearing transcript, 21 November 2024, p 743.

940 ACCC, public hearing transcript, 21 November 2024, p 743.

941 Queensland Consumers Association, Submission to the Inquiry Issues Paper (Unit Pricing), published May 2024, p 17; ACCC, public hearing transcript, 18 November 2024, p 541.

942 ACCC, public hearing transcript, 18 November 2024, p 541.

943 Woolworths, Products: 'sultanas', accessed 18 February 2025.

with the *National Trade Measurement Regulations 2009*. Under Regulation 4.26, price per kilogram unit pricing must be used for certain packaged products subject to certain exceptions.[944]

For certain product categories, the Unit Pricing Code itself allows the retailer to choose the unit of measure. For example, Item 11 of the Unit Pricing Code permits the retailer to choose whether to unit price fruit and vegetables either per item or per weight (per kilogram).[945] Depending on the product category, supermarkets may be complying with the Unit Pricing Code in using inconsistent units of measure.

The BIT Report quoted Dr Adrian Camilleri, a behavioural science and marketing expert, as stating that inconsistency in the units of measure for unit pricing pushes consumers to do 'mental gymnastics' to compare products.[946] The report discussed how comparing products with inconsistent unit prices puts additional cognitive load on consumers which can reduce the likelihood of choosing the best value product.[947] This additional cognitive load may also lead consumers to rely more on decision-making heuristics which can make consumers more susceptible to promotional labelling rather than detailed price comparison.[948]

In response to our Interim Report, Coles submitted it supports requiring greater consistency with units of measure,[949] and Woolworths stated during the public hearings that it welcomes the use of consistent units of measure to help consumers.[950]

We consider the use of inconsistent units of measure makes it more difficult for consumers to compare competing products and brands in-store. We therefore consider there is room to mandate more consistency with units of measure, similar to the approach taken by the UK and Quebec (outlined in box 4.3). As such we support the Australian Government's proposal to consult on addressing inconsistent units of measure.

Inconsistent units of measure for online unit prices make it more difficult for some consumers to compare prices between supermarkets

As outlined above and in our Interim Report, we consider there is scope for unit pricing to be better utilised for cross-retailer comparison.

The Unit Pricing Code requires grocery retailers to display unit pricing on their websites. However, a limitation to online unit price comparison is that the Unit Pricing Code permits retailers to choose between different units of measure options for certain products. For example, the current requirements of the Unit Pricing Code allow Woolworths to price all of its loose fruit and vegetables by 'item' on its website,[951] while allowing Coles to price some of its loose fruit and vegetables by 'item' and others by weight.[952] At the public hearings, CHOICE stated that this type of inconsistency 'makes it harder for consumers to compare'.[953] Figure 4.13 provides an example of this inconsistency.

944 *National Trade Measurement Regulations 2009* (Cth), reg 4.26(1)–(2).

945 *Competition and Consumer (Industry Codes – Unit Pricing) Regulations 2021* (Cth), Item 11.

946 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, p 15. See Appendix E.

947 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, pp 8–9, 15–16, 18. See Appendix E.

948 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, pp 15–16, 18. See Appendix E.

949 Coles, Submission to the Inquiry Interim Report, published November 2024, p 13.

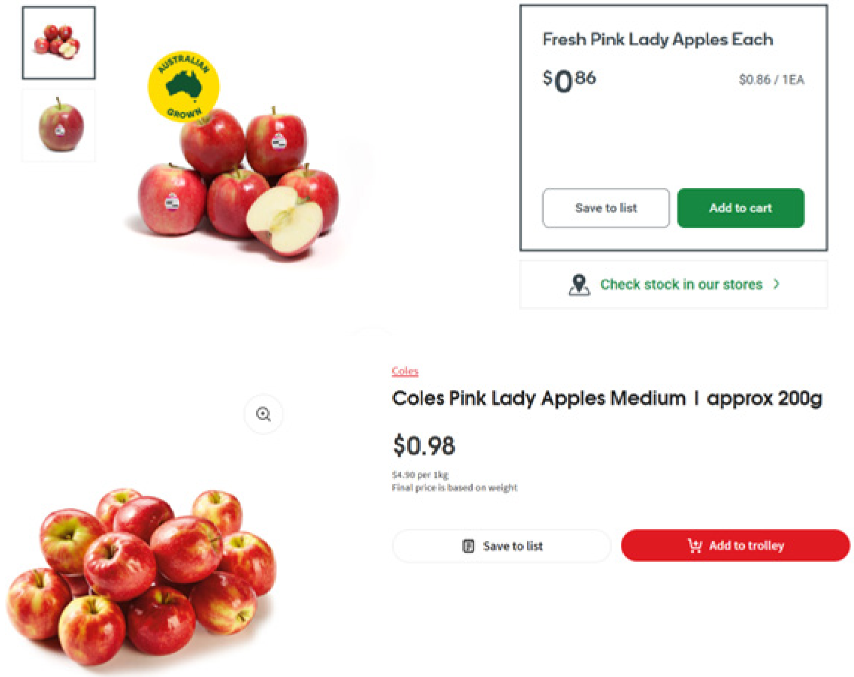
950 ACCC, public hearing transcript, 18 November 2024, p 541.

951 Woolworths, Products: apples & pears, Woolworths website, n.d., accessed 18 February 2025.

952 Coles, Shop products: Apples, accessed 18 February 2025.

953 ACCC, public hearing transcript, 7 November 2024, pp 45–46, 51.

Figure 4.13: Example of online inconsistent use of unit pricing across different supermarkets



Source: Woolworths, Products; apples & Pears, screenshot taken 4 February 2025.
Coles, Shop products: Apples, screenshot taken 4 February 2025.

The Queensland Consumers Association echoed this sentiment in its response to our Interim Report. The Queensland Consumers Association submitted 'the ability of retailers to choose whether to price loose products like fruit and vegetables sold online in terms of either per item or by weight makes it very difficult for consumers to compare some unit pricing online and thus between retailers'.[954]

The Queensland Consumers Association submitted that consumers are very concerned about the effectiveness of the grocery unit pricing system online, not just in stores.[955] The Association also welcomed further consideration and examination into how unit pricing might play a bigger role for cross-retailer comparison.[956]

At Woolworths, produce is priced (and unit priced) 'per item' and consumers select their desired quantity accordingly (figure 4.13).[957]

At Coles, items are priced (and unit priced) 'by weight', but consumers are also provided with an approximate price and weight for a single item (for example, 1 apple is approximately 200g and priced at $0.98) (figure 4.13).[958] Whilst online shopping the cart will stipulate the price on the 'per item' basis but after checkout the price is worked out on the 'per weight' basis. The price at the checkout is an estimate only and the final true amount is charged after the order is packed.[959] Consumers may therefore end up paying more or less than they originally anticipated.[960]

954 Queensland Consumers Association, Submission to the Inquiry Interim Report, published November 2024, p 6.
955 Queensland Consumers Association, Submission to the Inquiry Interim Report, published November 2024, p 5.
956 Queensland Consumers Association, Submission to the Inquiry Interim Report, published November 2024, p 6.
957 For example, see Woolworths, Fresh pink lady apples each, accessed 18 February 2025.
958 For example, see Coles, Shop products: Coles Pink Lady Apples Medium, accessed 18 February 2025.
959 Coles, How are fresh produce and deli items charged?, accessed 18 February 2025.
960 Coles, How are fresh produce and deli items charged?, accessed 18 February 2025.

As such, Woolworths' system provides more certainty as to final price (although the size of items being purchased for the same price may vary), while Coles' system ensures that all consumers are paying the same unit price per weight (and therefore a customer is not disadvantaged if they receive a smaller than average apple, for example).

When considering what might constitute best practice for online unit pricing of fresh produce in Australia, the experience of Tesco in the UK could be instructive (box 4.4).

Box 4.4: Tesco's online unit pricing

Tesco uses an interface which gives consumers the option to shop for loose fresh produce either by 'quantity' or by 'weight' by toggling between 2 checkboxes (figure 4.14).[961] Tesco ultimately charges based on weight and provides its unit prices by weight. While Tesco also provides a 'per item' price, it cautions that this should be used as a guide only. We consider that this presentation provides flexibility for consumers and sets out the comparative per-unit pricing information in a very clear way.

Figure 4.14: Tesco's online unit pricing

Source: Tesco, [Groceries & essentials: large pink lady apples loose class 1](), screenshot taken 12 February 2025.

We consider that, similarly to in-store price comparison, the utility of unit pricing for cross-retailer price comparison is limited by the ability of different retailers to use inconsistent units of measure. As noted previously, Coles and Woolworths are generally supportive of greater consistency with units of measure.

We also consider that unit pricing information is an important input for online price comparison tools (discussed in section 3.6.2) and therefore it is important that retailers are required to use consistent units of measure.

We support the Australian Government's proposal to consult on measures to improve the use of unit pricing in cross-retailer price comparisons, including addressing inconsistent units of measure.

4.4.3 We support the Australian Government's proposal to consult in relation to proposed changes to the Unit Pricing Code

In our Interim Report, we presented 3 potential options to address concerns with the existing unit pricing regime:

- **Option 1 – Audit of unit pricing compliance**: As the regulator responsible for enforcement of the Unit Pricing Code, the ACCC could conduct a comprehensive audit of unit pricing compliance to determine whether unit prices are being provided as required, and whether the unit prices are being displayed prominently, legibly, unambiguously and in close proximity to the selling price. In

961 Tesco, Groceries & essentials: large pink lady apples loose class 1, accessed 18 February 2025.

particular, this would inform consideration of whether it may be appropriate to introduce penalties for non-compliance.

- **Option 2 – Bring forward the next Unit Pricing Code Review**: In light of the concerns with the application of unit pricing, the Australian Government could consider bringing forward the next review of the Unit Pricing Code.
- **Option 3 – No further action**: The ACCC could take no further action at this stage.

As outlined above, following publication of our Interim Report, the Australian Government announced that it will undertake consultation with a view to strengthening the Unit Pricing Code, including through the introduction of penalties.

We support the government's proposal to consult in relation to proposed changes to the Unit Pricing Code, particularly in relation to reforms designed to improve legibility and prominence, and address inconsistent units of measure, both within stores and between competing retailers.

We consider improvements to unit pricing will help consumers compare products (both within stores and between competing retailers), enabling them to make more informed purchasing decisions.

As part of its consultation, the government should consider whether there are particular prescriptive measures that could be required to ensure that unit pricing is consistently readable across all retailers. Prescriptive requirements could include requiring the unit price to be in a bolded font, setting a font size minimum (as is required in Quebec, Canada, discussed in box 4.3) or requiring the unit price to be highlighted.

As previously noted, consideration would need to be given to reaching the right balance between providing transparency while reducing the risk of cognitive overload for consumers, particularly in light of other consumer-focused measures recommended in this report. As such, we recommend behavioural economic expertise and consumer testing as an input into the development of unit pricing reforms.

In addition to these proposed changes to unit pricing, in chapters 3 and 4 of this report we have identified a number of other measures related to grocery pricing and price representations more generally that could potentially be brought into the Unit Pricing Code, namely:

- price transparency requirements (discussed in section 3.6.6)
- sector-specific regulations around pricing representations (discussed in section 4.3.3)
- shrinkflation notifications (discussed in section 4.5.3).

As such, we consider that the government's consultation should have broad terms of reference so that these additional measures can be considered.

In relation to Option 1, in its submission in response to our Interim Report, CHOICE said it supports the ACCC conducting an audit of unit pricing compliance.[962] Woolworths also supports, in principle, an audit of compliance by the ACCC.[963] However, it submitted that it does not support penalties for non-compliance with the Unit Pricing Code as the commercial and ethical incentives for compliance are sufficiently compelling.[964]

The Queensland Consumers Association expressed reservations about the utility of such an audit unless a number of its specific concerns were addressed.[965] These included that there would need to be clear, objective guidelines on what will be considered to be compliance with the Unit Pricing Code's

962 CHOICE, Submission to the Inquiry Interim Report, published November 2024, p 11.

963 Woolworths, Submission to the Inquiry Interim Report, published December 2024, p 16.

964 Woolworths, Submission to the Inquiry Interim Report, published December 2024, p 16.

965 Queensland Consumers Association, Submission to the Inquiry Interim Report, published November 2024, p 3.

requirements on prominence, legibility, unambiguity, close proximity to the selling price, and the units of measure to be used prior to the audit.[966]

As outlined in our Interim Report, a key purpose of an audit would have been to help inform the decision of whether to introduce penalties for non-compliance with the Unit Pricing Code. This has been superseded to the extent the Australian Government committed to introducing penalties as part of its announcement. However, the ACCC may reconsider undertaking an audit in the event the government's planned consultation does not proceed.

In relation to Option 2, we recommend this Option in the event that the Australian Government's consultation does not proceed. Given the importance of unit pricing to consumers, and the number and breadth of concerns that have been raised in relation to the current unit pricing regime, we do not recommend Option 3.

Recommendation 5

We support the Australian Government's proposal to consult in relation to proposed changes to the Unit Pricing Code

This is particularly in relation to reforms designed to improve legibility and prominence, and address inconsistent units of measure, both within stores and between competing retailers. In the event the government's consultation does not proceed as planned, we recommend that the next review of the Unit Pricing Code be brought forward.

4.5 Greater transparency is needed in relation to 'shrinkflation'

4.5.1 Shrinkflation occurs across a range of product categories and is of concern to consumers

As noted in section 4.3.2, one of the key concerns raised by stakeholders was the lack of notice of price increases and particularly instances of 'shrinkflation'. 'Shrinkflation' occurs where the size of a product is reduced while the price remains the same (or increased).[967] It is generally used in relation to pre-packaged groceries.

A CHOICE investigation in March 2024 outlined 10 grocery items that had been affected by 'shrinkflation'.[968] Several product lines were affected including cereals, hot cross buns, corn chips, dips, biscuits, and cleaning products. AMES submitted that multicultural communities were being impacted by instances of shrinkflation in cereal products, meat and eggs (resulting in consumers needing to buy more and more often to provide for their families).[969]

966 Queensland Consumers Association, Submission to the Inquiry Interim Report, published November 2024, p 3.

967 Collins Dictionary, Definition of 'shrinkflation', Collins website, n.d., accessed 18 February 2025 ('a reduction in the size of an item of packaged food … while the price remains the same'); CHOICE, Submission to the Inquiry Issues Paper, published May 2024, p 25.

968 CHOICE, Submission to the Inquiry Issues Paper, published May 2024, pp 25–26.

969 AMES Australia, Submission to the Inquiry Issues Paper, published May 2024, p 3.

Dr Carina Garland MP stated that shrinkflation was a significant issue for respondents to a survey in the electorate of Chisholm and noted instances of shrinkflation across a range of products.[970] This issue was also raised as part of COTA's survey of older Australians on supermarket pricing practices.[971]

We have been unable to precisely quantify the extent to which shrinkflation is occurring in Australia. Woolworths and Metcash gave evidence that changes in product sizes often result in new barcodes or product lines being created for the new product packaging.[972] This creates difficulties with systematically identifying instances of shrinkflation due to the need to match different product barcodes or lines.

However, there is evidence that shrinkflation does occur across a range of grocery categories and that it is a concern to consumers. In addition to the concerns raised by the stakeholders outlined above, many respondents to our consumer survey raised concerns about shrinkflation, with comments such as:

> 'Shrinkflation is happening with every product. The packaging is being redesigned to look the same but if you look closer it's actually smaller – so you get less – [but] you're paying more to get less'.
>
> 'Shrinkage. Lots of products are getting smaller – smaller chocolates, less chips in a chip packet but the price remains the same. It is very clever deception!'.

We recognise that product size changes may occur due to a decision by a supplier or manufacturer. Coles, for example, stated in the public hearings that many instances of shrinkflation in relation to proprietary brands were supplier-initiated, and that they have no control over this.[973]

ALDI stated in the public hearings that instances of shrinkflation had occurred in relation to both ALDI private label and branded products, but that it primarily occurs in relation to branded products.[974] Coles submitted that only a very small proportion of private label products were subject to shrinkflation (0.5% or approximately 30 of around 6,000 products) in the 2023–24 financial year.[975] Similarly, Woolworths stated in the public hearings that there were less than 40 examples of shrinkflation out of approximately 6,000 private label products.[976]

4.5.2 There is a lack of transparency around shrinkflation

While product size changes are not in themselves problematic, consumers and stakeholders have raised concerns about the lack of transparency around shrinkflation, and that they are ultimately paying 'more, for less' (potentially without their knowledge). For example, one respondent to our consumer survey stated, 'I do wish they would volunteer the names or flag the products [that have] shrunk', while another said 'Supermarkets should have to announce shrinkflation with advance notice of a minimum of one month to allow consumers to consider options'. By giving consumers

970 C Garland, Submission to the Inquiry Issues Paper, published May 2024, p 8 (the products affected include: shampoo and conditioner, confectionery, snacks, chocolate, cereal, protein bars, canned goods, dairy products including ice cream and cheese, nuts, gluten free bread, biscuits, peanut butter, cleaning products, tissues, laundry detergent, pasta, rice, toilet paper, chips, paper towels, soap, toothpaste, and packaged cold meats).

971 COTA Australia, Submission to the Inquiry Issues Paper, published May 2024, p 6.

972 Information provided to the ACCC; ACCC, public hearing transcript, 15 November 2024, p 447.

973 ACCC, public hearing transcript, 21 November 2024, p 740: Coles stated that it does not have influence over the pack size of a proprietary brand and that when suppliers come to them with reductions in pack size it's 'not typically a conversation that's up for debate'.

974 ACCC, public hearing transcript, 11 November 2024, p 272.

975 ACCC, public hearing transcript, 21 November 2024, p 740; Coles, Submission to the Inquiry Interim Report, published November 2024, p 1.

976 ACCC, public hearing transcript, 18 November 2024, p 543.

transparency over an increase in price, consumers would be better able to 'vote with their feet' and switch to cheaper alternatives if desired.

Woolworths has stated that instances of shrinkflation are problematic if they are not disclosed, and that it makes it more difficult for consumers to assess value for money.[977] Coles agreed during public hearings that shrinkflation is a hidden form of inflation.[978] Metcash also agreed that, particularly for ongoing product ranges, changes to package sizes, volumes and quantities without notifying consumers makes it more difficult for them to assess value.[979]

Notably, while suppliers may be required to notify supermarkets of certain changes to package size, supermarkets do not generally indicate packet size changes or price increases on in-store tickets. ALDI, Metcash and Woolworths cite changes in unit pricing as the main method by which consumers are advised of instances of shrinkflation.[980]

We, however, do not consider that unit pricing is sufficient to bring these package changes to consumers' attention. For this to occur, consumers would first need to know the previous price of a product (and previous package quantity or unit price) to identify that a change has occurred.[981] This is impractical, as while some consumers may keep track of unit prices, there will be many consumers who do not remember unit prices even for products which they purchase regularly. In this regard, Woolworths indicated during the public hearings that the product repertoire of a customer in a 6-week period is around 70 individual products.[982] Further, many consumers will not compare unit prices every time they shop for products they purchase regularly, particularly if the price has not changed.

During the public hearings, ALDI stated that it considered that, for some products, consumers would remember the previous unit price, whereas for other products they may not.[983] Metcash stated that consumers will be looking across multiple products (based on the updated unit pricing) and that they would make a relative determination of what they felt was affordable.[984] While the Queensland Consumers Association submitted that effective unit pricing makes it less likely that manufacturers and retailers will increase unit prices via shrinkflation strategies (particularly for products that consumers compare and remember the unit price of), it agreed that unit pricing is not a 'complete answer' to the problem.[985]

In this regard, we consider that unit pricing (and proposed changes to the unit pricing regime, discussed in section 4.4) are likely to have limited effect on transparency around shrinkflation.

4.5.3 Supermarkets should be required to publish notifications when package size changes occur in a manner adverse to consumers

We consider issues around the transparency of instances of shrinkflation could be addressed by requiring supermarkets to notify consumers when package sizes change in a manner adverse

977 Woolworths, Submission to the Inquiry Interim Report, published December 2024, p 16; ACCC, public hearing transcript, 18 November 2024, p 543.

978 ACCC, public hearing transcript, 21 November 2024, p 740.

979 ACCC, public hearing transcript, 15 November 2024, pp 448–449.

980 ACCC, public hearing transcript, 11 November 2024, p 272; ACCC, public hearing transcript, 15 November 2024, p 447; Woolworths, Submission to the Inquiry Interim Report, published December 2024, p 16.

981 CHOICE, for example, noted that 'consumers would still have to have prior knowledge of the previous price and size of the item to compare' the prior and new price: CHOICE, Submission to the Inquiry Interim Report, published November 2024, p 10.

982 ACCC, public hearing transcript, 18 November 2024, p 476.

983 ACCC, public hearing transcript, 11 November 2024, p 273.

984 ACCC, public hearing transcript, 15 November 2024, p 447.

985 Queensland Consumers Association, Submission to the Inquiry Interim Report, published November 2024, p 8.

to consumers. That is, where the unit price increases. These measures could be included in new sector-specific legislation or in an existing instrument such as the Unit Pricing Code (see section 4.4.1).

In our Interim Report, we proposed the option of requiring supermarkets to inform consumers when shrinkflation has occurred through the use of shelf labels, as has been required in France.[986]

Since 1 July 2024, medium to large grocery retailers in France have been required to display information about changes in quantity when a product becomes smaller but the price remains the same or increases.[987] The signage must be visible on store shelves for 2 months, and include information about the price per unit. The requirement applies to a range of goods, including food and household items but excludes unpackaged food items and bulk goods. France has also submitted a proposal to expand such requirements to grocery retailers across the European Union.[988] The European Union is currently reviewing rules about food labelling and is expected to complete the review process by 2026.[989]

Requirements to publish notifications of instances of shrinkflation are supported by consumer organisations, CHOICE and the Queensland Consumers Association.[990]

ALDI stated that it would be willing to engage with industry for a solution that makes instances of shrinkflation clearer to consumers.[991] Coles has similarly submitted that it is open to exploring measures to enhance customer transparency in this area as part of an industry wide solution.[992]

On the other hand, Woolworths has expressed support for requirements on product manufacturers (including supermarkets in relation to private label products) to notify consumers on their product packaging that an item has reduced in size or weight.[993] Woolworths also added that this would result in consistency across retailers supplying that product.[994] Metcash also raised concerns regarding the potential burden of such notifications on smaller stores.[995]

While the manner of notification would be a matter for public consultation, we consider that one option could be to include:

- a notice that the product's unit price has increased due to a change in package size
- information about the previous and current unit price.

This information would, at a minimum, be required to be published in proximity to the pricing ticket on shelves, and to include notifications on website product pages. It would also need to be published for a set period (such as 1–2 months) which enables consumers to become aware of the unit price

986 ACCC, Supermarkets Inquiry Interim Report, August 2024, p 89.

987 Le Monde with AP, 'France asks retailers to alert customers to cases of 'shrinkflation'', *Le Monde*, 19 April 2024, accessed 18 February 2025.

988 L Alderman, 'To fight 'shrinkflation,' France will force retailers to warn shoppers', *New York Times*, 19 April 2024, accessed 18 February 2025; D Best, 'France seeks EU approval for 'shrinkflation' move', *Just Food*, 2 January 2024, accessed 18 February 2025.

989 D Best, 'France seeks EU approval for 'shrinkflation' move', *Just Food*, 2 January 2024, accessed 18 February 2025.

990 CHOICE, Submission to the Inquiry Issues Paper, published May 2024, p 10–11; CHOICE, Submission to the Inquiry Issues Paper, published May 2024, pp 5, 25–27; Queensland Consumers Association, Submission to the Inquiry Interim Report, published November 2024, p 8.

991 ACCC, public hearing transcript, 11 November 2024, p 273.

992 Coles, Submission to the Inquiry Interim Report, published November 2024, p 1. See also: ACCC, public hearing transcript, 21 November 2024, p 741–742.

993 ACCC, public hearing transcript, 18 November 2024, pp 543–544. In this regard, Coles stated during the public hearings that it did not have a view on whether placing a notice on the shelf edge or on the pack would be the better option (see ACCC, public hearing transcript, 21 November 2024, p 741).

994 ACCC, public hearing transcript, 18 November 2024, p 544.

995 ACCC, public hearing transcript, 15 November 2024, p 449.

change. The Queensland Consumers Association additionally submitted that notifications should be required to be displayed prominently and legibly.[996]

There would also need to be safeguards in place to ensure that supermarkets cannot circumvent the rules by claiming that certain product or packaging changes result in the creation of an entirely new product (rather than an instance of shrinkflation).

We recognise there is a risk that additional ticketing or shelf labelling materials may increase the amount of information required to be absorbed by consumers (particularly in-store). This would need to be carefully considered in the design of any notification. Coles, for example, stated in the public hearings that it may be useful to conduct consumer research to understand what types of notifications would be noticed by consumers.[997] We agree, and recommends behavioural economic expertise and consumer testing as an input into the development of the rules and the form of the notification.

We consider that such notifications would not be overly burdensome, given the number of promotional tickets that are published by supermarkets on a weekly basis. In addition, with the introduction of electronic ticketing (see section 2.4.1), there may be increased opportunities for this information to be quickly and easily flagged with consumers. The requirement would also not apply to all products that experience a price change or increase but rather would be applied to products where package changes result in a unit price increase.

As noted in section 4.5.2, suppliers may be required to notify supermarkets of such changes (or would have first-hand knowledge in the case of package size changes for private label products). In the public hearings, Metcash stated that suppliers need to advise them of instances of shrinkflation under GS1 barcode rules,[998] where any changes to the size of a product would require the creation of a new product (and product barcode).[999] In this regard, it gave evidence that this is a very visible process for Metcash. Where this is not already the case, we consider that supermarkets could also require suppliers to inform them of all product size changes.

We also consider that it would not be practicable to place the onus solely on suppliers to notify consumers as, while they may initiate the reduction in the product size, supermarkets are ultimately responsible for pricing and advertising of prices to consumers. At most, suppliers could advise consumers of a product size or quantity change, but not whether or not there has been an increase or decrease in the (unit) price.

Further, if individual suppliers were responsible for notifications on packaging, notifications would differ in appearance between suppliers and therefore would not be consistent within a store. We consider shrinkflation notifications are more likely to be effective if they are consistent in appearance within a store and consumers are aware of what to look for, particularly given the busy nature of the supermarket environment where consumers are already exposed to voluminous product and pricing information.

996 Queensland Consumers Association, Submission to the Inquiry Interim Report, published November 2024, p 8.

997 ACCC, public hearing transcript, 21 November 2024, p 741.

998 GS1 website, GS1 Barcodes, accessed 20 February 2025.

999 ACCC, public hearing transcript, 15 November 2024, pp 447–448.

Recommendation 6

Supermarkets should be required to publish notifications when package size changes occur in a manner adverse to consumers

This information would, at a minimum, be required to be published in proximity to the product ticket on shelves, and on website product pages. It would also need to be published for a sufficient period to enable consumers to become aware of the unit price change.

4.6 Supermarket loyalty programs are becoming increasingly important and sophisticated

In general, members may benefit from loyalty programs through receiving discounts on their groceries and other offers, particularly where these benefits are gained through purchases they would have made regardless.

The growing membership of loyalty programs (figure 4.15) may suggest they are increasingly important to consumers. Documents we obtained from Woolworths indicate 'the cost-of-living crisis is significantly changing shopping behaviour' including through the use of loyalty programs and cite research indicating 4 out of 5 Australians are 'using loyalty programs more to receive discounts and savings'.[1000] Likewise, Coles' 2023–24 half-year results statement stated that 'as customers seek to maximise value across their shop [Coles has] seen record levels of customer engagement and participation in [its] Flybuys loyalty program'.[1001] It is therefore more important than ever that loyalty programs provide genuine value and operate fairly.

This section explores the value Coles and Woolworths receive from operating sophisticated loyalty programs and the value members appear to receive.

This section also explores specific loyalty program practices which have emerged in the Australian grocery sector: member only pricing, bonus point offers, personalisation, and the expansion of premium loyalty programs and other paid subscription programs.

4.6.1 Consumers are increasingly using loyalty programs

The number of shoppers using the loyalty programs offered through Coles and Woolworths is growing (figure 4.15).[1002] While the number of shoppers using the IGA Rewards program (via Metcash) is also growing,[1003] the program is still substantially smaller – Metcash reported IGA Rewards having more than 330,000 members in the 2021–22 financial year.[1004]

1000 Information provided to the ACCC citing M&C Saatchi Group, 'The cost of Living Crisis: What Australians want from brands', March 2024, accessed 18 February 2025.

1001 Coles, 2024 Half Year Results Release, Coles website, 27 February 2024, p 7, accessed 18 February 2025.

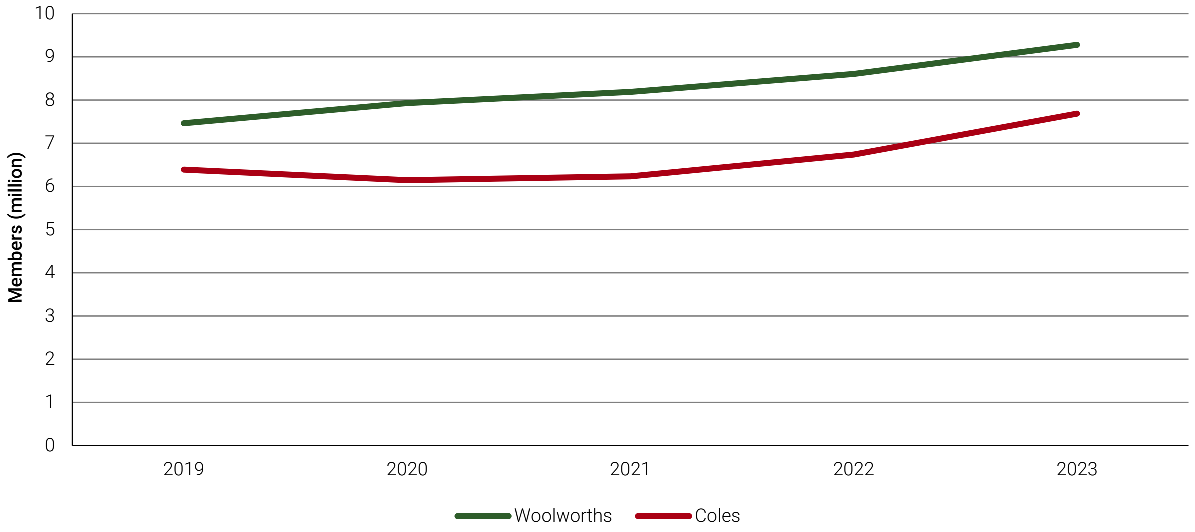
1002 Information provided to the ACCC.

1003 Information provided to the ACCC.

1004 Metcash, Annual Report 2022, 8 August 2022, p 23, accessed 18 February 2025.

Figure 4.15: Loyalty membership is growing

Active loyalty program members per supermarket



Source: Information provided to the ACCC.
Note: Coles' membership numbers are for active households, rather than individual active members.[1005]

The IGA Rewards program is also much less significant when viewed by other metrics. For example, while in 2023 around half the transactions at Coles' and Woolworths' stores were linked to their respective loyalty programs, only a very small proportion of transactions at IGA stores were linked to the IGA Rewards program.[1006]

Overall, Metcash's IGA Rewards program is much less impactful in scale, scope and sophistication.[1007] In the public hearings, Metcash described its rewards program as 'fairly simple' due to technological complexities within the IGA store network.[1008] For this reason, this section predominately focuses on Coles' Flybuys and Woolworths' Everyday Rewards programs.

4.6.2 Loyalty programs are very valuable to Coles and Woolworths

Loyalty programs generally have evolved from being merely rewards-based marketing tactics to being 'sophisticated data, marketing and customer engagement powerhouses'.[1009]

We consider loyalty programs are very valuable to Coles and Woolworths for a number of reasons, primarily:

- providing access to a wealth of consumer and transaction data[1010]
- driving sales and profitability. For example, this may include by increasing some members' spend and shopping frequency[1011]

1005 Information provided to the ACCC.
1006 Information provided to the ACCC.
1007 ACCC, public hearing transcript, 15 November 2024, p 450.
1008 ACCC, public hearing transcript, 15 November 2024, p 450.
1009 P Shelper, *Loyalty Programs: The Complete Guide*, 2nd ed, Loyalty & Reward Co, 2023, p 404.
1010 Information provided to the ACCC.
1011 Information provided to the ACCC.

- influencing some members' short term shopping behaviour and decisions. For example, loyalty programs can be the deciding factor in the choice of one store over another for a given trip[1012]
- encouraging habitual behaviour and influencing longer-term behavioural change in members. For example, this may include members habitually scanning their loyalty cards[1013]
- encouraging long-term loyalty and customer retention and increasing members' stickiness.[1014]

We consider the consumer and transaction data Coles and Woolworths collect through their loyalty programs and the insights they generate from that data provide significant value, as they can be:

- used to develop personalised offers and experiences, which further increase member satisfaction, engagement, and participation, further enhancing the dynamics referred to above[1015]
- used more broadly throughout the supermarkets' business, including for the development of future promotions, and decisions around ranging and product placement[1016]
- shared with their respective other business units and subsidiaries (see box 4.5)[1017]
- provided to third parties such as suppliers and data analytics service providers. [1018]

For some of these use cases, including data provided to some other business units or third parties, the data is in an aggregated and/or de-identified form.

1012 Information provided to the ACCC.

1013 Information provided to the ACCC.

1014 Information provided to the ACCC; ACCC, public hearing transcript, 22 November 2024, p 759.

1015 ACCC, public hearing transcript, 18 November 2024, pp 557–558; Information provided to the ACCC.

1016 Information provided to the ACCC; ACCC, public hearing transcript, 19 November 2024, pp 575–576.

1017 Information provided to the ACCC; ACCC, public hearing transcript, 19 November 2024, p 578.

1018 Information provided to the ACCC.

Box 4.5: Coles' and Woolworths' use of loyalty data in other business units and subsidiaries

Customer loyalty data collected by Coles and Woolworths, generally alongside other data, may also be shared with and used by other entities and business units within the supermarkets' group. For example:

- **Coles Financial Services (Coles Group's financial products division)**: for the purposes of 'identifying customers who are an appropriate target market for its insurance or credit card products, including in compliance with design and distribution obligations of financial products,' and 'for the purpose of assessing and delivering offers and promotions to customers.'[1019]
- **Coles 360 (Coles Group's retail media business[1020])**: 'for the purpose of Coles 360 identifying which customers should receive targeted Flybuys campaigns purchased by suppliers (eg, Flybuys promotions), and to measure the impact and effectiveness of media assets following the completion of a campaign.'[1021]
- **Cartology (Woolworths Group's retail media business[1022])**: promotes itself as providing 'guaranteed ability to target qualified audiences who have a high propensity to purchase your brand's product'.[1023]
- **Everyday Insurance (Woolworths Group's insurance business)**: Woolworths uses members' Everyday Rewards transaction history to 'inform and assign a risk score' for its supermarket transaction data to calculate 'risk scores' for members seeking insurance quotes or policies.[1024]
- **Quantium (Woolworths Group's subsidiary data and advanced analytics company[1025])**: for the purposes of Quantium providing data analytics services and insights to Woolworths and its suppliers (though insights shared with third parties are aggregated insights and reportedly do not reveal individual-level insights). Insights may include sales for products and product categories to identify the performance of goods in Woolworths stores, purchasing behaviour and product loyalty, and customer trends for product development and profits generated from promotions.[1026]

For completeness, both Coles and Woolworths have stated they have stopped the practice of automatically linking consumers' payment card details to their loyalty program profiles to track their purchasing behaviour in circumstances where the consumer does not scan their loyalty card (Coles stated it ceased the practice in late 2019 and Woolworths stated it did so in 2022).[1027] This was recommended by the ACCC in its 2019 Customer Loyalty Schemes Final Report and was raised by CHOICE in its submission to our Interim Report as an issue the ACCC should investigate.[1028]

1019 Information provided to the ACCC.

1020 Coles Group, Coles 360 unveils new name, vision and proposition for its media business [media release], 27 October 2022, accessed 18 February 2025.

1021 Information provided to the ACCC.

1022 Woolworths Group, Annual Report 2024, p 4, accessed 18 February 2025.

1023 Cartology, Woolworths Media Kit FY25, pp 2, 7, 11, accessed 18 February 2025.

1024 Everyday Insurance, Privacy at Everyday Insurance, 13 November 2024, accessed 18 February 2025.

1025 Woolworths Group, Annual Report 2024, p 4, accessed 18 February 2025.

1026 Information provided to the ACCC.

1027 Information provided to the ACCC.

1028 CHOICE, Submission to the Inquiry Issues Paper, published April 2024, p 6.

Further detail on the value of consumer data to retailers, the data practices of supermarkets and potential concerns arising from data collection and use is set out in section 6.4 of our Interim Report.[1029]

In response to our Issues Paper, Metcash submitted that loyalty programs can have a material impact on consumer decision making and that the size and nature of Coles' and Woolworths' loyalty programs provide them with a 'significant tying advantage as well as providing them with a data set which reinforces their market position'.[1030]

Loyalty program members tend to spend more than non-members

In general, research suggests members of free loyalty programs are 30% more likely to spend more with the retailer after joining.[1031] Further, members of premium loyalty programs are 60% more likely to spend more with the retailer after subscribing. Premium loyalty programs also drive higher purchase frequency, basket size, and brand affinity compared with free loyalty programs.[1032] Research also suggests premium loyalty programs are particularly useful for retailers with relatively undifferentiated, comparable offerings to lock high-value customers into their ecosystems and reduce customer switching.[1033]

Information we obtained shows Coles' and Woolworths' loyalty members who scan their loyalty cards spend more compared with the average customer overall. In 2023, members (who scanned their card) spent around 30% more per transaction than customers generally (figure 4.16).

Data also shows that while members account for around 45–50% of sales transactions at Coles and Woolworths annually, those sales account for 54–63% of revenue (figure 4.17).

1029 ACCC, Supermarkets Inquiry Interim Report, August 2024.

1030 Metcash, Submission to the Inquiry Issues Paper, published April 2024, p 10. In the public hearings, Metcash confirmed the 'significant tying advantage' provided by these loyalty programs is a reference to customer stickiness: ACCC, public hearing transcript, 15 November 2024, p 452.

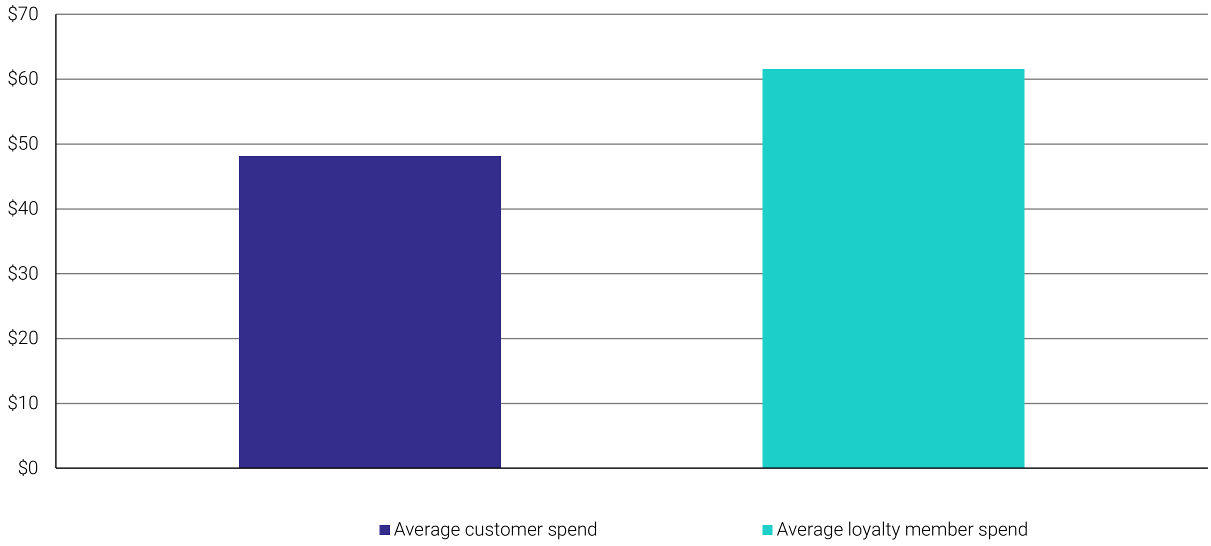
1031 J Boudet, J Huang, and R von Difloe, 'Coping with the big switch: how paid loyalty programs can help bring consumers back to your brand', *McKinsey & Company*, 22 October 2020, accessed 18 February 2025.

1032 J Boudet, J Huang, and R von Difloe, 'Coping with the big switch: how paid loyalty programs can help bring consumers back to your brand', *McKinsey & Company*, 22 October 2020, accessed 18 February 2025.

1033 J Boudet, J Huang, and R von Difloe, 'Coping with the big switch: how paid loyalty programs can help bring consumers back to your brand', *McKinsey & Company*, 22 October 2020, accessed 18 February 2025.

Figure 4.16: Average spend per transaction in 2023 for all customers compared to loyalty program members only (where loyalty card is scanned)[1034]

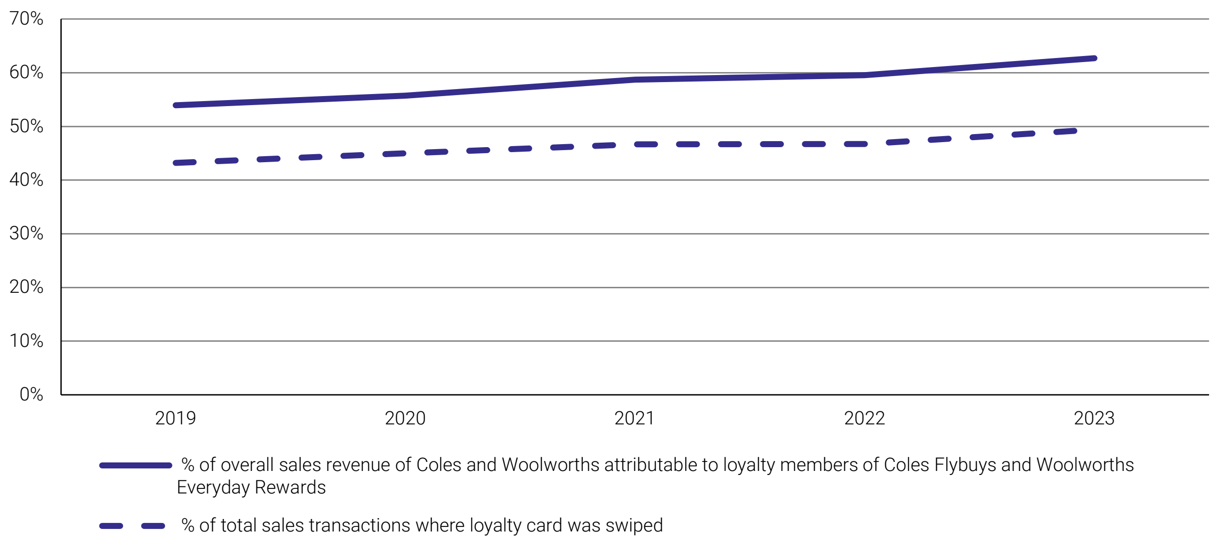
Average customer spend at Coles and Woolworths vs Average loyalty member spend for Coles Flybuys and Woolworths Everyday Rewards members – 2023



Source: ACCC analysis; Information provided to the ACCC.

Figure 4.17: Percentage of total sales revenue and number of transactions attributable to Coles' and Woolworths' loyalty program members by calendar year[1035]

Members account for a higher proportion of revenue than transactions



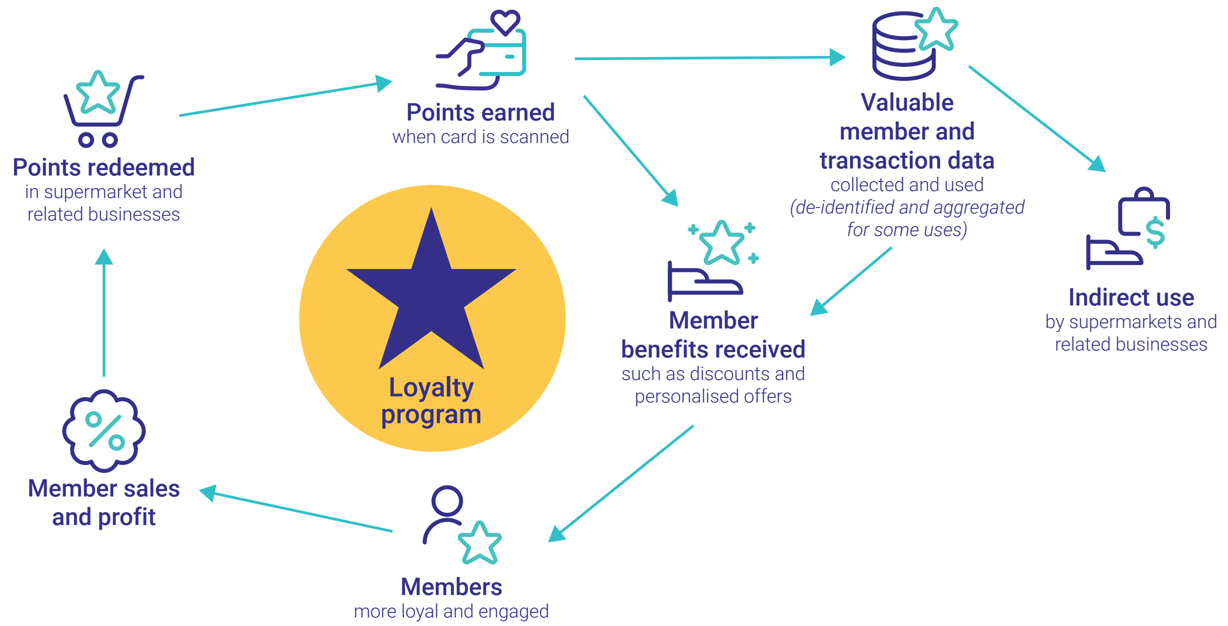
Source: ACCC analysis; Information provided to the ACCC.

1034 Information provided to the ACCC.
1035 Information provided to the ACCC.

Loyalty program members provide increasing value over time

As shown in figure 4.18, loyalty program members may provide increasing value to retailers over time.

Figure 4.18: Loyalty program members provide increasing value over time



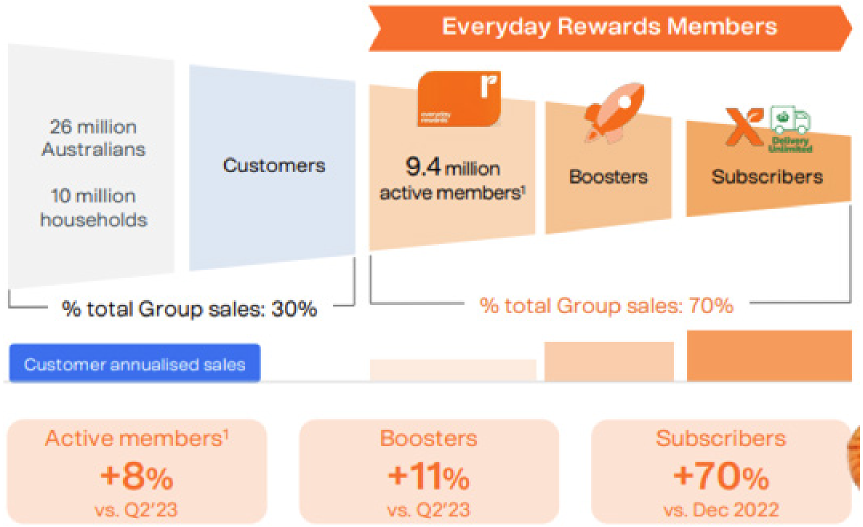
Woolworths documents suggest that consumers may become increasingly valuable (in terms of both monetary value and the depths of data and insights they offer) as they move from customer or non-member, through to member, then active and engaged member, becoming 'stickier' and more valuable at each level of engagement.[1036] For example, data provided by Woolworths shows that highly engaged members of the Everyday Rewards program (members who regularly boost and redeem a certain number of offers) spend on average a little more than 2.5 times more per year at Woolworths Group businesses compared with active members generally.[1037]

Premium loyalty programs may further increase stickiness and therefore may become increasingly valuable to Coles and Woolworths (discussed further in section 4.6.9).

1036 Information provided to the ACCC.

1037 Information provided to the ACCC.

Figure 4.19: Consumers become more valuable as they become more engaged with loyalty programs



Source: Woolworths Group, F24 Half-Year Results, 21 February 2024, p 10, accessed 18 February 2025.

4.6.3 Loyalty programs influence consumer behaviour and decision making

Despite roughly half of consumers participating in multiple loyalty programs, Coles and Woolworths consider their members can be more financially valuable and loyal to them than non-members, generating real value for the supermarket.[1038] This includes because members tend to spend more on average in each transaction than non-members.[1039] Woolworths documents also suggest its loyalty program members may:

- shop more frequently at Woolworths than non-members[1040]
- outperform non-members' sales growth[1041]
- be 'stickier' across Woolworths' adjacent businesses.[1042]

While it is difficult to discern whether these factors are the cause or a result of members' participation, sophisticated loyalty programs can have a significant impact on consumer behaviour, often without consumers realising it.

As outlined in our Interim Report, the consumer survey results suggest that most respondents do not perceive loyalty programs as having a large impact on their choice of grocery store or product selection. However, there remains a sizeable cohort of consumers who are significantly influenced by loyalty programs.[1043] Internal documents we obtained from Coles and Woolworths suggest loyalty programs can influence consumer shopping behaviours and decisions. This may include members changing their spending behaviour (such as increasing the amount they spend, purchasing frequency, or both) simply by being a member.[1044]

1038 Information provided to the ACCC.
1039 Information provided to the ACCC; ACCC, public hearing transcript, 15 November 2024, p 450.
1040 Information provided to the ACCC.
1041 Information provided to the ACCC.
1042 Information provided to the ACCC.
1043 ACCC, Supermarkets Inquiry Interim Report, August 2024, p 115.
1044 Information provided to the ACCC; ACCC, public hearing transcript, 15 November 2024, p 450.

The BIT Report details how supermarket loyalty program can condition consumers to engage in particular behaviours by associating those behaviours with rewards. For example, members who are not keeping track of their loyalty points may experience 'surprise and delight' when they reach the 2,000 point threshold and are therefore eligible to redeem a $10 discount on their groceries.[1045] The BIT Report noted that by presenting consumers with unexpected discounts when they scan their loyalty cards, supermarkets can effectively condition consumers to associate surprise and delight experiences with the desired behaviour of loyalty card usage.[1046]

The BIT Report also noted that supermarket loyalty programs utilise 'gamification' techniques to influence consumer behaviour.[1047] Gamification is discussed further in box 4.6.

Box 4.6: Supermarket loyalty programs are increasingly using 'gamification'

As outlined in the BIT Report, gamification techniques refer to the application of game-like elements and principles such as point systems, collectibles, and challenges in non-game contexts. Gamification is employed by retailers, including supermarkets, to turn routine experiences like shopping into more interactive and rewarding experiences, thus motivating consumers and maintaining engagement in desired behaviours.[1048]

The gamification techniques featured in loyalty programs may leverage what is known as the 'goal gradient effect', which predicts that the amount of effort people put into goal-orientated behaviours will increase as they get closer to achieving their goal.[1049]

The core points-based systems of the Everyday Rewards and Flybuys programs leverage goal gradient effect dynamics by providing consumers with a discount once they reach a points threshold. As outlined in the BIT Report, when members get closer to reaching loyalty program milestones, they may be more likely to speed up their consumption behaviours to attain these milestones. This may include increasing the frequency of their supermarket purchases to earn additional points or becoming less likely to shop at competing retailers. The report noted that this effect may be more effective for consumers who are more engaged in the program and may be actively tracking the accumulation of points.[1050] However, whether these rewards are anticipated by members or not, members may experience positive reinforcement each time they see they have earned rewards, points or received discounts due to their loyalty program use. The BIT Report noted that frequent and incremental rewards serve as cues to the customer of the advantages of their participation in the loyalty program (and, by extension, shopping at the specific supermarket). These cues reinforce the habitual inclination to return to the same retailer over time.[1051] This gamification element is further enhanced through various offers of bonus points (as outlined in section 4.6.4).

1045 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, pp 19–20. See Appendix E.

1046 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, pp 19–20. See Appendix E.

1047 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, pp 21–22. See Appendix E.

1048 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, p 21. See Appendix E.

1049 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, p 22. See Appendix E.

1050 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, p 22. See Appendix E.

1051 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, p 32. See Appendix E.

Overseas, there are examples of supermarkets using increasingly sophisticated forms of gamification via their loyalty programs, including by incorporating personalisation. In the UK and Europe, Carrefour's 'Challenges' and Tesco's 'Clubcard Challenges' initiatives both used consumer data generated through their loyalty programs and apps to create customised thresholds for individual members in the form of 'challenges'. These challenges were based on data such as consumer purchase history and preferences, which were analysed and processed by predictive AI to prompt consumers to engage in specific actions, including additional purchases.[1052]

For example, the Tesco Clubcard Challenges, offered during April and May 2024, presented members with a set of 20 individualised challenges that encouraged them to spend more on products and brands suited to them, to earn up to £50 worth of Clubcard points. Challenges included, for example, 'spend £10 on plant-based meals'. Tesco offered to double that to £100 if the points were redeemed through a selection of the loyalty program's partner brands.[1053]

Gamification also features in the ASDA Rewards loyalty program operated by UK supermarket chain ASDA. The program enables shoppers to engage in in-app 'missions' and buy designated 'star products' in order to accumulate savings in their 'cash pot'.

In Australia, Coles and Woolworths have both further utilised gamification through in-app games. With the Woolworths Everyday Rewards' 'find the Everyday elf' game, shoppers were challenged to find the 'elf' in the Woolworths Everyday Rewards app, then tap 'boost' to collect more points.[1054] For the Coles 'Christmas Instant Win' promotion, members could scan their Flybuys card in store after spending $20 for a chance to win instant money off their in-store shop.[1055]

As discussed further in section 4.6.7, both Coles and Woolworths are also introducing smart trolleys which utilise gamification features. The developer of Woolworth's smart trolleys was reported as stating that its trolley technology can offer 'gamified quests' where consumers can participate in a treasure hunt shop or earn rewards for repeat visits.[1056] Meanwhile, Coles has promoted its trolleys' use of 'in-built gamification' which 'allows customers who scan their Coles App or Flybuys card [to] 'Spin the Wheel' at checkout for a chance to win additional discounts on their total shop when they spend $50 or more in a single transaction'.[1057]

The impact of specific loyalty program practices such as the points-based focus, member-only pricing, and personalisation are each discussed in further detail below.

4.6.4 Loyalty programs centred around points may make it harder for consumers to assess value

Coles' and Woolworths' loyalty programs allow members to earn points on their shopping, which can be redeemed as discounts off future grocery purchases.[1058] Depending on the program, points can

1052 Eagle Eye, Bringing personalized loyalty strategies to life: from promise to reality, 4 December 2024, accessed 18 February 2025.

1053 Tesco, Tesco brings its AI game to new 'Clubcard Challenges' [media release], 29 April 2024, accessed 18 February 2025.

1054 Everyday Rewards, Can you find the Everyday elf?, accessed 18 February 2025.

1055 Coles, Win instant money off your in store shop, accessed 18 February 2025.

1056 J Evans, 'The tech company behind Woolworths 'smart' shopping trolleys says they could help you buy more impulsively', *ABC News*, 13 November 2024, accessed 18 February 2025.

1057 Coles Group, 'Coles to trial digital smart trolleys, helping shoppers save time, manage their budget and checkout faster' [media release], 13 November 2024, accessed 18 February 2025.

1058 ACCC, public hearing transcript, 18 November 2024, p 556; ACCC, public hearing transcript, 22 November 2024, p 759.

also be converted into associated airline loyalty program points, used to purchase merchandise or other rewards, or may be donated to charity.[1059] These programs also promote non-financial benefits such as experiential or convenience-related benefits.[1060]

Earning and redeeming points

All members earn a base rate of one point for each dollar they spend at the relevant supermarket's stores or through its program partners, provided they scan their physical or digital card during the transaction.[1061] Members may then convert 2,000 points into a $10 discount voucher to use on their groceries. At this base rate, members must spend $2,000 to earn a $10 discount.[1062]

However, members may also earn 'bonus points' through offers sent to them via email or through the supermarket or loyalty program app.[1063] Bonus point offers can be used by members to increase the rate at which they accrue points.[1064] Members are typically required to first 'activate' or 'boost' bonus point offers through the supermarket or loyalty program's app or website before they can use them.[1065] Further detail on the types of bonus point offers commonly offered by Coles and Woolworths through their loyalty programs is provided in box 4.7.

1059 ACCC, public hearing transcript, 18 November 2024, p 556; ACCC, public hearing transcript, 22 November 2024, pp 759–760.

1060 ACCC, public hearing transcript, 18 November 2024, p 556; ACCC, public hearing transcript, 22 November 2024, p 759.

1061 ACCC, public hearing transcript, 18 November 2024, p 556.

1062 ACCC, public hearing transcript, 22 November 2024, p 759.

1063 ACCC, public hearing transcript, 18 November 2024, p 556; ACCC, public hearing transcript, 22 November 2024, p 759.

1064 ACCC, public hearing transcript, 18 November 2024, pp 558, 570; ACCC, public hearing transcript, 22 November 2024, p 759.

1065 ACCC, public hearing transcript, 18 November 2024, p 558; ACCC, public hearing transcript, 22 November 2024, p 762.

Box 4.7: Bonus offers offered by Coles and Woolworths through their loyalty programs

Bonus point offer can apply to:

- a particular product
- a product category
- an entire transaction or 'basket'
- a spending threshold met over a number of weeks (for example, 'collect 10,000 bonus points when you complete a $50 shop each week for 4 weeks').[1066]

Bonus offers also come in a number of forms, including:

- **Bonus point offers**: offering lump sums for purchasing a particular item[1067] or meeting a specified spending threshold (for example, an offer to earn 100 points on a specific SKU of frozen peas, or to earn 1,000 points if you spend $50 in one transaction).[1068]
- **Points multiplier offers**: offering more points per $1 spent on certain products, product categories or the total basket if the spending threshold requirement is met. For example, collect 20x points on fresh produce.[1069]
- **General discount offers**: offering a dollar value or percentage discount on certain product categories or even an entire transaction if the spending threshold requirement is met (for example, spend $200 and save 5% off your total basket).[1070]

Bonus offers are generally personalised and therefore different members or member households will have access to different offers.[1071]

Offers are generally personalised based on members' shopping patterns and behaviours.[1072] For example, Woolworths indicated a member who is identified as someone who is purchasing laundry-related products but not haircare products from Woolworths may be sent offers on haircare products or other categories 'linked' to laundry-related products.[1073] Personalisation is discussed further in section 4.6.8.

Other bonus point offers may be untargeted and are therefore available to all members who buy the relevant product and swipe their membership card during the transaction.[1074]

Impact on consumer behaviour

As outlined previously, the BIT Report explains that points-based rewards systems introduce an element of 'gamification' into the grocery retail experience. It points to research demonstrating that the introduction of a points-based system can significantly increase consumer engagement even

1066 Flybuys, How to complete the four-week promo, accessed 18 February 2025.

1067 Flybuys, How to get more points with offers, accessed 18 February 2025.

1068 ACCC, public hearing transcript, 18 November 2024, p 569; Flybuys, How to get more points with offers, accessed 18 February 2025.

1069 Flybuys, How to get more points with offers, accessed 18 February 2025.

1070 Information provided to the ACCC.

1071 ACCC, public hearing transcript, 19 November 2024, p 569; ACCC, public hearing transcript, 22 November 2024, pp 767, 769.

1072 ACCC, public hearing transcript, 19 November 2024, pp 572–573; ACCC, public hearing transcript, 22 November 2024, pp 768–769.

1073 ACCC, public hearing transcript, 19 November 2024, p 569.

1074 ACCC, public hearing transcript, 19 November 2024, p 569.

when the points have negligible financial value (although we note that this research was not in the context of grocery retailing).[1075]

We have obtained consumer research commissioned by Coles which suggests that bonus points offers, which can be achieved by consumers as they shop, 'excite' consumers more so than member-only pricing offers (which are direct discounts).[1076] The findings from one piece of consumer research commissioned by Woolworths suggest that points offers are likely to increase program engagement for all members, regardless of their baseline level of engagement.[1077] A key insight from further research conducted by Woolworths was that some consumers enjoyed acquiring points even if they viewed them as having little value.[1078]

An article by consumer advocacy organisation Consumer NZ, which assessed bonus points offers offered by Woolworths in New Zealand, noted that needing to 'boost' the product before you shop creates an incentive for the consumer to choose that product, rather than assessing it alongside other products to see whether it is the cheapest.[1079] Consumer NZ also quotes a Professor of Marketing at Massey University, Bodo Lang, as suggesting that an objective of such programs could be to make consumers less focused on price and more focused on reward points:

> Consumers may be enticed to spend money on products they do not need, buy too many products, or buy products that aren't as good, or worse value for money, compared to what they normally would have bought.[1080]

Bonus points offers, particularly those that are personalised and sent to members individually through emails and apps, may also avoid some negative repercussions of more visible forms of loyalty program offers, such as member-only prices. The BIT Report outlines that member-only pricing offers, which are typically displayed in-store and online alongside standard prices – and thus visible to all consumers – can alienate non-members who may feel excluded or disadvantaged. This sentiment towards member-only pricing offers was reflected in responses to our consumer survey, as outlined below in the discussion on member-only pricing (section 4.6.5). The BIT report states:

> Because supermarkets serve an extremely wide customer base, we anticipate that retailers may be motivated to both maximise in-group loyalty while avoiding alienating non-member customers, which might drive consumers towards shopping at a competitor.[1081]

This may be a further reason for supermarket loyalty programs to preference below-the-line bonus points offers over other types of offers.

Points-based offers may reduce price transparency and may not offer the best value for consumers

At the public hearings, Woolworths gave evidence that bonus point offers are typically not offered on products which are subject to another form of promotion (such as a price discount) at the same time.[1082] Woolworths also acknowledged that the value of the bonus points may be lower than the value of regular specials and discounts being offered on similar products (however, Woolworths stated that it typically presents those other promotions in the app alongside the personalised points offers so that the member can compare the options).[1083] However, members may still be better off

1075 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, pp 21–23. See Appendix E.

1076 Information provided to the ACCC.

1077 Information provided to the ACCC.

1078 Information provided to the ACCC.

1079 R Styles, 'Is it worth 'boosting' products at Woolworths?', *Consumer NZ*, 28 March 2024, accessed 18 February 2025.

1080 R Styles, 'Is it worth 'boosting' products at Woolworths?', *Consumer NZ*, 28 March 2024, accessed 18 February 2025.

1081 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, pp 33–34. See Appendix E.

1082 ACCC, public hearing transcript, 19 November 2024, p 571.

1083 ACCC, public hearing transcript, 19 November 2024, p 571.

waiting for the product to be offered on special at that supermarket or shopping around at other stores, rather than purchasing the full priced product to receive bonus points.

At the base rate of redemption, one point is worth 0.5 cents (based on the conversion rate of 2,000 points being redeemable for a $10 discount). An offer of 100 bonus points on a product is therefore worth 50 cents once the member has collected enough points to redeem a discount. However, consumers may be able to purchase that product 50 cents cheaper – or potentially more than 50 cents cheaper – by shopping around, thereby receiving more immediate value. In response to our Issues Paper, UpUp, the provider of a grocery price comparison app, submitted that consumers can save money in a much shorter time by shopping around using a price comparison tool.[1084]

Bonus point offers only provide value once a consumer redeems their accumulated points. This is likely to be less favourable than an immediate discount of the same amount. The BIT Report also noted that unlike direct monetary discounts, which are versatile and where savings can be applied universally, points typically have no value outside the issuing program. This may lead to consumer inertia where consumers perceive that they are locked-in to purchasing groceries from the supermarket where the points were earned or a partner retailer within the same loyalty program.[1085]

Consumer decision-making depends not only on the price of a product, but also on relative prices and the ability to make price comparisons.[1086] This requires consumers to be able to accurately compare the *effective* prices of similar products. For a product subject to a bonus points offer, that means being able to determine the price of the product minus the value of the points earned. By introducing the bonus points mechanism into the value equation, price comparisons become more difficult, particularly where there is a disconnect between the quantum of points and their monetary value (for example, 100 points equating to 50 cents). A lack of price transparency may result in inappropriate decisions, possibly leading to under- or over-consumption.[1087]

This alternative form of 'value' being offered on certain products can hinder consumers' ability to simply compare the unit prices of the same or similar products on offer to choose the best value product. This impacts both the ease of comparing products within a store, but also comparing prices between retailers. Likewise, price comparison tools (such as those discussed above in section 3.6.2) are unlikely to be able to take into account bonus point offers (particularly personalised offers). The utility of these tools may therefore be diminished for consumers wanting to incorporate the value of points available through one or more loyalty programs into their decision-making.

We therefore consider that bonus points offers may make it harder for some consumers to accurately assess value and make optimal purchasing decisions. This effect may be exacerbated if these practices become more widespread and sophisticated over time.[1088]

4.6.5 Member-only pricing is currently very limited but it could adversely impact consumers if it expanded in scale or scope

In our Interim Report, we identified member-only pricing as a potentially significant development in supermarket loyalty programs.

1084 UpUp, Submission in response to the Issues Paper, published May 2024, p 4.

1085 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, pp 32–33. See Appendix E.

1086 R L Smith and A Duke, 'Price discrimination: Time to rethink competition laws indifference?', *Competition and Consumer Law Journal*, Vol 31 (2024), p 78.

1087 R L Smith and A Duke, 'Price discrimination: Time to rethink competition law's indifference?', *Competition and Consumer Law Journal*, Vol 31 (2024), p 78.

1088 R L Smith and A Duke, 'Price discrimination: Time to rethink competition law's indifference?', *Competition and Consumer Law Journal*, Vol 31 (2024), pp 78–79.

Member-only pricing involves retailers offering lower prices on selected products to its loyalty program members, provided they scan their loyalty card during the transaction. Generally, the standard price will be displayed (in-store and online) alongside the lower member-only price.

Member-only pricing is currently very limited in the Australian supermarket industry and is therefore not currently a key concern in terms of its potential impact on consumer decision-making or consumers being penalised for not participating in loyalty programs. However, we would be concerned if this practice expanded, especially if member-only prices and promotions reduced the volume and value of promotions offered freely to all consumers or if member-only prices were offered on staples and essential goods (in which case, some consumers may feel compelled to join loyalty programs in order to access the cheapest prices for essential goods).

Member-only pricing is currently very limited in the Australian supermarket industry

Woolworths introduced member-only pricing in August 2023, but indicated during the public hearings in November 2024 that it is still in a 'testing' phase. It further indicated that it started its trial with multi-buy promotions and then moved to include single-unit products and that the products have typically been more in pantry and less in fruit and vegetables or 'essential' lines.[1089] Woolworths also stated the member-only pricing trial has involved a 'relatively low number of [product] lines' which represents a 'fraction' of its overall promotions.[1090] Information provided to us stated that, on average, member-only pricing offers apply to 1.1% of Woolworths' products.[1091]

Woolworths also told us the 'broad rationale' for introducing member pricing 'was to give a little bit more back' to its members, and that the 'intention was not to replace any of the broad promotions and other benefits available to all of our customers, but in addition to the points and the other benefits of the program, to add something else that would give value back to members.'[1092] Despite this, other evidence suggests some existing multi-buy offers which were previously available to all consumers may have been converted to member-only pricing offers.[1093] In that sense, some member-only pricing offers may not bring any additional value to members, and instead merely remove value from non-members.

During the public hearings, Coles stated it did not currently offer member-only pricing.[1094] Coles previously trialled member-only pricing in November 2022 and early 2023.[1095] Coles stated that its research revealed customers were more interested in personalised offers such as bonus points offers than member-only pricing.[1096] We understand that Coles provides some member-only deals to members of its Coles Plus and Coles Plus Saver premium loyalty programs.[1097] For example, we understand Coles has provided certain discount offers (such as '$X off when you spend $Y on particular products', or 'X% off certain products') exclusively to members of Coles Plus.[1098] Under our definition of member-only pricing, these could be viewed as member only-pricing offers.[1099]

1089 ACCC, public hearing transcript, 19 November 2024, p 564.

1090 ACCC, public hearing transcript, 19 November 2024, p 561.

1091 Information provided to the ACCC.

1092 ACCC, public hearing transcript, 19 November 2024, p 561.

1093 Information provided to the ACCC.

1094 ACCC, public hearing transcript, 22 November 2024, p 763.

1095 ACCC, public hearing transcript, 22 November 2024, p 763; N Rider, 'Coles offers Flybuys members exclusive discounts', *RetailWorld*, 31 October 2022, accessed 18 February 2025; N Rider, 'Coles unveils new range of Flybuys discounts', *RetailWorld*, 14 February 2023, accessed 18 February 2025.

1096 ACCC, public hearing transcript, 22 November 2024, p 763.

1097 Coles, Members get more with every shop, accessed 18 February 2025.

1098 Coles, Coles Plus Week, accessed 18 February 2025; see also Coles, Members get more with every shop, accessed 18 February 2025.

1099 Being 'discount price promotions which are only available to the retailer's loyalty program members'.

Member-only pricing offers are also available in some IGA supermarkets through the IGA Rewards program on a store-specific basis.[1100]

While limited in Australia, member-only pricing is a much more established practice in the supermarket industries of some overseas jurisdictions (see box 4.8).

Box 4.8: The prevalence and impact of member-only pricing in the UK and New Zealand

While member-only pricing is relatively limited in the Australian supermarket industry, it is a more established practice in New Zealand and especially the UK.

In the UK, which has a less concentrated supermarket industry than Australia,[1101] loyalty programs are an even more prominent fixture. A consumer survey commissioned by the CMA as part of its investigation into member-only pricing in the UK suggests 97% of UK shoppers are a member of at least one supermarket loyalty program.[1102] By comparison, in Australia, 81% of respondents to the ACCC's consumer survey reported being a member of at least one supermarket loyalty program.[1103]

As outlined in the CMA's recent report into member-only pricing in the UK, the practice was first introduced in UK supermarkets by Tesco in 2019 as a short-term promotion through its 'Clubcard' loyalty program.[1104] Tesco then expanded the practice more widely in September 2020. The practice has since been taken up by other large supermarket retailers, including Sainsbury's, Waitrose, Co-op and Morrisons. Tesco and Sainsbury have the highest number of products subject to member-only pricing offers, reportedly around 8,000 (in December 2023) and 7,000 (in April 2024), respectively. Previously, loyalty points were the main incentive of membership of both programs – much like the programs in Australia – but this has recently been superseded by access to member-only pricing offers.[1105]

Other UK supermarkets appear to be increasing their use of member-only pricing; with Morrisons signalling in August 2024 its intention to substantially increase its volume of member-only pricing offers, Co-op extending its member-pricing offers to 200 'Everyday Essential' lines in August 2023, and Lidl introducing member pricing in May 2024 for a very limited number of products.[1106]

1100 ACCC, public hearing transcript, 15 November 2024, p 449; IGA Rewards, Join today to get rewards you love, accessed 18 February 2025.

1101 Coles, Submission to the Inquiry Issues Paper, published May 2024, p 9.

1102 CMA, Loyalty pricing in the groceries sector: findings report, November 2024, p 13, accessed 18 February 2025. Note: the CMA refers to the practice of member-only pricing as 'loyalty pricing'.

1103 ACCC, Supermarkets Inquiry Interim Report, August 2024, p 114.

1104 CMA, Loyalty pricing in the groceries sector: findings report, November 2024, p 15.

1105 CMA, Loyalty pricing in the groceries sector: findings report, November 2024, p 7, accessed 18 February 2025.

1106 CMA, Loyalty pricing in the groceries sector: findings report, November 2024, pp 15–16, accessed 18 February 2025.

Some UK supermarkets have moved towards member-only pricing as a core (or the sole) component of their promotional offering, replacing other, more generally available promotions. For example, all of Tesco's promotions on single items are now only available to its loyalty program members.[1107] Tesco reported in October 2024 that 82% of transactions were made by Clubcard members, up from 67% in September 2020.[1108] Other supermarkets continue to offer more traditional forms of promotions (such as was/now pricing promotions and multi-buy promotions that are accessible to all customers) alongside member-only pricing to varying degrees.[1109] For example, traditional promotions at Waitrose and Morrisons reportedly still significantly outnumber member-only pricing offers.[1110] The CMA found that member-only prices offered an average discount of 17–25% between February 2023 and January 2024.[1111]

Looking only at supermarkets that offer member-only pricing, the CMA found that between November 2023 and January 2024, around 22% of total grocery revenues came from sales of products subject to any type of loyalty promotion, up from 18% between April 2023 and June 2023 (which was the first 3-month period when all 5 of these supermarkets offered member-only pricing).[1112]

The CMA also looked at consumer attitudes to member-only pricing and its impact on participation in loyalty programs through its consumer survey. It found that gaining access to member-only pricing was the primary (or only) motivation for 27% of respondents who had signed up to a loyalty program in the previous 12 months.[1113] In addition, 72% of respondents indicated that they 'agree' or 'strongly agree' with the statement 'lower loyalty prices make me feel like I have to join supermarket loyalty schemes to save money' and 43% of respondents considered it 'unfair' that loyalty program members pay lower prices for some products than non-members. [1114] However, the supermarket Asda, which does not offer member-only pricing, had one of the highest proportions of new joiners to its loyalty program, suggesting that there are also other factors driving loyalty program membership growth.[1115]

In terms of the perceived impact on shopping behaviours, respondents to the CMA's consumer survey most often selected member-only pricing as the 'main, or only' type of promotion that would increase their likelihood of shopping at a particular supermarket (ahead of points-based rewards and discounts off their shopping, such as a percentage discount).[1116] However, the results also suggested that member-only pricing does not significantly impact where respondents shop overall, with 76% of respondents reporting they have not changed where they shop in the previous 12 months as a result of some supermarkets having loyalty programs.[1117]

1107 CMA, Loyalty pricing in the groceries sector: findings report, November 2024, p 19, accessed 18 February 2025.

1108 Tesco, Interim Results 2024/25, 3 October 2024, accessed 18 February 2025; Tesco, Preliminary results 2020/21, 14 April 2021, p 34, accessed 18 February 2025.

1109 CMA, Loyalty pricing in the groceries sector: findings report, November 2024, p 19, accessed 18 February 2025.

1110 CMA, Loyalty pricing in the groceries sector: findings report, November 2024, p 20, accessed 18 February 2025.

1111 CMA, Loyalty pricing in the groceries sector: findings report, November 2024, p 89, accessed 18 February 2025.

1112 CMA, Loyalty pricing in the groceries sector: findings report, November 2024, p 18, accessed 18 February 2025. The report noted that this increase is likely due to both supermarkets moving away from other types of promotions in favour of loyalty promotions, as well as increases in sales of products subject to a loyalty promotion.

1113 CMA, Loyalty pricing in the groceries sector: findings report, November 2024, p 31, accessed 18 February 2025.

1114 CMA, Loyalty pricing in the groceries sector: findings report, November 2024, pp 25, 31, accessed 18 February 2025.

1115 However, this also likely also reflects the fact that Asda's loyalty program is one of the newest UK supermarket programs. CMA, Loyalty pricing in the groceries sector: findings report, November 2024, pp 32–33, accessed 18 February 2025.

1116 CMA, Loyalty pricing in the groceries sector: findings report, November 2024, pp 36–37, accessed 18 February 2025. The CMA also found that respondents fragment their grocery shopping, on average shopping at 3 supermarkets regularly.

1117 CMA, Loyalty pricing in the groceries sector: findings report, November 2024, p 38, accessed 18 February 2025.

Overall, the CMA concluded that, based on its survey findings, there was no evidence to suggest that member-only pricing has changed shopper behaviour in a way that weakens competition in the UK groceries sector.[1118] However, the CMA also noted that, looking ahead, member-only pricing could impact competition if the data collected by supermarkets engaging in the practice grows substantially compared to supermarkets without such schemes. The CMA stated this 'could enhance supermarkets' pricing power and product strategies, potentially leading to increased market concentration and reduced shopper choice, disadvantaging competitors and suppliers who lack access to comparable insights.'[1119]

The CMA's report also analysed whether member-only prices offered genuine savings on the 'usual' price, noting concerns from consumers that supermarkets may be inflating the usual, or non-member, price when a member-only price is being offered. The CMA found that overwhelmingly, the member-only prices it analysed constituted genuine discounts.[1120] Further, it found that member-only prices were generally the same price or cheaper than the cheapest price for that product at other supermarkets.[1121] However, the CMA noted that 'does not mean that loyalty prices are always the cheapest price available and there is value in shopping around'.[1122]

There has also been some more limited assessment of member-only pricing in New Zealand. In New Zealand, as in Australia, member-only pricing is offered through Woolworth's Everyday Rewards program. In addition, another major retailer, Foodstuffs, offers member-only pricing through stores under the New World banner as part of its Clubcard loyalty program. In a pricing analysis undertaken in 2019, the NZCC found that in New World stores on New Zealand's North Island, member-only pricing offers appeared to be less prevalent that other types of promotions, but that the opposite was true in stores on the South Island.

Concerns have been raised that New Zealand member-only pricing offers may not offer genuine discounts, or at least may not constitute a 'good deal' when compared with prices in competing retailers. For example, in February 2024 Consumer NZ looked at 25 items on member-only pricing offers. It compared those offers to the average market price of those products across major retailers over the previous 40 days to determine whether the member-only pricing offer was a 'good deal.' The analysis found that member-only pricing offers were a 'good deal' 16% of the time at New World and 56% of the time at Woolworths.[1123]

1118 CMA, Loyalty pricing in the groceries sector: findings report, November 2024, p 41, accessed 18 February 2025.

1119 CMA, Loyalty pricing in the groceries sector: findings report, November 2024, pp 64–65, accessed 18 February 2025.

1120 CMA, Loyalty pricing in the groceries sector: findings report, November 2024, p 99, accessed 18 February 2025.

1121 CMA, Loyalty pricing in the groceries sector: findings report, November 2024, p 102, accessed 18 February 2025.

1122 CMA, Loyalty pricing in the groceries sector: findings report, November 2024, p 112, accessed 18 February 2025.

1123 J ter Ellen, 'Are supermarkets' special prices for loyalty members actually special?', *Stuff*, 20 February 2024, accessed , accessed 18 February 2025; NZCC, First Annual Grocery Report, 4 September 2024, p 73, accessed 18 February 2025.

Member-only prices are not currently a key concern in terms of consumers feeling compelled to join loyalty programs

As outlined in our interim report, we received a number of submissions raising concerns that:

- member-only prices may be forcing consumers to join loyalty programs to access lower prices and discounts[1124]
- member-only prices are unfair and penalise consumers who do not wish to sign up for loyalty programs.[1125]

CHOICE submitted that 79% of respondents to its April 2024 survey on consumer views on loyalty programs said it is unfair for supermarkets to charge people more for certain grocery items if they do not sign up to their loyalty programs. The specific concerns noted by respondents include suspicion of inflated base prices, a perception of points devaluation over time and unfair treatment of non-members.[1126]

Further, many respondents to the consumer survey expressed feeling 'pressured', 'compelled', or 'forced' to join loyalty programs to reduce costs, particularly following the introduction of member-only prices.

Respondents expressed unease with needing to sign up to loyalty programs to obtain cheaper prices for groceries. For example, one respondent stated that they were 'uncomfortable at the fact that I need to sacrifice personal data in order to get a rewards card in order to access discounted grocery items in a cost of living crisis'. Many stated that member-only prices or loyalty programs are unfair or should be banned.

The BIT Report quoted loyalty program industry expert Philip Shelper as supporting the view that some consumers may feel coerced by member-only pricing practices. Mr Shelper states: "If I am not part of this group, I do not have access to those prices, and I am being coerced to join the program to access those prices".[1127]

Internal documents we obtained indicate that member-only pricing is an effective tool for Coles and Woolworths to grow their numbers of active members and increase member engagement – both in terms of causing consumers to sign up as members, and increasing the prevalence of members swiping their cards during transactions.[1128] However, during the public hearing, when asked whether the introduction of member-only prices had led to an upswing in members, Woolworths stated that it had led to 'some reactivation of a portion of our member base' which was 'relatively small' in the context of its overall membership.[1129]

Regardless, it is not clear to what extent any increase in loyalty program membership numbers reflects consumers feeling compelled to join to access cheaper prices available only to loyalty members, or an exercise in free choice based on an assessment of the benefits offered by the program. It is also important to note that some consumers are not able to join loyalty programs at all and so are excluded from member-only pricing altogether. As outlined in our Interim Report, this includes consumers who are under the age of 18 without permission from a parent or guardian and people experiencing homelessness.[1130]

1124 Foundation for Alcohol Research and Education, Submission to the Inquiry Issues Paper, published May 2024, pp 4, 6.

1125 CHOICE, Submission to the Inquiry Issues Paper, published May 2024, p 34. See also Combined Pensioners and Superannuants Association of NSW, Submission to the Inquiry Issues Paper, published May 2024, pp 6–7.

1126 CHOICE, Submission to the Inquiry Issues Paper, published May 2024, p 34.

1127 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, p 34. See Appendix E.

1128 Information provided to the ACCC.

1129 ACCC, public hearing transcript, 18 November 2024, p 561.

1130 ACCC, Supermarkets Inquiry Interim Report, August 2024, p 121.

As previously noted, member-only prices currently only apply to a very limited number of Woolworths' product lines and are primarily offered on discretionary products. As such, we do not consider that member-only prices are currently a key concern in terms of consumers feeling compelled to join loyalty programs. However, this view may change if member-pricing were to be expanded in scope or applied to essential grocery products.

4.6.6 The value received by loyalty program members varies significantly

To better understand the value members are obtaining through Coles' and Woolworths' loyalty program, we requested data to assess the average value of points earned and redeemed by members each year. We requested data for members who had used their membership at least once during the relevant year by earning or redeeming membership points (who we refer to as 'active members').

The data showed that, for 2023:

- At Coles supermarkets: Flybuys members earned on average around \$46 of value and redeemed around \$45.[1131]
- At Woolworths supermarkets: Everyday Rewards members earned on average around \$47 and redeemed around \$36.[1132]

For some perspective, estimates of the average consumer spend on groceries vary, with one source from October 2024 estimating approximately \$190 a week (equating to around \$9,880 per year)[1133] and another from 2023 estimating \$160 per week (equating to around \$8,320 per year).[1134]

These figures are only intended to provide an indication of the value consumers earn through each supermarket, on average, from their respective loyalty programs, compared with the average consumer spend on groceries. They cannot be used to make comparisons between the overall value offered by Flybuys and Everyday Rewards due to limitations and variations in the data we assessed for each party:

- Coles and Woolworths have used different characterisations of value. For example, while Coles' data includes the value of other cash rewards and discounts (for example, a percentage or dollar discount off a Coles shop or free products), Woolworths' data does not include the value of member-only pricing discounts redeemed by members.[1135]
- The data is limited to the value of points earned and redeemed through Coles' and Woolworths' supermarket businesses. However, members can also earn and redeem points and may receive other benefits through other partner businesses within the loyalty program networks, which are not captured in the data we assessed.[1136]

The value individual members receive may vary significantly, and the value obtained by particularly engaged members may be much higher. For example, Woolworths provided further data indicating that in 2023 a 'regular booster' (members who regularly boost and redeem a certain number of offers) redeemed, on average, points valuing around \$190 through Woolworths Group businesses (and around \$260 when other external Everyday Reward partner businesses are included, which includes points converted to Qantas Points). Woolworths estimates that around a quarter of active

1131 Information provided to the ACCC.

1132 Information provided to the ACCC.

1133 G Cooke and J Hersch, 'The average cost of groceries per month, *Finder*, 17 December 2024, accessed 18 February 2025.

1134 M Lawrence, What is the average grocery bill?, 2 September 2024, *Canstar Blue*, accessed 18 February 2025. Note: This perspective provided by these figures is limited in that they represent an estimate of consumers' total spend on groceries from all sources (not just one supermarket) and they are not limited to consumers who are loyalty program members.

1135 Information provided to the ACCC.

1136 Information provided to the ACCC.

members are ‘regular boosters’. As outlined in section 4.6.2, to earn these additional points, regular boosters also spend substantially more at Woolworths compared to active members on average.[1137]

In this regard, both Flybuys and Everyday Rewards provide online advice or ‘hacks’ for members on how to maximise points from their programs.[1138]

4.6.7 Non-monetary and convenience benefits may be restricted to loyalty program members

Loyalty program operators may also seek to increase the attractiveness of their program through the inclusion of non-monetary benefits.

In the Australian supermarket context, an example is the introduction of technologies that allow consumers to scan items as they shop and pay without needing to use a regular checkout. Woolworths first introduced its ‘Scan&Go’ technology via an app in 2018. The technology allows customers to scan items with their smartphones as they shop, pay in the app, then ‘tap off’ using a QR code at a dedicated Scan&Go reader.[1139] The technology is currently available in more than 70 Woolworths stores around Australia.[1140] Today, customers access the service via the Woolworths app (or, in a small number of stores, through a dedicated Scan&Go device) and they must be logged into an Everyday Rewards account.[1141]

In August 2024, Woolworths announced it had commenced a trial of its Scan&Go smart trolleys, which it described as the next evolution of the Scan&Go technology. Consumers need to use their Everyday Rewards accounts to unlock a smart tablet that is clipped onto a shopping trolley which allows them to scan products as they shop. Currently, Scan&Go trolleys are in use in a small number of stores in NSW.

Coles also offers a barcode scanning technology via its app, which allows consumers to scan item barcodes at home and add them to their ‘list’ or ‘basket’ within the app for the purposes of ordering online.[1142] While Coles’ technology is not restricted to Flybuys members, it does not allow consumers to scan and pay for items when they are shopping in-store. However, Coles announced it will trial ‘AI-powered Smart Trolleys’ from January 2025.[1143] Coles’ trolleys are not restricted to loyalty program members, but it has promoted the trolleys’ use of ‘in-built gamification’ which (as discussed in box 4.6) offers Flybuys members or users of the Coles App the chance to obtain additional benefits.

Overseas, smart trolleys are being used by supermarkets to track shoppers through stores and send them targeted promotions and advertising. In Europe, Finnish supermarket chain Kesko has introduced smart trolleys to its 98 stores. This has reportedly increased the average customer spend at Kesko by 6%. While Woolworths smart trolleys reportedly have the capability to use in-store location data to provide targeted product advertising, they do not currently do so.[1144]

1137 Information provided to the ACCC.

1138 Woolworths, How to maximise your Everyday Rewards points, accessed 18 February 2025; Flybuys, 9 hacks to collect the most Flybuys points and rewards, accessed 18 February 2025.

1139 Woolworths, A digital revolution in grocery shopping as Woolworths launches Scan&Go trolley, 15 August 2024, accessed 18 February 2025.

1140 Woolworths, Scan&Go: the faster way to shop and check out in store, accessed 18 February 2025.

1141 Woolworths, Woolworths Scan&Go service terms and conditions, November 2023, accessed 18 February 2025; Woolworths Group, A digital revolution in grocery shopping as Woolworths launches Scan&Go trolley, 15 August 2024, accessed18 February 2025; Woolworths, Scan, pack and track with Scan&Go trolleys, accessed 18 February 2025.

1142 Coles, Save money & time with the Coles app, accessed 18 February 2025.

1143 Coles, Coles to trial digital smart trolleys, helping shoppers save time, manage their budget and checkout faster [media release], 13 November 2024, accessed 18 February 2025.

1144 J Evans, The tech company behind Woolworths ‘smart’ shopping trolleys says they could help you buy more impulsively, *ABC News*, 13 November 2024, accessed 18 February 2025.

A benefit of such technologies is that they may help consumers to budget as they can see their expenditure update in real time as they add items to their trolley. By restricting such technologies to loyalty program members (or certain other features, such as discount opportunities), it increases the gap between the shopping experiences of members and non-members. On one view, this could be seen as increasing the value of loyalty programs for members, but, alternatively, it could also be viewed as penalising non-members by withholding technological advances that could improve the shopping experience for many consumers.

Another convenience feature currently available only to loyalty program members is digital receipts. Woolworths offers digital receipts (called eReceipts) to consumers if they have an Everyday Rewards account and opt out of paper receipts.[1145] Similarly, Coles offers digital receipts to Flybuys members. When a customer changes their receipt preferences in their Coles account, they must link their Flybuys account in order to generate a barcode that can be scanned at the checkout to receive digital receipts.[1146]

As outlined in our Interim Report, supermarkets also utilise redemption campaigns to increase consumer engagement. Notably, a number of these campaigns are restricted to loyalty program members, particularly those involving kitchenware rewards (as opposed to those offering collectible stickers or small figurines). Over half of Coles' redemption campaigns offered between 2019 and 2023 were restricted to its Flybuys members, such as the MasterChef Cookware promotion in 2021 and the Curtis Stone BBQ promotion in 2024. Both campaigns required shoppers to scan their Flybuys card to earn one 'credit' for every $20 spent in one transaction at a Coles Supermarket or Coles online.[1147] A smaller proportion of Woolworths' redemption campaigns offered over the same period were restricted to its Everyday Rewards members. Woolworths' 'Vivo Villeroy and Boch' tableware promotion in late 2022 to early 2023 and the 'Re:fresh by Boost' glassware container promotion in late 2020 to early 2021 required shoppers to scan their Everyday Rewards card to receive one credit for every $20 spent in a transaction at Woolworths Supermarkets, Woolworths Metro or Woolworths online (and Big W and Big W online in the case of the tableware promotion).[1148]

Coles and Woolworths direct significant expenditure towards redemption campaigns to attract consumers and, in some cases, specifically reward loyalty program members. Factors in determining the effectiveness of redemption campaigns include loyalty card scan rates.[1149]

Redemption campaigns are effective at increasing consumer spend and loyalty card use, suggesting some consumers value participating in these campaigns. For example, Coles' attributed its Pokémon Builders collectibles campaign, which ran during February and March 2024, to helping lift sales in the January–March 2024 quarter compared to the same quarter in 2023.[1150] Similarly, Woolworths announced its loyalty card scan rates 'increased strongly' in the first quarter of the 2024–25 financial year 'particularly during the Disney collectibles campaign'.[1151]

Locking the benefits of some redemption campaigns behind loyalty programs may serve to increase the gap in the shopping experience and value available between members and non-members, and influence shoppers to participate in loyalty programs when they otherwise would prefer not to.

1145 Everyday Rewards, Say goodbye to lost and faded paper receiptsSay goodbye to lost and faded paper receipts, accessed 18 February 2025; Woolworths, Frequently Asked Questions – How can I see my eReceipts?, accessed 18 February 2025.

1146 Coles, Wave goodbye to paper receiptsWave goodbye to paper receipts, accessed 18 February 2025.

1147 Information provided to the ACCC.

1148 Information provided to the ACCC.

1149 Information provided to the ACCC.

1150 Coles Group, 2024 Third Quarter Sales Results, 30 April 2024, p 3, accessed 18 February 2025.

1151 Woolworths Group, F25 Sales Results and Trading Update, 30 October 2024, p 6, accessed 18 February 2025.

4.6.8 Personalisation is becoming increasingly sophisticated and may raise concerns for consumers

Personalisation has become a cornerstone of sophisticated loyalty programs. It can be used as both a trade-driving and consumer relationship-enhancing tool and it enables loyalty program operators to exert greater influence on members' behaviours.[1152] Sophisticated loyalty program operators can leverage their data insights to tailor their approaches to different members, in terms of which members receive them, when they receive them, and the 'scope' (terms and value) of the offer.[1153] This may include tailoring communications and offers to individual members based on factors such as their level of engagement with the program, life stage, shopping behaviours, and location.[1154]

This allows loyalty program operators to make their communications and offers more appealing to members and more effective at driving the desired perception or behaviour, such as increasing member engagement, value perception, satisfaction with the program, and driving incremental spend.[1155]

Grocery retailers may have a 'unique advantage' when it comes to leveraging consumer data for personalisation, 'given the vast amount of data generated by the extensive volume of SKUs in their inventory and the frequency of customer visits'.[1156]

Scope and purpose of personalisation

The rich customer loyalty program data sets gathered by Coles and Woolworths allow them to tailor communications and offers to their members.[1157] Coles and Woolworths use personalised loyalty program offers to target particular member cohorts. These may include:

- members who have reduced, or are deemed 'at risk' of reducing, their spend, including those who are typically higher spending or have previously been highly engaged in the program[1158]
- online customers deemed to be at risk of lapsing[1159]
- members in competitor catchment areas[1160]
- promotionally-sensitive members[1161]
- members who purchase 'premium' products.[1162]

For example, valuable offers such as vouchers for 10% off a transaction or basket-wide bonus points promotions may be sent to members considered 'at risk' of reducing their large spends or switching to another supermarket.[1163]

1152 See, for example, P Shelper, *Loyalty Programs: The Complete Guide*, 2nd ed, Loyalty & Reward Co, 2023, pp 394–398.

1153 Information provided to the ACCC.

1154 Information provided to the ACCC; S Mitchell, Flybuys unpacks new data division, *Financial Review*, 29 September 2020, accessed 18 February 2025.; JM Schertzer, 'AI in action: how retailers are using AI basics and advanced marketing principles now', *Eagle Eye blog*, 9 April 2024, accessed 18 February 2025; Eagle Eye, 'The world's most scalable loyalty & personalisation platform', accessed 18 February 2025.

1155 Information provided to the ACCC.

1156 Eagle Eye, Bringing personalized loyalty strategies to life: from promise to reality, 4 December 2024, accessed 18 February 2025.

1157 ACCC, public hearing transcript, 19 November 2024, p 570; Coles360, Coles360 Media Kit for FY25, 29 May 2024, p 7, accessed 18 February 2025.

1158 Information provided to the ACCC.

1159 Information provided to the ACCC.

1160 Information provided to the ACCC.

1161 Information provided to the ACCC.

1162 Information provided to the ACCC.

1163 Information provided to the ACCC.

The personalisation practices of each of Coles and Woolworths are discussed further below.

Metcash has stated it personalises weekly emails containing 'specials' for IGA Rewards members, alerting them members to promotional activity which may be of particular interest to them based on their transaction history at IGA stores.[1164] However, the IGA Rewards loyalty program does not currently provide personalised offers (as distinct from personalised communications) to members. Metcash stated in the public hearings that all IGA Rewards offers are available to all members of the program.[1165]

Coles

Flybuys members may opt in to receive weekly emails from Coles which are personalised to highlight products on promotion taking into consideration the customer's purchasing history (for example, it may highlight products that are on promotion that the customer has purchased before).[1166] Coles also personalises offers, including offers of bonus points and free samples.[1167]

The particular offers available at any time can differ between member households.[1168] Coles has stated these are 'designed to deliver personal value to members by being relevant to a member household's purchase patterns and preferences.'[1169] Personalisation allows Coles to send offers to particular cohorts of members. This could include personalising offers to members it considers are most likely to contribute to incremental sales (that is, members it considers would not otherwise make the purchase).[1170]

Offers can also be 'upweighted' – that is, the value of offers can be varied between members receiving them at the same time – for example, by offering a higher value version to shoppers who are currently considered 'non-active' for that product.[1171]

Coles also offers access to personalisation and targeting to third-party businesses, such as suppliers, through its retail media business Coles 360, promoting to suppliers the ability to use its 'wealth of attitudinal, behavioural, and transactional data' to unlock a richer understanding of who a customer is, as well as 'what, when and where they buy'. This enables suppliers to target members on the basis of their demographic, location, affinities and interests and transactional data and 'create different offers for different customers'.[1172]

For example, Flybuys members can be targeted with different offers based on whether they are actively shopping the supplier's product, actively shopping the supplier's brand, have previously shopped the supplier's brand but have lapsed, actively shop products within the same category, previously shopped that category but have lapsed, or members who shop an affinity category but not this category.[1173]

Similarly, Coles Synergy (Coles' cloud-based data platform) promotes its scan and customer data to suppliers as providing 'in-depth detail on how customer behaviour is driving your performance through customer life stages, switching behaviours, incrementality and more', offering this data over 3-year periods down to SKU level, with visibility of competitor SKUs, for suppliers' individual

1164 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 10.

1165 ACCC, public hearing transcript, 15 November 2024, p 451.

1166 Information provided to the ACCC.

1167 Coles360, Coles360 Media Kit for FY25, 29 May 2024, p 8, accessed 18 February 2025.

1168 Information provided to the ACCC.

1169 Information provided to the ACCC.

1170 Information provided to the ACCC.

1171 Information provided to the ACCC.

1172 Coles360, Coles360 Media Kit for FY25, 29 May 2024, p 7, accessed 18 February 2025.

1173 Coles360, Coles360 Media Kit for FY25, 29 May 2024, p 9, accessed 18 February 2025.

categories.[1174] Coles Synergy asserts this data can be used to understand sales trends and the impact of promotions, as well as understanding the supplier's customer, including 'churn rates', which customers are in growth or decline, measure switching behaviour, and the incrementality of 'activations' and promotions of their brand or category.[1175]

Woolworths

Woolworths personalises its offerings in many ways, including 'personal' catalogues sent to members each week alerting them to specials on their 'favourite' products[1176] and personalised 'points boosters' which Woolworths describes as 'special offers created just for [each member]' (or '1:1 personalised offers').[1177]

Quantium – a non-wholly owned subsidiary of Woolworths – explains the data collected from members enables Woolworths to target and tailor offers to each individual customer. Quantium asserts 'personal offers at the right time' lead to 'a better customer experience and better business results' and promotes its personalisation engine as enabling campaigns which can 'increase sales from current customers, regain lapsed customers, attract new customers, cross-sell, up-sell and launch new products', with a 'proven' ability to drive sales.[1178] The data Quantium analyses to achieve this includes whether the consumer has bought the product before, how often, at what price, and insights generated about that customer such as 'whether they even care about price'.[1179]

Woolworths has also partnered with Eagle Eye – which self-describes as the 'world's most flexible loyalty and personalisation platform' – to 'implement an AI-powered personalisation engine that has achieved personalisation at a scale not previously possible'.[1180] This has allowed Woolworths to 'provide shoppers with real-time, individualized offers through all its channels' and adopt 'a zero-touch offer creation based on its automated, AI-powered data analytics', leading to 'a 1,300% increase in personalized offers delivered and a 14% increase in offer redemption'.[1181] Woolworths has stated this 'real time loyalty platform … has materially increased the number of offers and content in real time as well as enabling faster analysis of campaigns to support more targeted member engagement'.[1182] Woolworths has also reportedly stated that this technology has led to a five-fold increase in consumers' likelihood of making a purchase following a personalised interaction compared to if they had encountered 'traditional' marketing.[1183]

1174 Coles, Coles Synergy: driving customer-led decisions at pace in collaboration with suppliers, 15 February 2024, accessed 18 February 2025.

1175 Coles, Coles Synergy: driving customer-led decisions at pace in collaboration with suppliers, 15 February 2024, accessed 18 February 2025.

1176 Everyday Rewards, Personalise your Rewards experience, accessed 18 February 2025; Everyday Rewards, Support, accessed 18 February 2025.

1177 Everyday Rewards, Help & FAQs, accessed 18 February 2025; Woolworths Group, F20 Final Profit and Dividend Announcement, n.d., p 12, accessed 18 February 2025.

1178 Quantium, Retail, accessed 18 February 2025.; Quantium, WOW Personalisation [video], *Woolworths*, YouTube, 3 November 2016, accessed 18 February 2025.

1179 Quantium, Retail, accessed 18 February 2025 ; Quantium, WOW Personalisation [video], *Woolworths*, YouTube, 3 November 2016, accessed 18 February 2025.

1180 Eagle Eye, The world's most scalable loyalty & personalization platform, 4 December 2024, accessed 18 February 2025; Eagle Eye, Bringing Personalized Loyal, Bringing personalized loyalty strategies to life: from promise to reality, accessed 18 February 2025.

1181 J Schertzer, 'AI & Personalization: What will AI in Retail Marketing Look Like?' *Eagle Eye*, 15 April 2024, accessed 18 February 2025.

1182 Woolworths Group, FY23 Annual Report, p 34, accessed 18 February 2025. Woolworths Group, FY23 Profit Announcement, p 13, accessed 18 February 2025; Woolworths Group, F23 Analyst Presentation, 23 August 2023, pp 12, 32, accessed 18 February 2025.

1183 Eagle Eye, Bringing personalized loyalty strategies to life: from promise to reality, 4 December 2024, accessed 18 February 2025.

Personalisation allows Woolworths to send offers to members it considers are most likely to contribute to incremental sales.[1184] For example, Cartology, Woolworths' retail media business, promotes '1:1 promotions' as being able to drive brand awareness, product trial and habitual purchasing behaviours.[1185] In information provided to us, Woolworths states that when formulating 1:1 promotions, it considers (among other things) the extent to which the offer is likely to result in incremental sales or retained custom by assessing the likely relevance of the product to the member 'with and without the offer'.[1186]

Internal documents provided by Woolworths suggest that its 1:1 promotions can be effective at inspiring an enduring behaviour shift in some customers, leading to repeat purchases even without the personalised offer being repeated.[1187] Further, 1:1 promotions based on bonus points can drive incremental sales despite often providing bonuses equivalent to only a relatively modest discount.[1188] The potential for points-based offers to increase the complexity of consumer decision-making and lead to suboptimal outcomes is discussed in section 4.6.4.

Impacts of personalisation on consumers

Consumers may benefit from personalisation through lowered search costs.

Consumers appear to value personalisation aimed at increasing the relevance of communications they receive from loyalty programs.[1189] Internal research from Woolworths suggests members value rewards that match their 'specific shopping behaviours and patterns, suits their specific lifestyle, actually rewards retailer loyalty, and which is easy and convenient to use'.[1190]

Personalisation can also reduce the risk of alienating members by sending untailored offers to members, such as offers that are not achievable for them (such as spend-stretch offers with minimum spending requirements much higher than their typical spend) or offers on products the member has just purchased and does not need to purchase again in the near future. In the public hearings, Woolworths noted it can be 'jarring for a consumer to see products that are not in their product repertoire'.[1191] As such, this kind of personalisation may be mutually beneficial to both supermarkets and loyalty program members.

Personalisation may also be used beneficially to exclude offers for products subject to age restrictions for members based on their age (such as alcohol) or only sending members offers on products which are available at their preferred store location.[1192]

As personalisation can be effective at increasing member engagement, some members may receive more value from loyalty programs as a result. The varied range of value received by different members is discussed in section 4.6.6.

Personalised offers involving financial benefits could be considered a form of personalised pricing. Such practices have the potential to result in consumer benefit – such as when personalised pricing is used to offer lower prices to consumers who would not otherwise purchase the product at the uniform price. However, personalised pricing also has the potential to disadvantage consumers when

1184 Information provided to the ACCC.

1185 Cartology, Woolworths Media Kit FY25, p 11, accessed 18 February 2025.

1186 Information provided to the ACCC.

1187 Information provided to the ACCC.

1188 Information provided to the ACCC.

1189 Loyalty Pacific, Submission to the Inquiry Issues Paper, published May 2024, p 7.

1190 Information provided to the ACCC.

1191 ACCC, public hearing transcript, 19 November 2024, p 571.

1192 ACCC, public hearing transcript, 19 November 2024, p 573.

it is used to set higher prices, reflecting a consumer's higher willingness to pay, and where consumers cannot mitigate the higher price by seeking better offers from alternative retailers.[1193]

However, as discussed in section 4.6.4, personalised 'below-the-line' offers – and particularly personalised bonus point offers – are likely to reduce price transparency and make price comparisons more difficult. Further, by their nature, personalised offers are restricted to loyalty program members and not made available to consumers more broadly. As such, while personalised offers can provide value for members, we may be concerned if such offers become increasingly prevalent and particularly if they replace 'above-the-line' specials which are made available to all consumers, including those who do not want to sign up to loyalty programs for data privacy reasons.

4.6.9 Premium loyalty programs and subscriptions may become increasingly valuable for supermarkets

As outlined in section 2.4.2, both Coles and Woolworths offer a premium loyalty program as well as a paid delivery subscription program, both with similar features.

Premium loyalty programs are likely to be more effective at increasing 'stickiness' or consumer lock-in than free loyalty programs. The lock-in effect of free loyalty programs is limited by the fact that there are low barriers to consumers joining multiple programs, and, as such, consumers can and do participate in multiple loyalty programs. In our consumer survey, 51% of respondents reported being a member of more than one program. In contrast, the cost of a subscription presents a significant barrier for many consumers to participating in more than one paid program.

The BIT Report noted that subscription models may leverage the 'sunk cost effect'. That is, once a consumer has committed to a subscription, they may feel compelled to continue using the service to 'get their money's worth', even if their needs or preferences change over time. For example, if a customer has signed up for a subscription service at a supermarket in exchange for free delivery services, the initial investment acts as a powerful incentive to shop exclusively at the supermarket to which the subscription belongs.[1194]

The report also noted that such programs may leverage the 'status quo effect'. Over time, as the consumer becomes accustomed to ordering their groceries using the delivery services of the supermarket, habits form, and the status quo effect further entrenches the commitment to shopping at one particular supermarket compared to alternatives.[1195]

This can be further entrenched through the use of automatic subscription payments, which the BIT Report noted 'lack salient decision points – moments when customers might reconsider their purchase – unless a payment fails or card expires'. Without this alert, consumers may be more likely to passively continue their subscription without actively deliberating whether it still serves their best interests.[1196] At the public hearings, Coles stated that the Coles Plus program renews automatically month-to-month without a reminder prompt being provided to consumers (other than at the end of their free trial period).[1197] Woolworths stated that while its subscription programs also renew automatically, consumers are sent notification prompts before their next monthly or annual payment is due.[1198]

1193 The ACCC has considered personalised pricing in other contexts, see, for example, ACCC, Digital platform services inquiry interim report number 4: general online retail marketplaces, March 2022, p 68; ACCC, Digital platform services inquiry: interim report, September 2020, pp 100–103.

1194 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry,* pp 34–35. See Appendix E.

1195 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, p 35. See Appendix E.

1196 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets* Inquiry, p 35. See Appendix E.

1197 ACCC, public hearing transcript, 22 November 2024, p 766.

1198 ACCC, public hearing transcript, 19 November 2024, p 568.

During the public hearings, both Coles and Woolworths acknowledged that the intention behind paid loyalty paid programs is to increase consumer loyalty. They also confirmed that members of paid loyalty programs tend to shop with them more frequently.[1199]

The participation rate in paid loyalty programs is still relatively low:

- Coles: While we do not have membership numbers for Coles Plus Saver (which was launched nationally in June 2024), Coles Plus had around 70,000 members at the end of 2023, up from around 60,000 in 2021.[1200] In 2023, revenue from sales to Coles Plus subscribers accounted for around 4% of total revenue.[1201]
- Woolworths: Everyday Extra had around 320,000 paying members in 2023[1202] and revenue from sales to Everyday Extra members accounted for around 4% of total revenue.[1203] Delivery Unlimited had close to 330,000 paying members in 2023, up from around 25,000 in 2019, and revenue from sales to these subscribers accounted for around 3% total revenue.[1204]

We also requested data in relation to the average transaction spend for members of premium loyalty programs.

In relation to Everyday Extra, the average spend attributable to members is higher than the average overall customer transaction spend and higher than the average transaction spend attributable to members of the free Everyday Rewards program. For example, in 2023, the average transaction spend for Everyday Extra members was approximately 30% higher than the average overall transaction spend by customers at Woolworths, and approximately 20% higher than the average transaction spend by Everyday Rewards members.[1205] An internal Woolworths' document also indicates that in the program's first year, customers' per-month spend increased once they became Everyday Extra subscribers, with some members doubling their spend after subscribing.[1206]

In relation to paid delivery subscription programs, we sought data on the average transaction spend for orders linked to a paid delivery program to compare against the average transaction spend for all delivery orders.

The data shows that the average transaction spend for orders linked to a paid delivery subscription program is lower than the average transaction spend for all delivery orders. [1207] This likely reflects that one of the benefits offered by these programs is free delivery on orders over a certain amount ($50 at Coles and $75 at Woolworths). Whereas for non-members, the threshold for free deliveries is much higher at $250 (for all orders at Coles and for certain next-day delivery orders at Woolworths)[1208] and consumers are otherwise charged a fee for deliveries.[1209] At Woolworths, the fee decreases as the transaction value of the order increases.[1210] This means there is an incentive for non-members to minimise the number of delivery orders and maximise of the value of each order.

While these paid programs are still relatively small in scale compared the free loyalty programs, there is the potential for such programs to expand, particularly the programs based on online ordering and delivery.

1199 ACCC, public hearing transcript, 19 November 2024, p 568. ACCC, public hearing transcript, 22 November 2024, p 765.
1200 Information provided to the ACCC.
1201 Information provided to the ACCC.
1202 Information provided to the ACCC.
1203 Information provided to the ACCC. Not including the revenue from subscription fees.
1204 Information provided to the ACCC. Not including the revenue from subscription fees.
1205 Information provided to the ACCC.
1206 Information provided to the ACCC.
1207 Information provided to the ACCC.
1208 Coles, How can I get free delivery? , accessed 18 February 2025; Woolworths, Delivery, accessed 18 February 2025 .
1209 Coles, Delivery, accessed 18 February 2025.
1210 Woolworths, Delivery, accessed 18 February 2025.

As outlined in section 3.7.3, Coles and Woolworths have both seen significant growth in their online retailing businesses which they expect to continue. Both retailers have also pointed to online retailers such as Amazon as becoming increasingly important competitors, and have emphasised the increasing propensity of consumers to cross shop.[1211] Paid delivery subscription programs can therefore be seen as a dual-purpose strategy to leverage the increasing popularity of online shopping, while also reducing the incentives to cross-shop, as members seek to maximise the value of their membership.

4.6.10 Measures are needed to improve transparency and ensure loyalty program developments are monitored

We recommend the following measures designed to improve informational transparency for consumers, and to ensure oversight over the developments in loyalty programs that have been identified in this report:

1. Provision of periodic information summaries to members.
2. A dedicated review of Coles' and Woolworths' loyalty program practices in 3 years' time.

Supermarket loyalty programs should be required to provide periodic information summaries to members

We consider consumers likely have difficulty accurately assessing the value they are obtaining from supermarket loyalty programs compared with other options such as shopping around, and there is a risk consumers may overestimate the value of loyalty points and offers. This is particularly the case given Coles' and Woolworths' loyalty programs currently utilise reward structures based primarily on points which, as discussed in section 4.6.4, can make value more opaque.

As such, to improve informational transparency, we consider the government should consider introducing regulation requiring Coles and Woolworths to provide consumers who participate in their loyalty programs with periodic (such as 6-monthly or annual) summaries about:

- the monetary value of points and other benefits earned by the member over the period
- the monetary value of points and other benefits redeemed by the member over the period
- the amount the consumer has spent over the period.

A simple, plain English explanation of how the monetary value of points and other benefits was calculated should also be provided.

We understand the Woolworths Everyday Rewards program already provides some of this information through its app, though not the amount consumers have spent.[1212]

The summary could also provide information about how consumer data collected through the loyalty program is used, to inform (or remind) consumers about the non-monetary costs of participating in such programs.

Providing periodic information to consumers – outside the context of a supermarket shop – about the value of points and the amount spent to accrue those points, could provide consumers with a better understanding of the relative value of loyalty programs points and therefore how much they should value:

1211 ACCC, public hearing transcript, 18 November 2024, p 474; ACCC, public hearing transcript, 21 November 2024, pp 691, 696; Coles, Submission in response to the Interim Report, published November 2024, pp 6, 26, 30; Woolworths, Submission to the Inquiry Interim Report, published December 2024, p 4.

1212 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 52.

- being loyal to a particular supermarket or loyalty program
- bonus point offers.

This would also act as a prompt for the consumer to actively consider whether to continue participating in the program, particularly in the case of premium loyalty programs and paid subscription programs involving recurring automatic payments.

Given the importance and ubiquitousness of groceries as an everyday need, we consider it is appropriate for such a requirement to be implemented only in relation to supermarket loyalty programs, at least initially. Further, given the significantly greater size and sophistication of Coles' and Woolworths' loyalty programs compared with other supermarkets, and taking into account the potential burden of such a requirement on smaller operators, we consider the requirement should be limited to Coles and Woolworths. Consideration of whether such an initiative should apply to other loyalty programs, such as smaller grocery-related loyalty programs or those in other sectors, could subsequently be informed by the results of this initial application.

Recommendation 7

Coles and Woolworths should be required to provide members with periodic loyalty program information disclosure summaries

These summaries should outline:

- the monetary value of points and other benefits earned by the member over the period
- the monetary value of points and other benefits redeemed by the member over the period
- the amount the consumer has spent over the period.

A simple, plain-English explanation of how the monetary value of points and other benefits was calculated should also be provided.

Coles' and Woolworths' loyalty program practices should be reviewed in 3 years

We have identified a number of developments in supermarket loyalty programs in this report. While we do not currently consider any of these developments warrant regulatory intervention, they have the potential to raise competition or consumer-related concerns, or greater concerns, as they continue to develop. They include:

- the use of member-only pricing
- reduced price transparency from the increasing use of bonus point offers
- the restriction of convenience and other non-monetary benefits to loyalty program members
- loyalty program offers replacing more generally available offers
- the cultivation of valuable data sets which can contribute to consumer lock-in
- the increasingly sophisticated uses of consumer data for personalisation
- the expansion of premium loyalty programs and paid subscription programs, which may increase consumer stickiness.

There may also be other practices impacting competition and consumers which have not been comprehensively explored and assessed as part of this inquiry, particularly in relation to data privacy, as well as the use of consumer and transaction data in Coles' and Woolworths' adjacent businesses.

As such, we recommend a dedicated review of Coles' and Woolworths' loyalty programs in 3 years' time. The review should further consider the impacts of these loyalty programs, including the developments outlined above, from both a competition and consumer perspective. This would include an assessment of whether any further measures are needed, including in relation to Coles' and Woolworths' collection and use of consumer data. This could include consideration of measures to reduce Coles' and Woolworths' data advantage or bring loyalty program consumer data under the Consumer Data Right (in line with the principle that consumers should have a right to benefit from the value of their data).

This review could be undertaken by the ACCC or another body, although if the review was confined to competition and consumer issues there would be advantages in it being undertaken by the ACCC, including the potential use of the compulsory information gathering powers contained in the CCA if the review was directed by the Australian Government.

Recommendation 8

Coles' and Woolworths' loyalty program practices should be reviewed in 3 years

This dedicated review should:

- consider the impacts of Coles' and Woolworths' loyalty programs from a competition and consumer perspective
- assess whether further measures are needed, including in relation to the use of consumer data.

4.7 Consumers on lower incomes are particularly vulnerable in the supermarket environment

As outlined in our Interim Report, businesses may exacerbate or cause vulnerability through their business practices and the way they engage with consumers.[1213] This section discusses:

- how consumers on lower incomes spend a higher proportion of their income on groceries and are therefore more likely to be adversely impacted by high grocery prices
- how grocery pricing does not appear to differ significantly on the basis of a store's socioeconomic location
- how some supermarket promotional practices may disproportionately impact consumers on lower incomes.

4.7.1 Consumers on lower incomes spend a higher proportion of their income on groceries and are therefore more likely to be adversely impacted by high grocery prices

As outlined in our Interim Report, Australian households' costs have risen faster than usual in recent years due to complex factors and households' real disposable income has reduced due to higher-than-average inflation which has resulted in rising interest rates and mortgage repayments,

1213 ACCC, Supermarkets Inquiry Interim Report, August 2024, p 130 citing ACCC, Consumer vulnerability: a business guide to the Australian Consumer Law, November 2021, p 1.

and increasing prices of goods and services.[1214] Heightened cost-of-living pressures have directly impacted Australian's ability to meet their basic needs, such as food, housing and healthcare.[1215]

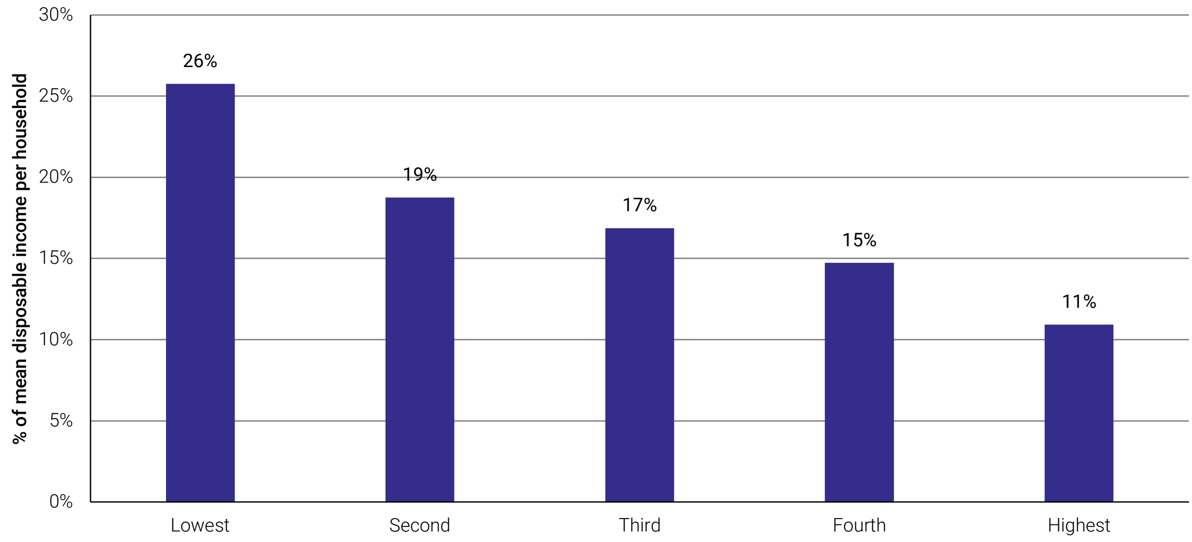
Consumers on lower incomes are particularly vulnerable in the grocery retail context as the amount they spend on groceries makes up a higher proportion of their income.

The last release of the ABS Household Expenditure Survey was in 2016, which considered the percentage of grocery spend by household income.[1216] To consider this data in 2024, we have adjusted it using the Consumer Price Index and the Wage Price Index. Figure 4.20 shows the adjusted findings from the ABS Household Expenditure Survey 2016.

The adjusted data indicates that consumers on the lowest 20% of incomes spend the highest proportion of their income on food and non-alcoholic beverages, and that the percentage of income spent on food and groceries decreases in line with income.[1217]

Figure 4.20: Surveyed consumers on lower incomes spend the highest proportion of their income on food and non-alcoholic beverages

Percentage of gross household income spent on food and non-alcoholic beverages, by income quintile



Source: ACCC analysis of ABS Household Expenditure Survey data.

This trend is also reflected in our consumer survey findings. The survey found that for consumers who reported being in the lowest household income bracket (less than $499 per week after tax), 76% reported spending at least 20% of their income on groceries and 28% reported spending at least 40% of their income on groceries.

Our consumer survey also found that, for consumers in the second lowest household income bracket ($500 to $749 per week after tax), 54% reported spending at least 20% of their income on groceries while around 12% reported spending at least 40% of their income on groceries (figure 4.21).

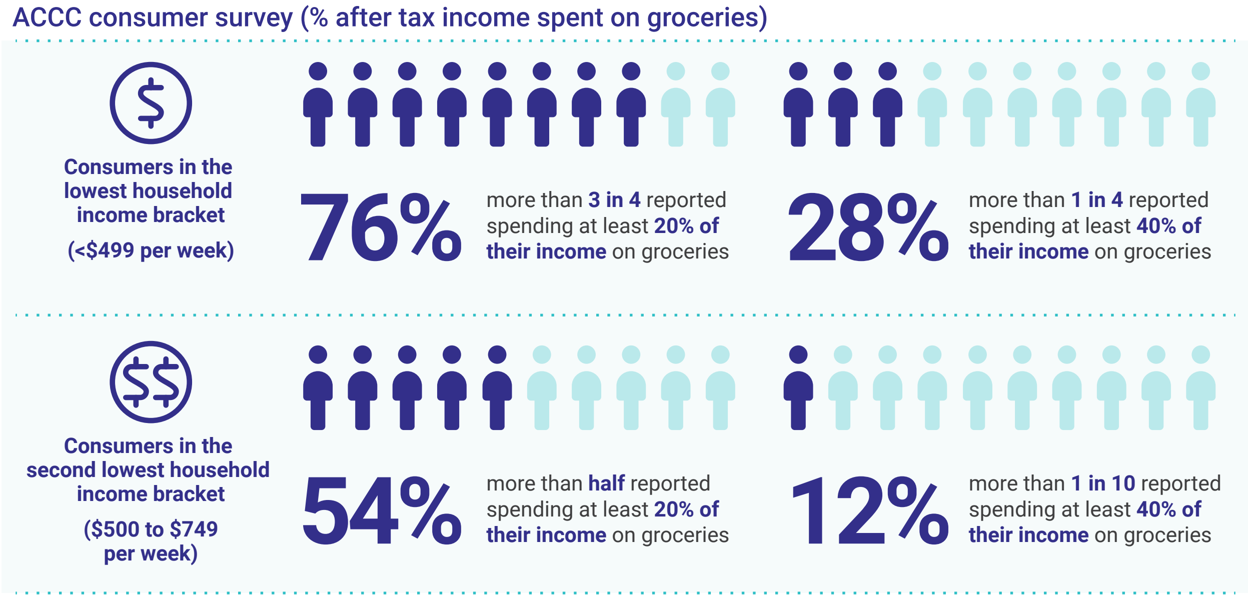
1214 Australian Bureau of Statistics, Table 20: Household Income Account and Per Capita, Australia: Current prices, Australian National Accounts: State Accounts, 2023, accessed 18 February 2025.

1215 N Black, et al., 'Undernourished, stressed and overworked: Cost-of-living pressures are taking a toll on Australians' health', Monash University, 7 May 2024, accessed 18 February 2025.

1216 As noted in Australian Bureau of Statistics, Insights into use of Household Expenditure Survey data, 14 February 2022, accessed 18 February 2025, the ABS Household Expenditure Survey is 'the only comprehensive data collection of household spending in Australian linked to household type'.

1217 In reference to adjusted data from the ABS, Household Expenditure Survey, Australia: Summary Results (2016), 13 September 2017, accessed 18 February 2025.

Figure 4.21: Grocery spend by household income



Source: ACCC consumer survey.

Many respondents on lower incomes reported significant concerns over food insecurity. Many of these respondents stated that they can no longer afford meat and fish and are buying less fresh fruit and vegetables and dairy. Many of these respondents are reportedly buying only essentials, with some noting that they are eating less and skipping meals to provide for their children.

4.7.2 Grocery prices at standard format stores do not appear to differ on the basis of a store's socioeconomic location

As outlined in section 3.4 we have examined the weekly average prices paid by consumers for the period from approximately 31 December 2018 to 31 May 2024 in a sample of ALDI, Coles, Metcash banner stores and Woolworths stores across Australia. Our sample included stores in metropolitan, regional and remote or very remote locations, as well as across a range of socioeconomic areas.

This section focuses on the prices paid by consumers at standard format stores, given that the prices paid at Woolworths Metro stores tended to be more expensive (as noted in section 3.4.3).

We analysed whether consumers in different socioeconomic areas pay significantly different prices. While average prices paid were slightly higher on average for consumers in higher SEIFA areas, the effect was very small and not uniform. That is, several stores in higher SEIFA areas had average prices which were slightly lower than some lower SEIFA stores.[1218] We note Coles and Woolworths have not indicated they set prices based on expectations of an area's affluency. As noted in section 3.4.2, prices are largely consistent within a pricing region (predominantly at a state level) across a supermarket chain's stores.

Importantly, we note that non-price characteristics are likely to vary for stores in different socioeconomic areas. For example, standard format Coles and Woolworths stores in lower SEIFA areas in our sample are more likely to have slightly smaller store footprints though often stock a similar number of SKUs. The ALDI, Coles and Woolworths stores that stocked the largest number of SKUs tended to be in metropolitan areas with SEIFA scores of above 6.[1219] Metcash banner stores in

1218 Information provided to the ACCC.

1219 Information provided to the ACCC.

higher SEIFA areas tended to attract lower average revenue.[1220] Whereas store revenue for Coles and Woolworths tended to be greater in stores in higher SEIFA areas compared to stores in lower SEIFA areas.[1221] We discuss non-price competition in further detail in section 3.7.

4.7.3 Some supermarket promotional practices may disproportionately impact consumers on lower incomes

As outlined in our Interim Report, stakeholders expressed concern that certain supermarket practices may disproportionally impact consumers on lower incomes. In particular, we focused on the potential impacts of:

- multi-buy promotions
- member-only pricing
- other pricing practices in the context of in-store price comparison behaviour.

The information available to us does not support a conclusion that consumers on lower incomes are less likely to purchase items on multi-buy promotions

A number of stakeholders raised a concern that multi-buy promotions may disadvantage consumers on lower incomes.

For example, the Foundation for Alcohol Research and Education submitted that multi-buy promotions penalise people for buying the amount of a product they actually want or need, stating that 'at a time when people are having trouble affording food and essential items, these promotions are fundamentally unfair'.[1222] CHOICE also submitted that multi-buy specials unfairly discriminate against individuals who do not have the means to purchase items in bulk.[1223]

This view also found some support in the consumer survey results, which indicated that 'purchasing items in bulk when on special/discounted (including multi-buy specials)' is a cost reduction measure that generally increases in prevalence as income increases.

Similarly, the BIT Report considers that multi-buy promotions may be 'exclusionary' for lower-income consumers.[1224] The report states that multi-buy promotions are a type of intertemporal money-saving strategy, where consumers spend more money in the short term in order to save money in the long term.[1225] The report explains that this type of money-saving strategy may be less accessible to consumers with lower income liquidity who may not have the funds available to pay more upfront.[1226]

To consider this concern further, we sought to understand whether, based on the data available to us, there is a correlation between consumers' income levels and their uptake of multi-buy promotions.

We analysed the percentage of total sale revenue (exclusive of tax) at a sample of Coles and Woolworths stores[1227] that was generated through sales of products subject to a multi-buy (or similar) promotion when they were purchased as part of that promotion (as compared with revenue

1220 Information provided to the ACCC.

1221 Information provided to the ACCC.

1222 Foundation for Alcohol Research and Education, Submission to the Inquiry Issues Paper, published May 2024, p 13.

1223 CHOICE, Submission to the Inquiry Issues Paper, published May 2024, p 24.

1224 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry,* p 28. See Appendix E.

1225 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, p 28. See Appendix E.

1226 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, p 28. See Appendix E.

1227 This analysis is based only on sales in stores selected by the ACCC and may not perfectly reflect purchasing behaviour across all stores. However, efforts were made to ensure stores were broadly representative.

generated from sales of those same products purchased individually during the promotion period). As a proxy for income level, this analysis was broken down by the stores' SEIFA status.[1228]

Figure 4.22: Woolworths' percentage of multi-buy sales by year and SEIFA status

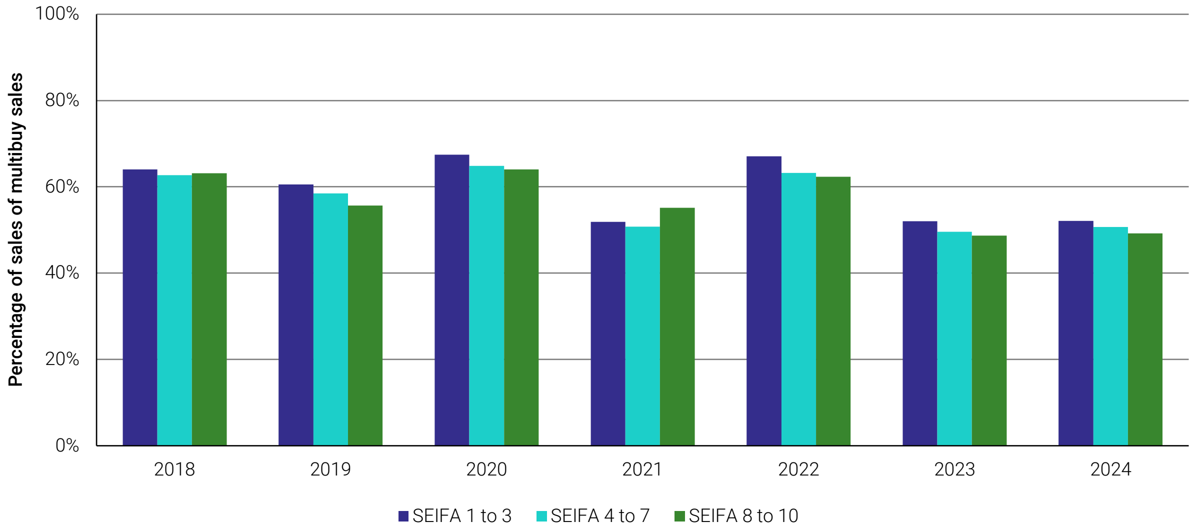
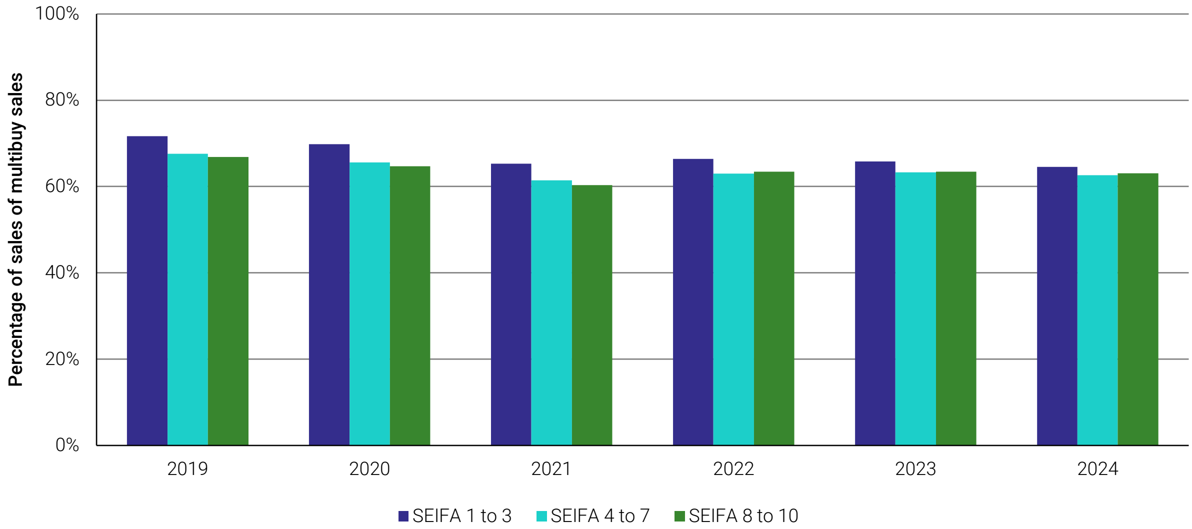


Figure 4.23: Coles' percentage of multi-buy sales by year and SEIFA status



Source: Information provided to the ACCC.

There are a number of limitations to this analysis, including that the SEIFA ranking of a store's location does not perfectly correspond with its customers' income levels. As such, we do not consider this analysis to be determinative of the relationship between consumers' income level and their ability to take advantage of multi-buy promotions. Overall, the analysis does not support a conclusion that consumers on lower incomes are less likely to purchase items on multi-buy promotions. It is possible that the outcome is that consumers on *very* low incomes are less likely to purchase items as part of multi-buy promotions, but we do not have the data to test this

1228 SEIFA (IRSAD) is an ABS index that ranks areas in Australia according to relative socioeconomic advantage and disadvantage (lower rankings indicate more disadvantaged areas). Accessed 19 February 2025.

hypothesis.[1229] We therefore cannot conclude that multi-buy promotions necessarily discriminate against consumers on lower incomes.

Member-only pricing is not currently a key concern

We discuss member-only pricing through loyalty programs in section 4.6.5. As previously outlined, although member-only pricing is marketed as a benefit to consumers with a loyalty program membership, several submissions raised concerns that member-only pricing financially penalises consumers who do not wish to sign up to loyalty programs, including due to concerns about data privacy or for other reasons.

This may be more of a concern for consumers on lower incomes who are less able to absorb such a financial penalty. As such, consumers on lower incomes may feel they have less real choice about whether to opt into a loyalty program. This is because there is a higher incentive for them to sign up to a loyalty program to access the lowest prices for essential food products.

In contrast, consumers with higher incomes may have more freedom to decide that they are not willing to sign up to a loyalty program (due to data collection concerns or for other reasons), as such decisions are less likely to impede their ability to purchase essential (or other) goods, due to their capacity to pay higher prices. However, as previously outlined, member-pricing is currently only offered by Woolworths and in some IGA stores on a very limited number of products each week. Member-only pricing at Woolworths is also mostly offered on discretionary items, such as soft drinks and confectionaries. As such, we do not currently consider the restriction of member-only pricing to loyalty program members to be a key concern for consumers on lower incomes.

Facilitating price comparison (both in-store and between retailers) may be particularly beneficial

Research suggests there is a prevailing assumption that consumers on lower incomes are more willing to search to find better deals as they may have lower opportunity costs of time.[1230] As outlined in our Interim Report, the results from our consumer survey showed that as income level decreased, respondents were more likely to report 'always' comparing prices both before shopping and in store. However, there are some studies that counter this perception, with results finding that lower income groups may lack the 'mobility, skill, or discretionary time needed to engage in search'.[1231] For example, the published paper 'Consumer Search and Income Inequality' argues that 'wages may not be a great proxy for time costs'.[1232] Whilst these findings were in the context of the electricity market, it noted that consumers on lower income may also be time poor, such as single-parent households or workers juggling multiple jobs. In addition, factors such as the physical travel distance, less access to online search platforms or the ability to search or negotiate effectively may also explain lower levels of search by consumers on lower incomes.[1233]

1229 Information provided to the ACCC. We also undertook alternative analysis which instead looked at the volumes of products that were sold as part of a multibuy promotion (as opposed to a single unit) when a product was on a multibuy offer, across stores in different SEIFA status locations. The results similarly did not show a strong correlation between the SEIFA ranking of stores' locations and the uptake of multi-buy specials by consumers.

1230 DP Byrne and LA Martin, Consumer Search and Income Inequality, *International Journal of Industrial Organisation*, Vol 79 (2021), p 7, accessed 18 February 2025.

1231 DP Byrne and LA Martin, Consumer Search and Income Inequality, *International Journal of Industrial Organisation*, Vol 79 (2021), p 3, accessed 18 February 2025, citing AR Andreasen and BT Ratchford, Factors affecting consumers' use of information sources, *Journal of Business Research*, Vol 4:3 (1976), pp 197–272.

1232 DP Byrne and LA Martin, Consumer Search and Income Inequality, *International Journal of Industrial Organisation,* Vol 79 (2021), p 7, accessed 18 February 2025.

1233 DP Byrne and LA Martin, Consumer Search and Income Inequality, *International Journal of Industrial Organisation*, Vol 79 (2021), p 7, accessed 18 February 2025.

In respect of price comparison activity in-store, the BIT Report suggests that the supermarket environment may disproportionately impact people under financial stress. It found that:

> The cognitive load imposed by financial concerns can crowd out other information and demands, placing increasing strain on processes including attention, memory, and executive control. This potential depletion of mental resources means that financially stressed individuals may be more susceptible to the effects of the supermarket environment as they are relatively more likely to use mental shortcuts when shopping. These shortcuts can be fast and efficient in some situations. However, in complex environments like supermarkets, they can also lead to errors, such as choosing products that provide less value than otherwise intended.[1234]

In the context of our consumer survey results, our preliminary view, as outlined in our Interim Report, was that respondents on lower incomes are more price sensitive and more likely to compare prices before their shop than respondents on higher incomes. However, we recognise that not all consumers on lower incomes have the time and capacity to compare prices before they shop, and some consumers, including those on lower incomes, have limited choice because of their location and potential lack of transport options. Whilst we recognise that price comparison is not beneficial to all, we consider that, generally speaking, consumers on lower incomes may stand to benefit more from effective price comparison, both in store and between retailers. Conversely, any practices by supermarkets which make it more difficult for consumers to compare prices may disproportionately impact lower income consumers. As such, we consider that the recommendations in the report aimed at enhancing the ability of consumers to assess prices, discounts and value for money in respect of promotions (outlined in section 4.3.3) and the ability of consumers to compare prices (outlined in sections 4.4.3 (unit pricing) and 4.5.3 (shrinkflation)) are likely to be particularly important for consumers on lower incomes.

4.8 Consumers in remote locations are paying higher prices for some groceries

We consider that high grocery prices are a particular problem in remote locations. This problem is exacerbated by the lack of store choice for many consumers in remote locations meaning consumers are not able to shop around, as well as a lack of price transparency, including some remote stores having limited or even no pricing information displayed in store. This section will cover:

- how grocery prices may be significantly higher in remote locations
- how consumers in remote locations lack choice
- how consumers in remote locations may face insufficient price transparency
- how consumers in remote locations may be experiencing food insecurity.

1234 Behavioural Insights Team, *Applying Behavioural Insights to the ACCC Supermarkets Inquiry*, p 10. See Appendix E.

4.8.1 Grocery prices are generally higher in remote locations, and substantially higher in some instances

In May 2024, the National Indigenous Australians Agency released a discussion paper outlining a National Strategy for Food Security in Remote First Nations Communities.[1235] The discussion paper noted that 'the combination of poverty and high food prices results in many remote First Nations household spending a large proportion of their income on food'.[1236] Amongst other things, the discussion paper focuses on the need for remote stores to provide affordable nutritious foods, and supply chains being improved to provide more direct and cost-efficient supply to remote communities.

In the public hearings, the Indigenous Consumer Assistance Network stated that extreme food and living costs in remote communities has been an issue for decades and that one of the main issues its clients face is 'not knowing whether they're going to have enough money for food tomorrow'.[1237] It also stated that the prices in the community-owned stores are 'a lot more reasonable and not as inflated' compared to privately-owned stores.[1238]

Numerous sources of research confirm that grocery prices are significantly higher in remote locations. In its submission in response to our Interim Report, CHOICE referred to the Northern Territory Market Basket Survey 2023 which revealed that the average cost of a basket of 'healthy' goods based on the Australian Dietary Guidelines was 40% higher in remote stores than in average district centre supermarkets.[1239]

In its own research, CHOICE found that a grocery basket averaged out across ALDI, Coles and Woolworths across all capital cities cost, on average, $44.70.[1240] By contrast, the average price of the same basket across 4 remote communities was more than double that at $99.38, with the highest price found in the West Daly region costing $110.82.[1241]

On 10 February 2025, the Australian Government released the Commonwealth's 2024 Closing the Gap Annual Report and 2025 Implementation Plan. The Australian Government committed to investing $50 million from 2025-26 to improve food security outcomes for First Nations people living in remote communities.[1242] This will include investing in a range of new measures to 'reduce the costs of 30 essential products in more than 76 remote stores to help ease cost of living pressures and improve food security in remote communities',[1243] which will involve boosting warehouse capacity to shorten freight distances and make supply chains to remote communities less vulnerable.[1244] It is anticipated that essential products such as, flour, milk, tinned tuna, rice, and bread will reduce in

1235 National Indigenous Australians Agency, National Strategy for Food Security in Remote First Nations Communities – Discussion Paper, 31 May 2024, accessed 18 February 2025.

1236 National Indigenous Australians Agency, National Strategy for Food Security in Remote First Nations Communities – Discussion Paper, 31 May 2024, p 4, accessed 18 February 2025.

1237 ACCC, public hearing transcript, 7 November 2024, p 11.

1238 ACCC, public hearing transcript, 7 November 2024, p 38.

1239 CHOICE, Submission to the Inquiry Interim Report, published November 2024, pp 5–6. NT Health also referred to the Northern Territory Market Basket Survey 2023 in its submission in response to our Issues Paper. See NT Health, Submission to the Inquiry Issues Paper, published May 2024, pp 1–2.

1240 J Blakkarly, 'Groceries cost more than twice as much in remote First Nations communities', *CHOICE*, 31 October 2024, accessed 18 February 2025.

1241 J Blakkarly, 'Groceries cost more than twice as much in remote First Nations communities', *CHOICE*, 31 October 2024, accessed 18 February 2025.

1242 Commonwealth Government, Closing the Gap | Commonwealth 2024 Annual Report | Commonwealth 2025 Implementation Plan, 10 February 2025, p 7, accessed 18 February 2025.

1243 The Hon Anthony Albanese MP, Albanese Labor Government building on investments to Close the Gap, Media Release, 10 February 2025, accessed 18 February 2025.

1244 The Hon Anthony Albanese MP, Closing the Gap – Canberra, Speech, 10 February 2025, accessed 18 February 2025.

price as part of this initiative.[1245] It has been reported that the stores will be chosen on the basis of need.[1246] As part of this scheme, Commonwealth-owned company Outback Stores will be funded, and independent and community-controlled stores will also be eligible for funding.[1247]

We have undertaken our own analysis of pricing in remote locations.

Our analysis revealed that effective prices tended to be higher in remote stores over the reporting period. However, we also found significant variation across products and supermarket chains. For example, effective prices of some products (such as eggs) in some years, for some supermarket chains, were more expensive in non-remote stores than in remote stores in our sample.[1248]

The analysis suggests that consumers in remote areas without access to a Coles or Woolworths and with only access to Metcash banner stores may be paying more compared to metropolitan and regional consumers.[1249]

In our view, independent supermarkets and Metcash banner stores in remote areas are more likely to be smaller in size than full line Coles or Woolworths supermarkets and therefore may need to recover freight costs from a smaller sales base compared to Coles' and Woolworths' remote stores.

We consider it is also more likely that independent supermarkets and Metcash banner stores in remote areas face greater costs of procuring products due to their smaller volume purchases compared to the remote stores of larger chains of Coles and Woolworths.

ACCC analysis

We examined the effective prices paid for a selection of products from a sample of Coles, Metcash banner stores and Woolworths stores in remote and non-remote areas.

Coles and Woolworths have 8 and 15 stores respectively in remote (including very remote) locations in Australia, as classified by the ABS. Of these, 75% of Coles' and 47% of Woolworths' stores are in Significant Urban Area, which the ABS defined as urban centre(s) with a population of more than 10,000.[1250]

In contrast, only 13% of the 87 IGA stores in remote or very remote areas are in a Significant Urban Area.[1251] This indicates that many of the IGA stores are located in smaller towns, often without a nearby Coles or Woolworths store.

As noted in section 2.3.8, consumers in remote areas are more likely to have limited or no choice of supermarkets. Many consumers in remote areas do not have access to a Coles, Woolworths or Metcash banner store (such as an IGA). We did not gather pricing data from independent retailers not supplied by Metcash, and therefore cannot comment on their prices.

1245 I Tolhurst, 'A new federal scheme is set to lower grocery prices in remote stores. Here's why they're so high', *ABC News*, 10 February 2025, accessed 18 February 2025.

1246 I Tolhurst, 'A new federal scheme is set to lower grocery prices in remote stores. Here's why they're so high', *ABC News*, 10 February 2025, accessed 18 February 2025.

1247 I Tolhurst, 'A new federal scheme is set to lower grocery prices in remote stores. Here's why they're so high', *ABC News*, 10 February 2025, accessed 18 February 2025.

1248 Information provided to the ACCC.

1249 Information provided to the ACCC.

1250 ACCC analysis of GapMaps data.

1251 ACCC analysis of GapMaps data.

We obtained pricing and store information from a sample of stores across Australia, including:

- 77 Coles stores, of which 26 are regional and 5 are in remote areas[1252]
- 83 Woolworths stores, of which 25 are regional and 9 are in remote areas
- 42 ALDI stores, of which 9 are regional and none are in remote areas
- 76 Metcash banner stores, of which 20 are regional and 16 are in remote areas.

We used the ABS classifications of remoteness to analyse the average prices paid by consumers in different areas. Remote stores include stores in our sample located in remote and very remote areas as defined by the ABS. Non-remote stores in this analysis consist of all remaining sampled stores including small and standard format, regional and metropolitan stores (see Appendix C for further discussion).

While the prices from our sample of stores provides useful insights into trends in remote and non-remote areas, it is not representative, nor indicative, of the experiences of all consumers.

Effective prices for particular products in remote stores compared to non-remote stores

We examined whether the average prices paid (effective prices) for particular products in remote Australian stores were higher than prices in non-remote Australian stores in the same supermarket chain.

We analysed the effective prices paid for unflavoured cow's milk, apples, breakfast cereals, eggs, potatoes, beef mince and sweet biscuits by consumers at Coles, Metcash banner and Woolworths stores in non-remote and remote areas (with remote, regional and metropolitan stores for Metcash banner stores) over the reporting period.[1253]

It is important to note that this analysis of effective prices does not account for changes in the individual product mix within the product categories over time or over different regions (that is, individual products are not necessarily sold within all financial years or at all stores). Variability in product mix is an inherent challenge when analysing price differences involving so many different products.

There are other analysis techniques, such as those used in other analyses in this report, that match and compare product prices sold across stores. However, given the purpose of this analysis was to understand the general distribution of prices and trends in this distribution across different stores of varying remoteness, including products only sold in non-remote or only in remote locations, we did not consider it necessary to such other techniques. Further discussion on the methodology used for this analysis is described in Appendix C.

We recognise that median effective prices in stores may vary due to different product availability in different regions. The figures below show the distribution of effective prices of products of a particular category. Products contained in this aggregation vary in several dimensions such as pack size, branded or private label, and availability in different stores. The figures do not indicate the average prices paid for a specific product.

1252 We refer to 'remote' as including locations that are defined by ABS as being 'remote' and 'very remote'.

1253 Given Metcash banner stores operate and set prices independently, we analysed the difference in effective prices paid in metropolitan, regional and remote areas. See Metcash, Submission to the Inquiry, published May 2024, pp 4, 8. We collected information for each supermarket chain for the following reporting periods:

- Coles: 31 December 2018 to 31 May 2024
- Metcash: 31 December 2018 to 30 April 2024
- Woolworths: 31 December 2018 to 31 May 2024.

We found, over the 5 years between the 2019–20 and 2023–24 financial years, customers of Metcash banner stores in remote areas on average paid higher median effective prices compared to customers in other areas and compared to customers in remote Coles and Woolworths stores.[1254]

Given Metcash banner stores are more prominent in remote areas with smaller populations compared to Coles and Woolworths, and Metcash banner stores are not subject to uniform pricing policies, consumers in remote areas are more likely to be paying considerably higher prices compared to consumers in non-remote areas.[1255] We note Metcash has indicated that its banner stores source between 50% and 90% of fresh produce from other suppliers.[1256] The prices we analyse, therefore, may not reflect Metcash wholesale prices.

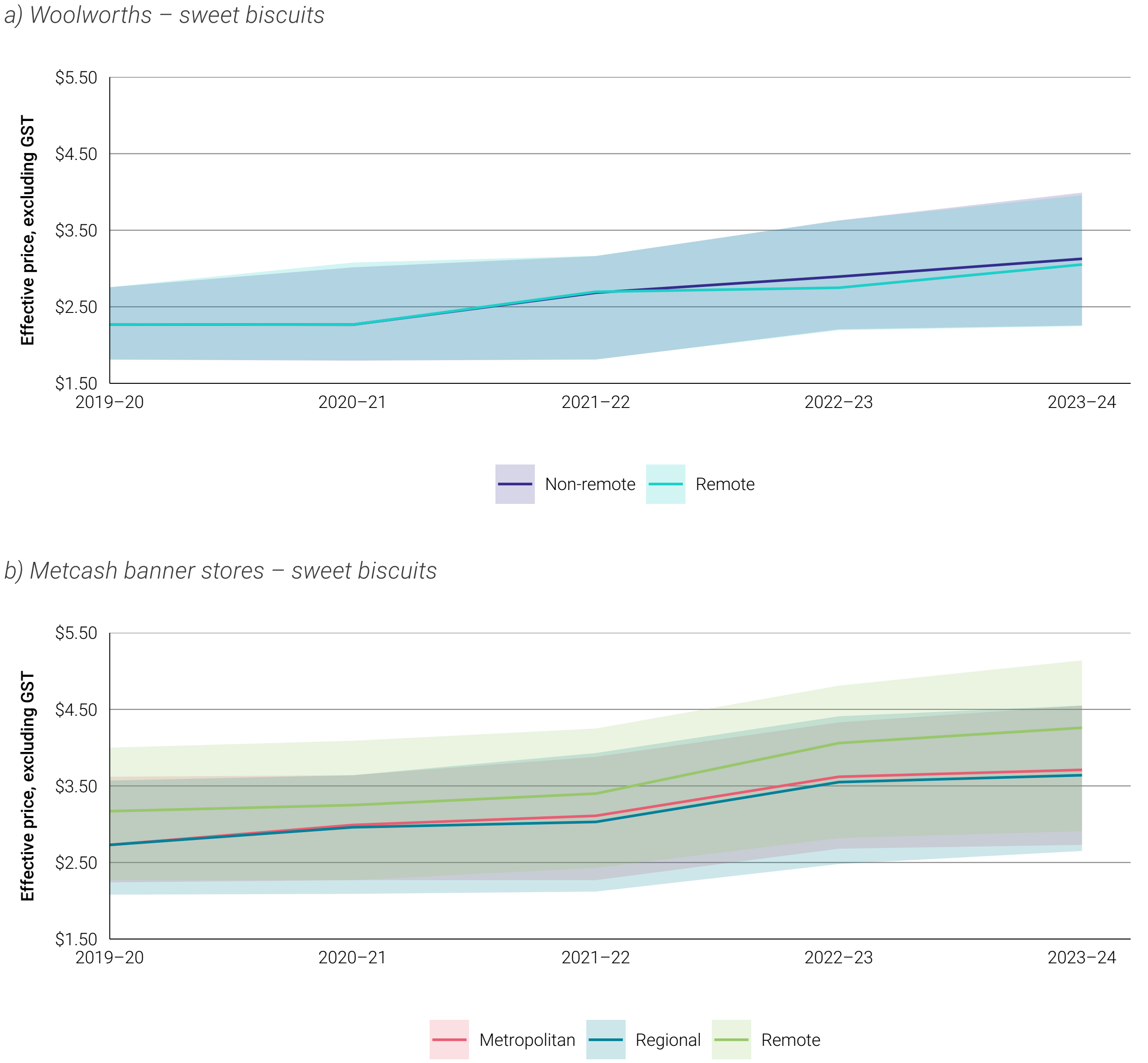
While the analysis revealed that effective prices tended to be higher in remote stores over the reporting period, we found significant variation across products and supermarket chains. For example, effective prices of some products (such as eggs) in some years, for some supermarket chains, were more expensive in non-remote stores than in remote stores.[1257]

Some products in our analysis, such as biscuits, showed smaller differences in effective prices between remote and non-remote stores in some supermarket chains over the reporting period compared to other products. In the reporting period, the median effective price for biscuits in remote Coles and Woolworths stores was similar to non-remote stores (Figure 4.24).[1258] Our analysis of cereal products over the reporting period showed a similar result to biscuits.[1259]

However, effective prices of sweet biscuit products in remote Metcash banner stores were on average materially more expensive than in metropolitan and regional Metcash stores (Figure 4.24).[1260] Metcash banner store customers in remote locations paid median effective prices 10–17% higher for sweet biscuits than customers of regional stores, and 9–16% higher than customers of metropolitan stores in the same period.[1261]

1254 Information provided to the ACCC.
1255 Information provided to the ACCC.
1256 ACCC, public hearings transcript, 14 November 2024, p 361.
1257 Information provided to the ACCC.
1258 Information provided to the ACCC.
1259 Information provided to the ACCC.
1260 Information provided to the ACCC.
1261 Information provided to the ACCC.

Figure 4.24: Distribution of effective prices paid by consumers for sweet biscuits in non-remote and remote stores over the reporting period



Note: Ribbon shows 25% to 75% percentile range of the effective price. Solid line is the median effective price.
Source: ACCC analysis; Information provided to the ACCC.

In the reporting period, customers of Coles and Woolworths in remote stores typically paid similar effective prices for fresh unflavoured cow's milk as customers in non-remote stores (figure 4.25).[1262]

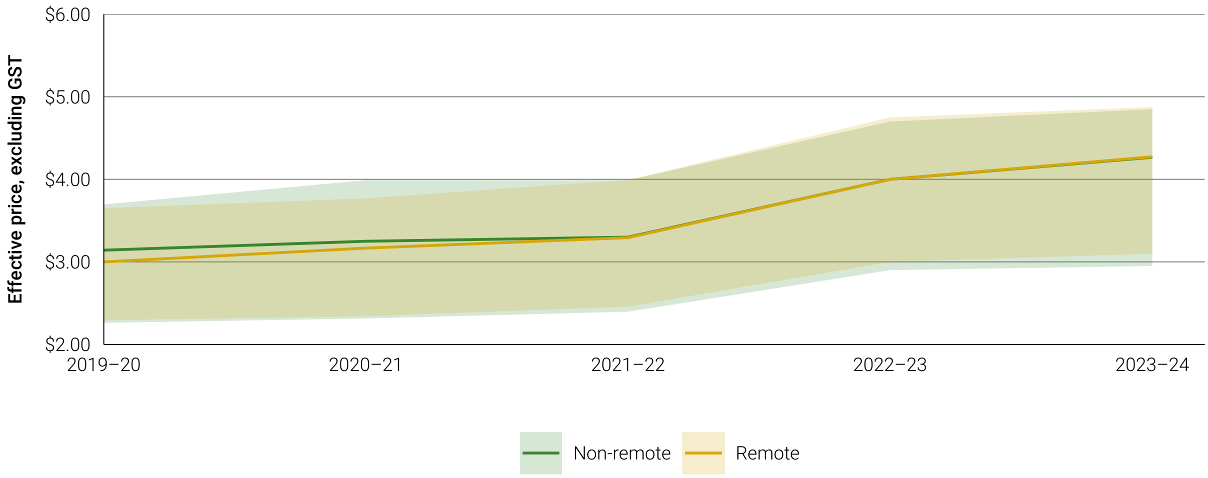
Comparatively, customers of remote Metcash banner stores paid median effective prices for fresh unflavoured cow's milk that were approximately 11–13% higher than customers in metropolitan stores and 10–15% higher than customers in regional stores in the same period (figure 4.25).[1263]

The median effective price of fresh unflavoured cow's milk increased significantly in the 2022–23 financial year across Coles (21%), Metcash banner stores (12%) and Woolworths (21%) compared to the prior financial year.[1264]

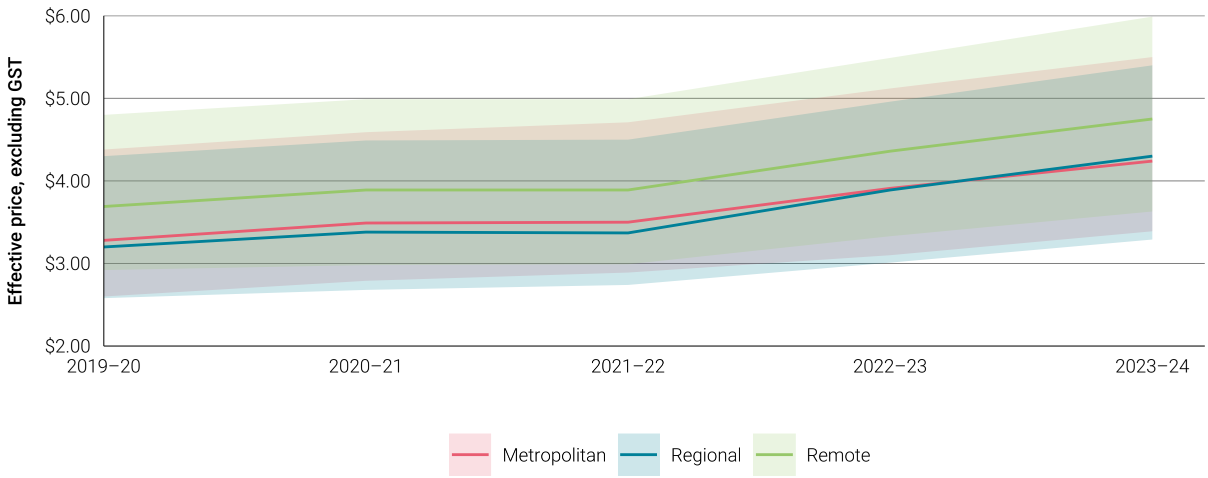
1262 Information provided to the ACCC.
1263 Information provided to the ACCC.
1264 Information provided to the ACCC.

Figure 4.25: Distribution of effective prices paid by consumers for fresh unflavoured cow's milk in non-remote and remote stores over the reporting period

a) Coles – fresh unflavoured cow's milk



b) Metcash banner stores – fresh unflavoured cow's milk



Note: Ribbon shows 25% to 75% percentile range of the effective price. Solid line is the median effective price.
Source: ACCC analysis; Information provided to the ACCC.

Median effective prices for potatoes at Woolworths stores, regardless of their location, were similar, particularly since 2023.[1265] Conversely, potatoes were typically significantly more expensive in remote Metcash banner stores compared to metropolitan stores (median effective prices were 15–25% more) and regional stores.[1266] The difference in effective prices for potatoes at remote and non-remote Coles stores varied across financial years, ranging between -3–6%.[1267] As discussed later in this section, Coles stores in very remote areas in Western Australia attract a freight mark up.

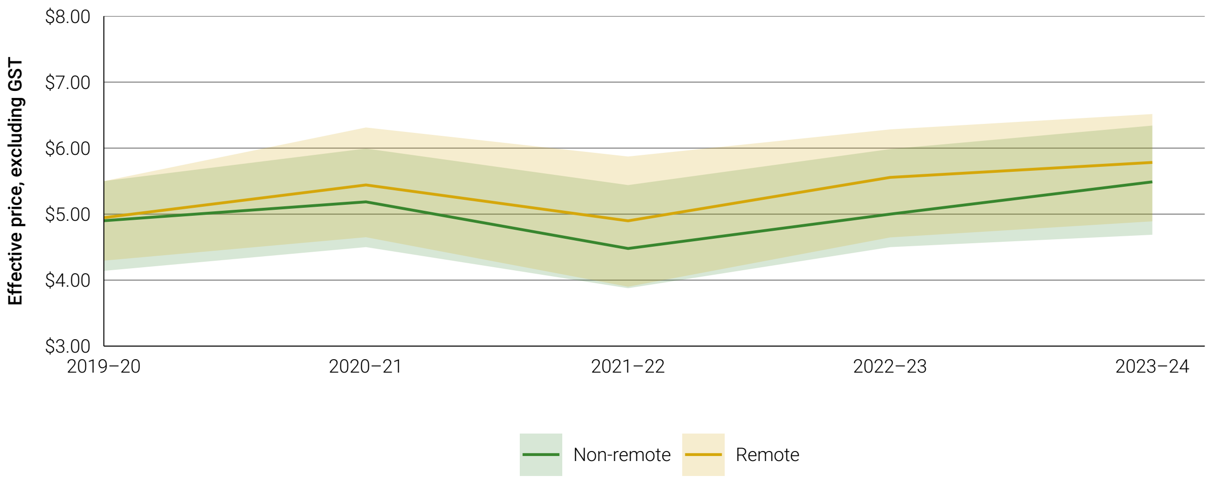
Apples were on average more expensive in remote Coles, Metcash banner and Woolworths stores than in non-remote stores across all years.[1268] The difference in effective prices for apples in remote stores compared to non-remote stores varied considerably (see figure 4.26 for indicative examples).

1265 Information provided to the ACCC.
1266 Information provided to the ACCC.
1267 Information provided to the ACCC.
1268 Information provided to the ACCC.

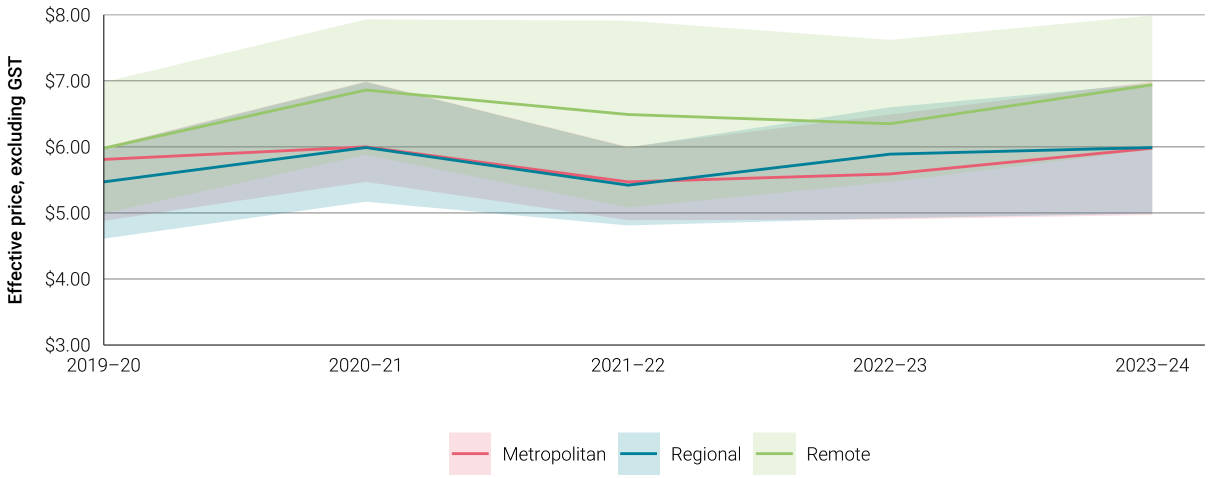
In the reporting period, median effective prices of apples in remote Metcash banner stores were 3–19% higher than in non-remote stores, 2–11% higher in remote Woolworths stores and 1–11% higher in remote Coles stores.[1269]

Figure 4.26: Distribution of effective prices paid by consumers for apples in non-remote and remote stores over the reporting period

a) Coles – apples



b) Metcash banner stores – apples



Note: Ribbon shows 25% to 75% percentile range of the effective price. Solid line is the median effective price.
Source: ACCC analysis; Information provided to the ACCC.

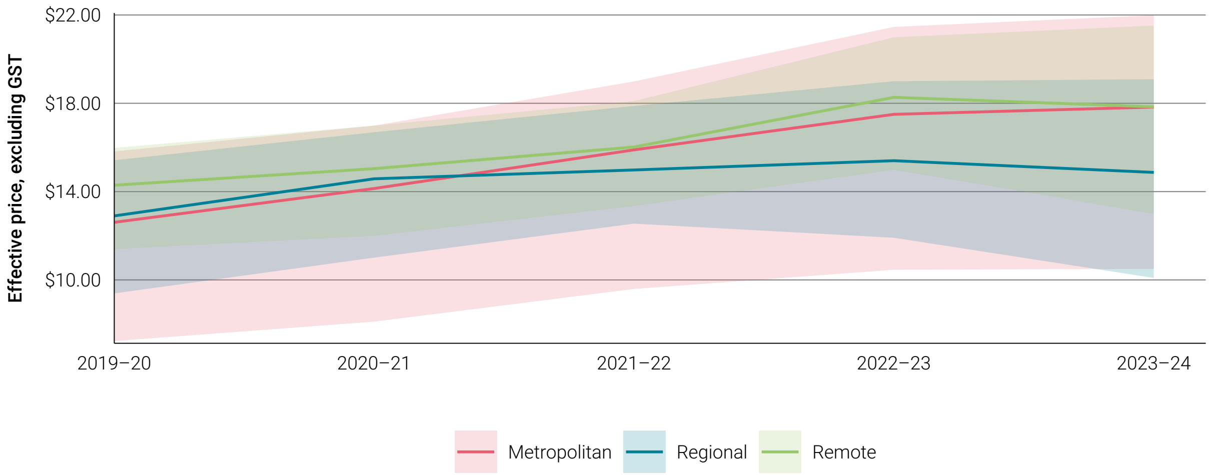
Metcash banner store customers of regional stores paid a lower median effective price for beef mince in some years compared to customers in metropolitan and remote locations (figure 4.27).[1270] In general, median effective prices of mince products were higher at Metcash banner stores than at Coles and Woolworths. For Coles and Woolworths, the difference in median effective price for beef mince sold at non-remote and remote stores was similar over the reporting period.[1271] The quality of

1269 Information provided to the ACCC.
1270 Information provided to the ACCC.
1271 Information provided to the ACCC.

mince varies between stores and may impact the price of mince. That is, mince containing a higher fat content is generally cheaper.[1272]

Figure 4.27: Distribution of effective prices paid by consumers for beef mince in metropolitan, regional and remote Metcash banner stores over the reporting period

Metcash banner stores – beef mince



Note: Ribbon shows 25% to 75% percentile range of the effective price. Solid line is the median effective price.
Source: ACCC analysis; Information provided to the ACCC

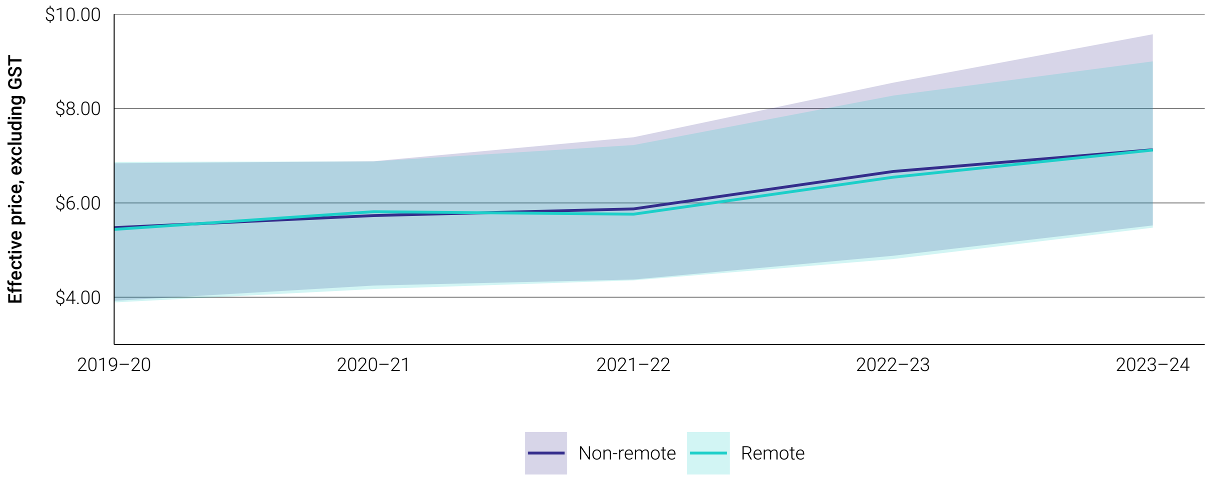
Customers in remote Woolworths stores on average paid less or similar prices for eggs than customers in non-remote Woolworths stores since 2022 (approximately up to 2% less) (figure 4.28).[1273] While Coles' remote customers paid median effective prices of between 3–14% more for eggs than non-remote customers.[1274]

Our analysis of Metcash banner stores effective prices showed a similar pattern to Coles, with remote customers on average paying median effective prices for eggs of 4–12% more than regional customers (figure 4.28). With the exception of 1 July 2023 to 30 April 2024, where eggs in remote Metcash banner stores were about 11% more expensive, effective prices for eggs generally demonstrated similar median effective prices in metropolitan Metcash banner stores.[1275]

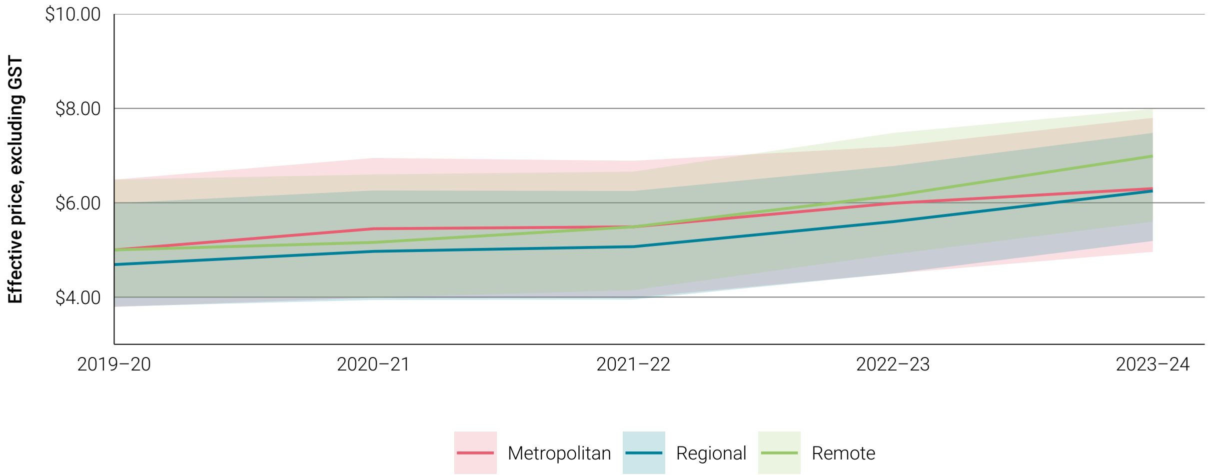
1272 Information provided to the ACCC.
1273 Information provided to the ACCC.
1274 Information provided to the ACCC.
1275 Information provided to the ACCC.

Figure 4.28: Distribution of effective prices paid by consumers for eggs in non-remote and remote stores over the reporting period

a) Woolworths – eggs



b) Metcash banner stores – eggs



Note: Ribbon shows 25% to 75% percentile range of the effective price. Solid line is the median effective price.
Source: ACCC analysis; Information provided to the ACCC

Comparison of effective prices paid in remote stores compared to non-remote stores in the same pricing region

Coles and Woolworths submitted that certain remote stores are excluded from their national or uniform pricing policies, citing higher freight cost amongst other factors.[1276]

Using the pricing information we obtained for a sample of Coles and Woolworths stores across Australia, we compared the effective price paid for the same product in each store relative to other stores within the supermarket chain's pricing region (usually on a state basis).

Consistent with the submissions made by Coles and Woolworths, we found that remote stores drive price differences seen at a national level, as described in section 3.4.2, and at a state level. We did

1276 Coles, Submission to the Interim Report, published November 2024, p 2; Woolworths, Supplementary Submission to the Interim Report, published January 2025, p 26; ACCC, public hearing transcript, 18 November 2024, p 523.

not do this price analysis for Metcash banner stores as they are run by independent supermarket operators and do not have a uniform pricing policy.

Coles indicated in the public hearings that products offered in 13 stores in remote areas including in Western Australia and the Northern Territory generally have a freight premium applied, so the majority of products would have a higher price than what is charged at other stores.[1277] Woolworths indicated in the public hearings that '[t]here are a few very remote stores where we do have some packaged products that are priced slightly higher'.[1278]

We have not seen evidence in our sample to suggest that prices in remote stores are increasing at a faster rate than prices in non-remote stores.

Supermarket costs in remote stores are difficult for independent supermarkets to recover

Coles, Metcash and Woolworths submitted or gave evidence that the cost of freight is one of the greatest factors leading to higher prices in remote communities.

We heard evidence from Metcash during the public hearings that freight costs are 'the biggest factor' for the high grocery costs in remote communities.[1279] Metcash stated that freight costs impact not just the costs of goods but all forms of grocery service, including the cost of building materials and getting materials on site.[1280]

Similarly, Woolworths gave evidence during a public hearing that supplying stores in the Northern Territory, and other remote areas of Australia is 'incredibly expensive'.[1281]

Coles provided an example in its submission to our Interim Report that based on the October 2024 fuel price, the average cost per pallet to deliver products to regional Northern Territory stores from its South Australian distribution centre via road was approximately 15 times higher than the rate to metropolitan South Australia.[1282]

Smaller independent supermarkets in remote areas also incur substantial logistical costs in transporting products, most likely due to the long distances involved. The Arnhem Land Progress Association (ALPA), which runs remote stores across the Northern Territory, was reported to have stated that '[every store] pays for freight to get stock from the eastern seaboard into the territory, either Alice Springs or Darwin, [and] we then pay freight to get it into the community'. [1283] It further stated that communities located on the coast of Northern Australia often require sea freight which is 'a lot more expensive' than truck deliveries to inland communities.[1284]

Both Coles and Woolworths submitted they partially absorb the costs of freighting products to very remote stores. Coles submitted the only exception to its statewide pricing policy is in relation to 13 stores located in more remote areas where an additional freight cost is factored into the retail pricing of some products.[1285] Coles noted that its stores in Western Australia include a number of very remote stores which attract a freight mark up.[1286]

1277 ACCC, public hearing transcript, 21 November 2024, p 663.
1278 ACCC, public hearing transcript, 18 November 2024, p 485.
1279 ACCC, public hearing transcript, 14 November 2024, p 366.
1280 ACCC, public hearing transcript, 14 November 2024, p 366.
1281 ACCC, public hearing transcript, 18 November 2024, p 524.
1282 Coles, Submission to the Inquiry Interim Report, published November 2024, p 8.
1283 I Tolhurst. A new federal scheme is set to lower grocery prices in remote stores. Here's why they're so high, *ABC News*, 10 February 2025, accessed 18 February 2025.
1284 I Tolhurst. A new federal scheme is set to lower grocery prices in remote stores. Here's why they're so high, *ABC News*, 10 February 2025, accessed 18 February 2025.
1285 Coles, Submission to the Inquiry Interim Report, published November 2024, pp 2, 8; Information provided to the ACCC .
1286 Coles, Submission to the Inquiry Interim Report, published November 2024, pp 2, 8.

However, Coles submitted that key value items, such as meat categories which do not have the additional freight component applied, are priced the same across Western Australia. Coles stated it absorbs the higher costs of freighting these items to regional locations.[1287]

Coles further stated that '[f]resh produce is one of the key value lines that does not have a regional freight cost applied to the retail price. Accordingly, the retail price of fresh produce within a geographic pricing region is consistent across all stores (including remote stores)'.[1288] Similarly, Woolworths submitted at a public hearing that it applies a national pricing policy for the most part, and that it costs Woolworths 'a huge amount of funds' to transport products to certain locations across Australia.[1289]

While Coles and Woolworths submitted they at least partially bear the increased costs of transporting products to remote areas, it is important to note that the scale of these supermarket chains better positions them to offset these costs.

We recognise that freight costs present a more significant challenge for smaller independent stores in remote areas that do not have the benefit of economies of scale and must recover these higher costs from a smaller sales volume.

In addition to the high logistical and freight costs, independent supermarkets in remote areas incur higher product prices compared to supermarket chains given their smaller purchase volumes.

Alistair King of ALPA was reported as stating that the procurement price for remote stores is much higher than that of supermarket chains due to differences in purchase volumes.[1290] In its discussion paper, the National Indigenous Australians Agency also concluded that in general, higher prices are primarily a result of the lower commercial purchasing power of remote suppliers and higher operational costs (including freight and repair costs).[1291]

We analysed data provided by Coles and Woolworths to assess whether operational and freight costs are higher for servicing remote stores. We examined the cost of doing business of Coles and Woolworths stores located in remote areas compared to non-remote areas and found on average costs were lower for remote stores.[1292] This likely reflects that expenses such as rent are less in remote areas. However, we note that these costs do not include freight costs.

We also obtained data from Coles on the distribution costs associated with stores in our sample. Analysis of this data found that, on average, distribution costs were approximately 2% more as a proportion of the cost of doing business for remote stores compared to non-remote stores.[1293]

We did not obtain data from Woolworths on the distribution costs associated with each store in our sample, and therefore we were unable to verify how much it costs to distribute products to a Woolworths remote store compared to a non-remote store. As noted above, we did not seek information from independent supermarkets in remote areas, so were unable to assess their distribution costs or costs of doing business.

1287 Coles, Submission to the Inquiry Interim Report, published November 2024, p 8.

1288 Information provided to the ACCC.

1289 ACCC, public hearing transcript, 18 November 2024, p 524.

1290 I Tolhurst. A new federal scheme is set to lower grocery prices in remote stores. Here's why they're so high, ABC News, 10 February 2025, accessed 18 February 2025.

1291 National Indigenous Australians Agency, National Strategy for Food Security in Remote First Nations Communities – Discussion Paper, 31 May 2024, p 4, accessed 18 February 2025.

1292 Information provided to the ACCC.

1293 Information provided to the ACCC.

4.8.2 Consumers in remote locations spend more per shop and lack store choice

We obtained a range of monthly information for the period from approximately 31 December 2018 to 31 May 2024 on the characteristics of the stores in our price information sample, including the number of transactions in store and online, the average spend per transaction, store sales revenue, total cost of goods sold and the cost of doing business.

We found that on average consumers in remote areas tend to spend approximately $9–21 more per transaction compared to consumers located in other areas.[1294] Table 4.29 presents average spend broken down by different store types or locations for each supermarket reflecting the pricing policies they employ.

We separately report on Woolworths Metro brand stores noting they tend to have higher prices, and regional and remote Metcash-supplied stores given they are independently run stores.[1295]

In our view, the average higher transaction spend in remote and very remote stores likely, at least in part, reflects that consumers may be required to travel a greater distance to get to the shop, shop less frequently, and therefore buy more in each transaction. It also likely reflects that on average, grocery prices are more expensive. The number of transactions in remote stores also tends to be lower on average compared to regional and metropolitan areas, which likely reflects the smaller populations in these areas compared to major cities and the tendency of consumers to buy more in a single transaction.[1296]

1294 Information provided to the ACCC.

1295 Information provided to the ACCC.

1296 Information provided to the ACCC.

Table 4.29: Average spend per transaction in sampled stores

Supermarket	Average spend per transaction	Difference
Coles		
All stores	$47.30	
Excl remote stores	$46.72	
Remote stores only	$55.58	+$8.86 more than non-remote
Woolworths		
All stores	$44.60	
Standard format stores	$47.43	
Standard format excluding remote stores	$45.40	
Remote stores only	$62.91	+$17.51 more than non-remote
Woolworths Metro brand stores	$27.79	- $19.64 less than standard format
Metcash supplied retailers		
All stores	$28.14	
All stores excluding regional + remote stores	$21.46	-$6.68 than all stores combined
Remote stores only	$41.81	+$20.35 compared to stores excluding regional and remote
Regional stores only	$31.59	+10.13 compared to stores excluding regional and remote

Note: Metcash banner stores tend to have significantly smaller store footprint on average than Coles and Woolworths (see section 3.10 for more discussion) which may contribute to smaller basket size.

Source: Information provided to the ACCC.

We acknowledge that the figures presented in table 4.29 likely underestimate how much more remote consumers pay for their groceries because many do not have access to one of the supermarkets we obtained data from. We also note that consumers in remote locations generally face higher access costs to get to a grocery retail outlet as public transport options are limited and retail outlets are more dispersed in remote areas.

In addition to paying higher prices and spending more on average per shop, consumers in remote communities often do not have an option to shop around. Whilst some consumers in regional locations may have access to Coles or Woolworths (or both), as well as independent supermarkets, during the public hearings we heard from the Indigenous Consumer and Assistance Network and CHOICE that remote communities generally have one store that is the main, and sometimes only provider of food in the community.[1297] The Indigenous Consumer Assistance Network informed us there is no Woolworths, Coles or ALDI presence in remote communities, with some IGA stores available in some larger communities. [1298]

1297 ACCC, public hearing transcript, 7 November 2024, pp 23, 37.

1298 ACCC, public hearing transcript, 7 November 2024, pp 25, 32–33.

4.8.3 Consumers in remote locations may face insufficient price transparency

We heard from Indigenous Consumer Assistance Network during the public hearings that remote grocery stores lack transparency in their pricing, stating that some stores in remote locations do not provide any price labels.[1299] CHOICE has also reported on the lack of pricing information in remote grocery stores.[1300] In its joint submission to the National Indigenous Australians Agency's discussion paper, CHOICE advocated for mandatory price displays in all stores to help consumers make more informed decisions.[1301]

During the public hearings, the Indigenous Consumer Assistance Network stated that remote store operators sometimes point to freight cost increases as a justification for not providing pricing information in remote stores (that is, retail prices change so frequently as a result of freight price increases that there is no point putting pricing information on products as it will quickly become out of date).[1302]

Further, the Indigenous Consumer Assistance Network indicated that consumers in remote communicates may be hesitant to question explanations for higher food prices, stating 'they don't want to rock the boat … because of the fact that they have nowhere else to shop' because there may be repercussions if they do so.[1303]

4.8.4 Consumers in remote locations may be experiencing food insecurity

'Food security' has been defined as access to enough food for a healthy life to all people at all times.[1304] In the contrast, 'food insecurity' exists when the availability and ability to acquire nutritional foods is limited or uncertain.[1305] At the public hearings, we heard from a panel of consumer representative groups that consumers in remote locations may experience food insecurity as a result of unreliable income or disruptions to the supply of food.[1306] Food supply chains in remote locations are vulnerable to disruptions due to extreme weather, which reportedly impact supply chains for up to 5 months of every year in some regions.[1307]

During the public hearings, the Indigenous Consumer Assistance Network stated that, 'having 3 meals a day … doesn't happen in community'.[1308] The Indigenous Consumer Assistance Network also referred to the lack of availability of fresh fruit and vegetables in remote Indigenous communities.[1309] On this issue, CHOICE stated that having limited and uncertain access to perishable foods may also force consumers to have a diet that is comprised of more packaged and processed foods.[1310] In its submission to our Interim Report, NT Health submitted that food insecurity is linked

1299 ACCC, public hearing transcript, 7 November 2024, pp 20–21, 36.

1300 J Blakkarly, 'Groceries cost more than twice as much in remote First Nations communities', *CHOICE*, 31 October 2024, accessed 18 February 2025.

1301 CHOICE,, Submission to the Inquiry Interim Report, published November 2024, pp 6, 11.

1302 ACCC, public hearing transcript, 7 November 2024, p 20.

1303 ACCC, public hearing transcript, 7 November 2024, pp 23–24.

1304 Australian Institute of Family Studies, Food insecurity in Australia: What it is, who experiences it and how can child and family services support families experiencing it?, August 2011, p 2, accessed 18 February 2025.

1305 Australian Institute of Family Studies, Food insecurity in Australia: What it is, who experiences it and how can child and family services support families experiencing it?, August 2011, p 2, accessed 18 February 2025.

1306 ACCC, public hearing transcript, 7 November 2024, pp 13, 35–36

1307 M McCarthy, 'Malarndirri McCarthy: Healthy food should be affordable no matter where you live', *The Western Australian*, 14 November 2024, accessed 18 February 2025.

1308 ACCC, public hearing transcript, 7 November 2024, p 13.

1309 ACCC, public hearing transcript, 7 November 2024, p 33.

1310 ACCC, public hearing transcript, 7 November 2024, p 13.

to a number of health issues.[1311] The National Indigenous Australians Agency's discussions paper outlines how rates of diet-related disease among First Nations people in remote communities continues to rise, including that:[1312]

- First Nations people over 30 years of age living in Central Australia have one of the highest rates of diabetes in the world
- First Nations people living in remote and very remote areas have rates of kidney failure that are up to 20 times higher than those of comparable non-Indigenous peoples.

While health impacts are outside the scope of the Inquiry, we consider they are a symptom of food insecurity which is resulting at least partially from disproportionately high prices in remote communities.

4.8.5 We support recommendations to improve pricing transparency and strengthen complaints handling mechanisms in remote locations

As previously outlined, we consider that grocery prices are generally higher in remote locations, and in some instances, significantly higher, and that consumers living in these areas may be experiencing insufficient price transparency and food insecurity. We recognise that the National Indigenous Australian Agency is in the process of developing the National Strategy for Food Securities in Remote First Nations Communities and is considering what actions may be necessary to address these and other concerns. In particular, we support the following recommendations which have been put forward to the National Indigenous Australian Agency as part of this process and which relate to issues considered as part of our Inquiry:[1313]

- the display of pricing information be made mandatory on all items in stores operating in remote communities – this already forms part of our boarder recommendation that all supermarkets should be required to publish pricing information (recommendation 2 discussed at section 3.6.6), which is aimed at increasing price transparency
- the government mandates signage at the front of every remote store that clearly conveys where consumers can complain if they have any issues
- the government provides support and funding to the ACCC and state and territory fair trading bodies to handle complaints from consumers in remote locations.

As previously outlined in section 3.3.2, we also recommend that governments of all levels should consider ways to support community-owned and community-run stores in limited choice areas (particularly remotes areas) with appropriate governance measures.

We consider it important to note that these recommendations, in isolation, would only have a limited impact on high grocery prices in remote areas, as well as flow-on issues facing consumers in these communities which are beyond the scope of this Inquiry.

1311 NT Health, Submission to the Inquiry Issues Paper, published May 2024, p 2.

1312 National Indigenous Australians Agency, National Strategy for Food Security in Remote First Nations Communities – Discussion Paper, 31 May 2024, p 7, accessed 18 February 2025.

1313 CHOICE, Submission to the Inquiry Interim Report, published November 2024, p 6; CHOICE, Submission to the Inquiry Interim Report, published November 2024, pp 6–7.

Recommendation 9

We recommend measures to strengthen complaints handling mechanisms in remote locations

We support the following recommendations which have been put forward to the National Indigenous Australian Agency as part of the process of developing the National Strategy for Food Security in Remote First Nations Communities and which relate to issues considered as part of our Inquiry:

- the government mandates signage at the front of every remote store that clearly conveys where consumers can complain if they have any issues
- the government provides support and funding to the ACCC and state and territory fair trading bodies to handle complaints from consumers in remote locations.

5

Grocery supply chains in Australia

5. Grocery supply chains in Australia

Key points

- Efficient supply chains are crucial to ensuring markets for the supply of groceries are working well for consumers, suppliers, and the Australian economy. The buyer power of supermarkets allows them to bargain with suppliers which can improve the efficiency of supply chains and benefit consumers. Where supermarket buyer power takes the form of monopsony power, suppliers may be exposed to harmful exercises of buyer power that undermines the efficient operation of markets.
- Supply chains for grocery products vary significantly. Groceries on supermarket shelves typically either come from primary producers (such as farmers and growers) or wholesalers or manufacturers.
- There are significant variations in grocery product trading terms across product categories that may in part reflect significant variations in grocery supply chains.
- Coles' and Woolworths' high share of grocery sales in Australia mean that they have a major impact on the supply chain for grocery products. Coles and Woolworths have substantial buyer power in negotiating with many (but not all) of their suppliers. The extent of buyer power Coles and Woolworths have varies by market structure and supplier, and it is not always the case that they have substantial buyer power.
- The buyer power of Coles and Woolworths is most pronounced in those fresh produce supply chains where production is highly fragmented, products are perishable and homogeneous, and where a small number of supermarket chains are the primary sales channels. Coles and Woolworths are able to exercise monopsony power in their trading relationships with many suppliers in these supply chains.
- In contrast, for products where suppliers enjoy substantial brand loyalty at the retail level or have substantial alternative sales channels, supermarket buyer power is unlikely to raise the same concerns. Rather, it may improve the efficiency of supply chains by counteracting supplier market power. Markets for some packaged grocery products may exhibit these characteristics.
- However, many suppliers of packaged grocery products may also operate in environments where their products do not enjoy substantial brand loyalty and they consider they are heavily dependent on supermarkets as a sales channel. Reflecting this, there is also a bargaining power imbalance between Coles and Woolworths and some packaged goods suppliers.
- Coles' and Woolworths' potential to exercise monopsony power in their trading relationships with many suppliers means that many suppliers are reluctant to raise concerns about their trading arrangements with Coles and Woolworths due to a fear of retribution.
- The Food and Grocery Code provides a range of core protections for suppliers. We have recommended strengthening some of these protections.
- Coles' and Woolworths' category managers have a significant degree of autonomy in how they deal with suppliers.

This chapter outlines the key features of grocery supply chains in Australia. The chapter is structured as follows:

- Section 5.1 provides an overview of grocery supply chains in Australia.
- Section 5.2 examines buyer power in grocery supply chains, in particular the degree of buyer power Coles and Woolworths have in their trading arrangements with suppliers.
- Section 5.3 examines the fears many suppliers hold about raising issues in relation to their trading arrangements with, in particular, Coles and Woolworths.
- Section 5.4 considers the roles of supermarket category managers.

5.1 Grocery supply chain structures can vary significantly

This section provides a brief overview of the fresh produce and packaged grocery supply chains and trading arrangements with ALDI, Coles, Metcash and Woolworths.

Trading arrangements between ALDI, Coles, Metcash and Woolworths and their suppliers are considered in more detail in chapter 6.

5.1.1 Overview of grocery supply chains

Supply chains for grocery products vary significantly. Groceries on supermarket shelves typically come from primary producers (such as farmers and growers) or wholesalers or manufacturers.

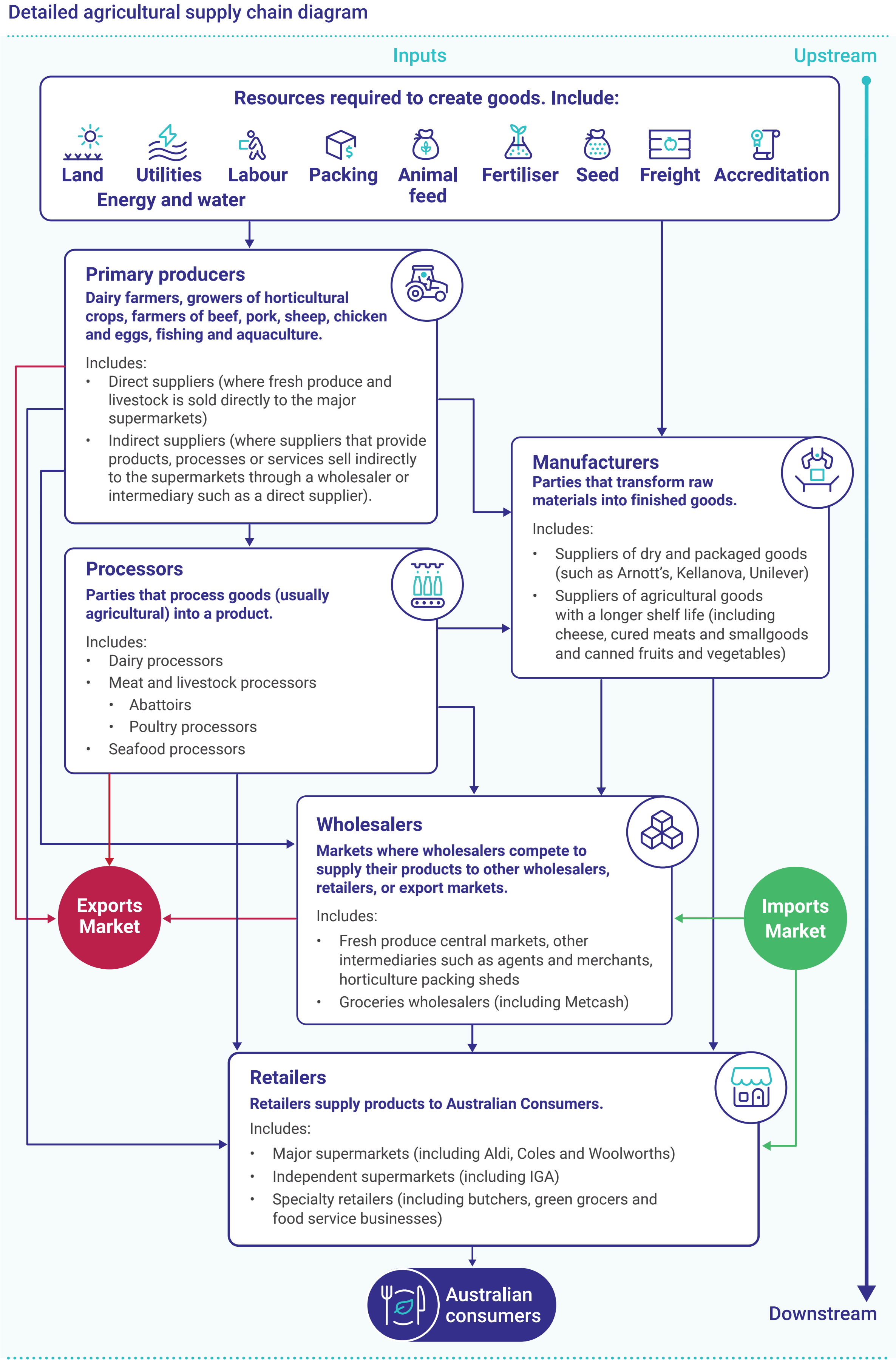
As discussed in section 5.2, reliance on supermarket chains, particularly Coles and Woolworths, as trading partners, and the consequences of this reliance for efficient delivery of grocery products to consumers, depends on the nature of the supply chain and the characteristics of the product.

The 2 main types of supply chains that are the focus of our assessment of ALDI's, Coles', Metcash's and Woolworths' trading arrangements with their suppliers are:

- Fresh produce – (exhibiting varying degrees of perishability) where, in the case of fresh fruit and vegetables, price and volume are typically negotiated through weekly tender processes operated by each supermarket. Perishable produce markets are often characterised by a relatively small number of buyers acquiring most of the produce, compared to a relatively large number of producers.
- Packaged groceries – (usually semi to nonperishable) where longer term supply contracts between suppliers and the supermarkets are typically in place, subject to regular review. Packaged goods markets typically have greater concentration at the supplier level compared to the fresh produce sector and, in some cases, less concentration at the buyer level (with buyers other than supermarkets including, for example, the hospitality industry, pharmacies, and convenience outlets).

Within these 2 broad categories there is a variety of different types of supply chains and associated trading arrangements. For example, product categories such as dairy, eggs and meat are fresh produce product categories with varying degrees of perishability. However, in these product categories trading arrangements between suppliers and supermarkets are more analogous to those for packaged products with longer term contractual arrangements in place.

Figure 5.1: Grocery supply chains can vary significantly



The sections below describe in general terms the common elements of trading arrangements in relation to:

- fresh produce (fruit and vegetables)
- packaged groceries.

While the sections below describe these trading arrangements in general terms, specific trading arrangements vary between ALDI, Coles, Metcash and Woolworths. Specific trading arrangements for individual supermarkets can also vary by, and within, product categories.

As a general observation we note that in relation to both fresh produce and packaged groceries, Coles' and Woolworths' trading arrangements with many suppliers are complex, and some suppliers have reported not having a complete understanding of them. We consider this complexity is likely exacerbated by different teams within Coles and Woolworths having responsibility for different aspects of these trading arrangements.

5.1.2 Fresh produce

ALDI, Coles and Woolworths acquire fresh produce both directly from growers and indirectly via intermediaries, such as agents and wholesalers (collectively referred to in figure 5.2 below as suppliers).[1316]

In respect of some fresh produce product categories such as specific fruit and vegetables, dairy, and red meat, supermarkets acquire produce from a range of different types of suppliers. Supermarkets can have trading arrangements in a single product category for supply by farmers and growers, aggregators, wholesalers and processors. In many cases the supermarket will have direct trading relationships with these suppliers. In others, such as red meat, they may employ a mix of direct trading arrangements and acquisition of stock through open auction systems (such as through sale yards).

Some suppliers enter longer term contractual arrangements with supermarkets in relation to volumes and price. Woolworths submitted some of its fresh produce, such as packaged salads and mushrooms, with less volatility in production have contracted pricing in place to allow for longer-term planning.[1317]

Coles indicated that, with respect to fresh produce, it enters into longer-term contracts with suppliers in a limited number of product lines. This includes suppliers of products that are harvested infrequently (for example nuts which are harvested annually) or where the contracts are to exclusively supply Coles with certain products.[1318]

In many fresh produce product categories ALDI's, Coles' and Woolworths' trading terms with fresh produce suppliers do not include volume and pricing. These suppliers often receive non-binding volume 'forecasts' ahead of each season.[1319] Prices are generally not included in these forecasts or other supply contracts. For most fresh produce, prices are negotiated on a weekly basis, through a tendering system.[1320]

1316 As discussed in section 6.3.1, Metcash submitted that its independent retailers source between 50–90% of their fresh food from alternative suppliers to Metcash.

1317 Woolworths, Submission to the Inquiry Issues Paper, published May 2024, p 46.

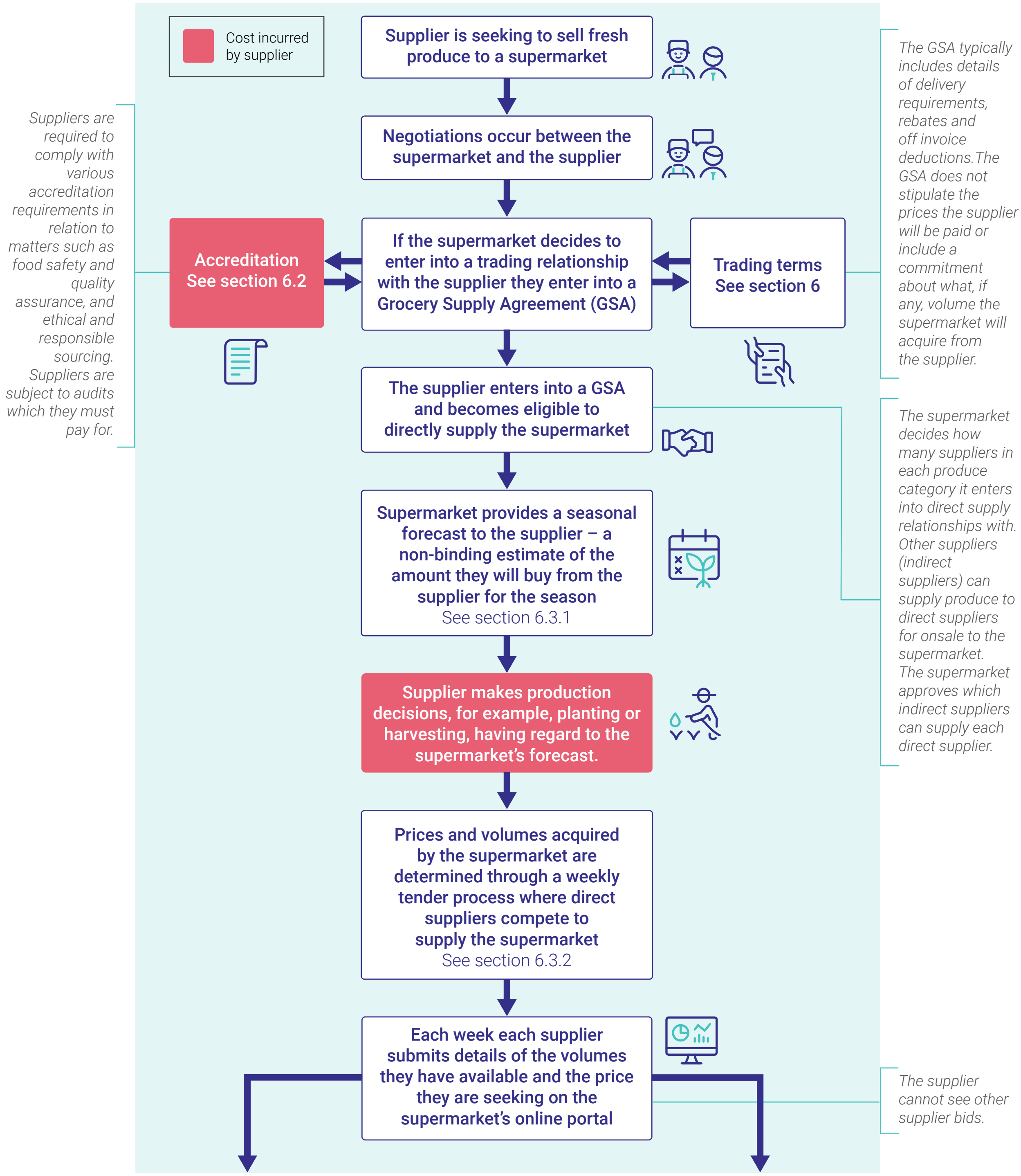
1318 Information provided to the ACCC. See ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 213.

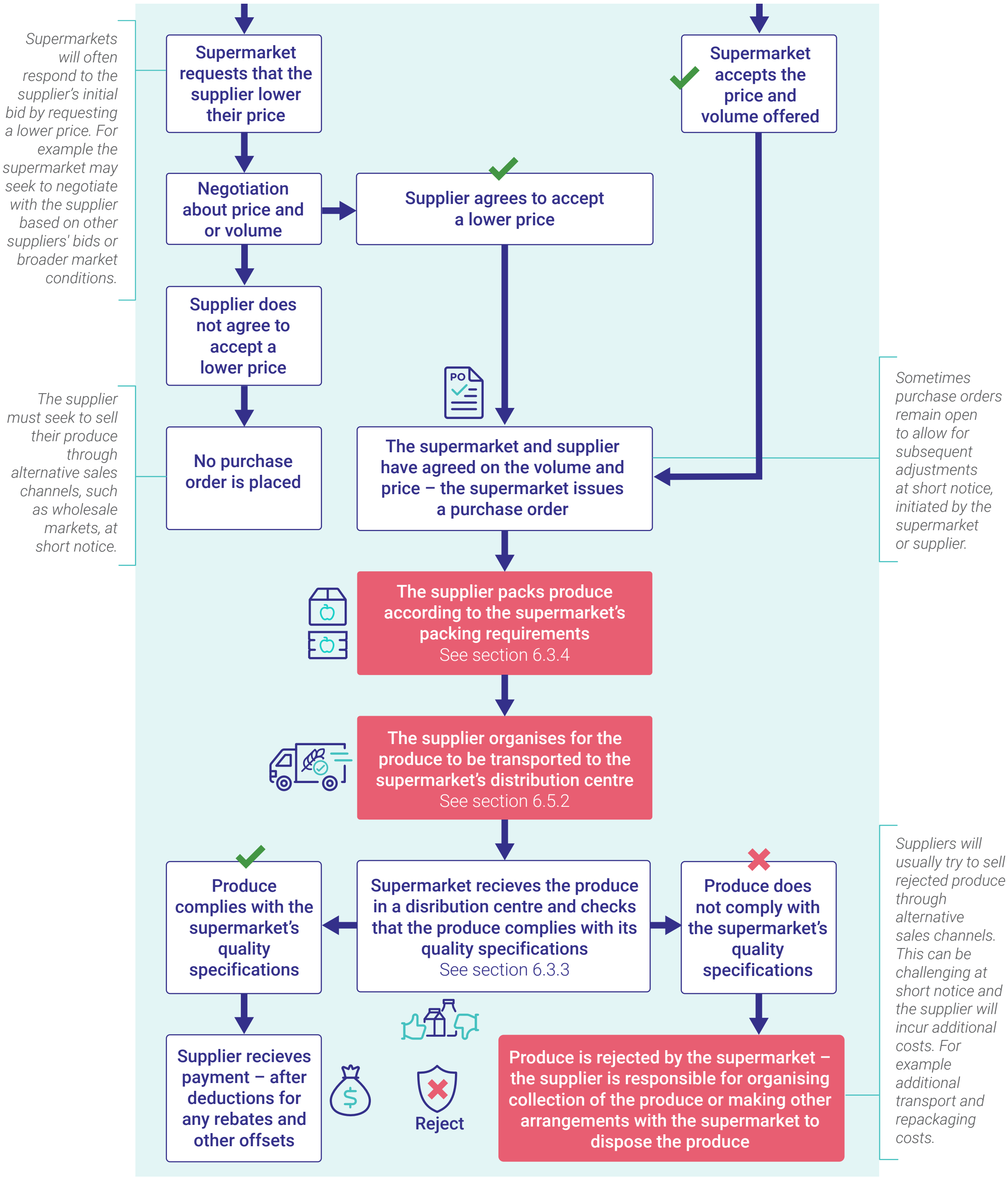
1319 Coles, Submission to the Inquiry Issues Paper, published May 2024, p 15; Woolworths, Submission to the Inquiry Issues Paper, published May 2024, p46; NFF Horticulture Council, Submission to the Inquiry Issues Paper, published May 2024, p 11; AUSVEG, Submission to the Inquiry Issues Paper, published May 2024, pp 19–20.

1320 NFF Horticulture Council, Submission to the Inquiry Issues Paper, published May 2024, p 11; Woolworths, Submission to the Inquiry Issues Paper, published May 2024, p 46.

Figure 5.2 below illustrates the trading relationship with Coles and Woolworths for this category of suppliers.

Figure 5.2: Fresh Produce Supply Chain




Supermarkets will often respond to the supplier's initial bid by requesting a lower price. For example the supermarket may seek to negotiate with the supplier based on other suppliers' bids or broader market conditions.
Supermarket requests that the supplier lower their price
Supermarket accepts the price and volume offered
Negotiation about price and or volume
Supplier agrees to accept a lower price
Supplier does not agree to accept a lower price
The supplier must seek to sell their produce through alternative sales channels, such as wholesale markets, at short notice.
No purchase order is placed
PO
The supermarket and supplier have agreed on the volume and price – the supermarket issues a purchase order
Sometimes purchase orders remain open to allow for subsequent adjustments at short notice, initiated by the supermarket or supplier.
The supplier packs produce according to the supermarket's packing requirements
See section 6.3.4
The supplier organises for the produce to be transported to the supermarket's distribution centre
See section 6.5.2
Produce complies with the supermarket's quality specifications
Supermarket recieves the produce in a disribution centre and checks that the produce complies with its quality specifications
See section 6.3.3
Produce does not comply with the supermarket's quality specifications
Suppliers will usually try to sell rejected produce through alternative sales channels. This can be challenging at short notice and the supplier will incur additional costs. For example additional transport and repackaging costs.
Supplier recieves payment – after deductions for any rebates and other offsets
Reject
Produce is rejected by the supermarket – the supplier is responsible for organising collection of the produce or making other arrangements with the supermarket to dispose the produce

As illustrated above, the price the supplier receives (i.e. the net price) is the negotiated price, less deductions for any rebates and offsets. The timing of this payment is dependent on the terms set out in the grocery supply agreement.

Coles' and Woolworths' trading term agreements usually contain a range of rebates and offsets that determine the net price the supplier receives. This may include amounts based on:

- volume of produce received
- when the supermarket makes the payment
- promotional support payments
- retail price discounts.

Many suppliers have reported not understanding what some or all of these payments are for. These rebates and other payments are discussed in section 6.5.1.

As discussed in detail in chapter 6, we consider that Coles' and Woolworths' weekly tendering processes for fresh produce, as illustrated in figure 5.2, do not provide growers with the necessary information to support efficient production decisions. The main risks of fluctuations in supply and demand are borne by suppliers who are less well placed than the supermarkets to manage and bear that risk. This, in turn, impacts suppliers' ability to plan for and undertake efficient investment in their production capabilities.

5.1.3 Packaged groceries

The following infographic visually presents an overview of the typical supply chain process for packaged groceries as experienced by a supplier when seeking to sell their product through a supermarket such as Coles or Woolworths. ALDI and Metcash follow similar processes though with some inherent differences due to the role rebates and ancillary services play in their operations.

The packaged groceries infographic outlines the steps involved in becoming a supplier to a supermarket, and the various processes and interactions that impact the trading relationship while the supplier is in the supermarket's ecosystem.

Packaged groceries suppliers apply to supply at a supermarket with their products, after which the supplier and supermarket negotiate the trading terms relating to supply. If agreement is reached, the supplier is onboarded onto a supermarket's systems and the parties formalise a grocery supply agreement. A grocery supply agreement is an agreement between the supplier and supermarket that relates to the supply of groceries.[1321] The Food and Grocery Code states that a grocery supply agreement must be in writing[1322] and include the following matters:

- any requirements in regard to the delivery of groceries
- circumstances in which the groceries may be rejected
- when and how the supplier must be paid for their groceries, including circumstances in which payment may be withheld or delayed
- the length of the agreement
- any quantity and quality requirements for the groceries
- the circumstances in which a party may terminate the agreement.[1323]

1321 Competition and Consumer (Industry Codes–Food and Grocery) Regulation 2015 (Food and Grocery Code of Conduct), cl 3.

1322 Competition and Consumer (Industry Codes–Food and Grocery) Regulation 2015 (Food and Grocery Code of Conduct), cl 7.

1323 Competition and Consumer (Industry Codes–Food and Grocery) Regulation 2015 (Food and Grocery Code of Conduct), cl 8.

Grocery supply agreements can also include various terms and conditions and trading terms including supplier funding, rebates, and ancillary services. The contents and complexity of a grocery supply agreement may vary by the type of supplier or type of supermarket. Suppliers usually provide supermarkets their list price, however the payment that suppliers ultimately receive often includes deductions for trade spends. Trade spends is a broad term which can include a range of supplier payments and funding that could be for promotions, rebates or ancillary services (see sections 6.5.1 and 6.5.2).

Product promotions run by supermarkets typically involve a discount off the product price or a deal such as a multi-buy promotion. Promotions may be funded by suppliers, and/or wholly or partly funded by supermarkets. Promotions funded by suppliers could entail suppliers paying the supermarkets through a deduction off the invoice for each sale made at the discounted price.[1324]

Rebates are payments made directly to supermarkets for various reasons, or deductions made from the product's list price (see section 6.5.1). We have been told that suppliers generally provide the same wholesale (i.e. list) price to all supermarkets, but the final payment they receive will vary according to their trading terms with each supermarket.[1325]

Supermarkets may have their own ancillary services which can include their pallet and freight system, data analytics, and/or advertising and marketing. We have been told that supermarkets generally encourage suppliers to use their ancillary services, and while it is ultimately the supplier's choice, some suppliers report feeling pressured to use the supermarkets' services (see section 6.5.2).[1326]

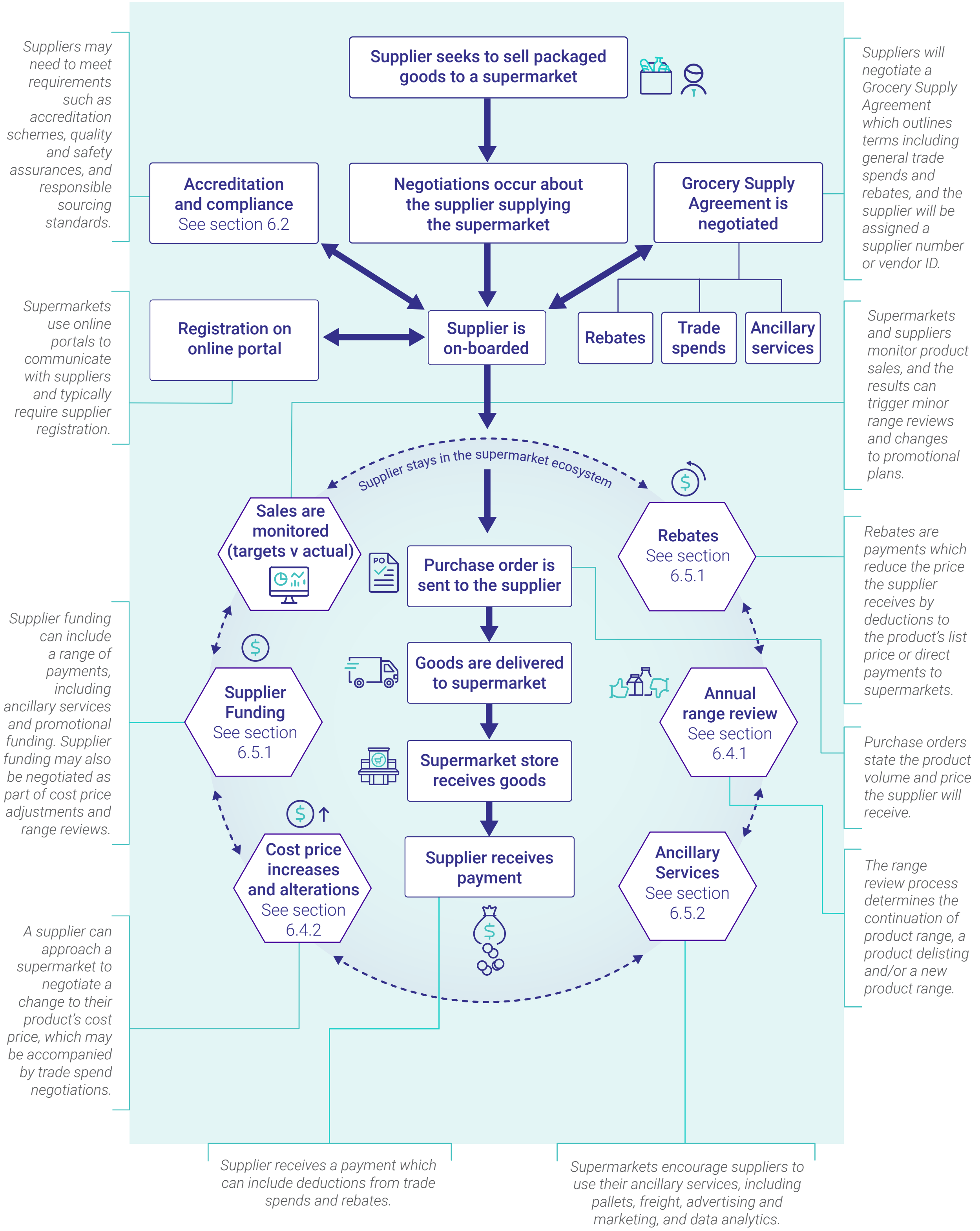
Throughout the year, sales are monitored by both the supplier and supermarket against sales targets. A supplier can approach a supermarket at any time to seek to negotiate a change to the list price (typically an increase), should their cost of production change. Supermarkets also conduct a range review of the products that are supplied by current suppliers in each category of packaged groceries, typically on an annual basis. Negotiations between suppliers and supermarkets on cost price increases and range reviews are discussed in section 6.4.

1324 See, e.g. AFGC, Submission to Inquiry Interim Report, published November 2024, p 13.

1325 See, e.g. AFGC, Submission to Inquiry Interim Report, published November 2024, p 13.

1326 See, e.g. AFGC, Submission to Inquiry Interim Report, published November 2024, pp 16–17.

Figure 5.3: Packaged Groceries Supply Chain



5.1.4 Trends in the upstream supply of groceries

Consolidation in agriculture sector

In our Interim Report, we outlined the consolidation that has occurred in the agricultural sector, where the number of broadacre farms declined even as the value of farming production has continued to grow over the past two decades.[1327]

In our public hearings, one representative gave an example of the consolidation they had seen in the context of apples and pears, and noted the efficiencies that could be gained by being a bigger consolidated business.[1328] Another representative from AUSVEG said, in the context of fruit and vegetables, that the industry is experiencing not so much consolidation, but expansion, for example by way of fresh produce suppliers buying neighbouring farms or getting other growers to contract grow for them, to achieve economies of scale.[1329] We heard that there are also some vegetable growers who are expanding because they want to supply to supermarkets 12 months of the year.[1330]

Woolworths stated there has been a lot of mergers and acquisitions in relation to fruit and vegetables,[1331] and consolidation of smaller farms and produce providers.[1332] In addition, in the context of a question regarding whether Woolworths has national supply agreements with its fruit and vegetable suppliers, Woolworths explained:

> …if you look at the agricultural stats, somewhere in the order of three to three and a half thousand fruit and veg suppliers in Australia. 12 of them are 50% of all fruit and veg sold in Australia. And so for those 12, we will tend to – as you might understand, given the size of them and what they do – have at least high level national agreements. But then each one of the suppliers, it will depend what they supply and where they supply will become a lot more specific. But there is a relatively large difference between the 12 that are 50% of what we do and the other, you know, three hundred and whatever, ten or fifteen, that are much more specific in what they supply to us.[1333]

Supermarkets are an important part of the fresh produce supply chain in Australia. Coles estimates that they procure about 15% of Australian-grown fruit and vegetables,[1334] while Woolworths submitted that they account for 20–25% of Australian fruit and vegetable supply, excluding processing.[1335] Given their significance in the procurement of fresh produce in Australia, Coles and Woolworths' arrangements with suppliers have potential implications for the production cycle, market participants' pricing and viability of individual growers.

Supermarkets typically have very specific requirements regarding fresh produce that do not necessarily lend them to purchasing a supplier's entire harvest. This can be contrasted against what Fresh Markets Australia described as the 'whole of crop' approach adopted by central market wholesalers which emphasises 'a comprehensive and inclusive strategy that encompasses the entirety of the produce harvested.'[1336] Freshmark submitted this approach allows central markets to 'offer products at variable pricing levels to suit a wider range of retailers and consumers while also

1327 See ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, pp 223–225.
1328 ACCC, public hearing transcript, 8 November 2024, pp 121–122.
1329 ACCC, public hearing transcript, 8 November 2024, p 130.
1330 ACCC, public hearing transcript, 8 November 2024, p 130.
1331 ACCC, public hearing transcript, 19 November 2024, p 599.
1332 ACCC, public hearing transcript, 19 November 2024, p 620.
1333 ACCC, public hearing transcript, 19 November 2024, p 596.
1334 ACCC, public hearing transcript, 21 November 2024, p 664.
1335 Woolworths, Submission to the Inquiry Issues Paper, published May 2024, p 46.
1336 Fresh Markets Australia, Submission to the Inquiry Issues Paper, published May 2024, p 4.

helping ensure growers are able to generate a return on their entire harvest' and allowing consumers to have a greater say in the type of produce they purchase.[1337]

In addition, AUSVEG submitted that many fresh vegetable product specifications 'fail to recognise that vegetables are not widgets manufactured in a machine to uniform dimensions, but rather grow naturally to varying lengths, diameters and shapes.'[1338] Fruit Producers SA also submitted that the suppliers they represent experience quality standards set by major supermarkets that place 'unsustainable financial pressures' on suppliers to achieve those standards, and 'a higher proportion of fruit graded as inappropriate for the supermarket.'[1339]

While fresh produce suppliers may seek to become more efficient through consolidation, even large scale suppliers are not necessarily able to realise these efficiencies.

AUSVEG submitted that many suppliers that have purchased additional farms and diversified into other states at the request of the supermarkets to ensure a 12 month's supply of product or to reduce the supermarkets' risk of not having stock e.g. through weather events, are now faced with increasing debt due to rising interest rates and poor produce returns.[1340] In addition, the Australian Fresh Produce Alliance submitted that 'direct suppliers to supermarkets are subject to a myriad of requirements, including health, safety and ethical sourcing requirements' and that this often necessitates a not insignificant investment in infrastructure and resources (including labour).[1341] These requirements are further discussed in section 6.2.

Supermarkets may prefer a more consolidated sector or supply base. One supermarket noted in an internal document that supplier fragmentation in the supply of a vegetable category was resulting in a lack of control over quality and availability, and proposed securing supply from a trusted partner to address the issue.[1342]

During the public hearings, when asked whether Coles has a preference for the type of supplier it deals with, Coles said it did not, explaining that they 'would look to partner for the long-term and to really have strategic alignment' but also highlighted the significant diversity of its supply base, noting they 'deal with 350 produce suppliers and 1,200 growers across the country'.[1343] Woolworths agreed with the proposition that the fruit and vegetable suppliers that Woolworths deals with come in a variety of formats, from smaller family farms all the way up to the consolidated corporatised farming model, but also gave the caveat that because of logistics they often need to buy from grower-aggregators.[1344]

ALDI expressed that they did not have a specific preference as to the type of fresh fruit and vegetables businesses it deals with.[1345] They expressed that ALDI has the desire to partner with whoever can provide a 'reliable and consistent product at the right quality and at the right price'.[1346] ALDI said they have a range of different arrangements, but that their 'preference is to utilise direct-to-farm relationships' wherever they can, and that this has 'been a deliberate strategy' over the last couple of years.[1347] ALDI further explained that they 'will still have engagements with intermediaries or agents where [they] believe there is benefit in doing so', for example where they

1337 Freshmark, Submission to the Inquiry Issues Paper, published May 2024, pp 6, 10.
1338 AUSVEG, Submission to the Inquiry Issues Paper, published May 2024, p 7.
1339 Fruit Producers SA, Submission to the Inquiry Interim Report, published November 2024, p 1.
1340 AUSVEG, Submission to the Inquiry Issues Paper, published May 2024, p 5.
1341 Australian Fresh Produce Alliance, Submission to the Interim Report, published November 2024, p 8.
1342 Information provided to the ACCC.
1343 ACCC, public hearing transcript, 22 November 2024, p 785.
1344 ACCC, public hearing transcript, 19 November 2024, p 596.
1345 ACCC, public hearing transcript, 11 November 2024, p 284.
1346 ACCC, public hearing transcript, 11 November 2024, p 284.
1347 ACCC, public hearing transcript, 11 November 2024, p 281.

consolidate stock from smaller farms who are too small to deal with ALDI directly, or help with packaging of product or other logistics.[1348]

Increasing vertical integration and expansion into related markets

In our Interim Report, we outlined examples where supermarkets have invested in the vertical integration of certain supply chains and acquired several related businesses, including dairy processing, wholesale food distribution services and pet products.[1349] This can enable supermarkets to increase cost efficiencies and use existing capabilities to enter new markets that diversify the supermarket's revenue stream.[1350]

Woolworths recognises that a key pillar of their adjacency strategy is to leverage the Group's assets, scale and capabilities to create value in adjacent businesses.[1351] This includes establishing Greenstock, an end-to-end red meat procurement body that also manages processing capabilities, quality control and revenue maximisation of export meat to minimise category cost impact.[1352] Coles' meat business unit also oversees a similar 'integrated livestock model'.[1353] Both Coles and Woolworths invest in their meat supply chains as it provides greater control over quality and security of supply[1354] in a category they both recognise is a key driver of store choice and where consumers choose to conduct their major shop.[1355] In a supply chain where there are high export opportunities, supermarkets can either compete with exporters when contracting with meat processors,[1356] or look to develop an integrated model through which they can procure livestock direct from producers and manage processing costs inhouse to realise efficiencies.

Significantly, Coles and Woolworths have also expanded into data processing and analytics, and retail media services markets.[1357] Discussion of these businesses and its related ancillary costs to suppliers can be found in section 6.5.2.

The growth of private label products

Private label products are supermarket-owned brands that are commonly manufactured by a third party in accordance with the design, specifications and cost structure determined by a supermarket.[1358]

ALDI focusses strongly on private labels and submitted that it has significantly influenced pricing at competitor supermarket chains, particularly in private label (own brand) products where similar products are stocked by ALDI.[1359] According to AFGC, ALDI has brought 'more price competition into the market from the major retailers and more focus around private label as well, so major retailers have grown their private label offerings since ALDI entered the market'.[1360]

1348 ACCC, public hearing transcript, 11 November 2024, p 281.
1349 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 36.
1350 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 225.
1351 Information provided to the ACCC.
1352 Information provided to the ACCC.
1353 Information provided to the ACCC.
1354 Information provided to the ACCC.
1355 Information provided to the ACCC.
1356 See e.g. Australian Meat Industry Council, Submission to the Inquiry Issues Paper, published May 2024, p 7.
1357 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 225.
1358 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 227.
1359 ALDI, Submission to the Inquiry Issues Paper, published May 2024, p 2 citing ACCC, Grocery Inquiry Final Report, 5 August 2008.
1360 ACCC, public hearing transcript, 7 November 2024, p 64.

Coles and Woolworths both gave evidence about how they compete with ALDI on price including through private label products,[1361] with Coles emphasising a full range of tiers for private label,[1362] including 'pseudo brands' that are not marketed as supermarket-owned.[1363] Woolworths gave evidence that their private label focusses on value to help lower costs of groceries.[1364] Both supermarkets have continued interest in growing their private label offering to compete in the retail market.[1365] Metcash however, approaches private labels differently from large vertically integrated chains, where they seek to develop products in response to retailer demand for products to meet a certain price point or customer demographic.[1366] In public hearings, Metcash explained that private label is inherently a space that is quite challenging for the independent network, even when volume is aggregated it is difficult to negotiate from a competitive point of view.[1367] Private label accounts for about 7.2% of Metcash sales, which Metcash understands is lower than for Coles and Woolworths.[1368] Metcash explained that, principally, the purpose of private label products is to enable the business to compete, but also noted that developing private label is an onerous and expensive exercise.[1369] Further analysis on supermarkets' private label trends and margins can be found in section 7.2.2.

AFGC note that there is a 'broad church of players', including some companies that will not manufacture private label, but also many companies that will choose to manufacture private label products because they have 'spare capacity in [their] factories, they need to reduce their overhead costs and it's another way of being able to put volume through manufacturing plants'.[1370] AFGC said its members believe that private label should be dealt with exactly the same as a branded product, e.g. in terms of ranging and pricing decisions.[1371] There is concern from AFGC's members that there is a lack of transparency around the performance of private label products and that they may not be assessed in a range review on similar criteria to branded products.[1372]

As stated in the Interim Report, supermarkets submit that there is no preferential treatment given to their private label products. In a private hearing, one supermarket category manager stated that private labels are developed not to reduce brand power of their existing branded products, but to capitalise on new trends if some branded suppliers don't have a particular product.[1373]

In an internal document, Coles notes that the introduction of a well performing brand into a category can have multiple advantages, including:

- increased volumes in the category driven by the product's competitive pricing
- lower reliance on discretionary income from promotions and marketing activation, shifting discretionary funding to non-discretionary funding
- the increased volumes outlined above can be used as leverage with the supplier base with further opportunity for rate improvement.[1374]

1361 See ACCC, public hearing transcript, 21 November 2024, pp 685–686; ACCC, public hearing transcript, 18 November 2024, p 486.

1362 See ACCC, public hearing transcript, 21 November 2024, p 704.

1363 See ACCC, public hearing transcript, 21 November 2024, pp 706–709.

1364 ACCC, public hearing transcript, 18 November 2024, p 486.

1365 Information provided to the ACCC.

1366 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 11.

1367 ACCC, public hearing transcript, 15 November 2024, p 434.

1368 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 11; see also ACCC, public hearing transcript, 15 November 2024, p 454.

1369 ACCC, public hearing transcript, 15 November 2024, p 454.

1370 ACCC, public hearing transcript, 7 November 2024, p 96.

1371 ACCC, public hearing transcript, 7 November 2024, p 97.

1372 ACCC, public hearing transcript, 7 November 2024, p 97.

1373 Information provided to the ACCC.

1374 Information provided to the ACCC.

We find that supermarkets' expansion into private labels is largely a result of increased competition in the retail market and has implications for suppliers in competing for shelf space. While it appears that supermarkets' treatment of private label products and proprietary brands are consistent in range reviews, successful private labels increase pressure on suppliers in performing within a category. Alongside other levers that supermarkets have access to in negotiations, private labels may increase supermarkets' buyer power.

5.1.5 Industry codes play a role in supermarket trading relationships with suppliers

There are several industry codes that are relevant to grocery supply chains, particularly perishable agricultural grocery products. This includes the Food and Grocery Code, the Horticulture Code and the Dairy Code.

An industry code is defined in the CCA as a code that regulates the conduct of participants in an industry towards other participants in the industry or towards consumers in the industry.[1375] Part IVB of the CCA sets out a legislative framework for industry codes to be prescribed by regulation,[1376] and enforceable by the ACCC.

Horticulture Code

The Horticulture Code is a prescribed mandatory industry code that regulates wholesale trade in horticulture produce by setting out certain rights and responsibilities in the relationships between growers and traders. The Horticulture Code does not apply to traders who purchase horticulture produce for export or for retail sale,[1377] meaning it does not apply to supermarkets. The purpose of this code is to ensure transparency of transactions, and to provide access to an equitable dispute resolution procedure.

As discussed in section 6.3.2 we have recommended amendments to the Horticulture Code to provide greater transparency for growers in their trading relationships with traders.

Dairy Code

The Dairy Code is a prescribed mandatory industry code.[1378] It aims to promote fair trading in the dairy industry by imposing minimum standards of conduct on dairy farmers and processors to account for the imbalance in bargaining positions between the two parties and address unfair industry practices. The Dairy Code also aims to improve certainty and transparency between farmers and processors.

Food and Grocery Code

The Food and Grocery Code was originally a voluntary prescribed code, that regulates certain aspects of the commercial relationships between grocery retailers or grocery wholesalers and their suppliers. It was reviewed in 2024 by Independent Reviewer Dr Craig Emerson who made 11 recommendations (including a recommendation that the code should be made mandatory), all of which were accepted by the Government.[1379]

1375 *Competition and Consumer Act 2010* s 51ACAA.

1376 See in particular *Competition and Consumer Act 2010* s 51AE.

1377 *Competition and Consumer (Industry Codes — Horticulture) Regulations 2017* cls 3, 5.

1378 *Competition and Consumer (Industry Codes — Dairy)* Regulations 2019 cl 7.

1379 Treasury, Government response to the Independent Review of the Food and Grocery Code of Conduct, 24 June 2024, accessed 18 February 2025.

The *Competition and Consumer (Industry Codes—Food and Grocery) Regulations 2024* were enacted in December 2024.[1380] The regulations introduce, and we welcome, a mandatory Food and Grocery Code to replace the previous voluntary code from 1 April 2025.[1381] This new mandatory Food and Grocery Code includes several measures that seek to improve the trading relationship and address some systemic issues stemming from the imbalance of bargaining positions between retailers and wholesalers and their suppliers, including:

- making any retailer or wholesaler supermarket business with a revenue over $5 billion subject to the code[1382]
- introducing serious civil pecuniary penalties[1383]
- providing avenues for independent mediation and arbitration[1384]
- introducing protections to address suppliers' fear of retribution.[1385]

The Government also agreed to introduce an anonymous complaints mechanism for potential breaches of the Food and Grocery Code to the ACCC.[1386]

However, we remain concerned that the code will continue to allow large grocery retailers and wholesalers to negotiate out of the core protections of the code. For example, supermarkets and their suppliers, by agreement, can opt out of clauses of the code that prevent retailers from:

- unilaterally varying an existing grocery supply agreement[1387]
- making, or requiring a supplier to consent to set off payments (deductions from a supplier's invoice)[1388]
- require a supplier to make a payment for wastage[1389]
- requiring a supplier to make any payment as a condition for stocking or listing grocery products[1390]
- requiring a supplier to make any payment for better positioning on shelf, or more shelf space[1391]
- requiring a supplier to make any payment towards the costs of any activity that is undertaken by the retailer or wholesaler in the ordinary course of carrying on a business[1392]
- requiring a supplier to fund part or all of the costs of a promotion.[1393]

The code exists because of the significant and persistent imbalance in bargaining positions between supermarkets and the suppliers the code is intended to protect. We consider that allowing large grocery retailers to negotiate out of key minimum protections, in circumstances where suppliers report fearing damage to their commercial relationships with, and retribution by, large grocery

1380 *Competition and Consumer (Industry Codes—Food and Grocery) Regulations 2024*; see also: *Competition and Consumer (Industry Codes—Food and Grocery) (Consequential Amendments) Regulations 2024.*

1381 See: *Competition and Consumer (Industry Codes—Food and Grocery) Regulations 2024* cl 2; *Competition and Consumer (Industry Codes—Food and Grocery) Regulation 2015.*

1382 See *Competition and Consumer (Industry Codes – Food and Grocery) Regulations 2024* cls 4, 5, 8.

1383 See *Competition and Consumer (Industry Codes – Food and Grocery) Regulations 2024* cl 14.

1384 See e.g. *Competition and Consumer (Industry Codes – Food and Grocery) Regulations 2024* div 5.

1385 See e.g. *Competition and Consumer (Industry Codes – Food and Grocery) Regulations 2024* cls 7, 12(f), 30, 31.

1386 Treasury, Government response to the Independent Review of the Food and Grocery Code of Conduct, 24 June 2024, pp 8–9.

1387 *Competition and Consumer (Industry Codes – Food and Grocery) Regulations 2024* cl 20(2).

1388 *Competition and Consumer (Industry Codes – Food and Grocery) Regulations 2024* cl 22(3).

1389 *Competition and Consumer (Industry Codes – Food and Grocery) Regulations 2024* cl 24(2).

1390 *Competition and Consumer (Industry Codes – Food and Grocery) Regulations 2024* cls 25(2)–(3).

1391 *Competition and Consumer (Industry Codes – Food and Grocery) Regulations 2024* cl 26(2).

1392 *Competition and Consumer (Industry Codes – Food and Grocery) Regulations 2024* cl 27(3).

1393 *Competition and Consumer (Industry Codes – Food and Grocery) Regulations 2024* cl 28(2).

retailers if they do raise concerns, means that suppliers will likely continue to feel pressure to opt out of these protections.

A 'reasonableness test' has been introduced for these provisions, putting the onus on the retailer or wholesaler to explain why the exception to these protections is reasonable.[1394] This reasonableness test requires the retailer or wholesaler to consider the benefits, costs and risks to both parties in agreeing to the exception.[1395]

We are concerned that a reasonableness test is not sufficient to prevent this harmful unilateral action. Suppliers who are in an inferior bargaining position and fear retribution will be unable or unwilling to object to exemptions to the code on the basis that the supplier considers them unreasonable.

We consider that no exemptions from these core protections of the code should be allowed.

Recommendation 10

Supermarkets should not be able to negotiate out of key minimum protections in the Food and Grocery Code

The Food and Grocery Code should be amended to prohibit grocery retailers from being able to negotiate out of the core protections of the Code. To give effect to this recommendation clauses 20, 22, 24, 25, 26, 27 and 28 of the Food and Grocery Code should be amended to remove the current exemptions. No exemptions should be provided for these clauses, however limited.

Further consideration will need to be given as to how these changes will be enacted to mitigate the risk of any unintended consequences.

5.2 The level of supermarket buyer power varies across grocery supply chains

In the context of the grocery sector, 'buyer power' refers to the ability of buyers (supermarkets, processors, aggregators or wholesalers) to affect the terms of trade with their upstream suppliers (growers, wholesalers or manufacturers).

We distinguish between different types of buyer power: 'bargaining power' and 'monopsony power'. They have different implications for competitiveness and efficiency of grocery supply chains.

Relative bargaining power between buyers and sellers depends on each party's best alternative if bargaining ceases ('outside option'). Buyer bargaining power is the ability of buyers to have a countervailing effect on the market power of a supplier.

Bargaining power of supermarkets is efficiency enhancing, as its exercise can counteract seller market power and push wholesale prices closer to competitive levels. Regulators must therefore exercise caution when assessing buyer-side market power, to avoid misclassifying efficiency enhancing bargaining power as economically harmful monopsony power.

1394 See *Competition and Consumer (Industry Codes – Food and Grocery) Regulations 2024* cls 5 (definition of 'allowable contrary provision'), 19(3), 20(2), 22(3), 24(2), 25(2)–(3), 26(2), 27(3) and 28(2).

1395 *Competition and Consumer (Industry Codes – Food and Grocery) Regulations 2024* cls 20(3), 22(4), 24(3), 25(4), 26(3), 27(4) and 28(3).

Monopsony power is where a firm or firms control enough purchases upstream that they can affect the overall market price of a product, reducing it by purchasing less, or increasing it by purchasing more. Market prices where monopsony power is exercised can be depressed below competitive levels which in turn reduces supply volumes in the market.

While monopsony power allows buyers to acquire products for lower prices, it typically leads to undersupply of the affected products and reduced investment by suppliers over time. Inefficient levels of supply and investment in production will, in turn, lead to higher prices and reduced choice or quality for consumers in the long run.

Bargaining positions in grocery supply chains

Grocery supply chain market structures are highly varied and can range from highly competitive to highly concentrated sellers or buyers.

The relative bargaining position between buyers and sellers will typically reflect the market structure and each party's best alternative if bargaining ceases ('outside option').

The following factors are also likely to influence bargaining positions in the grocery supply chain:

- Perishability – if a supplier's goods are perishable, their bargaining position will generally be weaker, as they cannot easily hold out for better terms or conditions of sale.
- Homogeneity – homogeneous goods are those which are viewed by consumers as being essentially similar in quality and attributes (for example, certain categories of fresh produce). Buyers of homogeneous goods can easily substitute one supplier's goods for another's. Suppliers will therefore tend to have a worse bargaining position for homogeneous goods. By contrast, suppliers of goods which are differentiated and for which there is substantial brand loyalty have fewer, if any, substitutes and will have a stronger bargaining position with supermarkets.
- Relative importance of supermarkets to distribution of goods – the more important supermarkets are for the distribution of a supplier's goods, the worse the supplier's bargaining position tends to be, as they lack an outside option. For instance, if a supplier's goods can be exported, they will generally have an improved bargaining position.

The relative bargaining positions between supermarkets and suppliers, and efficiency implications, are therefore likely to differ by product. For example, the ACCC's Perishable Agricultural Goods Inquiry found:

> Bargaining power imbalances are a common feature of markets for perishable agricultural goods. Economies of scale at the processing and retail levels result in market structures where there are a relatively small number of buyers acquiring the majority of produce.
>
> The more perishable a product, the more vulnerable the producer is to being subject to take-it-or-leave-it terms from buyers. In contrast to agricultural goods which can be stored, there is limited or no ability to delay or withhold supply to negotiate better supply terms.[1396]

In contrast, suppliers may have market power and a stronger bargaining position in instances where supply is concentrated, products are non-perishable, products are differentiated, and suppliers have substantial alternative sales channels such as export markets. In these scenarios, if a supermarket has a strong bargaining position, this may result in efficiency enhancing bargaining power, counteracting the supplier's market power (to some extent) to the benefit of consumers.

1396 ACCC, Perishable Agricultural Goods Inquiry, 10 December 2020, p 2.

5.2.1 Coles and Woolworths have bargaining power in their trading relationships and the potential to exercise monopsony power with some of their suppliers

Suppliers have raised concerns that there is a substantial bargaining power imbalance between them and, in particular, Coles and Woolworths. As discussed in chapter 6, these concerns are most pronounced in markets for horticulture products. As also discussed in chapter 6, concerns have also been raised that packaged goods suppliers' reliance on Coles and Woolworths to distribute their products also creates a bargaining power imbalance in these trading relationships.

We note that, reflecting the highly varied nature of grocery supply chains, the extent of any supermarket buyer power also varies significantly, both across different supply chains and across different suppliers operating within the same supply chain.

We consider that many suppliers of fresh fruit and vegetables operate in markets where production is highly fragmented, producing perishable, homogeneous products, where a small number of supermarket chains, particularly Coles and Woolworths, are the primary distribution channel. We consider that in these markets bargaining positions are highly unbalanced in favour of Coles and Woolworths and that they have the potential to exercise monopsony power.

Within the fresh fruit and vegetable sector different types of produce have varying degrees of perishability. Semi-perishable goods, such as apples, can be stored for several months, at a cost, provided the growers has access to suitable storage facilities whereas leaf vegetables, such as lettuce, are highly perishable. All else being equal, the more highly perishable the produce is, the weaker the supplier bargaining position is likely to be.

For some other types of agricultural products, for example some red meat product categories, suppliers do have more substantial alternative sales channels, including export opportunities.[1397] This can limit the extent of any supermarket buyer power.

In markets for some packaged grocery product suppliers enjoy substantial brand loyalty and/or may have substantial alternative sales channels. We consider that in these markets there is not the same imbalance in bargaining power. Rather, supermarket bargaining power may improve the efficiency of supply chains in these markets by counteracting any supplier market power.

However, many suppliers of packaged grocery products also operate in environments where their products do not enjoy substantial brand loyalty and they are heavily dependent on supermarkets as a distribution channel. While the imbalance is generally not as acute as in relation to some horticulture products, we consider that there is also an imbalance in bargaining positions between Coles and Woolworths and these suppliers.

Suppliers have raised concerns about a range of trading terms and arrangements with supermarkets, primarily Coles and Woolworths, which they submit impede the efficient operation of these grocery supply chains. These include:

- having little choice but to agree to highly unfavourable terms, including lower prices than they would expect if Coles and Woolworths faced greater competition from other buyers
- Coles and Woolworths contributing to, or taking advantage of, information asymmetries, resulting in suppliers lacking the information they need to make efficient business decisions
- feeling compelled to use ancillary services such as freight, or marketing, either provided by the supermarket or by the supermarket's preferred provider even if this means accepting what the

1397 According to the Australian Meat Industry Council, in 2022–23 domestic consumption of beef was 27% of the total produced in Australia, and 22% for sheep meat with supermarkets accounting for an estimated 85% and 80% of domestic volume respectively. Australian Meat Industry Council, Submission to the Inquiry, published May 2024, p 3.

supplier considers to be a lower level of service, in relation to price and/or quality, than they could obtain from sourcing their requirements elsewhere.[1398]

We consider these concerns further in chapter 6. More generally, however, we consider that Coles and Woolworths' ability to extract favourable terms is a reflection of Coles and Woolworths bargaining power and not necessarily inefficient. However, in some cases we consider that Coles and Woolworths have monopsony power which they are able to exercise in a manner that undermines the efficient operation of some markets for the supply of groceries.

5.3 Many suppliers say they fear retribution from raising concerns with supermarkets

A strong theme to emerge throughout the Inquiry has been concerns that raising an issue in relation to trading terms with supermarkets, either directly or by availing themselves of available dispute resolution processes, could jeopardise the suppliers' ongoing commercial relationship with the supermarket.[1399]

The Australian Small Business and Family Enterprise Ombudsman submitted that the results of the Independent Reviewer Annual Report shows that more than 41% of surveyed Woolworths and Coles suppliers reported 'fear of damaging a commercial relationship' as an impediment for raising an issue with the supermarket. The figure was 21% and 28% of surveyed ALDI and Metcash suppliers.[1400]

More generally, the Final Report of the Independent Review of the Food and Grocery Code of Conduct released in June 2024 concluded that many suppliers, especially smaller suppliers, fear retribution from supermarkets if they exercise their rights under the Code and raise complaints against supermarkets.[1401]

Queensland Fruit & Vegetable Growers and Fruit Growers Victoria each submit that suppliers are reluctant to report any breaches of the Food and Grocery Code or other, what they consider to be, poor behaviour due to fear of retribution.[1402]

Concerns about jeopardising ongoing commercial relationships is also the reason cited by many suppliers for agreeing to trading terms about which they have concerns, such as those outlined in chapter 6.

We consider that the reluctance from some suppliers to raise concerns about these practises, particularly in relation to Coles and Woolworths, is a reflection of Coles and Woolworths buyer power.

As discussed in section 5.1.5, there are several industry codes that seek to address the harmful effects of imbalances in bargaining positions and improve transparency in some grocery supply chains.

However, we consider that so long as there continues to be a significant imbalance in bargaining positions between Coles and Woolworths and some suppliers, these suppliers will remain reluctant to push back in negotiations or raise concerns with them due to fear about jeopardising their ongoing commercial relationship. This in turn means that supplier concerns about their trading relationships, and potential impacts of the behaviours they are concerned about on the efficient operation of grocery supply chains, are also likely to persist.

1398 ACCC, Supermarkets Inquiry supplier roundtable summary, pp 2, 6, 10–11

1399 ACCC, Supermarkets Inquiry supplier roundtable summary, p 12.

1400 Australian Small Business and Family Enterprise Ombudsman, Submission to the Inquiry, 20 May 2024, p 4

1401 The Treasury, Independent Review of the Food and Grocery Code of Conduct Final Report, June 2024, p 43.

1402 Queensland Fruit & Vegetable Growers, Submission to the Inquiry, 31 May 2024, p 10; Fruit Growers Victoria, Submission to the Inquiry, 20 May 2024, p 3.

As discussed in section 4.3, the Australian Government has recently undertaken a further consultation process in relation to options to address unfair trading practices.[1403] We support the introduction of an unfair trading practices prohibition and consider that it could potentially be used to address some concerns relating to supermarket promotional practices.

We also consider that an unfair trading practices prohibition could assist in addressing potential practices of supermarkets in their dealings with suppliers which may not be addressed by existing provisions of the ACL or CCA. The ACCC's submission to the consultation noted that such a provision could help address conduct such as:

- Larger businesses that dissuade, or attempt to dissuade, smaller businesses with inferior bargaining power from exercising their legal rights by threatening them with commercial retaliation, such as retailers threatening small businesses with de-listing in retaliation for seeking price increases (to which they may have been contractually entitled), or for making complaints about a retailer's alleged non-compliance with the Food and Grocery Code and other legal obligations.
- Larger businesses, particularly local monopsonists, using their superior bargaining power to pressure smaller suppliers to amend contract provisions in an ongoing contract in a way that results in worse outcomes (e.g., lower prices) for the smaller supplier.

5.4 Category managers have significant autonomy in how they deal with suppliers

Category managers at Coles and Woolworths have a significant degree of autonomy in how they deal, and negotiate, with suppliers for products within their category. They also have access to short-term incentive plans that include financial incentives based on their performance rating.

As described below, how category managers are rated in performing their role for the purpose of their short-term incentive is largely at the discretion of the supermarket. While performance objectives for category managers may include supplier facing objectives, performance objectives may also include meeting margin or profit objectives that may incentivise them to drive down the cost of goods sold, which could be at the expense of the long-term interests of the supermarket's relationship with suppliers. Ultimately, it is at the discretion of the supermarket as to the weight it places on each performance objective in determining the overall performance of the category manager and how it rewards the behaviours of its category managers.

5.4.1 The role of category managers

Category managers at Coles and Woolworths are primarily responsible for procuring products from suppliers and making decisions related to the retailing of those products within a product category.

The key functions of category managers primarily relate to ranging decisions, promotions of products, retail pricing and cost price negotiations. For fresh produce product categories, some of these functions may be the responsibilities of category buyers, who report to the category manager.

1403 The Treasury, Unfair trading practices – supplementary consultation paper, accessed 18 February 2025.

Table 5.1: Key responsibilities of category managers

Function	Responsibilities
Retail pricing	Setting the retail price, including with consideration to: [1404] ▪ the cost of the product ▪ competitor pricing ▪ financial performance of the product (including margin) ▪ the recommended retail price. Category managers may receive input or feedback from their senior managers or pricing teams.
Promotions	Determining promotional arrangements (in conjunction with suppliers), including with consideration to:[1405] ▪ promotional pricing ▪ supplier funding contributions (including for retail media) ▪ promotional frequency (number of times the product is put on promotion) ▪ promotional depth (the amount of discount off the retail price).
Cost price negotiations	Negotiation of the product price paid by the retailer to suppliers: ▪ for fresh produce, weekly price negotiations with suppliers may also be the responsibility of buyers, who report to category managers[1406] ▪ for packaged goods, price negotiations primarily relate to changes in the cost price.[1407]
Ranging decisions	Determining which suppliers' products to retail, including:[1408] ▪ whether to list (sell) a product ▪ range review decisions (whether to continue to list/sell a product) ▪ de-listing a product (ceasing to retail/sell a product).

Category managers have a significant degree of autonomy in how they deal, and negotiate, with suppliers for products within their category. While supermarket executives may have ultimate responsibility for the teams which include category managers, and a general understanding of their roles and responsibilities, they do not typically have oversight of category managers' negotiations or other day to day engagement with suppliers in relation to many of these matters.

For example, Coles executives in our public hearings gave evidence about how prices for fresh produce are negotiated, including the circumstances in which variations to purchase orders may be made,[1409] but indicated that "the team" would have more detail about specific scenarios they were asked about.[1410] Similarly, when asked about cost price increase applications, Coles executives were able to speak to that process and the kinds of things that get considered as part of that process, including promotions or other trade spends, but noted they were not familiar with every single cost price increase negotiation process, given there are thousands of them each year.[1411]

1404 Information provided to the ACCC.
1405 Information provided to the ACCC.
1406 Information provided to the ACCC.
1407 Information provided to the ACCC.
1408 Information provided to the ACCC.
1409 ACCC, public hearing transcript, 22 November 2024, pp 800–803.
1410 ACCC, public hearing transcript, 22 November 2024, p 803.
1411 ACCC, public hearing transcript, 22 November 2024, pp 816–820.

By way of further example, Woolworths executives were able to speak generally to the primary forms of rebates payable by Woolworths' suppliers, but with the caveat that they weren't "all in the detail", and noting that category managers generally manage such negotiations with suppliers.[1412] Woolworths executives also noted that while the overall pricing strategy for the supermarkets business is signed off at an executive level, it is the category managers that determine pricing at a specific product level, and who would be looking at how rebates and list prices impact the cost of goods sold as part of that,[1413] noting the one executive stated that their role was setting pricing strategy at a much higher strategic level.[1414]

Due to the large number of suppliers, and the extensive range of products with varying characteristics and supply chains sold at Coles and Woolworths, this level of decentralised day to day engagement and decision making is likely a necessary requirement to ensure efficient operations. It does mean however, that the settings around category manager incentives is an important consideration in influencing their behaviour with suppliers.

Category managers also have a range of mechanisms they can leverage in negotiations with suppliers to extract more favourable pricing/terms and drive down the cost of goods sold. As described in Table 5.1 above, these include negotiations around promotional programs and funding, range review decisions, and whether to accept cost price increase requests.

In addition to promotion and ranging decisions, standard supply agreements contain a myriad of terms related to rebates, fees and charges. While these may not all (or always) be enforced, they may provide the category managers with additional leverage if required. Trading arrangements are discussed in more detail in chapter 6.

5.4.2 Category manager incentives

Category managers at Coles and Woolworths have access to short term incentives (bonus payments) as part of their employment.[1415]

To be eligible for a short-term incentive payment, category managers must meet minimum performance standards. The amount of any payment is then influenced by performance targets.

Incentive payments for category managers at Coles and Woolworths are primarily based on Group objectives (the performance of the business as a whole) and then moderated by the performance of the individual. For a category manager to receive the full benefit of their short-term incentive, the business would need to achieve all of its objectives, and the individual would need to have received a high-performance rating.

Group performance objectives

Group performance objectives at Coles and Woolworths are primarily financial, with profit (using Earnings Before Interest and Tax – EBIT) and sales revenue the primary measures of financial performance. Customer satisfaction is also a key objective of group performance, and group performance objectives may contain other metrics such as efficiency measures or safety ratings. Group performance for determining short-term incentive payments is measured through a balanced scorecard, with 60% weighted on financial objectives (sales revenue and EBIT) and 40% on non-financial objectives.[1416]

1412 ACCC, public hearing transcript, 19 November 2024, pp 583–584.

1413 ACCC, public hearing transcript, 19 November 2024, pp 586–587.

1414 ACCC, public hearing transcript, 19 November 2024, p 587.

1415 ACCC, public hearing transcript, 22 November 2024, p 757; ACCC, public hearing transcript, 19 November 2024, pp 589–593; Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 64.

1416 Woolworths, Annual Report 2023, accessed 18 February 2025, p 79; Information provided to the ACCC.

Individual performance objectives

Individual performance goals for category managers can vary across categories and supermarkets. They may include financial performance measures, and strategic targets such as supplier satisfaction scores and employee satisfaction ratings.[1417]

For the purposes of determining the amount payable under the short-term incentive schemes, category managers tend to receive a single performance rating (which is assessed with reference to their performance across their individual performance goals and behaviours, although achieving these goals is not necessarily a prerequisite to achieving a higher performance rating). Their single performance rating is then used as a multiplier against the group performance targets to determine their payment under the short-term incentive scheme.[1418]

As there is not a necessary requirement to achieve a particular objective to be rated highly, but rather category managers are rated holistically for their performance, this provides the supermarket a significant level of discretion in how it rewards the behaviours of category managers.

1417 See e.g. ACCC, public hearing transcript, 21 November 2024, p 732; ACCC, public hearing transcript, 22 November 2024, p 757 , Woolworths, Supplementary submission to the Inquiry Interim Report, published Jan 2025, p 64.

1418 Information provided to the ACCC.

6

Trading arrangements

6. Trading arrangements

Key points

Fresh produce suppliers

- Coles' and Woolworths' seasonal forecasts of the volumes they expect to purchase from fresh produce suppliers are not transparent and do not provide growers with the necessary information to support efficient production decisions.
- Coles' and Woolworths' weekly tendering processes for fresh produce provide suppliers with insufficient certainty about price or volume. The main risks of fluctuations in supply and demand are borne by suppliers who are less well placed than the supermarkets to manage that risk and bear the risk. This, in turn, impacts suppliers' ability to plan for and undertake efficient investment in their production capabilities.
- Packaging requirements and branding restrictions for fresh produce impose costs on suppliers and prevent some suppliers from establishing any brand loyalty, which can enhance supermarkets' monopsony power.
- We recommend a range of reforms to fresh produce trading arrangements to improve transparency, equip suppliers with information that will allow them to make better informed production decisions, and limit supermarkets ability to push their operating risks onto suppliers.

Packaged grocery products

- The cost of many inputs along grocery supply chains has risen substantially, and reflecting Coles' and Woolworths' buyer power in negotiations with some packaged grocery suppliers, some packaged grocery suppliers have reported not being able to fully pass on these increased costs.

Rebates, promotions and other trading terms

- Many rebates are opaque, complex, and not well understood by many suppliers. Some of these rebates, which are an additional cost to suppliers and an additional source of revenue for Coles and Woolworths, create price uncertainty for some suppliers and would be less likely to be accepted by suppliers in a more balanced bargaining environment.
- Some suppliers have raised concerns about promotions initiated by Coles or Woolworths which they would prefer not to fund but feel obliged to do so to preserve their commercial relationship with the supermarket.
- Supermarkets do not generally require suppliers to acquire ancillary services from them or from nominated third party providers. However, in the case of Coles and Woolworths, many suppliers report feeling obliged to use these ancillary services to preserve their commercial relationship with the supermarket. Where this causes suppliers to make choices about the acquisition of these services that they would not otherwise, this is likely to increase their operating costs.
- We have made a number of recommendations aimed at introducing greater transparency into bargaining processes between suppliers and supermarkets in relation to trading terms.

This chapter examines trading arrangements between ALDI, Coles, Metcash and Woolworths and their suppliers. The chapter is structured as follows:

- Sections 6.1 and 6.2 explain how Coles and Woolworths classify and rank their suppliers in various ways. These sections also examine the accreditation requirements that suppliers must comply with to supply grocery products to ALDI, Coles, Metcash and Woolworths.
- Section 6.3 examines trading arrangements between ALDI, Coles and Woolworths and fresh produce suppliers including:
  - the seasonal forecasts that ALDI, Coles and Woolworths provide to growers
  - the weekly tendering processes through which ALDI, Coles and Woolworths determine the prices and volumes at which many fresh produce product categories are procured
  - Coles' and Woolworths' quality assessment and rejection processes for fresh produce delivered to their distribution centres
  - Coles' and Woolworths' packaging requirements for fresh produce.
- Section 6.4 examines trading arrangements between ALDI, Coles, Metcash and Woolworths and packaged grocery product suppliers, including the process by which cost price increases are negotiated.
- Section 6.5 examines other trading terms that may apply to trading arrangements between ALDI, Coles, Metcash and Woolworths and both fresh and packaged grocery suppliers. In particular:
  - rebates paid by suppliers and promotional funding payments by suppliers
  - spending by suppliers on ancillary services provided by some supermarkets such as freight, retail media and data.

This chapter includes a range of recommendations aimed at introducing greater transparency into bargaining processes between suppliers and supermarkets in relation to trading terms.

6.1 Supermarkets classify different types of suppliers

This section explains how Coles and Woolworths classify and rank their suppliers.

Coles and Woolworths do this in 2 ways:

- based on whether the supplier has a direct or indirect supply relationship with the supermarket
- by way of a supplier ranking which, broadly speaking, reflects the value that the supermarket considers the supplier brings to its business.

6.1.1 Supplier classification tiers

Coles

Coles stated that it internally classifies suppliers falling within the scope of its Ethical Sourcing Policy and Program into tiers to determine what Ethical Sourcing Program Requirements apply to its suppliers.[1419] We note that, in effect, these classifications are based on whether the supplier has a direct or indirect supply relationship with Coles:

- Suppliers who have a direct supply relationship with Coles are classified as tier 1 suppliers. For example, an aggregator that contracts directly with Coles to supply fresh produce would be classified as a tier 1 supplier.
- Suppliers that provide either products, processes, or services indirectly to Coles via tier 1 suppliers are classified as tier 2 suppliers. In the example above, growers who supply produce to the aggregator (the tier 1 supplier) would be classified as tier 2 suppliers.[1420]

Coles uses risk and audit assessment metrics to determine whether a new supplier is approved, conditionally approved, or not approved.[1421] For example, fresh produce suppliers must meet all Coles' Ethical Sourcing Program Requirements and participate in either the Sedex or Fair Farms program to be approved[1422] (see section 6.2 for more information about accreditation requirements). Coles stated that business will not be awarded to suppliers (both new and existing) if their Ethical Sourcing Approval status is not approved.[1423]

Coles submitted there may be more tiers in the supply chain, for example, those involved in the production of raw materials, however these additional tiers do not fall within the scope of Coles' Ethical Sourcing Program which focuses on areas of its supply chain where there is a higher likelihood of human rights and labour rights violations occurring.[1424]

Coles stated that there are no limitations on the number of suppliers that can be classified as being direct or indirect suppliers.[1425] However, we note that in effect Coles controls the number of direct suppliers by determining which suppliers it enters into direct contractual relationships with.

Coles Fresh Produce Supply Agreements contain details of each grower that the direct supplier can source produce from.[1426] In effect, this means that through the negotiation of these agreements, and any subsequent renegotiation to add additional indirect suppliers, Coles approves which direct supplier(s) an indirect fresh produce supplier can supply to, for the purpose of supplying fresh produce to Coles.

1419 Information provided to the ACCC.
1420 Information provided to the ACCC.
1421 Information provided to the ACCC.
1422 Information provided to the ACCC.
1423 Information provided to the ACCC.
1424 Information provided to the ACCC.
1425 Information provided to the ACCC.
1426 Information provided to the ACCC.

Woolworths

Woolworths' tiering classification of its suppliers adopts the tiering system set out under the Harmonised Australian Retailer Produce Scheme (HARPS).[1427] HARPS is a voluntary food safety and quality assurance scheme for the supply of produce to major grocery retailers. We note that, as with Coles, in effect these classifications are based on whether the supplier has a direct or indirect supply relationship with Woolworths:

- Tier 1 suppliers are suppliers who have a vendor or supplier number with Woolworths. Vendor numbers are issued when Woolworths enters into a direct trading relationship with the supplier.
- A tier 2 supplier is a business that packs or re-packs produce packed to a retail specification destined for Woolworths, is an approved supplier to a tier 1 supplier or supplies ancillary services such as ripening, brokerage activities (agent or merchant) or storage and cooling facilities.
- A tier 3 supplier is a supplier who supplies bulk produce (not in final retail packaging) to a tier 1 or tier 2 supplier for further packing.[1428]

Woolworths stated that there is no limit on the number of suppliers that can be a direct supplier to Woolworths as this is the outcome of the relevant category team's sourcing decision process.[1429] We note that, in effect, through these sourcing decisions Woolworths controls the number of direct suppliers.

Woolworths submitted that direct suppliers approve which indirect suppliers they can engage with (not Woolworths).[1430] However, Woolworths' trading terms require that the supply of goods by its suppliers is not subcontracted out without its written consent.[1431]

6.1.2 Supplier rankings

Coles

Coles assigns fresh produce suppliers as either:

- Strategic: trusted suppliers who are invested in growing the relevant category in line with Coles' strategy. On occasion, strategic suppliers may also be referred to as 'partners'.
- Collaborative: suppliers who support Coles with executing their strategy and growth plans.
- Trading: suppliers who provide core products that are widely available in the market with a limited point of differentiation. These suppliers often deal with Coles on a transactional basis and typically operate across multiple channels (i.e. retail, wholesale, and export).[1432]

Coles stated that in relation to classifying its suppliers, size is not a determining factor, noting that relatively small suppliers can be classified as strategic partners.[1433] Suppliers also receive a classification for each product they supply, and each product can receive a different classification.[1434] These classifications are not fixed and are reviewed at least every 12 months, typically during the commitment process for a growing season.[1435]

1427 Information provided to the ACCC.
1428 Information provided to the ACCC.
1429 Information provided to the ACCC.
1430 Information provided to the ACCC.
1431 Woolworths, National Vendor Trading Terms – Part B General Terms, accessed 18 February 2025, p 9.
1432 Information provided to the ACCC.
1433 Information provided to the ACCC.
1434 Information provided to the ACCC.
1435 Information provided to the ACCC.

When assigning the supplier's classification as either strategic, collaborative or trading, Coles has regard to a range of factors, including:

- the historical quality of the supplier's produce
- the supplier's capability and investment in their operations
- the extent to which the supplier has engaged with Coles in relation to product innovation or developed new product varietals
- reliability of supply, including whether there is diversification in the supplier's growing regions (noting, this can support availability as it is common for poor weather conditions or other issues which can affect supply, such as disease, to be localised to a particular geographic region)
- compliance with Coles' Ethical Sourcing Program Requirements and the extent to which the supplier is aligned with Coles' sustainability initiatives
- the length of the supplier's relationship with Coles, noting strategic suppliers tend to have a longer tenure with Coles
- the proportion of the supplier's business that is with Coles
- alignment to Coles' category strategy
- any relevant supplier scorecards (which consider some of the factors listed above).[1436]

Coles stated that the classification does not impact the supplier's ability to supply Coles or grant them any rights or restrictions but rather assists category teams to understand their supplier base.[1437]

Woolworths

Woolworths uses a scorecard system to assign suppliers to what it calls a 'partnership tier' of bronze, silver, gold, or platinum using the following metrics.[1438]

1436 Information provided to the ACCC.

1437 Information provided to the ACCC.

1438 Information provided to the ACCC.

Table 6.1: Woolworths' scorecard system is used to assign suppliers to either a bronze, silver, gold or platinum partnership tier[1439]

Supplier scorecard metric	Weighting (%)
Customer impact	
net new customers	5%
Sales and growth	
goods received growth (volume)	15%
goods received ($)	25%
Competitiveness and profitability	
Unit cost growth	5%
Buy price index	20%
Product quality	
Rejection rate	5%
Collaboration	12.5%
Capability	12.5%

Woolworths calculates its supplier's partnership tier on a rolling monthly basis but assigns the tier on a quarterly basis.[1440] If the supplier achieves a monthly tier that is higher or lower than their current tier in 2 out of the past 3 months, the supplier will be notified their partnership tier may change.[1441] If they maintain the higher or lower monthly tier for a further 3 consecutive months, their tier will be upgraded or downgraded accordingly.[1442]

Woolworths stated that there are no actions that can or cannot be undertaken by suppliers in specific tiers of their scorecard system, nor is there any limit on the number of suppliers that can be classified within any particular partnership tier.[1443] However, we heard evidence from a Woolworths category manager for a fresh produce category that only strategic suppliers of that category are provided with supply schedule agreements, which contain longer term volume forecasts.[1444] Suppliers who are not strategic suppliers in that category, only receive a program of volume forecasts weekly.[1445]

Woolworths also provided information that whether suppliers are provided supply schedule arrangements is more informed by the nature of the crop than whether a supplier is a strategic supplier, noting for some types of fresh produce, all suppliers receive supply schedule arrangements.[1446]

Metcash

Metcash has a voluntary supplier partnership program called the Red Oval program. The Red Oval program offers suppliers to join according to different tiers, which are based on a supplier's size, value contribution, and payment of a membership fee in return for selected services. There are 4 tiers in the Red Oval program: platinum, gold, silver, and ruby, which correspond to differing levels of benefits offered, for example, engagement with the senior Metcash employees, attendance

1439 Information provided to the ACCC.
1440 Information provided to the ACCC.
1441 Information provided to the ACCC.
1442 Information provided to the ACCC.
1443 Information provided to the ACCC.
1444 Information provided to the ACCC.
1445 Information provided to the ACCC.
1446 Information provided to the ACCC.

at conferences, and assistance with business planning. Metcash does not consider this to be a Metcash-directed rating or ranking system, but rather a supplier-led partnership program.[1447]

6.1.3 Implications of supplier classifications

We consider that for fresh produce suppliers, a direct supply relationship (i.e. a tier 1 classification) with Coles or Woolworths is likely to be highly valued.

Direct suppliers benefit from the ability to negotiate supply terms directly with Coles and Woolworths, including (in relevant product categories) the ability to participate in weekly tendering processes to supply fresh produce, as described in section 6.3.2. A direct supply classification is also likely to provide suppliers with opportunities to establish a more meaningful and longer-term supply relationship with Coles or Woolworths.

6.2 Suppliers are required to comply with quality assurance and sourcing requirements

ALDI, Coles, Metcash, and Woolworths require their direct suppliers to comply with specific quality assurance requirements and responsible or ethical sourcing policies. Compliance assures the supermarkets that their suppliers are acting in accordance with food safety laws and modern slavery laws.

Quality assurance

ALDI, Coles, Metcash, and Woolworths require all their direct fresh produce suppliers to be accredited under HARPS.[1448]

HARPS is a food safety program designed to streamline compliance requirements for fresh produce suppliers by harmonising the food safety standards of multiple major retailers.[1449]

To gain HARPS certification, suppliers must be certified to an approved Global Food Safety Initiative (GFSI) standard and be audited by HARPS.[1450] HARPS states that the 2 audits are integrated and cannot be conducted separately unless approval is sought prior to the audit taking place.[1451] HARPS audits cost around $300 per site.[1452]

HARPS states that third-party growers who supply fresh produce to direct suppliers for on sale to the supermarkets are required to be either HARPS and GFSI certified, or in some cases, only certified to an approved GFSI scheme, for example, Freshcare.[1453] Freshcare provides certification standards and training for sustainable and safe agricultural practices in the fresh produce and wine grape industries.[1454]

1447 Information provided to the ACCC.

1448 Aldi, Fresh Produce Surveillance Testing Policy, 2023, accessed 20 February 2025; Coles, Coles Supplier Central, accessed 20 February 2025: Information provided to the ACCC.

1449 Harmonised Australian Retailer Produce Scheme, About – Governance, accessed 18 February 2025.

1450 Harmonised Australian Retailer Produce Scheme, HARPS FAQ, 4 December 2024, accessed 18 February 2025.

1451 Harmonised Australian Retailer Produce Scheme, HARPS – Growers and Suppliers, accessed 18 February 2025.

1452 Harmonised Australian Retailer Produce Scheme, HARPS Fees, accessed 18 February 2025.

1453 Harmonised Australian Retailer Produce Scheme, HARPS Decision Graphic: Is HARPS required for my business?, May 2020, accessed 18 February 2025.

1454 Freshcare, About us, accessed 18 February 2025.

Responsible and ethical sourcing

ALDI, Coles and Woolworths also require fresh produce suppliers to be certified with Fair Farms or registered with the Supplier Ethical Data Exchange (Sedex).

Fair Farms

Fair Farms is a certification program for fair and ethical farm employment practices.[1455] To be Fair Farms certified, a supplier must complete an online self-assessment once every year, undergo a minimum of 2 hours of Fair Farms Training, and be independently audited every one to 3 years.[1456] The costs of the audits vary as Fair Farms use independent auditors.[1457]

Sedex

Sedex is a data company that provides tools and services to help businesses manage and improve ethical and responsible supply chain practices. Sedex uses a combination of assessment tools, training, and auditing, but do not provide certification.[1458] Instead, suppliers receive an audit report with findings that the supermarket can see through the Sedex platform.[1459]

Auditing requirements of each supermarket

Coles

Suppliers that supply Coles with fresh produce, Coles' brand product (i.e. private label) and certain goods-not-for-resale are required to comply with Coles' Ethical Sourcing Policy.[1460] Under this policy, Coles fresh produce suppliers can demonstrate compliance with Coles' Ethical Sourcing Program either through registration on Sedex or certification by Fair Farms.[1461]

As part of Coles' Ethical Sourcing Program, suppliers must complete a risk assessment.[1462] Suppliers who receive a medium or high-risk outcome then need to undertake an ethical sourcing audit.[1463]

The 2 audit formats approved by Coles for new and existing suppliers are Sedex SMETA 4-Pillar and Fair Farms.[1464] Coles may accept specific alternative audit formats under a mutual recognition agreement for new suppliers that have already completed an ethical audit.[1465] Mutually accepted audit formats are valid for 12 months from the original audit date after which a Sedex SMETA 4-Pillar audit or Fair Farms audit must be conducted.[1466]

However, if a supplier is already accredited to supply another supermarket, Coles stated it would recognise that accreditation as sufficient for the purpose of supplying Coles, provided it is a Coles recognised accreditation conducted by an external third party.[1467]

1455 Fair Farms, About Fair Farms, accessed 18 February 2025.
1456 Fair Farms, About Fair Farms, accessed 18 February 2025.
1457 Fair Farms, About Fair Farms, accessed 18 February 2025.
1458 Sedex, What we do at Sedex, accessed 18 February 2025.
1459 Sedex, Sedex Platform, accessed 18 February 2025.
1460 Coles, Submission to the Inquiry Interim Report, published November 2024, p 21.
1461 Coles, Ethical Sourcing Program Requirements – Products, June 2022, accessed 18 February 2025, p 8.
1462 Coles, Submission to the Inquiry Interim Report, published November 2024, p 21.
1463 Coles, Submission to the Inquiry Interim Report, published November 2024, p 21.
1464 Coles, Ethical Sourcing Program Requirement – Products, June 2022, accessed 18 February 2025, p 5.
1465 Coles, Ethical Sourcing Program Requirement – Products, June 2022, accessed 18 February 2025, p 5.
1466 Coles, Ethical Sourcing Program Requirement – Products, June 2022, accessed 18 February 2025, p 5.
1467 ACCC, public hearing transcript, 22 November 2024, p 789.

Woolworths

Woolworths' Responsible Sourcing Policy applies to all its suppliers.[1468] This includes suppliers of Woolworths own brand (i.e. private label), exclusive brands, and vendor-owned brands.[1469] Woolworths also expects suppliers to its direct suppliers (i.e. indirect suppliers) to be committed to these standards.[1470]

Based on a supplier's risk assessment, suppliers' sites in the scope of Woolworths Responsible Sourcing Standards are placed into one of 4 segments – minimum, moderate, priority or specialised. These segments define a supplier's responsible sourcing due diligence requirements.[1471] Minimum risk suppliers are required to complete a self-assessment questionnaire annually.[1472] Moderate, priority and specialised suppliers must submit a social compliance audit.[1473]

Woolworths recognises 8 national and global schemes across all categories that are available to suppliers to demonstrate compliance with its standards through site risk audits, including Sedex SMETA Pillar 2 and 4, and Fair Farms.[1474] Suppliers that are not part of an existing scheme are able to choose a program based on industry and location.[1475]

ALDI

ALDI requires its fresh produce suppliers to comply with either Fair Farms or Sedex.[1476] ALDI acknowledges that it has received feedback from its fruit and vegetable suppliers that acquiring accreditation can be difficult due to the high costs and lack of availability of auditors.[1477] However, ALDI gave evidence at the public hearing that:

- accreditation is important to ensure that the right thing is being done throughout the supply chain
- it expects the costs to be recovered by suppliers through the sale price
- it considers that having the same requirements for all suppliers provides a level playing field so that those who do get accredited and incur the costs are not at a financial disadvantage to a supplier that does not.[1478]

Metcash

Metcash states in its Modern Slavery Statement that 'it takes a proactive approach to monitoring supplier performance in mitigating modern slavery risks' and that 'instead of relying on auditing and compliance, Metcash prioritises a partnership approach with suppliers and industry groups. This includes discussing modern slavery risks during review meetings to monitor performance and address new risk areas'.[1479]

Metcash further states in its Modern Slavery Statement that 'The Metcash Food Pillar utilises SEDEX to monitor supplier performance in mitigating modern slavery risks. This allows Metcash to review corrective action plans and follow up on any outstanding critical non-conformances. By leveraging

1468 Woolworths, Responsible Sourcing Program – Supplier Guidelines, June 2022, accessed 18 February 2025, p 2.
1469 Woolworths, Responsible Sourcing Program – Supplier Guidelines, June 2022, accessed 18 February 2025, p 2.
1470 Woolworths, Responsible Sourcing Program – Supplier Guidelines, June 2022, accessed 18 February 2025, p 2.
1471 Woolworths, Responsible Sourcing Program – Supplier Guidelines, June 2022, accessed 18 February 2025, p 3.
1472 Woolworths, Responsible Sourcing Program – Supplier Guidelines, June 2022, accessed 18 February 2025, p 4.
1473 Woolworths, Responsible Sourcing Program – Supplier Guidelines, June 2022, accessed 18 February 2025, p 4.
1474 Woolworths, Responsible Sourcing Program – Supplier Guidelines, June 2022, accessed 18 February 2025, pp 4, 6.
1475 Woolworths, Responsible Sourcing Program – Supplier Guidelines, June 2022, accessed 18 February 2025, p 4.
1476 ACCC, public hearing transcript, 11 November 2024, p 283.
1477 ACCC, public hearing transcript, 11 November 2024, pp 287–288.
1478 ACCC, public hearing transcript, 11 November 2024, p 287.
1479 Metcash, Metcash Modern Slavery Statement 2023 – Where the locals matter, 2023, accessed 18 February 2025, p 17.

SEDEX, the Food pillar at Metcash maintains effective oversight existing of social audits and ensures that suppliers are taking appropriate measures to address modern slavery risks'.[1480]

This includes undertaking some scheduled audits.[1481]

To assist in monitoring supplier compliance, Metcash encourages private label suppliers to be members of either Fair Farms, Business Social Compliance Initiative (BSCI) or Sedex, and fresh produce suppliers to join the Fair Farms program.[1482] BSCI is a code of conduct and monitoring activities to address labour and human rights risks in a supply chain.[1483]

6.2.1 Concerns raised by suppliers

Costs of audits

The costs associated with the conduct of each audit are typically borne by the supplier.[1484] Suppliers have raised concerns about the cost of audits.[1485]

AUSVEG gave evidence that additional costs may be incurred by suppliers who grow multiple produce lines as the different produce may require audits at several different times throughout the year.[1486]

Shortage of auditors

In most compliance processes the supplier can choose their preferred auditor, however AUSVEG gave evidence that there is a lack of qualified auditors.[1487] The lack of accessibility to auditors can result in delays for suppliers to receive their accreditation within the compliance cycle determined by the supermarket.

We heard evidence that as a result suppliers are sometimes required to source an auditor from interstate or from New Zealand, which is one of the reasons these audits are expensive.[1488]

Compliance burden

A recent survey conducted by AUSVEG of its members regarding compliance and regulations found that the greatest burden on growers came from the supermarket's compliance requirements.[1489] Aside from the costs incurred by growers for the audits and certification of each program, growers have expressed the view that the supermarket's compliance requirements are expensive and intrusive.[1490]

AUSVEG submitted there is a shortage of trained compliance staff across the industry, and that it's also difficult to attract these workers to regional areas of Australia.[1491]

1480 Metcash, Metcash Modern Slavery Statement 2023 – Where the locals matter, 2023, accessed 18 February 2025, p 17.

1481 Metcash, Metcash Modern Slavery Statement 2023 – Where the locals matter, 2023, accessed 18 February 2025, p 17.

1482 Metcash, Metcash Modern Slavery Statement 2023 – Where the locals matter, 2023, accessed 18 February 2025, p 20.

1483 Amfori, Key benefits of amfori BSCI, accessed 18 February 2025.

1484 Coles, Ethical Sourcing Program Requirement – Products, June 2022, accessed 18 February 2025, p 5; Woolworths, Responsible Sourcing Program – Supplier Guidelines, June 2022, accessed 18 February 2025, p 5; ACCC, public hearing transcript, 8 November 2024, p 148.

1485 ACCC, public hearing transcript, 8 November 2024, p 145.

1486 ACCC, public hearing transcript, 8 November 2024, p 145.

1487 ACCC, public hearing transcript, 8 November 2024, p 146.

1488 ACCC, public hearing transcript, 8 November 2024, p 146.

1489 ACCC, public hearing transcript, 8 November 2024, p 144.

1490 ACCC, public hearing transcript, 8 November 2024, p 146.

1491 ACCC, public hearing transcript, 8 November 2024, p 147.

6.2.2 Harmonisation of quality assurance and sourcing requirements can reduce suppliers' compliance costs

With respect to quality assurance requirements, we note it appears that much of the compliance burden caused by duplication of auditing requirements was reduced with the introduction of HARPS.[1492]

AUSVEG stated that HARPS has 'certainly helped growers',[1493] but Fruit Growers Victoria stated that with respect to responsible or ethical sourcing compliance, 'there is an opportunity in the industry to bring it all into one'.[1494]

We note there is already a degree of commonality in the ethical sourcing requirements of ALDI, Coles, Metcash, and Woolworths. Further, in some cases an accreditation obtained by a supplier to satisfy the requirements of one supermarket can also be used to satisfy the requirements of another.

We consider that further harmonisation of these requirements, a more formalised process for the recognition of accreditation by supermarkets, and clear guidance for suppliers about this, would be likely to reduce compliance costs for suppliers. This should include clear guidance on the types of accreditation obtained to satisfy the requirements of one supermarket that can also be used to satisfy the requirements of other supermarkets, and the circumstances in which such accreditation would be accepted by another supermarket.

Harmonisation of minimum requirements would not prevent ALDI, Coles, Metcash or Woolworths from imposing additional requirements above these minimums where necessary or appropriate to individual needs or circumstances.

While there would be costs involved in ALDI, Coles, Metcash and Woolworths working towards greater harmonisation, we consider that these costs would be outweighed by the reduced compliance burden for suppliers if further harmonisation was achievable.

We note that there may be practical impediments, including differing requirements of each supermarket, to achieving full harmonisation of accreditation and auditing requirements. However, having regard to the potential savings to suppliers through a reduction in their compliance burden we consider that there is benefit in seeking to achieve greater harmonisation to the extent possible. There may also be legal impediments, and the supermarkets will need to be mindful of their legal obligations, including under the CCA, in designing any harmonisation measures.

Recommendation 11

Harmonisation of accreditation and auditing requirements

ALDI, Coles, Metcash and Woolworths should consider ways to harmonise minimum supplier accreditation and auditing requirements.

1492 ACCC, public hearing transcript, 8 November 2024, p 145.

1493 ACCC, public hearing transcript, 8 November 2024, pp 143–144.

1494 ACCC, public hearing transcript, 8 November 2024, p 145.

6.3 Some fresh produce trading terms are not transparent and increase risk for suppliers

This section analyses trading terms between fresh produce suppliers and supermarkets as follows:

- volume forecasts provided to suppliers by ALDI, Coles and Woolworths (section 6.3.1)
- weekly tendering processes operated by ALDI, Coles and Woolworths which determine prices paid and volume acquired by them in many fresh produce product categories (section 6.3.2)
- quality assessment and rejection processes for fresh produce (section 6.3.3)
- Coles and Woolworths packaging requirements for fresh produce (section 6.3.4).

6.3.1 Seasonal volume forecasts provided by supermarkets to fresh produce suppliers are not transparent

We consider that seasonal forecasts of the volumes of produce that ALDI, Coles and Woolworths expect to purchase are not transparent and do not ultimately provide suppliers with certainty about the actual volumes the supermarket will purchase. This makes it difficult for suppliers to make efficient production decisions.

These forecasts are provided in an environment where over forecasting is likely to result in lower wholesale prices paid by supermarkets to suppliers. This further undermines supplier confidence in these forecasts.

We recommend that supermarkets be required to provide suppliers with more detailed information about the basis for these seasonal forecasts and additional information that would allow suppliers to assess the accuracy of forecasts.

Seasonal forecasts provided by supermarkets

ALDI, Coles and Woolworths provide their fresh produce suppliers in some produce categories with volume forecasts prior to a growing season. These forecasts are often indicative only and are non-binding. As discussed in section 6.3.2, in many fresh produce categories, actual prices and volumes purchased by ALDI, Coles and Woolworths are determined through weekly tendering processes in the week prior to the produce being supplied to the supermarket. It is only at this point that the supplier has an agreement with the supermarket about price and quantity. And the agreement only relates to that given week.

ALDI

ALDI generally runs a seasonal tender for its fresh produce, inviting incumbent and new suppliers to tender.[1495] Through this process ALDI provides prospective suppliers with indicative volumes for the season.[1496] This indicative volume is for a supply region,[1497] and is based on previous sales,[1498] and expected business growth, to provide some guidance for suppliers when considering their tender submissions.[1499] ALDI submitted that these indicative volumes may change by the point of contract for a range of reasons.[1500]

1495 ACCC, public hearing transcript, 11 November 2024, p 289.
1496 ACCC, public hearing transcript, 11 November 2024, p 290.
1497 ACCC, public hearing transcript, 11 November 2024, p 290.
1498 ACCC, public hearing transcript, 11 November 2024, p 290.
1499 Information provided to the ACCC.
1500 ACCC, public hearing transcript, 11 November 2024, p 290.

Suppliers then provide a tender response detailing the volume they can supply.[1501] ALDI selects suppliers by matching capacity with forecasted volumes.[1502] Suppliers are notified of their awarded business in a 'confirmation of supply'.[1503] This includes their 'split' of the region(s) they are supplying (either 100% or a percentage split of a region, or a daily fixed order quantity) and length of agreement (usually a growing season or 12-month period).[1504] This contract includes a minimum volume that ALDI anticipates for that particular supplier in that region.[1505] ALDI's minimum volume forecasts are non-binding.[1506] ALDI stated that when suppliers cannot provide the volumes requested due to extenuating circumstances, it will acquire less than its minimum forecasts, but it is 'extremely rare' for it to acquire less than the minimum forecast where there are no extenuating circumstances.[1507]

Outside of its seasonal forecasting process, ALDI also engages in internal weekly forecasting, considering factors such as promotions or key events relating to the product, the product's recent performance and the price and units sold last time the product was retailed at the same price.[1508] These forecasts are generally not shared with suppliers but are used to inform the weekly tendering process explored further in section 6.3.2.[1509]

Coles

Coles submitted that it provides its fresh produce suppliers with volume forecasts at the beginning of each growing season, which reflect Coles' best estimate of what it will acquire from that supplier over the season based on what Coles considers it can reasonably sell to customers at a total category level.[1510]

Coles submitted that to prepare the volume forecasts provided to suppliers, it formulates an aggregate seasonal forecast for the category.[1511] This forecast is based on factors including the volumes sold in the prior 2 years, seasonal conditions that may impact crop yield and other relevant factors (such as year on year sales growth or changing customer preferences).[1512] Coles may also seek information from growers on their expected yields for the upcoming growing season to understand the total volumes that may become available in the market.[1513]

Coles submitted that once the overall category forecast is set for the season, the category teams develop a volume forecast of what proportion Coles expects to buy from each supplier by state.[1514] This is known as the 'split' for each supplier.[1515] Coles submitted that the splits form the basis of the commitment provided to each supplier and are entered into Coles' ordering system.[1516] Coles stated that for competition law reasons, it only provides each supplier with information about their own volume forecasts.[1517]

1501 Information provided to the ACCC.
1502 Information provided to the ACCC.
1503 Information provided to the ACCC.
1504 Information provided to the ACCC.
1505 ACCC, public hearing transcript, 11 November 2024, p 290.
1506 ACCC, public hearing transcript, 11 November 2024, pp 288, 291.
1507 ACCC, public hearing transcript, 11 November 2024, p 291.
1508 Information provided to the ACCC.
1509 Information provided to the ACCC.
1510 Coles, Submission to the Inquiry Interim Report, published November 2024, p 15.
1511 Coles, Submission to the Inquiry Interim Report, published November 2024, p 15.
1512 Coles, Submission to the Inquiry Interim Report, published November 2024, p 15.
1513 Coles, Submission to the Inquiry Interim Report, published November 2024, p 15.
1514 Coles, Submission to the Inquiry Interim Report, published November 2024, p 15.
1515 Coles, Submission to the Inquiry Interim Report, published November 2024, p 15.
1516 Coles, Submission to the Inquiry Interim Report, published November 2024, p 15.
1517 Coles, Submission to the Inquiry Interim Report, published November 2024, p 15.

The seasonal volume forecasts Coles provides to its suppliers are included in the 'commitment' both parties agree to, subject to a variation of 15% in volume supplied or ultimately purchased.[1518] They are also subject to price agreement on a weekly basis (as discussed in section 6.3.2) and also subject to spec and quality being available and the product being available for Coles.[1519] Coles stated that while these commitments are taken seriously, they are non-binding on either party – it works collaboratively with suppliers to deliver the commitments.[1520]

Ultimately, in many fresh produce categories the actual volumes Coles purchases from suppliers are determined through weekly tendering processes, as discussed in section 6.3.2.[1521]

Woolworths

Woolworths submitted that long term forecasting of fruit and vegetable supply and demand with accuracy is challenging, compared to other products.[1522] Consequently, Woolworths submitted that for the vast majority of fruit and vegetable produce, entering long term agreements with firm volume and price commitments, based on long term forecasts, is in neither party's interest.[1523]

Woolworths stated that it provides its 'long-standing' fresh produce suppliers with estimated volume forecasts up to 12 months in advance, with more intense engagement approximately 3 months prior to supply.[1524] Indicative volumes are also included in Supply Schedule Agreements entered into by Woolworths and its fresh produce suppliers.[1525] A Woolworths category manager gave evidence that not all suppliers receive these Supply Schedule Agreements with a forecasted volume.[1526]

These volume forecasts are not binding on either the supplier or Woolworths, as price setting and volume agreements take place one to 2 weeks prior to supply,[1527] with a further possibility of alteration due to changes in market dynamics.[1528]

Woolworths stated that for weekly purchase orders it generates an internal weekly total indicative demand forecast for each type of produce based on a range of factors including historical sales data, promotional plans, and demand projections.[1529] Woolworths then converts the weekly indicative demand forecast into supplier-specific forecasts, which are communicated to suppliers.[1530]

For some vegetables, which typically have less volatility in production (such as packaged salads, mushrooms, potatoes, carrots and onions), Woolworths submitted that it provides suppliers with medium-longer term indicative forecasts based on its best estimates. Woolworths stated that the timeframe for the forecasts generally reflects the differing nature of the produce.[1531] Woolworths stated that these estimates are provided to help support the suppliers in making their own planning decisions but are fundamentally an estimate.[1532]

1518 ACCC, public hearing transcript, 22 November 2024, p 808; Coles, Submission to the Inquiry Interim Report, published November 2024, p 15.
1519 ACCC, public hearing transcript, 22 November 2024, p 808.
1520 ACCC, public hearing transcript, 22 November 2024, p 808.
1521 Coles, Submission to the Inquiry Issues Paper, published May 2024, p 16.
1522 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 71.
1523 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 71.
1524 ACCC, public hearing transcript, 19 November 2024, p 603.
1525 ACCC, public hearing transcript, 19 November 2024, p 604.
1526 Information provided to the ACCC.
1527 ACCC, public hearing transcript, 19 November 2024, p 603.
1528 Information provided to the ACCC.
1529 Information provided to the ACCC.
1530 Information provided to the ACCC.
1531 Information provided to the ACCC.
1532 Information provided to the ACCC.

Woolworths submitted:

> Due to the variable nature of supply volumes, Woolworths then negotiates specific volumes (and pricing) with suppliers each week. This means the indicative forecast volume provided in a Supply Schedule Agreement may be higher or lower than the amount Woolworths ultimately purchases from a supplier. For example, a supplier may not have sufficient produce available in the week it is required, and product shelf life, together with DC [Distribution Centre] and store capacity constraints generally mean that it is not possible to purchase twice the volume from the supplier the following week to make up the prior week's shortfall. There are other cases where its long term forecasts underestimate its actual required volumes and Woolworths ends up purchasing more volume from a supplier than it had forecast in Supply Schedule Agreements.[1533]

Woolworths submitted that volume forecasts provided by it are shared in good faith but are fundamentally an estimate.[1534]

Metcash

Metcash submitted that independent retailers source between 50–90% of their fresh food from alternative suppliers to Metcash, with a strong preference for local producers.[1535]

Metcash stated that its procurement of fresh produce occurs at a state level and the way by which it is acquired varies between jurisdictions.[1536] Metcash stated that it only engages in forecasting for products offered through its distribution centres, it does not develop forecasts in respect of charge-through products.[1537] Where Metcash does engage in volume forecasting, it occurs on a weekly basis.[1538]

As independent supermarkets supplied by Metcash source much of their fresh produce directly from suppliers, and given the type of volume forecasting Metcash does undertake as described above, Metcash's fresh produce forecasting arrangements are not considered further in this report.

Supplier concerns about seasonal forecasts and supermarket responses

Suppliers rely on information from ALDI, Coles and Woolworths to make various production decisions.[1539]

For example, fresh produce suppliers to ALDI, Coles and Woolworths stated they use information from the supermarkets to understand demand for the upcoming season.[1540] A fresh produce supplier stated that they also use this information to create plans for managing oversupply and shortfalls.[1541]

Suppliers raised concerns about the reliability of supermarket forecasts and lack of transparency about how the forecasts are determined.[1542] Suppliers also raised concerns about the risk they commit themselves to when entering into agreements which provide an indicative volume to

1533 Information provided to the ACCC.

1534 Woolworths, Supplementary Submission to the Inquiry Interim Report, published January 2025, p 62.

1535 Metcash, Submission to the Inquiry Issues Paper, published May 2024, p 6.

1536 Information provided to the ACCC.

1537 Information provided to the ACCC.

1538 Information provided to the ACCC.

1539 ACCC, public hearing transcript, 8 November 2024, p 154; AUSVEG, Submission to the Inquiry Issues Paper, published May 2024, p 19.

1540 Information provided to the ACCC.

1541 Information provided to the ACCC.

1542 ACCC, Supermarkets Inquiry supplier roundtable summary, 27 September 2024, p 5; AUSVEG, Submission to the Inquiry Issues Paper, published November 2024, p 15.

be supplied.[1543] For example, a representative from the industry group AUSVEG stated that volume forecasts commit the grower to a lot of risk because they plant in good faith, tend the plants for several weeks/months, with the aim of selling 100% of their forecasted volume to the supermarket.[1544] Any produce they cannot sell to the supermarket, they must find an alternative sales channel for, which is unlikely.[1545] Suppliers also fear that if they do not supply the volume forecasted, they may lose the supermarket's business.[1546]

Coles acknowledged the concerns raised by growers, which Coles believes are exacerbated by information asymmetries and a lack of transparency at various points in the supply chain, particularly when growers sell via aggregators rather than directly to supermarkets.[1547] Coles stated that it is examining ways in which it can improve the current ordering and volume commitment process to enhance transparency and reduce situations in which there are significant changes in volumes to those agreed prior to the growing season.[1548]

Woolworths submitted that many of the concerns raised by suppliers reflect the inherent volatility associated with growing fresh produce, due to factors such as geographical dispersion, fragmented grower base, weather, seasonality, pests and diseases and demand elasticity.[1549] Woolworths submitted it is currently exploring improvements in its data and analytics capability to enable more accurate forecasting.[1550]

Greater transparency about seasonal forecasts is needed

We consider that the volume forecasts that supermarkets provide to suppliers, which are non-binding, do not provide any certainty about the volumes that supermarkets will purchase, either at the individual supplier level, or in aggregate.

Nor do the forecasts provided to suppliers include substantive information about how the forecasts have been determined, effectively limiting the supplier's ability to form their own views about the accuracy of the forecast.

We acknowledge that there is a degree of inherent volatility in factors affecting the supply of some fresh produce categories including weather, pests and diseases. However, we consider that supermarkets have a very good understanding based on historical purchases of expected demand for fresh produce on which to base forecasts.

In contrast, suppliers do not have access to such historical purchase data. Suppliers only have data regarding their own sales and, in some cases, generally reported industry wide data which may be collated by industry associations.

We consider that confidence in forecasting supports efficient production decisions. However, in order to be confident in relying on forecasts, suppliers need to understand how the forecasts have been formulated.

We consider that the forecasts provided by supermarkets do not provide suppliers with sufficient information about how the forecasts have been formulated, such that suppliers are unable to verify them, which pushes additional risk onto suppliers and inhibits their ability to make efficient production decisions.

1543 ACCC, Supermarkets Inquiry supplier roundtable summary, 27 September 2024, p 5; AUSVEG Submission to the Inquiry Issues Paper, published November 2024, pp 15 –16.

1544 ACCC, public hearing transcript, 8 November 2024, p 162.

1545 ACCC, public hearing transcript, 8 November 2024, p 162.

1546 ACCC, public hearing transcript, 8 November 2024, p 162.

1547 Coles, Submission to the Inquiry Interim Report, published November 2024, p 16.

1548 Coles, Submission to the Inquiry Interim Report, published November 2024, p 16.

1549 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 62.

1550 Woolworths, Supplementary Submission to the Inquiry Interim Report, published January 2025, p 62.

This information asymmetry occurs in an environment where:

- under forecasting creates risk for the supermarkets as it may lead to a shortage of supply and higher wholesale prices
- over forecasting creates a risk of oversupply leading to lower wholesale prices to the benefit of supermarkets.

Accordingly, our view is that over forecasting creates a more favourable outcome for the supermarkets, and greater risk for suppliers, compared to under forecasting. This dynamic, in circumstances where suppliers do not have a detailed understanding of the basis on which forecasts are made, further undermines the confidence of suppliers in supermarket forecasts.

The extent of this impact on suppliers' ability to make efficient production decisions is likely to vary for different types of fresh produce. Perennial tree crops such as fruit trees are cultivated over several years and do not need to be replanted each year. Accordingly, seasonal forecasts will generally be provided after these planting decisions have been made. For other types of fresh produce that require annual planting, forecasts can be an important source of information for making these yearly decisions.

It is also our view that there are no apparent commercial consequences on ALDI, Coles and Woolworths regarding their trading relationship with suppliers for a lack of accurate forecasts, including if the volume of fresh produce they expect to purchase significantly exceeds the volume they ultimately purchase. However, suppliers may be held accountable for not meeting the stipulated volumes. For example, this may be taken into account in supplier performance reviews.

Both ALDI and Coles gave evidence that they conduct post-season reviews at the end of the growing season.[1551] ALDI stated that as part of its end of season review process suppliers are provided total category sales and volume, regional sales and volume, market share performance and cost competitiveness.[1552] When asked whether they provide equivalent information to their suppliers at the end of the season, Coles executives stated that there are a number of details that are spoken through with suppliers as part of Coles' end of season reviews,[1553] and Woolworths executives stated that Woolworths does provide some information with its suppliers, although they noted they were not across the specifics.[1554]

Not meeting volume commitments can have consequences for the categorisation of the supplier in subsequent years (for example, their ranking as discussed in section 6.1.2) and the split (volume) allocated to them in subsequent seasons. At our public hearings, AUSVEG gave evidence that suppliers fear losing their business to another supplier if they do not meet the supermarket's volume requirements.[1555]

Coles submitted that where a supplier cannot meet their regular volumes due to unexpected loss to their crop, Coles works with the supplier to purchase what is available and there are no repercussions for not meeting volume commitments.[1556]

A Coles Category Manager for fresh produce gave evidence that if a supplier does not meet their forecasted volumes for circumstances that are in their control, the Category Manager may consider this in the end of season review of the supplier's performance.[1557]

1551 ACCC, public hearing transcript, 12 November 2024, pp 306, 330; ACCC, public hearing transcript, 22 November 2024, p 804.

1552 ACCC, public hearing transcript, 12 November 2024, p 330.

1553 ACCC, public hearing transcript, 22 November 2024, p 804.

1554 ACCC, public hearing transcript, 19 November 2024, pp 618–619.

1555 ACCC, public hearing transcript, 8 November 2024, p 162.

1556 Information provided to the ACCC.

1557 Information provided to the ACCC.

We consider that a supplier not meeting their volume requirements can directly impact their business with the supermarket in subsequent years, whereas there are no commercial impacts on supermarkets for not meeting their forecasted volumes. It is our view that this one-way accountability is the result of a bargaining power imbalance between the parties which is exacerbated by the information asymmetry and lack of certainty for suppliers.

The new mandatory Food and Grocery Code will require that all forecasts be conducted with due care.[1558] While we welcome this change, we consider it does not go far enough to improve the accuracy and transparency of supermarket forecasts and the associated uncertainty the suppliers face in making production decisions.

We are recommending that ALDI, Coles and Woolworths be required to provide suppliers who they provide yearly, seasonal or other types of forwarding looking forecasts to with:

- detailed information about the basis on which these forecasts have been arrived at
- reports at the end of each season about actual volumes purchased compared to forecasts.

We consider that provision of this information would help to restore trust and support more efficient production decisions by growers.

ALDI, Coles and Woolworths would only be required to provide information about the basis on which the forecasts they choose to provide to suppliers are arrived at, along with other information that they already hold. Accordingly, we do not consider that the compliance burden on them would be substantial.

We consider that further consultation should be undertaken with stakeholders about the details of the information that would be required to be provided to suppliers. We recommend that the ACCC undertake this further consultation.

We recommend that as part of this consultation process consideration be given to whether ALDI, Coles and Woolworths should be required to provide minimum binding volume commitments to fresh produce suppliers each season.

1558 Competition and Consumer (Industry Codes—Food and Grocery) Regulation 2024, cl 19(6).

Recommendation 12

ALDI, Coles and Woolworths should be required to provide fresh produce suppliers with detailed information about their supply forecasts

ALDI, Coles and Woolworths should be required to:

- at the time that any seasonal forecasts are provided to suppliers, provide suppliers with detailed information about the basis on which any seasonal forecasts have been arrived at
- at the end of each growing season, provide suppliers to whom seasonal forecasts were provided with reports about how actual volumes purchased compared to forecast volumes and an explanation of any substantial variation.

The specific details of these requirements, including the most appropriate nature and form of the information to be provided, should be subject to further consultation.

At a minimum the information to be provided should include:

- detailed information about the basis on which seasonal forecasts have been arrived at, including objective sales data for at least the previous 2 years for the state, region or other relevant area to which the forecast relates
- reports at the end of each growing season that provide details of actual volumes purchased compared to forecasts and an explanation about any substantial variation between forecast and actual volumes purchased
  - from the individual supplier
  - in aggregate, for each state, region or other relevant area for which a forecast was provided to the supplier, as a separate single aggregate figure for each of these states, regions or other relevant areas.

Further consultation should be undertaken about implementation of these requirements. This should include consultation about whether ALDI, Coles and Woolworths should be required to provide minimum price and volume commitments each season to suppliers with whom they have direct supply arrangements.

The further consultation should be undertaken by the ACCC.

6.3.2 Weekly tendering processes provide suppliers with insufficient certainty about prices and volumes

We consider that Coles and Woolworths generally have monopsony power in their trading relationships with suppliers who participate in weekly tendering processes to supply fresh produce.

We also consider that there are significant information asymmetries associated with these processes. Supermarkets have full insight over the prices and volumes bid by all suppliers while individual suppliers do not have access to this type of information. Suppliers are not privy to how supermarkets arrive at weekly prices.

In our view, this process results in the main risk of fluctuations in supply and demand being borne by suppliers, who are less equipped than the supermarkets to manage that risk. This risk allocation, in turn, impacts suppliers' ability to plan for and undertake efficient investment in their production capabilities.

We recommend changes to the operation of weekly tendering processes to promote better transparency and enhanced integrity, and support more informed decision making by growers.

Weekly tendering processes for fresh produce

Many suppliers of fresh produce to ALDI, Coles and Woolworths have the volumes they supply, and the prices they receive, set on a weekly basis through online tendering systems.

Throughout the inquiry, fresh produce suppliers who participate in weekly tendering processes have raised concerns that:

- These processes lack transparency, particularly around how supermarkets determine prices (including the weekly 'market price') and volume requirements.[1559]
- There are significant information asymmetries between suppliers and supermarkets.[1560]
- The allocation of risk is disproportionally placed on suppliers, who often need to make production decisions well in advance of prices and volume commitments being settled.[1561]
- There is commercial pressure (real, perceived, or both) to accept the price offered by supermarkets even if the supplier considers it to be unreasonably low in any given week. Due to the perishability of much fresh produce and the limited alternative sales channels, suppliers raised concerns that if they do not accept the supermarkets' price:
  - they will have difficulty finding an alternative buyer for that week's produce
  - their offers in subsequent weeks may not be accepted by the supermarket – colloquially referred to as being placed on a 'holiday.'[1562]

ALDI, Coles and Woolworths acknowledged supplier's concerns about a lack of transparency in the weekly tendering systems. Woolworths submitted that many of the concerns raised by suppliers reflect the inherent volatility associated with growing fresh produce, due to factors including a geographically dispersed and fragmented grower base, weather, seasonality, pests and disease, and demand elasticity.[1563] Coles similarly submitted that the 'market price' is variable based on these types of factors.[1564] ALDI gave evidence that the information asymmetry is 'not dissimilar to the way grocery supply works more broadly in that it is not common practice for suppliers … to exchange cost information between them in order to have an understanding of the price.'[1565]

Both Coles and Woolworths submitted that they would support changes to the system to introduce greater transparency. Specifically, Coles submitted that for competition law reasons it cannot provide suppliers with information about the bids of competing suppliers.[1566] Coles stated however that it welcomes a discussion on areas for improvement, including potentially through centralised publication of pricing and volume data to assist suppliers with their planning.[1567] Woolworths submitted that it supports establishing an end-to-end wholesale price transparency industry project

1559 AUSVEG, Submission to the Inquiry Issues Paper, published May 2024, p 5; ACCC, Supermarkets Inquiry supplier roundtable summary, 27 September 2024, p 5.

1560 ACCC, Supermarkets Inquiry supplier roundtable summary, 27 September 2024, p 6.

1561 AUSVEG, Submission to the Inquiry Issues Paper, published May 2024, p 5; ACCC, Supermarkets Inquiry supplier roundtable summary, 27 September 2024, p 6.

1562 ACCC, Supermarkets Inquiry supplier roundtable summary, 27 September 2024, p 6.

1563 Woolworths, Submission to the Inquiry Interim Report, published December 2024, p 21; Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 62.

1564 Coles, Submission to the Inquiry Interim Report, published November 2024, p 16.

1565 ACCC, public hearing transcript, 12 November 2024, p 304.

1566 Coles, Submission to the Inquiry Interim Report, published November 2024, p 15.

1567 Coles, Submission to the Inquiry Interim Report, published November 2024, p 16.

by a trusted, independent body. Woolworths has publicly committed to supporting Horticulture Innovation Australia in this work.[1568]

We note that Coles' and Woolworths' suggestions about greater transparency are primarily focused on overall prices and volumes across the market rather than the specific concerns raised by suppliers about a lack of transparency in Coles' and Woolworths' own individual tendering processes. We consider that for the information to be useful for suppliers and address the issues suppliers are facing, the information shared with suppliers needs to be specific to their own transactions with a supermarket.

ALDI gave evidence that because of their RFI process, and postseason reviews, their suppliers are able to have an understanding of their competitiveness.[1569] ALDI stated that it understands a desire for further transparency but has concerns about unintended consequences.[1570]

Metcash gave evidence that its process of acquiring fresh produce is different from ALDI, Coles and Woolworths, due to its relative size, and different structure.[1571] Evidence from suppliers supported this.[1572]

As noted in section 6.3.1, independent supermarkets supplied by Metcash source much of their fresh produce directly from suppliers. Accordingly, Metcash's arrangements for acquiring fresh produce from suppliers are not considered further in this section of the report.

How the weekly tendering processes operate

The weekly tendering processes run by ALDI, Coles and Woolworths for the supply of fresh produce are broadly similar. Only suppliers who have a supply agreement with the supermarket in relation to the specific product category (for example tier 1 suppliers, or suppliers with a vendor number) participate in the tender processes to supply fresh produce in that product category.

At the beginning of the week suppliers enter details into the supermarkets' online portal about the price at which they are offering the produce.[1573] For Coles and Woolworths, suppliers also enter the volume of produce they propose to supply.[1574] The online portals used by the supermarkets are Partner Hub for Woolworths, Lettus for Coles and Produce Tendering Platform for ALDI.[1575]

The supermarkets' buying teams will then consider these quotes.[1576]

Coles submitted that it negotiates with each supplier having regard to the bids placed by other suppliers and by reference to the central market price for that product. Coles submitted that the central market price is available via Ausmarket data, a widely used subscription service that contains pricing data for produce sold in the central markets of Adelaide, Brisbane, Melbourne and Sydney.[1577]

1568 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 74.

1569 ACCC, public hearing transcript, 12 November 2024, p 306.

1570 ACCC, public hearing transcript, 12 November 2024, p 304.

1571 ACCC, public hearing transcript, 14 November 2024, p 417.

1572 ACCC, public hearing transcript, 8 November 2024, p 127.

1573 Information provided to the ACCC; ACCC, public hearing transcript, 22 November 2024, p 799; ACCC, public hearing transcript, 12 November 2024, p 296.

1574 Information provided to the ACCC; ACCC, public hearing transcript, 22 November 2024, p 799.

1575 Information provided to the ACCC.

1576 Information provided to the ACCC; ACCC, public hearing transcript, 12 November 2024, p 295; ACCC, public hearing transcript, 22 November 2024, p 799.

1577 Coles Submission to the Inquiry Interim Report, published November 2024, p 16.

Woolworths submitted that its buying teams will consider the quotes received from suppliers together with market feedback on prices of particular produce (including considering the central markets' prices).[1578]

An ALDI Buying Director gave evidence that the executive manager for buying determines the price based on the price submitted through the tendering process, and industry and market knowledge.[1579]

The supermarkets' buying teams will then engage with the supplier about the price and volume they have offered.[1580]

Suppliers describe situations where after they enter their price and volume bids, they are advised by the supermarket that another supplier (or "the market") offered a lower price for the same produce which the supplier must match if it wants to receive a purchase order that week.[1581] These negotiations can take place via email or through phone calls.[1582] Woolworths submitted that suppliers are also communicated with over text and through Partner Hub.[1583]

Suppliers have raised concerns that these negotiations occur in an environment where the supplier does not have any information about:

- whether the information presented to them about the lower prices offered by others is genuine
- the nature of the volume and price bids from other suppliers they are being asked to match. For example, if another supplier has quoted a lower price, how much volume they have available at that price.[1584]

Suppliers also submitted that the central market prices are not an appropriate benchmark for pricing negotiations because central market volumes and quality specifications are not necessarily comparable to produce being sold to supermarkets.[1585] For example, in our supplier roundtables some fresh produce suppliers submitted that produce supplied to central markets tends to be higher quality premium produce, or lower quality produce that has been or may be rejected by the supermarkets.[1586]

Through our engagement with suppliers during the inquiry, we have heard concerns amongst some suppliers that not accepting some supermarkets' offers may lead to the supplier being placed on what they colloquially refer to as 'a holiday'. That is, if the supplier refuses to sell at a lower price one week, the price and volume they offer in future weeks may not be accepted by the supermarkets.[1587]

In response to these concerns Coles gave evidence that this does not happen at Coles.[1588] Coles submitted that it seeks to achieve the best outcome for its customers while also negotiating fairly with suppliers.[1589]

1578 Information provided to the ACCC.

1579 Information provided to the ACCC.

1580 Information provided to the ACCC; ACCC, public hearing transcript, 12 November 2024, p 296; ACCC, public hearing transcript, 22 November 2024, p 799.

1581 ACCC, Supermarkets Inquiry supplier roundtable summary, 27 September 2024, pp 5 –6.

1582 ACCC, public hearing transcript, 12 November 2024, p 296; Information provided to the ACCC.

1583 Information provided to the ACCC.

1584 ACCC, Supermarkets Inquiry supplier roundtable summary, 27 September 2024, p 6.

1585 ACCC, Supermarkets Inquiry supplier roundtable summary, 27 September 2024, p 6.

1586 ACCC, Supermarkets Inquiry supplier roundtable summary, 27 September 2024, p 4.

1587 ACCC, Supermarkets Inquiry supplier roundtable summary, 27 September 2024, p 6.

1588 ACCC, public hearing transcript, 22 November 2024, p 807.

1589 Information provided to the ACCC.

Woolworths submitted that its price negotiations with suppliers are conducted in good faith. It submitted that it does not retaliate or put suppliers on 'holiday' if Woolworths and a supplier are not able to arrive at a mutually accepted price in a given week.[1590]

Similarly, ALDI gave evidence that it does not put suppliers on a 'holiday' for not meeting the weekly price or volume.[1591]

The main alternative for suppliers where agreement is not reached with the supermarket for sale of their produce is to sell that produce to the central market. Supplier representatives at our public hearing gave evidence that excess volume on the central markets has the effect of 'flooding' the market and driving the price down.[1592] We note that this can ultimately lead to a lower central market price which may be used by retailers in weekly price negotiations, who use the central market price as a benchmark.

Following these negotiations, purchase orders are generated by the supermarkets, which include price and the volume to be acquired by the supermarket from the supplier the following week.

Coles submitted that once prices and volumes are agreed, suppliers receive a purchase order.[1593] At this point, the supplier can 'lock in' their purchase order which means prices and volumes are firm.[1594] Coles stated that if a supplier chooses to keep a purchase order open, either party (the supplier or Coles) may make changes to the purchase order up to one day before the lead in time required for the relevant product to be transported to the agreed distribution centre.[1595] Coles submitted that in its experience, suppliers generally leave their purchase orders open unless they want to pack their produce early, for example, ahead of a public holiday.[1596]

At a public hearing, Coles gave evidence that it may make changes due to one grower no longer having available produce, or there being more produce available in the market.[1597] At private hearings a Coles Category Manager for fresh produce gave evidence that purchase orders may be varied in terms of volume and price for reasons including demand from customers. Another Coles Category Manager for fresh produce gave evidence that orders may be varied in terms of price and volume for reasons including changing market conditions.[1598] One Category Manager for fresh produce agreed that this means suppliers may have less certainty about the produce they will sell, but at times the supplier also proposes a change in price after purchase orders are issued.[1599] However, Coles gave evidence that it does not make changes to price after a purchase order is issued. Only the supplier can change the price in the portal and this would be done by mutual agreement.[1600]

Woolworths stated that there may still be further negotiation, for example to increase order volume due to an increase in customer demand, between Woolworths and the supplier as required based on the evolving market conditions, even once the purchase order is generated.[1601]

This was supported by evidence given in a private hearing by one Woolworths fresh produce Category Manager, who stated that Woolworths may adjust purchase orders after they have been

1590 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 74.
1591 ACCC, public hearing transcript, 12 November 2024, p 308.
1592 ACCC, public hearing transcript, 8 November 2024, pp 118–119.
1593 Coles, Submission to the Inquiry Interim Report, published November 2024, p 16.
1594 Coles, Submission to the Inquiry Interim Report, published November 2024, p 16.
1595 Information provided to the ACCC.
1596 Coles, Submission to the Inquiry Interim Report, published November 2024, p 16.
1597 ACCC, public hearing transcript, 22 November 2024, pp 801–802.
1598 Information provided to the ACCC.
1599 Information provided to the ACCC.
1600 ACCC, public hearing transcript, 22 November 2024, pp 801–802.
1601 Information provided to the ACCC.

placed based on demand.[1602] A Buyer and Category Manager for another fresh produce category also gave evidence that purchase orders can be varied in both price and volume after they have been issued, to adjust to demand from stores.[1603] At a public hearing, Woolworths gave evidence that where a purchase order for the week is issued with a price and volume, they would expect that Woolworths would honour that commitment.[1604]

ALDI's Managing Director of National Buying gave evidence that it is rare for ALDI to change prices after a purchase order is issued. They also gave evidence that sometimes ALDI may reduce the retail price in response to a competitor's price and supplier may 'co-contribute' by dropping their cost. The Managing Director gave evidence that this is not mandatory.[1605]

During our public hearings, we heard evidence about supermarkets making variations to volumes ordered after issuing purchase orders. AUSVEG gave evidence that while a significant amount of purchase orders are fulfilled with no issues, at times suppliers receive variations to both the price and volume of their weekly order, or the order is cancelled, after a purchase order has been made.[1606]

We note that while ALDI, Coles and Woolworths each operate broadly similar weekly tendering systems for fresh produce, the concerns raised by suppliers throughout the Inquiry have primarily been in relation to the weekly tendering processes operated by Coles and Woolworths.

However, we also note that Coles and Woolworths purchase greater volumes of fresh produce from suppliers than ALDI and therefore deal with a broader range of suppliers. Further, as discussed in section 5.2.1, we consider that Coles and Woolworths are able to exercise monopsony power in their trading relationships with some suppliers. We have not reached the same conclusion in relation to ALDI.

Greater transparency in weekly tendering processes will support more efficient production decisions

We consider that increased transparency in weekly tendering processes will support efficient production decisions by reducing uncertainty, more appropriately assigning risk to the parties best placed to manage it, and reducing the information asymmetry between suppliers and supermarkets.

We note Coles and Woolworths submitted that many concerns raised by suppliers reflect the inherent volatility of growing fresh produce. We consider that the way Coles and Woolworths procure fresh produce is likely to exacerbate this inherent volatility.

Growers must make production decisions months or years before they can sell their produce, and have limited sales channels. The lack of certainty about how much they will be able to sell, and at what price, makes investing in their production capabilities challenging.[1607]

As noted, in some situations, ALDI, Coles, and Woolworths do enter some forward contracts with confirmed pricing. Coles and Woolworths stated this tends to be for produce that has less volatility in its production, such as packaged salads and mushrooms for Woolworths and tomatoes, carrots and mushrooms for Coles.[1608]

Based on evidence we have seen, it appears that both Coles and Woolworths do offer longer term contracts for intellectual property (IP) licenced varieties of fresh produce. Coles gave evidence that

1602 Information provided to the ACCC.

1603 Information provided to the ACCC.

1604 ACCC, public hearing transcript, 19 November 2024, p 615.

1605 ACCC, public hearing transcript, 12 November 2024, pp 296–297.

1606 ACCC, public hearing transcript, 8 November 2024, pp 167–168.

1607 AUSVEG, Submission to the Inquiry Issues Paper, published May 2024, p 20.

1608 Woolworths, Submission to the Inquiry Issues paper, published May 2024, p 46; ACCC, public hearing transcript, 19 November 2024, pp 604–605; ACCC, public hearing transcript, 22 November 2024, p 794.

IP apples had previously received exclusive contracts for a period of a number of years.[1609] Similarly, Woolworths gave evidence that the supermarket is able to agree to longer term pricing for IP lines of baby cucumbers, unlike other varieties of cucumbers, due to there being less market fluctuation with baby cucumbers, as there are fewer growers.[1610] ALDI gave evidence that it has some longer-term contracts that cover price, for crops that it stated are 'more stable in nature', including potatoes, mushrooms, carrots, and pumpkins.[1611]

We consider that these longer term contracts offer greater certainty to suppliers, reducing the level of 'volatility' involved in the supply of fresh produce in these product categories.

However, we consider that the way the supermarkets operate their weekly tendering processes in many fresh produce product categories means that the risks of fluctuations in supply and demand are primarily borne by suppliers.

We consider that supermarkets are better placed to manage and bear much of these risks. Supermarkets can spread out their supplier base, and disruptions in a particular product category impact only a small part of their business operations. In contrast, suppliers have limited options to sell their produce, which is generally perishable and therefore must be sold quickly, and are typically reliant on a single product or limited range of product categories.

An example of suppliers bearing a disproportionate amount of risk is the supermarkets' ability to make unilateral changes to purchases orders, including reductions in price or volume or cancelling the order. In our view, this practice allows supermarkets to respond to changes to market conditions in a manner that reduces their risk and shifts this risk onto suppliers.

Suppliers also have the ability to leave purchase orders open for a period of time. However, since their orders need to be accepted by the supermarkets, they are unable to use this to shift the risk of market fluctuations back to the supermarkets.

The current structure of weekly tendering processes also reinforces a significant information asymmetry between suppliers and supermarkets.

As described above, once suppliers have submitted their bids, Coles and Woolworths will often initiate negotiations. The supermarket may advise that other suppliers have submitted a lower price that must be matched, or that the 'market price' is lower that week. This generic 'market price' is often determined by reference to the central markets and other suppliers' bids. The supplier is not provided with information to be able to verify or contextualise the other bids. For example, information about whether it relates to a comparable volume of produce, or whether the quality of that produce is comparable, or whether it reflects a temporary excess of produce that a rival supplier needs to clear.

Suppliers do not have visibility of the quotes other suppliers submit, or how supermarkets arrive at a particular price. Conversely, supermarkets have access to all suppliers' tendered prices, as well as their own pricing and demand data.

Suppliers can view central market prices, however, these prices are not always an appropriate reference point. Produce sold to ALDI, Coles, and Woolworths is subject to specifications and packaging requirements that do not apply to central market produce. Further, as the main purchasers in most fresh produce categories, Coles' and Woolworths' weekly purchasing can significantly impact central market prices. Additionally, the quality of fresh produce sold through central markets in more variable than that sold by Coles and Woolworths and the amount of produce sold through central markets is declining.

1609 Information provided to the ACCC.

1610 Information provided to the ACCC.

1611 ACCC, public hearing transcript, 11 November 2024, pp 285–286.

To address these concerns, as well as the concerns described above regarding variation of purchase orders, we are recommending that greater integrity and transparency be introduced to weekly tendering processes. Specifically:

- greater transparency for suppliers as to the basis for information ALDI, Coles and Woolworths provide them about competing suppliers' prices, 'market' prices and volumes offered, both:
  - in real time, when a supermarket makes a representation to a supplier regarding these matters during weekly negotiations
  - ex-post, in relation to the outcomes of weekly tender processes (prices ultimately paid each week by ALDI, Coles and Woolworths)
- a prohibition on ALDI, Coles and Woolworths changing purchase orders issued pursuant to the weekly tender processes they operate.

With respect to the real time provision of information during negotiations, we do not expect that requiring ALDI, Coles and Woolworths to properly contextualise any representations they make about prices and volumes offered by other suppliers would impose a substantial burden on them. They would only be required to provide information they have and would only be required to provide this information in instances where they are engaging with a supplier about that supplier reducing the price they are seeking for their produce by reference to a competing bid or market price.

With respect to providing data about the outcomes of weekly tender processes, this is likely to impose some addition cost on ALDI, Coles and Woolworths. However, we consider that these costs are outweighed by the benefits of providing greater transparency about these outcomes.

Making this information available will support broader transparency about wholesale fresh produce prices. Information about prices ultimately paid to suppliers for product sold through wholesale markets is currently collected and published in various forms. However, absent information from the 2 largest acquirers of fresh produce in Australia, Coles and Woolworths, and information about ALDI, the reported information about 'market' prices in each fresh produce category provides a very incomplete picture about actual market prices.

Publishing this information would also provide suppliers who supply ALDI, Coles and Woolworths directly with a similar level of understanding about wholesale prices in the trading environment in which they operate as suppliers who sell through wholesale markets currently have.

We note concerns about potential unintended consequences associated with providing this kind of information to suppliers, especially in real time. This includes the potential risk that greater transparency about prices offered by, and paid to, competing suppliers could increase opportunities for coordination between competing suppliers. We also note the concerns expressed by Coles that for competition law reasons Coles considers it cannot provide suppliers with information about the bids of competing suppliers.

We are therefore recommending that further consultation with all industry stakeholders be undertaken to determine the most appropriate scope and form of the proposed measures, and to balance the need for greater integrity and transparency against the risk of unintended consequences.

We consider the ACCC is best placed to undertake this consultation.

Recommendation 13

ALDI, Coles and Woolworths should be required to provide fresh produce suppliers with greater transparency about the weekly tendering processes they use to negotiate price and volumes with suppliers

Where ALDI, Coles and Woolworths make representations to fresh produce suppliers about competing bids or market prices in the course of weekly negotiations, they must establish systems which also provide those suppliers with sufficient contextual information about those bids and prices.

Further consideration and consultation with relevant stakeholders should be undertaken by the ACCC about the scope and form of this information and how these requirements will be implemented.

This should include consideration and consultation about what details of prices and volumes offered by other suppliers should be provided to suppliers to allow the supplier to understand how their initial offer compares to the range of initial offers made by other suppliers participating in the same weekly tender process. This could include:

- the lowest initial price offered, and the volume offered at that price, by another supplier through the same tender process for the same category of produce in the same region
- the range of prices offered, and the volumes offered at those prices, by other suppliers through the same tender process for the same category of produce in the same region.

Recommendation 14

Greater transparency about supermarkets' wholesale fresh produce prices

ALDI, Coles and Woolworths should be required to provide to an independent central body each week data about the prices they have paid fresh produce suppliers for each grade of each type of produce they acquire in each region through each weekly tender process they operate.

This data must be provided by ALDI, Coles and Woolworths within 7 days of the last scheduled delivery of produce pursuant to a purchase order confirmed through each weekly tender process, and be in a form which will allow the central body to calculate and publish a single weighted average price paid for each grade of each type of produce acquired in each region through each weekly tender process operated separately for each of ALDI, Coles and Woolworths.

The central body should then be required, within 14 days of receiving this information from the relevant supermarket, to publish those single weighted average prices.

The Australian Government should determine the appropriate central body to receive, process and publish this data. Further consideration can then be given by that body as to the scope and form of data to be provided.

Recommendation 15

ALDI, Coles and Woolworths should not be able to unilaterally reduce wholesale fresh produce prices or volumes agreed with suppliers

ALDI, Coles and Woolworths should not be permitted to unilaterally reduce the price or volume agreed in purchase orders confirmed through their weekly tendering processes other than in the case of a force majeure event.

Greater price transparency for suppliers who do not trade directly with supermarkets

As with providing greater transparency for direct suppliers who sell to supermarkets, we consider there is utility in providing greater transparency for indirect suppliers who sell fresh produce through an intermediary, such as a wholesaler.

As discussed in section 6.1.1, some growers have direct trading relationships with Coles or Woolworths, and other growers provide their produce to the supermarkets via an intermediary.

Where these intermediaries acquire horticultural produce from growers, they are categorised as either 'agents' or 'merchants' under the Horticulture Code, depending on the nature of their relationship with growers:[1612]

- **Agents**: An agent is a person that sells horticulture produce on behalf of a grower for a commission or fee. An agent never takes ownership of the horticulture produce they are selling.[1613]
- **Merchants**: A merchant is a person that purchases horticulture produce from a grower for the purposes of resale (excluding any produce purchased for the purposes of export or retail sale). When ownership of the horticulture produce passes to the merchant depends on the terms of the relevant horticulture produce agreement.[1614]

The Horticulture Code requires, amongst other things, that agents and merchants (collectively referred to as 'traders' under the Horticulture Code) report details to growers about the acquisition or sale of their produce. The information required to be reported differs depending on whether the trader is acting as a merchant or an agent (as discussed below). We are aware of concerns from growers about:

- the timeliness of reporting sales information to growers, which is determined by the terms of their horticulture produce agreement
- the lack of requirements on traders to provide specific details about who their produce was sold to, or to disclose details about any relationship the trader has with the buyer
- the inability for growers to verify information reported by traders, particularly where adverse pricing or quality determinations are made.

Traders and growers must have a horticulture produce agreement in place before they can start trading.[1615] A trader cannot act as both an agent and a merchant under a horticulture produce agreement.[1616] Despite the prohibition on traders acting as both an agent and a merchant under

1612 *Competition and Consumer (Industry Codes—Horticulture) Regulations 2017* cl 5.
1613 *Competition and Consumer (Industry Codes—Horticulture) Regulations 2017* cl 30.
1614 *Competition and Consumer (Industry Codes—Horticulture) Regulations 2017* cl 34.
1615 *Competition and Consumer (Industry Codes—Horticulture) Regulations 2017* cl 12.
1616 *Competition and Consumer (Industry Codes—Horticulture) Regulations 2017* cl 14.

the same horticulture produce agreement, the Horticulture Code also provides that merchants can specify that the prices payable for horticulture produce are to be determined in accordance with a 'method or formula' specified in their horticulture produce agreement.[1617] For example, the agreement may specify that the price will be determined by reference to the gross sales price less a margin.[1618] The ACCC conducts regular compliance checks under the Horticulture Code and most merchant agreements reviewed by the ACCC have used the 'method or formula' approach.

We have strong concerns that this approach to setting prices effectively allows merchants to act in a way that significantly disadvantages growers. By adopting a method or formula whereby the price that the grower receives from the merchant is calculated by reference to the gross sales price less a margin, the merchant is able to determine the price that the grower will be paid after the merchant has already sold the produce, and at a time of the merchant's choosing rather than at the same time the produce is actually sold to a third party. The ACCC has observed during its Horticulture Code compliance activities that the information merchants provide to growers typically consists of gross proceeds less commission but no details of the actual sale transaction the proceeds are purported to derive from. The merchant is able to act in this way without any requirement to provide the same protections provided under the Horticulture Code to growers supplying under an agent agreement. These include requirements for agents to:

- exercise reasonable care and skill in handling and storing produce until the produce has been sold[1619]
- act in the grower's best interests when selling the produce[1620]
- ensure that all sales of a grower's produce are conducted at arm's length[1621]
- pursue bad debts on behalf of a grower where required under a horticulture produce agreement.[1622]

Where merchants adopt the 'method or formula' approach without being subject to the same obligations as an agent, this results in growers assuming additional risks, including whether the produce is sold to a buyer, the price at which produce is sold, and downgrades relating to quality (particularly where produce is highly perishable).

We recommend that the Horticulture Code should be amended to address these issues.

Recommendation 16

Greater transparency for growers who sell fresh produce through intermediaries

The Horticulture Code should be amended to:

- Require traders to provide substantially more detailed and timely information to growers about the sale of produce sold on their behalf, including details of who produce is sold to, the price, the date of sale, and to disclose any relationship between the trader and the buyer.
- Prohibit merchants from setting the price they pay for the purchase of the grower's horticulture produce as an amount calculated by a method or formula.

1617 *Competition and Consumer (Industry Codes—Horticulture) Regulations 2017* cl 18.
1618 Fresh Markets Australia, Submission to ACCC Supermarkets Inquiry Issues Paper, published May 2024, p 7.
1619 *Competition and Consumer (Industry Codes—Horticulture) Regulations 2017*cl 24.
1620 *Competition and Consumer (Industry Codes—Horticulture) Regulations 2017* cl 27(1).
1621 *Competition and Consumer (Industry Codes—Horticulture) Regulations 2017* cl 27(2).
1622 *Competition and Consumer (Industry Codes—Horticulture) Regulations 2017* cl 28.

6.3.3 Quality assessment and rejection process for fresh produce

It appears unlikely that ALDI, Coles or Woolworths are using quality assessment processes to reject fresh produce as a means of managing stock levels.

ALDI, Coles and Woolworths have quality assessment processes in place to test whether fresh produce delivered to their distribution centres meets their quality specifications.[1623]

Fresh produce that does not meet these specifications is generally rejected.[1624] The supplier is responsible for arranging collection of rejected fresh produce from the distribution centre.[1625]

Metcash predominantly sources produce from central markets.[1626]

Fresh produce suppliers raised concerns that Coles' and Woolworths' quality assessment processes are inconsistent, lack transparency and may be used for purposes other than genuine quality issues. For example:

- At the public hearings AUSVEG stated that suppliers may send produce that was grown in the same location, and packed at the same time, to multiple distribution centres, and it gets accepted at 5 but rejected at one.[1627]
- Two suppliers said that they have had produce rejected by a supermarket and produce from the same batch accepted by the same supermarket another day.[1628] Suppliers stated that supermarkets do not always provide clear or valid reasons as to why produce is rejected.[1629]
- Some suppliers stated that rejections are a method supermarkets rely on to manage supply levels where they have over-ordered fresh produce.[1630]

Coles submitted that stakeholders sometimes complain about Coles unfairly rejecting fresh produce for not meeting required specifications despite the product being acceptable quality, or Coles changing specifications with short notice.[1631] Coles submitted it has clearly defined and made readily available specifications for fresh produce and suppliers have access to the specifications prior to delivery of the products.[1632]

Coles further submitted that it has found no evidence of produce being rejected for reasons other than genuine quality issues.[1633] Coles stated that the quality team conducts assessments against the relevant specifications independently of the fresh produce buying team and has no role in formulating forecasts and placing orders with suppliers.[1634]

Coles submitted that it rejected 1.49% of fresh produce in the 2022–23 financial year.[1635]

1623 ACCC, public hearing transcript, 12 November 2024, pp 313–314; Information provided to the ACCC.

1624 Information provided to the ACCC.

1625 Information provided to the ACCC.

1626 ACCC, public hearing transcript, 14 November 2024, p 413.

1627 ACCC, public hearing transcript, 8 November 2024, p 181.

1628 ACCC, Supermarkets Inquiry supplier roundtable summary, 27 September 2024, p 8.

1629 ACCC, Supermarkets Inquiry supplier roundtable summary, 27 September 2024, pp 7–8; NSW Farmers, Submission to the Inquiry Issues Paper, published June 2024, p 16.

1630 ACCC, Supermarkets Inquiry supplier roundtable summary, 27 September 2024, p 8; ACCC, public hearing transcript, 8 November 2024, pp 182, 185.

1631 Coles, Submission to the Inquiry Issues Paper, published May 2024, p 15.

1632 Coles, Submission to the Inquiry Issues Paper, published May 2024, p 15.

1633 Coles, Submission to the Inquiry Interim Report, published November 2024, p 3.

1634 Coles, Submission to the Inquiry Interim Report, published November 2024, p 3.

1635 Coles, Submission to the Inquiry Interim Report, published November 2024, p 3; Coles, Submission to the Inquiry Issues Paper, published May 2024, p 15.

Woolworths stated that its distribution centres use standardised quality assessment processes to objectively measure produce against defined specifications.[1636] Woolworths submitted that it has developed robust processes to ensure that suppliers are provided with transparency about standards and quality specifications and that suppliers have access to Woolworths' product specifications for the products they supply.[1637]

Woolworths also stated that it only rejects fresh produce when it does not meet its product specifications after its standardised quality assessment processes are followed.[1638]

Woolworths submitted that it does not use its quality assessment process as a tool to manage supply.[1639] Woolworths submitted that it aims to work with suppliers to make acceptable produce available to customers.[1640]

Woolworths submitted that normally less than 2% of fresh produce delivered to its distribution centres is rejected.[1641]

ALDI acknowledged they had heard complaints of inconsistent rejections between distribution centres and said that it is possibly due to inherent differences in natural products being sent to different centres.[1642] ALDI gave evidence that it does not use quality assessment rejections to manage supply levels.[1643] ALDI stated that its quality assessment teams are disconnected to the buying teams.[1644]

ALDI gave evidence that in the last 3 months prior to the public hearings it had a rejection rate of 0.95%.[1645]

We note that the concerns raised by suppliers have largely been in relation to Coles' and Woolworths' quality assessment processes.

Analysis of Coles' and Woolworths' rejection rates

We obtained data from Coles about their quality assessment and rejection rates for fresh produce in 5 categories: pink lady apples; bananas; continental cucumbers; loose brushed potatoes; and strawberries.[1646] We obtained data from Woolworths about their quality assessment and rejection rates for loose apples; cavendish bananas; continental cucumbers; loose brushed potatoes; and strawberries.[1647] The data provided by both indicates rejection rates in these categories that are broadly consistent with their public submissions about the proportion of fresh produce rejected at their distribution centres.[1648]

The rejection rates do not indicate that Coles and Woolworths are utilising quality assessment and rejection process as a tool to manage supply levels.

As described in section 6.3.2, Coles and Woolworths procure the majority of their fresh produce through weekly tendering processes. Given the flexibility of these weekly tendering processes,

1636 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 77.
1637 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 75.
1638 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 77.
1639 Woolworths, Submission to the Inquiry Interim Report, published December 2024, p 21.
1640 Woolworths, Submission to the Inquiry Interim Report, published December 2024, p 21.
1641 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 77.
1642 ACCC, public hearing transcript, 12 November, p 316.
1643 ACCC, public hearing transcript, 12 November, p 316.
1644 ACCC, public hearing transcript, 12 November, p 316.
1645 ACCC, public hearing transcript, 12 November, p 314.
1646 Information provided to the ACCC.
1647 Information provided to the ACCC.
1648 Information provided to the ACCC.

including that stock is delivered within days of orders being confirmed, we consider it unlikely that supermarkets would significantly overorder volumes that would need to be managed.

With respect to the transparency of the quality assessment and rejection processes, as noted above Coles and Woolworths state that they provide suppliers with information about the standards and quality specifications relevant for the fresh produce they procure. When fresh produce is rejected the supplier receives a report explaining the reasoning.[1649] Coles submitted that all its suppliers receive a report setting out the outcome of the inspection.[1650]

Despite this, there appears to be a genuinely held concern amongst some suppliers about inconsistencies in Coles' and Woolworths' quality assessment and rejection processes. In particular, that fresh produce of comparable standards is sometimes accepted and sometimes rejected.

In this respect, Coles submitted that given the volume of fresh produce received by Coles on a daily basis, it is not possible for Coles to review every unit of produce it receives. Instead, only a proportion of the fresh produce received at distribution centres is inspected. Produce is selected for inspection in accordance with a sampling plan which was drafted to align with international standards.[1651]

Having regard to the information provided by Coles and Woolworths such inconsistency may reflect that only a proportion of the fresh produce received at distribution centres is inspected.[1652]

6.3.4 Packaging requirements for fresh produce impose costs on growers and may enhance supermarkets' monopsony power

This section considers 2 types of Coles and Woolworths packaging requirements:

- packing – the way fresh produce is packed for transport to Coles' and Woolworths' distribution centres as either loose or packaged produce
- branding – the branding requirements of both packing containers and individual pieces of fresh produce.

We consider that Coles' and Woolworths' packaging requirements are likely to create logistical efficiencies. However, these requirements can increase costs for suppliers.

We consider that restrictions on suppliers' ability to apply their own branding to fresh produce or packaging enhances supermarkets monopsony power in relation to some suppliers.

Packing requirements

Fresh produce can be sold loose (individual items of fruit or vegetables) or prepackaged. Supermarkets' packing and branding requirements can differ for loose and prepackaged fresh produce and vary by type of produce.

Loose Fresh Produce

Fresh produce that is sold loose is packed into containers for transportation from the supplier to the supermarket distribution centre. Generally, these containers come in the form of returnable plastic crates or single use cardboard boxes.

1649 Information provided to the ACCC.

1650 Information provided to the ACCC.

1651 Information provided to the ACCC.

1652 Information provided to the ACCC.

Figure 6.1: Loose fresh produce is transported to the supermarket distribution centre in returnable plastic crates or single use cardboard boxes

Packing requirements for the transportation of the produce are contained in the fresh produce supply agreements and product specifications.[1653]

Coles

Generally, Coles does not require suppliers to acquire packaging from a specific source, however they may have certain packaging requirements.[1654]

For example, Coles identifies 5 returnable plastic crates of differing volume, dimensions and pallet footprint that are available for use by fresh produce suppliers.[1655] Coles noted that its returnable plastic crates are owned and managed by third-party provider, CHEP, and operate as a pooling asset.[1656] Coles identifies various benefits in suppliers using the returnable plastic crates which include improved product quality, less rejections, waste and loss, and reduced packaging inventory for suppliers.[1657]

Coles stated that this service is optional, and some suppliers choose not to use Coles returnable plastic crates due to the nature of their product or the cost. Coles submitted that, for example, banana suppliers generally do not use returnable plastic crates as these products travel well in cardboard boxes which are more flexible next to the fruit.[1658]

Woolworths

Woolworths also promotes the use of returnable plastic crates for suppliers to transport their products to Woolworths distribution centres and provides 5 crate types with different specifications for use.[1659]

Supplier Concerns

Supplier industry representatives provided evidence at a public hearing that using cardboard cartons provides flexibility in being able to supply retailers and wholesale markets.[1660]

1653 Coles, Submission to the Inquiry Interim Report, published November 2024, p 19.
1654 Coles, Submission to the Inquiry Interim Report, published November 2024, p 19.
1655 Coles, Coles Supply Standards, June 2021, accessed 18 February 2025, p 81.
1656 Coles, Submission to the Inquiry Interim Report, published November 2024, p 19; Coles, Coles Supply Standards, June 2021, accessed 18 February 2025, p 82.
1657 Coles, Coles Supply Standards, June 2021, accessed 18 February 2025, p 82.
1658 Coles, Submission to the Inquiry Interim Report, published November 2024, p 20.
1659 Woolworths, Woolworths Group Supply Standards, accessed 18 February 2025, p 52.
1660 ACCC, public hearing transcript, 8 November 2024, p 119.

The evidence provided at the public hearing was that this flexibility comes at a cost as these cardboard cartons are typically more expensive than the returnable plastic crates that Coles and Woolworths use.[1661]

We note that to the extent this is the case, the decision by the supplier about using cardboard boxes or returnable plastic crates involves a trade-off between cost and flexibility.

AUSVEG submitted that Coles and Woolworths have separate fresh produce crate requirements, so any grower supplying to both retailers must have 2 different crate accounts.[1662] A recent AUSVEG survey showed that '71% of growers believed standardising crates would have a positive or very positive impact on their business'.[1663]

Prepacked Fresh Produce

Prepackaged fresh produce can be packaged in a variety of ways, depending on the produce types. Some examples include:

- cardboard punnets of apples wrapped in plastic
- punnets of berries
- plastic bags of carrots or potatoes
- netting bags of citrus.

Figure 6.2: Prepackaged fresh produce can be packaged in a variety of ways, depending on the produce type

Coles' and Woolworths' packing requirements are set out in a variety of agreements between them and their suppliers.

Coles

For packaging other than Coles own brand packaging, (such as carboard cartons for pre-pack apples) the product specifications and fresh produce supply agreement contain the requirements

1661 ACCC, public hearing transcript, 8 November 2024, p 119.

1662 AUSVEG, Submission to the Inquiry Issues Paper, published May 2024, p 24.

1663 AUSVEG, Submission to the Inquiry Issues Paper, published May 2024, p 25.

for the packaging.[1664] Suppliers can then choose where they source packaging from, subject to the packaging meeting these requirements.[1665]

For Coles own brand products (including fresh produce), Coles requires suppliers to use the design and artwork for packaging supplied by Coles.[1666] Coles submitted that this requirement is intended to maintain a consistent look for the Coles range of goods.[1667] Coles further submitted that suppliers can use a printer of their choice, provided the printer meets Coles' Approved Printer Audit specifications and completes a Print Requirements Form.[1668] Coles will provide the supplier with the artwork for the supplier's preferred printer's specifications.[1669]

Woolworths

For vendor-branded fruit and vegetable products, Woolworths does not impose any packaging requirements on suppliers other than requiring suppliers to comply with State or Federal legislation, rules or regulations regarding packaging.[1670]

For Woolworths own brand products, Woolworths stipulates packaging requirements such as that cardboard must be used or that packaging must be recyclable. Suppliers source packaging themselves the details of which (for example, cardboard grade and thickness), must be agreed with Woolworths.[1671]

Supplier concerns

Fresh produce suppliers have raised concerns that Coles' and Woolworths' packaging requirements impose additional costs on them.[1672]

Suppliers have also raised concerns that Coles' and Woolworths' packing and branding requirements entrench their buyer power by promoting homogeneity of fresh produce and making it more costly for suppliers to sell produce that has been packaged to the requirements of Coles and Woolworths to other buyers.[1673]

AUSVEG submitted that 'changes to 'home brand' packaging are a cost to the growers (new printing plates, design work etc) and can occur too frequently causing excessive waste (destroying all old packaging)'.[1674]

Opportunities to realise efficiencies through harmonisation

We note that while Coles and Woolworths do not generally require suppliers of unbranded loose fresh produce to use stipulated packaging, they do impose requirements regarding the specifications of the packaging used.

We consider that requiring that packaging meets these specifications is likely to create efficiencies for supermarkets. However, suppliers bear much of the cost of achieving the uniformity of packaging that supports the realisation of these efficiencies.

1664 Coles, Submission to the Inquiry Interim Report, published November 2024, p 19.
1665 Coles, Submission to the Inquiry Interim Report, published November 2024, p 19.
1666 Coles, Submission to the Inquiry Interim Report, published November 2024, p 19.
1667 Coles, Submission to the Inquiry Interim Report, published November 2024, p 19.
1668 Coles, Submission to the Inquiry Interim Report, published November 2024, p 19.
1669 Coles, Submission to the Inquiry Interim Report, published November 2024, p 19.
1670 Information provided to the ACCC.
1671 Information provided to the ACCC.
1672 ACCC, Supermarkets Inquiry supplier roundtable summary, 27 September 2024, p 6.
1673 ACCC, Supermarkets Inquiry supplier roundtable summary, 27 September 2024, p 8.
1674 AUSVEG, Submission to the Inquiry Issues Paper, published May 2024, p 29.

Suppliers have also reported that these specifications make it more difficult, and costly, for them to sell produce that may be rejected by Coles or Woolworths through other channels.[1675]

Where repackaging of rejected unbranded loose produce is required this repackaging, in and of itself, is an additional cost. Further, the time and handling required to repackage rejected produce may further impact the quality of the produce, and therefore the price the supplier may be able to ultimately achieve through alternative sales channels (if available). The more perishable the produce, the more acute this issue is. For example, fresh strawberries are highly perishable, and the risk of damage increases with double handling.

Further, many fresh produce suppliers are required to purchase upfront the packaging that meets the particular specifications of either Coles or Woolworths in an environment where, as discussed in section 6.3.2, they have no certainty over the price they will be paid for the produce, or the amount Coles or Woolworths will acquire from them.

We consider that harmonisation of packaging across supermarkets could reduce packaging costs and reduce barriers to switching. However, there already appears to be significant flexibility in relation to packaging (other than own brand packaged produce packaging requirements) that assists suppliers to manage these issues. Further, we consider that harmonisation may add costs to the supermarkets in transitioning where their receival and distribution systems are configured to their current packaging requirements.

With respect to those classes of fresh produce that are required to be packed to the supermarket's specifications, for example, Coles and Woolworths own brand products, suppliers do not have this flexibility.

We consider that where fresh packaged produce that is sourced through weekly tender processes is required to be supplied in packaging stipulated by Coles or Woolworths (i.e. their own brand packaged fresh produce products) these packaging requirements can have the effect of further weakening the supplier's bargaining position. Suppliers may consider themselves locked in to a greater extent to accepting the supermarkets price because not doing so would mean incurring considerable repackaging costs. The extent to which suppliers may consider themselves locked in will be exacerbated in circumstances where these packaging requirements, and lead time for delivery of produce, means that produce has to be packed before orders are confirmed by Coles or Woolworths.

To address this issue we recommend that where a supermarket does require suppliers to pack fresh produce in packaging stipulated by the supermarket the supplier is provided with greater certainty, in the form of an earlier price and volume commitment, about the terms on which the fresh produce they will be required to deliver in accordance with these packaging requirements will be supplied.

1675 ACCC, Supermarkets Inquiry supplier roundtable summary, 27 September 2024, p 8.

Recommendation 17

Suppliers of supermarket branded fresh produce to supermarkets should have earlier certainty about orders placed with them

If ALDI, Coles, Metcash or Woolworths requires a supplier of fresh produce to supply produce in packaging stipulated by the supermarket then, if requested by the supplier, they must provide written confirmation of the amount of produce they will purchase, and the price at which they will purchase the produce, at least 14 days before the date on which the produce is required to be delivered by the supplier. Once written confirmation is provided by ALDI, Coles, Metcash or Woolworths (as relevant), they cannot reduce the amount of produce they are purchasing from the supplier, or the price at which they will purchase the produce, without the supplier's consent, other than in the case of a force majeure event.

Supplier branding of fresh produce

We have heard that, in some cases, Coles and Woolworths place restrictions on suppliers applying their own branding on fresh produce.

Coles

Coles submitted that for fresh produce that is proprietary branded (for example, Jazz apples, Calypso mangoes) or exclusive to Coles (such as Eureka blueberries and Perino tomatoes) there are no restrictions on suppliers applying their own branding.[1676] For Coles own brand products, the packaging may sometimes be specific to a particular growers.[1677]

For loose fresh produce, Coles submitted that suppliers are not prevented from including their name or branding on the PLU (price look up) stickers and a number of growers/packers do include their name and branding on the PLU sticker.[1678]

Figure 6.3: An apple with a PLU sticker

1676 Coles, Submission to the Inquiry Interim Report, published November 2024, p 19.
1677 Coles, Submission to the Inquiry Interim Report, published November 2024, p 19.
1678 Coles, Submission to the Inquiry Interim Report, published November 2024, p 19.

Woolworths

Woolworths submitted that it prefers all fresh fruit and vegetable products offered in its stores be:

- unbranded, in the case of loose fruit and vegetable products, or
- Woolworths own branded, in the case of packaged fruit and vegetable products where branding is applied.[1679]

Woolworths submitted that notwithstanding this preference, it can and does range supplier-branded fruit and vegetable products from time to time, particularly to meet customer demands. This may include where a supplier is offering a new fruit and vegetable variety over which a supplier has a brand licence which Woolworths considers would be attractive to customers.[1680]

Woolworths submitted that this position is not dissimilar to how fruit and vegetables are generally displayed in other stores including at greengrocers and farmers markets.[1681] Woolworths submitted that it is focused on giving customers a consistent, convenient, and easy shopping experience.[1682]

Supplier concerns

At supplier roundtables, some participants stated there has been an increase in the use of supermarket branding and a reduction in the use of supplier's own branding. One supplier stated they would prefer to brand their produce and build customer loyalty, and would therefore be more willing to pay for promotions so they could invest in their own brand rather than the supermarket's brand. Some suppliers submitted that promotions of branded produce could be run more strategically.[1683]

Suppliers also submitted that the lack of branding, and therefore the homogeneity of fresh produce from the consumer's perspective, eliminates opportunities for suppliers to innovate. Some suppliers said that fresh produce suppliers who supply a branded product can leverage the value of their branded product and have more ability to negotiate with supermarkets.[1684]

Branding restrictions enhances Coles' and Woolworths' ability to exercise monopsony power

We consider that restrictions on suppliers applying their own branding promotes homogeneity of fresh produce sold through Coles and Woolworths. We consider that this is likely to assist the supermarket in managing supply while meeting customer expectations, as customers do not develop a preference for fresh produce sourced from a particular grower or growers.

However, in our view these branding restrictions also weaken suppliers' bargaining positions in negotiations with Coles and Woolworths and enhance Coles' and Woolworths' ability to exercise monopsony power in their dealing with some of these suppliers. This is because suppliers find it difficult to develop brand loyalty with consumers and consequently, supermarkets are more easily able to switch between suppliers.

We consider that these branding restrictions also deny consumers information that they may value in making purchasing decisions. To the extent that some consumers value the quality or differentiated fresh produce offering of a particular supplier, they are denied the information that would allow them to exercise this preference.

1679 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 78.
1680 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 78.
1681 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 78.
1682 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 78.
1683 ACCC, Supermarkets Inquiry supplier roundtable summary, 27 September 2024, p 10.
1684 ACCC, Supermarkets Inquiry supplier roundtable summary, 27 September 2024, p 10.

In addition, we consider that not being able to label their products could also disincentivise suppliers to differentiate or invest in improving the quality of their produce.

It appears that Coles provides more opportunities for fresh produce suppliers to apply their own branding to fresh produce than Woolworths.

We recommend that suppliers not be prohibited from applying their own branding to loose fresh produce (for example PLU stickers). However, we consider that Coles and Woolworths should retain some control over the form such branding takes to maintain the standards of the way in which produce is presented for sale in their stores. Accordingly, we do not recommend that suppliers have an unfettered right to apply any type of branding they wish to produce sold by Coles and Woolworths. We recommend that further consultation be undertaken about the type of branding that is not prohibited.

Recommendation 18

Suppliers should be allowed to apply their own branding to fresh produce

Suppliers should not be prohibited outright from applying their own branding to the loose unprocessed fruit and vegetables sold to Coles and Woolworths.

Further consideration and consultation with relevant stakeholders should be undertaken about the form of branding that suppliers should be permitted to apply (i.e. that they should not be prohibited from applying).

6.4 Packaged grocery trading arrangements

This section examines how packaged grocery suppliers trade with supermarkets in getting their product stocked and the price supermarkets pay for that product. In particular:

- range review processes
- cost price increase processes.

6.4.1 Range reviews play an important role in packaged grocery trading arrangements

Supermarkets conduct range reviews to consider their product ranging decisions for a future period. A supermarket generally initiates the range review process by notifying suppliers and potential suppliers of an upcoming product category range review, the evaluation criteria for ranging products, potential changes to trading terms and other key information and invite the supplier to submit new products for review alongside currently ranged products.[1685] For Coles and Woolworths, the range review process is initiated by the supermarkets and has a set frequency, often every twelve months, but there may be a minor review during that period.[1686]

1685 Coles, Product Ranging and Delisting Policy July 2024, accessed 18 February 2025, p 1.

1686 Information provided to the ACCC.

During a range review, Coles and Woolworths will decide:

- the products to continue ranging for sale
- the products that will be delisted, for reasons that may include failure to meet commercial viability and consumer demand
- any new products it will begin ranging from the supplier.[1687]

ALDI submitted its range review process differs from the rest of the market. ALDI's reviews its product range on an ongoing basis throughout the year, depending on the contract commencement and end dates. ALDI's category review process looks more similar to a strategy setting process than a range review at Coles or Woolworths.[1688]

The Food and Grocery Code outlines among other things, certain requirements that supermarkets and wholesalers are required to follow for range reviews, such as:

- providing a copy of the retailer's or wholesaler's product ranging principles to all suppliers with whom the supermarket or retailer has a grocery supply agreement
- within a reasonable time before conducting a range review, providing suppliers who might be affected by any outcome of the review with clearly expressed written notice of the purpose of the range review and the key criteria governing ranging decisions.[1689]

We understand that during a range review process, suppliers will submit products alongside a proposed unit cost price for each product or SKU they currently supply or propose to supply to a supermarket. The Australian Food and Grocery Council (AFGC) gave evidence that suppliers will generally provide a list price common across the market.[1690] We understand that supplier cost pricing is set with respect to multiple inputs, including

- the input costs of raw materials, packaging, labour and freight
- product price elasticity and demand
- competitor pricing
- category opportunities.[1691]

The criteria that supermarkets use to evaluate products during range reviews appear to be broadly similar. For example, we found that a number of common factors considered across some supermarkets' publicly available ranging principles included product quality and compelling value for customers, competition from other retailers, customer preferences, reliable supply of product, and alignment with supermarket values.[1692] Each of these supermarkets also refer to the commercial viability of the product, for example ALDI's guidelines refer to the product delivering sustainable margins, while Coles' guidelines state it selects products that are commercially sound for its business.[1693]

1687 ACCC, Public hearing transcript, 7 November 2024, p 82; Coles, Product Ranging and Delisting Policy July 2024, accessed 18 February 2025, p 1; Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 69.

1688 ACCC, Public hearing transcript, 12 November 2024, p 323.

1689 Competition and Consumer (Industry Codes–Food and Grocery) Regulation 2015 (Food and Grocery Code of Conduct), cl 26(1)(a), cl 26(3).

1690 ACCC, Public hearings transcript, 7 November 2024, pp 73, 81–82.

1691 Information provided to the ACCC.

1692 ALDI, Product Ranging and Shelf Allocation Principles, accessed 18 February 2025, p 1; Coles, Product Ranging and Shelf Allocation Principles July 2024, accessed 18 February 2025, p 1; Metcash, MFG Policy and Procedure_ Ranging and Delisting_V7, p 1, accessed 18 February 2025.

1693 ALDI, Product Ranging and Shelf Allocation Principles, accessed 18 February 2025, p 1; Coles, Product Ranging and Shelf Allocation Principles July 2024, accessed 18 February 2025, p 1; Metcash, MFG Policy and Procedure_ Ranging and Delisting_V7, accessed 18 February 2025, p 1.

The AFGC submitted that "a supplier often has their entire product range" highlighted as being part of a range review process products that are market leaders in their categories". The AFGC submitted that "this injection of uncertainty into the process provides a further opportunity for a supermarket to renegotiate the commercial criteria of the product and secure more favourable terms for itself".[1694] In public hearings, AFGC stated that new products that are offered by suppliers to supermarkets tend to be offered at a higher margin to get ranged.[1695]

A Woolworths executive who said they had responsibility for ultimate oversight of category managers gave evidence that they were "not aware" of category managers delivering margin expectations to suppliers at a category level, and Coles also said that margins were not communicated to suppliers "as a standard course" during a range review but that margin information such as average category margins may be communicated in certain circumstances such as if a supplier were to ask or a supplier was seeking to bring a new product.[1696] We have seen at least one instance where a supermarket previously issued guidance on the minimum margin requirements for new products as part of a range review process, in addition to a range of commercial metrics products were to be measured against in the range review.[1697] If such a practice was common, such guidance as this may imply to suppliers that higher margin products may be more competitive for ranging decisions.

Once the negotiations from a range review process are complete, generally the cost price, promotional plans, target volumes and other key sales commitments from both parties are finalised in trading arrangements, which may be revisited during the next range review. All documents which relate to supply between the supplier and the supermarket form part of an active grocery supply agreement, which may includes promotional spending agreements, freight and logistics commitments, and payment terms among others according to guidance provided by the ACCC.[1698]

A supermarket may choose not to list a product proposed by a supplier during a range review. Reasons for a decision not to range a product are highly commercial but can be varied. For example, in one correspondence a supermarket decided not to stock a range of new products from a supplier because the cost price being too high, in conjunction with profitability reasons and competition from other products ranged.[1699]

Supermarkets also regularly delist products as part of a range review outcome. Coles' public guidance states that apart from recalls, withdrawals or safety issues, delisting decisions are always based on commercial viability or consumer demand, continuous product quality failures (on behalf of the supplier) or a supplier's persistent incapacity to meet demand.[1700] For large supermarkets and wholesalers, there are various requirements under the Food and Grocery Code relating to delisting, including that large grocery businesses generally provide suppliers with reasonable written notice of delisting decisions.[1701]

1694 AFGC, Submission to the Inquiry Interim Report, published November 2024, p 21.

1695 ACCC, Public hearings transcript, 7 November 2024, p 83.

1696 ACCC, Public hearings transcript, 18 November, p 528; ACCC, Public hearings transcript, 21 November, pp 730–731.

1697 Information provided to the ACCC.

1698 ACCC, Grocery Supply Agreements under the code, accessed 18 February 2025; Competition and Consumer (Industry Codes–Food and Grocery) Regulation 2015 (Food and Grocery Code of Conduct), cl 3.

1699 Information provided to the ACCC.

1700 Coles, Product ranging and delisting policy July 2024, accessed 18 February 2025, p 1.

1701 Competition and Consumer (Industry Codes—Food and Grocery) Regulation 2015 cl 19; Coles, Product ranging and delisting policy July 2024, p 1, accessed 18 February 2025; Metcash, MFG Policy and Procedure Ranging and Delisting V 7, p 3, accessed 18 February 2025.

6.4.2 Suppliers cannot unilaterally pass through cost increases for packaged goods

Supermarkets generally negotiate the cost price of acquiring packaged goods with suppliers at the time of ranging as discussed in 6.4.1. A sample review of grocery supply agreements with suppliers indicates that any changes to supplier cost pricing must be agreed to by both parties, which appears to be why, unlike in other types of supply chains outside of the supermarkets industry, a supplier cannot unilaterally pass on a cost price increase to the supermarket without mutual agreement.[1702]

Where a supplier seeks to increase or decrease the cost price of its goods, it will generally provide notice of a cost price change to the retailer, which then triggers certain obligations under the Food and Grocery Code.[1703]

Coles' Cost Price Alterations Policy notes that in order for Coles to assess a cost price alternation request, suppliers should include information such as the value/amount of the alteration being requested per unit and the proposed date of effect of the cost price alternation, in addition to other details such as the date of last price change, and detail on changes to a supplier's input costs of production.[1704]

ALDI, Coles, Metcash and Woolworths make the final decision on whether to accept, partially accept, or reject the supplier's proposed cost price change, and undertakes its own process of analysing the cost price change requested by the supplier, discussed below.[1705] The Food and Grocery Code requires the supermarket or wholesaler to inform the supplier as to whether the cost price change has been accepted in full, in part or rejected within 30 days of the application.[1706]

Terminology for the cost price change evaluation varies by supermarket (for example, Coles calls this process a 'Cost Price Alteration',[1707] Woolworths calls it a 'Cost Price Change' or 'Cost Change',[1708] ALDI refers to it as a 'Price Review'.[1709]), however our review of public information and information received from suppliers, suggests that the cost price change request process is broadly similar across the different supermarkets.[1710]

Supermarkets seek to substantiate cost price increases

Coles and Woolworths seek to validate cost price increase requests and may seek information from suppliers to assist with this process.[1711] In public hearings and submissions, ALDI, Coles, Metcash

1702 Information provided to the ACCC.

1703 Competition and Consumer (Industry Codes–Food and Grocery) Regulation 2015 (Food and Grocery Code of Conduct), cl 27A.

1704 Coles, Cost Price Alterations Policy, accessed 18 February 2025, p 2.

1705 ALDI, Price Review Request Form – 'How to complete', accessed 18 February 2025; Competition and Consumer (Industry Codes – Food and Grocery) Regulation 2015 cl 27A (2), accessed 18 February 2025; Coles, Cost Price Alteration Policy 20230317, accessed 18 February 2025, p 1; Metcash, Price Change Process Overview, accessed 18 February 2025, p 6; Woolworths, Grocery Code FAQs Supplier, published 1 February 2023, accessed 18 February 2025, p 5.

1706 Competition and Consumer (Industry Codes–Food and Grocery) Regulation 2015 (Food and Grocery Code of Conduct), cl 27A (2).

1707 Coles, 'Cost Price Alteration Policy', accessed 18 February 2025.

1708 Woolworths, 'Price Change Submission – Supplier 8/3/2023', accessed 18 February 2025.

1709 ALDI, Price review request form, accessed 18 February 2025.

1710 ACCC, Public hearing transcript, 7 November 2024, p 75; ALDI, Price review request form, accessed 18 February 2025; Coles, Cost Price Alteration Template, accessed 18 February 2025; Metcash, 'Submit a Price Change in Metproducts – Quick User Guide June 2024', accessed 18 February 2025; Woolworths, 'Price Change Submission – Supplier 8/3/2023', accessed 18 February 2025.

1711 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, pp 66–67; Coles, Cost Price Alterations Policy, accessed 18 February 2025, p 2.

and Woolworths each noted the importance of understanding underlying input or commodity price movements when substantiating supplier cost price increases.[1712]

As part of the cost price increase process, suppliers may be prompted in some way to provide information about their costs of production. ALDI and Coles publish cost price increase templates for suppliers to fill out with information relating to changes to major inputs prices.[1713] While Woolworths' submits it requests information to assist in the consideration of the supplier's cost price increase, including information regarding increases in input costs (such as packaging, freight or ingredients) if that is the reason cited by suppliers as the basis for the cost price increase.[1714] Consistent with this, some suppliers appear to proactively give detailed production cost information to a supermarket, either in the form of a standardised cost submission template provided by a supermarket, or extra attachments of information provided at the time of the cost price increase application.[1715]

The supermarket then reviews the proposed cost price increase request. In public hearings, Coles and Woolworths both stated that they consider cost data, such as raw material costs and other inputs of the supplier's product.[1716] Review of internal documents confirms that Coles and Woolworths both have internal teams dedicated to analysing cost price requests with respect to public indices of commodity costs, and information provided by the supplier where relevant.[1717]

ALDI stated that it expects suppliers to provide some justification of their cost increases in order to ensure that the increased costs are fair in the context of settled contract prices from suppliers.[1718] ALDI said that it has heard complaints from suppliers in relation to their willingness or ability to provide information regarding the commodity cost increases.[1719] In those instances, ALDI stated that its buying team will discuss this with the supplier and assess whether to proceed with considering the cost increase application in the absence of that information.[1720]

Woolworths submitted that it requests suppliers to provide information regarding the basis for a proposed cost price increase, in order to assist its team with validating the requests. It submitted that in every cost price increase negotiation, it must "balance the inherent tensions between a supplier's desire to obtain a higher price for their products from Woolworths and customers' desire to purchase those same products at lower prices from Woolworths", noting it strives to balance supplier sustainability and its own market competitiveness.[1721]

Cost price increase applications can be lengthy processes

The Food and Grocery Code stipulates that a supermarket must inform a supplier of the outcome of a cost price increase request application within 30 days of the request being submitted.[1722] If a cost price increase request is only partially accepted or rejected, then the Food and Grocery Code also gives the supplier the ability to request the supermarket to enter negotiations about the increase.[1723]

1712 ACCC, Public hearing transcript, 12 November 2024, p 322; ACCC, Public hearing transcript, 15 November 2024, p 433; ACCC, Public hearing transcript, 22 November 2024, pp 816–817; Coles, Submission to the Inquiry Interim Report, published December 2024, p 22; Woolworths, Submission to the Inquiry Interim Report, published January 2025, pp 66–67.

1713 Coles, Cost price alteration template, accessed 18 February 2025; ALDI, Price review request form, accessed 18 February 2025.

1714 Woolworths, Submission to the inquiry, published 17 January 2025, pp 66–67.

1715 Information provided to the ACCC.

1716 ACCC, Public hearing transcript, 19 November 2024, p 631; ACCC, Public hearing transcript, 22 November 2024, p 816.

1717 Information provided to the ACCC.

1718 ACCC, Public hearing transcript, 12 November 2024 p 322.

1719 ACCC, Public hearing transcript, 12 November 2024 p 324.

1720 ACCC, Public hearing transcript, 12 November 2024 p 324.

1721 Woolworths, Supplementary submission to the inquiry (interim report), 9 December 2024, pp 66–67.

1722 Competition and Consumer (Industry Codes–Food and Grocery) Regulation 2015 (Food and Grocery Code of Conduct) cl 27A (2).

1723 Competition and Consumer (Industry Codes–Food and Grocery) Regulation 2015 (Food and Grocery Code of Conduct) cl 27A (3).

In the case of partially accepted or rejected cost price increase applications, Coles' cost price increase policy states that it 'will endeavour to conclude its position on these negotiations within 12 weeks of the date of submission of the initial Cost Price Alteration request'.[1724] Woolworths submitted its cost price consideration process is based on a typical 12 week retail cycle of promotions that need to be reviewed for the potential effect of the increase in the cost price, and generally asks its suppliers to provide around 10–12 weeks' notice. Woolworths notes it may accept a shorter notice period "where it is warranted".[1725]

In public hearings, AFGC raised concerns that the cost price increase process can be lengthy for suppliers, stating that in some instances it can take longer than 12 weeks to reach a negotiated outcome.[1726] They stated this is because while the Food and Grocery Code stipulates a 30 day outcome for the initial acceptance or rejection of the cost price increase, cost price changes often involve a renegotiation of broader trading terms including supplier promotion spending or ancillary spends. These negotiations around trade spends can take a long time to finalise. [1727]

In public hearings, both Coles and Woolworths stated that cost price increases can affect long planned promotional activity, and the impact of the increase on the promotion needs to be understood and addressed.[1728]

Suppliers may sometimes request cost price decreases

Suppliers also sometimes approach supermarkets seeking to decrease the cost price at which they sell to the supermarket. Cost price decreases may be more relevant to certain categories of packaged goods than others. For example, Coles provided evidence it had received 3 cost price decrease applications from dishwashing product suppliers between July 2023 and the time of our review, all 3 of which were accepted in full and passed through to retail price.[1729]

In addition, we understand that at least one supermarket may monitor underlying commodity prices outside of a supplier's range review or cost alteration application, in a process known as a 'reverse CPI'.[1730] The process appears similar across categories, wherein a category manager will work with a team of internal costs analysts to assess a supplier's commodity prices, prepare a presentation, and raise the issue with the supplier.[1731] In one example, a category manager from the supermarket internally raised the prospect of approaching several suppliers to request more promotional funding following a drop in freight and raw material costs in cleaning products. In this example, one of the suppliers proactively ended up approaching the supermarket for a price decrease.[1732]

Cost price increase request applications appear to have increased since COVID-19 in 2020

Prominent industry stakeholders have noted that cost price review applications from suppliers have increased since COVID-19 in 2020.

According to AFGC, the inflationary environment following COVID-19 created a situation where suppliers were unable to absorb the rising costs of multiple input commodities. Concurrent spikes in agricultural commodity prices, freight and logistics, packaging costs and energy prices resulted in an

1724 Coles, Cost price alteration policy, accessed 18 February 2025, p 3.

1725 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 66.

1726 ACCC, Public hearing transcript, 7 November 2024, pp 77, 81.

1727 ACCC, Public hearing transcript, 7 November 2024, p 76.

1728 ACCC, Public hearing transcript, 19 November 2024, pp 625–626; ACCC, Public hearing transcript, 22 November, pp 817–818.

1729 Information provided to the ACCC.

1730 Information provided to the ACCC.

1731 Information provided to the ACCC.

1732 Information provided to the ACCC.

increasing tendency for suppliers to seek cost price increases. [1733] These claims were also supported by Coles, which provided information showing that the number of cost price increase request applications it received peaked at 2,219 between FY 22–23. [1734]

Metcash also confirmed it had received a spike of cost price increase requests, which it considers to be generally subsiding. However, Metcash noted certain categories of packaged products are still passing through price increases, such as products that require cocoa as a raw material.[1735]

AFGC also submitted that this rapid rise in supplier costs was exacerbated by an apparent inability of suppliers to secure cost price increases prior to COVID-19 in 2020, which added further pressure onto suppliers' ability to absorb rising costs.[1736]

6.4.3 Suppliers have raised concerns about an inability to secure adequate cost price increases

Stakeholders have expressed concerns about their inability to successfully have cost price increases accepted by retailers. The Australian Small Business and Family Enterprise Ombudsman found that more than 50% of the suppliers to Coles and Woolworths which it surveyed found price negotiations to be 'challenging' or 'involved' compared to 21% and 28% of surveyed ALDI and Metcash suppliers.[1737]

The AFGC submitted that there was an inability of suppliers to reliably secure wholesale price increases for their products prior to COVID-19, and in the rapidly inflationary environment following COVID-19, suppliers' production costs have risen much quicker than their cost prices to retailers.[1738] The AFGC also gave evidence that in assessing cost price increase requests, the retailers focus just on commodity price rise and falls, and do not factor in the various other production inputs.[1739]

The Australian Dairy Products Federation submitted that a large portion of successful cost price increases have been eroded over time in the lead up to range reviews with the supermarkets focus on performance against the new price and the push to protect a position of a product through increased promotional funding.[1740]

Coles and Woolworths submitted that they engage in cost price negotiations in good faith, and that they do approve a majority of supplier requests.[1741] Woolworths and Coles acknowledged that some suppliers are concerned about their ability to effectively negotiate cost price increases with supermarkets, and Coles explained that it is critical for the supermarket to negotiate competitive cost prices and validate cost price increase requests to ensure their appropriateness.[1742]

Woolworths submitted that it negotiates in good faith with suppliers, with adherence to the Food and Grocery Code, and said that it accepted a vast majority of the value of supplier cost price increase requests received in recent years,[1743] resulting in cost price increases to approximately 17,000 products from 800 suppliers in between 2022 and 2024.[1744] Similarly, Coles also submit that

1733 AFGC, Submission to Inquiry Interim Report, published November 2024, pp 5–11.

1734 Coles, Submission to the Inquiry Issues Paper, published May 2024, p 18.

1735 ACCC, Public hearing transcript, 15 November 2024, p 431.

1736 AFGC, Submission to Inquiry Interim Report, published November 2024, p 11.

1737 ASBFEO, Submission to the Inquiry Issues Paper, published 20 May 2024, p 4.

1738 AFGC, Submission to Inquiry Interim Report, published November 2024, p 11.

1739 ACCC, public hearing transcript, 7 November 2024, p 81.

1740 ADPF, Submission to Inquiry Interim Report, published November 2024, p 10.

1741 Coles, Submission to Inquiry Interim Report, published November 2024, p 22; Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, pp 65–66.

1742 Coles, Submission to Inquiry Interim Report, published November 2024, p 22.

1743 Woolworths, Submission to Inquiry Interim Report, published December 2024, p 19.

1744 Information provided to the ACCC.

it has accepted over 90% of the value of the cost price increase requests received from suppliers in the last 5 years, including $3.88 billion in price increases from packaged suppliers since financial year 2022.[1745] However, we understand that a vast majority and over 90% of the value of cost price increase requests received does not equate to a vast majority or over 90% of requests in total, and Coles appears to have accepted approximately between 70%–80% of all cost price increase applications in full between financial years 2022 to 2024.[1746]

ALDI submitted it reviews cost price increase applications on their merits,[1747] and have accepted 78% of the cost price increase applications in 2022–2023.[1748]

Metcash stated its ability to negotiate on cost price increases is limited because for example it cannot "leverage a shelf placement outcome across the network".[1749] Further, Metcash stated its smaller market share means it is not a price setter and that "market-wide price increases are likely to be passed through Metcash".[1750]

6.4.4 Supermarkets appear to exercise high degrees of bargaining power during cost price increase processes

Coles and Woolworths appear to achieve highly favourable outcomes during cost price negotiations with suppliers, whether that be lower cost prices and/or other favourable trading terms.

The ability for a supermarket to unilaterally accept or reject a cost price increase from a supplier increases the supermarket's bargaining power relative to suppliers during these negotiations. Many suppliers also heavily depend on supermarkets in order to sell their goods, placing Coles, Woolworths and to a lesser extent ALDI and Metcash in strong positions when negotiating cost prices with those suppliers.

Consideration of cost prices increases, and ultimately whether they are accepted in full or in part, often involve consideration of whether Coles, Woolworths, and to a lesser extent ALDI and Metcash, will be able to maintain or increase their margins. This can often be achieved by extracting additional promotional funding and other trade spend, to maintain or increase their product margin as their cost of goods increases.

Supermarkets closely scrutinise cost price increase requests

Supermarkets appear to closely consider cost price increase requests before validating them.[1751] Coles explained that the costs of purchasing and transporting goods are a 'major driver' of the retail price, and so in order to 'keep retail prices low, it is therefore important for supermarkets to both negotiate competitive cost prices and validate cost price increase requests to ensure they are appropriate'.[1752]

Coles further explained that they ask for 'a rigorous process to make sure that actually any cost price increase that comes through or any inflation that is coming through and ultimately could be passed on to the consumer, that we do that with the right due diligence to ensure that they are valid and

1745 Coles, Submission to Inquiry Interim Report, published November 2024, p 4.

1746 Information provided to the ACCC.

1747 ACCC, Public hearing transcript, 12 November 2024, p 320.

1748 ACCC, Public hearing transcript, 12 November 2024, p 320.

1749 ACCC, Public hearing transcript, 15 November 2024, p 433.

1750 ACCC, Public hearing transcript, 15 November 2024, p 426.

1751 ACCC, Public hearing transcript, 12 November 2024, pp 320–322; ACCC, Public hearing transcript, 15 November 2024, pp 433–436; ACCC, Public hearing transcript, 19 November 2024, pp 624–632; ACCC, Public hearing transcript, 21 November 2024, p 668.

1752 Coles, Submission to the Inquiry Interim Report, published November 2024, p 4.

we can, you know, try and support customers at a tough time of cost of living.'[1753] Coles' Cost Price Alteration policy states that Coles seeks to balance the needs of its customers, its value proposition and its competitive environment.[1754] Woolworths similarly acknowledges that it seeks to validate the reasonableness of paying a higher price from a supplier, as this may have an impact on the retail price to customers.[1755]

Coles and Woolworths closely consider margins and promotional plans during cost price increase requests

As explained in further detail in chapter 7, supplier funding and trade spends significantly contribute to Coles and Woolworths' margins. Supplier funding and trade spends also play a large role in supermarkets maintaining margin from the sale of packaged products when those products go on a promotional cycle. They can also be an important consideration when the cost prices of products increase.

We note that suppliers are not required by Coles and Woolworths to provide any proposed trade spends or supplier funding amendments up front when requesting a cost price increase, but in practice this may be negotiated between a supplier and the supermarket after receiving the original proposal.

For example, where a cost price increase request is validated and not accompanied by a trade spend proposal, Coles may analyse the supplier's cost price increase request and return with feedback on the proposal and a request to increase trade spend funding. Often, this is to allow for the proportion of promotional support provided by the supplier to be maintained following a retail price increase. Information provided by the supermarket shows that where a supplier requests an increase beyond the cost price increase validated by the internal pricing analysts, the analysts might recommend entering a commercial discussion for the difference.[1756] Cost price increase requests may be fully accepted by Coles in circumstances where the supplier has not been able to fully justify the increase, if they propose to increase trade spend with the supermarket to maintain or slightly expand supermarket margins. Coles also notes that increased supplier trade spend is a key tool used by Coles to provide value back to customers (through promotions).[1757]

An example of Woolworths negotiating with one supplier over promotional funding showed a similar dynamic, where after Woolworths explained to the supplier that not increasing the promotional frequency would leave the supplier uncompetitive against other brands, the supplier committed to more frequent promotional spending, and Woolworths noted its acceptance of the cost price increase in full was conditional on the negotiated commitment.[1758] In another example, in providing a notification of a cost price increase to Woolworths in mid-2024, a large biscuits manufacturer proactively provided an adjustment of their promotional strategy as part of its application in the form of a completed deal sheet.[1759]

Our review of a sample of supermarket cost price increase negotiations and outcomes with suppliers suggests that a product's margin is also key consideration during a cost price increase negotiation. A product's retail shelf price, its promotional price, and the supplier contributions towards funding the promotions are all instrumental in maintaining a supermarket's margin on a product.

1753 ACCC, Public hearing transcript, 22 November 2024, p 817.

1754 Coles, Cost Price Alterations Policy, accessed 18 February 2025, p 1.

1755 Woolworths, Supplementary submission to the Inquiry Interim Report, Published January 2025, p 67.

1756 Information provided to the ACCC.

1757 Information provided to the ACCC.

1758 Information provided to the ACCC.

1759 Information provided to the ACCC.

For example, in response to a cost price increase proposal, Woolworths noted the proposed product margin was below sub-category average and asked the supplier if it could be increased.[1760] Woolworths' acceptance of another supplier's cost price increase was, in part, conditional on the margin to the supermarket remaining flat.[1761] While in one internal correspondence, Woolworths proposed to accept a full cost price increase in exchange for, among other things, additional margin support as part of the commercial negotiations.[1762]

Similarly for Coles, in relation to a cost price increase proposal, a large multi-national supplier noted it was able to meet the supermarket's request of a 1% margin progression, which was further progress from the 0.8% the supplier previously demonstrated. While in response to a cost price increase request from another one of its largest suppliers, Coles noted the product margin for the product was below the portfolio average and recommended the supplier put in a non-promotional scan deal for a product to improve its product margin.[1763]

Information we obtained from suppliers also confirmed that some suppliers are aware of retailer margins during negotiations, and that some suppliers actively consider retailer margin preferences when determining the size of cost price increase to put through.[1764] This was also observed in a correspondence document where, in relation to a cost price increase, a supplier noted they were increasing the recommended retail price for some of its products proportionately to the list price increases, so Woolworths' margins would remain the same.[1765] Though the importance of preserving retailer margins appears to be of varying importance for the suppliers we collected information from.[1766]

6.5 Other trading terms

This section examines other trading terms that may apply to trading arrangements between supermarkets and both fresh and packaged grocery suppliers. In particular:

- promotional funding and rebates paid by suppliers
- spending by suppliers on ancillary services provided by supermarkets such as freight, retail media and data.

6.5.1 Suppliers often pay supermarkets in the form of promotional funding and rebates

The sum that a supplier receives from the sale of their product in supermarkets is generally the list price (or the weekly negotiated price), minus any promotional funding contributions, rebates and other payments. This is generally outlined in the trading terms or negotiated with the supermarket.

Promotions can be a useful mechanism to drive sales volume, to the benefit of both the supplier and the supermarket. Recognising this, promotional programs and funding contributions can often be at the request of suppliers. However, supermarkets particularly Coles and Woolworths can also exercise buyer power to maintain or increase promotional funding contributions from suppliers. This can result in supermarkets maintaining their own margins on products on promotion, while receiving the benefits of promotion (such as increased sales revenue).

1760 Information provided to the ACCC.
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1763 Information provided to the ACCC.
1764 Information provided to the ACCC.
1765 Information provided to the ACCC.
1766 Information provided to the ACCC.

Supply agreements may also contain rebates and other payments that reduce the price a supplier receives from the supermarket for the sale of their product, which can be incurred for a broad range of activities undertaken by the supermarket. We find many supply agreements across Coles, Metcash and Woolworths contain a wide range of rebates, many of them we consider are opaque, complex, and not well understood by suppliers.

Supplier funding and payments inclusive of promotions and rebates have increased for supermarkets in recent years. These payments can contribute significantly to supermarkets' margin and profitability and is most prevalent in packaged goods. Further quantitative analysis on supplier funding is available in section 7.2.4.

Promotional funding

Supermarkets offer a range of specials, discounts or promotions across the year on specific products as part of their competitive offering to consumers. Promotions can support a product, usually to the benefit of the supermarket, supplier and customers.

As discussed in chapter 4, promotions play a significant role in influencing consumer behaviour, driving volume and sales uplift. There are also benefits of promotions to suppliers, such as an increase in sales volume and driving brand awareness amongst consumers.

Promotional funding can take the form of a discount off the price of the product, payment for marketing such as catalogue promotions and online promotions, and payment for additional shelf space or in-store location. For the purposes of this section, we focus on promotions that lower the price of the product paid by supermarkets.

Promotions drive sales

As outlined in our Interim Report, pricing and promotional practices likely play a significant role in driving supermarket sales and influencing consumer behaviour.[1767] Section 4.1 and 4.2 further detail how promotions feature in supermarket pricing strategies and play a significant role in driving sales volume.

The impact promotions have on sales can also be greater for different categories of products. For example, at one supermarket approximately 90% of the volume in dishwashing tablets is moved via promotional sales while for ready-to-eat cereals, this figure is approximately 65%.[1768]

Both suppliers and supermarkets can fund promotions

Promotions can either be funded by the supermarket, supplier or often through a contribution from both. Supermarkets may approach suppliers about a promotional activity and seek to share the cost with suppliers. Similarly, suppliers, particularly of branded products, may raise running a promotion with supermarkets.

The AFGC submitted that promotions are negotiated and agreed on a case-by-case basis with suppliers, but that the typical commercial structure of a promotion is for suppliers to:

- fund between 50–100% of the price discount
- pay the supermarket for promotional display space
- pay the supermarket for inclusion in catalogue
- provide in-store merchandising and incentives.[1769]

1767 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 72.

1768 Information provided to the ACCC.

1769 Australian Food and Grocery Council, Submission to the Inquiry Interim Report, published November 2024, p 14.

Coles submitted that it contributed the majority of funding to the cost of price reductions for packaged goods in 2023–24 financial year, and that, 'where products appear in the Coles catalogue or on a Promotional End, this is funded by Coles in the majority of cases'.[1770] Woolworths executives, in public hearings, stated that on average, Woolworths promotions are 50–55% funded by suppliers and 45–50% funded by Woolworths, noting that it will vary by promotion and category.[1771]

In private hearings, a category manager for one product category could not recall a promotion within their category being run without a contribution from suppliers.[1772] While another category manager further noted that if the supplier does not contribute to the cost of a promotion, that in the case of a 50% off promotion, those products would be running at below cost margin for that supermarket.[1773]

Suppliers may feel pressure to fund promotions

While the decision to participate in (contribute funding to) a promotion ultimately rests with the supplier, many suppliers have raised concerns about their expected or required involvement in some supermarket funding promotional activities.[1774] This sentiment was heard at the ACCC supplier roundtables[1775] and further echoed in submissions received to both the Issues Paper[1776] and Interim Report.[1777]

Suppliers have also raised concerns about how Coles and Woolworths promotional offers are funded. Particularly, concerns have been raised that:

- suppliers of fresh produce effectively subsidise promotions by accepting lower prices[1778]
- suppliers being expected to drop their prices to fund unscheduled promotions in response to another supermarket's promotion[1779]
- the duration of scheduled promotions being subject to change after the supplier's tender has been accepted.[1780]

Responsibility for negotiating promotional programs generally within Coles and Woolworths sits with the category manager or buyer

The responsibility of negotiating and setting promotions at Coles and Woolworths often rests with a category manager or team, or commercial teams in consultation with the supplier.[1781]

A product's promotional cycle and the way it is negotiated can be different across categories and be dependent on the size of the supplier. Negotiations can also occur across the year in different interactions between the supermarket and supplier. In the documents we reviewed, negotiations can sometimes commence in joint business plans between the supermarket and supplier,[1782] in ad hoc

1770 Coles, Submission to the Inquiry Interim Report, published November 2024, p 4.

1771 ACCC, public hearing transcript, 19 November 2024, p 635.

1772 Information provided to the ACCC.

1773 Information provided to the ACCC.

1774 ACCC, Supermarkets Inquiry supplier roundtable summary, 27 September 2024, p 9.

1775 ACCC, Supermarkets Inquiry supplier roundtable summary, 27 September 2024, pp 9–10.

1776 See, e.g. NFF Horticulture Council, Submission to the Inquiry Issues Paper, published May 2024, p 13, Confidential Party #11, Submission to the Inquiry Issues Paper, published May 2024, p 6.

1777 Fruit Producers SA, Submission to the Inquiry Interim Report, published November 2024, pp 1–2; Information provided to the ACCC.

1778 Fresh Markets Australia, Submission to the Inquiry Issues Paper, published May 2024, p 6.

1779 ACCC, Supermarkets Inquiry supplier roundtable summary, 27 September 2024, p 10.

1780 ACCC, Supermarkets Inquiry supplier roundtable summary, 27 September 2024, pp 9–10.

1781 Information provided to the ACCC.

1782 Information provided to the ACCC.

email communications at various intervals throughout the year[1783] and in pre-determined periods of range reviews.[1784]

Some supermarkets told us they plan promotions with suppliers about 6 months in advance according to internal policies or business rules.[1785] However, we find the lead time in planning can vary significantly across categories and supermarkets, and depending on promotion type.

In hearings with category managers, we heard that fresh produce promotions can be confirmed anywhere from the week before the promotion begins,[1786] up to 4–6 weeks in advance (although planning for some products or promotions may occur 12–14 weeks out from the start of the promotion),[1787] while packaged goods promotions may be planned up to 6 months in advance.[1788]

Fresh produce promotions

As outlined in section 6.3.2, the price and volume for fresh produce supplied to supermarkets is usually negotiated in a weekly tender. In addition to the weekly tendering arrangements, supermarkets periodically run weekly promotions on fruit or vegetable products. In negotiating promotional prices, supermarkets may either propose to a supplier the promotional price the supermarket is willing to pay, and ask a supplier if they are willing to opt in, or a supplier may propose to the supermarket run an in-store promotion and offer a promotional price for that product.[1789]

The premise of running these promotions is commonly due to supply and what is in abundance.[1790] A category manager will generally start communicating with fresh produce suppliers ahead of time to understand the volumes available across the supply base that could go on promotion.[1791]

We heard conflicting views on whether there are any implications should suppliers choose not to participate in promotions. Category managers from one supermarket informed us that suppliers can choose to opt-out of promotions and that there were no repercussions for a supplier when they do not agree to participate in a promotion.[1792] However, another category manager noted suppliers that opt-out of promotions will only receive orders for their base forecast and will not receive additional promotional volume orders.[1793] A category manager at another supermarket also noted that they might reduce the supplier's split and reallocate orders to another supplier that can supply at the promotional price, or it may be that the supplier that opts-out may also not receive orders for that promotional week.[1794]

Should the fresh produce supplier choose to participate in the promotion, they contribute by reducing their cost price.[1795]

1783 Information provided to the ACCC.
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1790 Information provided to the ACCC.
1791 Information provided to the ACCC.
1792 Information provided to the ACCC.
1793 Information provided to the ACCC.
1794 Information provided to the ACCC.
1795 Information provided to the ACCC; ACCC, public hearing transcript, 8 November 2024, p 173.

Packaged goods promotions

Packaged goods promotions can be planned in advance through a calendar of promotional activity or promotional program that is communicated between supermarkets and suppliers.[1796] In determining promotional plans, a category manager at one supermarket noted they consider factors such as what customers respond to in terms of promotional mechanics, what seasonal events may be occurring, and other supermarket promotions to determine what the best value offer would be for customers and competitiveness in the market.[1797]

Suppliers do not need to agree to participate in promotions. One category manager told us that packaged goods suppliers can decline participation in a promotion, however the consequence might be that they would not get the sales volume increase they otherwise would have from doing the promotion.[1798] Another noted that in their experience, promotions drive performance, so if promotions are not offered or are stripped back then fewer customers buy the product, and the ranging of that product would need to be considered at the range review if it is not meeting a category average sale and performance.[1799]

Should the packaged good supplier choose to participate in the promotion, unlike fresh produce, packaged goods suppliers generally do not reduce their cost price, instead the supplier will contribute funding for every unit sold for that particular promotion.[1800] This is also called a scan deal.[1801]

Range reviews and cost price increase processes

As outlined in the above section 6.4.1, range reviews are periodic assessments conducted by supermarkets to evaluate the performance of products on their shelves. As part of range reviews, the supplier and retailer may also negotiate a product's promotional funding, as running promotions will drive volume sales that can increase a product's performance relative to its competitors, increasing the likelihood those products remain stocked on shelves.

Promotional funding may also be negotiated as part of cost price increase requests. Where a supplier seeks to increase the cost price to the supermarket for its product, a supermarket may negotiate to incorporate or increase a promotional spend with the supermarket. The aim of the promotion is often to improve consumer value. However, as noted in section 6.4, in certain instances the promotion is used to maintain, or improve, a supermarket margin.

Unscheduled promotions

Outside of promotional plans generally agreed during range review and cost price increase processes, supermarkets may also request a supplier to support promotions on short notice, sometimes to compete with other supermarkets. For example, a supermarket approached a fresh produce supplier for volume and promotional support on short notice to counteract a competitor's promotional offer.[1802]

In its Promotions Policy and Procedure document, Coles states it will provide reasonable notice before commencing any supplier funded promotions, aiming to generally provide at least 8 weeks notice for packaged products. However, it also notes a shorter period may be given 'when swifter action is required to respond to recent market activity or address compliance issues.'[1803]

1796 Information provided to the ACCC.
1797 Information provided to the ACCC.
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1799 Information provided to the ACCC.
1800 Information provided to the ACCC.
1801 Information provided to the ACCC.
1802 Information provided to the ACCC.
1803 Coles, Promotions Policy and Procedure July 2024, 8 July 2024, accessed 18 February 2025.

Supermarkets may also request suppliers provide non-promotional scan deals.[1804] A non-promotional scan deal in effect appears to be an ad hoc request by a supermarket to suppliers for support outside of a regular promotion. We have seen evidence of these payments, effectively a cost price reduction, being requested by the supermarket to price match a competitor while maintaining the supermarket's margin on that product.[1805] For example, one supermarket requested a supplier load a non-promotional scan deal to maintain margin, noting that the supermarket was intending to move the price 'to match the market'.[1806]

At other times, it can be sought to support a campaign which is outside of a regular promotion for that product (for example, as part of a reduced prices or everyday low prices promotion).

While suppliers do not need to agree to such requests, if the margin on the product is reduced due to the supermarket lowering the retail price without additional supplier funding, this may raise concerns during the range review process as the profitability of the product declines. For example, one supermarket noted the '[non-promotional] scan deal offered…does not allow us to offer customers competitive value while being profitable. This will be a consideration point when assessing your profitability through the range review'.[1807]

Promotion scheduling and clashing

The AFGC raised concerns that some 'supermarket practices have sought to make the supplier responsible for price competition within the retail market, over which they have no control', such as where 'supermarkets have required suppliers to provide assurances that a promotion does not 'clash' in the market prior to, during and after the promotional period', which AFGC says 'limits the supplier's ability to promote their product in another supermarket, dampening industry price competitiveness.'[1808]

During hearings, one category manager outlined that in their experience and category, they preferred to avoid clashing, noting if supermarkets run a promotion on the same product they would essentially cannibalise each other.[1809] For similar reasons, the same category manager noted they also do not run 2 identical products on half price at the same time.[1810] Another category manager also gave evidence that it is not in a suppliers best interest to provide promotions to another retailer at the same time as promoting with one as they would not drive the supplier's volume, and they can only do this a certain number of times a year.[1811]

We understand that supermarkets may be made aware of a competitor's promotional activity – for example because a supplier seeks to not support a promotion as it may not have stock available to run concurrent promotions or may seek in its promotional plans to stagger its promotions between supermarkets. We have also heard complaints that suppliers feel pressured to ensure promotions are not run concurrently.

In chapter 4, we have observed that promotions in some products consistently alternate between supermarkets, in a way that avoids clashes. We also note in chapter 3 that we are concerned by a lack of competition between supermarkets on pricing and in particular on promotional offers.

We take anti-competitive arrangements and sharing of information about pricing between competitors very seriously and would look to investigate any complaints raised with us about coordination by supermarkets of promotional activities, including any attempts to pressure suppliers

1804 Information provided to the ACCC.
1805 Information provided to the ACCC.
1806 Information provided to the ACCC.
1807 Information provided to the ACCC.
1808 Australian Food and Grocery Council, Submission to the Inquiry Interim Report, published November 2024, p 14.
1809 Information provided to the ACCC.
1810 Information provided to the ACCC.
1811 Information provided to the ACCC.

to coordinate conduct or to require competitively sensitive information to be provided about the supplier's arrangements with another party.

Rebates and other payments

Numerous suppliers and representative groups have raised concerns about rebates,[1812] including that they are 'opaque',[1813] that 'growers pay them but are not quite sure why',[1814] and that some suppliers just accept rebates as a cost of supplying the supermarkets.[1815]

In its submission to the Interim Report, Coles noted:

> There are a number of supplier terms and rebates in place. Trading terms such as volume rebates and settlement discounts are largely a historical feature of the grocery industry which enabled suppliers to have a consistent wholesale or list price with all of their customers but then provide larger customers a rebate for benefits such as lower counterparty risk, better payment terms and security, easier administrative processes and the inherently larger volumes supplied. Trading terms are negotiated at the outset of the trading relationships, recorded in writing in accordance with the Grocery Code and are clearly specified on claims / remittance documents.[1816]

In a private hearing, a Woolworths executive noted that rebates and other supplier payments contained in trading terms include everything that Woolworths is entitled to do with agreement from the supplier, however many terms are historical and are not currently being used.[1817]

During the public hearings, the AFGC explained that:

> '…the supplier does not receive all of its wholesale or list price as part of that, the sale of the goods. Off that wholesale price or list price will be a number of deductions or rebates. I'll use those words interchangeably. Some of those will be fixed, some will be variable, and then there will be a range of other times [sic] of rebate or deductions'.[1818]

AFGC further explained that, separately to deductions or rebates which are negotiated for 'a service provided by the retailer to the supplier or some negotiation around the terms on which they'll supply', there are 'sometimes co-op or support payments which may be margin support payments, for example, that a supplier may be requested to provide to a retailer'.[1819]

These kinds of payments can occur as a lump sum one-off payment as a fixed rebate, or a variable payment based on each scanned product or percentage of the sales volume over a period of time. Supply agreements can contain many rebates relating to a broad range of activities, with the value of the rebate both articulated in supply agreements and negotiated at an ad hoc basis.

We have reviewed a sample of supplier trading agreements across Coles, Metcash and Woolworths to understand the breadth of rebates and other payment terms that may be applicable to a supplier. Examples of the types of rebates and other payments included in trading agreements are listed in Table 6.2.

1812 AUSVEG, Submission to the Inquiry Issues Paper, published May 2024, p 21; NFF Horticulture Council, Submission to the Inquiry Issues Paper, published May 2024, p 13; Queensland Fruit & Vegetable Growers, Submission to the Inquiry Issues Paper, published May 2024, pp 11–12; NSW Farmers, Submission to the Inquiry Issues Paper, published June 2024, p 16.

1813 NFF Horticulture Council, Submission to the Inquiry Issues Paper, published May 2024, p 13; NSW Farmers, Submission to the Inquiry Issues Paper, published June 2024, p 16.

1814 Queensland Fruit & Vegetable Growers, Submission to the Inquiry Issues Paper, published May 2024, p 11.

1815 ACCC, Supermarket Inquiry supplier roundtable summary, 27 September 2024, p 9.

1816 Coles, Submission to the Inquiry Interim Report, published November 2024, p 4.

1817 Information provided to the ACCC.

1818 ACCC, public hearing transcript, 7 November 2024, p 71.

1819 ACCC, public hearing transcript, 7 November 2024, pp 71–72.

Table 6.2: Types of rebates and other payments that may be included in trading agreements

Type of rebate and other payment terms	Purpose
Volume rebates[1820]	Discounts off the list price recognising greater volume and frequency of goods purchased.
Distribution rebates[1821]	Discounts off the list price recognising distribution costs to individual stores is incurred by the vertically integrated supermarket. There may be multiple rebates related to the distribution of goods by the supermarkets.
Settlement discounts[1822]	Deductions to the invoice for the earlier payment of invoices (within a specified period).
Additional freight or distribution rebates[1823]	Additional freight charges may be incurred where e.g. goods are stored and distributed from national distribution centres as opposed to state-based or regional distribution centres.
Collaboration rebates[1824]	Additional charges may be incurred for developing joint business plans, growth plans, or other types of co-operative arrangements, or in consideration of access to the supermarket's data, which provides visibility of forward order plans and sales forecasts, and service level performance of the supplier.
New product payments[1825]	Additional charges made to supermarkets for stocking or listing new products.
Better positioning payments[1826]	Fees or rebates charged for changing or bettering the position of goods in-store, increasing shelf space.
Artwork costs[1827]	Payments towards the costs of artwork and design of products.
Wastage[1828]	Wastage refers to goods that are no longer fit-for-sale. Under the Food and Grocery Code of Conduct, supermarkets cannot require payment for wastage, unless agreed. However, supermarkets may seek to agree wastage charges with suppliers.
Markdowns[1829]	Markdowns are goods that are sold by the supermarket at a discount rate as they are approaching 'use-by' or 'best-before' dates, or the goods are old and slow moving. Supermarkets may seek to agree markdown claims in agreements, which are deducted off the payment invoice for products sold at markdown.

Note: Examples of rebates and payments are indicative only and may not be applicable to all supermarkets or to all supplier agreements.

1820 Information provided to the ACCC.

1821 Information provided to the ACCC.

1822 Information provided to the ACCC.

1823 Woolworths, National Vendor Trading Terms (Part B – General Terms) (November 2023), accessed 18 February 2025, p 5; Metcash, Trading Terms Agreement, accessed 18 February 2025, p 7.

1824 Information provided to the ACCC.

1825 Woolworths, National Vendor Trading Terms (Part B – General Terms) (dated November 2023), accessed 18 February 2025, p 4.

1826 Woolworths, National Vendor Trading Terms (Part B – General Terms) (dated November 2023), accessed 18 February 2025, p 4.

1827 Woolworths, National Vendor Trading Terms (Part B – General Terms) (dated November 2023), accessed 18 February 2025, p 4; Coles, Coles Own Brand Terms and Conditions (dated 2024), accessed 18 February 2025, pp 1, 6; Metcash, General Terms and Conditions for the Supply of Goods (dated November 2023), accessed 18 February 2025, p 2.

1828 Woolworths, National Vendor Trading Terms (Part B – General Terms) (dated November 2023), accessed 18 February 2025, p 2; Coles, Waste and Shrinkage Policy and Procedure, accessed 18 February 2025; Metcash, General Terms and Conditions for the Supply of Goods (dated November 2023), accessed 18 February 2025, p 6.

1829 Coles, Payments Policy and Procedure, accessed 18 February 2025, pp 5–6.

As outlined in Table 6.2, suppliers may have numerous rebates and other payment terms included in their trading agreements that can apply in a wide range of scenarios. Based on our review, some rebates appear opaque with the purpose unclear, while the amount of rebate and other payments can vary between supplier agreements.

Ultimately, as one category manager noted, the purpose of rebates is to bring down the net cost price of the product regardless of the kind of rebate it is.[1830] In our view, Coles and Woolworths are also able to negotiate and implement a greater number of rebates than smaller supermarkets due to their superior bargaining position, in part due to the size, scale and concentration in the grocery retail sector. In its confidential submission, Woolworths noted that for example, its business volume rebate, recognises Woolworths' capability to offer exposure of a supplier's products to a very large volume of potential purchasers.[1831]

We also find that for many rebates and other payment terms, the amount agreed with suppliers is not standardised and can vary between suppliers. Meaning different suppliers may pay different amounts for the same rebate or other payment term. The amount agreed in the trading agreement may reflect the varying degrees of bargaining power across suppliers to supermarkets.

The range of rebates that may be applied to the cost price of a product further obscures the sum a supplier may receive for the sale of their product. The result of which may not be apparent until the supplier receives the payment or invoice from the supermarket.

As previously noted, rebates are a historic feature of grocery trading arrangements, and many rebates and other payment terms may appear in agreements without necessarily being enlivened or exercised. In its public hearing, Coles noted that has been simplifying its 'trading terms to move to a net position which removes rebates',[1832] which means that 'any deductions that are applied to Coles for any reason by the supplier are taken off at the supplier side, and the invoice price on the trading terms is simply the invoice price'.[1833]

Rebates are not well understood by many suppliers and rarely renegotiated

Many suppliers of fresh produce raised concerns that they do not understand why rebates to supermarkets are required.[1834]

Multiple people within a supermarket may be responsible for different aspects of the trading relationship with suppliers, which can make it difficult to negotiate or engage meaningfully in relation to trading terms.

During the course of the public hearings, executives from Coles and Woolworths were asked about rebates, including how they operate and their relevance to negotiations with suppliers. Individual executives' level of knowledge and understanding of these issues varied. Woolworths executives were able to speak generally to the primary forms of rebates payable by Woolworths' suppliers, with the caveat that they weren't "all in the detail", and noting that category managers generally manage such negotiations with suppliers.[1835] Similarly, Coles executives were able to speak to some of most predominant discounts Coles has as part of its rebates structure.[1836] When asked whether Coles explains to suppliers what the various rebates are for at the start of the trading relationship, a Coles

1830 Information provided to the ACCC.

1831 Information provided to the ACCC.

1832 ACCC, public hearing transcript, 22 November 2024, p 821.

1833 ACCC, public hearing transcript, 22 November 2024, p 821. See also p 822 for further detail.

1834 ACCC, Supermarket Inquiry supplier roundtable summary, 27 September 2024, p 9; Queensland Fruit & Vegetable Growers, Submission to the Inquiry Issues Paper, published May 2024, p 11.

1835 ACCC, public hearing transcript, 19 November 2024, pp.583–584. See also p 588.

1836 ACCC, public hearing transcript, 22 November 2024, pp 780–781.

executive replied: 'Yes. I would assume that as a category manager brings on a supplier, that they would be walking through the terms and conditions as a legal document, and if the supplier had any queries that they would raise that with us at the time.'[1837]

In practice, it appears most rebates are negotiated at the start of the trading relationship and then remain in place with any renegotiation of rebates and other payment terms throughout the term of the trading relationship being an exception rather than the rule. For example, small suppliers to Coles and Woolworths seeking to have their products newly stocked may have little bargaining power in negotiating these terms beyond what is put to them.

Ongoing negotiations between suppliers and category managers, the primary interface for the supermarkets, tend to focus on promotion schedules, promotional funding, cost price increases and range reviews. As one Woolworths executive noted in a private hearing 'it [payments that a supplier is making to Woolworths] becomes a little bit of a set and forget for category managers because actually the day to day dealings are more to do with promotions, activation and those types of thing as opposed to things that are standard terms that are just automatically happening in the background.'[1838]

Rebates and other payments can have a substantial impact on supplier profitability. In circumstances where rebates and other payments are applied automatically and deducted off the amount payable to the supplier, we consider this hinder suppliers' ability to negotiate trading and payment terms with supermarkets. Particularly, we support mechanisms that can increase supplier understanding about what rebates are applicable to the trading relationship and the conditions under which they can be applied over a trading period. We consider this will improve the ability for suppliers to both account for these payments in their costs of supplying to the supermarket, act as a prompt to consider whether those payments are still fit-for-purpose, and negotiate more effectively with supermarkets.

Recommendation 19

There should be greater transparency about the rebates suppliers pay to supermarkets

If requested by the supplier to do so, large supermarkets and wholesalers should provide suppliers with an itemised account of all payments and deductions off invoices at the end of each financial year. This should also include a description of the payment or deduction including the reason or the purpose for each, and how the amount is calculated.

6.5.2 Suppliers can feel obligated to use ancillary supply chain services provided by Coles and Woolworths

Coles and Woolworths supply a range of ancillary services that suppliers can acquire from them. Coles and Woolworths do not generally require that suppliers acquire ancillary services from them or from nominated third party providers. However, many suppliers report feeling obligated to do so to preserve their commercial relationship with Coles or Woolworths.

In many cases, synergies and associated cost savings can be realised by suppliers acquiring ancillary services from a supermarket business or a common third-party provider. However, where suppliers feel obligated to acquire ancillary services that they would not otherwise purchase, or not otherwise purchase from Coles or Woolworths or their nominated supplier, we consider that this is likely to increase their operating costs.

1837 ACCC, public hearing transcript, 19 November 2024, p 590; ACCC, public hearing transcript, 22 November 2024, p 822.
1838 Information provided to the ACCC.

Grocery supply chain ancillary services

Suppliers have raised concerns about feeling obligated to use services provided by Coles or Woolworths, or third parties nominated by Coles and Woolworths, not because they offer a better option for the supplier, but because they do not want to jeopardise their ongoing commercial relationship with Coles or Woolworths.[1839] These ancillary services are in areas including:

- pallets
- freight
- advertising and marketing
- data analytics.

Coles submitted that it offers several ancillary services to suppliers that they can acquire if they wish to do so, and while it recommends using these services to suppliers where relevant, they are entirely optional.[1840]

Woolworths submitted that it neither requires nor expects suppliers to acquire other Woolworths services as part of their commercial arrangements with Woolworths.[1841]

We have outlined below Coles' and Woolworths' and in the case for freight services, Metcash's arrangements in relation to these ancillary services.

Pallets

Fresh produce suppliers are required to deliver their returnable plastic crates or single use cardboard boxes (for more information refer to section 6.3.4) of packed produce to Coles and Woolworths distribution centres on a pallet that meets Australian Standard AS4068.[1842]

Figure 6.4: Packaged produce is delivered to the supermarket distribution centre on a pallet

In their supply standards that are publicly available online, Coles and Woolworths state that the condition of pallets impacts team member safety and operational efficiencies.[1843]

Although pallets are not an ancillary service supplied by Coles and Woolworths, they nominate the use of either CHEP or Loscam branded pallets.[1844]

1839 See ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, pp 243–244.

1840 Coles, Submission to the Inquiry Interim Report, published November 2024, p 19.

1841 Woolworths, Submission to the Inquiry Interim Report, published December 2024, p 20.

1842 Woolworths, Woolworths Group Supply Standards, September 2024, accessed 18 February 2025, p 61; Coles, Coles Supply Standards, June 2021, 18 February 2025, p 44.

1843 Coles, Coles Supply Standards, June 2021, accessed 18 February 2025, p 44; Woolworths, Woolworths Group Supply Standards, September 2024, accessed 18 February 2025, p 61.

1844 Coles, Coles Supply Standards, June 2021, accessed 18 February 2025, p 44; Woolworths, Woolworths Group Supply Standards, September 2024, accessed 18 February 2025, p 61.

Freight

Coles, Metcash and Woolworths have freight operations that, as well as transporting goods between distribution centres and retail sites, are available to suppliers to deliver goods to their distribution centres.

Woolworths' transport business is called Primary Connect. Woolworths stated it has no expectation that suppliers use Primary Connect.[1845]

Coles' transport business is called Coles Collect. Coles stated there is no obligation for suppliers to use Coles Collect, however often suppliers choose to use it because it is more cost effective than alternative transport options.[1846]

Metcash's transport business is called MetFreight. Metcash states that its fleet transports supplier product directly into distribution centres, providing an end-to-end network solution connecting its independent retailers with suppliers.[1847]

AUSVEG and Fruit Growers Victoria gave evidence that growers are encouraged by Coles and Woolworths to use the supermarket owned or aligned freight service providers.[1848] This is supported by information received by us from suppliers in response to s95ZK notices. However, while suppliers feel that they are encouraged to use the supermarket's freight providers, suppliers have reported where they have chosen to do so, it is generally for commercial reasons and not to preserve their relationship with the supermarket.[1849]

Retail media

'Retail media' is the term used for the advertising and marketing offered by a retailer and placed on the retailer's media network. Coles and Woolworths operate inhouse media businesses that include their own branded magazines, digital screen, online advertising, and instore radio. Coles' retail media business is called 'Coles 360' and Woolworths' is called 'Cartology'.

Coles and Woolworths both indicated that they do not require suppliers to use retail media, but identified the benefits they consider that suppliers may get from using these services.[1850]

Coles submitted there are many alternative marketing avenues open to suppliers other than Coles 360.[1851]

Woolworths stated that the team that manages Cartology is separate from its commercial team.[1852]

The AFGC stated that retail media can provide benefits to suppliers, but there is unknown methodology for calculating the cost of using retail media, lack of transparency around the return of investment, and sometimes there can be very strong encouragement given to a supplier to use a retail media.[1853]

The AFGC submitted that many suppliers have reported concerns they are pressured into using these services at markedly higher than market costs.[1854]

1845 ACCC, public hearing transcript, 19 November 2024, p 646.
1846 ACCC, public hearing transcript, 22 November 2024, p 838.
1847 Metconnect, Primary Freight: Metcash primary freight operations now live; accessed 18 February 2025.
1848 ACCC, public hearing transcript, 8 November 2024, pp 186–187.
1849 Information provided to the ACCC.
1850 ACCC, public hearing transcript, 18 November 2024, p 532; ACCC, public hearing transcript, 22 November 2024, pp 832–835.
1851 Coles, Submission to the Inquiry Interim Report, published November 2024, p 20.
1852 ACCC, public hearing transcript, 19 November 2024, p 641.
1853 ACCC, public hearing transcript, 7 November 2024, pp 91–92.
1854 Australian Food and Grocery Council, Submission to the Inquiry Interim Report, published November 2024, p 17.

Other suppliers have raised similar concerns about feeling obligated to use these services, and a lack of transparency about how funds contributed by the supplier are spent for the benefit of the supplier.[1855]

Suppliers of fresh produce, who are sometimes restricted by Coles and Woolworths from applying their own branding to their produce, expressed concerns about a lack of transparency regarding how their contributions to retail media are used by Coles or Woolworths. For example, some suppliers submitted that Coles or Woolworths request a monetary contribution toward the total spend on a campaign for a specific category of produce, but the supplier has no awareness of whether their contribution is proportional to that of other suppliers of the same category of produce. Nor do they have any awareness of how the funds are spent, beyond seeing the public promotions the supermarket undertakes.[1856]

An internal presentation of Woolworths indicates that Woolworths was aware of supplier concerns regarding Cartology. The presentation noted the following statements from individual suppliers:

> "ROI is not clearly justified"
>
> Small business – "it's a waste of money, we see no return from investing in it"
>
> "Cost of doing business increasing, ROI questionable."[1857]

The AFGC submitted that encouragement of the use of these inhouse media services is an increasing emphasis of supermarkets when negotiating commercial agreements.[1858]

Correspondence between a supplier and Woolworths suggests that suppliers' increased spending on the supermarket's respective retail media may be a way for suppliers to promote products.[1859] However, another correspondence also suggests a supplier may propose to increase their retail media spending as part of a cost price increase negotiation.[1860]

These media services are potentially a substantial source of income for the supermarkets. For example:

- Revenue from Woolworths' Cartology is estimated to have tripled since the 2020 financial year. Woolworths submitted that Cartology revenue growth over this period was off a very low base.[1861]
- In an internal business retail media presentation, Coles forecast that its media income would grow due to a shift in income to owned channels (ie. Website/App) from traditional media.[1862]

Data analytics

Supermarket data analytics refers to the process of collecting, analysing and interpreting data generated by supermarket operations. Scan data is an example of this type of data. Scan data includes details such as:

- product information: SKU, barcode, product name, size, type
- sales data: quantity sold, price, discounts
- timing data: date and time of sale
- store details: store location of the sale.

1855 ACCC, Supermarkets Inquiry supplier roundtable summary, 27 September 2024, p 11; Information provided to the ACCC.
1856 ACCC, Supermarkets Inquiry supplier roundtable summary, 27 September 2024, p 10.
1857 Information provided to the ACCC.
1858 Australian Food and Grocery Council, Submission to the Inquiry Interim Report, published November 2024, p 17.
1859 Information provided to the ACCC.
1860 Information provided to the ACCC.
1861 Information provided to the ACCC.
1862 Information provided to the ACCC.

Scan data is valuable for both retailers and suppliers as it provides insights into sales trends, customer preferences, and promotional effectiveness.

Supermarkets collect this data at point of sale and make it available for suppliers to purchase, either directly or through a third party.

Coles submitted that it provides all its suppliers with access to sales, profit, item forecast and distribution centre performance metric data at no cost, via its Coles Supplier Central portal.[1863] If suppliers want a broader range of data they can subscribe to the Coles Synergy platform.[1864] Coles submitted this subscription grants access to a more extensive set of metrics that provides suppliers with the ability to see their own product performance in Coles benchmarked against other suppliers in relevant categories and sub-categories. The pricing for the subscription is dependent on the size of the supplier, with larger suppliers paying more.[1865] Coles Synergy is operated by third-party analytics and technology provider, Circana.[1866]

Woolworths sells retail scan data analysis through its Woolworths iQ (WiQ) team which Woolworths stated is separate to its commercial team.[1867] Woolworths holds a major interest in analytics company Quantium.[1868] Woolworths gave evidence that Quantium can analyse consumer behaviour inside supermarkets and provide consumer insights back to the consumer goods companies, should they choose to purchase this service.[1869]

Woolworths stated that following specific feedback from its smaller suppliers it has recently provided data insights by way of a report to smaller suppliers for free.[1870] Woolworths gave evidence that after an initial 12 month period the report is no longer free, but is available for purchase for $1,000 per annum.[1871]

ALDI and Metcash do not have data analytics platforms that offer services to suppliers.

Although suppliers are not required to purchase additional data from Coles Synergy or Woolworths iQ, evidence provided by some suppliers indicates that access to this data is often viewed as a commercial necessity to enable suppliers to:

- understand a product's performance in the market
- make informed internal production decisions
- negotiate a product's pricing, ranging and delisting during range reviews.[1872]

We consider the effect of this expectation is that some suppliers may consider it is necessary to purchase these data services to be able to effectively negotiate supply arrangements with Coles and Woolworths.

For example, one supplier stated they began paying Coles and Woolworths for data because the data provides them with deeper insights and it is difficult to have commercial discussions with the supermarket buying teams without it. Additionally, the data that they had historically relied upon buying from third parties like Circana is becoming increasingly limited in comparison. Despite this, the

1863 Coles, Submission to the Inquiry Interim Report, published November 2024, p 20.
1864 Coles, Submission to the Inquiry Interim Report, published November 2024, p 20.
1865 Coles, Submission to the Inquiry Interim Report, published November 2024, p 20.
1866 Coles, Submission to the Inquiry Interim Report, published November 2024, p 20.
1867 ACCC, public hearing transcript, 19 November 2024, p 642.
1868 ACCC, public hearing transcript, 19 November 2024, p 641.
1869 ACCC, public hearing transcript, 19 November 2024, p 642.
1870 ACCC, public hearing transcript, 19 November 2024, p 642.
1871 ACCC, public hearing transcript, 19 November 2024, p 642.
1872 Information provided to the ACCC.

supplier stated there is still a need for them to purchase data analytics from Circana as their ability to pull data off platforms like Woolworths' Quantium into their own database is limited.[1873]

Implications for suppliers of supermarkets' ancillary service offerings

We consider that in many cases synergies and efficiencies are likely to be realised by suppliers acquiring ancillary services from a supermarket business or a common third-party provider. For example:

- Pallets: Consistent pallet standards are likely to support efficient stock management and movement through distribution centres.
- Freight: Suppliers have provided evidence that where they have chosen to engage a supermarket owned freight service, this is due to the operational efficiencies and competitive price point offered by the supermarket's freight service (as compared to alternate third-party providers).[1874]
- Retail media: Retail media can be an effective way of reaching consumers where they are making purchasing decisions (in store), potentially achieving mutually beneficial outcomes for the supermarket and the supplier.
- Data analytics: Coles and Woolworths hold point of sales data that is likely to provide useful insights to suppliers.

Where suppliers are free to independently make decisions about ancillary spending, they would be expected to make these decisions based on their view about the relative value that they receive from the service. However, where the supermarket also benefits from these spends (either directly through an additional revenue stream, or through the realisation of efficiencies in their own operations), we consider they are incentivised to encourage the use of these services, regardless of whether the supplier considers that the service delivers sufficient benefit to them to justify the expense.

As noted, while suppliers do not appear to be required to engage particular service providers to deliver these services, many suppliers reported feeling obligated to use the Coles or Woolworths services, or that of a related or preferred provider, in order to preserve their ongoing commercial relationship with the supermarket. We consider that where this leads suppliers to make choices they would not if bargaining positions were more evenly balanced, suppliers' costs are increased, and the efficient operation of their businesses may be impeded.

We note that where this is the case, it is a reflection of the bargaining power imbalance between the supermarket and the supplier, rather than a concern about Coles or Woolworths offering these ancillary services per se.

That said, we note the concerns raised about a lack of transparency in relation to supplier retail media spending. Such a lack of transparency is likely to impede efficient decision making by suppliers in relation to these spends.

We consider that this information asymmetry could be addressed by Coles and Woolworths providing information about the way retail media spends contributed by suppliers are used.

We note that providing this information is likely to impose some additional cost on Coles and Woolworths. However, we expect that the information that Coles and Woolworths will be required to provide is information that they already hold. We consider that the benefit of greater transparency for suppliers about how this money is spent will outweigh any additional cost incurred by Coles and Woolworths in having to provide this information.

1873 Information provided to the ACCC.

1874 Information provided to the ACCC.

Recommendation 20

Coles and Woolworths should be more transparent about how supplier funding contributions to their inhouse retail media services are used

- Within 3 months of the end of each financial year, Coles and Woolworths must provide each supplier that has provided funding to Coles 360 or Cartology with an itemised account of how the money contributed was used. In each instance where funding was used for any purpose other than promoting a specific brand or brands of the supplier, the amount of funding contributed by other suppliers to each promotion must be provided (in aggregate as a single figure).
- Coles and Woolworths must only be required to provide itemised accounts to suppliers who request an itemised account within 21 days of the end of the financial year.

7

Supermarket margins and profitability

7. Supermarket margins and profitability

Key points

- Regardless of the metric we apply (EBIT, NPAT or return on capital), large supermarket chains in Australia are consistently profitable, with Woolworths being the most profitable.
- EBIT margins of Coles and Woolworths have increased in recent years, more significantly so for Woolworths.
- While they are not necessarily the most profitable in a given year, regardless of the metric applied (EBIT, NPAT or return on capital), Coles and Woolworths are some of the most profitable supermarket businesses among their global peers. ALDI has indicated its Australian supermarkets business is at the higher end of profitability when compared with ALDI supermarkets trading in other countries.
- Consistently high profits relative to their international peers may indicate there is scope for more competition in the supermarket industry.
- ALDI's, Coles' and Woolworths' average product margins increased over the last 5 financial years, while Metcash banner stores' average product margins were relatively flat. While input and operational costs have increased over this time, Coles and Woolworths have maintained or increased their product margins.
- Coles and Woolworths earned higher average product margins on branded products than private label products over the last 5 financial years. Branded products' margins also increased over this period for both supermarkets, particularly for packaged goods.
- We examined how effective prices and product margins of case study products changed over the last 5 financial years. Median effective prices for case study products largely increased over this time, while their average product margins vary across different supermarkets.
- Suppliers make a range of payments to supermarkets, for example to fund promotional activities and for ancillary services, which can protect supermarkets' margins.
- Supplier funding is most prevalent in branded packaged goods. Supplier funding to Coles and Woolworths has increased in dollar terms over the last 5 financial years and represents a significant amount of money to these supermarkets. However, supplier funding as a proportion of supermarkets' sales revenue was largely stable. Material obtained during the inquiry indicates that in many instances Coles and Woolworths sought to, at a minimum, maintain the same proportion of supplier funding regardless of changes in supermarkets' cost price (that is, the wholesale price from suppliers).
- We have not sought to determine whether the prices or margins of ALDI, Coles, Metcash (or its banner stores) and Woolworths are excessive. Having or exercising market power, or charging high prices, or obtaining high margins, is not prohibited by the CCA. If there were a greater degree of competition between supermarkets, we would expect margins to be lower, either by way of lower retail prices, or higher costs incurred to improve quality of service, or both.

This chapter analyses the profitability and margins of supermarkets.

The chapter is structured as follows:

- Section 7.1 explores our analysis of the overall profitability of supermarkets, in particular of Coles and Woolworths.
- Section 7.2 examines how supermarkets' product margins have changed since the 2019–20 financial year using information obtained from ALDI, Coles, Metcash (in relation to their banner stores) and Woolworths in accordance with compulsory notices.

7.1 Profitability of Coles and Woolworths

This section explores our analysis of the overall profitability of supermarkets, in particular Coles and Woolworths. We consider supermarket profitability with respect to corporate profit margins, such as earnings before interest and tax (EBIT), net profit after tax (NPAT), gross margin and return on capital.

7.1.1 Supermarkets in Australia are consistently profitable

As noted in our Interim Report, there are various profitability metrics and there is no 'one size fits all' metric that will be best for all entities, circumstances and purposes. Different metrics provide different information.[1875]

However, our analysis indicates that regardless of the metric we apply, whether that be EBIT, NPAT, or return on capital, for example, Coles and Woolworths have been consistently profitable over recent years. We observe this applies for ALDI as well.[1876] Metcash is also consistently profitable at the wholesale level.

Why we are considering supermarket profitability

The profitability of Coles and Woolworths has received attention in public discussion, with some attributing their profitability to a lack of competition within Australia's supermarket industry.[1877]

An analysis of profitability, combined with other considerations, may provide some insight into the level of competition within a market. For example, elevated margins and profitability can potentially indicate low levels of competition (but not necessarily that a contravention of the CCA has occurred).

Our analysis at different accounting levels

In this chapter we analyse profit margins at different accounting levels for the relevant businesses. Each analysis or metric provides different information and no one metric provides a complete picture of business performance.

In figure 7.1 below, we annotate a diagram Woolworths submitted to the inquiry to indicate where our analysis sits at these different accounting levels.

In section 7.1, we discuss gross margin, EBIT margin and NPAT margin, as well as return on total capital. In section 7.2, we discuss product margin.

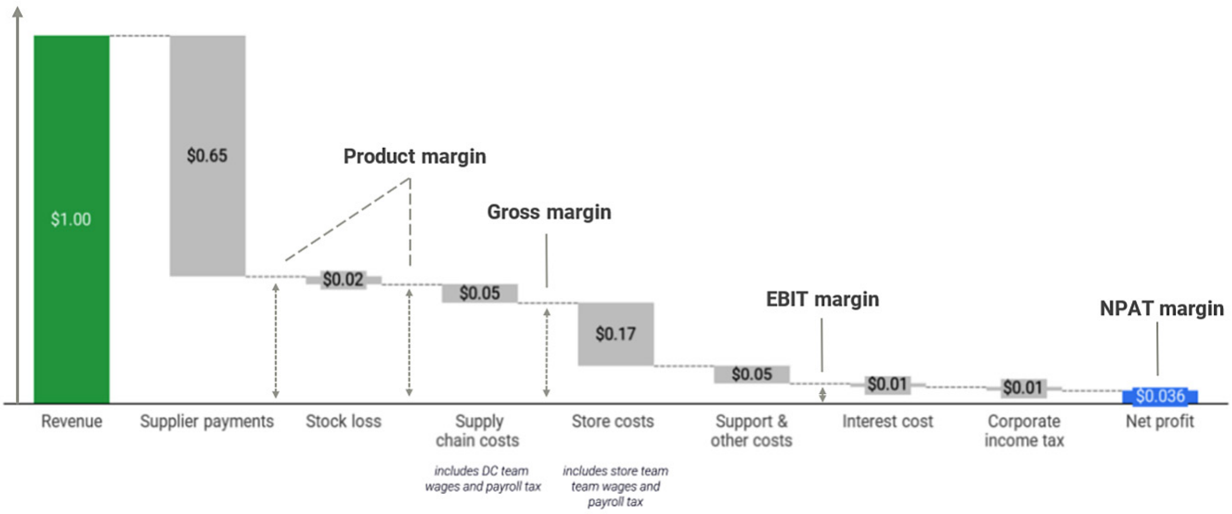
1875 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 192.

1876 ALDI is a private entity, so it does not have the same reporting obligations as Coles, Metcash and Woolworths. The data we have requested is more limited.

1877 See, for example, J Barret, Coles and Woolworths to face Senate scrutiny amid claims of profiteering, *The Guardian*, 3 December 2023, accessed 18 February 2025.

Figure 7.1: Profit and margin analysis sit at different accounting levels

Woolworths' Australian Food costs and profit expressed as a percentage of revenue, with our annotations



Note: This is a stylised representation of where we expect certain profit margins may sit with respect to a supermarket's business and operational costs. However, different businesses may treat cost components differently. For example, stock losses may be attributed at different levels by different supermarkets. For further discussion refer to box 7.1.

Source: ACCC analysis; Woolworths Submission to the Issues Paper with ACCC annotations.[1878]

As demonstrated in figure 7.1, EBIT and NPAT provide a more holistic view of the overall profitability of a supermarket business as they reflect more of the costs of operating that business. On the other hand, product and gross margin provide a greater sense of the costs associated with acquiring the product, rather than the operational and overhead costs of operating the business.

Coles submitted it experienced significant cost increases between the 2018–19 and 2022–23 financial years.[1879] Specifically, since 2018–19, Coles estimated its operating costs have increased by 18%.[1880] Coles submitted minimising the need to pass on increases in operating costs, through efficiency programs and investments, is a critical factor in supermarket competition.[1881]

Coles further submitted it generally refers to its historical NPAT as the best overall margin measurement, given it incorporates all relevant costs of operation across all products.[1882] Similarly, while EBIT excludes certain costs, such as interest and tax, it accounts for a supermarket's operational costs.

In our view it is important to consider all metrics and the information each provides before drawing conclusions. ALDI's, Coles' and Woolworths' margins increased at all accounting levels in recent years. Therefore, we consider it reasonable to conclude increasing EBIT margins over this period suggest these supermarket businesses have not passed on the full benefit of any cost saving initiatives. Increasing product margins appear to have contributed to the increasing EBIT margins – even if ALDI, Coles and Woolworths have acted to moderate cost growth.

Earnings before interest and tax

EBIT provides an indication of a company's profitability by measuring net income before tax and interest expenses are deducted. This means it reflects a company's revenues minus its operating

1878 Woolworths, Submission to the Inquiry Issues Paper, published May 2024, p 10.
1879 Coles, Submission to the Inquiry Issues Paper, published August 2024, p 15.
1880 Coles, Submission to the Inquiry Issues Paper, published August 2024, p 15.
1881 Coles, Submission to the Inquiry Interim Report, published November 2024, p 5.
1882 Coles, Submission to the Inquiry Issues Paper, published August 2024, p 8.

costs, which for a supermarket business we expect likely includes expenses such as costs of goods sold, stock loss, store operating costs, overheads and depreciation. EBIT margin is calculated by dividing EBIT by revenue.

EBIT is a common measure of company profitability and is referenced by Coles and Woolworths in their investor reporting.[1883] Further, Coles' and Woolworths' executive remuneration is tied to EBIT, in addition to other metrics, including sales revenue, total shareholder return, return on capital (Coles), and return on funds employed (Woolworths).[1884] Accordingly, we consider EBIT, and EBIT margin, are important profitability metrics to consider.

In our Interim Report, we noted the reported EBIT margins of both Coles and Woolworths have trended up since 2017–18.[1885] Coles and Woolworths each submitted this overstates the trend due to a significant accounting change in 2019–20.[1886] Specifically, the adoption of the Australian Accounting Standards Board 16 (AASB-16). In its submission to the Interim Report, Coles submitted the increase in its EBIT margin is mostly explained by AASB-16, which changed the treatment of leases in calculating EBIT.[1887]

Coles submitted the changes resulted in measures of EBIT and, by extension, EBIT margin increasing as compared to pre-AASB-16.[1888] Coles submitted the overall increase in EBIT margin for its supermarkets business is less than the effect of AASB-16 on the Coles Group EBIT margin, submitting Coles' supermarkets EBIT margin is unlikely to have materially changed over this period (since 2017–18).[1889]

Similarly, Woolworths submitted there has been no material increase in its Group level EBIT margin when adjustments for AASB-16 are made.[1890] Coles and Woolworths estimated the effect of AASB-16 on their respective supermarket divisions' EBIT margin in the 2019–20 financial year was 1% and 0.8% respectively.[1891]

We accept these submissions and have therefore included, in figure 7.2 below, an approximate adjustment to the EBIT margin for Coles and Woolworths to estimate a constant accounting EBIT margin for historical comparison. The approximate adjustments deduct 1% for Coles and 0.8% for Woolworths from the EBIT margin for the 2019–20 to 2023–24 financial years. This may be an imprecise adjustment as it assumes lease costs represent a constant proportion of revenue throughout the period, which may not necessarily be the case. However, as lease costs are unlikely to change significantly from year to year we consider it reasonable for the purposes of this analysis.

With this approximate adjustment we see both Coles' and Woolworths' EBIT margins have increased over the period, but less significantly than figure 8.1 of our Interim Report suggested (as shown by the reported margin figures below). We have made a similar approximation to the 2019–20 to 2023–24 EBIT figures for AASB-16 in the figure below, which we have also adjusted for inflation.[1892]

Figure 7.2 below depicts the EBIT margin and EBIT of Coles' supermarkets, Metcash's Food and Woolworths' Australian Food businesses between the 2008–09 and 2023–24 financial years.

1883 See, for example, Coles, Annual Report 2024, p 18; Woolworths, Woolworths Group F24 Half-Year Results, ASX Announcement, 21 February 2024, p 19.

1884 Woolworths, Annual Report 2023, p 81; Coles, Annual Report 2023, p 67.

1885 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 194.

1886 Coles, Submission to the Inquiry Interim Report, published November 2024, p 34; Woolworths, Submission to the Inquiry Interim Report, published November 2024, p 13.

1887 Coles, Submission to the Inquiry Interim Report, published November 2024, p 34.

1888 Coles, Submission to the Inquiry Interim Report, published November 2024, p 34.

1889 Coles, Submission to the Inquiry Interim Report, published November 2024, p 34.

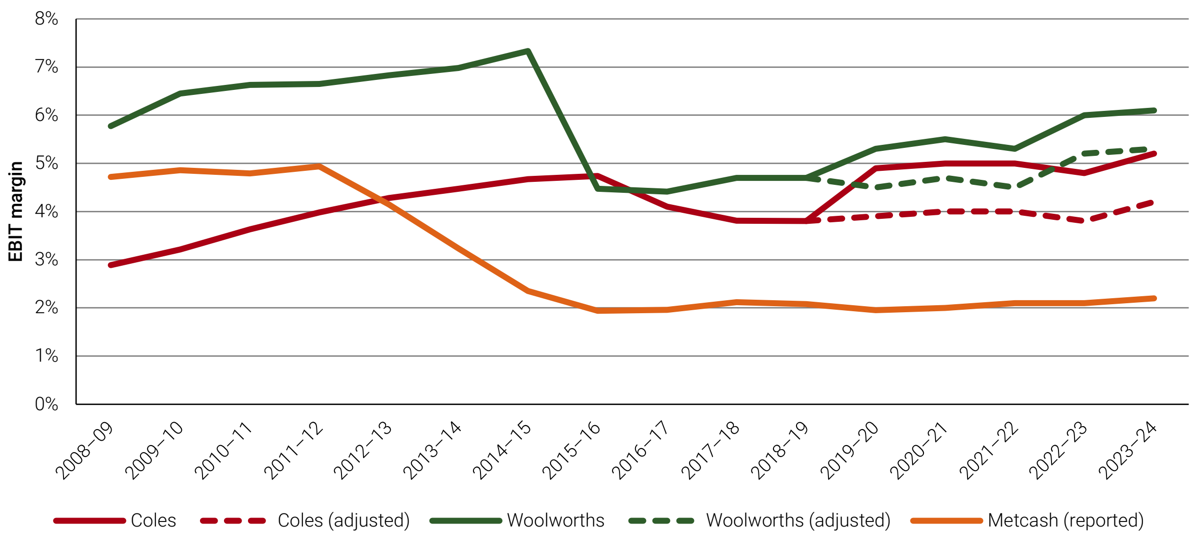
1890 Woolworths, Submission to the Inquiry Interim Report, published November 2024, p 13.

1891 Coles, Submission to the Inquiry Interim Report, published November, p 35; Woolworths, Submission to the Inquiry Interim Report, published November 2024, p 13.

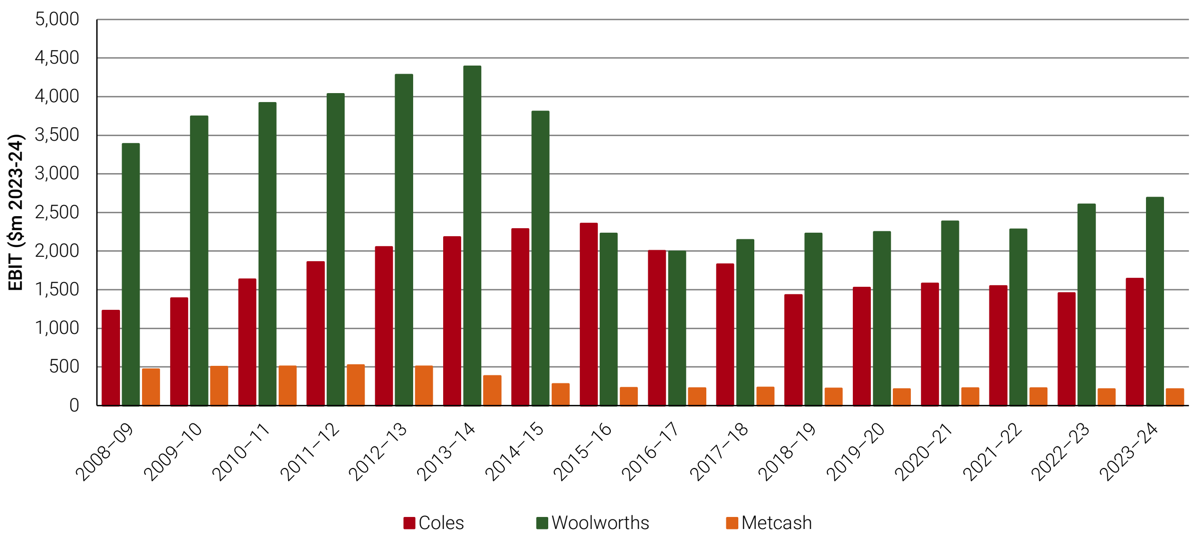
1892 All EBIT figures have been valued at 2023–24 dollars.

Figure 7.2: Woolworths' EBIT and EBIT margin has been materially higher in the past

a) Reported and AASB-16 adjusted EBIT margin (%) of Coles' Supermarkets, Metcash's grocery wholesaling and Woolworths' Australian Food businesses over an extended period



b) Reported EBIT ($) of Coles' Supermarkets, Metcash's grocery wholesaling and Woolworths' Australian Food businesses over an extended period, inflation adjusted



Note: Coles' and Woolworths' EBIT figures from 2019–20 through to 2023–24 have been calculated indirectly from their reported revenue and the estimated AASB-16 adjusted EBIT margin.
Between 2008–09 and 2012–13, Metcash reported an EBITA and associated margin, rather than an EBIT. This will tend to overstate its figures for that period.

Source: ACCC analysis; Coles, Metcash, Wesfarmers and Woolworths annual reports, 2008–09 to 2023–24.

In our Interim Report, we noted Woolworths' EBIT and EBIT margin had been materially higher in the past.[1893] As observed in figure 7.2, both Coles and Woolworths achieved consistent growth in their

1893 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 194.

EBIT margins between 2008–09 and 2014–15. In 2014–15, Woolworths reported an EBIT margin of 7.33%, its highest margin in the period.[1894]

At the public hearings, Woolworths gave evidence that its pricing strategy underwent a major reset in 2015–16.[1895] Woolworths said that in 2014 it found itself uncompetitive, and in order to win customers back, it needed to be competitive on price and made a material investment to do so.[1896]

As is shown in figure 7.2, Woolworths' major reset appears to have impacted its reported EBIT and EBIT margin for 2015–16, both of which were significantly below its reported 2014–15 figures. In our view, Woolworths' increased price competition appears to have also had an impact on Coles' EBIT and EBIT margin in the 2015–16 to 2018–19 financial years.

We observe Woolworths' EBIT and EBIT margin have been trending up since 2016–17. In its submission, Woolworths identified several reasons for its EBIT growth since 2018–19. This includes its declining tobacco sales, the growth of its adjacent businesses, shifting consumer behaviours, and sales of higher margin products, among other reasons.[1897]

The 2023–24 financial year was a 53-week retail year for Coles and Woolworths. Coles submitted in a 53-week retail year, it records an additional week of retail sales, as well as incremental direct trading costs, but not an increase in all its cost line items.[1898]

Coles and Woolworths each reported a lower normalised change in their EBIT margin for the 2023–24 financial year, which suggests their EBIT margins would have been lower in an equivalent 52-week year.[1899] We have not reflected these adjustments in any of the 53-week retail years which may have occurred over the period in figure 7.2, as we analyse results over a long time period. Therefore, in some years, including 2023–24 for Coles and Woolworths, and 2021–22 for Metcash, reported EBIT margins are likely higher than can be expected in 52-week years.[1900]

Coles and Woolworths have reported results for different business units in their food or supermarket divisions over the years. For example, for the period through to 2014–15, Woolworths reported results from the Endeavour Drinks business in the same division as its Australian supermarkets business. Similarly, for the period through to 2018–19, Coles (at the time owned by Wesfarmers) did not separately report its liquor and express (petrol) businesses.

To the extent possible, we have used figures most closely related to the supermarkets business of each entity. However, these figures may not be perfectly comparable for each entity over the period. Nevertheless, we consider it useful for this inquiry to understand the broad picture of changes in reported EBIT and EBIT margins over time, as the supermarket businesses represented significant proportions of the reported results.

Metcash

As observed in figure 7.2, Metcash's EBIT margins are typically below the margins achieved by Coles and Woolworths. This is not unexpected, as Metcash is a grocery wholesaler, rather than a vertically integrated retailer-wholesaler.

1894 We use Woolworths' reported EBIT margin from the 2015–16 annual report, which adjusts for separate reporting of the Endeavour business from 2015–16 onwards. This margin represents Australian Food but includes the Woolworths Petrol business which it sold in 2018–19.

1895 ACCC, public hearing transcript, 18 November 2024, p 482.

1896 ACCC, public hearing transcript, 18 November 2024, p 482.

1897 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, pp 36–37.

1898 Coles, Submission to the Inquiry Interim Report, published November 2024, p 35.

1899 Coles reports an EBIT margin increase of 37 basis points in 2023–24, and an increase of 24 basis points on a normalised basis: Coles, Annual Report 2024, p 24; Woolworths reports an EBIT margin increase of 17 basis points in 2023–24, and an increase of 13 basis points on a normalised basis: Woolworths, Annual Report 2024, p 31.

1900 For example, using data published in Coles' Annual Report 2024 (p 24), we estimate its normalised 52 week EBIT margin would be approximately 5.04% relative to Coles' reported an EBIT margin of 5.2% in the 53-week year of 2023–24.

If, for example, independent retailers earn, on average, an EBIT margin of between 2–3% on sales, this would place the total independent returns (that is, Metcash plus the independent retailer) broadly in line with Coles and Woolworths. An internal Metcash document indicated that in 2019, total independent returns were closer to 6% EBIT on sales.[1901] As illustrated in figure 7.2, this was higher than the margins achieved by Coles and Woolworths at the time. This may reflect the 'double marginalisation' of having separate wholesale and retail businesses (in that each needs to be profitable independent of the other).

Between the 2011–12 and 2015–16 financial years, Metcash's profitability declined considerably and has remained relatively stable since. Our analysis of Metcash's annual reports during the period of declining profits describes it as a period of increased competitive pressure, grocery deflation, and investment on price.[1902]

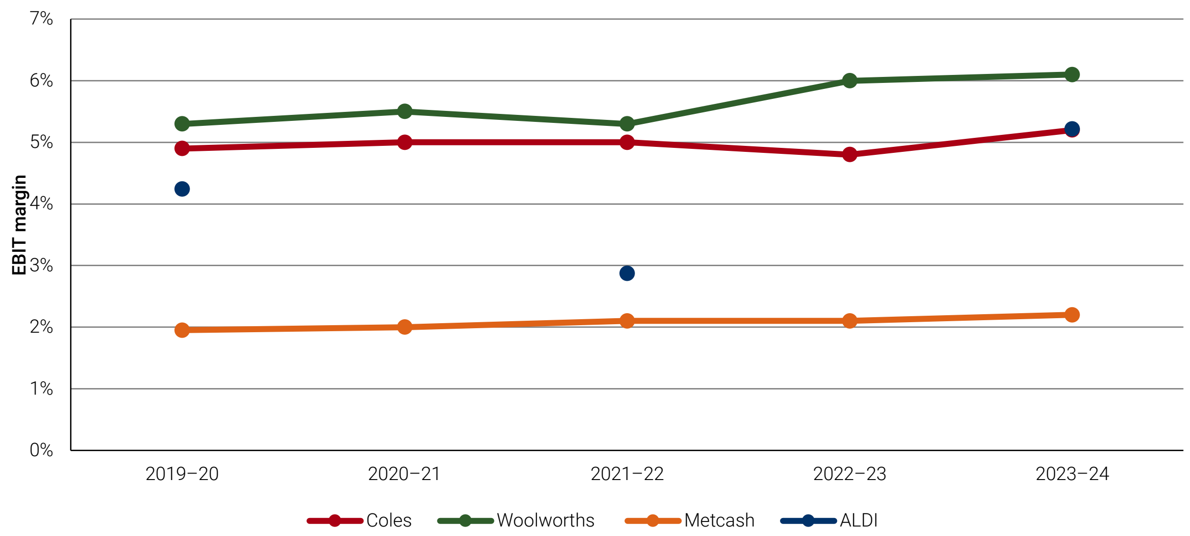
ALDI

While we do not have the same level of financial reporting data for ALDI, in figure 7.3 below we set out ALDI's EBIT margin for certain years and 2023–24.[1903] For comparison, we also include Coles', Metcash's and Woolworths' 'reported' EBIT margins in figure 7.3.[1904]

As shown in figure 7.3, Coles and Woolworths appear to obtain a higher and more consistent EBIT margin than ALDI, but each supermarket was profitable over the period.[1905]

Figure 7.3: Supermarket EBIT margins suggest supermarkets have been consistently profitable

Reported EBIT margins of Australian supermarkets and Metcash, 2019–20 to 2023–24



Source: ACCC analysis; Information provided to the ACCC; Coles, Metcash and Woolworths annual reports, 2019–20 to 2023–24.

At the public hearings, ALDI gave evidence that it lost market share during the COVID-19 period.[1906] ALDI stated this was due, in part, to the significant growth of online retailing.[1907] ALDI stated, that as

1901 Information provided to the ACCC.

1902 See, for example, Metcash, Annual Reports 2012–2016.

1903 Information provided to the ACCC.

1904 The reported EBIT margin of Coles' supermarkets, Metcash's Food and Woolworths Australian Food businesses.

1905 Information provided to the ACCC.

1906 ACCC, public hearing transcript, 11 November 2024, pp 228–229.

1907 ACCC, public hearing transcript, 11 November 2024, pp 228–229.

it does not have an online offering, it was unable to compete in that channel, which had grown to an approximate share of 8% in a short period of time.[1908]

ALDI also gave evidence that its limited product assortment, in terms of brands and variants, was also a contributing factor to its declining market share.[1909] ALDI stated that as consumers were not wanting to visit multiple supermarkets throughout that period of time, and given product availability issues, its limited product assortment meant it was left more exposed to the disruptions of COVID-19 than its competitors.[1910]

We consider that, given ALDI's business model, these factors would be likely to have adversely impacted ALDI's sales, and by extension, its profitability over this period.

Drakes

We reviewed Drakes' publicly available financial statements between 2020–21 and 2023–24 for comparison with a supermarket chain of smaller scale. Our analysis of Drakes' financial statements suggests Drakes' EBIT margin was in the range of approximately 3.5% to 4.5% throughout the period.[1911]

Net profit after tax

NPAT is a measure of a company's profitability after all expenses have been deducted from revenue, including taxes. NPAT margin is calculated by dividing NPAT by revenue.

Coles submitted NPAT is a more appropriate measure than EBIT for the purposes of providing insights into the level of competition within the Australian grocery sector and for making profitability comparisons across jurisdictions.[1912] This is because 'NPAT is an absolute profit calculation which considers all income and costs associated with running a supermarket business.'[1913]

While we recognise NPAT is an important metric to consider, it has limitations. This is because NPAT is reported at the Group level, rather than by division. That is, NPAT will take into account all business lines the Group is engaged in. Coles and Woolworths each operate business lines in addition to their respective Australian supermarket businesses.[1914]

For example, Coles' NPAT will account for its supermarket and liquor divisions. Coles submitted its liquor division makes up a small proportion of Coles Group's total earnings, and that major overseas comparators also operate liquor businesses. It is for this reason Coles submitted the inclusion of its liquor segment will not affect the utility of NPAT as a metric for profit comparisons.[1915]

In the case of Woolworths, its NPAT will include Big W and its New Zealand supermarket division, both of which are less profitable than Woolworths' Australian Food division.[1916] While Australian Food is significantly larger (by revenue) than the other divisions in the Woolworths Group, the cumulative effect of its other divisions is likely to dilute Woolworths Group's NPAT to some degree.[1917]

Notwithstanding the limitations above, we have charted the NPAT margin of ALDI, Coles, Metcash and Woolworths since 2019–20 in figure 7.4 below.

1908 ACCC, public hearing transcript, 11 November 2024, pp 228–229.

1909 ACCC, public hearing transcript, 11 November 2024, pp 228–229.

1910 ACCC, public hearing transcript, 11 November 2024, pp 228–229.

1911 ACCC analysis of ASIC filings.

1912 Coles, Submission to the Inquiry Interim Report, published November 2024, p 33.

1913 Coles, Submission to the Inquiry Interim Report, published November 2024, p 33.

1914 Coles, Welcome to Coles Group, accessed 18 February 2025; Woolworths, Our Brands and Businesses, accessed 18 February 2025.

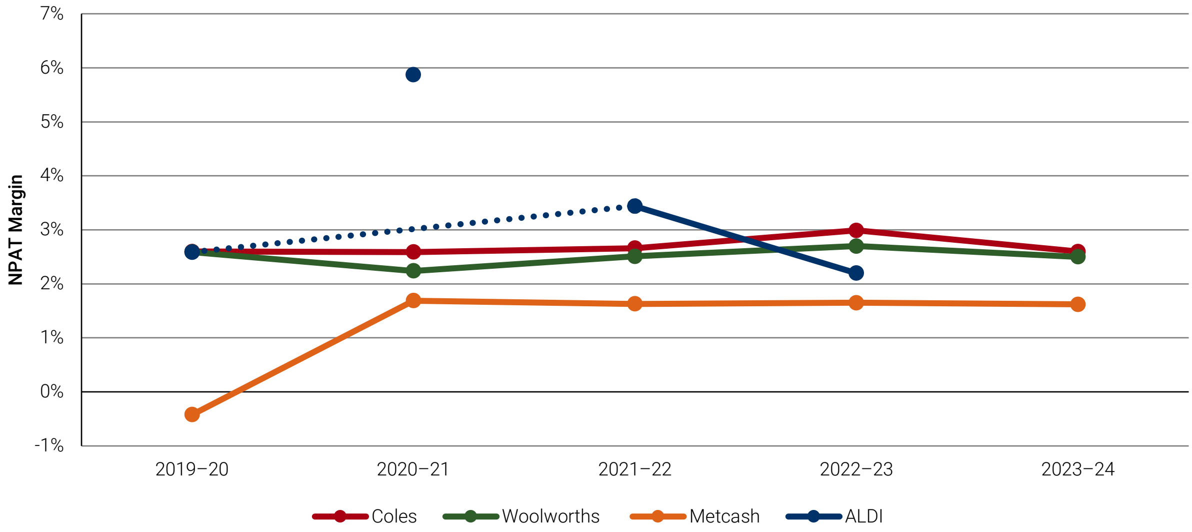
1915 Information provided to the ACCC.

1916 Woolworths, Annual Report 2023, pp 38–41.

1917 Woolworths, Annual Report 2023, p 23.

Figure 7.4: Coles' and Woolworths' NPAT margins have remained relatively stable over recent years

Australian supermarkets: NPAT margin, 2019–20 to 2023–24



Note: As far as we are aware, Coles and Woolworths did not publicly report their NPAT margin prior to 2023–24. Accordingly, for previous financial years, it has been calculated by dividing NPAT by group revenue. ALDI's NPAT margin was calculated by subtracting its 'tax payable' from its 'taxable income', which was then divided by its total income. ALDI does not have any additional business lines outside its supermarket operations.

Source: ACCC analysis; Coles and Woolworths annual reports, 2019–20 to 2023–24; Corporate tax transparency reports, 2019–20 to 2022–23 (ALDI).

As is shown in figure 7.4, Coles' and Woolworths' NPAT margins over recent years have remained relatively stable. The NPAT margin of ALDI has experienced greater variability, and at times, has been higher than the margins achieved by Coles and Woolworths.

ALDI's 2020 Tax Contribution Report indicates ALDI's income tax payable in the 2020 calendar year was $270.1 million.[1918] This was a significant increase from its income tax payable in the 2019 calendar year, which was reported to be $106.8 million.[1919] ALDI was asked about this increase at the public hearings, and gave evidence that it sold and leased back 6 warehouse and distribution assets in that year. This sale generated a one-off gain of approximately $250 million.[1920] The sale of these assets, ALDI stated, contributed to the reported increase in income tax payable for that year.[1921]

Analysis of the Australian Taxation Office's Corporate tax transparency reports suggests this one-off gain has been attributed to the 2020–21 financial year.[1922] We consider this is likely to account for its relatively high NPAT margin in 2020–21, as depicted in figure 7.4 above. We consider this year a one-off and have adjusted the figure accordingly.

An analysis of Drakes' financial statements between 2020–21 and 2023–24 indicates its NPAT margin was in the range of 2% to 3.1%.[1923]

We consider the NPAT margins of Australian supermarkets against a selection of international peers in section 7.1.2 below.

1918 ALDI, 2020 Tax Contribution Report, p 5.

1919 ALDI, 2020 Tax Contribution Report, p 5.

1920 ACCC, public hearings transcript, 12 November 2024, p 326.

1921 ACCC, public hearings transcript, 12 November 2024, p 326.

1922 Australian Government, 2020–21 Report of Entity Tax Information, November 2022, accessed 18 February 2025; ALDI reported a 'Tax payable' of ~$270 million in the 2020–21 financial year.

1923 ASIC filings.

Coles' and Woolworths' gross margin increased from 2019–20 to 2023–24

In addition to the profitability metrics outlined above, we have also considered the publicly reported gross margin of Coles and Woolworths.

Gross margin is the percentage of a company's revenue that is retained after direct expenses (such as cost of goods sold) have been subtracted. Broadly, gross margin will provide an indication of how a company's operating costs relate to its revenues.

Coles and Woolworths each report a gross margin for their respective supermarket divisions. Coles' and Woolworths' reported gross margin since the 2019–20 financial year are set out in figure 7.5 below.

Figure 7.5: Coles' and Woolworths' gross margin increased from 2019–20 to 2023–24

Coles' Supermarkets and Woolworths' Australian Food divisions reported gross margin

Note: To estimate Woolworths' gross margin on an adjusted basis, we have subtracted the reported basis points change in gross margin from the gross margin reported in the following year.
Source: ACCC analysis; Coles' and Woolworths' Annual Reports, 2020–24.

As observed in figure 7.5, Coles' gross margin has been trending up since 2019–20. This is, broadly, an indication that Coles is retaining increasing revenues after it accounts for its direct expenses. Since 2019–20, Woolworths has consistently reported a higher gross margin than Coles.

In its 2022 annual report, Woolworths reported a gross margin of 30.4% for its Australian Food division. This would be an increase of 74 basis points from the previous year.[1924] However, in the 2022–23 financial year, Woolworths amended its gross margin definition to include distribution centre costs and exclude ecommerce support costs.[1925] Woolworths restated its 2021–22 gross margin to reflect these accounting changes. This resulted in a reduction of 300 basis points to its previously reported 2021–22 gross margin.

In figure 7.5 we present an adjusted figure estimating this approach for the 2019–20 and 2020–21 financial years. We consider this approach is better for comparing Woolworths' gross margin with that of Coles, as we understand Coles also deducts distribution costs from gross margin.[1926]

1924 Woolworths, Annual Report 2022, p 27.

1925 Woolworths, Annual Report 2023, p 24.

1926 Coles, Annual Report 2024, p 140; Gross margin: The residual income remaining after deducting cost of goods sold, total loss and logistics from sales, divided by sales revenue.

An analyst from Blue Ocean Equities submits that on a constant accounting basis, Woolworths' Australian Food margin in 2022–23 was at record level.[1927] They estimate that in the 5 years leading to the 2023–24 financial year, Woolworths' Australian Food gross margin is up 294 basis points.[1928]

Considering the information available to us, we are satisfied that the gross margin of Coles and Woolworths increased over the 2019–20 to 2023–24 financial years.

7.1.2 Australian supermarkets appear profitable by comparison to their international peers

While Coles and Woolworths do not necessarily have the highest profit margins globally, they are among the most profitable supermarket businesses among their global peers, regardless of the metric applied.

This also applies to ALDI and Metcash, each of which have obtained margins that are among the most profitable globally, for some metrics.[1929] Consistently high profits for Australian supermarkets relative to their global peers, in addition to a heavily concentrated industry, may indicate there is scope for greater competition within the Australian supermarket industry. However, as noted in section 3.9 there are barriers to entry which are likely to create challenges for further significant entry in the supermarket industry.

This section will explore the profitability of Coles, Woolworths, and other Australian supermarkets compared to a selection of international supermarkets.[1930]

There are some limitations with international profitability comparisons

We consider international profitability comparisons are challenging for several reasons. For example, there may be regulatory, social and demographic differences across jurisdictions which are difficult to account for. Woolworths submitted that such comparisons are challenging, and they are unlikely to provide insight into the level of competition within Australia.[1931] Similarly, Coles submitted international comparisons of profitability are inherently difficult.[1932] Woolworths submitted some of the key limitations of comparing profit margins across jurisdictions include differences in scale, product mix, sales channels, labour costs, operational efficiencies, and accounting practices, among other factors.[1933]

While we acknowledge Coles' and Woolworths' submissions, we consider, on balance, that international profitability comparisons can provide some useful insight into the competitiveness of the Australian supermarket industry. To mitigate some of the limitations identified by Woolworths, we have considered profitability over a range of profit margins. This includes an analysis of NPAT margin, which has been emphasised by Coles and Woolworths as their preferred margin for the purposes

1927 Blue Ocean Equities, Submission to the Inquiry Interim Report, published December 2024, pp 1–3; Blue Ocean Equities submit '… constant accounting margin is calculated by adding the reported basis points change in gross margin (which is always reported on the same accounting basis) to the gross margin reported for the prior year, in the prior year.'

1928 Blue Ocean Equities, Submission to the Inquiry Interim Report, published December 2024, p 1.

1929 Information provided to the ACCC.

1930 The international supermarkets we have noted have each been referenced as international peers by Coles and Woolworths. See, for example, Woolworths, Submission to the Inquiry Issues Paper, published May 2024, pp 60, 63; Coles, Submission to the Inquiry Issues Paper, published May 2024, p 8.

1931 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, pp 40–41; Woolworths, Submission to the Inquiry Interim Report, published December 2024, p 13.

1932 Coles, Submission to the Inquiry Interim Report, published November 2024, p 36.

1933 Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, pp 40–41.

of international comparisons.[1934] Furthermore, the international supermarkets we have used in our analysis have each been identified by Coles and Woolworths as peers in their submissions.

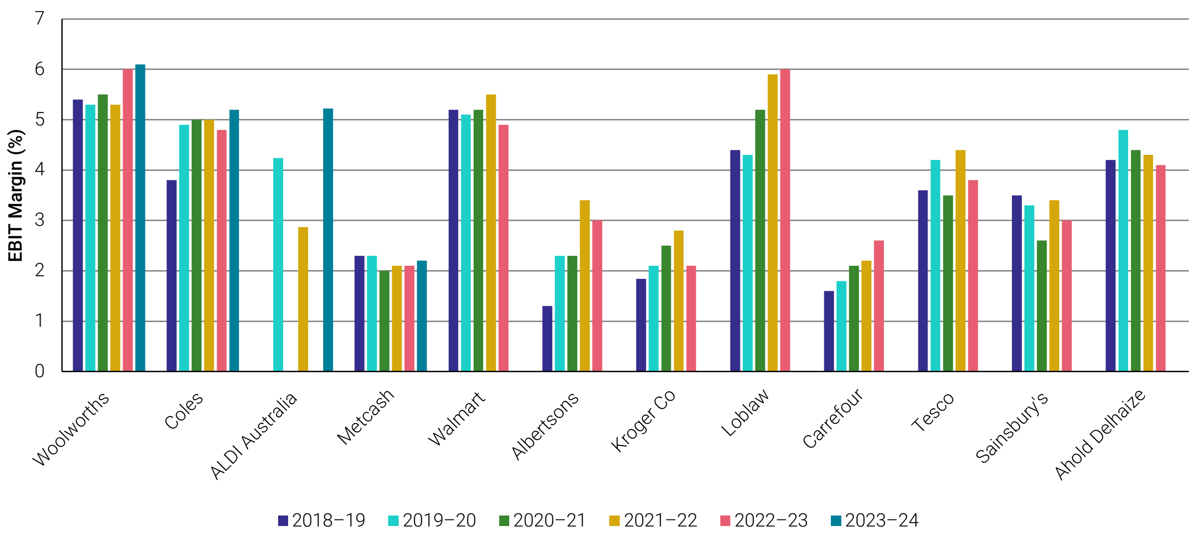
International EBIT margin comparisons

As noted in our Interim Report, Coles and Woolworths generate EBIT margins that are, on average, higher than many of their global peers.[1935]

We have reproduced the analysis from the Interim Report, which is depicted in figure 7.6 below. The analysis has been updated to reflect the ALDI data we have since obtained, and the 2023–24 EBIT margin of Coles, Metcash and Woolworths.

Figure 7.6: Coles and Woolworths report higher EBIT margins than most of their international peers between 2018–19 and 2022–23

Reported EBIT margin of Australian supermarkets and their global peers



Source: ACCC analysis; Information provided to the ACCC; Company annual reports.[1936]

As observed in figure 7.6, Coles' and Woolworths' EBIT margins during the last 5 financial years are consistently higher than many of their international peers. We do not have a complete data set for ALDI, and while its returns are more variable, it appears to also achieve an EBIT margin that is among the most profitable during this period.[1937]

With respect to EBIT margin as a comparator of profitability between countries, Coles submitted 'EBIT excludes key cost components (like interest and taxes) that can vary significantly between jurisdictions.'[1938] Coles submitted NPAT is a more useful metric for comparing businesses across jurisdictions as it is less affected by differences in accounting standards between jurisdictions, and also less affected by differences in property portfolio (e.g., ownership versus leasing) due to AASB-16.[1939] We have analysed Coles' and Woolworths' NPAT margin in comparison to their global peers below.

1934 Coles, Submission to the Inquiry Interim Report, published November 2024, p 33; Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 38.

1935 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 197.

1936 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 197.

1937 Information provided to the ACCC.

1938 Coles, Submission to the Inquiry Interim Report, published November 2024, p 36.

1939 Coles, Submission to the Inquiry Interim Report, published November 2024, p 36.

International NPAT margin comparisons

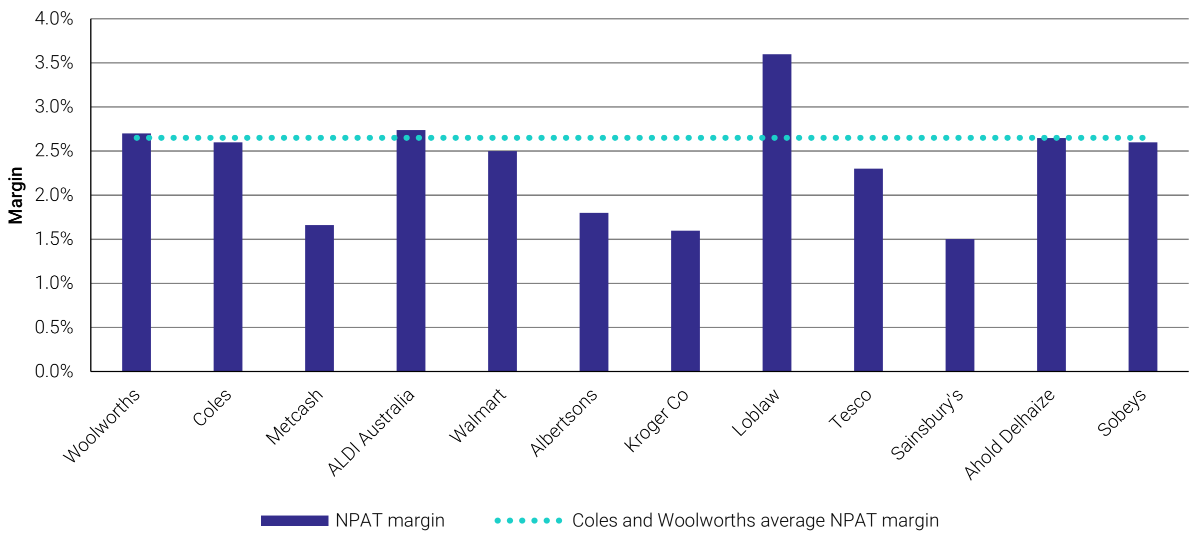
When profitability is considered with reference to a company's NPAT, Coles and Woolworths are still among the most profitable, albeit, to a lesser extent, over the past 3 years.

Coles and Woolworths each submitted an analysis of NPAT is a more appropriate basis for international comparisons of profitability, given it takes into account interest and tax, which varies between jurisdictions.[1940]

Coles' submission to the Issues Paper identified a 3-year average NPAT margin for Coles Group, Woolworths Group, and a selection of global peers between 2019–20 and 2022–23.[1941] We have reproduced Coles' analysis in figure 7.7 below and have included the NPAT margin of ALDI and Metcash in the analysis.

Figure 7.7: Coles Group and Woolworths Group NPAT margin is among the highest of their global peers between 2019–20 and 2022–23

NPAT margin of Australian supermarkets and their global peers



Note: As noted above, ALDI recorded an unusually high NPAT in 2020–21 following a significant one-off gain. For the purposes of figure 7.7, ALDI's average NPAT margin does not include its 2020–21 NPAT margin.

Source: ACCC analysis; Coles' submission to the Issues Paper; Corporate tax transparency reports, 2019–20 to 2022–23 (ALDI); Metcash annual reports (2021–2023).

As observed in figure 7.7, Coles' and Woolworths' average NPAT margin over the previous 3 years is lower than Loblaw, and similar to Ahold Delhaize, Sobeys and ALDI Australia. Coles and Woolworths achieve an NPAT margin which is, on average, either equal to, or higher than, the remaining global peers Coles identified.

International return on capital comparisons

Similarly, when profitability is considered with reference to a company's return on capital, Coles and Woolworths are not the most profitable, but they were more profitable in the 2022–23 financial year than many of the global supermarket peers Woolworths identified.

1940 Coles, Submission to the Inquiry Interim Report, published November 2024, p 36; Woolworths, Supplementary submission to the Inquiry Interim Report, published January 2025, p 38.

1941 Coles, Submission to the Inquiry Issues Paper, published May 2024, p 8; NPAT margins are calculated using a 3-year average to the latest available reporting period for each retailer.

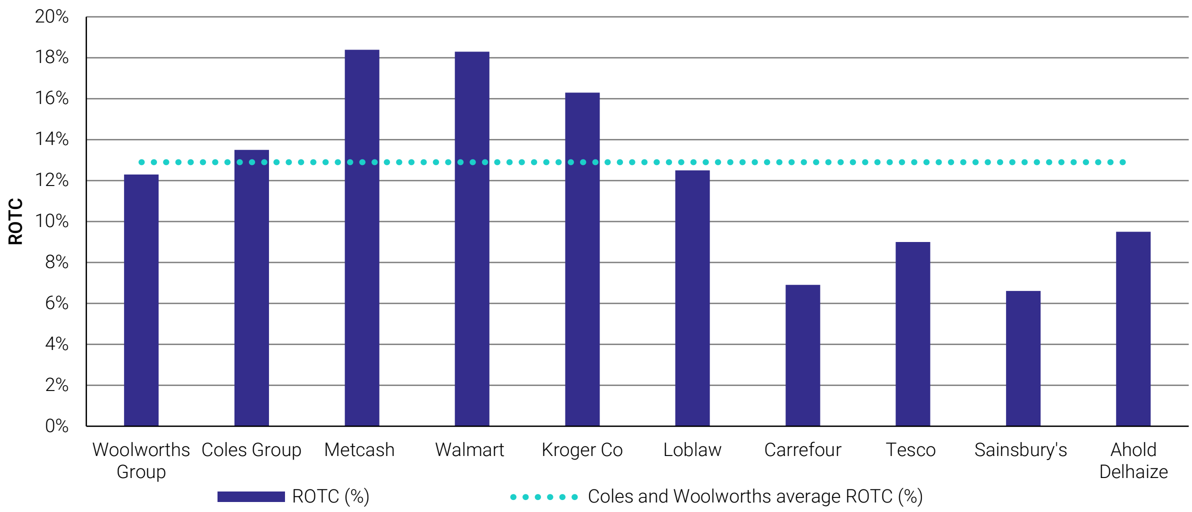
Return on total capital (ROTC) is a profitability metric that measures the efficiency of a company in generating its operating income, relative to the total capital employed by the business. That is, how efficiently a company utilises its capital to generate its profits.

Woolworths' submission to the Issues Paper identified the ROTC for Woolworths Group, Coles Group, Metcash and a selection of global and Australian retailers, including global supermarket peers.[1942] From this analysis, Woolworths submits its '…return on total capital sits below a significant group of global peers and Australian retailers'.[1943]

We do not consider comparisons between industries is likely to be informative in understanding the relative profitability of Coles and Woolworths as supermarket retailers. Therefore, we have reproduced Woolworths' analysis in figure 7.8 below but have only included the supermarket retailers Woolworths referred to in its analysis.

Figure 7.8: Return on total capital for Coles Group and Woolworths Group is higher than most international peers identified by Woolworths in the 2022–23 financial year

Return on Total Capital (%) of Australian supermarkets and international peers, 2022–23



Source: ACCC analysis; Woolworths' submission to the Issues Paper.[1944]

As observed in figure 7.8, Coles and Woolworths generated a ROTC in 2022–23 that sits below the North American supermarkets Walmart and Kroger Co. According to Woolworths' analysis, Coles and Woolworths generated a ROTC that is equal to, or greater than, the remaining 5 global peers it identified.

There may be some limitations to this analysis. An analyst from Blue Ocean Equities submitted while accounting standards in Australia and Europe are substantially equivalent, adjustments should be made for comparisons involving North American supermarkets.[1945]

They further submitted the adjustments specifically relate to the treatment of operating leases (as per the changes resulting from AASB-16 and the International Financial Reporting Standards). When

1942 Woolworths, Submission to the Inquiry Issues Paper, published May 2024, p 63.

1943 Woolworths, Submission to the Inquiry Issues Paper, published May 2024, p 63.

1944 Woolworths, Submission to the Inquiry Issues Paper, published May 2024, p 63.

1945 Blue Ocean Equities, Submission to the Inquiry Interim Report, published December 2024, p 1.

these adjustments are taken into account, Coles' and Woolworths' return on capital is among the highest in the developed world.[1946]

We also note this analysis is limited by the fact ROTC, like NPAT, is a Group level metric. If, for example, this analysis only accounted for Woolworths Australian Food division, and excluded its less profitable divisions, we would expect its ROTC to be higher.[1947] This may also apply to international comparators.

As both of these possible limitations of our analysis suggest ROTC for Coles and Woolworths could be higher than shown, we remain of the view that Coles and Woolworths are among the most profitable supermarkets internationally when considering ROTC.

Conclusions on the profitability of Australian supermarkets

As noted previously, there is no 'one size fits all' metric that will be best for all entities, circumstances and purposes. Accordingly, we have had regard to a variety of metrics, including EBIT, NPAT and ROTC. In each instance, we consider Coles and Woolworths are achieving high profits relative to many of their international peers.

We do not consider this is likely to be unique to Coles and Woolworths. For example, the figures indicate ALDI's EBIT and NPAT are also higher than many of the international peers identified.[1948] While we have not obtained financial information relating to ALDI's operations in other countries, ALDI advised us that its Australian supermarkets business is at the higher end of profitability when compared with ALDI supermarkets trading in other countries.[1949]

While we recognise international profitability comparisons are challenging, and will have certain limitations, our view is that consistently high profits for Australian supermarkets, relative to their international peers may indicate there is scope for greater competition within the industry.

However, the existence of sustained high profits for Australian supermarkets is also likely to indicate that while firms may like to enter, it may not be profitable for them to do so due to the advantages of incumbency. As we discussed in section 3.9, we consider there are certain barriers which may prevent further significant entry, particularly by a full-service supermarket. These barriers may enable incumbents to earn higher profits than they would if they faced more competition.

7.1.3 Coles' and Woolworths' supermarket operations are high turnover, non-discretionary and relatively low risk businesses

Grocery retailing is a high-turnover, non-discretionary business. Many groceries items are considered by consumers to be essential, non-discretionary items. That is, demand for many grocery items, and grocery shopping more broadly, is not likely to fall when prices go up.

Furthermore, in high inflationary settings, we might see grocery demand increase relative to demand in other sectors. This is because we might expect to see a reduction in the consumption of higher-cost, more discretionary purchases, such as take-away and eating out. In part, this is why we consider supermarket operations are generally relatively low-risk businesses. Given the dominant position of Coles and Woolworths in the Australian supermarket industry, we consider their operations, in particular, are likely to be low risk operations.

1946 Blue Ocean Equities, Submission to the Inquiry Interim Report, published December 2024, p 1.

1947 This is because Woolworths Australian Food business is more profitable than its other divisions, including Big W and its New Zealand supermarkets division. The inclusion of these divisions is likely to dilute Woolworths ROTC to a degree.

1948 Information provided to the ACCC.

1949 Information provided to the ACCC.

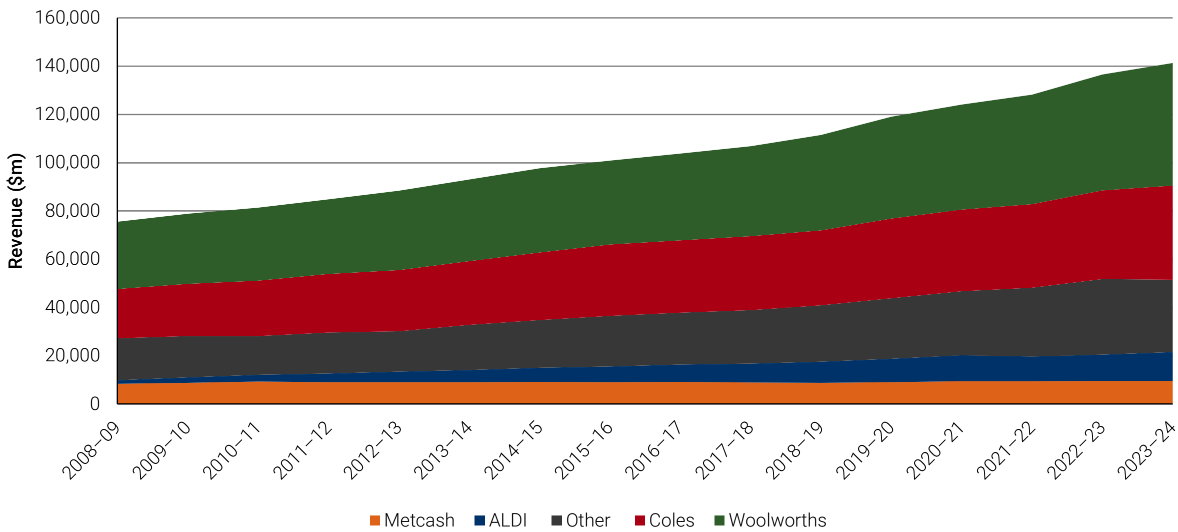
Coles submitted while the supermarket sector may have historically been a low-risk sector, significant recent investments, including in online capabilities and automated distribution centres, carry significant risk.[1950] Coles considers investments of this type are consistent with the presence of significant competitive constraints on Coles.[1951] We acknowledge Coles' submission, and accept certain investments within a company will have different risk levels. Informed by Coles' submission, we consider risk is a nuanced issue. Nevertheless, on the whole, we consider Coles and Woolworths are likely to be relatively low risk businesses.

We have not considered in depth how the relative risk levels of Coles' and Woolworths' operations compare to other Australian retail sectors; however, we consider risk levels are likely to be variable between sectors. As a consequence, we do not consider profitability comparisons with other Australian retail sectors are likely to be informative.

As illustrated in figure 7.9 below, Coles' and Woolworths' revenue increases have been consistent over time, reflecting the low-risk nature of their businesses.

Figure 7.9: Coles and Woolworths have achieved consistent revenue growth

Supermarket industry revenue: 2008–09 to 2023–24



Source: ACCC analysis; Company annual reports (2008–09 to 2023–24), ACCC estimates, ABS data; Australian Taxation Office: Corporate tax transparency reports, 2019–20 to 2022–23.

7.2 ALDI's, Coles' and Woolworths' product margins have increased since 2019–20

As outlined in section 7.1, there are a range of margin metrics that can be used to measure a supermarket's profitability. Supermarkets also measure their margins at various levels, such as at the product, category, Business Unit/Department and whole of business level. For further information on how supermarkets may measure their margins at the product or category level, see box 7.1.

This section examines how product margins have changed since the 2019–20 financial year using information obtained from ALDI, Coles, Metcash and Woolworths using compulsory notices. We obtained the following types of data:

1950 Coles, Submission to the Inquiry Interim Report, published November 2024, p 33.

1951 Coles, Submission to the Inquiry Interim Report, published November 2025, p 33.

- annual product margin data for all products sold[1952]
- monthly margin data principally in relation to case study products, namely apples, bananas, cucumbers, potatoes, strawberries, unflavoured cow's milk, eggs, beef steaks and mince, chicken thighs and chicken breast, pork roast, sliced or shaved ham, cereal, biscuits, dishwashing tablets and dog food. However, where possible we also obtained data at the product category and Business Unit/Department level associated with case study products, as well as the whole of business.

7.2.1 ALDI's, Coles' and Woolworths' overall product margins have increased over the last 5 financial years while Metcash banner stores' margins have been relatively flat

We obtained supermarkets' product margins for all products on an annual basis between 2019–20 and 2023–24 financial years. The margin metrics discussed in this section analyse supermarkets' own product margin metrics. We note that the methodologies used varies between supermarkets and the product margins presented are therefore not like-for-like comparisons. While we sought, to the extent possible, to obtain consistent margin information from ALDI, Coles, Metcash (in relation to their banner stores) and Woolworths for comparison purposes this was not always possible, for example due to differences in how data, revenue and cost components are stored, treated or calculated within each business. However, we are of the view that the margin metrics reported in this section, particularly of Coles and Woolworths, are not materially different and can be meaningfully compared. Additional details of components that are included and excluded from each supermarket's product margin metrics are discussed in Appendix C.

We define 'product margin' as a measure of profitability at a product level, which in turn can be rolled-up to higher levels (such as product category, Business Unit/Department and whole-of-business level), where it may be referred to as 'gross margin' by the supermarket. Product margin represents a product's sales revenue (excluding GST) less its cost of goods sold, expressed as a proportion of that product's sales revenue. Cost of goods sold includes costs directly related to the production or acquisition of that product. Our analysis has primarily focused on product margins rather than gross margins because the latter contains additional costs beyond cost of goods sold (as illustrated in figure 7.1).

Indirect costs or operating costs (such as wages, rent, utilities, marketing) are generally included in the whole-of-business profitability metrics discussed in section 7.1. As a result, we expect product margins to be higher than the margin ultimately earned by a supermarket (as represented by EBIT or NPAT margins).

Box 7.1 provides further explanation of what we mean when we refer to 'product margin' and how it may be calculated to account for payments made by suppliers, whether through rebates, offsets, credits or otherwise. We examine the impact of supplier funding on margins in section 7.2.4.

1952 ALDI's product margins data does not include products on Special Buys, which are primarily non-grocery products. Information provided to the ACCC. Further, Metcash's banner stores' financial year period follows a May to April cycle, unlike the other supermarkets whose financial year period is the conventional July to June cycle. As a result, Metcash banner stores' financial year data does not wholly align with the other supermarkets' data.

Box 7.1: Margin metrics at the product or category level

We understand supermarkets measure their profitability at the product or category level with a number of margin metrics. These include product or category margin, a margin that includes payments received from suppliers (discussed further in section 7.2.4), and gross margin.

Product margin

Product margin refers to the profit margin of a particular product. Conceptually:

$$Product\ margin\ (\%) = \frac{Sale\ price - Cost\ of\ good\ sold}{Sale\ price} \times 100$$

For the purposes of this Inquiry, product margin represents a product's (i) sales revenue (excluding GST) less its cost of goods sold, expressed as a proportion of that product's sales revenue. We then weight this product margin by sales revenue using a ratio of that product's sales revenue to all products' sales revenue at the relevant level (for example, at a category, department or whole-of-business level).

The formula is as follows:

$$Product\ margin_i(\%) = \frac{Sales\ revenue_i - Cost\ of\ good\ sold_i}{Sales\ revenue_i} \times 100 \times \frac{Sales\ revenue_i}{\sum_{i=i}^{n} Sales\ revenue}$$

Cost of goods sold includes costs directly related to the production or acquisition of that product, such as direct materials, direct labour, manufacturing overhead, freight and shipping costs. It does not include indirect costs or operating costs such as wages, rent, utilities, marketing, office supplies and legal costs, which are generally included in the whole of business profitability metrics discussed in section 7.1.

In some instances, supermarkets may choose to further divide product margin into:

- receiving margin, which measures the margin earned when the product is sold at its standard price
- actual margin or realised margin, which takes into account not only the product's standard price, but also any discounted or promotional prices at which the supermarket sold the product.

A margin including (additional) payments received from suppliers

Some supermarkets receive payments from their suppliers (including in the form of credits and/or offsets). How a supermarket accounts for payments from suppliers may vary. For example, the payments may be treated as additional revenue, or as a negative cost. In the latter scenario, supermarkets likely treat this as a reduction to the value of their cost of goods sold.

Regardless of the method used, the greater the payments received from a supplier, the greater the business' overall margin.

We understand that, in practice, some supplier funding is accounted for in product margins (either as a reduction to the value of their cost of goods sold or as revenue), or in margins at a higher level, such as gross margins (discussed below). For instance, Coles said that funding for their media services (Coles 360) are captured at a category level and thus not included in product margins.[1953]

Similarly, supplier funding received for their data analytics service (Coles Synergy) is also not included in product margins.[1954]

Further discussion of supplier payments and its relationship with margins is discussed in box 7.2 and section 7.2.4.

Gross margin

The concept of gross margin (or 'gross profit margin') is similar to product margin, with the primary difference that gross margin is calculated by aggregating the sales revenue and cost of goods sold for all products in a category or across the business. Further, calculating gross margin ordinarily involves the deduction of additional costs beyond cost of goods sold (such as for stock loss and supply chain costs) and may also include additional revenue that is not attributable at the product level (such as some supplier funding, as discussed above). Gross margin effectively represents the gross profit expressed as a percentage of total sales revenue for the relevant category or business.

The analysis in this section examines the average margins weighted by sales revenue (excluding GST). For the purposes of the discussion below we treat Metcash banner stores as one supermarket.

ALDI's, Coles' and Woolworths' average product margins in percentage terms increased over the last 5 financial years, while Metcash banner stores' average product margins have been relatively flat (figure 7.10).[1955]

Between 2019–20 and 2023–24 financial years, Woolworths' average product margin (in percentage terms) had the highest increase of 2 percentage points, followed by ALDI (1.9 percentage points increase) and Coles (an increase of 1.5 percentage points).[1956] In nominal terms, ALDI's total product margins had the highest growth between 2019–20 and 2023–24 financial years (49%), followed by Woolworths (29%), and Coles (25%).[1957] As shown in figure 7.10, ALDI's product margin (in dollar and percentage terms) were considerably lower than Coles' and Woolworths'.

ALDI, Coles and Woolworths have increased margins over a period where grocery prices, input and operating costs have increased.[1958] Over this time, Coles and Woolworths have also increased their EBIT margins (section 7.1.1), which account for increased costs of doing business (and are not reflected in product margins). Increased EBIT margins over the same period (rather than flat EBIT margins) suggests that increased product margins did not solely recoup increased costs of doing business, and that retail prices increased at a greater rate than costs.

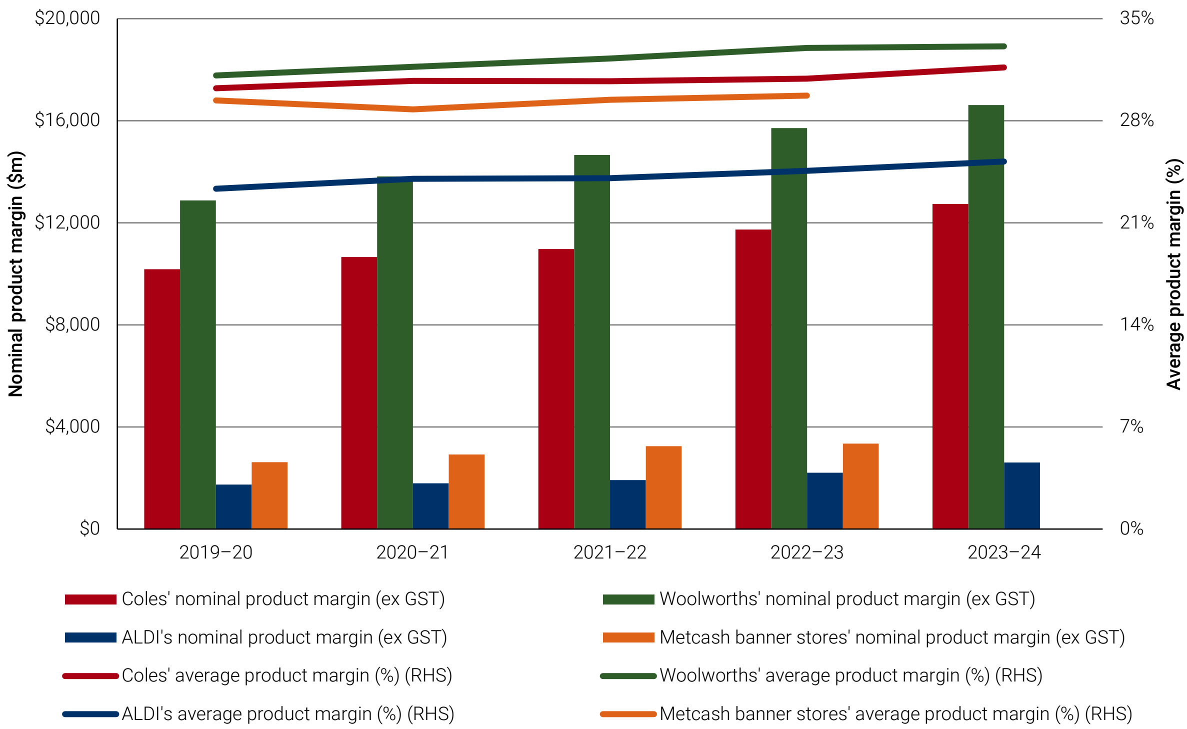
1953 ACCC, public hearing transcript, 22 November 2024, p 782.
1954 ACCC, public hearing transcript, 22 November 2024, p 781.
1955 Information provided to the ACCC.
1956 Information provided to the ACCC.
1957 Information provided to the ACCC.
1958 Information provided to the ACCC.

Coles' and Woolworths' internal documents show that, consistent with the results of our data analysis for packaged goods, these supermarkets in some instances maintain (if not increase) their margins (in percentage terms) regardless of changes in cost prices from suppliers (chapter 6). This results in an increase in retail price by more than the cost price increase (in dollar terms). As noted in the Interim Report, this would have the effect of increasing the supermarket's profit in both dollar terms as well as an increase in margins in percentage terms.[1959]

ALDI's increased margins over this period likely also reflects their more rapid growth compared with Woolworths' and Coles' growth. ALDI's sales revenue (excluding GST and at a product level) increased by about 38% between 2019–20 and 2023–24 financial years, while Woolworths' equivalent sales revenue grew around 21% and Coles' sales revenue increased about 20%.[1960]

Figure 7.10: ALDI's, Coles' and Woolworths' average product margins have increased since 2019–20 financial year, while Metcash banner stores' average product margin has been relatively flat

Nominal product margin ($) and average product margin (expressed as a % of sales revenue) by supermarket between 2019–20 and 2023–24 financial years



Note: Product margins include cost of goods sold which are costs directly related to the production or acquisition of a product. In practice, additional costs are included in gross margins. Further, indirect costs or operating costs (such as wages, rent, utilities, marketing) are generally included in the whole-of-business profitability metrics discussed in section 7.1. As a result, we expect product margins to be higher than the margin ultimately earned by a supermarket (as represented by EBIT or NPAT margins).

We note that the early financial years in our analysis included the COVID-19 period, which affected all supermarkets' business operations and therefore financial metrics.

We did not obtain data for Metcash banner stores for the 2023–24 financial year. Further, Metcash banner stores' financial year period follows a May to April cycle, unlike the other supermarkets whose financial year period is the conventional July to June cycle. As a result, Metcash banner stores' financial year data does not wholly align with the other supermarkets' data.

ALDI's product margin figures exclude products on Special Buys, which are primarily non-grocery items.

Source: ACCC analysis; Information provided to the ACCC.

1959 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 200.

1960 Information provided to the ACCC.

Between 2019–20 and 2022–23 financial years, Metcash banner stores' average product margin percent has been largely stable at around 29%, with their total product margin in dollar terms increasing by 28% (figure 7.10).

The overall change in a supermarket's average product margin varied by Business Unit/Department and product category, as demonstrated in figure 7.11.

Coles' and Woolworths' average product margins by Business Unit or Department have been largely stable or increased over the last 5 financial years. As indicated by figure 7.11, both Coles and Woolworths earn the highest sales revenue (excluding GST and at a product level) from their packaged grocery food in their Grocery Business Unit/Department. Sales revenue from Coles' Grocery Business Unit accounted for approximately 28% of total sales revenue in the 2023–24 financial year, with the Health and Home Business Unit accounting for approximately 22%. At Woolworths, sales revenue from the Grocery Food Department accounted for 38% of sales revenue in the 2023–24 financial year, followed by the Chilled and Bakery Department, which accounted for approximately 23% in the same period. [1961]

Woolworths had the highest increase in average product margins, particularly for their packaged goods where average product margin increased from about 30% in the 2019–20 financial year to 34% in the 2023–24 financial year for their Grocery Food Department.[1962] Average product margin for Coles' Health and Home Business Unit increased from approximately 27% in the 2019–20 financial year to 30% in the 2023–24 financial year.[1963]

ALDI's average product margins have also increased over the last 5 financial years. While their margins fluctuated more over time compared with Coles' and Woolworths' margins, ALDI's average margins have increased for most of their categories of products.[1964] Margin information obtained from ALDI does not include their products on Special Buys, given they are largely non-grocery items and are offered for sale on a short-term basis.[1965] ALDI said their receiving margin (which represents their retail price minus the cost price) for Special Buys tend to be higher.[1966] This would result in higher overall product margins than depicted in the analysis in this section.

Similarly, our analysis of Metcash banner stores' data between the 2019–20 and 2022–23 financial years found that the average product margins earned varied from about 20% to 60% depending on the product category.[1967]

Within Coles' Grocery Business Unit,[1968] the highest average product margins were earned for spices and herbs, pickled vegetables, cold drinks, and health food product categories, while the lowest average product margins were earned for cereals, milk additives, juices and cordials and boxed chocolates categories. However, this does not always correlate with the categories of products that had the biggest change in average product margins over the period. The highest increase in average product margin between the 2019–20 and 2023–24 financial years were for sugar and sweeteners, Christmas food, instant noodles and soft drinks categories, while the biggest decreases in margins were in meal bases, vinegar, and dried fruit and nuts categories.[1969]

1961 Information provided to the ACCC.
1962 Information provided to the ACCC.
1963 Information provided to the ACCC.
1964 Information provided to the ACCC.
1965 Information provided to the ACCC.
1966 ACCC, public hearing transcript, 11 November 2024, p 213.
1967 Information provided to the ACCC.
1968 Excluding cigarettes and tobacco products.
1969 Information provided to the ACCC.

Woolworths' Grocery Foods Department[1970] had the highest average product margins for categories such as health foods, ethnic/gourmet foods and condiments, while the lower average product margin earning categories were soft drinks, long-life juices and drinks, and breakfast foods. The highest increase in average product margin between the 2019–20 and 2023–24 financial years were for bulk foods, seasonal foods, and carbonated drink categories, while the biggest decreases in margins were in canned vegetables and gourmet groceries categories.[1971]

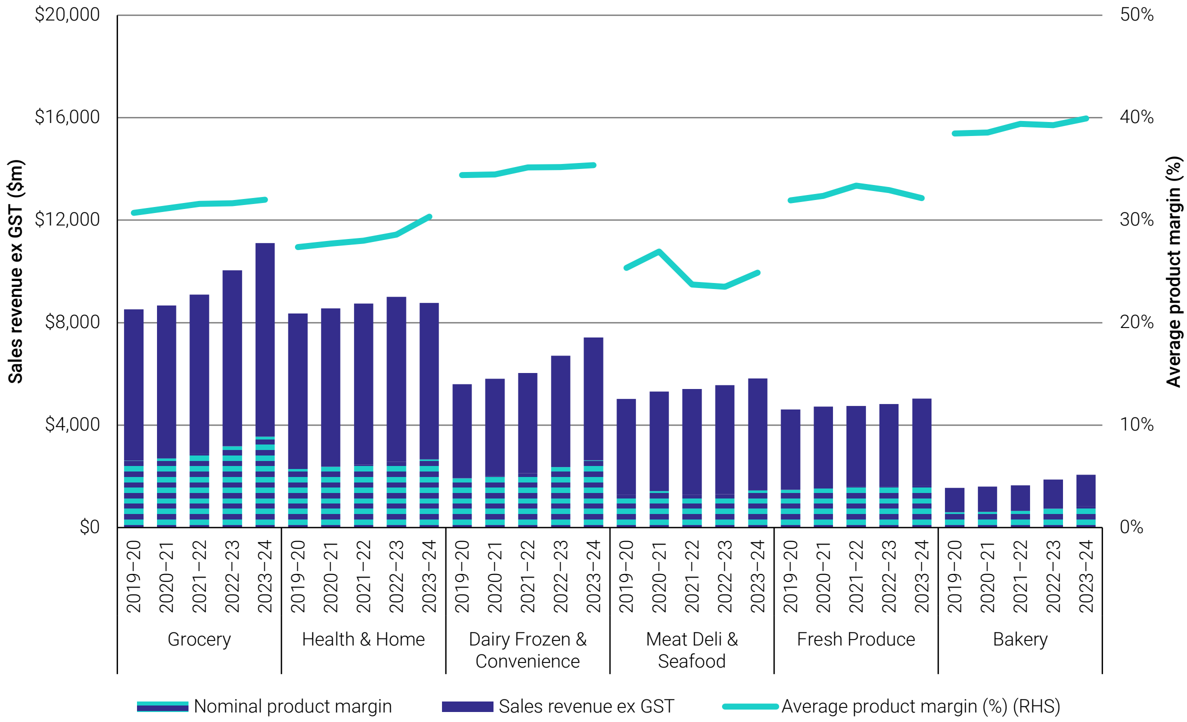
In Coles' Health and Home Business Unit the highest average product margins were earned for cards/wraps, party goods and electrical product categories, while the lowest average margins were earned for gift cards and telco categories. The highest increase in average product margin between the 2019–20 and 2023–24 financial years were for product categories such as electrical and mix womenswear while the largest decreases were for product categories such as home textiles, Christmas and leisure items.[1972]

Woolworths' Everyday Needs Department[1973] had the highest average product margins for categories such as newsagency, certain general merchandise, and electronic services (which consist of telco products), while the lowest average product margin earning categories were baby needs, apparel and toys. The highest increase in average product margin between the 2019–20 and 2023–24 financial years were for electrical, meat convenience (consisting of certain pet foods), and toys categories, while the biggest decreases in margins were in categories such as pharmacy and manchester.[1974]

Figure 7.11: Growth in supermarkets' average product margins varies by Business Unit/Department

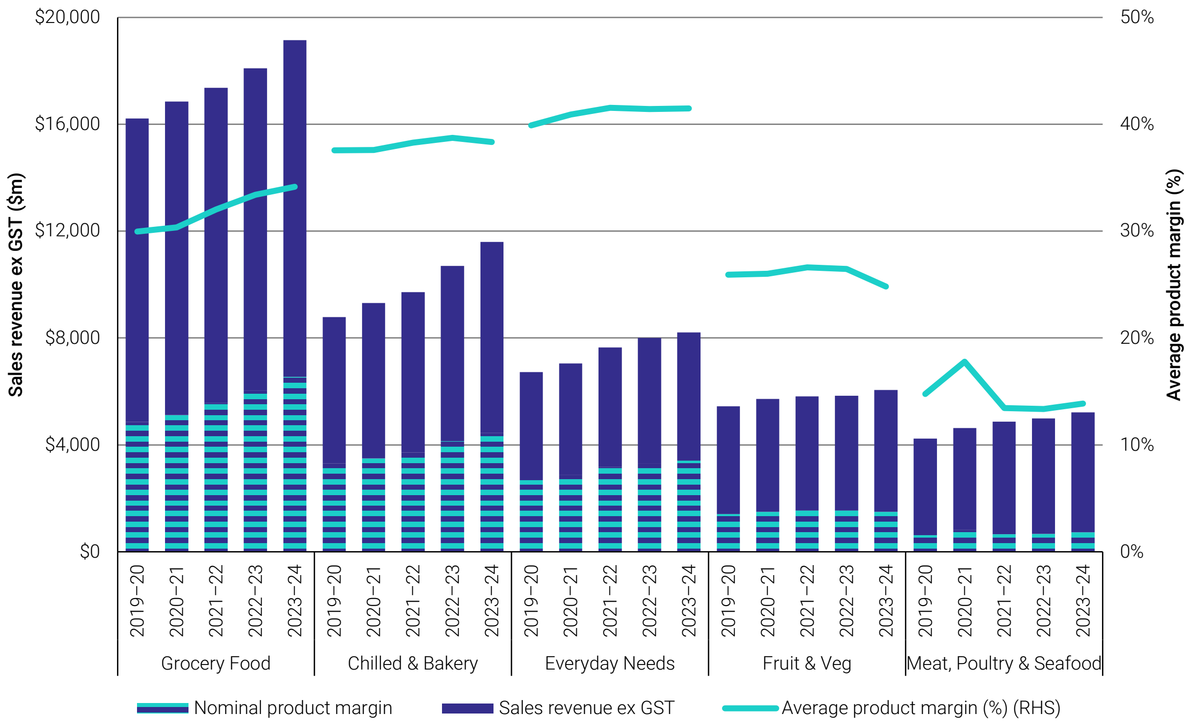
ALDI's, Coles' and Woolworths' sales revenue (excluding GST), nominal product margin ($), and average product margin (expressed as a % of sales revenue) between 2019–20 and 2023–24 financial years

a) Coles' metrics by Business Unit



1970 Excluding cigarettes and tobacco products.
1971 Information provided to the ACCC.
1972 Information provided to the ACCC.
1973 Excluding cigarettes and tobacco products.
1974 Information provided to the ACCC.

b) Woolworths' metrics by Department



Source: ACCC analysis; Information provided to the ACCC.

As noted in section 5.4.2, Group performance objectives at Coles and Woolworths are primarily financial, with profit (using EBIT) and sales revenue the primary measures of financial performance. Category managers, who are primarily responsible for procuring and retailing products within a product category, may also have financial performance measures that may also contribute to Group level performance results.

In the public hearings, Coles and Woolworths stated that margin targets are set at the category level. Coles stated budgets are set at a category level to assist in managing the business and Group level targets. Coles will typically set margin expectations or targets at the category level throughout the budgeting process.[1975] Coles' category managers work towards the budgeted margin targets. Maintaining or achieving budgeted margin targets are an aspect of financial performance against which category managers are assessed. Coles acknowledged that although maintaining budgeted margin targets is only one key area category managers focus on, and one input into the performance assessment, meeting budgeted margin expectations is important for the category managers.[1976]

Woolworths' profit and loss budget is broken down at a category level. Woolworths' gross profit 'target', which is their financial budget setting, is set at an aggregate level. Woolworths stated:

> So it would be at the level of fruit and veg, meat – probably five different – as per the commercial directors in the buying team, they would broadly look at the targets for sales and GP, at that level.[1977]

Woolworths' category managers have target margins they have to deliver but would firstly look at the overall result and then disaggregate it.[1978]

1975 ACCC, public hearing transcript, 21 November 2024, p 731.
1976 ACCC, public hearing transcript, 21 November 2024, p 732.
1977 ACCC, public hearing transcript, 18 November 2024, p 527.
1978 ACCC, public hearing transcript, 18 November 2024, p 526.

7.2.2 Coles and Woolworths tend to earn higher margins on branded products compared to private label products

This section analyses the proportion of private label products and branded products sold by ALDI, Coles and Woolworths between the 2019–20 and 2023–24 financial years, as well as the difference in margins associated with these products at different levels of the supermarket. We did not obtain data in relation to whether a product is a private label or branded product for Metcash or its banner stores, and thus the following analysis does not include Metcash.[1979]

Private label products are products that are sold under a brand owned by the supermarket, whether manufactured or produced by the supermarket, or a third party. This includes products that are 'supermarket-branded' – products labelled or easily identifiable as being a Coles or Woolworths product, as well as what are often described as 'pseudo brands' that are not clearly marketed as being a supermarket-branded product (for example, information about the manufacturer of the product may be on the back of the packaging). Illustrative examples of supermarket-branded and pseudo brand products are shown in figure 7.12.

Figure 7.12: There are different types of private label products – supermarket-branded and pseudo brands

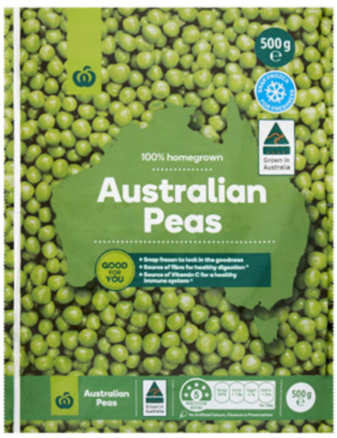
Supermarket-branded

a) Coles-branded pasta product

Pseudo brand

b) Coles pseudo brand pasta product

c) Woolworths-branded frozen peas product



d) Woolworths pseudo brand frozen peas product

Source: Coles, Coles Simply Pasta Spirals 500g, accessed 18 February 2025; Coles, Cucina Matese Fusilli No.114 Italian Pasta 500g, accessed 18 February 2025; Woolworths, Woolworths Peas 500g, accessed 18 February 2025; Woolworths, Bell Farms Frozen Peas 500g, accessed 18 February 2025.

1979 Information provided to the ACCC.

Proportion of private label and branded products on offer

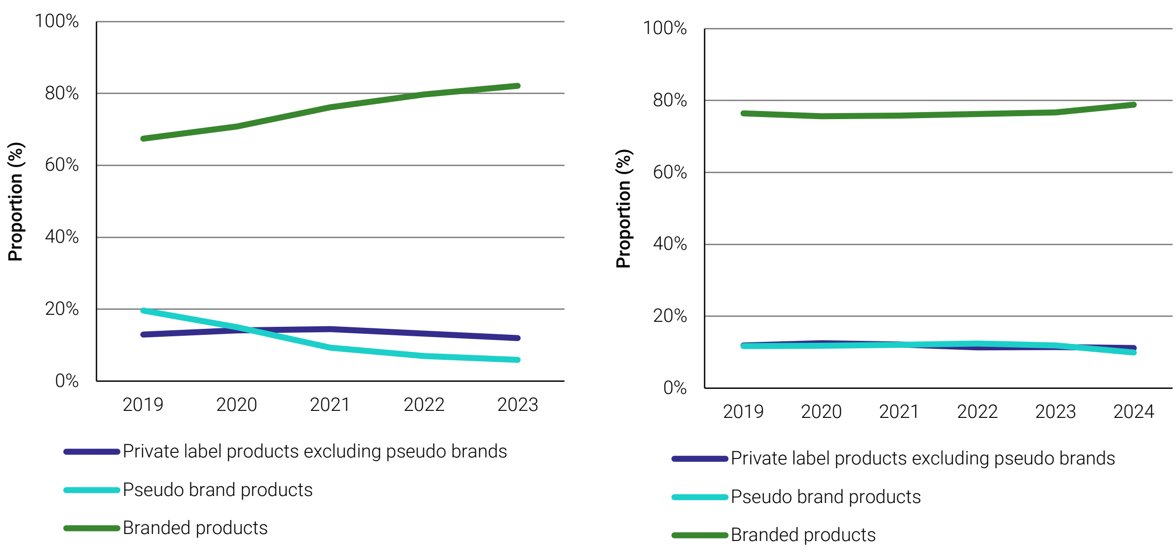
As of the end of 2023, approximately 20% of the products offered for sale by each of Coles and Woolworths were private label products, with the remaining approximately 80% branded products.[1980] Conversely, 80% of products offered for sale at ALDI were private label products and 20% branded.[1981] ALDI's private label products are all pseudo brands as described above.

As demonstrated in figure 7.13(a), the proportion of Coles' branded products has increased approximately 10 percentage points since 2019 while the proportion of private label products offered by Coles declined since 2019, particularly for pseudo brands.[1982]

The proportion of private label and branded products on offer by Woolworths was relatively flat between 2019 and 2024 (figure 7.13(b)).[1983]

Figure 7.13: Proportion of branded and private label products on offer

a) Coles *b) Woolworths*



Note: Data is as at 31 December each year, except for Woolworths 2024 data where it is as at 31 May 2024.
Source: ACCC analysis; Information provided to the ACCC.

Product margins of branded and private label products

Both Coles and Woolworths earned higher average product margins over the last 5 financial years on branded products than private label products (figure 7.14). The average product margin for branded products sold at Woolworths was almost 10 percentage points higher than the average product margin for private label products. Whereas the difference in average product margin between branded and private label products at Coles was approximately 3 percentage points.[1984]

Branded products' margins at Coles and Woolworths increased since the 2019–20 financial year, whereas private label products' margins remained relatively flat (figure 7.14). Within private label products, Coles earned higher product margins on pseudo brand products compared with

1980 Information provided to the ACCC.
1981 Information provided to the ACCC.
1982 Information provided to the ACCC.
1983 Information provided to the ACCC.
1984 Information provided to the ACCC.

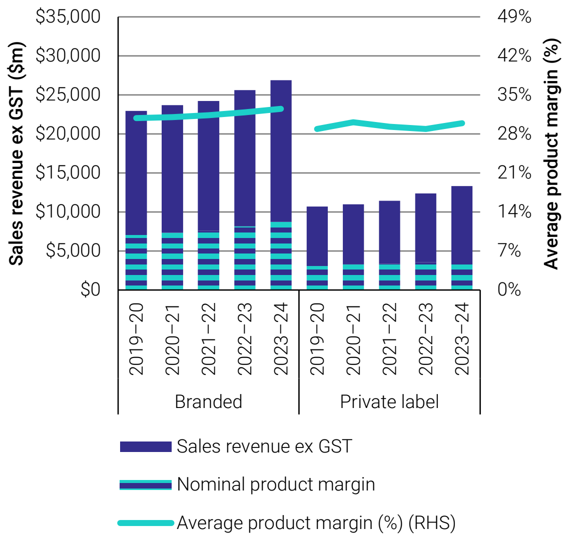
Coles-branded private label products.[1985] We did not obtain equivalent data on Woolworths' pseudo brand products.

ALDI's average product margins on both branded and private label products increased since 2019–20 financial year (figure 7.14(c)). On average, ALDI made similar margins from both types of products.[1986] ALDI's overall average product margins were lower than Coles and Woolworths.

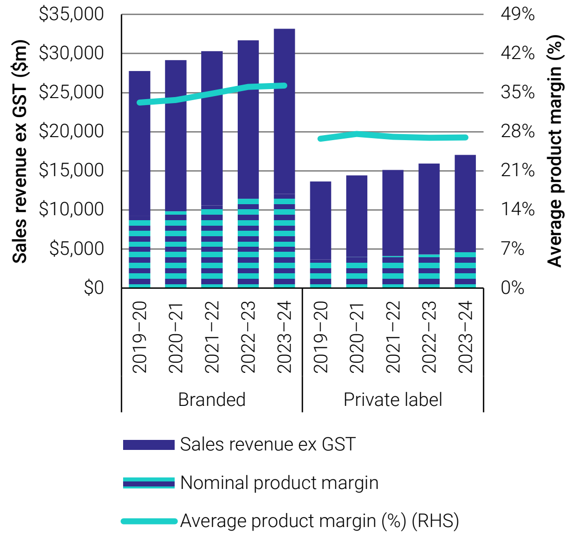
Figure 7.14: Branded average product margins at ALDI, Coles and Woolworths increased since 2019–20

Sales revenue (excluding GST), nominal product margin ($), and average product margin (expressed as a % of sales revenue) of branded and private label products by supermarket between 2019–20 and 2023–24 financial years

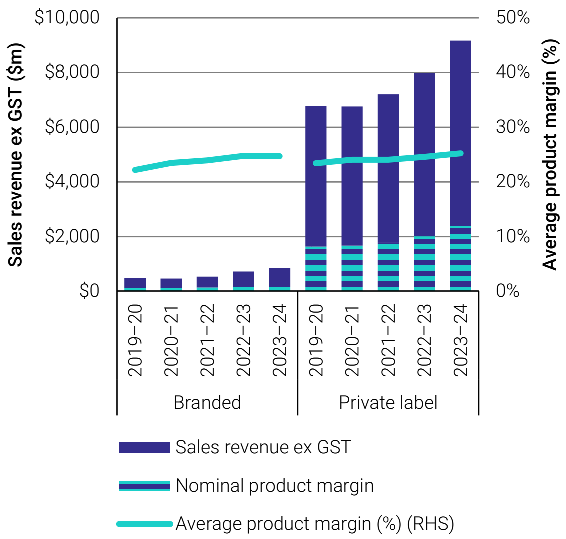
a) Coles' sales revenue (excluding GST), nominal product margin ($), and average product margin (%)



b) Woolworths' sales revenue (excluding GST), nominal product margin ($), and average product margin (%)



c) ALDI's sales revenue (excluding GST), nominal product margin ($), and average product margin (%)



Note: For the purposes of this analysis, pseudo brand products are considered private label products.
The primary y axis scale for figure 7.14(c) is different to figures 7.14(a) and (b) for readability.

Source: ACCC analysis; Information provided to the ACCC.

1985 Information provided to the ACCC.

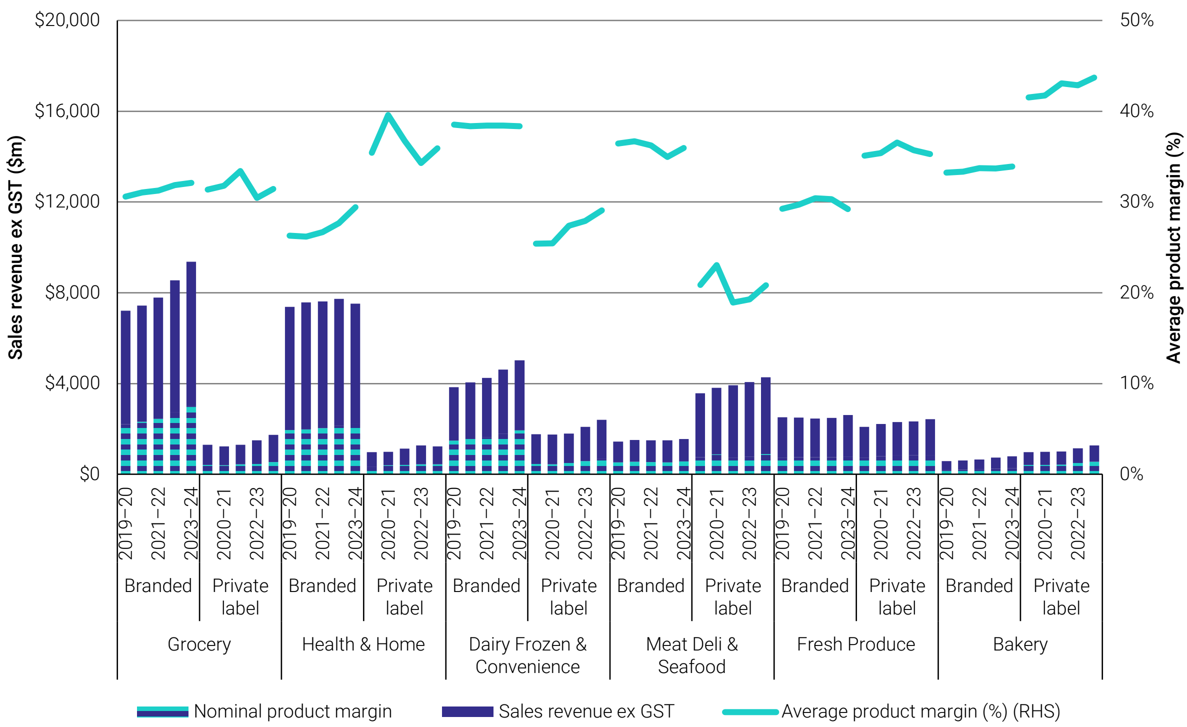
1986 Information provided to the ACCC.

Average margins varied across different types of products in ALDI, Coles and Woolworths.

At Coles, branded products had higher average product margins than private label products in the Dairy, Frozen and Convenience, and Meat, Deli and Seafood Business Units, while the opposite was true for the Bakery, Fresh Produce, and Health and Home Business Units (figure 7.15). The Grocery Business Unit had similar average product margins for both private label and branded products.[1987]

Figure 7.15: Over the last 5 financial years, Coles' average product margin increased for their highest sales revenue products – branded packaged goods

Coles' sales revenue (excluding GST), nominal product margin ($), and average product margin (expressed as a % of sales revenue) of branded and private label products by Business Unit



Note: For the purposes of this analysis, pseudo brand products are considered private label products.
Source: ACCC analysis; Information provided to the ACCC.

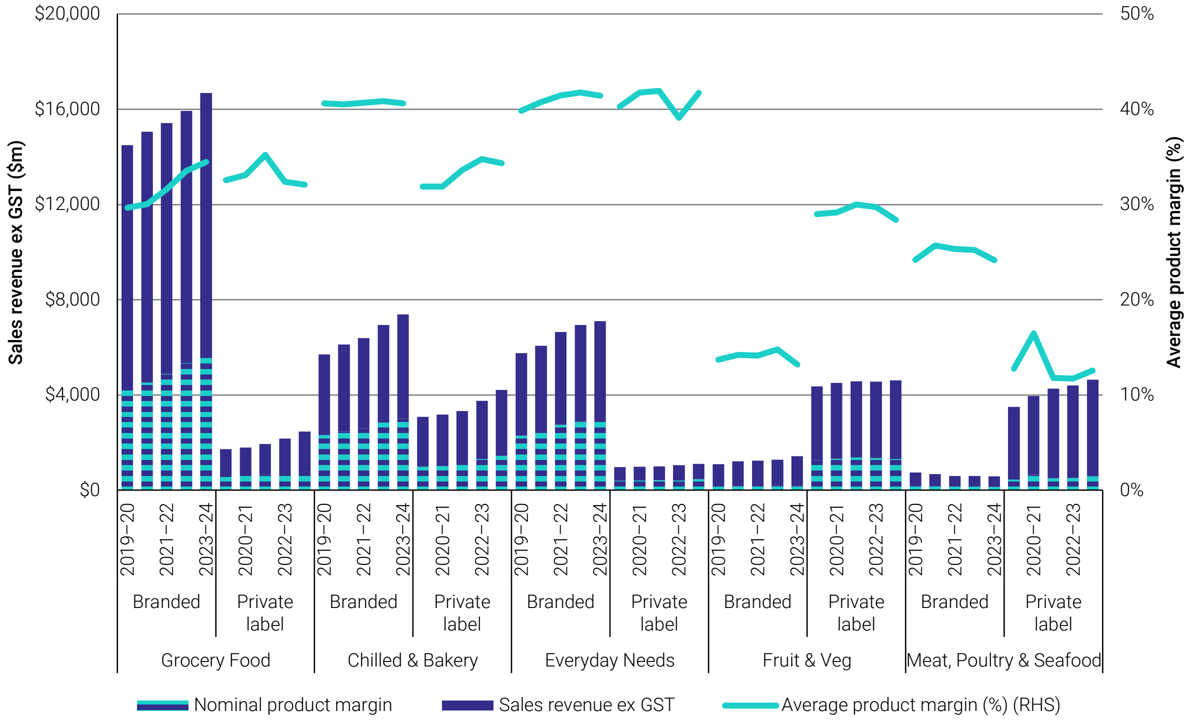
As demonstrated in figure 7.16, branded products at Woolworths had higher average product margins than private label products in the Meat, Poultry and Seafood, as well as the Chilled and Bakery Departments. For the Meat Department, this difference in margins is significant with the average margin of branded products double that of private label products.[1988]

Everyday Needs and Grocery Food Departments had similar average product margins across branded and private label products. The average product margin of private label fruit and vegetable products was significantly more than branded products in the Fruit & Veg Department, likely reflecting the small number of branded products in this Department and lower sales revenue relative to private label.[1989]

1987 Information provided to the ACCC.
1988 Information provided to the ACCC.
1989 Information provided to the ACCC.

Figure 7.16: Similarly to Coles, over the last 5 financial years, Woolworths' average product margin increased for their highest sales revenue products – branded packaged goods

Woolworths' sales revenue (excluding GST), nominal product margin ($), and average product margin (expressed as a % of sales revenue) of branded and private label products by Department



Note: For the purposes of this analysis, pseudo brand products are considered private label products.
Source: ACCC analysis; Information provided to the ACCC.

ALDI's average product margin of private label and branded products were examined at a product category level, of which there are 16 categories. While ALDI's average product margins of both branded and private label products fluctuated year on year across some categories, most categories' average product margin increased over time.[1990] ALDI's overall average product margins were lower than Coles' and Woolworths'.[1991]

7.2.3 Prices of case study products have largely increased over time, while their margins vary across different supermarkets

As noted in our Interim Report, the Australian grocery sector is large, complex and covers a broad range of products.[1992] Due to the varying nature of supply chains and grocery products, examining every supply chain and product in detail as part of this Inquiry was not feasible. Accordingly, we examined 14 products as case studies – a mix of commonly purchased products, capturing varying degrees of perishability, different supply chain structures and pricing and promotional strategies. The case study products we examined are set out in table 7.1.

1990 Information provided to the ACCC.
1991 Information provided to the ACCC.
1992 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 248.

Table 7.1: Product categories and products for case studies

Product type	Products
Meat products	Beef steaks and mince Chicken thighs and chicken breasts Pork roast, and shaved or sliced ham
Fresh produce	Bananas, apples, strawberries, cucumbers and potatoes
Other animal products	Eggs and unflavoured milk
Packaged food items	Cereal and biscuits
Non-food items	Dog food and dishwashing tablets

This section discusses the average prices paid by consumers and margins earned by supermarkets between 2019–20 and 2023–24 financial years in relation to the case study products set out in table 7.1. We also examine the price cycles of case study products over the same time period.

Supermarket prices and margins of case study products

Using our compulsory information gathering powers, we obtained the following information from ALDI, Coles, Metcash[1993] and Woolworths for each financial year from 2019–20 to 2023–24:

- sales revenue for each product sold across all stores
- sales volume of each product sold across all stores
- product margin for each product sold across all stores.

Noting the limitations of this analysis, using this data we have examined in detail how effective prices and product margins of case study products have changed over time at each supermarket.[1994]

Between the 2019–20 and 2023–24 financial years median effective prices have largely increased for case study products across all supermarkets.[1995] However, there are some meat products where median effective prices decreased during this time – including beef steaks at Coles and Woolworths.[1996]

The rate of change in prices for different products (both at the aggregated level set out in table 7.1 and at the individual product level) within a Business Unit/Department varied considerably. Meat and fresh produce case study products had less consistent price changes than other product types set out in table 7.1.[1997] For example, of the 5 fresh produce case studies, the median effective price of strawberries sold at Coles and Metcash banner stores experienced the greatest price change from

1993 For Metcash, we discuss changes in median effective prices and average product margins across Metcash banner stores. Further, we did not obtain Metcash banner stores' data for the 2023–24 financial year. As a result, we hold their 2022–23 median effective prices and average product margins constant for the purposes of calculating their 2023–24 median effective prices and average product margins. In addition, Metcash banner stores' financial year period follows a May to April cycle, unlike the other supermarkets whose financial year period is the conventional July to June cycle. As a result, Metcash banner stores' financial year data does not wholly align with the other supermarkets' data.

1994 We recognise the following limitations of the analysis in this sub-section:
- Changes in median effective prices are affected by several factors such as environmental, economic, and legal (some of which are discussed in our Interim Report). This section does not attempt to explain the underlying factors that may have contributed to the change in median effective prices for each case study product category over the period.
- The analysis presented in this section does not control for different product mix between supermarkets (for instance, it includes all private label and branded products, products of different pack sizes and quality). While we have considered methodologies controlling for products sold in all supermarkets, this analysis is intended to capture the range of prices consumers paid for the case study products.

1995 Information provided to the ACCC.

1996 Information provided to the ACCC.

1997 Information provided to the ACCC.

the 2019–20 to 2023–24 financial year, an increase of approximately 13% and 28% respectively.[1998] During the same period, cucumbers experienced the greatest change in median effective price at ALDI (approximately 73% increase) and bananas at Woolworths (approximately 36% increase).[1999]

The median effective price at Coles and Woolworths for dishwashing tablets increased significantly over the 5-year period (about 53% on average between the 2 supermarkets).[2000] As noted below, Coles and Woolworths regularly have dishwashing tablets on sale at any given point in time and these promotions alternate between brands and pack sizes offered for sale. Despite periodic heavy discounting, the effective price has increased considerably.

Across all 4 supermarkets, the median effective prices paid for milk and eggs increased by 15–76% and 16–41% respectively over the 5-year period. Median effective prices for cereal increased on average by 11–63%, and biscuits increased by 18–29%, across all 4 supermarkets.[2001]

We have closely analysed the product margin data obtained from ALDI, Coles, Metcash and Woolworths in relation to the case study products, to identify relevant trends and insights. Our key observations are below and – since it does not materially assist to know the specific product margins for each supermarket and given those figures are extremely commercially sensitive – we do not reproduce the underlying product margin figures here.

Product margins earned by supermarkets for different products are highly variable, consistent with them being the outcome of a complex interplay of a range of factors, for example, how essential a product is, whether it is branded or private label, the extent it can be substituted for another product, how likely customers are to purchase the product elsewhere (with the associated reduction in convenience) if they consider it too expensive, and the supply chain characteristics associated with the product.

Our analysis of case study product margins has found that not only do the product margins at a given point in time of different products vary considerably, but so too does the change in those margins over time. The change in average product margins for case study products over the last 5 financial year period ranged from -7–9 percentage points.[2002] That is, some case study products experienced a reduction in average product margin and others increased.

The average product margins across all 4 supermarkets for case study products are set out in figure 7.17.

1998 Information provided to the ACCC.

1999 Information provided to the ACCC.

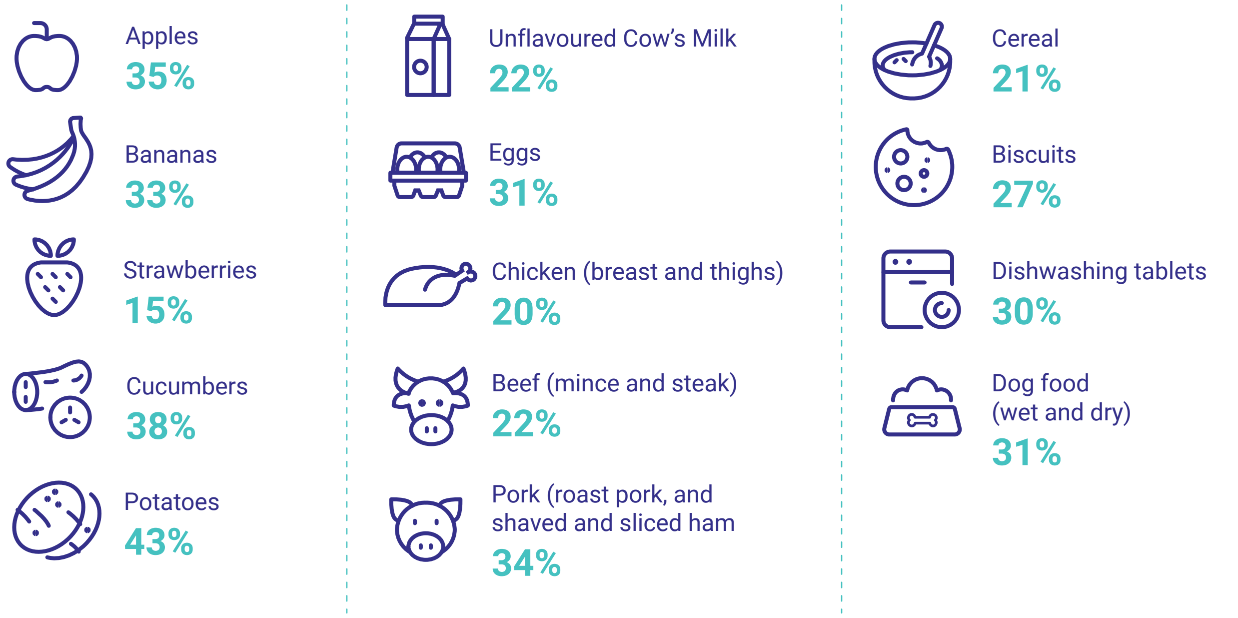
2000 Information provided to the ACCC.

2001 Information provided to the ACCC.

2002 Information provided to the ACCC.

Figure 7.17: Average product margins for case study products varied considerably

Aggregated average product margins for case study products in 2023–24



Note: We did not obtain data for Metcash banner stores for the 2023–24 financial year. We therefore hold their 2022–23 average product margins constant for the purposes of calculating their 2023–24 product margins. In addition, their financial year period follows a May to April cycle, unlike the other supermarkets whose financial year period is the conventional July to June cycle. As a result, Metcash banner stores' financial year data does not wholly align with the other supermarkets' data.

Source: ACCC analysis; Information provided to the ACCC.

Within fresh produce, average product margins when aggregated across all 4 supermarkets varied. For instance, potatoes earned an average margin of approximately 43% in the 2023–24 financial year, cucumbers around 38%, apples 35%, bananas 33% and strawberries 15%. These results demonstrate the level of variability in margins for different fresh fruit and vegetables, but also for products with some similar characteristics. For example, cucumbers and strawberries are both highly perishable products but had vastly different levels of average product margin. Similarly, apples and potatoes are both semi-perishable products and have a number of varieties available (so substitutability is likely to be greater) yet earned relatively different levels of margin.

For other animal products, eggs earned a higher average product margin (about 31%) in 2023–24 across the supermarkets, compared with unflavoured milk (around 22%).

Within packaged goods, biscuits and cereals earned an average product margin of 27% and 21% in the 2023–24 financial year when aggregated across all supermarkets. Average product margins between the 2019–20 and 2023–24 financial years increased for both products, with biscuits increasing by 2 percentage points and cereals by 3 percentage points. Similarly, average product margins of dog food increased 4 percentage points over this period. Dog food earned an average product margin of 31% when aggregated across all 4 supermarkets, although we note that different levels of average product margin were earned for wet dog food compared to dry dog food.

We recognise our above observations are based on the average product margins of certain products and are indicative examples only. We consider that product margins as calculated on a whole-of-business, Business Unit/Department and branded/private label basis (as set out in sections 7.2.1 and 7.2.2) provide greater insight into broader trends in product margins.

Price cycles of case study products

As noted in section 4.1, promotions are a key aspect of price competition and are widely used in Australia. Prices for products sold at Coles and Woolworths oscillate between standard and discounted prices, forming a price cycle.

This section analyses the price cycles of case study products between Coles and Woolworths to understand the extent of competition through promotions and differentiated strategies for different types of products.

We analysed the effective prices paid by consumers on a weekly basis from 31 December 2018 to 31 May 2024 for a sample of branded products available at Coles and Woolworths, including breakfast cereals, chocolate biscuits, chicken breasts and thighs, dishwashing tablets, wet and dry dog food, eggs, and milk, using pricing and barcode information. This analysis considered the proportion of promotional weeks a product sold at Coles and Woolworths was on different points in their price cycles, on special on the same price cycle, or at the standard price on the same price cycle. The methods for our analysis are described in Appendix C.

Given prices for fresh produce and private label products cannot necessarily be compared on a like-for-like basis, our analysis focused on non-fresh produce categories and branded products. These results are drawn from a broad dataset, and do not mean these prices were necessarily available to a particular consumer at a given time or in a given location.

Different product categories had different promotional cycles, and the extent to which a given product was on special simultaneously in Coles and Woolworths depended on the product category. For case study products assessed, products were generally at the same point at standard price in their price cycles in both supermarkets approximately 40% of the time. This was significantly higher for milk (73–81%) and eggs (70–80%) and lower for chocolate biscuits (approximately 28%).[2003]

Apart from dishwashing tablets where the same product was simultaneously on special at both Coles and Woolworths between 41–66% of the time, most case study product categories were less likely to be on special at the same time at Coles and at Woolworths.[2004]

As shown in table 7.2, prices for breakfast cereals, chicken, chocolate biscuits, and dry and wet dog food were on different points in their price cycles between 44–51% of the time. This suggests there is opportunity, particularly for these categories, for price-sensitive consumers to shop around and obtain better deals.[2005]

2003 Information provided to the ACCC.

2004 Information provided to the ACCC.

2005 Information provided to the ACCC.

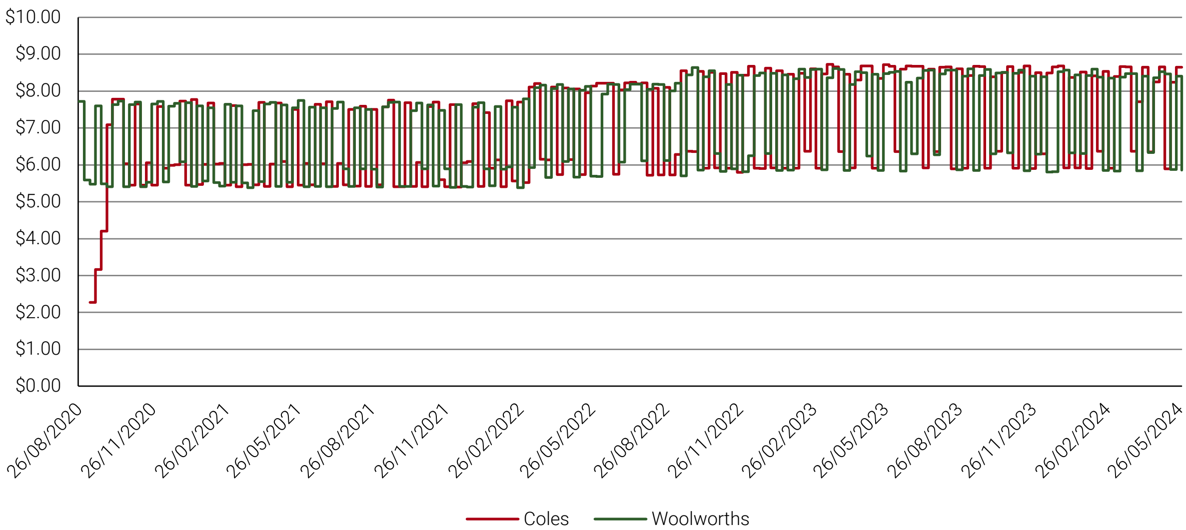
Table 7.2: Estimated percentage of promotional weeks where case study products sold at both Coles and Woolworths were on the same or different points in their price cycle

Percentage of promotional weeks where:	Dry and wet dog food	Chicken	Breakfast Cereals	Fresh dog food	Chocolate biscuits	Dishwashing tablets	Eggs	Unflavoured Milk
Products were at different points in their price cycle	50%	49%	46%	46%	44%	25–30%	20–30%	16–22%
Products were at the same points on their price cycle – Both at discounted price	14–19%	8%	13–16%	13–21%	30–32%	41–66%	7–10%	8–12%
Products were at the same points on their price cycle – Both at standard price	34–37%	43–45%	39–42%	38–45%	28%	15–31%	70–80%	73–81%

Source: ACCC analysis; Information provided to the ACCC.

Comparing Coles and Woolworths, the proportion of time at which packaged goods at each supermarket chain were on a different point in their cycle was similar between states. Dog food had the largest percentage of time where the same product was sold at different prices between Coles and Woolworths in each state, between 53% in Northern Territory and 55% in Tasmania. Figure 7.18 provides an indicative example of a dog food product that was regularly at different points of the price cycle at Coles and Woolworths.[2006]

Figure 7.18: Example of a dog food product where the price regularly alternated between Coles and Woolworths

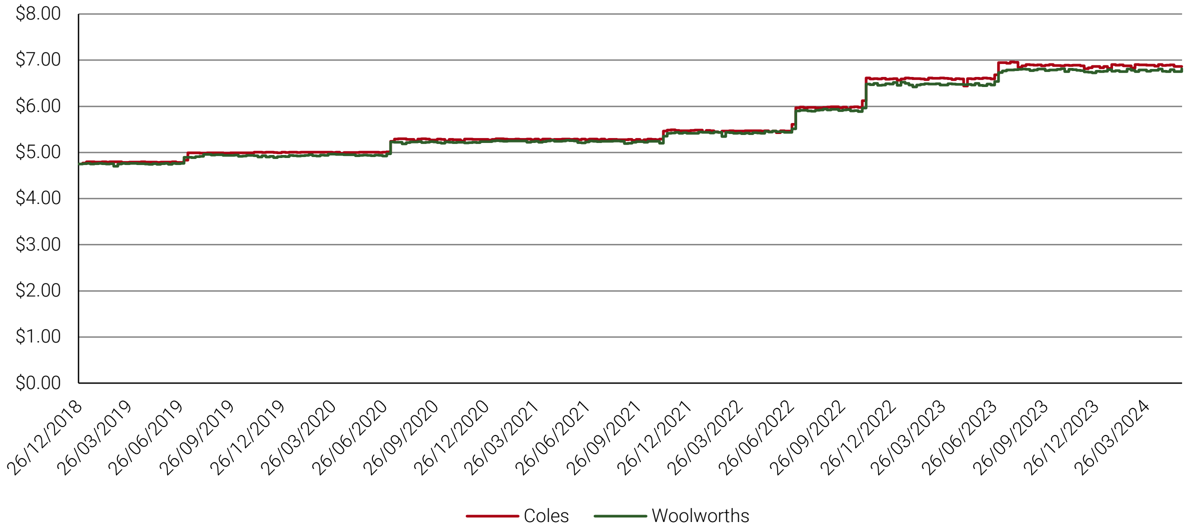


Source: ACCC analysis; Information provided to the ACCC.

2006 Information provided to the ACCC.

There was some variation between states for eggs and milk, although both products were sold at the standard price most of the time. Eggs were on different points in their price cycle 6% of the time in Northern Territory compared to 17% of the time in Victoria and the Australian Capital Territory. Milk was on different points in their price cycles 9% of the time in the Australian Capital Territory compared to 22% of the time in South Australia. The variation across states likely reflects that some states have a greater range of milk and egg products for sale than others. For both eggs and milk, prices were more likely to be at the same point and at the standard price at both Coles and Woolworths, reflecting less promotional activity and price cycling of these items than packaged products.[2007] Figure 7.19 provides an indicative example of a milk product that was predominantly for sale at the standard price at Coles and Woolworths.

Figure 7.19: Example of a milk product where the price predominantly remained at the standard price at both Coles and Woolworths



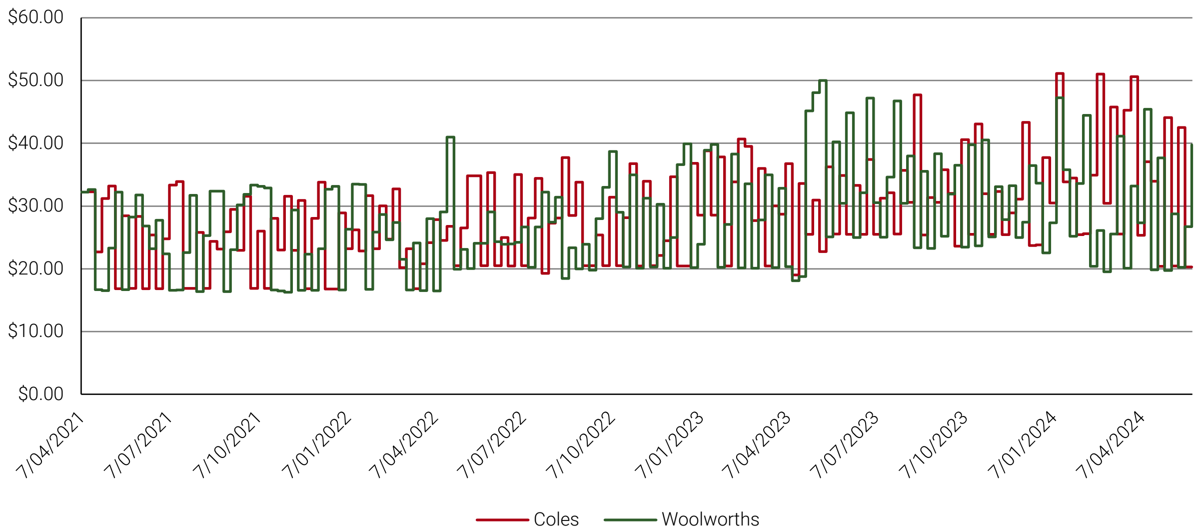
Source: ACCC analysis; Information provided to the ACCC.

Dishwashing tablets were discounted at the same time at Coles and Woolworths stores between 34–39% of the time across states and had the longest period in simultaneous discount among case study products.[2008] This likely reflects that Coles and Woolworths regularly have a particular dishwashing tablet brand on sale at any given point in time and that the promotions alternate between pack sizes and brands, for example Fairy and Finish brands. As depicted in figure 7.20, the price of a dishwashing tablet product regularly alternated between Coles and Woolworths.

2007 Information provided to the ACCC.

2008 Information provided to the ACCC.

Figure 7.20: Example of a dishwashing tablet product where the price regularly alternated between Coles and Woolworths



Source: ACCC analysis; Information provided to the ACCC.

7.2.4 Supplier funding significantly contributes to Coles' and Woolworths' margins

Using our compulsory information gathering powers, we obtained data on supplier payments made to ALDI, Coles and Woolworths for promotional and non-promotional activities. This consists of payments for the activities set out in table 7.3.

Table 7.3: Supplier payments to Coles and Woolworths for different types of activities

<table>
<tr><th>Funding type</th><th>Coles</th><th>Woolworths</th></tr>
<tr><td>Promotion</td><td>This captures all 'promotional scan deals' and some 'manual deal income' payments for a promotional end in store:
'Promotional scan deals' are agreements with suppliers whereby the supplier will provide Coles a credit of a set amount per unit sold of a specified SKU or SKUs, during a specified period in which the product is on promotion.
A 'manual deal income' (MDI) is a specified $ value provided to Coles based on agreement with the supplier, in this case in exchange for displaying agreed products in a prominent location in store which is reserved for promotional products, in addition to the product's usual location. However, supplier funding that is indirectly linked to a promotion such as payments for catalogue inclusion is captured under non-promotional funding.</td><td>This includes scanbacks, which are income from supplier funding of promotional campaigns, where the supplier agrees to provide Woolworths with funding per unit of the product sold during the promotional period.</td></tr>
<tr><td>Non-promotion</td><td>Supplier payments not related to promotions capture:
'Non-promotional scan deals', which are agreements with suppliers whereby the supplier will provide Coles a credit of a set amount per unit sold of a specified SKU or SKUs during a specified period of time, which is not linked to a promotion.
Other 'Manual Deal Income' (MDI), which are other payments of a set amount provided by suppliers for a wide range of reasons. Examples include funding for a catalogue position, to implement a range review, to settle a 'Rise and Fall' style agreement on product costs, and an incentive payable to Coles for selling above a pre-determined volume of the supplier's product.
'Trading Terms', which are a specified percentage discount, applied at the time of purchase to the total invoice amount.</td><td>Supplier payments not related to promotions capture manual claims, which are typically used to record miscellaneous lump sum payments and adjustments which are not related to promotions. However, given the miscellaneous nature of the payments recorded against this line item, there may be some payments which are related to promotional activity which Woolworths is not able to specifically exclude.</td></tr>
</table>

Source: Information provided to the ACCC.

Box 7.2 provides an explanation of product margin calculations and how supplier funding can form part of this metric.

Box 7.2: Relationship between supermarkets' margins and payments received from suppliers

As noted in box 7.1, some supermarkets receive payments from their suppliers (including in the form of credits and/or offsets). How a supermarket accounts for payments from suppliers, and at what level (such as a product, category, Business Unit/Department or whole of business level), may vary.

For example, the payments may be treated as additional revenue, or as a negative cost. In the latter scenario, this is likely treated as a reduction to the value of their cost of goods sold, which is the case for Coles who deduct funding such as rebates from suppliers' list price.[2009] In this instance, the product margin equation is:

$$Product\ margin\ (\%) = \frac{Sale\ price - (Cost\ of\ good\ sold - Supplier\ funding)}{Sale\ price} \times 100$$

Woolworths treats certain supplier funding (such as payments in relation to promotions) as revenue, while supplier rebates (such as volume rebates, purchase rebates, allowances, settlement discounts and warehouse margins) are treated as a reduction in cost of goods sold.[2010] In this case, the product margin equation is:

$$Product\ margin\ (\%)$$

$$= \frac{Sale\ price - (Cost\ of\ good\ sold - Supplier\ rebates) + supplier's\ promotion\ funding}{Sale\ price} \times 100$$

Regardless of the method used, the greater the payments received from a supplier, the greater the supermarket's overall margin.

We understand that, in practice, some supplier funding is accounted for in product margins (either as a reduction to the value of their cost of goods sold or as revenue), or in margins at a higher level, such as gross margins (as discussed in box 7.1). For instance, Coles said that funding for their media services (Coles 360) are captured at a category level and thus not included in product margins.[2011] Similarly, supplier funding received for their data analytics service (Coles Synergy) is also not included in product margins.[2012]

For simplicity, Coles' product margin equation is used to illustrate various supplier funding scenarios and their impact on a supermarket's margins. Table 7.4 shows that the greater the supplier funding in relation to a promotion, the greater the supermarket's margin compared with a promotion where there was no supplier funding. During a promotion, supplier funding acts as an offset to the reduction in the sale price. The table below illustrates the product margins earned on a per unit basis. In practice, product margins are also affected by volumes sold, which typically increase during a promotion (as discussed in chapter 6).

2009 ACCC, public hearing transcript, 22 November 2024, pp 778–779.

2010 Information provided to the ACCC.

2011 ACCC, public hearing transcript, 22 November 2024, p 782.

2012 ACCC, public hearing transcript, 22 November 2024, p 781.

Table 7.4: Greater supplier funding results in greater margins for the supermarket compared with a scenario where there was no supplier funding

Scenario example: Changes in a supermarket's margins by varying levels of supplier funding during a promotion

	Standard price	Promotion with no supplier funding	Promotion with 50% supplier funding	Promotion with margin (%) maintained	Promotion with 100% supplier funding
Shelf price ($)	5	4	4	4	4
Cost of goods sold ($)	3	3	3	3	3
Supplier funding ($)	0	0	0.5	0.6	1
Margin ($)	2	1	1.5	1.6	2
Margin (%)	40%	25%	38%	40%	50%

As discussed in box 7.2, supermarkets may account for payments received from suppliers as additional revenue or as a negative cost. In the latter scenario, supermarkets such as Coles treat this as a reduction to the value of their cost of goods sold.[2013] On the other hand, Woolworths treats some supplier funding (such as payments in relation to promotions) as revenue, while supplier rebates (such as volume rebates, purchase rebates, allowances, settlement discounts and warehouse margins) are treated as a reduction in cost of goods sold.[2014]

Supplier funding paid to Coles and Woolworths increased in dollar terms over the last 5 financial years (figure 7.21). These payments from suppliers represent a significant amount of money to these supermarkets. Our analysis shows that supplier funding as a proportion of sales revenue was relatively flat over this 5 financial year period for each supermarket, representing about 15% of sales revenue (excluding GST) to Coles, and about 7% to Woolworths.[2015] For Woolworths, we expect the actual value to be in excess of 7% because certain types of supplier funding were captured within Woolworths' cost of goods sold – such as rebates (as discussed above) – and were not separately available.[2016] These payments are thus included within Woolworths' margin metrics but not explicitly included in our supplier funding analysis in this section.[2017]

2013 ACCC, public hearing transcript, 22 November 2024, p 826.

2014 Information provided to the ACCC.

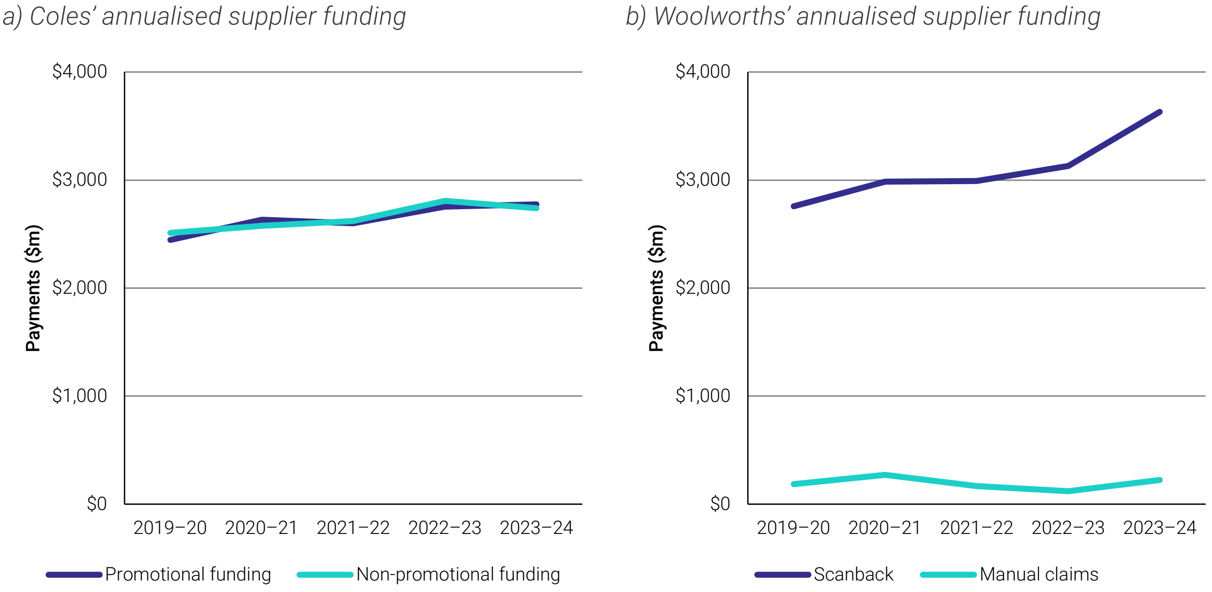
2015 The value of supplier funding to Coles for 2023–24 captures funding for only 11 months of this financial year. We therefore expect the actual supplier funding value to be higher for this year than what is depicted in figure 7.21 (a). Information provided to the ACCC.

2016 Information provided to the ACCC.

2017 Information provided to the ACCC.

Figure 7.21: Supplier funding increased between 2019–20 and 2023–24 and represents a significant amount of money to Coles and Woolworths

Annualised supplier funding paid to Coles and Woolworths by type between 2019–20 and 2023–24 financial years.



Note: Supplier funding to Coles for 2023–24 captures funding for only 11 months of this financial year. We therefore expect the actual supplier funding value to be higher for this year than what is depicted here.
Supplier funding to Woolworths in these figures represent the minimum amounts of payments. Data on certain other types of supplier funding such as rebates are not separately available. These are instead captured within Woolworths' cost of goods sold and thus included within their margin metrics. As a result, we expect the actual supplier funding to Woolworths to be in excess of the values depicted here.

Source: ACCC analysis; Information provided to the ACCC

While supplier funding to ALDI also increased over the same period, it was a significantly smaller amount than the value of supplier funding provided to Coles and Woolworths, accounting for less than 1% of ALDI's total sales revenue (excluding GST).[2018] This is likely because ALDI's business model is focused on providing low-cost products with limited promotions and ALDI's products are largely private label for which the use and incidence of supplier funding tends to be low given the supplier of private label products is effectively the supermarket itself.

Supermarkets attribute different types of payments from suppliers at different levels such as at the product level, sub-category or category level or higher up at the Business Unit/Department or whole-of-business level, which, in turn, affect the components included within the margin metrics at each of these levels (box 7.1). For instance, Woolworths indicated that supplier payments in relation to marketing services such as for Cartology, advertising through Woolworths' catalogues and for data analytics through Woolworths' Quantium arm are attributed at the sub-category level.[2019] These payments would therefore not be included in product margins.[2020]

Supplier funding is most prevalent in packaged goods. The highest levels of funding were provided for products in Coles' and Woolworths' Grocery Business Unit and Department respectively (which consist of packaged food products), followed by Coles' Health and Home Business Unit and Woolworths' Everyday Needs Department (both of which contain non-food household items such as toiletries, laundry and cleaning products).[2021] In addition, most funding was provided for branded

2018 Information provided to the ACCC.
2019 Information provided to the ACCC.
2020 Information provided to the ACCC.
2021 Information provided to the ACCC.

packaged goods rather than private label packaged goods, which is what we would expect given the supplier of private label products is effectively the supermarket itself.[2022] These results correlate with the Business Units/Departments and type of product (that is, branded products) where average product margins increased over the last 5 financial years and constituted the highest levels of sales revenue (excluding GST) for Coles and Woolworths (sections 7.2.1 and 7.2.2). This further emphasises the importance and significance of supplier funding to Coles' and Woolworths' margins and overall profitability.

Coles' monthly case study data showed that in the absence of supplier funding, the cost of goods sold for packaged goods such as biscuits, cereal and dishwashing tablets was higher than the supermarket's sales revenue of those products, resulting in losses (and therefore negative margins) for the supermarket.[2023] Although in many instances, Coles and suppliers jointly fund promotions, as discussed in chapter 6. We were unable to assess whether Woolworths similarly made losses for their case study packaged goods because, as discussed above, data on certain supplier funding is captured within Woolworths' cost of goods sold and was not separately available.

Material obtained during the inquiry indicated that in many instances Coles and Woolworths closely considered margins and promotional plans during cost price increase requests, allowing the proportion of promotional support provided by the supplier to be maintained following a price increase (as discussed in chapter 6). In our view, this may explain the flat growth of supplier payments as a proportion of supermarkets' revenue.

In response to suppliers' concerns about the way promotional activities are funded, Coles submitted that it contributed to the majority of funding to the cost of price reductions on packaged products in the 2023–24 financial year, and that the proportion funded by Coles has increased since 2019.[2024]

We do not have data on the total costs associated with promotional activity and a breakdown of how these costs were split between each supermarket and its suppliers. Accordingly, we are not in a position to verify Coles' claims. In addition, even if the proportion funded by suppliers for promotions may have decreased, funding provided by suppliers for non-promotional activities also represents a significant amount of money to Coles, and this funding increased since 2019–20, as discussed above.

The importance of supplier payments to supermarkets is not unique to Australia. The US Federal Trade Commission's report titled 'Grocery Supply Chain and the COVID-19 Pandemic', noted the significance and importance of supplier payments to wholesalers and grocery retailers:

> In reviewing documents and responses from companies receiving 6(b) Orders, we found that marketing funds from these producer-funded promotions were generating large flows of money from producers to both wholesalers and retailers. The information provided by the respondents showed that grocery retailers across the industry depend on promotional money provided to them as a large and important source of their revenue. This phenomenon is not limited to physical retail stores; online retailers can also generate significant revenue and profit from producer funded discounts and placement of online advertisements in prominent, attractive locations.[2025]

Similarly, the New Zealand Commerce Commission's 2024 Annual Grocery Report noted evidence of trade spend in the New Zealand grocery industry as being material (billions of dollars per year).[2026]

Chapter 6 outlines 2 recommendations to increase transparency about supplier funding. We recommend:

2022 Information provided to the ACCC.

2023 Information provided to the ACCC.

2024 Coles, Submission to the Inquiry Interim Report, published November 2024, pp 4, 23.

2025 Federal Trade Commission, Feeding America in a Time of Crisis: The United States Grocery Supply Chain and the COVID-19 Pandemic, 2024, pp 18–19.

2026 NZCC, Annual Grocery Report 2024, 4 September 2024, p 49.

- large supermarkets and wholesalers should provide suppliers with an itemised account of all payments and deductions off invoices (recommendation 19)
- Coles and Woolworths provide suppliers information about how supplier funding for their in-house retail media services was used (recommendation 20).

7.2.5 Supermarket retail prices and margins are not susceptible to confident assessments of whether they are 'excessive'

As explained in our Interim Report, consumers raised concerns that they are paying excessively high prices for their groceries.[2027]

The discussion above provides the results of our analysis of price and margin information provided by ALDI, Coles, Metcash and Woolworths. We have not sought to determine whether the prices or margins of these supermarkets are excessive.

Having or exercising market power, or charging high prices, or obtaining high margins in and of itself is not prohibited by the CCA. In some circumstances regulatory intervention to address high prices may be available, for example, in the case of natural monopolies or where accompanying factors together make the conduct unconscionable or a misuse of market power. More generally however, businesses are free to set their own prices, typically having regard to costs, demand and the level of competition they face. We therefore expect to see businesses behave in ways that attempt to maximise their profit.

As noted above, while most grocery price increases from July 2019 to June 2024 appear attributable to increases in input and operating costs across the economy, at least some of those price increases appear to have resulted in additional profits for Coles and Woolworths. A supermarket's overall level of profitability (as discussed in section 7.1) is determined by the combined effect of margins for different products and categories.

In any event, it would be challenging to determine whether supermarkets' retail margins at the product or category level are 'excessive' given:

- Supermarkets sell a vast range of products, most shops by consumers involve purchasing a basket of goods that are likely to have a range of product margins and each consumer is likely to purchase a different basket of goods.
- Prices and margins of products vary:
  - between Business Units/Departments (section 7.2.1)
  - between product categories (section 7.2.3)
  - within product categories (section 7.2.3)
  - between private label and branded products (section 7.2.2)
  - between pricing and geographic regions (sections 3.4.2 and 4.8.1)
  - over time (sections 7.2.1 and 7.2.3).
- Prices are often subject to promotional price cycles (section 7.2.3).
- Margins may include supplier funding at different levels and be accounted for in different ways (section 7.2.4).
- The degree of risk (including uncertainty of demand and spoilage) and specific costs (including labour, and display costs) vary significantly across products.

2027 ACCC, Supermarkets Inquiry Interim Report, 27 September 2024, p 12.

If there were a greater degree of competition between supermarkets, we would expect margins to be lower, either by way of lower retail prices, or higher costs incurred to improve quality of service, or both. Recommendations set out in this report include measures that seek to enhance competition in the retail supply of groceries, which may, in turn, reduce supermarket margins.

7.2.6 Our data analysis was extensive but necessarily constrained

This inquiry has been one of the most ambitious data-gathering and analysis exercises that the ACCC has undertaken to date, certainly in a one-year timeframe. We obtained billions of data points across our pricing, ticket and margins datasets. The wide scope and detailed nature of data sought reflected:

- the nature of the inquiry – terms of reference included, in particular, considering any difference between the prices paid, and prices charged, by suppliers, wholesalers and retailers for groceries
- the nature of the businesses that we were assessing – supermarket chains being substantial businesses with extensive operations (geographically and in the range of business activities they undertake)
- the nature of the products subject to the inquiry – groceries being a highly diverse set of goods.

Appendix C sets out the data we obtained and the methodologies we used to analyse this data. The data could have been analysed in a wide variety of ways. We needed to be selective in the analytical paths we pursued, proportionate to the time and resourcing available to undertake the inquiry. We targeted and prioritised our analysis on the key issues under consideration to ensure it was achievable in the time available. We have also been selective in which outputs we have published, weighing the sensitivity of the subject matter for the businesses that provided the underlying data and the strong public and policy-maker interest in better understanding a sector of great importance to everyday lives.

We considered the viability of undertaking analysis akin to a 'cost stack' that would include supplier costs and margins, as well as retailer costs and margins for all, or a subset of, groceries. However, undertaking this analysis for even a subset of grocery products would have been an exponentially more difficult task than examining retail prices and margins (the primary task we have undertaken). Cost stack analysis would have required us to obtain data from a large number of suppliers across a range of products (each with unique supply chain structures and characteristics), in contrast to the 4 supermarket chains from whom we obtained the majority of our data. We would have also needed to consider highly complex questions, such as how to treat common costs (bearing in mind suppliers typically supply multiple specific products), and how to account for differences in the operating environment for each supplier. Further, as a practical matter, each business stores and treats its data (including revenue and costs) differently, which would have made the data gathering and quality assurance process an overwhelmingly time-consuming exercise.

We have learnt valuable lessons from this inquiry that the ACCC will continue to develop and apply in its inquiry and enforcement functions – both in relation to undertaking this type of data exercise generally and specifically in relation to analysing supermarket pricing and margins, and grocery supply chains. The ACCC has announced its focus in the coming year on dedicated investigations and enforcement activities to address competition and consumer concerns in the supermarket and broader retail sector. Our experience and the information analysed as part of this inquiry will serve to inform our performance of those investigative and enforcement activities.

Appendix A – Glossary and acronyms

Appendix A: Glossary and acronyms

Term	Definition
2008 Grocery Inquiry	The ACCC's 2008 inquiry into the price of groceries. The ACCC provided its report to the Assistant Treasurer and Minister for Competition Policy and Consumer Affairs on 31 July 2008.
ABARES	Australian Bureau of Agricultural and Resource Economics and Sciences
ABS	Australian Bureau of Statistics
ACCC consumer survey	An ACCC survey of 21,481 Australian consumers conducted between 29 February 2024 and 2 April 2024, which sought information about how consumers engage with supermarkets.
ACCC Report on Data Products and Services	The eighth interim report of the Digital Platform Services Inquiry on data products and services, published on 21 May 2024.
ACCC	Australian Competition and Consumer Commission
ACL	The Australian Consumer Law
Aggregator	A supplier who consolidates volumes from various sources for sale. This can include grower/aggregators who both grow produce and consolidate third party volumes.
Ancillary services	Services offered by supermarkets to suppliers, including freight, product packaging, marketing, and data analytics services.
Average product margin	Product margins (in percentage terms) weighted by sales revenue using a ratio of that product's sales revenue to all products' sales revenue at the relevant level (for example, at a category, department or whole-of-business level).
BIT report	Expert report commissioned from the Behavioural Insights Team (BIT), December 2024, titled 'Applying Behavioural Insights to the ACCC Supermarkets Inquiry'. See Appendix E.
Bonus points	Points additional to those earned via the baseline rate through participation in supermarket loyalty programs.
'boosters'	Offers made by supermarkets to their loyalty program members to obtain bonus points to increase their existing points balance.
Case study products	Products we examined in further detail in this inquiry, which included: apples, bananas, cucumbers, potatoes, strawberries, unflavoured cow's milk, eggs, beef steaks and mince, chicken thighs and breasts, pork roast, sliced and shaved ham, cereal, biscuits, dishwashing tablets and dog food.
Co-op payments	Co-payments are a type of rebate which requires suppliers to make direct payments to supermarkets.
CCA	*Competition and Consumer Act 2010* (Cth)

CCB	Canadian Competition Bureau
Central markets	Large, physical fresh produce marketplaces. Australia has 6 central markets, located in Brisbane, Sydney, Melbourne, Adelaide, Perth and Newcastle.
Clearance	A type of discount price promotion where a product is typically heavily discounted in order to reduce stock.
CMA	Competition and Markets Authority (UK)
Cost of doing business	The costs relating to the operation of the supermarkets business excluded from gross profit and included in Earnings Before Interest and Tax. These typically include indirect costs such as wages, rent, utilities, marketing, office supplies and legal costs.
Cost of goods sold	Costs directly related to the production or acquisition of that product such as direct materials, direct labour, manufacturing overhead, freight and shipping costs. It does not include indirect costs or operating costs such as wages, rent, utilities, marketing, office supplies and legal costs, which are typically included in cost of doing business.
Cost price	The price of a product as sold by a supplier to a retailer accounting for any deductions or discounts to the list price that are attributed to the product from rebates, trade spending, ancillary spending or other trading term negotiations. May also be considered retailer wholesale costs.
Cost price increase (CPI)	A process where a supplier seeks to increase to the cost price of the product as it is sold to retailers.
Dairy Code	Competition and Consumer (Industry Codes—Dairy) Regulations 2019
Discount price promotions	A price being marked as discounted or lowered from another price.
Effective price	A supermarket's average price of any given grocery product over a period of time weighted by its volumes sold.
Everyday low pricing	A retail pricing strategy in which the products are offered at a consistent, low price rather than reducing the price periodically through discount price promotions.
Food and Grocery Code	Competition and Consumer (Industry Codes—Food and Grocery) Regulation 2015
FTC	United States Federal Trade Commission
Full-service supermarket	A supermarket store with a large number of stock keeping units with a floor space in excess of 1,500m2. Also referred to as a 'traditional supermarket' or 'full line supermarket'.
Gamification	The application of game-like elements into non-game environments to increase participation. Gamification in loyalty programs involves features such as point systems, collectibles, and challenges.

Groceries	The Terms of Reference define groceries to include the following: a. groceries within the meaning of the Food and Grocery Code of Conduct b. raw materials that are to be processed into, or used in the manufacture of, items covered by paragraph (a). The Food and Grocery Code of Conduct defines groceries as including: a. food including fresh produce, meat and dairy items (other than dairy items sold for in-store consumption) b. pet food c. non-alcoholic drinks (other than drinks sold for in-store consumption) d. cleaning products e. toiletries, perfumes and cosmetics f. household goods, electrical appliances and kitchenware g. clothing h. “do-it-yourself” products i. pharmaceuticals j. books, newspapers, magazines and greeting cards k. CDs, DVDs, videos and audio tapes l. toys m. plants, flowers and gardening equipment n. tobacco and tobacco products.
Grocery sector	A sector of retail including supermarkets and non-supermarket retailers of groceries such as category specialists (including chemists), and convenience stores.
Grocery supply agreement	An agreement between a supplier and a retailer or wholesaler for the supply of groceries to a supermarket business.
High-low pricing	A pricing strategy categorised by frequent use of short-term discount price promotions (primarily specials, which are typically 1 to 2 weeks in length).
Horticulture Code	Competition and Consumer (Industry Codes—Horticulture) Regulations 2017
Independent retailers	Retail stores which are privately owned and may sell a range of products including groceries.
Independent supermarkets	Supermarket stores which are privately owned and not operated by a chain store including Aldi, Coles or Woolworths.
Input or commodity price	An input or commodity price is the price of a component that makes up the production costs in a final product.
Interim report	The Supermarkets Inquiry Interim Report, published on 27 September 2024.
Issues paper	The Issues Paper, published on 29 February 2024, sought feedback on key issues which the ACCC considered in the inquiry.

Joint business plan	A strategic agreement between a supermarket and a supplier which contains sales targets, promotional initiatives and other commercial objectives.
List price	A price initially quoted by suppliers to retailers across the market for a product.
Longer-term discount promotions	A type of promotion involving a longer-term price discounts (often around 3 months in duration). This includes seasonal discount promotions, and excludes (short-term) specials and multi-buy specials.
Loyalty programs	A form of marketing or promotional tool that incentivise repeat transactions by offering participating consumers (members) points, discounts and other incentives for eligible purchases.
Markdown	A price reduction typically applied to fresh produce, where items are discounted as they approach their expiry or best before date.
Member-only pricing	Discount price promotions which are only available to the retailer's loyalty program members.
Metcash banner stores	Independent supermarkets operating under a brand licensed from Metcash, such as IGA. Metcash also provides support services including marketing and promotional services to these independent retailers. Metcash banner stores are a subset of Metcash-supplied independent supermarkets.
Metcash-supplied independent supermarkets	Retailers to which Metcash supplies grocery products. These include Metcash banner stores, non-bannered stores and third-party banners such as FoodWorks.
Metcash	Metcash is a wholesale distribution company that sells products in the food, liquor and hardware sectors to Metcash banner stores and Metcash-supplied independent supermarkets.
Multi-buy (promotions)	A type of promotion where consumers can access discounts when they purchase a specified number of certain products. The promotion can apply to only a single product or a range of products.
Non-price promotions	Non-price benefits received by consumers for shopping at a particular supermarket or meeting certain purchase requirements. Benefits or rewards may include loyalty program points, collectible items or entries into a competition draw.
Non-remote store	A retail outlet located in areas classified as 'major city' or 'inner regional' or 'outer regional' by the Australian Bureau of Statistics (ABS) remoteness classification.
Non-supermarket grocery retailers	Retailers (other than supermarkets) that stock grocery products such as specialty retailers, category specialists, online marketplaces, delivery and meal-kit services, convenience stores and news agencies. Examples of these sub-categories are presented in chapter 2.2.
Northern Australia	The whole of the Northern Territory, those parts of Western Australia and Queensland that are north of the Tropic of Capricorn and some areas just south of the tropic, including Carnarvon and Gladstone (Refer to the ACCC Northern Australia Insurance Inquiry Final Report, 2020).

NZCC Grocery Market Study	The New Zealand Commerce Commission's market study into the grocery sector, which ran from November 2020 until the publication of its final report on 8 March 2022.
NZCC	New Zealand Commerce Commission
OECD	Organisation for Economic Co-operation and Development
Personalisation	The practice of tailoring communications, offers and experiences to consumer segments or individual consumers based on their characteristics or behaviours.
Premium loyalty programs	Loyalty programs that require members to pay recurring fees to participate. These programs may be a paid tier of an existing, free-to-join loyalty program.
Price information	Price information we obtained from supermarket chains under section 95ZK of the CCA. Further detail on this information can be found in Appendix C.
Pricing region	The geographic region encompassing a specified group of stores on or for which the supermarket's ticket price and price information is determined.
Private hearings	In October and December, the ACCC held private hearings where representatives of the supermarkets provided oral evidence.
Private label products	Products that are sold under a brand owned by the supermarket, whether manufactured or produced by the supermarket or a third party. This includes products that are 'supermarket-branded' – products labelled or easily identifiable as being a supermarket-branded product, as well as what are often described as 'pseudo brands'.
Product margin	A measure of profitability at a product level, and represents a product's sales revenue (excluding GST) less its cost of goods sold. This may be expressed in dollars (nominal margin) or as a proportion of that product's sales revenue (as a percentage).
Promotional funding	Funding provided by the supplier or jointly by supplier and supermarket which offsets the discounted price which products are sold at in store.
Pseudo brands	Private label products that are not clearly marketed as being a supermarket-branded product (for example, information about the manufacturer of the product may be on the back of the packaging).
Public hearings	In November, the ACCC held public hearings where representatives of ALDI, Coles, Metcash and Woolworths and other stakeholders provided oral evidence to inform the key issues in the retail grocery sector and its associated supply chains.
Range review	A process during which supermarkets assess the current product range across a category, and negotiate with suppliers individually to decide whether to delist products, add new products or continue the current range.
Rebates	Payments which reduce the price the supplier receives by deductions to the product's list price or direct payments to supermarkets.
Redemption campaigns	A type of non-price promotion in which customers earn redeemable credits which can be redeemed for promotional items (such as stickers, small figurines, glassware or cookware).

Remote community store	Grocery stores operating in remote First Nations communities. 50% of remote community stores are managed by two groups, Outback Stores Pty Ltd and the Arnhem Land Progress Aboriginal Corporation, with other stores managed by private businesses, communities or community organisations.
Remote store	A retail outlet located in areas classified as 'remote' or 'very remote' by the Australian Bureau of Statistics (ABS) remoteness classification.
Retailers	All stores selling groceries, including supermarkets and non-supermarket grocery retailers.
Sampled store	Stores for which the inquiry received price information. Further detail of information obtained from the supermarket chains can be found in Appendix C.
SEIFA	Socio-economic Indexes for Areas (SEIFA) is an Australian Bureau of Statistics (ABS) index that ranks areas in Australia according to relative socio-economic advantage and disadvantage (with lower rankings indicating more disadvantaged areas).
Shrinkflation	When the size or volume of a product decreases while the price remains the same or increases.
Small format store	A smaller size supermarket store which may offer a specialised or locally tailored offering, and is often located in high population density communities. Examples include ALDI Corner Stores, Coles Local, IGA Local Grocer or IGA Xpress, and Woolworths Metro stores.
Specials	A type of promotion involving a short-term price discount (often 1 to 2 weeks in length). This excludes products on markdown, clearance or longer-term promotions.
Standard format store	A medium to large floorplan supermarket which retails most or all of a supermarket's product range. We consider standard format offerings include typical ALDI, Coles, IGA and Woolworths stores.
Stock keeping unit (SKU)	A unique identification code (which may be alphanumeric) assigned to each product by retailers to assist with inventory management.
Supermarket industry	Supermarket businesses that sell groceries to consumers.
Supermarket	Firms which sell to consumers bread, breakfast cereal, butter, eggs, flour, fresh fruit and vegetables, fresh milk, meat, rice, sugar and other packaged food or most of those groceries. We consider supermarkets to include ALDI, Coles, Costco, Drakes, Harris Farm Markets, Metcash-supplied independent stores, and Woolworths.
Supplier funding	A form of payment from a supplier of products to the supermarket for the purpose of providing promotional or non-promotional support. It could include rebates or ancillary trade spend.
Supplier roundtables	7 separate roundtable meetings between the ACCC and farmers, wholesalers and farmer representative groups between May and July 2024. These meetings allowed the ACCC to hear about the experiences of these industry participants.
Supplier	Firms (such as farmers, growers and dry goods manufacturers) that supply groceries to wholesalers or retailers.

Supply of groceries, farmgate	Where producers (such as dairy farmers, growers of horticultural crops, farmers of beef, pork, sheep and chickens, eggs, fishing and aquaculture) compete to supply their produce to an intermediary (processor, agent or wholesaler) or to a retailer.
Supply of groceries, retail	Where retailers (such as supermarkets, specialty retailers such as butchers and green grocers, food service providers) supply grocery products to consumers.
Supply of groceries, wholesale	Where processors or wholesalers (such as horticulture packing sheds, dairy processors, abattoirs) supply grocery products to retailers, food service providers or for export.
Terms of Reference	The Terms of References refers to the Treasurer's Direction (Competition and Consumer (Price Inquiry – Supermarkets) Direction 2024), which directs the ACCC to inquire into markets for the supply of groceries. It sets out the terms of the Supermarkets Inquiry, including what the ACCC can and cannot consider.
Ticket price information	The price information set weekly for all SKUs sold from a subset of the ALDI, Coles, Metcash bannered stores and Woolworths, and often displayed on product tickets in store. Further detail of such information obtained from the supermarket chains can be found in Appendix C.
Ticket sample stores	Stores for which the inquiry received ticket price information. Further detail of information obtained from the supermarket chains can be found in Appendix C.
Trade spends	A range of supplier funding and payments for ancillary services and promotional funding.
Treasury	The Australian Government Department of the Treasury.
Unit Pricing Code	Competition and Consumer (Industry Codes—Unit Pricing) Regulations 2021
Was/now price representations	A form of 2-price comparison advertising where a retailer advertises a previous 'was' price and a discounted 'now' price (for example, Was \$14.99 Now \$11.99). Another example of 2-price comparison advertising includes price strikethroughs (e.g. \$14.99 \$11.99).
1:1 promotions	Personalised promotions on individual products offered to individual loyalty program members. May also be referred to as '1:1 personalised offers'.

Appendix B – Terms of Reference

Appendix B: Terms of Reference

AUSTRALIA

Competition and Consumer (Price Inquiry—Supermarkets) Direction 2024

I, Jim Chalmers, Treasurer, give the following direction to the Australian Competition and Consumer Commission.

Dated 1 February 2024

Dr Jim Chalmers
Treasurer

Authorised Version F2024L00132 registered 01/02/2024

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Authorised Version F2024L00132 registered 01/02/2024

Part 1—Preliminary

1 Name

This instrument is the *Competition and Consumer (Price Inquiry—Supermarkets) Direction 2024*.

2 Commencement

(1) Each provision of this instrument specified in column 1 of the table commences, or is taken to have commenced, in accordance with column 2 of the table. Any other statement in column 2 has effect according to its terms.

Commencement information		
Column 1	**Column 2**	**Column 3**
Provisions	**Commencement**	**Date/Details**
1. The whole of this instrument	The day after this instrument is registered.	

Note: This table relates only to the provisions of this instrument as originally made. It will not be amended to deal with any later amendments of this instrument.

(2) Any information in column 3 of the table is not part of this instrument. Information may be inserted in this column, or information in it may be edited, in any published version of this instrument.

3 Authority

This instrument is made under the *Competition and Consumer Act 2010.*

4 Definitions

Note: Expressions have the same meaning in this instrument as in the *Competition and Consumer Act 2010* as in force from time to time—see paragraph 13(1)(b) of the Legislation Act 2003.

In this instrument:

inquiry has the meaning given by subsection 95A(1) of the Act.

Food and Grocery Code of Conduct means the code set out in Schedule 1 to the *Competition and Consumer (Industry Codes—Food and Grocery) Regulation 2015*.

groceries includes the following:

(a) groceries within the meaning of the Food and Grocery Code of Conduct; and

(b) raw materials that are to be processed into, or used in the manufacture of, items covered by paragraph (a).

price has the meaning given by subsection 95A(1) of the Act.

retailer has the meaning given by the Food and Grocery Code of Conduct.

State or Territory authority has the meaning given by subsection 95A(1) of the Act.

supplier has the meaning given by the Food and Grocery Code of Conduct.

supply has the meaning given by subsection 95A(1) of the Act.

the Act means the *Competition and Consumer Act 2010.*

wholesaler has the meaning given by the Food and Grocery Code of Conduct.

Part 2—Price inquiry into groceries

5 Commission to hold an inquiry

(1) Under subsection 95H(1) of the Act, the Commission is required to hold an inquiry into the markets for the supply of groceries. The inquiry is *not* to extend to any of the following:

(a) the supply of a good or service by a State or Territory authority; and

(b) reviewing the operation of any Australian law (other than the Act) relating to the supply of groceries, except as necessary to consider the matters set out in section 6; and

(c) reviewing the operation or scope of the Food and Grocery Code of Conduct, except as necessary to consider the matters set out in section 6.

(2) For the purposes of subsection 95J(1), the inquiry is to be held in relation to goods and services that are groceries.

(3) Under subsection 95J(2), the inquiry is not to be held in relation to the supply of goods and services of that description by a particular person or persons.

6 Directions on matters to be taken into consideration in the inquiry

Under subsection 95J(6) of the Act, the Commission is directed to take into consideration all of the following matters in holding the inquiry:

(a) the structure of the markets for the supply of groceries by suppliers, wholesalers and retailers, including:

(i) the level and nature of competition at each of these levels of the markets; and

(ii) relationships between the parties at different levels of each of the markets (for example, relationships between wholesalers and retailers); and

(iii) the competitiveness of small and independent retailers, including those in regional and remote areas; and

(iv) the impact of technological change on each of the markets, including the impact of the growth of online shopping; and

(b) the approach of suppliers, wholesalers and retailers to setting prices for groceries, including the use of data analytics in setting prices;

(c) factors affecting the price of inputs along the supply chain for groceries, including:

(i) any impediments to the efficient availability of inputs along the supply chain; and

(ii) any impediments to the efficient pricing of inputs along the supply chain; and

(iii) any difference between the prices paid, and prices charged, by suppliers, wholesalers and retailers for groceries; and

(d) non-price aspects of competition in the markets for groceries, including the impact of:

(i) loyalty programs; and

(ii) discounts offered by retailers for future purchases of groceries or other goods or services.

7 Directions as to holding of the inquiry

Under subsection 95J(6) of the Act, the Commission in holding the inquiry is directed to give to the Treasurer an interim report on the inquiry by no later than 31 August 2024.

8 Period for completing the inquiry

For the purposes of subsection 95K(1) of the Act, the inquiry is to be completed, and a report on the matter of inquiry given to the Treasurer, by no later than 28 February 2025.

Appendix C – Our analysis

Appendix C: Our analysis

About the data we obtained

We obtained a range of information and documents from supermarkets and some suppliers using our compulsory information gathering powers under section 95ZK of the Competition and Consumer Act. This appendix provides a summary of the types of data we obtained and describes the methodologies we used to analyse and quality assure the data set out in this report. For some topics, the information obtained varied across the relevant parties from whom it was sought, however we have provided an indication of the type of information generally obtained in relation to each topic.

Information obtained from ALDI, Coles, Metcash and Woolworths

Price data

Annual price information

We obtained *annual sales information* for all stock keeping units (SKUs) sold by ALDI, Coles, Metcash banner stores and Woolworths for each of 2019–20 to 2023–24 financial years.[2034] The information we obtained for each SKU included:

- product identification number
- the category in which the SKU was located, based on the supermarket's classification
- name or number of suppliers that supplied that SKU (depending on the number of suppliers)
- sales revenue (including and excluding GST), and
- quantity of units sold.

This translated to data obtained for more than 1 million unique SKUs across all supermarkets over the 5 financial years.

Weekly price information from stores in our sample

We obtained *weekly sales information* for all SKUs sold from approximately 31 December 2018 to 31 May 2024 (exact reporting time periods differ between supermarket chains) from a sample of 278 stores across ALDI, Coles, Metcash banner stores and Woolworths, including stores located in metropolitan, regional, remote and very remote areas, as well as some small format stores (sampled stores). The sampled stores include stores in each state and territory across Australia and cover:

- 77 Coles stores, of which 46 are in metropolitan areas, 26 are in regional areas and 5 are in remote areas
- 83 Woolworths stores, of which 49 are in metropolitan areas, 25 are in regional areas and 9 are in remote areas
- 76 Metcash banner stores, of which 40 are in metropolitan areas, 20 are in regional areas and 16 are in remote areas, and
- 42 ALDI stores, of which 33 are in metropolitan areas and 9 are in regional areas.

2034 Please note that we did not obtained data for Metcash banner stores for the 2023–24 financial year.

In selecting the sampled stores, we considered:

- the number of SKUs stocked in stores in each state or territory
- the sales revenue (online and instore) of different stores in each state or territory
- the level of competition between stores in particular areas (including having a mix of stores where there is one, 2 or more supermarkets in an area), and
- where stores were geographically located, to ensure our sample included stores across different areas:
  - in remote and very remote areas
  - in inner and outer regional areas
  - in major metropolitan areas, and
  - across locations with varying Socio-Economic Indexes for Area (SEIFAs).

The information obtained for each SKU sold within our sample of stores included:

- the product name
- product identification number
- product mass or volume description (including the relevant unit of measurement)
- whether the product attracts GST
- whether the product was on promotion, and if so, what type of promotion
- units sold in-store and online (separately) for each SKU
- sales revenue from in-store sales and online sales (separately) for each SKU
- units sold at the standard price, discount and multi-buy (separately), and
- sales revenue from each sale of the product at the standard price, discount and multi-buy (separately).

Ticket price and promotions

We obtained *weekly ticket price information*, for all SKUs offered for sale, at a subset of 65 stores across ALDI, Coles and Woolworths (ticket sample stores).

Where possible, we selected the 2 standard format stores and 2 small format stores in each state or territory with the highest number of SKUs stocked in store. This enabled us to obtain ticket information on the highest number of products sold.

Ticket information represents what prices were displayed to customers each week, rather than the prices customers actually paid.

The time period of ticket prices information requested from supermarkets varied depending on the supermarkets' record keeping systems.

The ticket price information obtained for each SKU of the ticket sampled stores included:

- the ticket price
- whether product was on promotion and the type of promotion (where available)
- the standard shelf price or 'was' price prior to the discount being applied, as displayed on the ticket, and
- the discount applied, as displayed on the ticket.

We also obtained *promotional product and sales information*, on a yearly basis from 2019 to 2024 (part-year), across all ALDI, Coles, Metcash-banner and Woolworths stores (whole of business). The information included:

- the total number of SKUs offered for sale
- the average number of SKUs on promotion per retail week
- the total number of units sold, and
- the number of units sold on promotion.

Supermarkets' margins

Annual margin information for all SKUs sold

In addition to the annual pricing information set out above, we obtained annual product margin information (expressed in dollar (including and excluding GST) and percentage terms) for all SKUs sold by ALDI, Coles, Metcash banner stores and Woolworths for each of the 2019–20 to 2023–24 financial years.[2035]

Monthly margin information for case study products

To enable examination of the case study products set out in table 7.1, we obtained monthly information from ALDI, Coles, Metcash and Woolworths about these groups of products at different levels of the supermarket business where applicable (for example, at a whole of business, business unit/department, category and individual SKU level). The information included:

- information about suppliers including whether they supply branded or private label products
- sales revenue
- payments received by supermarkets from suppliers for promotional and non-promotional activities
- quantity of units sold
- different types of costs
- product margin (expressed in dollar and percentage terms)
- other margin metrics used internally by the supermarkets, as applicable
- gross profit margin (expressed in dollar and percentage terms), and
- information about relevant profitability metrics (such as earnings before interest and tax).

Loyalty programs

We obtained information from Coles, Metcash and Woolworths about their loyalty programs.

The information included:

- the number of active members[2036] in each supermarket's loyalty programs
- amounts spent by customers at each supermarket
- amounts spent by members of the supermarkets' loyalty programs
- sales revenue attributable to loyalty program members

2035 Note that we did not obtained data for Metcash banner stores for the 2023–24 financial year.

2036 Loyalty program members who had used their membership at least once during the relevant year by earning or redeeming membership points.

- the number of sales transactions linked to a loyalty program membership
- the estimated monetary value of points and other measures of value earned and redeemed through each supermarket's loyalty programs.

Stores and land holdings

We obtained information from ALDI, Coles, Metcash and Woolworths about the nature and extent of their land holdings.

The information included:

- details of trading stores (or banner stores), including, for example, the address of the store, the size of the store, when the store opened, the number of products stocked, retail sales revenue and other information
- details of distribution centres in operation, including, for example, the address of the distribution centre, the size of the distribution centre, when the distribution centre opened, and which stores (or banner stores) the distribution centre delivers to, and
- information about land held that is undeveloped or unused (and intended future use).

Supply chains

We obtained information from ALDI, Coles, Metcash and Woolworths about each supermarket's supply chains and product sourcing activities. The information included:

- the number of suppliers for each of the above retailers by product category
- product sourcing strategies for products sources from:
  - primary producers
  - suppliers
  - third-party wholesalers
  - other businesses involved in the manufacturing of packaged products or fresh produce
- how fresh and perishable product volumes are forecasted, purchased, and invoiced
- how product cost price increases are negotiated with suppliers
- the role of suppliers in funding, subsidising and implementing promotions, and
- how supermarkets ranked or otherwise internally considered suppliers.

Information we obtained from suppliers

We obtained information and data from a range of suppliers to ALDI, Coles, Metcash and Woolworths in some of the case study product categories.[2037]

The information included:

- how production decisions about the types and volume of products to produce are made
- revenue and quantity of units sold, aggregated and disaggregated by major retailers, including supermarkets
- costs of products sold

2037 These case study products as identified in our Interim Report are: beef, chicken, pork, bananas, apples, strawberries, cucumbers, potatoes, eggs, drinking milk, cereal, biscuits, pet food and dishwashing tablets.

- trade spends (including in the form of credits and offsets) paid to ALDI, Coles, Metcash and Woolworths
- how production costs have changed over the last 5 years
- spending on ancillary grocery supply chain services (for example, data analytics, freight services, advertising and marketing)
- negotiations with ALDI, Coles, Metcash and Woolworths about products and pricing, including in relation to discounts and promotions, and
- changes to the net weight of products.

We obtained this information in relation to both specific products and product categories. The information we obtained varied based on the supplier and product category. It was not possible to undertake supplier margin analysis across the range of case study products that would be necessary to enable us to draw meaningful conclusions.

As discussed above, our analysis of supermarkets' margins analysis required us to obtain data from ALDI, Coles, Metcash and Woolworths. Undertaking a similar exercise to examine supplier margins, while ensuring that the analysis was representative of the product category as a whole, would require equivalent data to be sought from a large number of suppliers in each product category. This was not practical within the timeframe of this inquiry.

The information and data we obtained have been used to inform our examination of buyer power in grocery supply chains and factors impeding or supporting efficient supply or pricing. The data and information are referred to, and examined, in the context of considering the range of aspects of trading terms between supermarkets and their suppliers (examined in chapter 6).

Other

We have drawn upon a range of public information to inform our analysis of particular matters, including:

- Australian Bureau of Statistics (ABS):
  - Consumer Price Index (CPI) between December 2014 quarter and December 2024 quarter
  - Wage Price Index (WPI) between December 2014 quarter and December 2024 quarter
  - Producer Price Index (PPI), December Quarter 2024
  - Socio-Economic Indexes for Areas (SEIFA) classification,
  - Household Expenditure Survey 2016; and
  - Remoteness Area classifications.
- Australian Bureau of Agricultural and Resource Economics and Sciences (ABARES):
  - Selected primary producers' input costs 2008–09 to 2022–23 financial years.
- Organisation for the Economic Co-operation and Development (OECD):
  - National CPI (food and non-alcoholic beverages) annual growth rate between March 2019 quarter and December 2024 quarter for Australia, the OECD (as a group), the G7 (as a group) and selected OECD countries, and
  - Average annual wages (constant prices) between 2019 and 2023 for Australia, the OECD (as a group) and selected OECD countries.

Methodology for analysis

Effective price

Using the annual and weekly pricing information set out above, we calculated the effective price for each SKU. 'Effective price' is the average price paid by consumers at a supermarket for a given SKU over a period of time, weighted by the volume sold of that SKU at that price.

A SKU is often sold at several different prices. For instance:

- Products for which national pricing policies do not apply, such as fresh produce, result in the price of the same product varying between pricing (and therefore, geographic) regions.
- Products approaching expiry and are therefore marked down to a lower price. As a result, some stores may have the same product sold at a different price compared with its price in other stores within the same pricing region.
- Products with prices reduced for clearance, such as for discontinued product lines.
- Supermarket staff able to obtain staff discounts will pay a lower price than other consumers.
- Loyalty program members who are able to access discounts and offers that are unavailable to non-members or other loyalty program members (such as in the case of personalised discounts).
- For annual time horizons, a single store often charges many different prices for the same product over the year with changes in prices often coinciding with promotional weeks.

The incidence of different prices paid for the same SKU at any given point in time made our analysis of changes in price over time, and across different pricing (and therefore, geographic) regions, challenging.

To address this issue, we calculated an average of these prices for each SKU. We calculated a weighted average where a product's price was weighted by its volume sold. Where a simple average would weight each price equally, a volume weighted average assigns a higher weight to those prices at which greater volumes were sold (such as at shelf prices and loyalty member prices). Similarly, the volume weighted average assigns a lower weight to those prices at which smaller volumes were sold (such as markdown, clearance and staff member prices). This allows the average price to more accurately reflect the price that most consumers would have paid for a SKU.

We used the effective price to demonstrate how prices paid have changed over time. It also simplifies the many different prices a product may be over a time period into a single representative price.

The equation for calculating effective price is as follows:

$$Effective\ price_t = \frac{\sum_{i=i}^{n} price\ level\ i_t\ \times quantity\ bought\ at\ price\ level\ i_t}{Quantity\ purchased_t}$$

However, the same result could be achieved by taking the sales revenue of a product over a period of time and dividing it by the quantity purchased. Sales revenue inherently accounts for all prices at which the product was sold. For the purposes of this Inquiry, we used this method to calculate effective price.

$$Effective\ price\ (excluding\ GST)_t = \frac{Sales\ revenue\ (excluding\ GST)\ _t}{Quantity\ purchased_t}$$

This method allowed us to capture the price at which customers predominately purchase a product. For items that are bought mostly when on sale, the effective price will be closer to the promotion price than to its regular price, likely also reflecting its price elasticity. Conversely, items bought frequently regardless of when they are on promotion will result in an effective price somewhere in between the standard price and the promotional price.

We used prices and revenue excluding GST to ensure comparability between supermarkets (due to data availability).

Annual effective price change

We present our analysis of changes in annual effective prices at ALDI, Coles, Metcash banner stores and Woolworths in 2 parts of the report, chapter 2 section 2.2 (in figure 2.4) and chapter 7 section 7.2.3 (prices of case study products). The analysis in both sections use different methodologies whereby the change in effective prices presented in section 2.2 have undergone additional transformation compared with the change in effective prices presented in section 7.2.3.

We acknowledge some limitations in relation to the annual effective price analysis:

- We did not obtain information from Metcash banner stores for the 2023–24 financial year, and as a result we hold their 2022–23 median effective prices constant for the purposes of calculating their 2023–24 median effective prices.
- Metcash banner stores' financial year period follows a May to April cycle, unlike the other supermarkets whose financial year period is the conventional July to June cycle. As a result, Metcash banner stores' financial year data does not wholly align with the other supermarkets' data.

Use of annual effective prices in figure 2.4 (section 2.2)

Figure 2.4 in section 2.2 shows the annual (year-on-year) change in effective price for SKUs that were sold at a given supermarket in two consecutive financial years (for example, SKUs sold in both 2019–20 and 2020–21 financial years). The price changes are further weighted by these SKUs' sales revenue (excluding GST) in the first year. This allows us to not only weight the effect of price changes on SKUs for which there were higher consumer expenditure in the first year, but also prevent distortions due to changes in product range (such as through new products introduced or deleted) over time. Keeping the weight for each SKU constant between two consecutive financial years also allows the change in prices to be isolated from changes in quantities purchased between financial years.

This method can overstate the effect of price increases on consumers because as prices change, consumers can substitute away from products with large price increases. However, the impact of this overstatement is likely to be partially offset by shrinking package sizes (as long as the product remains under the same SKU code), which understates the effect of price increases on consumers. We did not have enough information to adjust for these changes.

This analysis does not intend to replicate the ABS' consumer price index.

Prices of case study products (section 7.2.3)

In section 7.2.3 we analysed changes in median effective prices of case study products (apples, bananas, cucumbers, potatoes, strawberries, unflavoured cow's milk, eggs, beef steaks and mince, chicken thighs and chicken breast, pork roast, sliced or shaved ham, cereal, biscuits, dishwashing tablets and dog food) for all supermarkets between 2019–20 and 2023–24 financial years.

The analysis does not control for differences between supermarkets' product mix, for instance it includes all private label and branded products, products of different pack sizes and quality. While we have considered methodologies controlling for products sold in all supermarkets, this analysis is intended to capture the range of prices consumers paid for the case study products.

National/state pricing

Consistency assessment of ticket price (between and within states or pricing region)

The analysis on ticket price information in section 3.4.2 aims to capture differences in ticket prices between stores at the product level for each promotional week, averaged over time.

Using weekly product ticket purchase prices for SKUs offered for sale at ticket sampled stores in the relevant reporting periods, we calculated:

- Average of coefficient of variation, which measures how much the price of a product fluctuates relative to its average price over a given period. The higher the coefficient of variation the product displays, the greater the level of dispersion from the mean. Our calculation excludes business overheads. This metric controls for the base price of a product, and attempts to make higher priced and lower priced goods comparable. A coefficient of variation of 0 would indicate identical prices.
- Average percentage of product disparity, which is determined by the proportion of products where there is a price difference between stores, averaged over time, excluding business overheads.

We compared product ticket prices for each week for each SKU in each ticket sampled store against the same SKU in other ticket sampled stores in the pricing region (within pricing region analysis) or in all pricing regions (national – level analysis). We calculated the percentage of product disparity and coefficient of variation for the pricing regions and grouped by product department (or category). This was then averaged over the reporting period.

We allocated SKUs to departments/business units, using or consistent with the information provided by the supermarkets. We determined the pricing region of a ticket sampled store based on the information provided by the supermarkets.

Consistency assessment of actual prices paid within a state / pricing region

For each of the sampled stores, we calculated an average effective price based on the Standard or Special price paid for each SKU for each promotional week. We compared the average effective price a product was sold at a store relative to the average of other stores that were determined to be within the supermarket chain's pricing region. These were then aggregated across products and across time for each store. We then compared the results of each store to the other stores in its region and the variation of store differences within the region.

One reason this method was chosen was so that differences in range between stores were accounted for by matching prices for each SKU at a store to prices at stores which the SKU was also sold in the region. We also attempted to account for differences in consumer purchasing patterns by comparing at a promotional week level. This prevents fluctuations in purchasing behaviours at different prices (for example, a store having higher purchases during sales) driving the results when comparing stores. Multi-buy specials and targeted discounts were also removed for a similar reason.

When SKUs were required to be assigned to product categories, we used the classifications provided by the supermarkets.

Exceptions to national pricing policy

Table 3.1 describes qualitative descriptions made by supermarkets of product exclusions from their consistent pricing policies. We conducted analysis in section 3.4.1 aiming to provide context around materiality of exempted products relative to supermarket chains' total revenue.

The values in this analysis are estimates based on the ACCC's interpretation of the supermarkets' qualitative descriptions of their products. The supermarkets claimed that certain categories, such as fresh produce, meat or seafood, are exempt from pricing policies. According to the departmental classifications provided by the supermarkets in response to the inquiry's notices, we interpreted this to be products that are in the supermarkets' Fruit & Vegetable or Fresh Produce categories and some sub-categories including the terms Meat, Poultry or Seafood for the relevant supermarkets.

The sales revenue for SKUs in these product categories/departments and parts thereof were aggregated. The total product revenue for 2023–24 is taken as the sum of sales revenue from all SKUs and presented as a proportion of total revenue. We sought to remove overheads and other relevant exclusions for supermarkets.

Analysis based on store format

Average price differences between stores of different format

This analysis used the same technique described above in *Consistency assessment of actual prices paid within a state / pricing region* as a base. This allowed a comparison of small format stores to the region's average while controlling for differences in frequency of small format stores in different regions, etc.

Each store was determined to be small format or not based on information provided by each supermarket.

Effective price changes in different store formats (section 3.4.3)

In section 3.4.3 we made observations based on annual (year-on-year) change in effective price for sampled stores using weekly information provided by the supermarket. This was calculated according to the methodology described above in the *Effective price* section of this Appendix. We compared the percentage change in effective price for each SKU sold by supermarket's aggregated small format stores against its standard format stores to evaluate the rate of price rises.

Analysis of prices paid based on store's socioeconomic index

This analysis used the same technique described above in *Consistency assessment of actual prices paid within a state / pricing region* as a base. This allowed a comparison of stores in different socioeconomic areas to the pricing region's average.

We assigned a classification to each sample store based on the SEIFA published by the ABS.

Among the standard format stores in our sampled stores for each supermarket, the average difference in prices paid for products sold within the less wealthy areas (SEIFA index of 1 to 3) were compared to other stores within their respective pricing regions. Similarly, the average price difference of product sold in stores in wealthier areas (SEIFA index of 8 to 10) were compared to other stores in their respective regions.

Prices paid in remote areas

Effective price paid by customers in non-remote and remote areas for a sample of products

Figures in section 4.8 represent the distribution of effective prices by product category (for example, eggs) in each financial year. Effective prices were calculated weekly for each of the supermarket's sampled stores, before being separated into prices in remote area and non-remote areas. The lines in the figures represent the lower quartile (25th percentile), median and upper quartile (75th percentile) priced SKUs in the distribution during each financial year.

Comparisons of the distribution were made based on location (remote vs non-remote) and over the financial years within a category. We have referred to the ABS classifications of Remoteness Areas in this analysis. Remote stores include stores in remote and very remote areas. This analysis was conducted for Coles, Woolworths and Metcash banner sampled stores which the ACCC received information from supermarkets on. For Coles and Woolworths, non-remote stores consist of all remaining sampled stores including small and standard format, regional and metropolitan stores. We have separated remote, regional and metropolitan stores for Metcash banner stores. We conducted this analysis on a selection of case study products for which we received pricing information at a store level, typically considered to be essential products. This includes unflavoured cow's milk, apples, breakfast cereals, eggs, potatoes, beef mince and sweet biscuits. The price distributions include private label and branded products, products of different pack size and quality. While we have considered methodologies controlling for products sold in both remote and non-remote stores which generally demonstrated similar results, this analysis is intended to illustrate the range of prices consumers paid for a range of case study products sold in stores of different remoteness.

We characterised products according to or consistent with the departmental classifications provided by the supermarkets, removing outliers. The deep dive case study products were selected to improve comparability across the different supermarkets.

Coles' distribution cost analysis for remote vs non-remote stores

We calculated Coles' distribution costs as a proportion of its cost of doing business (%) for each sampled store. We then took the average of the proportion of the stores that are remote and separately stores that are non-remote.

Cost of doing business analysis

We calculated the costs of doing business (CODB) as a percentage of sales revenue of each sampled stores for Coles and Woolworths over the reporting period. We then calculated the simple average and median of remote stores and separately non-remote stores (based on ABS Remoteness Areas classification) for each supermarket chain.

Transaction spend

The average transaction spend was calculated by averaging reported average transaction values in each store over the entire period for the relevant grouping of stores (i.e. all stores, standard format stores etc.). We applied the ABS' Remoteness Areas classification to determine which stores were remote or non-remote. We used the store format assignments provided by the supermarket to assign groupings.

Price cycles

Price cycles of case study products (section 7.2.3)

This analysis was based on products that were matched between supermarkets based on the SKU barcode. For each promotional week and each SKU, the average price of the product was compared to an estimated "standard price" (the price at which the product would sell exclusive of any promotions). Different methodologies were used to estimate the standard price including:

- taking the maximum average price over the previous 12 weeks
- taking the cumulative maximum average price, or
- using the previous period price as the standard price.

Based on a comparison of the average price to the standard price, each SKU was classified as being on promotion (if the price was more than 5% below the standard price or at the regular price (otherwise). This status could then be compared between supermarkets to calculate the % of time products were at the same or different points in the price cycle.

The products included in figure 4.7 (section 4.1.2) which were identified as not exhibiting alternating high-low pricing cycles were identified from the products matched as part of this analysis. For each product identified in figure 4.7, we calculated the volume weighted average price across all stores.

High-low pricing cycles (section 4.1.2)

Analysis of high-low pricing cycles, including the extent to which they alternate between Coles and Woolworths, was undertaken using *weekly ticket price information* from a single Coles and a single Woolworths store at a common location in NSW, Australia (chosen from the ticket sampled stores on the basis that both stores were of sufficient size and in a suburb with other competing stores).

Products were matched between Coles and Woolworths between 6 June 2023 and 12 June 2024 to identify identical products (that is, the matched products). The products included in figure 4.6, being products that exhibited high-low pricing cycles, were identified from this list (whereas, as noted above, the products identified in figure 4.7 were identified from the price cycle analysis of case study products).

Price changes were calculated on the matched products by comparing the current weeks price to the previous weeks' price for each SKU at the stores. Each price change was classified as 'No change', 'Up' or 'Down'. These price change directions could then be compared between Coles and Woolworths and classified as '1 change, 1 steady', 'Both steady', 'Both up', 'Both down' and 'Opposite'.

This analysis does not capture multi-buy specials.

Promotional sales

Percentage of products offered on promotion per week (on average) (section 4.1)

This analysis was undertaken using promotional product and sales information from the entire supermarkets' business.

The average percentage of products on promotion per week was calculated by dividing (a) the number of SKUs on promotion per retail week (on average across the year) by (b) the total number of SKUs offered for sale. This was calculated for each calendar year from 2019 to 2024.

For the purposes of this analysis, 'promotion' includes specials, multi-buy specials, longer-term promotions and everyday low pricing.

Percentage of sales revenue derived from promotions (section 4.1.1)

This analysis was undertaken using *weekly sales information* from the sampled stores across ALDI, Coles, Metcash banner stores and Woolworths between the 2019–20 and 2023–24 financial years.

The percentage of sales revenue derived from promotions was calculated by dividing (a) the total sales revenue derived from each promotion type (exclusive GST) by (b) the total sales revenue (exclusive GST). 'No promotion' is based on total sales revenue (excluding GST) of products sold at the standard price.

Categories and products with the deepest discounts

Analysis on the depth of discounts (section 4.1.1) was undertaken by determining the average discount based on *weekly ticket price information* for 3 regular format stores selected from the ticket sample stores, for each of Coles and Woolworths, between 1 January and 12 June 2024. These stores were chosen on the basis that they included a mix of metropolitan and remote stores in different regions.

A promotion was defined when the promotional price was less than the standard shelf price. This excludes multi-buys and everyday low pricing, as well as markdowns, clearances or targeted discounts such as member-only pricing.

The average special discount was calculated by dividing the discount applied on promotional tickets by the standard shelf price (or 'was' price prior to the discount being applied) for each promotional week and averaging this percentage over the period.

Telecommunications products and cigarettes were removed from the analysis.

Promotional frequency (time spent on promotion)

Analysis on the promotional frequency (section 4.1.2) was undertaken by determining the number of weeks that each SKU was on special (if at all) (both including and excluding multi-buy specials) based on *weekly ticket price information* for the 3 regular format stores in NSW, NT and WA between 1 January and 12 June 2024.

The percentage of time that a product was on promotion was calculated by dividing the number of weeks that a SKU was on promotion by the total number of weeks in the period where the product was sold. This percentage is weighted by weeks on sale to lessen the impact of outliers.

A promotion was defined when the promotional price was less than the standard shelf price. It excludes everyday low pricing, as well as markdowns, clearances or targeted discounts such as member-only pricing.

The percentage of time 'on promotion' included both specials and multi-buy, while percentage of time 'on special' excludes multi-buy specials. Product categories were determined by the relevant business unit or department.

Percentage of total units sold on promotion (section 4.2)

This analysis was undertaken *using promotional product and sales information* from the entire supermarkets' business.

The percentage of total units sold on promotion was calculated by dividing (a) the number of units sold on promotion by (b) the total number of units sold. This was calculated for each calendar year from 2019 to 2024.

For the purposes of this analysis, ‘promotion’ includes specials, multi-buy specials, longer-term promotions and everyday low pricing.

Uplift in sales due to promotions (section 4.2)

Analysis on impact of promotions on sales quantities (including the uplift distribution figures (figure 4.9 and 4.10)) was undertaken using *weekly price information* across the sampled stores in the 2023 calendar year.

For this, we compared the average number of units sold of a product (SKU) (per retail week) when on promotion, compared to the average number of units sold (per retail week) when the product was not on promotion (at the standard price). This was expressed as a percentage ratio where an 100% uplift means that for every 20 sales at the regular price, there were 40 sales at the promotional price. Products that sold less than 10 units on average were excluded.

Promotions include specials and multi-buy specials, and excludes products on everyday low pricing and (where possible, based on the data available) longer-term discount promotions.

This analysis did not take into account discount depth, which is likely to impact sales uplifts. For example, a deeper discount may result in a higher sales uplift. In cases where an uplift percentage is expressed as a negative, the products had greater sales – on average per week across all stores – when at the standard price than when on promotion. This could occur if a product is seasonal or event-related and would sell more at the normal price, for example, during that season (when consumer demand is less elastic).

Product margin

Product margin refers to the profit margin of a particular product. Conceptually:

$$Product\ margin\ (\%) = \frac{Sale\ price - Cost\ of\ good\ sold}{Sale\ price} \times 100$$

For the purposes of this Inquiry, product margin represents a product’s (i) sales revenue (excluding GST) less its cost of goods sold, expressed as a proportion of that product’s sales revenue. We analysed supermarket’s internal product margins.

We note that the methodologies used varies between supermarkets and the product margins presented are therefore not like-for-like comparisons. While we sought, to the extent possible, to obtain consistent margin information from ALDI, Coles, Metcash banner stores and Woolworths comparison purposes, this was not always possible, for example due to differences in how data, revenue and cost components are stored, treated and/or calculated within each business. However, we are of the view that the margin metrics reported in chapter 7, particularly of Coles and Woolworths, are not materially different and can be meaningfully compared.

We weighted product margin by sales revenue using a ratio of that product’s sales revenue to all products’ sales revenue at the relevant level (for example, at a category, department or whole-of-business level).

The formula is as follows:

$$Product\ margin_i(\%) = \frac{Sales\ revenue_i - Cost\ of\ good\ sold_i}{Sales\ revenue_i} \times 100 \times \frac{Sales\ revenue_i}{\sum_{i=i}^{n} Sales\ revenue}$$

Components of supermarkets' product margins

Components included and excluded from each supermarket's product margin metric attributable at the product level:

- sales revenue excluding GST
- cost of goods sold
  - may include supplier funding such as rebates where these payments are treated as a reduction in cost of goods sold
- some stock loss
- payments from suppliers where the payments are treated as revenue.

We acknowledge some limitations in relation to the product margins analysis:

- We did not obtain information from Metcash banner stores for the 2023–24 financial year. For the purposes of product margins analysis presented in section 7.2.3 (margins of case study products), we hold their 2022–23 weighted average product margins constant for the purposes of calculating their 2023–24 weighted average product margins.
- Metcash banner stores' financial year period follows a May to April cycle, unlike the other supermarkets whose financial year period is the conventional July to June cycle. As a result, Metcash banner stores' financial year data does not wholly align with the other supermarkets' data.

Supplier funding

Some supermarkets receive payments from their suppliers (including in the form of credits, offsets or both). How a supermarket accounts for payments from suppliers may vary. For example, the payments may be treated as additional revenue, or as a negative cost. In the latter scenario, this is likely treated as a reduction to the value of their cost of goods sold. In this instance, the product margin equation is:

$$Product\ margin\ (\%) = \frac{Sale\ price - (Cost\ of\ good\ sold - Supplier\ funding)}{Sale\ price} \times 100$$

Some supermarkets treat certain supplier funding (such as payments in relation to promotions) as revenue, while supplier rebates (such as volume rebates, purchase rebates, allowances, settlement discounts and warehouse margins) are treated as a reduction in cost of goods sold. In this case, the product margin equation is:

$$Product\ margin\ (\%) = \frac{Sale\ price - (Cost\ of\ good\ sold - Supplier\ rebates) + supplier's\ promotion\ funding}{Sale\ price} \times 100$$

Regardless of the method used, the greater the payments received from a supplier, the greater the supermarket's overall margin.

We understand that, in practice, some supplier funding is accounted for in product margins (either as a reduction to the value of their cost of goods sold or as revenue), or in margins at a higher level, such as gross margins.

Loyalty Programs

In respect of figures 4.16 and 4.17:

Average customer spend

This was calculated by averaging the weighted average annual customer spends per state for each calendar year provided by the supermarkets. The average of Coles and Woolworths data was unweighted.

Average loyalty member spend

This was calculated by averaging the average spend by loyalty members per sales transaction per state for each month per calendar year, weighted according to loyalty program member numbers in each state as a proportion of loyalty members nationally. The average of Coles and Woolworths data was unweighted.

% of total sales transactions where loyalty card was swiped

This was calculated by averaging the annual percentage of sales transactions per state where a loyalty card was swiped, weighted according to loyalty program member numbers in each state as a proportion of loyalty members nationally. The average of Coles and Woolworths data was unweighted.

% of overall sales revenue attributable to loyalty members

This was calculated by averaging the annual percentage of sales revenue from loyalty members for each state, weighted according to loyalty program member numbers in each state as a proportion of loyalty members nationally. The average of Coles and Woolworths data was unweighted.

Quality assurance

We conducted a review of each dataset to identify potential errors, including common issues such as missing data and statistical outliers. Through this process, we detected several discrepancies and engaged with the relevant supermarkets to seek clarification. Where necessary, we requested data resubmissions to ensure accuracy and reliability.

The analyses also underwent an independent quality assurance review conducted by staff who were not responsible for the original analysis. The reviews assessed the appropriateness of the methodologies used, ensured that the formula or codes used (if any) functioned as intended, and, where applicable, attempted to replicate the results to verify accuracy and reliability.

Price data

ALDI, Coles, Metcash and Woolworths provided their data in a mix of Excel, Comma-separated values, text, and PDF formats. These files were transformed according to requirements. For instance, the data structure and definition of pricing information differed between supermarkets. As a result, some supermarkets' data was adjusted and transformed to align with other supermarkets' data to enable analysis.

The ACCC examined the data provided by supermarkets for inconsistencies and potential errors. This procedure involved verifying data types, naming conventions, data counts, data quality, and null values. If these conditions were not met, the data was re-evaluated to correct the errors.

The following testing scenarios (among many others) were covered as part of quality assurance process:

1. Count of data/size received per file for each item number.
2. Schema and structure of the file received.
3. NULL entries from flat files were checked and removed.

Appendix D – Supermarkets inquiry summary

Appendix D: Supermarkets inquiry summary

Supermarkets inquiry summary

Margins and profitability

Key findings

- ALDI, Coles and Woolworths increased their average product margins over the last 5 financial years, particularly for branded goods in household and packaged food categories
- Significant funding is paid by suppliers to Coles and Woolworths for promotions and ancillary services
- ALDI, Coles and Woolworths appear among the most profitable supermarket businesses globally

Competition

Key findings

- Australia's supermarket industry is highly concentrated with an oligopoly structure, dominated by Coles and Woolworths
- ALDI, as a "hard discounter", provides an important source of price constraint on Coles and Woolworths for the more limited range of products it sells
- Coles and Woolworths have advantages in securing new supermarket sites

Recommendations

- Large chains to publish prices online
- Very large chains to provide dynamic pricing via API
- Streamline planning and zoning
- Importance of new merger laws and specific treatment of supermarket acquisitions

Supplier

Key findings

- Coles and Woolworths often have monopsony power acquiring fresh produce and some packaged groceries
- Fresh produce growers often do not have the information or certainty they need to make efficient investment decisions
- Some suppliers' dependence on Coles and Woolworths means they take on extra costs and risk

Recommendations

- Enhanced forecasts
- Transparency of weekly tendering
- Transparency of rebates
- Food and Grocery Code enhancements

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Trends in consumer shopping behaviour

Key findings

- Convenience is a key factor for where many consumers choose to shop
- There is a trend towards more cross-shopping (shopping for groceries at more than one retailer) and therefore the potential for greater competitive rivalry
- Despite the trend towards more cross-shopping, most consumers do a “main shop” for groceries, so purchase most or all of their groceries in one visit to a grocery retailer
- Only supermarkets provide the range of groceries typically needed to complete a main shop in one trip
- The value consumers place on convenience limits cross-shopping and therefore the competitiveness of non-supermarket retailers
- Consumers are comparing prices before shopping more, with increased availability of online price information, however there remain barriers to undertaking comparisons

Consumer

Key findings

- More than half of products purchased at Coles and Woolworths are on promotion
- Coles’ and Woolworths’ promotional practices can make it difficult for consumers to assess value for money
- It can be difficult for consumers to assess how much value they obtain from loyalty programs

Recommendations

- Regulation of promotional tickets
- Shrinkflation notifications
- Transparency of loyalty program value
- Review of loyalty programs in 3 years

Remote Australia

Key findings

- Grocery prices in remote areas are higher, sometimes significantly so, primarily due to higher costs to serve these areas
- Some consumers in remote areas may have access to a Coles or Woolworths and benefit from national or state-wide pricing, however some products include freight costs
- Very remote areas are less likely to have a Coles or Woolworths and are served by an independent supermarket often supplied by Metcash
- Consumers in remote areas with lower populations are less likely to have a choice of supermarket
- Consumers in remote areas with little or no choice can benefit from community-owned and run stores
- Some stores in remote locations do not provide price labels

Recommendations

- Support community-owned supermarkets
- Complaints handling
- All stores to display prices in-store
- Fair trading bodies to monitor display of prices and complaint information

Appendix E – Behavioural Insights Team report

Appendix E: Behavioural Insights Team report

To view the Applying Behavioural Insights to the ACCC Supermarkets Inquiry Final report, December 2024, visit the ACCC website.

Applying Behavioural Insights to the ACCC Supermarkets Inquiry

Final report, December 2024

Prepared for the Australian Competition and Consumer Commission (ACCC) by the Behavioural Insights Team (BIT)

THE BEHAVIOURAL INSIGHTS TEAM

AUSTRALIAN COMPETITION
& CONSUMER COMMISSION